The Institute of Chartered Accountants of Bangladesh (ICAB)

Financial Accounting and Reporting

Volume I

Workbook
For CA Professional Level Exams

CA BANGLADESH

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF BANGLADESH

www.icab.org.bd

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Questions within the Workbook should be treated as preparation questions, providing you with a firm foundation before you attempt the exam-standard questions.

**** Italic denotes changes***

Financial Accounting and Reporting

If you are studying this exam as part of the ACA qualification go to ICAB.com/examresources or if you are studying the ICAB CFAB qualification go to ICAB.come/cfabstudents.

Module aim

To enable you to prepare complete single entity and consolidated financial statements, and extracts from those financial statements, covering a wide range of International Financial Reporting Standards (IFRS® Accounting Standards and IFRS® Sustainability Disclosure Standards).

You will also be required to explain accounting and reporting concepts and ethical issues, and the application of International Financial Reporting Standards to specified single entity or group scenarios.

On completion of this module, you will be able to:

- explain the contribution and inherent limitations of financial statements, apply the IFRS Conceptual Framework for Financial Reporting and identify and explain key ethical issues;
- prepare and present financial statements from accounting data for single entities in conformity with IFRS Accounting Standards and and IFRS Sustainability Disclosure Standards and explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios;
- analyse and interpret financial and non-financial information which has been prepared in conformity with International Financial Reporting Standards;
- identify the circumstances in which entities are required to present consolidated financial statements, prepare and present them in conformity with IFRS Accounting Standards and explain the application of IFRS Accounting Standards to specified group scenarios; and
- describe the principal differences between IFRS Accounting Standards and UK GAAP and prepare simple extracts from financial statements in accordance with UK GAAP, for both single entity and consolidated financial statements.

Learning outcomes apply to non-specialised profit-oriented entities unless otherwise specified.

Method of assessment

The Financial Accounting and Reporting exam is 3.5 hours long.

The module will include:

(a) preparation of single entity financial statements (excluding statement of cash flows) from trial balance, using proformas;

(b) preparation of consolidated financial statements (excluding consolidated statement of cash flows) from single entity financial statements, using proformas;

(c) explanation of the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified scenarios, with supporting calculations; and

(d) analysis and interpretation of financial and non-financial information. Other question types could include:

   i. preparation of a full consolidated statement of cash flows; or

   ii. a mixed or single topic question requiring extracts from single entity or consolidated financial statements (including from statement of cash flows) or preparation of a revised single entity statement of cash flows, and/or explanation of financial reporting treatment with supporting calculations and/or calculations of specified figures.

Concepts, ethics, sustainability, Islamic Finance and others will be tested in any of the questions.

Ethics and professional scepticism

Ethical thinking must be the mainstay for honest, true, fair and prudent financial accounting and reporting. The ability to identify and explain ethical issues is examined specifically under the syllabus area 'Accounting and reporting concepts and ethics'. Over and above this ethical thinking and professional scepticism will be required to be applied in the exercise of all judgements.

Sustainability

The application of sustainability knowledge and understanding is a key skill for all ICAB Chartered Accountants. Students will be expected to understand an entity's sustainability related risks and opportunities that could reasonably be expected to affect an entity's prospects. Students should be able to identify the information that is useful to users of general purpose financial statements in making decisions relating to providing resources to the entity. Developing an understanding of sustainability principles and their integration within accounting and reporting frameworks.

Specification grid

This grid shows the relative weightings of subjects within this module and should guide the relative study time spent on each. Over time the marks available in the assessment will equate to the weightings below, while slight variations may occur in individual assessments to enable suitably rigorous questions to be set.

Syllabus area	Weighting (%)
1 Accounting and reporting concepts and ethics	05–10
2 Single entity financial statements	40–50
3 Consolidated financial statements	25–30
4 Public sector financial reporting and accounting	10–15
5 Islamic finance	10–15

Key resources

Whether you're studying the ACA qualification with an employer, at university, independently, or as part of an apprenticeship, we provide a wide range of resources and services to help you in your studies.

Take a look at the online exam resources available to you on ICAB.com/examresources and discover more resources and services at ICAB.com/studentbenefits

Syllabus, skills development and technical knowledge grids

The syllabus presents the learning outcomes for each exam and should be read in conjunction with the relevant technical knowledge grids and, where applicable, the skills development grids.

Exam support

A variety of exam resources and support have been developed on each exam to help you on your journey to exam success. This includes expert guides, hints, tips, webinars and more. You can access these at ICAB.com/examresources

Past exams and mark plans

Use past exams to practise answering questions. The mark plans will help you check your answers. The past exams and mark plans are included in your question bank and have been updated to reflect the 2026 legislation and syllabus.

Student Insights

Access our practical and topical student content on our dedicated online student hub, Student Insights, at ICAB.com/studentinsights. You'll find interviews, guides and features giving you fresh insights, innovative ideas and an inside look at the lives and careers of our ICAB students and members. No matter what stage you're at in your journey with us, you'll find content to suit you.

Skills within the ACA

Professional skills are essential to accountancy and your development of them is embedded throughout the ACA qualification.

The level of competency required in each of the professional skills areas to pass each exam module increases as ACA trainees progress upwards through each Level of the ACA qualification. The skills progression embedded throughout the ACA qualification ensures ACA trainees develop the knowledge and professional skills necessary to successfully operate in the modern workplace and which are expected by today's forward-thinking employers.

The following professional skills areas are present throughout the ACA qualification.

Skill area	Overall objective
Assimilating and using information	Understand a business or accounting situation, prioritise by determining key drivers, issues and requirements and identify any relevant information.
Structuring problems and solutions	Structure information from various sources into suitable formats for analysis and provide creative and pragmatic solutions in a business environment.
Applying judgement	Apply professional scepticism and critical thinking to identify faults, gaps, inconsistencies and interactions from a range of relevant information sources and relate issues to a business environment.
Concluding, recommending and communicating	Apply technical knowledge, skills and experience to support reasoning and conclusion and formulate opinions, advice, plans, solutions, options and reservations based on valid evidence and communicate clearly in a manner suitable for the recipient.

The following provides further detail on the professional skills that you will develop in this particular module. To see the full skills development grids, please go to ICAB.com/examresources.

Assimilating and using information

Understand the situation and the requirements:

- Demonstrate understanding of the business context.
- Recognise new and complex ideas within a scenario.
- Explain different stakeholder perspectives and interests.
- Explain ethical issues within given scenarios.

Identify and use relevant information:

- Interpret information provided in various formats.
- Evaluate the relevance of information provided.
- Filter information provided to identify critical facts.

Identify and prioritise key issues and stay on task:

- Identify business and financial issues from a scenario.
- Prioritise key issues.
- Work effectively within time constraints.
- Operate to a brief in a given scenario.

How skills are assessed

Students may be required to**:**

- explain the inherent limitations of financial statements;
- apply the IFRS Conceptual Framework for Financial Reporting to a given scenario;
- consider the impact of sustainability and climate-related risks and opportunities on the preparation of the financial statements;
- recognise key ethical issues for an accountant undertaking work in accounting and reporting;
- identify international financial reporting standards, relevant laws and regulation and any other requirements applicable to the financial statements (both single entity and consolidated); and
- recognise specific issues that may arise in the context of the situation described.

Structuring problems and solutions

Structure data:

- Structure information from various sources into suitable formats for analysis.

Develop solutions:

- Identify and apply relevant technical knowledge and skills to analyse a specific problem.
- Use structured information to identify evidence-based solutions.
- Select appropriate courses of action using an ethical framework.
- Identify the solution which is the best fit with acceptance criteria and objectives.

How skills are assessed

Students may be required to:

- apply the IFRS Conceptual Framework for Financial Reporting to identify the financial effects of transactions;
- apply knowledge of International Financial Reporting Standards through explanation and calculation;
- prepare and present financial statements (including disclosure), or extracts (both single entity and consolidated) using proformas, in conformity with International Financial Reporting Standards;
- analyse and interpret information to provide useful insights into performance, and identify inconsistencies and limitations of information;
- explain the principal differences between IFRS Accounting Standards and UK GAAP; and
- identify ethical issues and use ethical codes to formulate solutions and provide advice.

Applying judgement

Apply professional scepticism and critical thinking:

- Recognise bias and varying quality in data and evidence.
- Identify inconsistencies of information presented.
- Identify faults in arguments.
- Exercise ethical judgement.

Relate issues to the environment:

- Identify related issues in scenarios.
- Identify limitations of information presented.
- Appraise ethical, public interest and regulatory issues.

How skills are assessed

Students may be required to:

- use judgement to assess the appropriate accounting treatment (including disclosure) for transactions described in the scenarios in respect of both single entity and consolidated financial statements; and
- identify ethical issues and use ethical codes to formulate solutions and provide advice.

Concluding, recommending and communicating

Conclusions:

- Apply technical knowledge to support reasoning and conclusions.
- Use valid and different technical skills to formulate opinions, advice, plans, solutions, options and reservations.

Communication:

- Communicate clearly to a specialist or non-specialist audience in a manner suitable for the recipient.
- Prepare the advice, explanation, or notes required in a clear and concise style.

How skills are assessed

Students may be required to:

- explain accounting and reporting concepts in non-technical language;
- explain, with supporting calculations and disclosure, the appropriate accounting treatment for transactions described in the scenario (both single entity and consolidated financial statements);
- prepare and present financial statements (including disclosure), or extracts (both single entity and consolidated financial statements) in conformity with International Financial Reporting Standards;
- identify significant features in information through analysis and interpretation;
- explain the principal differences between IFRS Accounting Standards and UK GAAP; and
- explain ethical issues and provide possible solutions.

To help you develop your ability to demonstrate competency in each professional skills area, each chapter of this Workbook includes up to four Professional Skills Guidance points.

Each Professional Skills Guidance point focuses on one of the four ACA Professional Skills areas and explains how to demonstrate a particular aspect of that professional skill relevant to the topic being studied. You are advised to refer back to the Professional Skills Guidance points while revisiting specific topics and during question practice.

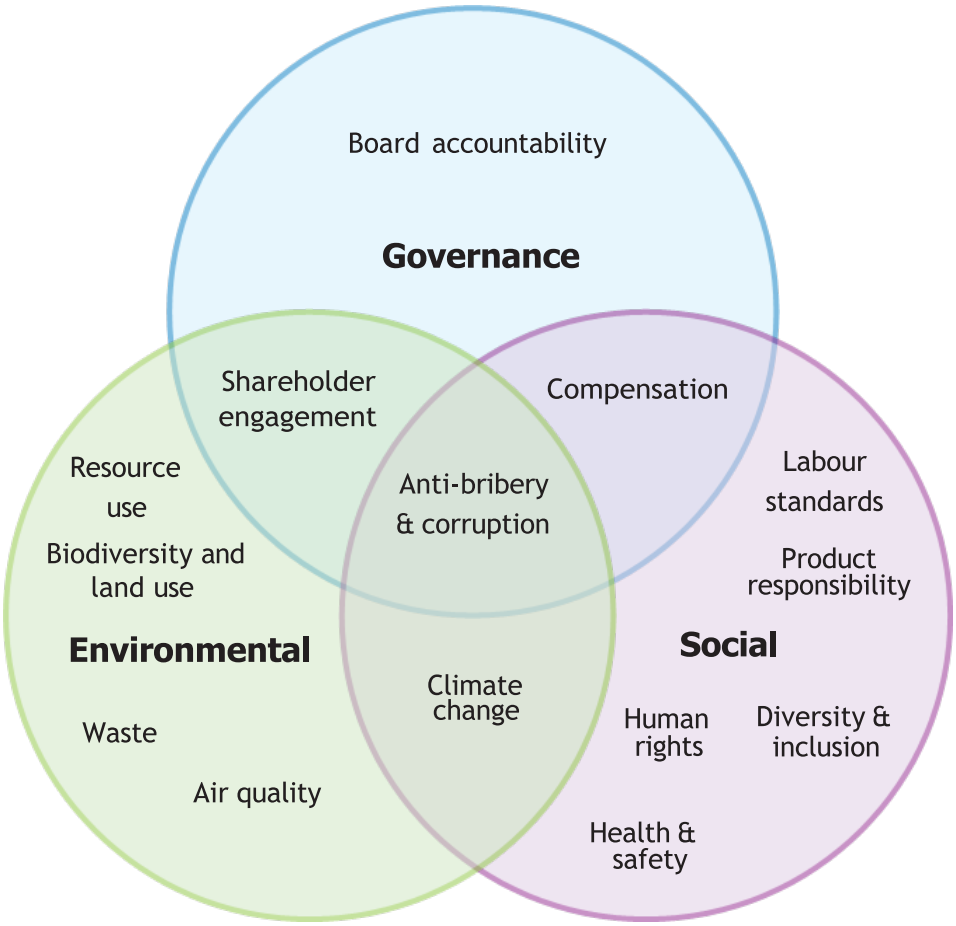
Sustainability in the ACA Qualification

The sustainability landscape has developed at a rapid pace in recent years, with a marked shift from voluntary frameworks and guidance to more mandatory reporting and risk management requirements.

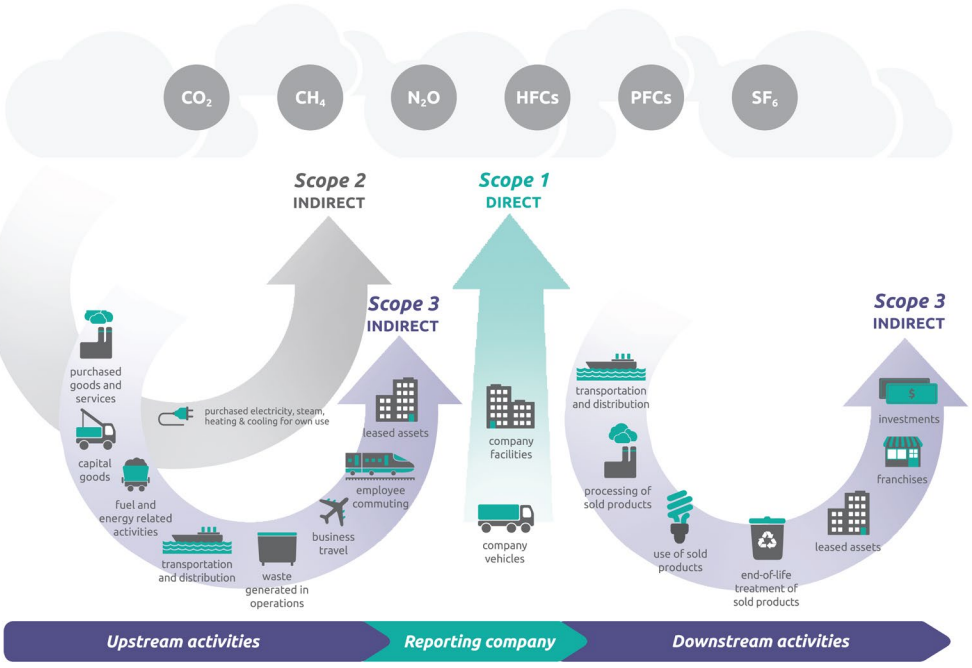
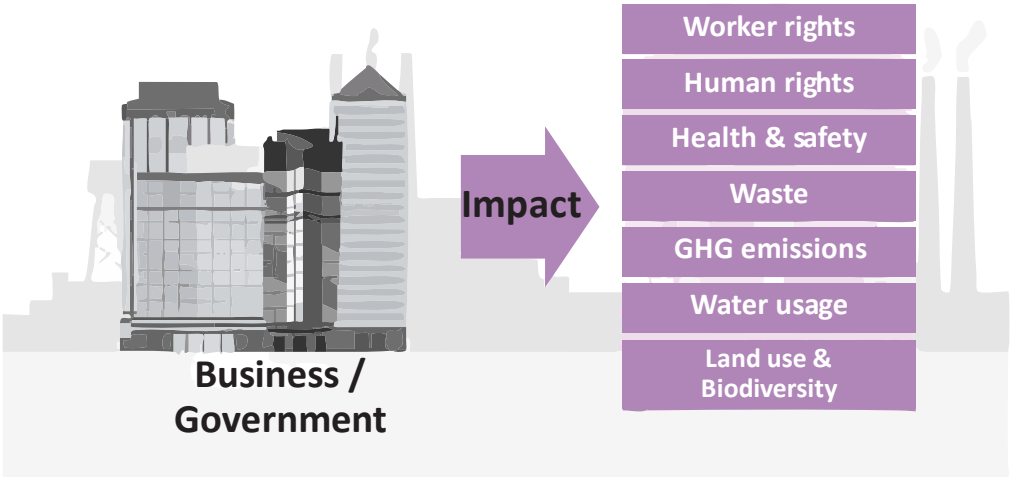
The relevance of sustainability to the role of accountants is growing, with the skillset provided by the CA becoming increasingly valuable to respond to the tide of incoming regulations and increasing investor and broader stakeholder requirements.

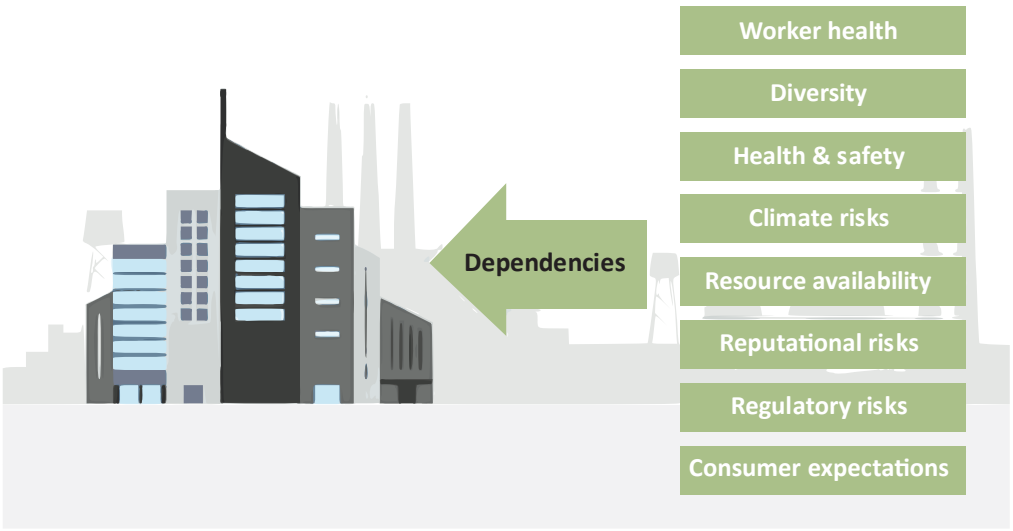
The taxonomy and language around sustainability and its related areas is varied and may as yet be unfamiliar and so there is a need for consistency of sustainability language and underlying concepts. ICAB has created this glossary to provide support for greater consistency and concepts across the ACA exams.

Term	Definition or description
Climate scenario analysis	Environmental issues such as climate change are giving rise to significant risks for businesses. These may arise from physical climate events or the transition to a net-zero carbon economy. Scenario analysis is key to better understanding and managing future risks today, as well as supporting the transition to a net-zero carbon economy. Forward-looking assessments using scenario analysis is recommended by the TCFD to test strategic resilience to future climate shocks. It is not about providing profit forecasts or predicting the future but assures investors that the organisation is prepared for plausible future outcomes.
Corporate Social Responsibility	Corporate Social Responsibility (CSR) is a management concept whereby companies integrate social and environmental concerns in their business operations and interactions with their stakeholders. CSR is generally understood as being the way through which a company achieves a balance of economic, environmental and social imperatives ('Triple-Bottom-Line-Approach'), while at the same time addressing the expectations of shareholders and stakeholders. (UN Industrial Development Organisation: https://www.unido.org/our-focus/advancing-economic-competitiveness/competitive-trade-capacities-and -corporate-responsibility/corporate-social-responsibility-market-integration/what-csr) This term is used less often in recent times, following a swathe of articles exposing greenwashing practices associated with the movement. 'Sustainability' and 'ESG' tend to be more favoured.
Corporate Sustainability Reporting Directive (CSRD)	The CSRD introduces detailed sustainability reporting requirements for large and listed companies and paves the way for mandatory sustainability assurance. The CSRD incorporates the concept of 'double materiality'. This means that companies have to report not only on how sustainability issues might create financial risks for the company (financial materiality), but also on the company's own impacts on people and the environment (impact materiality). This diverges from the ISSB concept of materiality, which remains aligned with financial materiality.
Double materiality	Double materiality means considering not only the sustainability issues that might create financial risks for the company (financial materiality), but also those sustainability issues where a company's activities materially impact on people and the environment (impact materiality). This concept is fundamental to the CSRD.
ESG	Environmental, social and governance (ESG) approaches sustainability-related issues through a corporate lens and considers the impact of these risks on business

Term	Definition or description
	and enterprise values (rather than on society more broadly). It is a frequently used terminology in corporate and investment communities. At a high level, it is another characterisation of sustainability, providing the 3 lenses of environment, social and corporate governance to use when exploring relevant sustainability factors:  When looked at in more detail, however, ESG is distinct from sustainability. It does not include consideration of planetary limits and a social foundation, together considered the 'safe operating space' within which companies, governments and individuals can sustainably operate. According to the Principles for Responsible Investment (PRI) (a United Nations-supported international network of investors) ESG issues faced by organisations can be defined as follows: • **Environmental:** Issues relating to the quality and functioning of the natural environment and natural systems. These include: biodiversity loss; greenhouse gas (GHG) emissions; climate change; renewable energy; energy efficiency; air, water or resource depletion or pollution; waste management; stratospheric ozone depletion; changes in land use; ocean acidification; and changes to the nitrogen and phosphorus cycles. • **Social:** Issues relating to the rights, well-being and interests of people and communities. These include: human rights; labour standards in the supply chain; child, slave and bonded labour; workplace health and safety; freedom of association and freedom of expression; human capital management and

Term	Definition or description
	employee relations; diversity; relations with local communities; activities in conflict zones; health and access to medicine; HIV/AIDS; consumer protection; and controversial weapons. • **Governance:** Issues relating to the governance of companies and other investee entities. In the listed equity context these include: board structure, size, diversity, skills and independence, executive pay, shareholder rights, stakeholder interaction, disclosure of information, business ethics, bribery and corruption, internal controls and risk management, and, in general, issues dealing with the relationship between a company's management, its board, its shareholders and its other stakeholders. This category may also include matters of business strategy, encompassing both the implications of business strategy for environmental and social issues, and how the strategy is to be implemented. (Source: https://www.unpri.org/Uploads/i/m/n/maindefinitionstoprireportingframework_127272_949397.pdf)
ESG vs Sustainability	Sustainability describes a world of thriving economies and just societies based on what nature can afford. It incorporates consideration of both the impacts and dependencies of an organisation and so includes those factors that are material both to the organisation but also to society. Environmental, social and governance (ESG) approaches this issue through a corporate lens and considers only how these risks and opportunities affect a business and its enterprise value. Whilst sustainability includes the concept of environmental and social limits (planetary limits and a social foundation) within which there is a safe operating space, ESG focusses on enterprise value and so does not incorporate considerations of a safe operating space.
GHG emissions – scope 1, 2 & 3	Scope 1, 2 and 3 is a way of categorising different kinds of Greenhouse Gas (GHG) emissions. **Scope 1:** The GHG emissions that an entity makes directly by eg, running boilers and vehicles. **Scope 2:** The GHG emissions it makes indirectly by eg, purchasing electricity or energy that is produced on its behalf. **Scope 3:** All the GHG emissions the entity is indirectly responsible for, up and down its value chain eg, by buying products from its suppliers, and from its products when customers use them.

Term	Definition or description
	 (Source: GHG Protocol Corporate Standard)
Impacts and dependencies	There are two fundamental aspects to sustainability: one is organisations considering how their business positively or negatively affects environmental, societal and governance issues ('impacts');  (Source: ifac.org) the other is considering how environmental, social and governance issues can affect the organisation's ability to create and maintain value ('dependencies').

Term	Definition or description
	 (Source: ifac.org) Information on dependencies is generally more useful for investors, who want to assess how well a company is managing its exposure to long-term ESG risks, and hence assess the value of the company to inform investment decisions. This relates to financial materiality. In this context, investor-useful information comprises financially material disclosure topics & performance metrics addressing sustainability dependencies (and impacts) relevant to enterprise value. Impact information is generally useful for broader stakeholders, including consumers, civil society and employees. The decisions they make are more attuned to information on how an organisation is impacting, for example, livelihoods; deforestation; equality and health. In this context information useful for broader stakeholders includes disclosures, indicators and contextual information addressing sustainable development, impacts, or public policy objectives. Reporting impact information alongside dependencies is aligned with the concept of double materiality. However, a company's impacts can also be financially material due to reputational impacts affecting consumer demand, license to operate etc. These concepts are usefully visualised by the International Federation of Accountants here: https://www.ifac.org/system/files/publications/files/IFAC-enhancing-corporate-reporting-sustainability-building-blocks.pdf

Term	Definition or description
	 (Source: ifac.org)
Mitigation and adaptation	In the face of increasing climate-related risks, organisations need to focus on both mitigation and adaptation activities. **Climate change mitigation** means avoiding and reducing emissions of greenhouse gases into the atmosphere to prevent the planet from warming to more extreme temperatures. This involves a transition away from fossil fuels to clean, renewable energy; halting deforestation; and restoring natural habitats to reach net zero emissions. **Climate change adaptation** refers to adjustments of strategies and actions in response to the effects and future risks of climate change. These risks may be linked to the physical impacts of climate change; but also, the economic impact of a transition towards net zero. Identifying, managing and adapting to these risks is key for the development of a resilient business that can survive, and even thrive in the unprecedented physical and transitional changes ahead.
Paris Agreement and Net Zero	The Paris Agreement is an international treaty on climate change that was signed by nearly 200 countries in 2015 at the United Nations Framework Convention on Climate Change's 21st Conference of Parties, known as COP21. This agreement is generally regarded as the framework for international action towards mitigating climate change and its impacts. The Paris Agreement set the ambition to a maximum of 2°C global temperature change, with the preferred goal of 1.5°C above pre-industrial levels. The term 'net zero' refers to the global reduction of greenhouse gas emissions to net zero by 2050 and is the action required to limit temperature rise to 1.5 degrees Celsius.
Physical and Transition	The risks business and the public sector will face due to climate change can be categorised into two areas:

Term	Definition or description
Risks	a) **Physical risks**, which arise from the physical effects of climate change such as storms, extreme temperatures, wildfires, flooding. b) **Transition risks**, which relate to social and economic shifts to a low-carbon economy such as changes to policy, regulation, technology and market.
Stranded assets	'Stranded assets' are assets that are economically stranded, having suffered from 'unanticipated or premature write-downs, devaluations or conversion to liabilities' (Smith School of Enterprise and the Environment, 2014). Stranded assets can be caused by a range of environmental-related risks including: • climate change • new regulations • evolving social norms • litigation
Sustainability	Sustainability is a broad term that encompasses an environmental and social focus to improve people's lives and improve the planet for the long-term. The technical definition of sustainability comes from the 1987 Brundtland report, and is defined as development that: 'meets the needs of the present without compromising the ability of future generations to meet their own needs'. Frameworks, goals or categories for sustainability can help to break it down for practical application. This is where characterisations such as environmental, social and governance (ESG) or environmental, social and economic factors can be useful. Sustainability is not limited to the environment. Interpretations of the scope of sustainable development have developed from a narrow interpretation which focused on 'green issues' to broader interpretations which include concerns such as: • Increasing extremes of poverty and wealth • Population growth • Biodiversity loss • Deteriorating air and water quality • Climate change • Human rights • Bribery and corruption
Sustainable Development Goals (SDGs)	The United Nations Sustainable Development Goals are a set of 17 goals based on the key environmental, social and economic factors required for peace and prosperity for people and planet. They frame sustainability through the lens of environmental, social and economic characterisations, with a healthy environment underpinning a healthy society, which underpins a healthy economy.
The Task Force on Climate-related Financial Disclosures (TCFD)	The G20 is an intergovernmental forum comprising 19 countries and the European Union. It works to address major issues related to the global economy, such as international financial stability, climate change mitigation, and sustainable development. The UK Government is the first in the G20 to mandate that the largest UK-registered companies provide disclosures, on a 'comply or explain' basis, in line with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD). The TCFD recommendations are structured around four core elements – Governance, Strategy, Risk Management, and Metrics and Targets. Each of these

Term	Definition or description
	core elements include reporting requirements and additional guidance for disclosing organisations. In particular, the TCFD recommendations focus on forward-looking financial disclosure. They ask organisations to identify climate-related risks and opportunities, to consider the financial implications, and to assess the resilience of the business strategy to future climate outcomes. TCFD recommends organisations use scenarios to explore future business risks arising from climate change and present the findings in the narrative report.
WEF Global Risks Report	The World Economic Forum's annual Global Risks Report explores some of the most severe risks the world may face over the next decade. It is underpinned by their annual Global Risks Perception Survey, bringing together leading insights from over 1,200 experts across the World Economic Forum's diverse network. In 2024, perceptions of the most severe risks on a global scale over the next 2 and 10 years were as follows: (**Source**: www3.weforum.org/docs/WEF_The_Global_Risks_Report_2024.pdf)

Term	Definition or description
WEF IBC metrics	The World Economic Forum (WEF) International Business Council (IBC) metrics provide a useful starting point when considering what sustainability metrics may be relevant for an organisation. The WEF paper 'Measuring Stakeholder Capitalism' was written with the aim of developing a core set of common metrics and disclosures on non-financial factors, for sustainable value creation. It highlights the key themes significant to the planet, society and business and was produced in collaboration with Deloitte, EY, KPMG and PwC in 2020. The metrics are categorised into four pillars: Principles of Governance, Planet, People and Prosperity and aligned with their relevant SDGs.

Sustainability and the role of ACA Professionals

ICAB Chartered Accountants ('ACA Professionals') recognise that sustainability is at the core of what they do and are capable of actively using their business skills to analyse how to make the new sustainable economy work for their business.

The relevance of sustainability to the role of accountants is growing, with the skillset provided by the ACA becoming increasingly valuable to respond to incoming regulations and increasing investor and broader stakeholder requirements.

Finance and accounting professionals need to move beyond simply measuring and reporting the impact of climate change, environmental regulation, supply chain pressure and rising energy costs.

ACA Professionals need to focus on understanding those implications and integrating them into financial management and business planning by integrating knowledge and understanding the broader implications of environmental, social and governance issues.

Sustainability and decision making

Integrating sustainability to strategic decision making and operational processes is closely related to the skills and experience of ACA Professionals. Examples include:

- Identification and management of risks.
- Compliance with laws, regulations and code of corporate governance.
- Design and operation of management control systems.
- Measurement of environmental, social and governance (ESG) related liabilities and impaired assets, financial instruments and new forms of taxation, such as renewable energy reliefs or carbon emission tariffs and any assurance required thereon.

Where the technical issues extend beyond the accountant's reach then the accountant will work with sustainability experts and other relevant experts when required, which is good practice.

Reporting

The role of ACA Professionals includes the preparation and issuance of reported sustainability information with related activities which include:

- Identifying and evaluating sustainability-related risks and opportunities and advising on solutions to mitigate impacts and risks.
- Considering how current and future sustainability-related risks and opportunities affect an organisation's strategy, operations, financial reporting, regulatory and legal compliance and sustainability reporting requirements.
- Advising on an organisation's specific sustainability metrics to monitor and report.
- Developing methods and solutions to measure sustainability metrics.
- Developing processes and controls to produce and verify the information.
- Preparing sustainability reports and advising on the sufficiency of current sustainability reporting disclosures.

- Providing assurance over mandatory and voluntary sustainability reported information.
- Providing sustainability information that is relevant to strategic and operational decision making.
- Influencing others in positions of power to take appropriate action to safeguard or improve an organisation's sustainability performance.

Applying sustainability related learning in ACA

ACA students can develop these skills by applying a common set of sustainability principles across every ACA module in this complex and fast changing area.

These core principles include, but are not limited to:

- Consider an organisation's sustainability-related dependencies alongside its sustainability-related impacts.
- Clarify that climate change is only one aspect of environmental concerns.
- Consider sustainability-related opportunities alongside risk.
- Consider physical risks as well as transition risks and opportunities.
- Confirm that climate and other environmental issues are considered against the broader context of sustainability.
- Apply a principles-based approach of identifying, evaluating and mitigating sustainability-related risks and opportunities where the sustainability landscape is complex and lacks a global/mandatory standard.

This can be aided by the application of the following ACA Professional Skills to specific sustainability-related situations:

- Assimilating and using information
- Structuring problems and solutions
- Applying judgement
- Concluding, recommending and communicating

ACA and Technology

Changes in technology have automated many routine aspects of accountancy. However, with these changes in technology also come complexity and risk. Accountants need to adapt and develop new skills to manage the change resulting from the emergence of new technologies.

These and other innovations in technology are likely to have a significant impact on the way that accountants access information, transact and manage business finances. Technology tools can provide information more quickly and often more accurately than humans, but they cannot replicate human intelligence and quality decision-making, or effectively communicate the output of analysis.

Therefore, ACA professionals hold key roles such as validating the source of the data, interpreting, and analysing the outputs, and ensuring the tools support effective management of the organisation. Additionally, as routine and compliance work reduces, the ACA provides a focus on the development of skills that equip ACA professionals to work with the outputs of automated processes, with other specialists, and in a changing world.

While there are many new technology capabilities that have broad application across the business and consumer environment, ICAB has identified seven trends that have the greatest potential to transform the accountancy profession: Artificial Intelligence, Automation, Blockchain, Cybersecurity, Cloud computing, Data and Digital Transformation. These technologies are explored across relevant ACA modules and are supported by the following definitions.

Term	Definition
Artificial Intelligence (AI)	Artificial Intelligence involves the creation and use of advanced computer systems to perform tasks that traditionally require human intelligence. This includes learning from data, reasoning and problem-solving, sensory understanding, language processing, and recognising patterns. AI systems are characterised by their ability to adapt to new information or environments, operate with a degree of autonomy, and make informed decisions. AI often, but not always, involves the use of Machine Learning.
Augmented Reality (AR)	Augmented Reality is a technology that overlays digital information – such as images, text or effects – onto the real world as seen through a device, such as a smartphone or AR glasses.
Automation	Automation is the creation and application of technology to monitor and control the production and delivery of products and services. (Source: The International Society of Automation, 2018) (current BST definition)
Big Data	Big Data is the term that describes those 'datasets whose size is beyond the ability of typical database software to capture, store, manage and analyse.' (Source: McKinsey Global Institute, Big data: The next frontier for innovation, competition and productivity)
Blockchain	Blockchain is a specific form of distributed ledger technology that records data in a decentralised and immutable manner across multiple nodes. This structure makes records tamper-proof and enhances security by removing single points of failure. Blockchains are often public, allowing anyone to verify the data, though private configurations exist for tailored organisational needs. This technology supports cryptocurrencies and has many other applications, including supply chain oversight, digital identity and secure voting.
Chatbot	A chatbot is a software application designed to simulate conversation with human users. It uses natural language processing to understand and respond to user queries.

Term	Definition
Cloud accounting	Cloud accounting refers to performing accounting tasks using cloud computing software, often delivered in a software-as-a-service (SaaS) model.
Cloud computing	Cloud computing is on-demand access, via the internet, to computing resources – applications, servers (physical servers and virtual servers), data storage, development tools, networking capabilities and more – hosted at a remote data centre managed by a cloud services provider (or CSP). (Source: https://www.ibm.com/topics/cloud-computing#:~:text=Cloud%20computing%20is%20on,or%20CSP)
Cryptocurrency	Cryptocurrency is a digital asset that is designed to function as a medium of exchange and store of value. It operates through a decentralised computer network independent of any central authority, such as a central bank, which does not issue or regulate it. Cryptocurrencies use blockchain technology to achieve decentralisation, transparency and immutability, distinguishing them from traditional monetary systems and financial assets. While they perform roles similar to currency, under IFRS® Accounting Standards they are not recognised as cash or financial instruments but may be accounted for as intangible assets or inventory depending on the circumstances.
Cyber-attack	A cyber-attack is an attempt by individuals or groups to breach the cybersecurity of a specific organisation or individual. This includes any unauthorised access, manipulation or damage to computers, networks, digital systems or data. Cyber-attacks are carried out to steal, alter or destroy information, or to disrupt the operation of systems and services. Common forms of cyber-attacks include phishing, malware, ransomware, denial of service (DoS) and advanced persistent threats (APTs).
Cybersecurity	Cybersecurity is the collection of tools, policies, security concepts, security safeguards, guidelines, risk management approaches, actions, training, best practices, assurance and technologies that can be used to protect an organisation's and user's assets against cyberattack.
Data analytics	Data analytics is the process of collecting, organising and analysing large sets of data to discover patterns and other information which an organisation can use for its future business decisions.
Data bias	Data is biased when it is not representative of the population that is being analysed. Bias can be inherent in the data collected or it can be introduced by those analysing the data.
Data mining	Data mining is the process of analysing large datasets to discover patterns, relationships and insights. It employs AI and statistical algorithms to identify correlations and trends that transform raw data into actionable information.
Distributed ledger technology (DLT)	Distributed ledger technology (DLT) encompasses a range of decentralised database systems where transactions are recorded and validated across multiple sites. Unlike traditional ledgers, DLT does not rely on a central authority, enhancing transparency and reducing the need for audits. While blockchain is a well-known type of DLT noted for its chained data structure, other forms of DLT may organize data differently and offer varying levels of access and privacy.
Generative AI	Generative AI refers to a type of artificial intelligence that is designed to generate new content, such as images, text, audio or video, based on patterns learned from

Term	Definition
	a training dataset. Unlike predictive models that focus on making predictions or classifications based on existing data, generative AI models create entirely new data instances that mimic the characteristics of the training data.
Infrastructure-as-a-service (IaaS)	Infrastructure-as-a-service, or IaaS, provides virtual computing resources over the internet. It allows businesses to rent servers, storage space and networking capabilities without needing to own physical infrastructure. Users can manage operating systems, storage and deployed applications while the service provider handles the physical hardware.
Machine Learning	Machine Learning is the capability of computer systems to learn from and make predictions or decisions based on large volumes of training data, without being explicitly programmed to do so. It involves two primary methods: supervised and unsupervised learning. In supervised learning, the model is trained on labelled data, meaning it learns to predict outcomes from input data that has an associated correct answer. Unsupervised learning involves training on data without labelled responses, allowing the model to identify patterns and relationships in the data independently.
Natural Language Processing (NLP)	Natural Language Processing is a branch of artificial intelligence that enables computers to understand, interpret, and generate human language in a way that is both meaningful and useful. By employing techniques from linguistics and computer science, NLP helps machines process and analyse large amounts of natural language data, facilitating tasks such as translation, sentiment analysis, voice-activated services and chatbot responses.
Platform-as-a-service (PaaS)	Platform-as-a-service, or PaaS, offers a development and deployment environment delivered over the internet, allowing users to build, test and deploy applications without the complexity of managing the underlying infrastructure. Providers supply a framework that developers can build upon, including support for software development kits, databases and development tools. PaaS is designed for developers who want to create applications without worrying about hardware, software updates or storage.
Robot	A robot is a programmable machine capable of carrying out complex actions autonomously or semi-autonomously. Typically equipped with sensors and actuators, robots are used in various industries for tasks that require precision and endurance or involve hazardous conditions.
Robotic Process Automation	Robotic Process Automation is a software solution that replicates a business process, designed to do a task that would otherwise be performed manually. It is programmed to follow 'if this, then that' instructions. It runs with other applications rather than replacing them.
Software-as-a-service (SaaS)	Software-as-a-service, or SaaS, is a delivery model that allows users to access software applications over the internet. These applications are hosted and maintained by external providers, offering convenience and reduced IT overhead for users. SaaS solutions are typically subscription-based, with common applications including email, customer relationship management (CRM) and collaboration tools.
Virtual Reality (VR)	Virtual Reality (VR) is a digital technology that creates a simulated environment, immersing users in a three-dimensional space. Users can interact with virtual objects and experience scenarios that mimic real life or imaginative worlds.

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Introduction

Learning outcomes

- Explain the standard-setting process used by international bodies and the authority of international standards
- Explain the objectives and inherent limitations of financial statements, giving appropriate examples
- Explain the qualitative characteristics of financial information and the constraints on such information, using appropriate examples to illustrate the explanation
- Identify the effects of transactions in accordance with the IFRS Foundation's *Conceptual Framework for Financial Reporting*
- Discuss the concepts of 'fair presentation' and 'true and fair view' and the circumstances in which these concepts may override the detailed provisions of legislation or of accounting standards
- Explain the differences between financial statements produced using the accrual basis and those produced using the bases of cash accounting and break-up, performing simple calculations to illustrate the differences
- Explain, in non-technical language, the different bases of measurement of the elements of the financial statements, illustrating the explanation with simple calculations and examples

Syllabus links

This chapter introduces financial reporting, including the objectives and limitations of financial statements and the reporting framework used in internationally.

It also covers the *Conceptual Framework for Financial Reporting*, which is the basis for the development of IFRS Accounting Standards. The principles in the *Conceptual Framework for Financial Reporting* are a fundamental part of the *Financial Accounting and Reporting* syllabus.

Examination context

In the examination, students may be required to:

- Discuss the purpose of accounting regulations and standards.
- Explain, with examples, the objectives and limitations of financial statements.
- Explain the qualitative characteristics of financial information and the constraints on such information.
- Describe the financial effects of the application of the definitions of the *Conceptual Framework for Financial Reporting*.
- Perform simple calculations to demonstrate the difference between accrual accounting, cash accounting and the break-up basis.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Financial reporting** Financial reporting is the provision of financial information to those outside of a company, provided in the form of financial statements. This topic introduces the regulatory and legal requirements on companies to undertake financial reporting.	**Approach** Work through this introductory topic, noting the requirement for financial statements to provide a true and fair view/give a fair presentation.	You may be required to explain the term 'fair presentation' as defined in IAS 1, and what is meant by the Companies Act 1994 requirement for a 'true and fair view' in the exam.	
2	**Purpose and use of financial statements** Financial statements are intended for primary users - current and potential investors, lenders and other creditors – however, they are also used by a variety of other stakeholders. This topic looks at these stakeholders and their information requirements, considering the information provided in the financial statements and the narrative reporting provided in the annual report.	**Approach** Ensure you can identify the different users of the financial statements and what information they might need. Consider the implications that management decisions have on the financial statements, and finally, understand what is meant by financial performance and financial position. **Stop and think** Consider the impact of pressure from stakeholders on the preparers of the financial statements.	You may be asked to explain the objective of financial statements and how they may be used in decision making, and identify different user groups and their information needs.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	**The regulatory framework** This topic introduces the IFRS Foundation and its standard-setting bodies – the IASB and the ISSB – responsible for IFRS Accounting Standards and IFRS Sustainability Disclosure Standards.	**Approach** You should read through this topic to understand the regulatory framework in which IFRS Standards are issued.	You need to understand the objectives and purpose of accounting standards, as this may arise where you must provide reasoning to a non-financial third party.	
4	**The Conceptual Framework** This is a key area of the syllabus. The Conceptual Framework contains the principles and concepts on which IFRS Accounting Standards are based.	**Approach** It is essential that this topic is covered in detail. Ensure that you are aware of the fundamental and enhancing qualitative characteristics. **Stop and think** As you progress through your studies, consider the interaction of the Conceptual Framework (such as definitions of the elements and the qualitative characteristics) and the accounting standards. Remember, where the two may differ, the IFRS Accounting Standard takes precedence.	You may be asked to explain, in non-technical language, what is meant by the Conceptual Framework and definitions of the qualitative characteristics. You may be asked to identify the different elements and provide examples from the scenario and explain their measurement.	**IQ1 Asset or liability?** Requires applying the definition of the elements to short scenarios.
5	**Bases of accounting** This is mainly revision from your *Accounting* studies, but here we look in more detail at accounting bases in	**Approach** The accounting bases are covered in this topic briefly, as this will be mainly revision.	You may be asked to explain the differences between financial statements prepared using	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	conjunction with the Conceptual Framework.	However, it is important that you understand to apply accrual accounting in conjunction with the concept of going concern.	accrual accounting and those prepared on the break-up basis or cash basis. You also need to be able to explain the concept of going concern and the impact of the going concern assessment on the financial statements.	
6	**Inherent limitations of financial statements** Financial statements cannot provide all the information users need at all times. This topic looks at the main problems and how non-financial information can help fill the gap.	**Approach** Think back to the users of the financial statements and what information they need. Consider whether the financial statements alone can provide this information. **Stop and think** Think about whether the use of technology, such as real-time reporting, can help to bridge the information gap.	A question could ask about the impact on the users of the financial statements of these inherent limitations.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Financial reporting

Section overview

- *Financial reporting is the provision of financial information to those outside the entity.*
- *The principal means of providing financial information to external users is the annual financial statements.*
- In Bangladesh, financial statements must be prepared in accordance with IFRS® Accounting Standards. They must also give a true and fair view.
- The *Financial Accounting and Reporting – IFRS* syllabus assumes preparation of financial statements using IFRS Accounting Standards.

1.1 Financial reporting and financial statements

Financial reporting is the process of identifying, measuring and communicating economic information to others. Financial reporting results in the production of the annual **financial statements**, which are the principal means of providing financial information to external users. Financial statements provide a summary of the performance of a company over a particular period and of its position at the end of that period.

Note: Most accounting requirements are written with a view to be used by any type of accounting entity, including companies and other forms of organisation, such as a partnership. In this Workbook, the term 'company' is sometimes used instead of 'entity', because the main focus of the *Financial Accounting and Reporting* syllabus is on the financial statements of companies and groups of companies.

1.2 *Requirement to produce financial statements*

*In Bangladesh, limited liability companies are **required by law** to prepare and publish financial statements annually. The form and content may be regulated primarily by national legislation, and in most cases must also comply with applicable financial reporting standards.*

***Note:** The terms 'accounting standards' and 'financial reporting standards' are used interchangeably and can be understood to mean the same thing.*

1.3 True and fair view

In Bangladesh there is an **overriding requirement in Companies Act 1994 (CA 1994)** that financial statements should present **'a true and fair view'**. This term is not defined in CA 1994 .

Truth is usually seen as an objective concept reflecting factual accuracy within the bounds of materiality.

Fairness is usually seen as meaning that the view given is objective and unbiased.

Therefore, true and fair is usually defined as:

- **compliance with financial reporting standards** (which can be overridden on true and fair grounds only very rarely);
- **adherence to the requirements of CA 1994,** including the 'true and fair override'; and
- in the absence of more specific requirements, **application of general accounting principles and fundamental concepts** and, where appropriate, adherence to accepted industry practices.

Notes

1. CA 1994 uses the term '**a** true and fair view' rather than '**the** true and fair view' because it is possible for there to be more than one true and fair view. For example, financial statements based on historical cost can be true and fair, as can financial statements which incorporate revaluations.
2. What constitutes a true and fair view can then be restricted by stating that where a choice of treatments or methods is permitted, the one selected should be the most appropriate to the company's circumstances. This restriction is likely to ensure compliance with the spirit and underlying intentions of requirements, not just with the letter of them.
3. A further restriction is that financial statements should reflect the economic position of the company, thereby reflecting the **substance of transactions** (ie, commercial reality), not merely their legal form.

1.4 Fair presentation

In IFRS Accounting Standards, IAS 1, *Presentation of Financial Statements* requires financial statements to 'present fairly' the financial position and performance of a company.

'Present fairly' is explained as representing faithfully the effects of transactions. In general terms this will be the case if IFRS Accounting Standards are adhered to.

Fair presentation can be understood to be synonymous with 'true and fair'.

1.5 Fair presentation and the 'true and fair override'

IAS 1 permits a company to depart from IFRS Accounting Standards if such a departure is required to satisfy the requirement for fair presentation.

IAS 1 states that **departures** from IFRS Accounting Standards are only allowed:

- in extremely rare cases; and
- where compliance with IFRS Accounting Standards would be so misleading as to conflict with the objective of the financial statements, which is to provide information that is useful to the primary users of those financial statements.

Where a company does depart from IFRS Accounting Standards, **IAS 1 requires disclosure** of the particulars of the departure, the reason for it, and the financial effect.

In Bangladesh, this is the same as the concept of the '**true and fair override**' in which the provisions of an accounting standard can be overridden so that a true and fair view of the company's financial position and performance can be given.

1.6 *Judgements and financial statements*

Although IFRS Accounting Standards narrow down the range of acceptable alternative accounting treatments, there are still many areas which are left to the discretion of the directors of the company. On the whole, the concept of faithful representation should result in transactions being 'presented fairly'. However, commercial and financial considerations may result in pressure being brought to bear to account for and report transactions in accordance with their strict legal form. This can raise ethical questions for a professional accountant.

Professional skills focus: Applying judgement

Applying professional judgement when preparing financial statements will require you to show that you can identify and recommend the appropriate accounting treatment for the key issues in the scenarios provided in the exam. This may also apply in your practical experience too, as

you are tasked with providing information or data to support the preparation of the financial statements.

2 Purpose and use of financial statements

Section overview

- Financial statements are used to make economic decisions by a range of users. All users require information regarding:
  - financial position;
  - financial performance;
  - cash flows of a company;
  - changes in financial position; and
  - financial statements which show management's stewardship of the resources of a company.

2.1 Objective of general-purpose financial reporting

In IFRS Accounting Standards, the *Conceptual Framework for Financial Reporting* states that the objective of general-purpose financial reporting is to provide financial information about the reporting company that **is useful to existing and potential investors, lenders and other creditors in making decisions** relating to providing resources to the entity (*Conceptual Framework*, para. 1.2).

Notes

1 *The 'Conceptual Framework for Financial Reporting' (Conceptual Framework) contains the principles and concepts that underpin IFRS Accounting Standards. It is covered in more detail in the next section.*

2 *Existing and potential investors, lenders and other creditors are identified in the Conceptual Framework as the **primary users** of the financial statements.*

3 *Primary users may make decisions about buying, selling or holding shares or debt instruments, providing or settling loans, or exercising rights to vote on management's actions (eg in a shareholder meeting).*

2.2 Users and their information needs

General purpose financial statements prepared in accordance with IFRS Accounting Standards are intended to **satisfy the information needs of primary users**. However, other users (such as regulators and members of the public) may also find general purpose financial statements useful, even though they are not primarily prepared for those other groups (*Conceptual Framework*: para. 1.10).

Notes

1 Most large companies publish an **annual report and financial statements** together as one document. The annual report includes narrative reporting which 'tells the story' of the company, often highlighting certain aspects of performance and setting out goals and ambitions for the future.

2 The ICAB has produced a **glossary of commonly used terms relating to sustainability** in the ACA qualification. The glossary can be found in the introduction to this Workbook.

We can identify the following **users** of a company's **annual report and financial statements** and their **information needs**.

Primary and other users	Need information to
Existing and potential investors	• Make decisions about buying, selling or holding equity and debt instruments and how to exercise voting rights to vote, therefore need information on: - Risk and return on investment; - Ability of the entity to pay dividends; - How effectively management use resources and how it may affect future cash flows; - How the company's ESG dependencies can affect its prospects (eg climate risks, resource availability, worker health, diversity, regulatory risks, consumer expectations); - Whether company policies/practices on environmental and societal impact match investors' expectations (eg worker rights, human rights in supply chains, GHG emissions, water usage).
Lenders	• Assess whether loans can be repaid, and related interest can be paid, when due. • Assess how efficiently management use the company's resources to service any existing or proposed debt and the related interest. • Assess security for amounts loaned to the entity, including resilience of the entity to climate change and other sustainability factors. • Assess the sustainability profile and strategy of potential borrowers. This could be, for example, in order to meet the lender's own reporting requirements, or because the loan has certain sustainability-linked criteria attached to it (for example, the GHG emissions of the company must be below a certain level).
Other creditors	• Assess the likelihood of being paid when due; and • Assess whether any claims against the entity may affect its ability to service any credit extended to them.
Employees	• Assess their employer's stability and profitability.

Primary and other users	Need information to
	• Assess their employer's ability to provide remuneration, employment opportunities and retirement and other benefits. • Assess their employer's ability to manage environmental risks, such as the physical risks associated with climate change and the risks associated with transitioning to a net zero economy. • Assess their employer's policies and practices relating to diversity and inclusion in the workplace, health and safety and product responsibility.
Customers	• Assess whether the entity will continue in existence – important where customers have a long-term involvement with, or are dependent on, the entity eg, where there are product warranties or where continuity of supply of specialist parts may be needed. • Assess whether the company's operating practices, such as its commitment to human rights and diversity and inclusion in the workplace, are in line with their expectations. Examples of other issues which may be relevant to customers include the company's impact on nature, its water usage or its commitment to reducing its carbon footprint.
Governments and their agencies	• Assess allocation of resources and company activities; • Assist in regulating activities; • Assess taxation and determine taxation policies; • Provide a basis for national statistics; • Assess how companies are implementing mandatory reporting requirements to disclose information, for example the disclosure recommendations of the Task Force on Climate-related Financial Disclosures.
The public	• Assess trends and recent developments in the company's prosperity and its activities – important where the entity makes a substantial contribution to a local economy eg, by providing local employment and using local suppliers. • Assess a company's commitment to sustainable business practices which reduce its impact on the environment and on society. For example, implementation of practices to reduce waste and

Primary and other users	Need information to
	water usage, and commitment to fair working practices.
Analysts	• Assess the performance and position of a company to inform decisions, often relating to investments. • Compare different companies to advise their clients which to invest in. Comparisons could include both financial and non- financial measures, for example, comparing companies' impacts on the environment and society, and the risks associated with the ESG dependencies that each has.

In most cases, users will need to **analyse** the financial statements and non-financial information provided in the annual report, in order to obtain the information they need. Analysis of the financial statements is likely to include the calculation of accounting ratios but in order to be meaningful, will also involve the interpretation of non-financial information.

General purpose financial statements cannot provide all of the information that users may want. Therefore, users must also consider other information, such as the current industrial trends for that business, political climate and issues and general economic conditions.

2.3 Accountability of management

Management has a **stewardship role**, in that it is accountable for the safe-keeping of the company's resources and for their proper, efficient and profitable use. Providers of risk capital are interested in information that helps them to assess how effectively management has fulfilled this role, but again this assessment is made only as the basis for economic decisions, such as those about investments and the reappointment/replacement of management.

It is also the case that in a smaller entity the owner and manager can be the same individual.

Financial reporting helps management to meet its need to be accountable to shareholders, and also to other stakeholders by providing information that is useful to the users in making **economic decisions**.

However, financial statements cannot provide the complete set of information required for assessing the stewardship of management (see the section 'Inherent limitations of financial statements' later in this chapter).

2.4 Financial position, performance and changes in financial position

All economic decisions are based on an evaluation of a company's ability to generate cash and of the timing and certainty of its generation. Information about the company's financial position, performance and changes in financial position provides the foundation on which to base such decisions.

2.4.1 Financial position

A company's financial position covers:

- the **economic resources** it controls;
- its **financial structure** (ie, debt and share finance);
- its **liquidity and solvency**; and

- its **capacity to adapt to changes** in the environment in which it operates.

The primary users require information on financial position because it helps in assessing:

- the company's ability to **generate cash in the future**;
- how **future cash flows will be distributed** among those with an interest in, or claims on, the entity;
- requirements for **future finance** and ability to raise that finance; and
- the ability to meet **financial commitments** as they fall due.

Information about financial position is primarily provided in a **statement of financial position.**

2.4.2 Financial performance

The profit earned in a period is used as the measure of financial performance, where profit is calculated as income less expenses. Information about performance and variability of performance is useful in:

- assessing **potential changes in the company's economic resources** in the future;
- **predicting the company's capacity to generate cash** from its existing resource base; and
- **forming judgements** about the effectiveness with which additional resources might be employed.

Information on financial performance is provided by:

- the **statement of profit or loss and other comprehensive income** and/or **statement of profit or loss**; and
- the **statement of changes in equity**.

2.4.3 Cash flows

*Cash flows can be analysed under the headings of **investing, financing** and **operating activities** and are presented in a **statement of cash flows**.*

*Cash flow information is largely free from the more **judgemental allocation and measurement issues** (ie, in which period to include things and at what amount) that arise when items are included in the statement of financial position or performance statements. For example, depreciation of non-current assets involves judgement and estimation as to the period over which to charge depreciation. Cash flow information excludes non-cash items such as depreciation.*

*Cash flow information is therefore seen as being **factual in nature**, and hence more reliable and more readily understood than other sources of information.*

Information on the generation and use of cash is useful in evaluating the company's ability to generate cash and its need to use what is generated.

3 The regulatory framework

Section overview

- The organisation responsible for setting IFRS Accounting Standards is the **International Accounting Standards Board (IASB)** which is part of the **IFRS Foundation**.
- The process of setting IFRS Accounting Standards is an open dialogue involving co-operation between national and international standard setters.

- The IFRS Foundation formed the **International Sustainability Standards Board (ISSB)** in 2021. The ISSB is responsible for the development of **IFRS Sustainability Disclosure Standards**.

3.1 The IFRS Foundation

The IFRS Foundation and its independent standard-setting bodies, the **IASB** and the **ISSB**, provide public accountability through the transparency of their work, the consultation with the full range of interested parties in the standard-setting process, and their formal accountability links to the public. The leaders of the major economies, through the G20, have confirmed the importance of an independent standard-setter accountable to the public interest.

Public accountability, ensured by the organisation's constitution and governance arrangements, is vital to the organisation's success. The Trustees of the IFRS Foundation are responsible for ensuring that appropriate governance arrangements are in place and observed by all parts of the organisation.

The Trustees' effectiveness in exercising their functions is assessed annually by the Trustees' **Due Process Oversight Committee**.

The IFRS Foundation oversees the work of the IFRS Interpretations Committee and the IFRS Advisory Council.

3.2 *Objectives of the IFRS Foundation*

The IFRS Foundation Constitution (IFRS Foundation, p. 6) states that the objectives of the IFRS Foundation are as follows:

(a) *Through the **IASB** and the **ISSB**, to develop, in the public interest, high quality, understandable, enforceable and globally accepted standards (referred to as '**IFRS Standards**') for general purpose financial reporting based on clearly articulated principles. The IASB is responsible for developing a set of accounting standards (referred to as '**IFRS Accounting Standards**') and the ISSB is responsible for developing a set of sustainability disclosure standards (referred to as '**IFRS Sustainability Disclosure Standards**'). These complementary sets of IFRS Standards are intended to result in the provision of high-quality, transparent and comparable information in financial statements and in sustainability disclosures that is useful to investors and other participants in the world's capital markets in making economic decisions.*

(b) *To promote the **use and rigorous application** of IFRS Standards;*

(c) *In fulfilling the objectives associated with (a) and (b), to take account of, as appropriate, the needs of a range of sizes and types of entities in diverse economic settings.*

(d) *To promote and facilitate the adoption of IFRS Standards through the convergence of national and regional standards and IFRS Standards.*

3.3 Membership

Membership of the IFRS Foundation has been designed so that it represents an international group of preparers and users, who become IFRS Foundation trustees. The selection process of the **trustees** takes into account geographical factors and professional background. IFRS Foundation trustees **appoint the members of the IASB and of the ISSB**.

3.4 The IASB

The IASB is responsible for setting IFRS Accounting Standards. It is made up of an independent group of experts with an appropriate mix of recent practical experience in setting

accounting standards, in preparing, auditing, or using financial reports and in accounting education. There is no particular geographical dominance, although geographical diversity is required. Members have a variety of backgrounds and include auditors, academics and preparers and users of financial statements.

3.5 Application of IFRS Accounting Standards

Within each individual country **local regulations govern**, to a greater or lesser degree, the issue of financial statements. These local regulations include accounting standards issued by the national regulatory bodies or professional accountancy bodies in the country concerned.

Over the last 30 years however, the **influence of IFRS Accounting Standards on national accounting requirements and practices has been growing**. For example:

- Since accounting periods commencing on or after 1 January 2005, all EU companies whose securities are traded on a regulated public market **must prepare their consolidated financial statements in accordance with EU-endorsed IFRS Accounting Standards**.
- All Bangladeshi companies must **prepare their financial statements in accordance with IFRS Accounting Standards.**

3.6 Setting of IFRS Accounting Standards

he overall agenda of the IASB is initially set by discussion with the IFRS Advisory Council. The process for developing an individual standard involves the following steps.

Step 1 During the early stages of a project, the IASB may establish an **Advisory Committee or working group** to give advice on issues arising in the project. Consultation with the Advisory Committee and the Advisory Council occurs throughout the project.

Step 2 **IASB may develop and publish a Discussion Paper for public comment.**

Step 3 Following the receipt and review of comments, the IASB would develop and publish an **Exposure Draft** for public comment.

Step 4 Following the receipt and review of comments, the IASB would issue a final **IFRS Accounting Standard**.

The period of exposure for public comment is normally 120 days. However, in some circumstances, proposals may be issued with a comment period of not less than 30 days. Draft IFRS Interpretations are exposed for a 60-day comment period.

3.7 Scope and authority of IFRS Accounting Standards

The *Preface to IFRS Accounting Standards* makes the following points:

- IFRS Accounting Standards apply to **all general purpose financial statements** ie, those directed towards the common information needs of a wide range of users.
- The IASB's objective is to **require like transactions and events to be accounted for and reported in a like way. The IASB intends not to permit choices in accounting treatment.** The IASB is reconsidering those transactions and events for which IFRS Accounting Standards permit a choice of accounting treatment with the objective of reducing the number of those choices.
- Standards include paragraphs in bold and plain type. **Bold type paragraphs** indicate the **main principles**, but **both types have equal authority.**
- Any limitation of the applicability of a specific IFRS Accounting Standard is made clear in that standard.

3.8 The ISSB

The ISSB was formed in 2021 with responsibility for developing a set of sustainability disclosure standards (IFRS Sustainability Disclosure Standards) to meet the needs of investors.

Similar to the IASB, the ISSB comprises members from a range of professional backgrounds and geographical areas. The members of the ISSB have experience and expertise relevant to sustainability.

The ISSB issued the first two IFRS Sustainability Disclosure Standards in June 2023. These standards are covered in Chapter 2.

3.9 Bangladesh regulatory framework

3.9.1 *Bangladesh standard-setting process*

All International Financial Reporting Standards (IFRS) are issued by IASB are adopted by the Financial Reporting Council (FRC) Bangladesh.

The Financial Reporting Council (FRC) is the sole authority for setting accounting standards in Bangladesh, a power granted to it by the ***Financial Reporting Act (FRA) 2015****. The process is designed to align national standards with International Financial Reporting Standards (IFRS) through a structured, multi-step procedure.*

Here is a step-by-step breakdown of the standard-setting process adopted by the FRC.

Step 1: Legal Mandate and Alignment with IFRS

The process is founded on a clear legal directive. Under ***Section 40(1)(a) of the Financial Reporting Act 2015****, the FRC is required to set and issue financial reporting standards "in conformity with the International Accounting Standards issued by the International Accounting Standards Board (IASB)". This legally binds the FRC's process to the international framework, ensuring that Bangladesh's standards are aligned with global IFRS.*

Step 2: Proposal and Internal Review by the FRC

When a new or amended IFRS Standard is released by the IASB, the process begins within the FRC's internal structure:

- ***Initiation:*** *The FRC's* ***Standard Setting Division*** *is responsible for initiating the review of the new or amended international standard.*
- ***Stakeholder Consultation:*** *The division circulates the proposed standard to relevant stakeholders in Bangladesh, including professional bodies, regulators, and industry groups, to solicit their comments and opinions.*
- ***Analysis:*** *The FRC reviews all feedback received. This step ensures that local perspectives and implementation challenges are considered before a standard is formally adopted.*

Step 3: Council Approval and Formal Issuance

After completing the review of public comments, the process moves to the final decision-making stage:

- ***Approval:*** *The proposed standard, along with the analysis of stakeholder feedback, is presented to the FRC Council for final review and approval.*

- ***Issuance:*** *Once approved by the Council, the standard is formally issued by the* ***Standard Setting Division*** *of the FRC. This issuance makes the standard legally binding for all applicable entities in Bangladesh.*

Step 4: Collaboration and Implementation Support

While the FRC is the sole adopting authority, it collaborates closely with other key bodies for implementation:

- ***Role of ICAB:*** *The Institute of Chartered Accountants of Bangladesh (ICAB), which previously set standards, now works with the FRC to facilitate the adoption and implementation of these standards. The FRC collaborates with ICAB to conduct training, seminars, and workshops to help professionals understand and apply new or updated standards.*
- ***Sector-Specific Guidance:*** *For specialized sectors, the FRC works with other regulators. For example, the Bangladesh Bank (the central bank) has issued implementation guidance for IFRS 9 (Financial Instruments) for banks, aligning with the FRC's mandate and roadmap.*

Current Status and Scope of Application

- ***Adoption Status:*** *Bangladesh has officially adopted IFRS Standards as issued by the IASB. However, certain sectors like banks and non-banking financial institutions (NBFIs) have historically had some deviations due to local regulatory directives, though the FRC is actively working to mandate full compliance.*
- ***Applicable Entities:*** *These standards are mandatory for all* ***Public Interest Entities (PIEs)****, which include listed companies, banks, insurance companies, and large non-listed companies.*
- ***Government Entities:*** *In a recent development, the FRC has also drafted a* ***Financial Reporting Framework (FRF)*** *for government enterprises, statutory public authorities, and autonomous bodies to bring uniformity and transparency to their financial reporting.*

4 The *Conceptual Framework for Financial Reporting*

Section overview

The *Conceptual Framework for Financial Reporting* (*Conceptual Framework*) was issued by the IASB and includes the principles and concepts that underpin financial reporting in accordance with IFRS Accounting Standards.

The *Conceptual Framework* is organised into chapters, and the key chapters for the purposes of *Financial Accounting and Reporting* are:

- The qualitative characteristics of financial information
- The definitions of elements in the financial statements
- Guidance on recognition and derecognition
- Guidance on measurement bases
- Principles for disclosure and presentation in the financial statements

4.1 *Conceptual Framework*

The *Conceptual Framework* is organised into the following eight chapters: Chapter 1: The objective of general purpose financial reporting
Chapter 2: Qualitative characteristics of useful financial information Chapter 3: Financial statements and the reporting entity
Chapter 4: The elements of financial statements Chapter 5: Recognition and derecognition
Chapter 6: Measurement
Chapter 7: Presentation and disclosure

Chapter 8: Concepts of capital and capital maintenance (this is outside of the *Financial Accounting and Reporting* syllabus)

In this chapter we have already introduced some of the concepts dealt with by the *Conceptual Framework*.

4.2 Status and purpose of the *Conceptual Framework*

The *Conceptual Framework* initially states its purposes:

(a) to assist the International Accounting Standards Board (Board) **to develop IFRS Accounting Standards** that are based on consistent concepts;

(b) to assist to develop consistent accounting policies when no IFRS Accounting Standard applies to a particular transaction or other event, or when an IFRS Accounting Standard allows a choice of accounting policy; and

(c) to assist **all parties to understand and interpret IFRS Accounting Standard**s.

The *Conceptual Framework* is not an IFRS Accounting Standard and so does not overrule any individual IFRS Accounting Standard. In the (rare) case of conflict between an IFRS Accounting Standard and the *Conceptual Framework*, the **IFRS Accounting Standard will prevail**.

4.3 Chapter 1: The objective of general-purpose financial reporting

The *Conceptual Framework* states that:

The objective of general purpose financial reporting is to provide information about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions about providing resources to the entity (Conceptual Framework: para 1.2).

Those include decisions about:

- buying, selling or holding equity and debt instruments;
- providing or settling loans and other forms of credit; or
- exercising rights to vote on, or otherwise influence, management's actions that affect the use of the company's economic resources.

These users need information about:

- the **economic resources of the entity**, **claims against the entity** and changes in those **resources and claims**; and
- how efficiently and effectively the company's management have discharged their responsibilities to use the company's resources.

Information about the company's **economic resources and the claims against it** helps users to assess the company's liquidity and solvency and its likely needs for additional financing.

Information about a reporting entity's financial performance (the **changes in its economic resources and claims**) helps users to understand the return that the entity has produced on its economic resources. This is an indicator of how efficiently and effectively management has used the resources of the entity and is helpful in predicting future returns.

The *Conceptual Framework* makes it clear that this information should be prepared on an **accruals basis**.

Information about a reporting entity's cash flows during a period also helps users assess the company's ability to generate future net cash inflows and gives users a better understanding of its operations.

4.4 Chapter 2: Qualitative characteristics of useful financial information

4.4.1 Overview

Qualitative characteristics are the attributes that make the information provided in financial statements useful to users.

The two **fundamental qualitative characteristics** are **relevance** and **faithful representation**.

There are then four **enhancing qualitative characteristics** which enhance the usefulness of information that is relevant and faithfully represented. These are: **comparability, verifiability, timeliness** and **understandability**.

4.4.2 Relevance

Relevant financial information can be of **predictive value**, **confirmatory value** or both. These roles are interrelated.

Definition

Relevance: Relevant financial information is capable of making a difference in the decisions made by users.

Information on financial position and performance is often used to predict future position and performance and other things of interest to the user eg, likely dividend, wage rises. The **manner of presentation** will enhance the ability to make predictions eg, by highlighting unusual items.

The relevance of information is affected by **its nature and its materiality**.

Definition

Materiality: Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that primary users of general purpose financial reports make on the basis of financial information about a specific reporting entity.

Information may be judged as material either by its value (eg, large transactions that influence the amount of the financial transactions recorded) or because of its nature (eg, remuneration of management), or both. Materiality is not a qualitative characteristic itself (like relevance or faithful representation), because it is merely a threshold or cut-off point. It should be noted that materiality is an entity specific assessment and that this will vary between companies, and that there is no designated threshold for the definition of materiality.

4.4.3 Faithful representation

Financial reports represent **economic phenomena** in words and numbers. To be useful, financial information must not only represent relevant phenomena but must faithfully represent the substance of the phenomena that it purports to represent. The user must be able to depend on it being a **faithful representation**.

Definition

Faithful representation: A perfectly faithful representation should be **complete**, **neutral** and **free from error**.

A complete depiction includes all information necessary for a user to understand the information being depicted, including all necessary descriptions and explanations.

A neutral depiction is without bias in the selection or presentation of financial information. This means that information must not be manipulated in any way in order to influence the decisions of users. Neutrality is supported by the exercise of prudence.

Free from error means there are no errors or omissions in the description of the phenomenon and no errors made in the process by which the financial information was produced. It does not mean that no inaccuracies can arise, particularly where estimates have to be made.

Definitions

Prudence: The exercise of caution when making judgements under conditions of uncertainty (*Conceptual Framework*: para. 2.16). Prudence supports the concept of neutrality.

Substance over form: Substance over form is the principle that transactions and other events are accounted for and presented in accordance with their substance and economic reality and not merely their legal form.

Substance over form is **not a separate qualitative characteristic** under the *Conceptual Framework*. The IASB says that it is **implied in faithful representation**. Faithful representation of a transaction is only possible if it is accounted for according to its **substance and economic reality**. Most transactions are reasonably straightforward and their substance ie, their commercial effect, is the same as their strict legal form. However, in some instances this is not the case as can be seen in the following example.

Context example: Sale and repurchase agreement

A Ltd sells goods to B Ltd for CU10,000 but is contractually obliged to repurchase the goods from B Ltd in 12 months' time for CU11,000, regardless of their condition or value at that date.

The legal form of the transaction is that A has sold goods to B. To reflect the legal form, A Ltd would record a sale and show the resulting profit, if any, in profit or loss for the period. In 12 months' time, when the goods are repurchased, A Ltd would record a purchase.

The above treatment does not provide a faithful representation because it does not reflect the economic substance of the transaction. A Ltd is under an obligation to repurchase the goods and A Ltd bears the risk that those goods will be damaged, obsolete or unsaleable in a year's time.

The substance is that B Ltd has made a secured loan to A Ltd of CU10,000 plus interest of CU1,000. To reflect substance, A Ltd should continue to show the goods as an asset in inventories (at the lower of cost and net realisable value) and should include a liability to B Ltd of CU10,000 as a current liability. A Ltd should accrue for the interest over the duration of the loan.

When A Ltd pays CU11,000 to repurchase the goods, this should be treated as a repayment of the loan plus accrued interest.

Other examples of accounting for substance over form:

- **Leases**
  Accounting for leases under IFRS 16, *Leases* (which is covered in Chapter 8) is an example of the application of substance as the lessee recognises an asset in its statement of financial position even though the legal form of a lease is that of renting the asset, not buying it.
- **Group financial statements**
  Group financial statements are covered in detail in Chapters 12 to 17. The central principle underlying group accounts is that a group of companies is treated as though it were a single entity, even though each company within the group is itself a separate legal entity.

4.4.4 Enhancing qualitative characteristics

The *Conceptual Framework* has additional characteristics which enhance the fundamental characteristics of relevance and faithful representation. The following definitions are provided by the *Conceptual Framework*:

Definitions

Comparability: This enables users to identify and understand similarities in, and differences among, items.

Verifiability: This helps assure users that information faithfully represents the economic phenomena it purports to represent. Verifiability means that different knowledgeable and independent observers could reach consensus that a particular depiction is a faithful representation.

Timeliness: This means having information available to decision-makers in time to be capable of influencing their decisions. Generally, the older the information is, the less useful it is.

Understandability: Classifying, characterising and presenting information clearly and concisely makes it understandable.

Comparability

Comparability is the qualitative characteristic that enables users to identify and understand similarities in, and differences among, items. Information about a reporting entity is more useful if it can be compared with similar information about other entities and with similar information about the same entity for another period or another date.

Consistency, although related to comparability, **is not the same**. It refers to the use of the same methods for the same items (ie, consistency of treatment) either from period to period within a reporting entity or in a single period across entities.

The **disclosure of accounting policies** is particularly important here. Users must be able to distinguish between different accounting policies in order to be able to make a valid comparison of similar items in the accounts of different entities.

Comparability is **not the same as uniformity**. Entities should change accounting policies if those policies become inappropriate.

Corresponding information for preceding periods should be shown to enable comparison over time.

Verifiability

Information may be verified by a number of different methods, such as observing an inventory count and physically reviewing assets, maybe with the assistance of a specialist valuation expert. There may be a number of different tests or financial models which can assist in verifying data, such as the recalculation of depreciation using the company's rates.

Timeliness

Information may become less useful if there is a delay in reporting it. There is a **balance between timeliness and the provision of reliable information**.

If information is reported on a timely basis when not all aspects of the transaction are known, it may not be complete or free from error.

Conversely, if every detail of a transaction is known, it may be too late to publish the information because it has become irrelevant. The overriding consideration is how best to satisfy the economic decision-making needs of the users.

Understandability

Financial reports are prepared for users who have a **reasonable knowledge of business and economic activities** and who review and analyse the information diligently. Some information may be inherently complex and cannot be made easy to understand. Excluding this information might make the information easier to understand, but without it those reports would be incomplete and therefore misleading. Therefore, matters should not be left out of financial statements simply due to their difficulty as even well-informed and diligent users may sometimes need the aid of an advisor to understand information about complex economic information.

4.5 Chapter 4: The elements of financial statements

4.5.1 Overview

Transactions and other events are grouped together in broad **classes** and in this way their financial effects are shown in the financial statements. The five elements of financial statements are assets, liabilities, equity, income and expenses.

4.5.2 Definitions of elements

The key definitions of 'asset' and 'liability' will be referred to again and again in these learning materials, because they form the foundation on which so many accounting standards are based. It is very important that you can reproduce these definitions accurately and quickly and apply them to a given scenario.

Definitions

Asset: A present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.

Liability: A present obligation of the entity to transfer an economic resource as a result of past events.

Equity: The residual interest in the assets of the entity after deducting all its liabilities.

Income: Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims.

Expenses: Decreases in assets, or increases in liabilities, that result in decreases in equity other than those relating to distributions to holders of equity claims.

4.5.3 Assets

We can look in more detail at the components of the definitions given above.

Assets must have the potential to **produce future economic benefits** either alone or in conjunction with other items.

Definition

Potential to produce economic benefits: An economic resource is a right that has the potential to produce economic benefits. For that potential to exist, it does not need to be certain, or even likely, that the right will produce economic benefits.

In simple terms, an item is an asset if:

- it is **cash** or the **right to receive cash** in the future eg, a trade receivable, or a **right to services** that may be used to generate cash eg, a prepayment; or
- it can be used to **generate benefits** (which can include making cost savings) or **meet liabilities** eg, a tangible or intangible non-current asset.

The **existence** of an asset, particularly in terms of **control**, is **not reliant** on:

- **physical form** (hence intangible assets such as patents and copyrights may meet the definition of an asset and appear in the statement of financial position – even though they have no physical substance); or
- **legal ownership** (hence some leased assets, even though not legally owned by the company, may be included as assets in the statement of financial position. See Chapter 8.

4.5.4 Liabilities

The *Conceptual Framework* sets out the definition of a liability, as stated above, that fundamentally the liability can only exist when all three of the following criteria have been satisfied:

- the entity has an obligation
- the obligation is to transfer an economic resource
- the obligation is a present obligation that exists as a result of past events

Definition

Obligation: A duty or responsibility that the entity has no practical ability to avoid.

As seen above, obligations may be:

- **legally enforceable** as a consequence of a binding contract or statutory requirement. This is normally the case with amounts payable for goods and services received; or
- the result of **business practice**. For example, even though a company has no legal obligation to do so, it may have a policy of rectifying faults in its products even after a standard warranty period has expired.

A **management decision** (to acquire an asset, for example) **does not in itself create an obligation**, because it can be reversed. But a management decision implemented in a way which creates expectations in the minds of customers, suppliers or employees, becomes an obligation. This is sometimes described as a **constructive obligation**. This issue is covered more fully in Chapter 10 in the context of the recognition of provisions.

Liabilities must arise from **past transactions or events**. For example, the sale of goods is the past transaction which allows the recognition of repair warranty provisions.

Settlement of a present obligation will involve the entity **giving up resources** embodying economic benefits in order to satisfy the claim of the other party. In practice, most liabilities will be met in **cash** but this is not essential.

Professional skills focus: Applying judgement

It is important that you thoroughly understand the *Conceptual Framework,* as you will be referring to it throughout your studies. Your exam may ask you to comment on the impact of the *Conceptual Framework* on other IFRS Accounting Standards, such as how the recognition of a liability is important in assessing provisions and liabilities in IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*.

Interactive question 1: Asset or liability?

Explain in each of the following scenarios whether the items in question may be classified as assets or liabilities.

(a) Oak plc has purchased a licence for CU25,000. The licence gives the company the use of robotic delivery drones which will save CU60,000 a year for the next five years.

Requirement

Should Oak plc classify the licence as an asset?

(b) Pear Ltd acts as a trustee for shares held by Piper Ltd. Piper Ltd retains the voting rights as well as receiving the dividends from the shares. Pear Ltd receives a fee for the trustee services they provide to Piper Ltd.

Requirement

Can Pear Ltd classify these shares as assets?

(c) Sycamore Ltd provides a standard warranty with the purchase of every laptop it sells. These standard warranties are not paid for by the purchaser and are valid for a period of 24 months from the date of sale.

Requirement

Does Sycamore Ltd have to recognise these warranties as liabilities?

See **Answer** at the end of this chapter.

4.5.5 Equity

Equity is the **residual interest in the assets of an entity after deducting its liabilities**, so the amount at which it is shown is dependent on the measurement of assets and liabilities. It has nothing to do with the market value of the company's shares.

Equity may be **sub-classified** in the statement of financial position providing information which is relevant to the decision-making needs of the users. This will indicate legal or other restrictions on the ability of the entity to distribute or otherwise apply its equity.

In practical terms, the important distinction between liabilities and equity is that creditors have the **right** to insist that the transfer of economic resources is made to them regardless of the company's financial position, but owners do not. All decisions about payments to owners (such as dividends or share capital buy-back) are at the discretion of management.

4.5.6 Performance

Profit is used as a **measure of performance**, or as a basis for other measures (eg, earnings per share (EPS)). It depends directly on the measurement of **income and expenses**, which in turn depend (in part) on the concepts of capital and capital maintenance adopted.

Income and expenses can be presented in different ways in profit or loss and in other comprehensive income, to provide information relevant for economic decision-making. For example, a statement of profit or loss could distinguish between income and expenses which relate to continuing operations and those which do not.

Items of income and expense can be **distinguished** from each other or **combined** with each other. Income:

- Both **revenue** and **gains** are included in the definition of income.
- **Revenue** arises in the course of ordinary activities of an entity. (We will look at revenue in more detail in Chapter 7.).
- Gains include those arising on the disposal of non-current assets. The definition of income also includes unrealised gains eg, on revaluation of non-current assets.
- A revaluation gives rise to an increase or decrease in equity.
- Gains on revaluation, which are recognised in a revaluation surplus (which is covered in Chapter 5.)

Expenses:

- Both expenses and losses are included in the definition of expense.
- Losses will include those arising on the disposal and impairment of property, plant and machinery, as well as intangible non-current assets.

4.6 Chapter 5: Recognition and derecognition

Definition

Recognition: The process of capturing for inclusion in the statement of financial position or statement(s) of financial position an item that meets the definition of one of the elements of the financial statements an asset, a liability, equity, income or expenses. The amount at which an asset, liability or equity is recognised in the statement of financial position is referred to as its 'carrying amount'.

4.6.1 Recognition criteria

Recognition is the point at which an element is included in the financial statements. According to the *Conceptual Framework*, an item is recognised in the financial statements if:

- the item meets the definition of an element; and
- recognition of that element provides users of the financial statements with information that is useful ie, it provides:
  - relevant information about the element
  - a faithful representation of the element.

However, the benefits of providing that information should justify the costs of recognising it. Recognition is subject to cost constraints.

Definition

Cost constraint: Reporting financial information imposes costs, and it is important that those costs are justified by the benefits of reporting that information.

When information is provided, its benefits must exceed the costs of obtaining and presenting it. This is a subjective area and there are other difficulties: others, not the intended users, may gain a benefit; and the cost may be paid by someone other than the users. It is therefore difficult to apply a cost- benefit analysis, but preparers and users should be aware of the constraint.

4.6.2 Derecognition

Definition

Derecognition: Derecognition is the removal of all or part of a recognised asset or liability from a company's statement of financial position.

Derecognition normally occurs when the element no longer meets the definition of an element. For an asset, this is usually when **control is lost**. For a liability, this is usually when there is **no longer a present obligation**. It is possible to derecognise **part** of an asset or liability.

Accounting requirements for derecognition aim to faithfully represent both: any assets and liabilities retained after the transaction or event that led to the derecognition; and the change in the company's assets and liabilities as a result of that transaction or event.

4.7 Chapter 6: Measurement

For an item or transaction to be recognised in a company's financial statements it needs to be **measured as a monetary amount**. IFRS Accounting Standards use **several different measurement bases** but the *Conceptual Framework* refers to two main measurement bases:

- historical cost
- current value

4.7.1 Historical cost

Definition

Historical cost: These measures provide monetary information about assets, liabilities and related income and expenses, using information derived, at least in part, from the price of the transaction or other event that gave rise to them.

The historical cost is the consideration paid to acquire or create an asset, plus any relevant transaction costs. Equally, the historical cost of a liability is the value of the consideration received in order to take on the liability, less any relevant transaction costs.

Historical cost is the most commonly adopted measurement basis, but this is usually combined with other bases eg, an historical cost basis may be modified by the revaluation of land and buildings.

Advantages	Disadvantages
Actual costs are more difficult to manipulate, and so they can be verified (invoices, etc) so the measurements are reliable.	Costs may be out of date and so this may result in an overstatement of profit (revenues at current values, whereas expenses associated with them at historical costs).
The statement of financial position and the statement of cash flows are consistent with each other.	Valuation of assets may be out of date as they are based on their historical costs.
Cost is easy to understand.	It is not affected, nor representative of, movements due to inflation. This can lead to misleading results as comparative figures for previous years are not adjusted for inflation.

4.7.2 Current value

Definition

Current value: These measures provide monetary information about assets, liabilities and related income and expenses, using information updated to reflect conditions at the measurement date. Because of the updating, current values of assets and liabilities reflect changes since the previous measurement date in estimates of cash flows and other factors reflected in those current values.

Current value seeks to correct some of the problems associated with historical cost, by providing a number of alternative measurement bases:

- fair value
- value in use (for assets) / fulfilment value (for liabilities)
- current cost

Definition

Fair value: The price that would be received to sell an asset, or paid to transfer a liability, in an orderly transaction between market participants at the measurement date.

Fair value is measured in accordance with IFRS 13, *Fair Value Measurement*. This measurement method has implications across much of the IFRS Accounting Standards in this module, notably in the measurement of the values of property, plant and equipment (Chapter 5), contingent liabilities (Chapter 12-16), business combinations and the assets and liabilities purchased (Chapters 12-16) and non-current assets identified for sale or disposal (Chapter 5).

Fair value is calculated by taking the open market value, and where there is no active market for that element, the following would be used:

- estimates of future cash flows; and
- time value of money (discounting the future cash flows).

Definition

Value in use: The present value of the cash flows, or other economic benefits, that an entity expects to derive from the use of an asset and from its ultimate disposal.

Value in use considers the specific factors relevant to that entity regarding the likely future value of the asset within that entity eg, revenue generation or cost savings.

Definition

Fulfilment value: The present value of the cash, or other economic resources, that an entity expects to be obliged to transfer as it fulfils its liabilities.

Fulfilment value provides information about the present value of the estimated cash flows needed to fulfil a liability. This can be used when the liability amount is known, as opposed to being subject to a negotiation.

Definition

Current cost: The current cost of an asset is the cost an equivalent asset at the measurement date comprising the consideration that would be paid at the measurement, plus transaction

costs that would be incurred at that date. The current cost of a liability is the consideration would be received for an equivalent liability at the measurement date, minus the transaction costs that would be incurred at that date.

Although this is similar in nature to historical costs, in that it takes actual costs, it is representative of the current cost of replacing that asset or liability. The *Conceptual Framework* refers to this as an 'entry cost', whereas historical costs is an 'exit cost'. Occasionally, it may be difficult to obtain a current cost of an element from information currently available (eg, if only newer models are available); instead, it is possible for the entity to adjust for the condition and age in order to buy a similar model or asset.

4.8 Chapter 7: Presentation and disclosure

It is essential that an entity ensures that the information presented in the financial statements is effectively communicated. Relevant disclosures giving a fair representation of the position and the performance of the entity at the reporting date are required.

Effective communication also requires the entity to make available information that is relevant to their entity and industry, instead of just producing the very minimum or basic information. This is often referred to as 'boilerplate' whereby the standard descriptions are provided, rather than giving an entity-specific and relevant explanation of the position and performance of the business.

Offsetting (netting off assets and liabilities of a similar nature) is discouraged.

5 Bases of accounting

Section overview

- You have covered the accrual basis and the cash basis of financial reporting in your *Accounting* studies. In this section, we briefly revise these and introduce the 'break-up basis'.
- The going concern basis is referred to by the *Conceptual Framework* as the 'underlying assumption'.

5.1 Accrual basis

Under this basis of accounting, **transactions are recognised when they occur**, not when the related cash flows into or out of the entity. You will be familiar with this basis from your *Accounting* studies. The *Conceptual Framework* states that:

Accrual accounting depicts the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims in the periods in which those effects occur, even if the resulting cash receipts and payments occur in a different period (Conceptual Framework: para 1.17).

Application of accrual accounting means that:

- Sales are recorded in the period in which the performance obligations associated with a contract are satisfied, which is normally when **control of an asset passes from seller to buyer**, not when the seller receives full payment. While this basis has no effect on the timing of the recognition of cash sales, it does mean that credit sales are recorded earlier than if the cash basis of accounting was used. When credit sales are recognised, a receivable is created in the seller's accounts.

- Expenses are recognised **in the period when the goods or services are consumed**, not when they are paid for. An amount payable will be set up in the company's accounting records for credit purchases, again leading to earlier recognition than if the cash basis was used.
- The consumption of non-current assets, such as plant and machinery, is recognised **over the period during which they are used by the entity** (ie, the asset is depreciated), not in the year of purchase as they would be under the cash basis of accounting.

The *Conceptual Framework* makes it clear that information in a company's financial statements should be prepared on the accrual accounting basis.

5.2 Going concern basis

The accrual basis of accounting assumes that an entity is a going concern. Under this basis, financial statements are prepared on the assumption that the entity will **continue in operation for the foreseeable future**, in that management has **neither the intention nor the need to liquidate the entity** by selling all its assets, paying off all its liabilities and distributing any surplus to the owners.

Going concern is referred to by the *Conceptual Framework* as an **'underlying assumption'**.

5.3 Cash basis

The cash basis of accounting is not used in the preparation of a company statement of financial position and performance statements as it is not allowed by IFRS Accounting Standards, although the cash effect of transactions is presented in the form of a statement of cash flows. (We will look at the statement of cash flows in Chapter 3.) The cash basis may be used, however, for small unincorporated entities, for example clubs and societies.

In many ways the cash basis of accounting is very simple. Only the **cash impact of a transaction is recorded**.

5.4 Break-up basis

As we saw in section 3.1, one of the key assumptions made under the accrual basis is that the business will continue as a going concern. However, this will not necessarily always be the case. There may be an intention or need to sell off the assets of the business. Such a sale typically arises where the business is in **financial difficulties** and needs the cash to pay its creditors. Where this is the case an alternative method of accounting must be used (in accordance with IAS 1, *Presentation of Financial Statements*). In these circumstances the financial statements will be prepared on a basis other than going concern, which is commonly referred to as the 'break-up' basis. The break-up basis values assets and liabilities today as if the entity was about to cease trading and had to dispose of all its assets and liabilities.

The effect of this is seen primarily in the statement of financial position as follows:

- **Classification of assets and liabilities**

  All assets and liabilities would be classified as **current** rather than non-current.
- **Valuation of assets**

  Assets would be valued on the basis of the recoverable amount on sale. This is likely to be substantially lower than the carrying amount of assets held under historical cost accounting.

6 Inherent limitations of financial statements

Section overview

- There are limitations inherent in financial statements, including the fact that they are:
  - a conventionalised representation, involving classification, aggregation and the allocation of items to particular accounting periods;
  - historical (backward-looking); and
  - based almost exclusively on financial data.
- Real-time financial reporting may remove some of the limitations of traditional financial reporting in the future.

6.1 Conventionalised representation

Financial statements are **highly standardised** in terms of their overall format and presentation although businesses are very diverse in their nature. This may limit the usefulness of the information.

Financial statements are **highly aggregated** in that information on a great many transactions and balances is combined into a few figures in the accounts, which can often make it difficult for the reader to evaluate the components of the business.

Allocation issues include, for example, the application of the accrual concept and depreciation of non-current assets, where **management's judgements and estimates** affect the period in which expenses or income are recognised.

Companies apply different accounting policies which means that exact comparisons cannot always be made. Disclosing accounting policies, however, means that users can identify these differences.

6.2 Historical and backward-looking

*Financial statements are prepared to a **specific reporting date** and are **published after that reporting date**. The information when published is therefore **historical** and **backward-looking**. Most users of financial information base their decisions on expectations about the future. Financial statements contribute towards this by helping to identify trends and by confirming the accuracy of previous expectations, but cannot realistically provide the complete information set required for all economic decisions by all users.*

6.3 Omission of non-financial information

By their nature, financial statements contain financial information. They do not generally include non-financial data such as:

- **narrative description** of the major operations and operating practices;
- discussion of **business risks and opportunities**, including those related to sustainability;
- narrative **analysis** of the company's **performance and prospects**; and
- **management policies** and how the business is **governed and controlled**.

Financial statements include the elements as defined in the *Conceptual Framework*. This means that items which do not meet those definitions are not included. For example, the value of the company's internally generated goodwill ie, through its reputation, loyalty and expertise

of its management and employees, or its client portfolio. While some companies do experiment with different types of disclosure for such items, these disclosures are considered unsuitable for inclusion in the financial statements (precisely because such items do not fall within its definition of assets).

6.4 Other sources of information

Some of the limitations of financial statements are addressed in the **other information** which is often provided along with the financial statements in a company's **annual report**. Many companies now provide a narrative report alongside the financial statements, with an increasing number of companies providing information relating to sustainability-related issues.

There are also other sources and types of information available, depending on the size and nature of the company. For example:

- *In owner-managed businesses, the owners have access to internal management information because they are the management. This information is, potentially, available on a continuous real- time basis and may include:*
  - *future plans for the business;*
  - *budgets or forecasts; and*
  - *management accounts, including, for example, divisional analysis.*
- *Banks will often obtain additional access to company information under the terms of loan agreements*
- *Potential investors (eg, if they are planning to take a major stake or even a controlling interest) will often negotiate additional access to corporate information*
- *Publicly available information, such as company brochures and publicity material (eg, press releases)*
- *Brokers' reports on major companies*
- *Press reports and other media coverage (eg, television or internet)*

*The development of **IFRS Sustainability Disclosure Standards** will help in overcoming some of the limitations inherent in financial statements as application of the standards should result in companies providing transparent, consistent disclosure on sustainability-related risks and opportunities that a company is exposed to.*

6.5 Real-time financial reporting

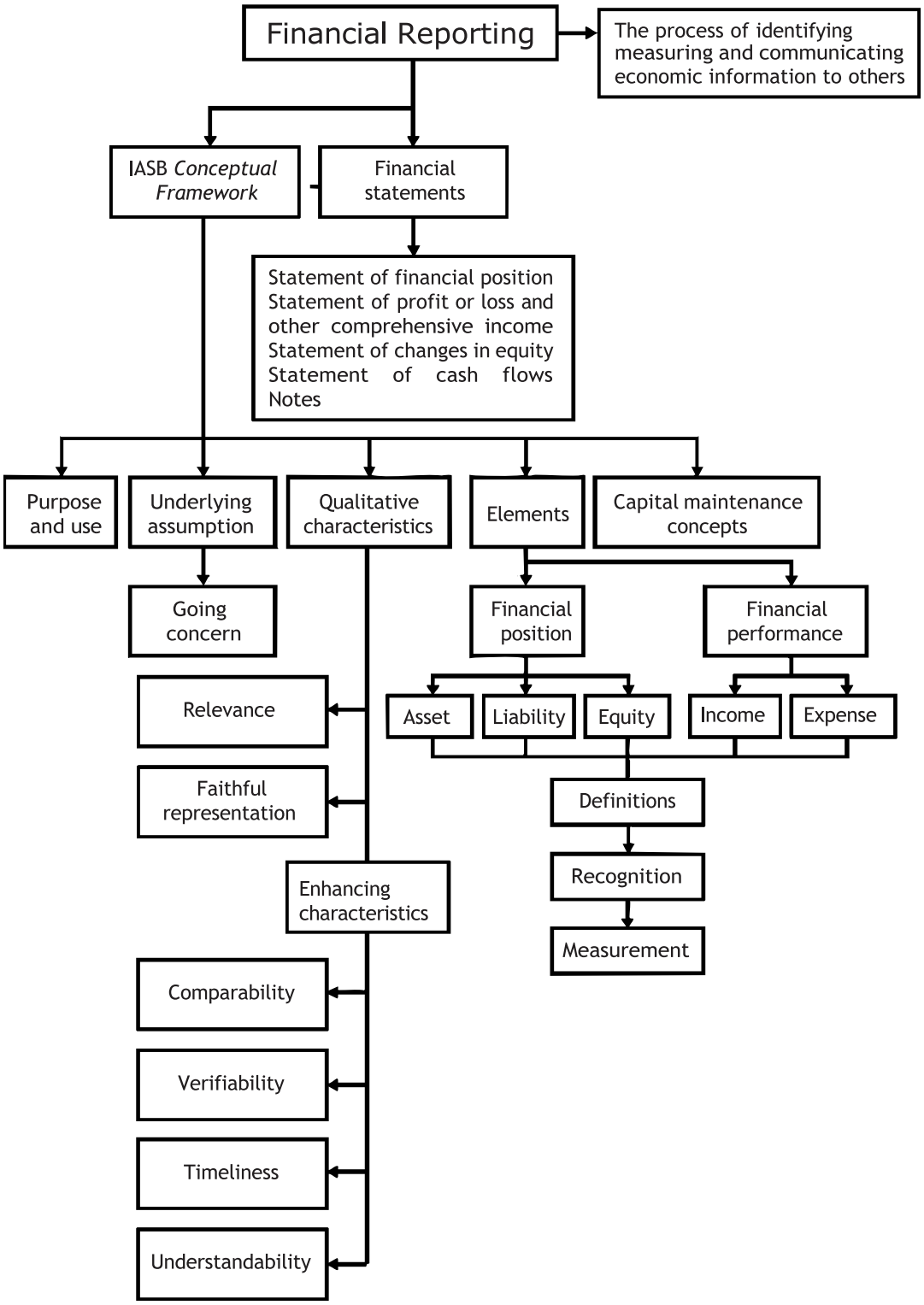
*Advances in technology, such as developments in data integration and aggregation, automated data processing using artificial intelligence and the use of cloud-based accounting solutions, mean that **real-time reporting of financial information** is already possible. Business Intelligence (BI) tools, such as Microsoft Power BI or Tableau, allow for the creation of interactive dashboards so management and others can explore real-time financial data and monitor key metrics. Many businesses can already use their internal reporting systems to measure financial position and performance at any*

point, on demand. Real-time financial reporting is now indispensable in internal decision-making, allowing management to monitor performance, assess risks and make adjustments as required.

Real-time financial reporting to external stakeholders, such as investors, could help to overcome some of the limitations of traditional financial reporting, however, it is not currently widespread. Instead, most companies follow the requirements of stock markets and national laws to produce financial reports annually, semi-annually and quarterly. Furthermore, research conducted in 2022 showed a lack of interest from some professional investors and analysts in real-time financial reporting, due to several perceived negative consequences and challenges.

Whether real-time financial reporting becomes prevalent in the future will depend to some degree on addressing regulatory considerations (such as defining standards for real-time reporting) and addressing concerns around the accuracy and security of data.

Summary


Financial Reporting
The process of identifying measuring and communicating economic information to others
IASB *Conceptual Framework*
Financial statements
Statement of financial position
Statement of profit or loss and other comprehensive income
Statement of changes in equity
Statement of cash flows
Notes
Purpose and use
Underlying assumption
Qualitative characteristics
Elements
Capital maintenance concepts
Going concern
Financial position
Financial performance
Asset
Liability
Equity
Income
Expense
Definitions
Recognition
Measurement
Relevance
Faithful representation
Enhancing characteristics
Comparability
Verifiability
Timeliness
Understandability

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1	Can you explain the concept of 'true and fair'/'fair presentation' and when a departure from IFRS Accounting Standards is required? (Topic 1)
2	Who are the primary and other users of the financial statements and what are their information needs? (Topic 2)
3	What is the IASB and what are the four main stages to issuing a new IFRS Accounting Standard? (Topic 3)
4	Can you state and explain the qualitative characteristics of useful financial information defined in the *Conceptual Framework*? (Topic 4)
5	Can you define the elements of the financial statements and give an example of each? (Topic 4)
6	Can you explain the accrual basis, the break up basis and the going concern basis? (Topic 5)
7	Can you give three examples of the inherent limitations of financial reporting, and provide suggestions for improving the usability of financial statements for potential investors? (Topic 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Elements of requires financial statements	This tests your knowledge of the elements of financial statements and you to give an example of each element, explaining why it meets the definition.
Tattenhoe plc	This tests your knowledge and understanding of the definitions of true and fair, fair presentation and substance over form.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Kempton Ltd (part 3)(part 4)	Question requiring you to explain the inherent limitations of financial statements and the information needs of employees and customers (5 marks, 9 minutes)
Aegean plc (part form, 4)	Question requiring you to explain the concept of substance over providing two examples (4 marks, 7 minutes)
Corylus Ltd (part financial 2)	Question requiring you to provide examples of the elements of the statements (5 marks, 9 minutes)

Once you have attempted these questions, you can continue your studies by moving onto the next chapter where you will be using the knowledge gained in Chapter 1.

Technical reference

Note: The whole of the *Conceptual Framework for Financial Reporting (Conceptual Framework)* is examinable. The paragraphs listed below are the key references you should be familiar with.

1 Status and purpose of the *Conceptual Framework*

- The purpose of the *Conceptual Framework* is to assist preparers and users with understanding and interpreting accounting standards – ***Conceptual Framework* (SP1.1, SP1.5)**
- The *Conceptual Framework* is not a Standard – ***Conceptual Framework* (SP1.2)**
- Financial statements comprise statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows and notes – **IAS 1 (10)**

2 Objective, usefulness and limitations of general purpose financial reporting

- Users' core need is for information for making economic decisions – ***Conceptual Framework* (1.2– 1.5)**
- Objective of general purpose financial reporting is to provide information on financial position about the reporting entity that is useful to existing and potential investors, lenders and other creditors in making decisions relating to providing resources to the entity – ***Conceptual Framework* (1.2)**
- Information about a reporting entity's economic resources, claims against the entity and changes in resources and claims:
  - Resources and claims
  - Stewardship of the resources of the entity – ***Conceptual Framework* (1.13)**
- Economic resources and claims:
  - Help assess prospects for future cash flows
  - How well have management made efficient and effective use of the resources – ***Conceptual Framework* (1.13–1.16)**
- Financial performance reflected by accrual accounting – ***Conceptual Framework* (1.17)**
- Financial performance reflected by past cash flows – ***Conceptual Framework* (1.20)**

3 Qualitative characteristics of useful financial information

- Two fundamental qualitative characteristics are relevance and faithful representation – ***Conceptual Framework* (2.5)**
- Relevance = capable of making a difference to decisions – ***Conceptual Framework* (2.6)**
  - Predictive and confirmatory values – ***Conceptual Framework* (2.7–2.10)**
  - Materiality – ***Conceptual Framework* (2.11)**
- Faithful representation – ***Conceptual Framework* (2.12–2.19)**
  - Complete, neutral and free from error
- Four enhancing qualitative characteristics – ***Conceptual Framework* (2.23–2.38)**
  - Comparability, verifiability, timeliness and understandability

4 Cost constraint on useful financial reporting

Costs (of preparing and analysing) financial information must be justified by the benefits of reporting it – ***Conceptual Framework* (2.39–2.43)**

5 Underlying assumption

Financial statements are normally prepared on the assumption that the reporting entity is a going concern and will continue in operation for the foreseeable future – ***Conceptual Framework* (3.9)**

6 Elements of financial statements

- **Asset**: a present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits – ***Conceptual Framework* (4.3–4.5)**
- **Rights** to potential **economic benefits** – ***Conceptual Framework* (4.6–4.18)**
- Definition of **control** which links the economic resource to the entity – ***Conceptual Framework (4.19–4.25)***
- **Liability**: A present obligation of the entity to transfer an economic resource as a result of past events. The liability must have an obligation to transfer an economic resource that exists as a result of past events – ***Conceptual Framework* (4.26–4.27)**
- Definition of obligation, the transfer of an economic resource and a present obligation as a result of past events – ***Conceptual Framework* (4.28–4.47)**
- **Equity**: The residual interest in assets of the entity after deducting all its liabilities – ***Conceptual Framework* (4.63)**
- **Income** Increases in assets or decreases in liabilities, other than contributions from holders of equity claims – ***Conceptual Framework* (4.68)**
- **Expenses** Decreases in assets or increases in liabilities, other than distributions to holders of equity claims – ***Conceptual Framework* (4.69)**

7 Recognition

- An asset or a liability should be recognised in financial statements if it meets the definition of an element – ***Conceptual Framework* (5.1, 5.6)**
- The **cost constraint** also affects the recognition decisions, and assets or liabilities are recognised if the benefit of the information provided is likely to justify the costs of providing and using that information – ***Conceptual Framework* (5.8)**
- Derecognition normally occurs when the item no longer meets the definition of an asset or liability – ***Conceptual Framework* (5.26, 5.27)**

8 Measurement

- Historical cost – ***Conceptual Framework* (6.4–6.9)**
- Current value: Fair value – ***Conceptual Framework* (6.12–6.16)**
- Value in use – ***Conceptual Framework* (6.17–6.20)**
- Fulfilment value – ***Conceptual Framework* (6.17–6.20)**
- Current cost – ***Conceptual Framework* (6.21–6.22)**
- Present value – ***Conceptual Framework* (4.55)**

9 Presentation and disclosure

- Presentation and disclosure as communication tools – ***Conceptual Framework* (7.2)**
- To facilitate effective communication of information in financial statements, providing relevant information and information that is comparable from period to period, and specific to the entity – ***Conceptual Framework* (7.4–7.6)**
- Classification of the elements – ***Conceptual Framework* (7.7–7.22)**

10 Fair presentation

- Financial statements are required to give a fair presentation of the financial position, financial performance and cash flows of a company – **IAS 1 (15)**
- In Bangladesh financial statements must present a true and fair view – **CA 1994**

11 References

- IFRS Foundation (2021) *Constitution* [Online]. Available at: ifrs.org [Accessed 2 April 2024].
- IFRS Foundation (2023) *IFRS* [Online]. Available at: http://ifrs.org [Accessed 13 May 2024]

Self-test questions

Answer the following questions.

1 Traditional Fruits Ltd

Traditional Fruits Ltd, a fruit bottling and canning company, is looking to expand its operations. The directors are hoping to increase the range of preserved fruit products and in doing so will need to invest in new equipment. They are also hoping to open a new facility, near to some fruit farms.

The finance director has been asked to prepare a résumé of the financial performance of the company in order that possible providers of finance can assess the future potential of the company.

The finance director wants to address all issues in their résumé and has asked for your assistance.

Requirements

Prepare brief notes for the finance director, addressing each of the following and using the *Conceptual Framework for Financial Reporting* as a source of reference.

1.1 Identify potential providers of finance for Traditional Fruits Ltd and their information requirements in respect of financial statements and annual report.

1.2 Explain the terms 'performance' and 'position' and identify which of the financial statements will assist the user in evaluating performance and position.

1.3 Indicate why, for decision-making purposes, the financial statements alone are insufficient.

2 Elements of the financial statements

The following balances have been extracted from Giyani plc's accounting records.

	CU
Revenue	768,000
Administrative expenses	152,600
Depreciation expense	16,000
Finance costs	30,650
Finance income	15,630
Buildings	881,600
Inventories	15,900
Cash and cash equivalents	28,200
Ordinary share capital	135,000
5% redeemable preference shares	240,000
Lease liability	53,800

Requirement

The *Conceptual Framework for Financial Reporting* refers to five elements of the financial statements. Give one example of each of these elements from the list of balances of Giyani plc, explaining how each meets the definition of the relevant element.

3 Meeting the needs of users

According to the *Conceptual Framework for Financial Reporting*, users of financial statements require information regarding financial position, financial performance and changes in financial position.

Requirement

Explain how the information contained in financial statements in respect of property, plant and equipment meets those information needs.

4 Tattanhoe plc

You are the financial controller of Tattanhoe plc, a holding company listed on the Dhaka stock exchange. Together with the finance director, you have held conversations with external consultants about accounting policy implementation issues. You have discussed a number of areas where the finance director believes the application of the requirements of an IFRS Accounting Standard would not give a 'true and fair view' for users.

The finance director has sent you the following extract from a note prepared by the consultants.

> **Accounting policies**
>
> It is essential that the accounting policies selected when implementing IFRS Accounting Standards result in financial statements that give a fair presentation. The application of the principle of substance over form is integral in achieving this.
>
> The choice of accounting policies is a matter of judgement and careful consideration is required particularly where you wish to override the requirements of an accounting standard.

The finance director wishes to discuss the above extract with you. The finance director has a strong personality and is adamant that non-compliance with IFRS Accounting Standards may be justified where it does not give a true and fair view.

Requirement

Prepare notes for your meeting with the finance director:

(a) Explaining the concept of 'fair presentation' and comparing it with 'true and fair view'.

(b) Explaining the concept of 'substance over form' and its relationship to 'faithful representation'.

(c) Explaining the circumstances in which non-compliance with the provisions of an IFRS Accounting Standard is justified.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

(a) This is an intangible asset, as the licence does not have physical substance and is a right that has the potential to produce economic benefits as a result of holding that licence – in this case, the costs savings.

(b) No, these shares cannot be classified as an asset by Pear Ltd as Piper Ltd retains the right to the economic benefits (the dividends) and the control of the shares.

(c) These are liabilities which must be recognised by Sycamore Ltd. The business has an obligation to fulfil the terms of the warranty within that post sale (24 month) period and the liability would be recognised when the warranty is issued, as this is when Sycamore's obligation arises, rather than when a claim is made.

Answers to Self-test questions

1 Traditional Fruits Ltd

1.1 Potential providers of finance for Traditional Fruits Ltd

Potential providers of finance	Information requirements
▪ The existing shareholders of the company and potential new shareholders – through a new issue of share capital ▪ Existing and future lenders and creditors to the company	• The profit before interest of Traditional Fruits Ltd (TF Ltd), to determine risk • The trend of profitability of TF Ltd together with a history of dividend payments. This will enable them to assess return and risk of their investment. • The financial structure of TF Ltd, to determine the level of debt finance as a measure of risk • TF Ltd's liquidity or ability to pay out dividends and redeem share capital • TF Ltd's ability to generate cash and the timing and certainty of its generation • The liquidity of TF Ltd and its ability to repay interest and capital instalments • The existing level of debt and any security over that debt • TF Ltd's dependencies in terms of ESG issues and how those could affect its prospects. For example, TF Ltd is dependent on the availability and pricing of fruit which could be impacted by climate change and availability of natural resources such as water. • Whether TF Ltd's policies and practices in relation to its impact on the environment and society are in keeping with the investor or lender's expectations or requirements (if finance has sustainability- related criteria attached to it). For example, TF Ltd's policies on human rights issues in its supply chain (eg fruit pickers), water usage etc.

1.2 Performance

The financial performance of a company comprises the return it obtains on the resources it controls. Performance can be measured in terms of the profits of the company and its ability to generate cash flows.

Management will be assessed on their skill in achieving the highest level of performance, given the resources available to them.

Information on performance can be found in:

- the statement of profit or loss and other comprehensive income
- the statement of changes in equity
- the statement of cash flows

Position

The financial position of the company is evaluated by reference to:

- its economic resources and claims
- its capital structure ie, its level of debt finance and shareholders' funds
- its liquidity and solvency

The user of the financial statements can then make assessments on the level of risk, ability to generate cash, the likely distribution of this cash and the ability of the company to adapt to changing circumstances.

The statement of financial position is the prime source of information on a company's position but the statement of cash flows will also indicate a company's cash position over a period of time.

1.3 Financial statements are prepared by reference to a relatively rigid set of IFRS Accounting Standards applicable to all companies, regardless of the sectors of the economy they operate in. As a result, information for individual and specialised companies may not be forthcoming. Further, the preparation of financial statements is based on estimates and judgements by the management and therefore are not a source of totally verifiable information.

Financial statements primarily use the historical cost convention. They can identify trends from the past which may be relevant to the future, but they are not forecasts and are therefore less helpful when making predictions.

They are, by their nature, focused on financial information, and investors and other stakeholders are increasingly interested in non-financial information such as:

- the operating policies and practices of the business, for example commitments to fair trade or gender equality
- the principal business risks and opportunities faced by the company
- the company's commitments to reducing its carbon footprint and the risks associated with climate-change
- an evaluation of the quality of management and the effectiveness of their governance
- a narrative analysis of the position and performance of the company

Non-financial information which is disclosed alongside the financial statements in the annual report is therefore required to give the users of information a full picture for decision making purposes.

2 Elements of the financial statements

Elements of the financial statements

Asset – An asset is a present economic resource controlled by an entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits. The buildings are assets because they are controlled by Giyani plc as a result of their purchase and they have the potential to produce future economic benefits through their sale or use. [**Tutorial note**: you could also have chosen inventories or cash and cash equivalents].

Liability – A liability is a present obligation to transfer an economic resource as a result of past events. The redeemable preference shares are a liability because Giyani plc has an obligation

to deliver cash at the redemption date. [**Tutorial note**: you could also have chosen the lease liability].

Equity – Equity is the residual interest in the assets of the entity after deducting all of its liabilities. Giyani plc's ordinary share capital meets the definition of equity. [**Tutorial note**: you could also have chosen retained earnings or revaluation surplus.] The total of these balances (share capital, retained earnings and revaluation surplus) is equal to the remaining balance of assets after all liabilities are deducted.

Income is increases in assets, or decreases in liabilities, that result in increases in equity other than contributions from equity holders. Revenue meets this definition because it results in an increase of assets, being receivables or cash. [**Tutorial note**: you could also have chosen finance income.]

Expenses are decreases in assets, or increases in liabilities, that result in decreases in equity other than distributions to equity holders. Depreciation meets this definition because it reduces the carrying amount of the related asset. [**Tutorial note**: you could also have chosen administrative expenses or finance costs.]

3 Meeting the needs of users

How information about property, plant and equipment (PPE) meets the needs of users
Financial position

The financial position of an entity is affected by the economic resources it controls (assets) and claims against it (liabilities). This information can help users to assess a company's liquidity and solvency, its need for additional financing and its likely success in obtaining that financing, and so its ability to adapt to its operating environment.

The total carrying amount of property, plant and equipment (PPE) is reported on the face of the statement of financial position and gives the user an indication of the long-term resources available for use in a business to generate income.

The carrying amount of PPE is further broken down in the notes to the financial statements. Here the user is provided with an indication of the types of different PPE held and the reasons for changes in the carrying amount over a financial year. This information enhances users' understanding of available resources, future resource needs and ability to generate income. For example:

- The carrying amount of machinery may have increased, so indicating an increased capacity to generate revenue.
- The carrying amount of vehicles as compared with their cost may be low, so indicating a need for replacement.

An accounting policies note discloses measurement models and accounting estimates used in depreciation, so allowing comparison of PPE with other entities that have different policies and estimates.

Financial performance

A company's financial performance results in income and expenses, which change the company's economic resources and claims.

The depreciation charge for the year is an expense which in turn decreases the carrying amount of assets in the statement of financial position. This expense represents that part of the cost (or valuation) of an asset that has been consumed in any financial year in order to generate revenues. As such, true profit can only be established by deducting depreciation from income along with other annual expenses.

PPE may become impaired, and if so, it would be written down to recoverable amount. Such a write down ensures that assets are not overstated and gives users a true indication of the consumption of an asset in a period.

Changes in financial position

Changes in economic resources and claims are also the result of cash flows, reported in the statement of cash flows. This statement allows users to understand how cash is generated and whether that source is sustainable, and how cash is spent and what impact that expenditure may have on future performance.

Where payments to acquire PPE are reported and these exceed the depreciation charge and disposals, there is an indication that a business is growing and has expanded its capacity. Conversely if payments to acquire PPE are less than the reduction to PPE due to depreciation and disposals, the user may be concerned about the company's ability to generate future income.

4 Tattanhoe plc

(a) IAS 1, *Presentation of Financial Statements* describes the concept of fair presentation. Fair presentation involves representing faithfully the effect of transactions, other events and conditions in accordance with the definitions and recognition criteria in the *Conceptual Framework for Financial Reporting*.

This is developed by stating that the application of IFRS Accounting Standards, interpretations and additional disclosures will result in fair presentation.

The requirement to give a 'true and fair view' comes from the Companies Act 1994. True could be approximated to 'represent faithfully' and fair to 'fair presentation'. IAS 1 links them by stating that compliance with standards will give a fair presentation. As a result, fair presentation and true and fair can be considered synonymous.

(b) Most transactions are reasonably straightforward in that their substance (their commercial effect) is the same as their legal form. In some more complex transactions, the legal form may not adequately express the true commercial effect of such transactions.

The *Conceptual Framework for Financial Reporting* identifies faithful representation as one of the two fundamental qualitative characteristics of useful financial information. If information is to represent faithfully the transactions it purports to represent, transactions should be accounted for in accordance with their economic substance and not merely their legal form.

An example is in the application of IFRS 16, *Leases* to a contract that contains a lease arrangement. The legal form of a lease arrangement is that ownership of the asset remains with the lessor. In substance however, the lessee has the right to control the use of that asset over the lease period and therefore is required to recognise a right-of-use asset (and associated lease liability) in its statement of financial position.

(c) IAS 1 allows non-compliance with a standard (or interpretation) only where management concludes that compliance would be so misleading as to conflict with the objectives of financial statements set out in the *Conceptual Framework for Financial Reporting*. However, this is only where the relevant regulatory framework requires, or does not prohibit, such a departure.

The Standard uses the phrase 'where management concludes' which may indicate that there is a margin for those preparing the financial statements to use this exception where they believe it is appropriate. However, IAS 1 talks about this coming about 'in extremely rare circumstances'.

Inappropriate accounting policies or non-compliance are not rectified by disclosure of the policies adopted or by description in the notes to the financial statements.

Chapter 2
Ethics and sustainability

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 *Ethics*

2 *Sustainability-related disclosure*

3 *IFRS S1: General Requirements for Disclosure of Sustainability- related Financial Information*

4 *IFRS S2: Climate-related Disclosures*

5 *Ethical considerations in sustainability information*

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Introduction

Learning outcomes

- *Identify and explain the ethical and professional issues for a professional accountant undertaking work in financial accounting and reporting and identify appropriate action*
- *Discuss the impact of sustainability and climate-related risks and opportunities on the preparation of the financial statements*
- *Explain the application of IFRS Sustainability Disclosure Standards to specified single entity scenarios*

Syllabus links

This chapter covers two areas which are integrated across the whole ACA qualification: ethics and sustainability. In this chapter, we consider these areas in the context of Financial Accounting and Reporting.

Ethical thinking must be the mainstay for honest, true, fair and prudent financial accounting and reporting. This chapter introduces the fundamental principles of the IESBA Code of Ethics as adopted by FRC which will be pervasive across all areas of the syllabus.

The application of sustainability knowledge and understanding is a key skill for all ICAB Chartered Accountants. In this chapter, we recap knowledge from Accounting and then build on that knowledge, introducing the key principles and requirements of the IFRS Sustainability Disclosure Standards.

Examination context

In the exam, students may be required to:

- *Identify and explain the ethical and professional issues for a professional accountant.*
- *Explain the reasons for and principles of reporting sustainability information.*
- *Explain the application of IFRS Sustainability Disclosure Standards to a specified scenario.*
- *Discuss the impact of sustainability and climate-related risks and opportunities on the preparation of the financial statements.*

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Ethics** *Ethical behaviour plays a vital role in ensuring public trust in financial reporting. The IESBA Code of Ethics applies to all*	**Approach** *Learn the fundamental principles and the five key threats to these principles as outlined in the IESBA Code of Ethics. Ensure you are familiar with suggested*	*A question is likely to ask you to identify the ethical issues in the scenario presented and may then ask for actions that should be taken.*	**IQ1 Ethical considerations** *This question requires an assessment of the ethical problems applying to a*

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	members and students of the ICAB in their professional and business activities. The key requirements from the IESBA Code of Ethics that are applicable to Financial Accounting and Reporting are covered in this topic.	*safeguards to the identified threats.* ***Stop and think*** *Consider how the public may perceive professional accountants who do not adhere to the IESBA Code of Ethics. Consider the IESBA Code of Ethics in the light of your role and your work.*		*short scenario.*
2	***Sustainability-related disclosure*** *Sustainability-related information and how companies disclose this information is increasingly important to investors and other stakeholders. This is a fast developing area and likely to be of interest to stakeholders and for preparers of annual reports recently formed International*	***Approach*** *It is important to understand what 'sustainability' is and the two different aspects of sustainability reporting: reporting on impacts and reporting on sustainability- related risks and opportunities.* *You should be aware of the for the foreseeable future.* *Sustainability Standards Board, which aims to meet the needs of investors.* ***Stop and think*** *Take some time to have a look at the sustainability information disclosed by a company you are familiar with. Is it more or less information than you expected? Is it transparent and easy to understand? Does it tie into the financial information for the same company?*	*A question may ask about the reasons why a stakeholder would be interested in sustainability-related information and what information would be useful to them. It may test the principles of sustainability, potentially in the context of an ethical scenario.*	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	***IFRS S1: General requirements of sustainability-related financial information*** *IFRS S1 is the first of the ISSB's sustainability disclosure standards. It contains the general principles and requirements for reporting sustainability-related financial disclosures.* ***IFRS S2: Climate-related disclosures*** *IFRS S2 is the first of the A question could test the sustainability disclosure standards, covering the important topic of climate.*	*You need to understand the objective of IFRS S1 and why the information it requires to be disclosed is useful. You also need to know the key conceptual foundations on which the standard is based, and the core content topics (governance, strategy, risk management and metrics and targets) for which disclosures are required.* *You need to understand the objective and scope of IFRS S2, including the distinction between physical and transition climate-related risks, and the core content topics for which disclosures are required, including the additional climate-specific requirements such as the requirement to disclose greenhouse gas emissions.*	*A question may ask you to explain the requirements of IFRS S1, including the fundamental concepts underpinning the reporting of sustainability-related information in accordance with the IFRS Sustainability Disclosure Standards.* *ISSB's topic specific requirements of IFRS S2 including the definitions of climate-related risks and opportunities and application to a given scenario.*	
4	***Ethical considerations in sustainability reporting*** *Sustainability information must be reliable in order to be useful. Unfortunately, there are cases where companies have misled consumers or investors in this area. This topic considers 'greenwashing'*	*The key learning point from this topic is that ICAB Chartered Accountants should apply ethical principles, including professional scepticism, when collating, reporting or reviewing sustainability information.* ***Stop and think*** *Can you think of any examples of misleading or false environmental claims that you have heard of? What claims were being made and*	*A question could test the application of ethics and professional scepticism in the context of reporting sustainability information.*	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	and the ethical considerations which therefore arise for ICAB Chartered Accountants.	*what was the reality of the situation?*		

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Ethics

Section overview

- *Ethical thinking must be the mainstay for honest, true, fair and prudent financial accounting and reporting.*
- *Financial Reporting Council (FRC) Bangladesh has issued and adopted the International Ethics Standards Board for Accountants (IESBA) Code of Ethics which is principles-based and centres around five fundamental principles.*
- *An ICAB Chartered Accountant should recognise and assess the potential threats to these fundamental principles and implement safeguards to eliminate these threats or reduce them to an acceptable level.*
- *An ICAB Chartered Accountant should exercise ethical thinking and professional scepticism in the exercise of all judgements.*

1.1 IESBA Code of Ethics

ICAB Chartered Accountants are expected to demonstrate the highest standards of professional conduct and to take into consideration the public interest. Ethical behaviour by Chartered Accountants plays a vital role in ensuring public trust in financial reporting and business practices and upholding the reputation of the accountancy profession.

IESBA's Code of Ethics (the IESBA Code) as issued and adopted by FRC applies to all members of ICAB. The International Ethics Standard Board for Accountants (IESBA) Code of Ethics is split into the following parts:

- *Part 1: Fundamental Principles and Conceptual Framework*
- *Part 2: Professional Accountants in Business*
- *Part 3: Professional Accountants in Public Practice*
- *Part 4(A): Independence for audit engagements and review engagements*
- *Part 4(B): Independence audit assurance engagements other than audit engagements and review engagements*
- *Part 5: Insolvency*

Financial Accounting and Reporting only focuses on parts 1 to 3.
Accountants in public practice are also regulated by the FRC Ethical Standard.

The IESBA Code applies to all members, students, affiliates, employees of member firms and, where applicable, member firms, in all of their professional and business activities, whether remunerated or voluntary. ICAB is committed to enforcing the IESBA Code through disciplining members who do not meet reasonable ethical and professional expectations of the public and other members.

A copy of the IESBA Code as adopted by FRC is available at frc.gov.bd.

1.2 Conceptual framework

The IESBA Code provides a conceptual framework which professional accountants should apply in order to identify, assess and address threats to compliance with the fundamental principles. The conceptual framework specifies an approach for professional accountants to:

- *identify threats to compliance with the fundamental principles;*
- *evaluate the threats identified; and*
- *address the threats by eliminating them or reducing them to an acceptable level.*

The conceptual framework calls on the professional accountant to:

- *exercise professional judgement;*
- *remain alert for new information and to changes in facts and circumstances; and*
- *use the reasonable and informed third party test.*

The third-party test calls on the professional accountant to consider their proposed actions and consider whether a 'reasonable and informed third party' would reach the same conclusions. The conceptual framework also provides initial guidance (which is developed in parts 2 and 3 of the IESBA Code) on evaluating threats and addressing these threats.

Professional skills focus: Assimilating and using information

It is important that you are familiar with the IESBA Code and the following information regarding fundamental principles, threats and safeguards. In the exam, you will be provided with a scenario and you will need to apply your knowledge of the IESBA Code to the information presented. Ensure that your answer is relevant to the given scenario and not a generic answer regarding ethical behaviour.

1.3 *Fundamental principles*

Professional accountants are expected to follow the guidance contained in the fundamental principles in all of their professional and business activities. The professional accountant should also follow the requirements in the illustrations. However, they should be guided not just by the terms but also by ***the spirit of the IESBA Code****.*

The IESBA Code sets out five fundamental principles, the spirit of which must always be complied with: integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour.

1.3.1 Integrity

Definition

Integrity: *To be straightforward and honest in all professional and business relationships. Integrity also means that members must not knowingly be associated with misleading information.*

Integrity implies fair dealing and truthfulness.

A professional accountant should not be associated with reports, returns, communications or other information where they believe that the information:

- *contains a materially false or misleading statement;*
- *contains statements or information furnished recklessly; and/or*
- *omits or obscures information required to be included where such omission or obscurity would be misleading.*

1.3.2 Objectivity

Definition

Objectivity: *Not to compromise professional or business judgements because of bias, conflict of interest or undue influence of others.*

The professional accountant needs to remain impartial and independent, and not let the potential for any financial, professional or personal gain affect their judgement. Objectivity also requires the accountant to not be affected by undue influence of others, such as a dominant superior or client interests.

1.3.3 Professional competence and due care

Definition

Professional competence and due care: *To attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organisation receives competent professional service, based on current technical and professional standards and relevant legislation; and act diligently and in accordance with applicable technical and professional standards.*

The IESBA Code requires the professional accountant to be diligent in monitoring their requirements, either on learning new skills or monitoring their progress on assignments in the workplace.

Professional competence may be divided into two separate phases:

- *Attainment of professional competence – initial professional development*
- *Maintenance of professional competence – continuing professional development (CPD)*

It is important that the accountant only undertakes work that they are qualified to do, including ensuring that they have sufficient time and resources to do the work to the best of their abilities. It may be that additional training from a team member or supervisor is required, or a more realistic deadline.

CPD is a requirement for the Chartered Accountant, as it ensures that technical updates and new accounting requirements are learnt and understood for application either in business or in practice.

1.3.4 Professional behaviour

Definition

Professional behaviour: *To comply with relevant laws and regulations and avoid any conduct that the professional accountant knows or should know might discredit the profession.*

A professional accountant should not engage in a business occupation or activity that impairs, or might impair, the profession. They must avoid any actions, both professionally and personally, that could bring the profession into disrepute.

1.3.5 Confidentiality

Definition

Confidentiality: *To respect the confidentiality of information acquired as a result of professional and business relationships. Confidential information must not be disclosed outside the organisation without authority, unless there is a duty or right to disclose, or disclosure is in the public interest and permitted by law.*

The professional accountant must maintain confidentiality even in a social environment and even after employment with the client/employer has ended. It is also vital that there is no inadvertent breach of confidentiality, such as if you have two clients in a similar industry, there is a risk that information gained on one could be used to inform or influence the other, however unintended.

Exceptions to this principle are when the professional accountant is permitted by law or due to a right to disclose to breach confidentiality:

- ***quality review** undertaken by a professional body (such as Quality Assurance (QA) review for those in public practice);*
- *in order to respond to an **investigation** by a professional or regulatory body (such as FCA);*
- *during **legal proceedings** against the accountant;*
- *to comply with **technical and professional standards**, including ethics requirements; or*
- ***disclosure is required by law** (such as Money Laundering disclosures in a Suspicious*

Activity Report (SAR) or resulting from a criminal investigation of fraud).
The IESBA Code gives application guidance and examples of such occasions.

1.4 Threats and safeguards

Definitions

***Threats:** Threats to compliance with the fundamental principles might be created by a broad range of facts and circumstances. The threats to compliance with the fundamental principles fall into one more of the following categories: **self-interest, self-review, advocacy, familiarity and intimidation threats**.*
***Safeguards:** Safeguards are actions, individually or in combination, that the professional accountant takes that effectively reduce threats to compliance with the fundamental principles to an acceptable level.*

Compliance with the fundamental principles may be threatened by a broad range of circumstances.

The IESBA Code provides details of a number of different threats, together with potential safeguards which the professional accountant would need to implement in order to reduce the risk of those threats to an acceptable level.

Where the threats cannot be reduced to an acceptable level, the professional accountant should consider resignation from the role or the client.

*The following table gives the **five key threats** identified by the IESBA Code, together with examples of when the threats may arise (and the fundamental principle being threatened). Potential safeguards are then proposed.*

This list is not exhaustive and reference to the IESBA Code will provide further examples and guidance.

Ethical threat	***Key fundamental principle(s) threatened***	***Ethical safeguards***
Self-interest *The threat that a financial/other interest of a professional accountant will inappropriately influence the professional accountant's judgement or behaviour.*	***Objectivity*** *Significant gifts or offers of hospitality could influence the judgements made by the professional accountant as they will create a personal bias.* ***Professional behaviour*** *The potential for an accountant to become involved in fraud or dishonest behaviour to conceal any wrongdoing or to make*	• *Obtaining assistance or training from someone with the necessary expertise* • *Referring to the guidelines in the IESBA Code regarding appropriate gifts* • *Reporting the offers of gifts or hospitality to a senior member of the*

Ethical threat	*Key fundamental principle(s) threatened*	*Ethical safeguards*
	financial gains. ***Professional competence and due care*** *An accountant may be tempted to undertake work which they are not qualified to do (such as complex or specialist tax work in a small practice for a significant fee). Or potentially agreeing to undertake a piece of work where time is constrained.*	*team or a secondary review or opinion on the potential conflict of interest* • *Disclosure of any referral fees or commissions to the client or customer*
Self-review *The threat that a professional accountant will not appropriately evaluate the results of a previous judgement made/service performed by the professional accountant, or by another individual within the professional accountant's firm or* *employing organisation on which the accountant will rely when forming a judgement as part of performing a current activity.*	***Objectivity*** *The same firm of accountants producing the financial statements and then, subsequently, auditing that same set will threaten the principle of objectivity (it is difficult to maintain objectivity over something you yourself have prepared).* ***Confidentiality*** *If a company is both producing the information and reviewing it, there may be an inadvertent breach of confidentiality, especially in assurance engagements.*	• *If work is to be undertaken by the same firm, then ensuring strict separation of teams, files and access to the information* • *Having a secondary or senior partner review any significant decisions*
Advocacy *The threat that a professional accountant will* *promote a client's or employer's position to the point that the professional accountant's objectivity is compromised.*	***Objectivity*** *This is most appropriate for those in public practice, as it is assumed that accountants in business will be expected to promote their employer's position or viewpoint. For those in public practice, this would potentially breach conflict of interest if there is a legal defence of a long standing or highly profitable client (and by losing it, it may adversely affect the finances of the firm).*	• *Any materials which promote the client, such as a prospectus for flotation, should be reviewed by another partner within the firm* • *Ensuring a firm which undertakes both assurance work and preparing for a flotation (for example) should have separate teams and work independently of each other*
Familiarity *The threat that due to a long or close relationship with a client or employer, a professional accountant will be too sympathetic to*	***Objectivity*** *Professional judgement may be affected by a potential conflict of interest (client with significant fees to the firm or longstanding client) or undue influence by a*	• *Partner rotation on long standing clients* • *Review partner on significant assurance engagements*

Ethical threat	*Key fundamental principle(s) threatened*	*Ethical safeguards*
their interests or too accepting of their work.	*demanding and significant client or customer.* ***Professional competence and due care*** *Being overfamiliar with a client, customer or supplier may provide the accountant with a false sense of security, and therefore they may not act with sufficient diligence or ensure that technical and regulatory standards are met.* ***Integrity*** *Members must not be knowingly associated with misleading information. There is the risk that the familiarity may affect the judgement of the accountant and any misleading information ignored or deemed to be 'immaterial' when it should be dealt* *with correctly.*	• *Reporting any family, personal or financial links to the company or client to the senior team* • *Where competing companies are served by the same public practice, making each party aware of the situation to enable transparency* • *Where new customers or suppliers are engaged, ensuring that there is a second review (segregation of duties) to ensure that more favourable terms and conditions are not awarded by a member of the team*
Intimidation *The threat that a professional accountant will be deterred from acting objectively by threats, either actual or perceived, including attempts to exercise undue influence over the accountant.*	***Objectivity*** *There may be a conflict of interest, such as the threat of the professional accountant losing their job or being overlooked for promotion. An accountant may be asked, with undue influence, to prepare the financial statements in a way which provides a more profitable position.* ***Professional behaviour*** *Undue influence may persuade the accountant to prepare the financial statements in a way which breaches regulatory or legal regulations.* ***Integrity*** *Members need to ensure that they are not associated with information which may be misleading, such as improperly prepared financial statements or not following accounting standards.*	• *Increasing the client base to reduce the impact of having a financial reliance on one client* • *Reporting any intimidation (perceived or otherwise) to a senior member of the team, another partner or to the ICAB technical and ethics support helpline* • *Be prepared to resign from the role or the client relationship if the intimidation cannot be avoided or negated* • *Having a secondary review of any significant decisions made by the entity, or a second reviewer of the client files*

1.5 *Ethical conflict resolution*

When evaluating compliance with the fundamental principles, a professional accountant may be required to resolve a conflict in complying with the fundamental principles. Thefollowing framework which assists members in resolving potential ethical problems. It is a useful tool to resolving issues.

- *Gather the relevant facts and identify the problems.*
- *Identify the affected parties.*
- *Consider the ethical issues involved.*
- *Identify which fundamental principles are affected.*
- *Refer to the employing organisation's internal procedures.*
- *Consider and evaluate alternative courses of action.*
- *Implement the course of action and monitor its progress.*

Professional skills focus: Structuring problems and solutions

In your exam, a good approach to answering questions which present an ethical problem would be to:

- *Identify the fundamental principle in question.*
- *Identify the threat.*
- *Suggest safeguards, relevant to the scenario.*

Worked example: Ethical considerations

You are a reporting accountant in a company. Your immediate manager is a very forceful, domineering individual and you have generally accepted your manager's views in respect of preparation of the financial statements. Your manager has instructed you as to how to recognise revenue in the year, which you do not believe complies with the relevant IFRS Accounting Standard. According to your manager's instructions, revenue has increased by 200% during the current reporting period. Your manager has stated that this is important for ensuring that the company meets its profit targets and that bonuses will be paid to all staff if the targets are met.

Requirement
Explain the ethical issues that arise for you and determine the appropriate course of action you should take.

Solution

*Consider the **fundamental principles** most at risk in the scenario:*

- ***Objectivity** – your objectivity is at risk (there is a self-interest threat) due to the domineering personality of the manager and the fact that a bonus is available if objectives are met.*
- ***Professional competence and due care** – if you are concerned that revenue has not been recognised in accordance with technical and professional standards, your professional competence may be called into question.*

You should not comply with your manager's request. You should politely decline to recognise revenue per their instructions and try to explain your reasoning by reference to the IFRS Accounting Standards. If your manager does not agree, you should escalate it within your organisation or contact the ICAB technical and ethics support team.

Interactive question 1: Ethical considerations

Your employer has put you in charge of a project which, when you considered it carefully, requires expertise that you do not have. You are uneasy about doing the job given that you do not have the necessary expertise and are uncertain about what to say to your employer.

Requirements

Consider the following points in your answer:

(a) *What are the main fundamental principles being threatened in this scenario?*

(b) *What are your possible courses of action?*

*See **Answer** at the end of this chapter.*

1.6 Practical significance

Accountants working within a financial reporting environment can come under pressure to improve the financial performance or financial position of their employer. Finance managers who are part of the team putting together the results for publication must be careful to withstand pressures from their non-finance colleagues to indulge in reporting practices which dress up short-term performance and position. Financial managers must be conscious of their professional obligations and seek appropriate assistance from colleagues, peers or independent sources.

2 Sustainability-related disclosure

Section overview

- *Reporting on sustainability issues is a key part of a company's dialogue with its stakeholders.*
- *Almost all annual reports will therefore include some information on sustainability-related matters.*
- *The International Sustainability Standards Board (ISSB) has issued two **IFRS Sustainability Disclosure Standards** which specify sustainability-related disclosures to meet the needs of investors.*

2.1 Introduction

In Chapter 1, we considered the different needs of users of the annual report and saw that many of those users require sustainability information. In fact, reporting on sustainability issues is now a key part of a company's dialogue with its stakeholders. Companies that fail to provide this information are likely to be at a significant disadvantage in attracting and retaining investors and appealing to wider stakeholders. Almost all annual reports will therefore include at least some information on sustainability-related issues, with many companies also choosing to publish separate sustainability reports.

*The **ACA Sustainability Glossary**, which is available in the introduction section of this Workbook, defines sustainability as follows.*

Definition

***Sustainability:** Sustainability is a broad term that encompasses an environmental and social focus to improve people's lives and improve the planet for the long-term. The technical*

definition of sustainability comes from the 1987 Brundtland report, and is defined as development that: 'meets the needs of the present without compromising the ability of future generations to meet their own needs'.

Frameworks, goals or categories for sustainability can help to break it down for practical application. This is where characterisations such as environmental, social and governance (ESG) or environmental, social and economic factors can be useful.

Sustainability is not limited to the environment. Interpretations of the scope of sustainable development have developed from a narrow interpretation which focused on 'green issues' to broader interpretations which include concerns such as:

- *Increasing extremes of poverty and wealth*
- *Population growth*
- *Biodiversity loss*
- *Deteriorating air and water quality*
- *Climate change*
- *Human rights*
- *Bribery and corruption*
  (ACA Sustainability Glossary)

In Accounting, we saw that there are two fundamental aspects to sustainability as it relates to a business:

- *One is a how a company **positively or negatively affects** the environment and society, known as '**impacts**'.*
- *The other is the **reliance the company has** on issues of environment (eg, natural resources) and on people and society (eg, employees and workers), known as '**dependencies'**.*

*A company's dependencies, and often also its impacts, create **sustainability-related risks and opportunities** for the company.*
Professional accountants, by working with other experts, play a key role in the identification, analysis and reporting of a company's impacts, risks and opportunities.

In Financial Accounting and Reporting we will build on the knowledge learned in Accounting to consider the reporting of sustainability issues in more detail, as well as considering the effect of sustainability issues on the financial statements.

*In this section, we will look briefly mandatory reporting under the **TCFD recommendations** and the publication of **IFRS Sustainability Disclosure Standards**. In the next two sections we will consider the IFRS Sustainability Disclosure Standards in more detail. In the final section of this chapter, we will look at the ethical considerations relating to sustainability reporting.*

Context example: Heineken

To highlight how important sustainability information has become, we can look at the example of Heineken, the Dutch brewer. The press release accompanying its 2023 combined financial and sustainability annual report contained no comments on the financial performance of the business and yet seven different comments on how it was performing in relation to its sustainability strategy, Brew a Better World 2030. The press release has been reproduced below.

Press release: Heineken N.V. publishes combined financial and sustainability Annual Report 2023
Key highlights from HEINEKEN's Annual Report 2023 include:

- *Q&A with Dolf van den Brink, Chairman of the Executive Board and CEO, on our EverGreen strategy.*
- *2023 detailed business review, highlights from our brands and innovations and financial statements.*

- *Insights about our EverGreen strategic priorities to shape the future of beer and beyond; fund the growth, fuel the profit; raise the bar on sustainability & responsibility; become the best-connected brewer; unlock the full potential of our people.*
- *Progress made on Brew a Better World 2030:*
  - *34% reduction of absolute **carbon emissions** in scope 1 and 2 since 2018, on our path to become net zero by 2030, and in our full value chain by 2040.*
  - *We maintained **water usage** in our breweries to 3.0 hectolitre per hectolitre (hl/hl) in water- stressed areas and improved to 3.2 hl/hl on average worldwide; We also launched our global circularity strategy focused on packaging, where we aim to increase reusability, maximize recycled content, and improve recyclability.*
  - *We increased the **percentage of women** in senior management positions to 28%, with the aim to increase this to at least 30% by 2025 and 40% by 2030.*
  - *100% of our direct employees now earn a **fair wage** according to the Fair Wage Network, reaching our 2023 goal.*
  - *100% of our in-scope markets had a **social impact initiative** in place, as well as a partnership with governments and society to **address alcohol related harm**.*
  - ***Heineken 0.0** [non-alcoholic beer] is now available in 114 markets.*
  - *To continue to lead the debate, our operating companies have invested 14% of Heineken media spend, reaching almost 900 million unique consumers worldwide **through responsible consumption campaigns**.*

(Heineken, 2024)

2.2 Task Force on Climate-related Financial Disclosures

*The FRC Bangladesh is planning to mandate that the largest Bangladeshi-registered companies provide disclosures, on a **'comply or explain'** basis, in line with the recommendations of the **Task Force on Climate-related Financial Disclosures (TCFD)**.*
The TCFD responded to a growing demand from investors and lenders for improved disclosure of climate-related risks and opportunities for decision-useful, climate-related financial information. The TCFD recommended the provision of climate-related metrics and information needed to undertake robust and consistent analysis of the potential financial impacts of climate change.

*The TCFD recommendations are structured around four core elements – **governance, strategy, risk management,** and **metrics and targets** (TCFD, p 14). Each of these core elements includes reporting requirements and additional guidance for disclosing organisations.*

*In particular, the TCFD recommendations focus on **forward-looking financial disclosure**. Organisations are required to identify **climate-related risks and opportunities**, to consider **the financial implications**, and to assess the **resilience of the business strategy** to future climate outcomes.*
*The TCFD recommends organisations use **scenario modelling** to explore future business risks arising from climate change and present the findings in the narrative report.*

In order to state that the disclosures are consistent with the recommendations, management will need to ensure it is embedding the recommendations of the TCFD across the organisation and describe the activities it is undertaking.

Professional skills focus: Assimilating and using information

Embedding the recommendations of the TCFD will likely require collaboration between the finance team and sustainability experts within an organisation. For example, the finance team will need to integrate business decisions that have resulted from the outputs of the scenario

modelling into budgets and forecasts. Critically, the finance team will need to ensure that the financial statements are aligned with the TCFD disclosures and resulting risk management and strategic decisions.

The recommendations of the TCFD were fully incorporated into the ISSB standard IFRS S2 Climate- related Disclosures. As such, in October 2023, the TCFD was deemed to have met its remit and was disbanded. Responsibility for monitoring the progress of companies' climate-related disclosures was passed to the IFRS Foundation.

2.3 ISSB and IFRS Sustainability Disclosure Standards

The International Sustainability Standards Board (ISSB) is responsible for the development of IFRS Sustainability Disclosure Standards (ISSB Standards).

The ISSB was formed in response to calls for a ***comprehensive global set of sustainability disclosure standards that meet the needs of investors****. Investors need information that allows them to assess the prospects of the company, so they need information about the* ***sustainability-related risks and opportunities*** *the company faces. Although many companies provide information about sustainability in their annual reports, this information does not always meet the needs of investors: it often varies in quantity and quality, and it may only consider the company's impacts and not its sustainability-related risks and opportunities.*
The ISSB has four key objectives:

(a) *to develop standards for a global baseline of sustainability disclosures;*

(b) *to meet the information needs of investors;*

(c) *to enable companies to provide comprehensive sustainability information to global capital markets; and*

(d) *to facilitate interoperability with disclosures that are jurisdiction-specific and/or aimed at broader stakeholder groups.*

(IFRS Foundation, n.d.)

The ISSB issued the first two ISSB Standards in June 2023:

- *IFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information*
- *IFRS S2: Climate-related Disclosures*

To state compliance with ISSB Standards, companies must apply both standards.

The standards are effective for reporting periods beginning from 1 January 2024, though earlier adoption is permitted provided both standards are applied together.

The ISSB has no power to mandate the use of the ISSB Standards*. It is for national governments to determine whether to make their application mandatory within their own jurisdictions. FRC Bangladesh, responsible for standard setting plans to incorporate the requirements of the ISSB Standards into a set of Sustainability Disclosure Standards, which then may in future become mandatory.*

The requirements of each standard are discussed in the next sections.

2.4 Future development

The ISSB's intention is that the ISSB Standards will cover a range of environmental, social and governance (ESG) topics on which investors want information, including topics such as biodiversity and ecosystems, human capital and human rights.

Professional skills focus: Structuring problems and solutions

Issues relating to sustainability are complex and rapidly evolving. ICAB Chartered Accountants are not expected to be experts on all areas of sustainability but do need to develop a level of

understanding and competency in sustainability issues and reporting requirements in order to work effectively with sustainability experts and to connect information on sustainability with financial information.

3 IFRS S1: General Requirements for Disclosure of Sustainability-related Financial Information

Section overview

- *IFRS S1 specifies the general requirements for the disclosure of **sustainability-related risks and opportunities** in order to **meet the needs of investors.***
- *The information presented must be **material** and **presented fairly**, which means it must be relevant and a faithful representation.*
- *The core content of IFRS S1 is structured around the key headings seen in the TCFD recommendations: **governance, strategy, risk management** and **metrics and targets**.*

3.1 Objective

*IFRS S1 requires a company to disclose information about its **sustainability-related risks and opportunities** that **is useful to primary users** when making decisions relating to providing resources to the company (IFRS S1: para. 1).*

*Information should be disclosed about **all** sustainability-related risks and opportunities that **could reasonably be expected to affect the company's prospects**. The company's 'prospects' means its cash flows, its access to finance or cost of capital over the short, medium or long term. (IFRS S1: para. 2)*

*Information about sustainability-related risks and opportunities is useful to primary users because a company's **prospects** are **inextricably linked** to how it interacts with its **stakeholders** and with **society** (ie, its relationships), and with the **economy** and the **natural environment** (resources) (IFRS S1: paras. 2-3).*

***Sustainability-related risks and opportunities** arise through a company's **dependencies** (its reliance) on those relationships and resources, and its **impacts** (its affect) upon those relationships and resources.*

Definitions

***Impacts:** Impacts considers how the decisions an organisation makes or its actions either positively or negatively affect environmental, societal and governance (ESG) issues.*

Examples of impacts include worker rights, human rights, health and safety policy, waste, greenhouse gas emissions, water usage, land usage and biodiversity.

Information on impacts is generally useful for broader stakeholders, including consumers, civil society and employees. The decisions they make are more attuned to information on how an organisation is impacting on livelihoods; for example, deforestation, equality and health.

An organisation's impacts can also be financially material due to reputational impacts such as reduced consumer demand or removal of licence to operate.

Dependencies: *Dependencies consider how the current and future environmental, social and governance issues can affect the organisation's ability to create and maintain value.*

Examples of dependencies which may affect an organisation are worker health, workplace diversity, climatic conditions, resource availability, regulation, consumer expectations, other stakeholder expectations and risks to organisational reputation.

Information on dependencies is generally more useful for investors who want to assess how well a company is managing its exposure to long-term ESG risks and hence assess the value of the company to inform investment decisions. This directly relates to financial materiality.

(ACA Sustainability Glossary)

IFRS S1 is an overarching standard, it sets the ***conceptual foundations*** *for reporting sustainability- related financial information and the* ***core content*** *of the disclosures that are required. It applies to* ***all*** *sustainability-related risks and opportunities, but it doesn't specify what those risks and opportunities are.*

To apply IFRS S1, a company must therefore identify:

1	The **sustainability-related risks and opportunities** that could **reasonably be expected to affect its prospects.**
2	The **information** about those sustainability-related risks and opportunities that is **relevant** to primary users for their decision-making and is a **faithful representation** of those risks and opportunities.

A company must make this assessment across its ***value chain****.*

Definition

Value chain: *The full range of interactions, resources and relationships related to a reporting entity's business model and the external environment in which it operates.*

A value chain encompasses the interactions, resources and relationships an entity uses and depends on to create its products or services from conception to delivery, consumption and end-of-life, including interactions, resources and relationships in the entity's operations, such as human resources; those along its supply, marketing and distribution channels, such as materials and service sourcing, and product and service sale and delivery; and the financing, geographical, geopolitical and regulatory environments in which the entity operates.

(IFRS S1: Appendix A)

To help a company to ***identify its sustainability-related risks and opportunities****, a company should (IFRS S1: paras. 54-55):*

- *First: apply* ***other ISSB Standards*** *(which at present is only IFRS S2 Climate-related Disclosures)*
- *Then, in addition: consider the* ***disclosure topics*** *of the 77 industry-based* ***SASB (Sustainability Accounting Standards Board) Standards****, which are now part of the IFRS Foundation*

Companies may also want to consider other sources, including the sustainability-related risks and opportunities identified by companies operating in the same industry or geographic area.

*To identify **what to disclose** about a sustainability-related risk or opportunity, companies are again required to apply the ISSB Standard that applies to that sustainability-related risk or opportunity. In the absence of an ISSB Standard, so currently for any topic other than climate, IFRS S1 requires companies to **apply judgement to identify the information to disclose**. In making that judgement, companies should again consider the **SASB Standards**, and then may also refer to other sources. (IFRS S1: paras. 56–58)*

Professional skills focus: Applying judgement

Judgement is needed to identify the sustainability-related risks and opportunities a company faces, and to determine what to disclose about those identified risks and opportunities. ICAB Chartered Accountants can use their skills of assimilating and using information and of making materiality judgements along with knowledge of the business and wider economy to work with sustainability and other professionals to identify the sustainability-related risks and opportunities the company faces.

3.2 Conceptual foundations

*IFRS S1 is built on **conceptual foundations**, including concepts which are aligned with the IASB's*
Conceptual Framework for Financial Reporting (IFRS S1: paras. 10–24 and Appendix D):

(a) *The information disclosed must be a **fair presentation***

(b) *Only **material** information should be disclosed*

(c) *The **reporting entity** should be the same as the reporting entity in the financial statements*

(d) *The information provided should enable investors to understand the **connections** between it (eg, between different risks and opportunities or to the financial statements)*

3.2.1 *Fair presentation*

*The sustainability-related financial disclosures provided by a company should **present fairly** all sustainability-related risks and opportunities that could reasonably be expected to affect an entity's prospects.*

Fair presentation means that sustainability-related financial disclosures should be:

- ***Relevant** – capable of making a difference in the decisions made by primary users, relevance includes the concept of **materiality***
- *A **faithful representation** – complete, neutral and accurate.*

The usefulness of sustainability-related financial information is enhanced if the information is

***comparable, verifiable, timely and understandable**.*

Notes

1 *To be useful, information has to be relevant and a faithful representation of what it purports to represent. This is not a new idea for accountants as these concepts are embedded in the Conceptual Framework for Financial Reporting. However, **ensuring the usefulness of sustainability-related information can present different and new challenges**. Sustainability information tends to be **less structured**, is **often not subject to the same level of internal control or rigor** as traditional financial information, is often **harder to quantify** and is **unfamiliar to accountants**. A company must identify sustainability-related risks and opportunities **across its value chain**, and not just its internal organisation, adding to these issues.*

2 *Although accountants may be familiar with the concepts of relevance and faithful representation, applying these concepts to sustainability-related information requires different thinking. For example, some sustainability-related information is* ***aspirational*** *(targets or plans). Information presented about aspirational information should* ***still be neutral****. IFRS S1 states that this means covering both the aspirations and the factors that could prevent a company achieving those aspirations.*

3 *In the definition of faithful representation, 'accurate' is used rather than 'free from error' (which is part of the definition of faithful representation in the Conceptual Framework for Financial Reporting). These can be understood to mean the same thing. IFRS S1 explains that information can be accurate without being perfectly precise and that the factors that make information accurate depend on the nature of the information and what it relates to. For example, accurate means (IFRS S1: para. D15):*

- *factual information is free from material error*
- *descriptions are precise*
- *estimates, approximations and forecasts are clearly identified as such*
- *no material errors are made in selecting and applying an appropriate process for developing an estimate, approximation or forecast*
- *assertions and inputs used in developing estimates are reasonable and based on information of sufficient quality and quantity, and*
- *information on judgements about the future faithfully reflects both those judgements and the information on which they are based.*

3.2.2 *Materiality*

Materiality is an aspect of relevance and is specific to the company. IFRS S1 only requires disclosure of information about an identified sustainability-related risk or opportunity if that information is ***material****.*

Definition

Material sustainability-related financial information: *In the context of sustainability-related financial disclosures, information is material if omitting, misstating or obscuring that information could reasonably be expected to influence decisions that primary users of general purpose financial reports make on the basis of those reports, which include financial statements and sustainability- related financial disclosures and which provide information about a specific reporting entity. (IFRS S1: para. 18)*

The ISSB is focused on meeting the ***information needs of investors****, and therefore the definition of 'material' is aligned with the definition used in IFRS Accounting Standards. By definition then, the ISSB Standards require disclosure of information about sustainability-related risks and opportunities only in so far as that information could influence the decisions of primary users.*

This is in contrast to the requirements of the European Union's ***Corporate Sustainability Reporting Directive (CSRD)*** *which consider a* ***broader group of stakeholders*** *and include the concept of '****double materiality****' and so requires disclosure of information where a company has a material impact on people or the environment.*

Definition

Double materiality: *Double materiality means considering not only the sustainability issues that might create financial risks for the company (****financial materiality****), but also those sustainability issues where a company's activities materially impact on people and the environment (****impact materiality****).*

(ACA Sustainability Glossary)

Note: *The CSRD and double materiality are beyond the scope of the Financial Accounting and Reporting syllabus and are included here for information purposes only.*

The ISSB has stated that 'Disclosures made in accordance with IFRS Sustainability Disclosure Standards are conceptually and practically complementary to—but not a replacement for—reporting on a company's significant impacts on people, the environment and the economy.' (IFRS S1: para BC49)

Context example: Orsted

The Danish energy supplier Orsted has completely transformed itself within ten years from a coal- intensive 'dirty' energy producer to today being ranked as one of the world's most sustainable energy companies.

Orsted will be required to report in the future under the EU's CSRD, and for the annual period ending December 2023, it chose to begin to apply the requirements of the European Sustainability Reporting Standards (ESRSs) in preparation for full reporting.

The CSRD requires a company to undertake a double materiality assessment (impact materiality and financial materiality) in order to identify its material impacts and risks. Orsted identified the following risks from its ***financial materiality*** *assessment:*

Risk	*Description*
Transition climate-related risk related to potential lackof political support for the continued renewable energy build out	*A 1.5C-aligned global phase-out of fossil fuels or a tax on GHG emissions is not a risk to our business model. On the contrary, the transition risk to us relates to potential insufficient political and regulatory support to mitigate climate change and to the continued renewableenergy build-out, which may lead to uncertainty in investment conditions for future projects. We are actively engaged in climate-related advocacy, calling our stakeholders to action for activities that will accelerate the renewable energy build-out.*
Physical chronic and acute climate-related risks	***Chronic:*** *Dependency of renewable energy generation on natural resources,such as wind patterns, may lead to uncertainty in production estimates.* ***Acute:*** *Increase in the severity and frequency of extreme weather eventsmay result in extended temporary shutdowns and an increase in repair needs.* *We assess the resilience of all new assets towards the occurrence of climate-related hazards.*
Availability of materials and components	*An accelerated increase in the demand for renewables coupled with inelastic supply chains would require rapid maturation of sustainable solutions (eg, reuse and recycling of materials for main components and use of low-emission materials). We take measures to, for example, reduce and optimise resource usage, and prolong the lifetime of our assets.*
Suppliers' breach of contractual agreements on humanrights commitments	*Expansion of operations into high-risk geographies may increase the likelihood of suppliers breaching contractual human rights commitments, which may lead to reputational damage and affect the ability to proceed with project plans. We therefore use country riskas a screening and assessment parameter in our due diligence approach.*

Risk	*Description*
Balancing the global pace for deployment of renewable energy with local community interests	*Local opposition – if not managed early in our projects – may result indelays in project work and costs associated with community lawsuits. Our commitment to engage with communities and uphold humanrights is outlined in our global human rights policy, stakeholder engagement policy, and just transition policy.*
Consent of Indigenous communities	*Authorities not fully complying with the process for engaging with Indigenous communities in order to obtain free, prior, and informed consent in future projects may lead to public opposition or lawsuits, whichmay cause additional costs and affect the ability to proceed with project plans.*

Although the CRSD is beyond the scope of the Financial Accounting and Reporting syllabus, using financial materiality to identify sustainability-related risks and opportunities is a requirement of IFRS S1. It is therefore useful to see how this has been applied by a company leading the way in sustainability and sustainability reporting. It is also interesting to note that Orsted chose not to assess

and report on its opportunities this year and has acknowledged that reporting in line with the CSRD for the first time in in 2024 will be a 'huge task'.

(Orsted Annual Report, 2024)

3.3 Core content

*The **core content** of IFRS S1 requires a company to disclose how it manages its sustainability-related risks and opportunities under four headings: **governance**, **strategy**, **risk management**, and **metrics and targets** (IFRS S1: paras. 25–53).*

3.3.1 *Governance*

*IFRS S1 requires disclosures about the **governance processes, controls and procedures** used by the company to **monitor**, **manage** and **oversee** sustainability-related risks and opportunities.*

*The disclosures should include information about the **body** (eg, board or committee) responsible for sustainability at a governance level and how that responsibility is worked out and the involvement of **management** in monitoring, managing and overseeing such information.*

(IFRS S1: paras.26-27)

3.3.2 *Strategy*

*Disclosure is required of the approach used by the company **to manage** sustainability-related risks and opportunities. This includes:*

- *The **sustainability-related risks and opportunities** that could reasonably be expected to affect the entity's prospects over the **short, medium and long term** (these timescales are expected to mirror the strategy and planning horizons used by the entity).*
- *The **current and anticipated effects** of those sustainability-related risks and opportunities on the company's:*
  - ***business model and value chain***
  - ***strategy and decision-making***
  - ***financial position, financial performance and cash flows** for the reporting period and over the short, medium and long term*

- *The **resilience** of the entity's strategy and its business model to those sustainability-related risks*

(IFRS S1: paras.33-42)

3.3.3 *Risk management*

*IFRS S1 requires disclosures about the company's **processes** to **identify, assess, prioritise and monitor** sustainability-related risks and opportunities. This is so that users can assess the company's overall **risk profile** and its overall **risk management process.***

(IFRS S1: paras.43-44)

3.3.4 *Metrics and targets*

*The purpose of disclosures on metrics and targets is to enable users to understand the company's **performance** in relation to its sustainability-related risks and opportunities, including **progress** towards its own targets and any legal targets it has to meet (IFRS S1: para 25).*

For each sustainability-related risk and opportunity that could reasonably be expected to affect the company's prospects, the company should disclose the metrics required by the applicable ISSB Standard and the company's own metrics (which should be defined and include assumptions used) (IFRS S1: paras.46-47).

3.4 *General requirements*

A company's sustainability information should be provided as part of its annual report, along with its financial statements.

4 *IFRS S2: Climate-related Disclosures*

Section overview

- *IFRS S2 specifies the requirements for the disclosure of **climate-related risks and opportunities**.*
- *Climate-related risks are divided into **transition risks** and **physical risks**.*
- *The core content of IFRS S2 is structured around the key headings of **governance, strategy, risk management** and **metrics and targets**.*

4.1 *Objective and scope*

*IFRS S2 requires companies to identify and disclose **material information** about its **climate-related risks and opportunities** that could reasonably be expected to affect the company's prospects (IFRS S2: paras. 1–2).*

- ***Climate-related opportunities** arise from the **potential positive effects** of climate-change on a company, for example, access to new markets as a result of climate-conscious consumer preferences.*
- ***Climate-related risks** arise from the **potential negative effects** of climate-change on a company. IFRS S2 divides climate-related risks into two major categories: **transition risks** and **physical risks** (IFRS S2: paras. 3–4).*

Definitions

Transition risks: *Risks that arise from efforts to transition to a lower-carbon economy. Transition risks include policy, legal, technological, market and reputational risks. (IFRS S2: Appendix A)*

Physical risks: *Risks resulting from climate change that can be event-driven (acute physical risk) or arise from longer-term shifts in climatic patterns (chronic physical risk). (IFRS S2: Appendix A)*

Transition risks *arise from efforts to* ***adapt or transition to a lower-carbon economy.*** *Transitioning to a lower-carbon economy may entail extensive policy, legal, technology, and market changes to address mitigation and adaptation requirements related to climate change. There may be* ***financial implications*** *of these risks for companies. For example:*

- ***Policy risk****: Regulations to limit greenhouse gas emissions may result in* ***increased operating costs*** *or* ***impairment*** *of emissions-intensive assets.*
- ***Reputation risk****:* ***Reduced revenue*** *due to shifts in consumer preferences to more sustainable products.*

Physical risks *consist of:*

- ***Event-driven*** *or* ***acute risks*** *arising from specific events such as a drought, flood and fire which can mean an entity is more prone to damage from such risks; and*
- ***Longer-term*** *or* ***chronic risks*** *driven by more permanent shifts in the climate, such as rising sea- levels or changes in soil productivity, which can affect the longer-term financial position and performance of an entity as it attempts to adapt to such risks.*

Context example: Anglo American

The mining company, Anglo American, disclosed a significant number of climate-related risks and opportunities in its 2023 Integrated Annual Report. Anglo American mines many different minerals, including ***copper****, which is a critical input to clean energy technologies.*

Anglo American disclosed the following ***climate-related transition risks*** *and* ***climate-related opportunities*** *specifically in relation to copper:*

Opportunities	*Growth in power demand and increaseof renewables*	*Copper is a key material used in renewable power generation and the necessary expansion of power grids*
	Shift to electric vehicles	*Copper is a key material for enabling increased electrification across sectors including the shift from ICE vehicles to BEVs*
Transition risks	*Lower energy intensityof development*	*As energy efficiency improves, energy intensity of development decreases. This decreased energyintensity could have a negative impact on copper demand, which is a central commodity in powergeneration.*
	Reduced demand for personal vehicles	*Greater adoption of public transportation, ride sharing and other mobility levers could limit demand for personalvehicles*
	Increased collection and use of scrap copper	*A greater than expected improvement in scrap collection could offset demand growth for primary copper*

Later in its report, Anglo American described the physical climate-related risks it believes it is exposed to. These included:

Acute physical risks: extreme weather events	• *Operational disruption from heavy winds, lightning, heavy rains* • *Inadequate design parameters on key infrastructure (tailings, dams, watertreatment etc)* • *Delays at ports due to impacts on docking and loading and offloadingoperations*
Chronic physical risks: extreme heat	• *Increased heat exposure leading to reduction in workforce efficiency andincrease in fatigue* • *Exceeding equipment design criteria leading to breakdowns anddowntime* • *Increase in energy consumption for ventilation and cooling Impact on railways (rail buckling)*

(Anglo American, 2024)

4.2 Core content

*The **core content** of IFRS S2 follows the structure of IFRS S1 (and the TCFD) and requires disclosure under the four headings: **governance, strategy, risk management**, and **metrics and targets**.*

4.2.1 Governance and risk management

The disclosures required by IFRS S2 for both governance and risk management mirror those under IFRS S1 for these areas, except they are specific to 'climate-related' risks and opportunities, rather than generally sustainability-related risks and opportunities.

Both IFRS S1 and S2 state that if the risks and opportunities are managed on an integrated basis, then the disclosures required can also be integrated, to avoid duplication.

4.2.2 Strategy

Disclosure is required of the strategy used by the company to manage climate-related risks and opportunities. Many of the disclosures mirror those in IFRS S1, but there are a significant number of additional climate-specific disclosures required, including:

- *Information on both **physical** and **transition risks***
- *Information on the company's **climate-related transition plan***
- *The **resilience** of the company to **climate-related changes. Climate-related scenario analysis** is required to assess the resilience (IFRS S2: para. 22).*

4.2.3 Metrics and targets

*As with IFRS S1, a company is expected to disclose **how** it uses metrics and targets to manage its climate-related risks and opportunities, including what **progress** it has made towards its chosen targets (IFRS S2: para.27).*

*The disclosures are required to include **cross industry metric categories** including the following:*

- ***Greenhouse gas emissions** – Scope 1, 2 and 3 emissions measured in accordance with the Greenhouse Gas Protocol*
- ***Internal carbon prices** (such as the price per tonne of greenhouse gas emissions) if used*
- *The **proportion** of the company's assets or business activities that are vulnerable to **transition risks** and **physical risks** and the proportion aligned with **climate-related opportunities**.*
- *The amount of **capital deployed** and **executive remuneration** linked to climate-related risks and opportunities*

(IFRS S2: paras.27-29)

*Targets are expected to be **justified** in terms of how **progress** against them can be **reported**, whether they are **absolute targets** (eg, an airline may propose a 5% reduction in CO2 emissions by a specific year) or **intensity targets** (eg, the airline may instead specify a 5% reduction in the amount of CO2 emissions per mile travelled by a specific year) plus relevant **timescales**, **milestones** and **starting positions** as well as how they **compare** with any international agreements currently in force. The entity should also disclose whether they have obtained any **third party assurance** on their target information (IFRS S2: paras.33-34).*

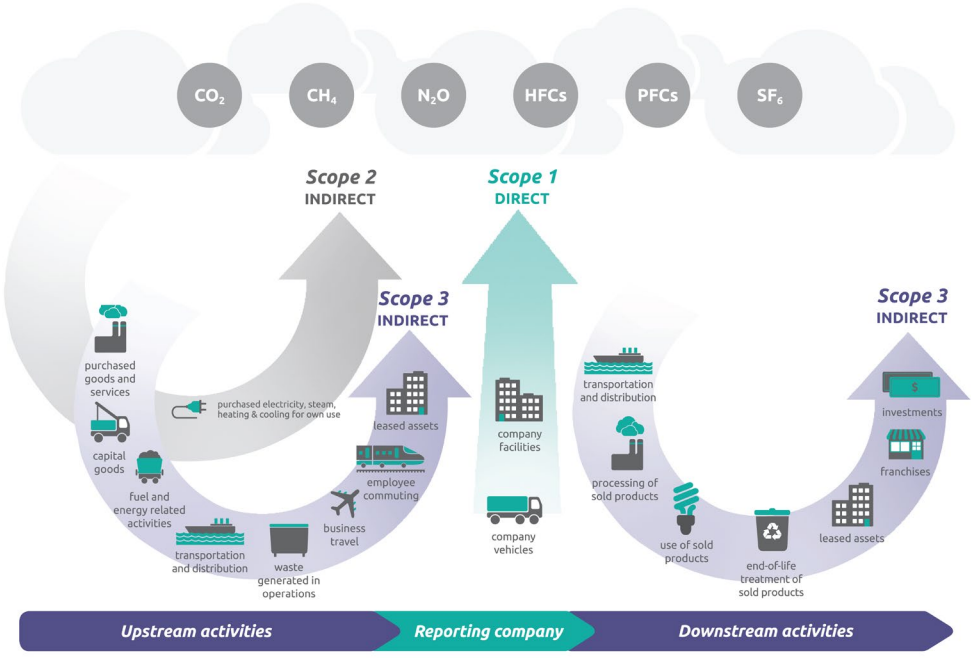
4.2.4 *Greenhouse gas emissions*

*IFRS S2 requires the disclosure of a company's greenhouse gas emissions following the **Greenhouse Gas (GHG) Protocol**. The GHG Protocol issued the world's most widely used GHG accounting and reporting standard for quantifying and managing GHG emissions. It categorises GHG emissions in to three categories: Scope 1, 2 & 3.*

Definition

***GHG emissions – Scope 1, 2 & 3:** Scope 1, 2 and 3 is a way of categorising different kinds of Greenhouse Gas (GHG) emissions.*

- ***Scope 1:** The GHG emissions that an entity makes directly by eg, running boilers and vehicles.*
- ***Scope 2:** The GHG emissions it makes indirectly by eg, purchasing electricity or energy that is produced on its behalf.*
- ***Scope 3:** All the GHG emissions the entity is indirectly responsible for, up and down its value chain eg, by buying products from its suppliers, and from its products when customers use them.*



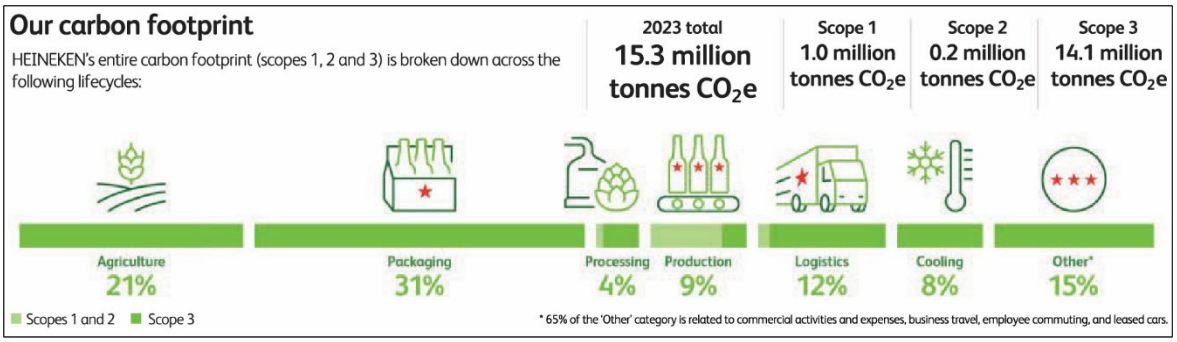
(ACA Sustainability Glossary)

Scope 3 emissions can often make up the largest share of a company's total GHG emissions. However, they are very difficult to measure for various reasons, including resource constraints to process the large amount of data involved and the fact that collection of that data requires cooperation from stakeholders in the supply chain. This difficulty means that companies are not always reporting their scope 3 emissions.

Note: *The amount of GHG emissions are often quoted in terms of tonnes of carbon dioxide equivalent (or CO2e) which represents emissions of all greenhouse gases, aggregated and converted to units of CO2e.*

Context example: Heineken GHG emissions

Heineken NV, the Dutch brewer, reported its carbon footprint in its annual report in 2023. The biggest share of Heineken's GHG emissions comes from scope 3 emissions, making up 14.1 million tonnes of CO2e out of a total of 15.3 million tonnes of CO2e:



Heineken has set itself a target to reach net zero scope 1 and 2 emissions by 2030 and reduce scope 3 emissions by 21% by 2030, and net zero by 2040. In 2023, it achieved a reduction of 34% against 2018 figures for scope 1 and 2 and a 20% reduction in scope 3.

(Heineken, 2024)

5 *Ethical considerations in sustainability information*

Section overview

- *To be useful, sustainability-related information must be reliable.*
- *There have been many instances reported in the media of misleading or false sustainability claims made by companies – known as greenwashing.*
- *This raises ethical considerations for ICAB Chartered Accountants in collecting, preparing and reviewing sustainability information.*

*To be useful to stakeholders, the sustainability-related information disclosed by companies must be **reliable** and **stand up to scrutiny**. Unfortunately, it appears some companies are not always being honest with their sustainability claims, and accusations of **greenwashing** have been levelled at well- known brands.*

5.1 *Greenwashing and green hushing*

Definition

Greenwashing: *Greenwashing usually refers to practices that involve misleading intended users of the information, or intentionally giving them a false impression about how well an organization or an investment is aligned with its sustainability goals (IESBA, 2022).*

*The term greenwashing was originally used when companies made claims that their operations or products were more environmentally friendly than they actually were. However, the term is often now used in a wider context to also include social issues, as seen in the definition used above. (The term '**social washing**' is also sometimes used, where companies present misleading information or obscure information on an underlying social issue, such as gender balance in leadership roles, in an attempt to safeguard reputation or performance (Rep Risk, 2023)).*

Greenwashing can take many forms, for example: making false claims about a product's environmental benefits, using 'green labels' on products to make them appear more sustainable or healthy, or the contradiction between a positive image presented and an underlying issue such as poor employment conditions or human rights abuses in the supply chain.

*Companies are also making **misleading, exaggerated or false claims** about their **carbon footprints** and about being 'carbon neutral'. As the next example shows, some claims of being carbon neutral are achieved purely through purchasing carbon offsets, with little transparency over the company's plans to actually reduce its emissions or whether the offsets purchased are actually worth having.*

Context example: Greenwashing?

The Changing Markets Foundation, a Dutch non-profit which campaigns on sustainability issues, has highlighted many examples of greenwashing by well-known brands.

*One example is a brand of sweets which **claims to be carbon neutral**. However, investigation by the Changing Markets Foundation found that the carbon neutral claim was achieved entirely through offsetting, not actual or planned reduction of emissions, and was far from transparent. In addition, the carbon offsets are claimed by supporting certain rainforest protection projects which have since been discredited through media investigations 'which found that more than **90% of their rainforest carbon offsets were 'worthless'**.'*

(greenwash.com, n.d)

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*The same greenwashing problems are seen in the **financial sector**, with terms such as 'ESG', 'responsible', 'green' and 'sustainable' being used loosely and interchangeably. Greenwashing may be **deliberate**, overstating the company's green credentials to capitalise on consumer and investor demand for more sustainable products and services. Or it may be **accidental**, due to lack of competence by the reporting company.*

*Ultimately, **greenwashing is deceptive and misleading.** It not only **damages trust** with investors and consumers, but it also hinders progress towards collective sustainability goals.*

*As the accusations of greenwashing increase, it seems companies might now be choosing to publish less sustainability information in a trend which is known as '**green hushing**'. A survey from the climate- action organisation, South Pole, reported that most of the companies it surveyed were **actively decreasing their climate communications**, despite being aware that 'communicating net zero is good for their bottom line' (South Pole, 2024). The reasons for this included difficulty in adapting to new regulations and compliance schemes, fear of investor scrutiny (in some sectors) and lack of guidance on best practice.*

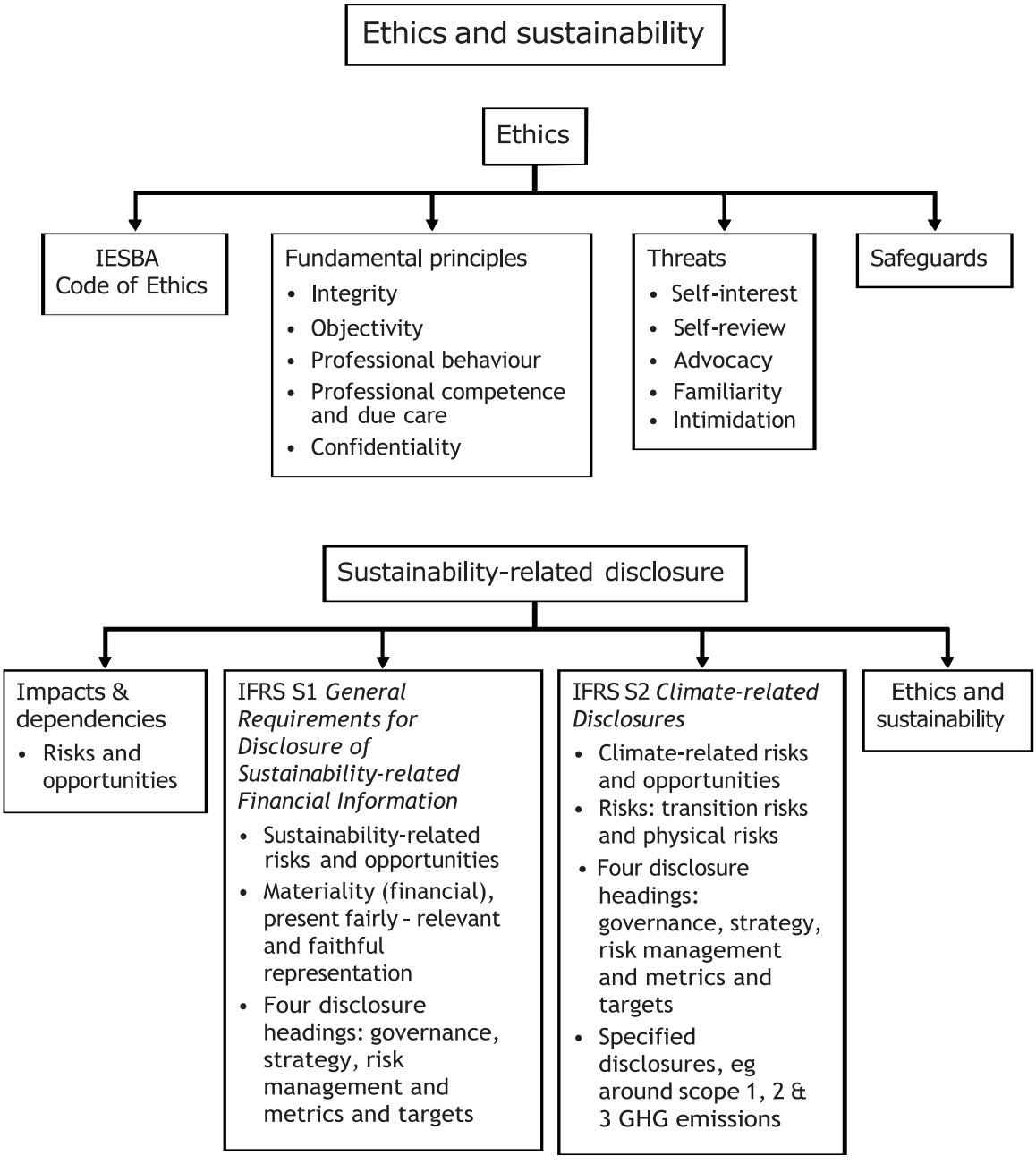
5.2 *Ethical considerations*

Issues of greenwashing and green hushing show us that there are serious ethical considerations for professional accountants involved in preparing, collating and reviewing sustainability information. These include:

- *It is a **breach of the fundamental principle of integrity** to be associated with misleading or false information. This extends not just to financial information, but sustainability information as well.*

- *Compliance with laws and regulations is required as part of the fundamental principle of professional behaviour. If a company claims compliance with ISSB Standards, and then presents misleading information or deliberately omits or obscures information, this would result in non-compliance and a potential* ***breach of professional behaviour*** *for an ICAB Chartered Accountant associated with the information.*
- *ICAB Chartered Accountants are required to comply with the fundamental principle* ***of professional competence and due care****. This principle applies when preparing or reviewing sustainability-related information. If an ICAB Chartered Accountant does not feel they have the relevant expertise to work on sustainability-related information, they should consult an expert or undertake training before being involved in that work.*
  It is important to apply ***professional scepticism*** *to the production, collection and review of sustainability information. An ICAB Chartered Accountant should adopt an attitude of a* ***questioning and inquiring mind****, not accepting all information at face value and being alert to the need for further investigation or the possibility of error.*

Summary


Ethics and sustainability
Ethics
IESBA Code of Ethics
Fundamental principles
• Integrity
• Objectivity
• Professional behaviour
• Professional competence and due care
• Confidentiality
Threats
• Self-interest
• Self-review
• Advocacy
• Familiarity
• Intimidation
Safeguards
Sustainability-related disclosure
Impacts & dependencies
• Risks and opportunities
IFRS S1 General Requirements for Disclosure of Sustainability-related Financial Information
• Sustainability-related risks and opportunities
• Materiality (financial), present fairly - relevant and faithful representation
• Four disclosure headings: governance, strategy, risk management and metrics and targets
IFRS S2 Climate-related Disclosures
• Climate-related risks and opportunities
• Risks: transition risks and physical risks
• Four disclosure headings: governance, strategy, risk management and metrics and targets
• Specified disclosures, eg around scope 1, 2 & 3 GHG emissions
Ethics and sustainability

Further question practice

1 *Knowledge diagnostic*

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1	Can you define and explain the five fundamental ethical principles defined in the IESBA *Code of Ethics*? (Topic 1)
2	Can you explain the different threats to the fundamental principles and what safeguards could be applied to mitigate those threats? (Topic 1)
3	Can you define sustainability and explain the two fundamental aspects to reporting on sustainability issues? (Topic 2)
4	Can you explain why the ISSB was formed? (Topic 2)
5	Can you explain the objective, conceptual foundations and core content topics of IFRS S1? (Topic 3)
6	Can you explain the objective and scope of IFRS S2 and the difference between transition risks and physical risks? (Topic 4)
7	Can you explain the key ethical considerations for ICAB Chartered Accountants in working with sustainability information? (Topic 5)

2 *Question practice*

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Sustainability-related disclosure	This tests your knowledge and understanding of why sustainability-related disclosure is useful to investors.
Kumquat	This question tests your knowledge of the fundamental ethical principles and whether you can identify possible breaches of these in a given

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Laderas plc (parts 4 and 5 only)	Question requiring you to explain the limitations of financial statements and a discussion of the ethical issues in the scenario (total of 9 marks, 16 minutes suggested timing).
Chayofa (part 2 only)	Question requiring you to explain the usefulness of sustainability-related disclosures and provide examples of impacts and dependencies.

Once you have attempted these questions, you can continue your studies by moving onto the next chapter where you will be using the knowledge gained in this chapter.

Technical reference

1 *IESBA Code of Ethics*

IESBA Code of Ethics parts 1, 2 and 3, including definitions

2 *IFRS S1, General Requirements for Disclosure of Sustainability-related Financial Information*

The whole of IFRS S1 is examinable. The paragraphs listed below are the key references you should be familiar with.

- *Requirement to disclose sustainability-related risks and opportunities that is decision-useful for primary users –* ***IFRS S1: 1***
- *To identify risks and opportunities and disclosure required, first refer to other ISSB Standards and then to SASB Standards, then to other sources –* ***IFRS S1: 56 – 58***
- *Conceptual foundations: fair presentation (relevant and faithful representation), materiality, reporting entity (same as for financial statements) and connected information to financial statements –* ***IFRS S1: 10-24, and Appendix D***
- *Core content: disclosure across four areas of governance, strategy, risk management and metrics and targets –* ***IFRS S1: 25 – 53***
- *Sustainability-related information should presented with financial statements in annual report –* ***IFRS S1: 60, 64***

3 *IFRS S2, Climate-related Disclosures*

The whole of IFRS S2 is examinable. The paragraphs listed below are the key references you should be familiar with.

- *Requirement to disclose climate-related risks and opportunities that is decision-useful for primary users –* ***IFRS S2: 1***
- *Climate-related risks can be physical risks (acute and chronic) or transition risks –* ***IFRS S2: 3***
- *Core content: disclosure across four areas of governance, strategy, risk management and metrics and targets -* ***IFRS S2: 5 – 37***
- *Requirement to conduct scenario analysis to assess climate resilience –* ***IFRS S1: 22***
- *Requirement to disclose greenhouse gas emissions using the GHG Protocol Scopes 1, 2 and 3 –* ***IFRS S1: 29***
- *Requirement to disclose climate-related targets (eg, emissions reductions) and performance against those targets, including use of carbon offsets –* ***IFRS S1: 33, 35, 36***

4 *References*

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Self-test questions

Answer the following questions.

1 *Kumquat*

You are Habib, an ICAB Chartered Accountant employed by Gazi & Co., a firm of ICAB Chartered Accountants. You have recently been seconded to Kumquat Ltd to assist it in finalising its financial statements for the year-ended 30 June 2017. Kumquat Ltd operates a number of garages, from which it sells and services cars.

Mahi, another ICAB Chartered Accountant with Gazi & Co., who is due to leave the firm shortly, has been assisting you with your work at Kumquat Ltd.

Yesterday, whilst working at Kumquat Ltd, you overheard Mahi talking to a friend on his mobile phone. Mahi was telling his friend about the work he is doing at Kumquat Ltd, and made the following remarks:

'I'm not really enjoying this assignment. I'm working on financial reporting issues where new IFRS Accounting Standards have been introduced since I qualified, and I am struggling to understand how to apply these new rules.

I know you are about to buy a new car. This has not yet been publicly announced, but I've heard that Kumquat Ltd will be launching a massive sale at the start of next month so it might be to your advantage to wait until then.

The finance director has also offered me a significant discount on a new car if I can persuade Habib, my senior on this job, not to make too many changes to the draft financial statements. If I manage to do this, I could buy a car on your behalf and pass some of the discount on to you, in which case we'd both gain.'

Requirement

Set out and describe the five fundamental principles of the IESBA Code of Ethics. Identify, with reasons, which of these principles may be breached by Mahi in the above scenario.

2 *Sustainability-related disclosures*

Give two reasons why sustainability-related information might be useful to investors, referring to the concepts of 'impacts' and 'dependencies' in your answer.

3 *Climate-related risks*

Explain the two different types of climate-related risks identified by IFRS S2 Climate-related Disclosures and provide an example of each.

4 *An ethical dilemma*

You are preparing the end of year financial statements for Book and Barter Ltd. This requires the collation of divisional information in respect of revenue and costs. Your colleague, Jago, has mentioned that this collation of data can be made more efficient by uploading the information to a cloud-based service provider which is integrated with a social media platform and releases information directly to the public via social media posts. This cloud-based service provider is relatively new and not yet authorised for use by Book and Barter Ltd as it cannot confirm that it complies with data protection laws. Jago has suggested this method as the current tools for sharing the divisional information is slow and causes a heavy workload.

Requirements

4.1 *Referring to the IESBA Code of Ethics, explain the fundamental ethical principles that are threatened in this scenario.*

4.2 *State what actions could be appropriate in this circumstance to reduce the threat to the fundamental ethical principles in the IESBA Code of Ethics.*

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

(a) ***Key fundamental principles***

Professional competence and due care – Do you have the necessary skills and experience to undertake the work?

Professional behaviour – How should you proceed so as not to discredit yourself?

(b) ***Possible courses of action***

Discuss your lack of expertise with your employer and suggest clearly defining the scope of the project and a course of action for addressing this issue, for example employing a person with the necessary expertise.

If your employer does not agree to the suggested course of action, it may be appropriate to discuss the matter with the next level of management or raise the issue using your employer's whistleblowing helpline. As a last resort, you can contact the ICAB technical and ethics support helpline.

Answers to Self-test questions

1 *Kumquat*

The five fundamental principles

***Integrity**: An accountant must be straightforward and honest in all professional and business relationships. He or she should not be knowingly associated with false or misleading reports or communications.*

***Objectivity**: An accountant should not compromise professional or business judgements as a result of bias, conflict of interest or the influence of others.*

***Professional competence and due care**: An accountant must attain and maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional service based on current technical and professional standards and relevant legislation. He or she should also act in accordance with applicable technical and professional standards.*

***Confidentiality**: An accountant must respect the confidentiality of information acquired as a result of professional and business relationships. He or she should not disclose any such information without proper and specific authority/consent, unless there is a legal or professional right or duty to disclose. He or she should not use such information for personal advantage.*

***Professional behaviour:** An accountant should comply with relevant laws and regulations and avoid any conduct that would discredit the profession.*

As illustrated in the scenario

Mahi is a Chartered Accountant and must follow the ethical principles. He has breached several principles:

***Integrity**: Mahi is not being honest and clearly shows that he lacks integrity by offering to buy his friend's car as if it was his own in order to benefit from a personal financial gain.*

***Objectivity**: Persuading Habib not to make changes to the draft financial statements in order to get a discount on a new car/share in the friend's discount is a threat to objectivity.*

***Professional competence and due care**: The fact that Mahi has not kept himself up to date since he qualified breaches professional competence and due care.*

***Confidentiality**: Telling the friend about the upcoming sale breaches confidentiality, as this information is not yet available to the general public. Such behaviour also breaches professional behaviour.*

***Professional behaviour**: Talking at length to a friend whilst on the client's time breaches professional behaviour as it means that the client is not getting the time that they are paying for.*

2 *Sustainability-related disclosures*

There are two main reasons why sustainability-related information might be useful to investors.

*Firstly, investors need information to help them make decisions about providing resources to company. Investors want to be able to assess how their investment will perform in the future, so they need information to allow them to make assessments about the company's future prospects over the short, medium and long-term. Therefore, investors need information about **sustainability-related risks and opportunities** that could reasonably be expected to affect the company's prospects.*

*Sustainability-related risks and opportunities arise from the company's **impacts and dependencies** on people, the environment and the economy.*

*Secondly, investors may want to consider whether the **company's policies in relation to its impacts** on people and the planet are **aligned with their own expectations**. Many investors now wish to make investments in companies that are contributing to sustainable development, not merely just reducing the negative impacts of their operations.*

3 Climate-related risks

*IFRS S2 separates climate-related risks into **transition risks** and **physical risks**.*

Transition risks are risks that arise from efforts to transition to a lower-carbon economy. Example: the risk that an asset becomes impaired or obsolete due to changing regulations relating to carbon emissions, eg, a highly polluting machine is no longer permitted to be used by changes in law.

Physical risks are risks resulting from climate change that can be event driven (acute physical risk) or from longer term shifts in climate patters (chronic physical risk). Example: risk that changes in water availability and average temperature affect the ability to source certain crops, such as coffee beans.

4 An ethical dilemma

4.1 *The two fundamental ethical principles most threatened in this scenario are professional behaviour and confidentiality.*

It is a requirement that information about a company should be kept confidential and secure. There is a risk that by using this new cloud-based service provider, there may be security issues and potentially a breach may occur. The colleague has made a suggestion which may cause a breach of confidentiality, potentially with the threat of self-interest (reducing the workload).

There may also be legal concerns such as breaching data protection regulations. Professional behaviour may be at risk because the cloud-based service provider is not authorised for use by Book and Barter Ltd as it cannot confirm compliance with data protection laws. If information is uploaded to the service provider, there is a significant risk that Book and Barter Ltd will fail to comply with its data protection obligations. If a data breach occurred, customers and suppliers would need to be informed and the breach becomes a public issue. Book and Barter Ltd would also be likely to face fines and other discipline. This is likely to bring Book and Barter Ltd, and in turn, the accountancy profession, into disrepute.

4.2 *Refuse to share the data in the way suggested by Jago. Only communicate company information according to company policies on information and data sharing. Report the matter to the supervisor as this is potential breach of company policy and could have wider legal implications, and potentially bring disrepute to the accountancy profession.*

Practices in the Central Government of Bangladesh

As per the constitution of Bangladesh, the Controller General of Accounts (CGA) has to prepare two accounts annually. They are – 1) Finance Accounts and 2) Appropriation Accounts.

However, focusing on the ongoing reformation of public sector accounting, the President of the country issued an order in 2021 (Memo no: 07.00.0000.082.35.001.21-439) to prepare the financial statement of the government. The Bangladesh Government had decided to adopt the IPSAS, especially the cash basis IPSAS. Therefore, as per the president's order, the CGA has to prepare the following financial accounts annually.

1. *Statement of Cash receipts and payments*
2. *Accounting Policies and Explanatory Notes*

3. *Notes to the Financial Statements*
4. *Additional Statements*
    - *Statement of **Comparison of Budget and Actual Amounts***
    - *Information on **assets and liabilities** (even though they are not recognized on cash basis)*
    - *Details of **government debt***
    - *Information about **non-cash assets** and commitments*

Therefore, as per the current situation, the CGA of Bangladesh has to maintain both the constitutional requirements and the requirements of the cash basis IPSAS.

Chapter 3
Format of financial statements

Introduction

Learning outcomes

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Examination context

Chapter study guidance

Learning topics

1 IAS 1, Presentation of Financial Statements

2 IAS 12, Income Taxes

3 Structure and content of financial statements

4 Statement of financial position

5 Statement of profit or loss and other comprehensive income

6 Statement of changes in equity

7 Statement of cash flows

8 Notes to the financial statements

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Further question practice

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Introduction

Learning outcomes

- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specified single entity scenarios

Syllabus links

You will have been introduced to the basics of company accounts in *Accounting*. In *Financial Accounting and Reporting*, you are expected to have a much more detailed understanding of the preparation of financial statements and a thorough knowledge of the regulation in this area. This knowledge will be assumed at the Advanced Stage.

Examination context

The ability to prepare financial statements for an individual entity (including the statement of cash flows) is a fundamental part of the *Financial Accounting and Reporting* syllabus and has a syllabus weighting of 60%.

In the examination, candidates may be required to:

- Discuss the way IAS 1, *Presentation of Financial Statements* builds on the principles contained in the *Conceptual Framework for Financial Reporting*, including the following matters:
  - fair presentation/ faithful representation
  - accrual accounting
  - going concern
  - materiality
- Prepare, in accordance with IAS 1, and using the proformas provided in the exam software (if applicable):
  - a statement of financial position
  - a statement of profit or loss
  - a statement of profit or loss and other comprehensive income
  - a statement of changes in equity
  - notes to the financial statements
- Prepare a statement of cash flows in accordance with IAS 7, *Statement of Cash Flows*, or extracts therefrom, from an entity's statement of profit or loss and statement of financial position or finalise a draft statement of cash flows.

Notes

1 You may be provided with a draft trial balance or nominal ledger information from which to prepare the financial statements. You must be efficient in processing adjustments against the opening balances, regardless of how they are provided.

2 Proforma financial statements will be available in the spreadsheet response area of the exam software from which you can copy, paste and edit as required when preparing your final financial statements. It is important to remember to copy your final financial statements from the spreadsheet response area into the word processing response area before submitting your exam script. Ensure you show all workings clearly.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**IAS 1, *Pres entation of Financial Statements*** You will have come across financial statements in the context of your working life. They are a fundamental part of financial reporting, audit and tax services. In order to understand the information provided by the financial statements, you need to know the basis on which the information has been prepared.	**Approach** This first section builds on your studies from Chapter 1 by looking at the accounting principles, first introduced in the *Conceptual Framework for Financial Reporting*, and then given further emphasis and expanded in IAS 1. A lot of this first topic will be familiar to you. **Stop and think** This topic has a worked example of materiality, however, think about how the assessment of materiality may be affected by the risk to potential investors.	You may be asked to explain in your own words the key terms covered in this topic.	
2	**IAS 12, *Income* Taxes** Taxation is a major expense for most companies, and it has a direct effect on cash flow and some performance measures. This topic looks at the requirements of IAS 12 relating to current tax.	**Approach** This is a short but logical topic explaining the interaction between the income tax expense in the statement of profit or loss and the tax payable liability in the statement of financial position.	Income tax will be examined as part of a computational question, likely as an adjustment when preparing financial statements.	

CHAPTER 3

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	**Structure and content of financial statements** This topic provides more detail on the requirements of IAS 1.	**Approach** The main focus of this short topic is the identification of the financial statements and understanding the reporting period.	It will be assumed throughout the *Financial Accounting and Reporting* exam that you are comfortable with the structure and content of the primary financial statements. You will be provided with a proforma statement of profit or loss and other comprehensive income and a proforma statement of financial position in your exam. You can copy and edit the proforma if you are asked to prepare these primary financial statements, or extracts therefrom, in your exam. The proformas are not a substitute for learning the IAS 1 formats.	
4	**Statement of financial position** IAS 1 provides guidance on the presentation of the statement of financial position.	**Approach** Understand the current/non-current distinction (section 4 of this topic), as well as applying your knowledge of the definition of elements from Chapter 1 (*Conceptual Framework for Financial Reporting*) in sections 7 and 8. Use the example provided (in section 1 of this topic) as a reference point throughout the course.	You might be asked to prepare a full statement of financial position (single company and/or as part of a consolidation) and/or extracts. Ensure you can use the proforma provided in the exam, including identifying any additional line items that need to be included, and can work logically through any adjustments that need to be made.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		Stop and think Consider how this topic interacts with the *Conceptual Framework*, especially the fundamental and enhancing qualitative characteristics consistency and relevance, for example.		
5	**Statement of profit or loss and other comprehensive income** IAS 1 provides guidance on the prescribed format of the statement of profit or loss and other comprehensive income.	**Approach** Refer to the example in section 1 where required throughout your studies. Also be aware of the two different ways of analysing expenses: Function of expense Nature of expense Ensure you are familiar with both for your exam. Also ensure you are comfortable with which items are presented in other comprehensive income.	You might be asked to prepare a full statement of profit or loss and other comprehensive income (single company and/or as part of a consolidation) and/or extracts. Ensure you can use the proforma provided in the exam with confidence and work logically through your questions.	
6	**Statement of changes in equity** The statement of changes in equity should also be familiar to you from your *Accounting* studies. IAS 1 provides guidance on the prescribed format.	**Approach** Use the example provided in Section 1 as a reference point and understand why this statement is prepared (effectively a reconciliation tool). **Stop and think** Do you understand how the statement of changes in equity relates to the statement of financial position?	Ensure you can logically set out a statement reconciling the movements in equity and that you understand what information will be shown. You will be provided with a basic proforma statement of changes in equity in the exam.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
7	**Statement of cash flows** You have covered single company statements of cash flow in your *Accounting* studies. This section is mainly recap. You will be developing this knowledge in the preparation of consolidated statements of cash flow later in your studies.	**Approach** This topic should be revision from your *Accounting* studies, but ensure you are familiar with the preparation of statements of cash flow because you will be covering the consolidated statement of cash flows later in your *Financial Accounting and Reporting* studies. **Stop and think** Why might stakeholders be interested in the statement of cash flows? What information does it contain that cannot be found elsewhere in the financial statements?	You may be asked to prepare extracts from a single company statement of cash flows or a consolidated statement of cash flows. In addition, you may be asked to prepare a complete consolidated statement of cash flows. You may be asked to explain movements in cash as part of an explain question. You will be provided with a basic proforma statement of cash flows in your exam.	**IQ1 Income Tax** This short question should be a reminder of how to calculate tax paid in the year. **IQ2 Cash payments for PPE** Calculating the cash purchase of PPE is often one of the trickier statement of cash flow calculations. This question will remind you of the approach. **IQ3 Interest received** Another short question to remind you of how to calculate cash interest received. **IQ4 Bonus issue** This question will remind you that you need to adjust for non-cash movements such as bonus issues.
8	**Notes to the financial statements** The notes to the financial statements will help to provide	**Approach** This is a short topic but the detail regarding different IFRS Accounting	You may be asked to prepare key notes from the financial statements, especially on areas of judgement	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	additional information and highlight key areas to users.	Standards will be covered throughout the course. You need to understand why the notes are prepared and what information they need to provide to the users of the financial statements. **Stop and think** Consider how the notes to the financial statements will help the users and how the *Conceptual Framework for Financial Reporting* and IAS 1 are important in providing guidance to the professional accountant when they decide what needs to be included within a note.	like provisions and contingencies and related parties. In terms of calculation, the most significant ones would be in respect of tangible and intangible non-current assets. The notes may feature as part of a computational or an explanation question. A requirement relating to ethics may ask why the accountant should include certain information.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 IAS 1, Presentation of Financial Statements

Section overview

- IAS 1 applies to all general purpose financial statements.
- Financial statements provide information about:
  - financial position
  - financial performance
  - cash flows
- Financial statements are also regulated by local laws and regulations.

1.1 Purpose of financial statements

The objective of general purpose financial statements is to provide information about the **financial position**, **financial performance and cash flows** of an entity that is useful to a wide range of users in making economic decisions. They also show the result of **management stewardship** of the resources of the entity. (This is very similar to the purpose stated by the *Conceptual Framework for Financial Reporting* covered in Chapter 1, with the main difference that the *Conceptual Framework for Financial Reporting* specifies that the primary users are "existing and potential investors, lenders and other creditors".)

In order to achieve this, information is provided about the following aspects of the entity's results:

- assets
- liabilities
- equity
- income and expenses (including gains and losses)
- other changes in equity
- cash flows

Additional information is contained in the notes.

IAS 1 looks at the statement of financial position and statement of profit or loss and other comprehensive income. We will not give all the detailed disclosures as some are outside the scope of your syllabus. Instead, we will look at **example financial statements** based on IAS 1.

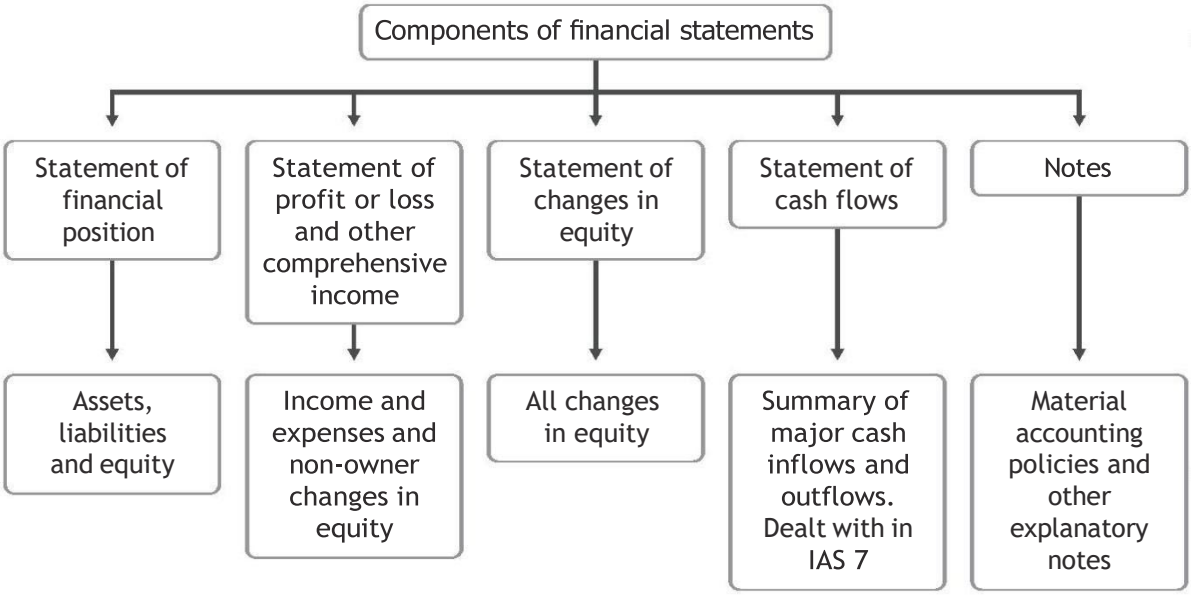
1.2 Objective

IAS 1, *Presentation of Financial Statements* prescribes the basis for the presentation of financial statements, so as to ensure comparability with:

- the **entity's own financial statements** of previous periods; and
- the **financial statements of other entities**.

IAS 1 must be applied to all **general purpose financial statements** prepared in accordance with IFRS Accounting Standards ie, those intended to meet the needs of users who are not in a position to demand reports tailored to their specific needs. IAS 1 is concerned with overall considerations about the **minimum content** of a set of financial statements; detailed rules about recognition, measurement and disclosures of specific transactions are then contained in other standards.

1.3 Components of financial statements



Although the financial statements may be included as part of a wider document IAS 1 requires that they should be **clearly identified and distinguished** from other information presented.

1.4 Fair presentation

Financial statements shall **present fairly** the financial position, financial performance and cash flows of an entity as discussed in Chapter 1. This is consistent with IAS 1, which develops a more practical application of what it means to present fairly the information in the financial statements.

IAS 1 expands on this principle as follows:

- Compliance with IFRS Accounting Standards should be **disclosed**.
- Financial statements can only be described as complying with IFRS Accounting Standards if they comply with all **the requirements** of IFRS Accounting Standards. The application of IFRS Accounting Standards, with additional disclosure where necessary, is presumed to result in financial statements that achieve fair presentation.
- Use of **inappropriate accounting** policies **cannot be rectified** either by disclosure or explanatory material.

1.5 Going concern

As we saw in Chapter 1, going concern is referred to by the *Conceptual Framework for Financial Reporting* as the **underlying assumption**. It means that an entity is normally viewed as continuing in operation for the **foreseeable future**. Financial statements are prepared on the going concern basis unless management either intends to liquidate the entity or to cease trading or has no realistic alternative but to do so. IAS 1 makes additional clarifying points:

- In assessing whether the entity is a going concern, management must look at least **12 months** into the future measured from the **end of the reporting period** (not from the date the financial statements are approved).
- **Uncertainties** that may cast significant doubt on the entity's ability to continue should be **disclosed.**
- If the going concern assumption is not followed that fact must be disclosed together with:
  - the **basis** on which financial statements have been prepared; and
  - the **reasons** why the entity is not considered to be a going concern.

1.6 Accrual basis of accounting

Financial statements other than the statement of cash flows, must be prepared on the **accrual basis** of accounting (known as accrual accounting in the *Conceptual Framework for Financial Reporting*).

Definition

Accrual basis of accounting: Items are recognised as assets, liabilities, equity, income and expenses when they satisfy the definitions and recognition criteria for those elements in the *Conceptual Framework for Financial Reporting*.

Note: The definition refers to the definitions and recognition criteria of the *Conceptual Framework for Financial Reporting*.

The effect is that:

- Transactions are recognised **when they occur** (and not when the relevant cash is received or paid).
- They are **recorded** in the financial statements of the **periods to which they relate**.

According to the accrual assumption, then, in calculating profit, revenue earned must be **matched** against the expenditure incurred in earning it. (This issue will be considered further when IFRS 15, *Revenue from Contracts with Customers* is dealt with in Chapter 7.)

1.7 Consistency of preparation

To maintain consistency, the presentation and classification of items in the financial statements should stay the same from one period to the next. There are two exceptions to this:

- Where there is a significant change in the **nature and operations** or a review of the financial statements presentation which indicates a **more appropriate presentation**. (This change is only allowed if the resulting information is a more faithful representation and more relevant than the previous presentation. If two presentations are equally appropriate, then the current presentation must be retained.)
- Where a change in presentation is required by an IFRS Accounting Standard.

Where a change of presentation and classification is made, figures for the previous period must be restated on the new basis, unless this is impracticable (ie, not possible 'after making every reasonable effort').

1.8 Materiality and aggregation

Each **material** class of items should be presented separately in the financial statements because such presentation is relevant to the understanding of the financial statements. Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements.

Amounts which are **immaterial** can be aggregated with amounts of a similar nature or function and need not be presented separately.

An error which is too trivial to affect the decisions made by the **primary users** of the financial statements is referred to as **immaterial**. The *Conceptual Framework for Financial Reporting* seeks to explain that what may be material for one entity may not be material to another, and financial statements cannot cover all information relevant to everyone who may use them. By limiting the focus on the primary users, it helps the preparers of the financial statements make sure that the information that they do present is relevant to the users of those specific financial statements.

Although individual errors may be immaterial, the cumulative effects of many errors should also be taken into account. A number of immaterial errors taken together could be material to the financial statements as a whole. In preparing financial statements it is important to assess what is material and what is not, so that time and money are not wasted in the pursuit of excessive detail.

Determining whether or not an item is material is a very **subjective exercise**. There is no absolute measure of materiality. It is common to apply a convenient rule of thumb (for example to define material items as those with a value greater than 5% of the net profit disclosed by the financial statements).

In assessing whether or not an item is material, it is not only the amount of the item which needs to be considered. The **context** is also important. Although the relative monetary value of transactions between the company and its directors or other related parties may be small, they may still be important for the purpose of external users understanding the nature of transactions undertaken by an entity. Such transactions may be considered material by their nature rather than value.

Context example: Materiality

If a statement of financial position shows non-current assets of CU2 million and inventories of CU30,000 an error of CU20,000 in the depreciation calculations might not be regarded as material, whereas an error of CU20,000 in the inventory valuation probably would be. In other words, the total of which the erroneous item forms part must be considered.

If a business has a bank loan of CU50,000 and a CU55,000 balance on bank deposit account, it might well be regarded as a material misstatement if these two amounts were displayed in the statement of financial position as 'cash at bank CU5,000'. In other words, incorrect presentation may amount to material misstatement even if there is no monetary error.

Users are assumed to have a reasonable knowledge of business and economic activities and accounting and a willingness to study the information with reasonable diligence.

Professional skills focus: Applying judgement

As materiality requires the application of judgement, the professional accountant needs to be aware of any potential bias or conflicts of interest both in the exam scenario and in their working life. A professional accountant must ensure that the guidelines in the *Conceptual Framework for Financial Reporting* are applied, especially with any additional information required by specific reporting standards eg, IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*. In your exam, consider any ethical issues surrounding non-disclosure of issues requiring judgement.

1.9 Offsetting

IAS 1 does not allow **assets and liabilities to be offset** against each other unless such a treatment is required or permitted by another IFRS Accounting Standard. This is also consistent with the position in the *Conceptual Framework for Financial Reporting*.

Income and expenses can be offset only when:

- an IFRS Accounting Standard requires/permits it; **or**
- gains, losses and related expenses arising from the same/similar transactions are not material (in aggregate).

1.10 Comparative information

IAS 1 requires comparative information to be disclosed for the previous period for all **numerical information**, unless another IFRS Accounting Standard permits/requires otherwise. Comparatives should also be given in narrative information where relevant to an understanding of the current period's financial statements.

Comparatives should be **reclassified** when the presentation or classification of items in the financial statements is amended. This is in line with the *Conceptual Framework for Financial Reporting*'s enhancing characteristic of comparability.

Under IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*, a statement of financial position as at the beginning of the earliest comparative period is additionally required when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements. (This will be covered in Chapter 4.)

2 IAS 12, Income Taxes

Section overview

- Current tax is recognised as an expense (income) in profit or loss and as a liability (asset) in the statement of financial position.
- Adjustments should be made in the current period for tax over/under-charged in respect of prior periods.
- Tax liabilities and assets should be disclosed separately from other liabilities/assets.
- Tax expense (income) should be disclosed in the statement of profit or loss.

2.1 Introduction

Taxation is a major expense for companies. Tax has a direct effect on cash flow and performance measures such as earnings per share. Multinational entities use sophisticated tax planning techniques to minimise their tax costs. Tax planning may be through tax effective group structures, industry specific rules, optimisation of capital and revenue structures, and effective planning of acquisitions and disposals. Tax is an important planning consideration in significant business transactions.

With tax being such a significant cost to business, it is essential that an entity's financial statements include relevant information that enables users to understand historical, and predict future, taxation cash flows and liabilities.

2.2 Accounting for tax

The basic rule is that when a liability for tax arises it is recognised as an **expense** in profit or loss for the period. It is also recognised as a **liability** to the extent that it remains unpaid.

		CU	CU
DR	Income tax expense	X	
CR	Cash		X
CR	Current liabilities: taxation		X

2.3 Recognition of current tax liabilities and assets

The income tax due on the profit for any year cannot be finally determined until after the year end when the tax liability has been agreed with the tax authorities, something which takes months and, in some cases, years. The amount of income tax on profits recognised each year is therefore an estimate. When the tax due is later agreed with the tax authorities, an adjustment to the original estimate will normally be required. This adjustment will be recognised in profit or loss for the accounting period in which the estimate is revised.

IAS 12 requires any **unpaid tax** in respect of the current or **prior periods** to be recognised as a **liability** (resulting in an income tax expense being recognised in profit or loss).

Conversely, any **tax paid** in respect of current or **prior periods** in **excess of** what is due should be recognised as an **asset** (resulting in a reduction in the income tax expense recognised in profit or loss).

Worked example: Current tax

In 20X8 Darton Ltd had taxable profits of CU120,000. In the previous year (20X7) income tax on 20X7 profits had been estimated as CU30,000.

Requirements

Calculate tax payable and the charge for 20X8 if the tax due on 20X7 profits was subsequently agreed with the tax authorities as:

(a) CU35,000; or

(b) CU25,000.

Notes

1. Tax on 20X7 profits was paid in 20X8.
2. Assume a tax rate of 30%.

Solution

In both cases the year end liability is the CU36,000 due for 20X8.

(a)

	CU
Tax due on 20X8 profits (CU120,000 × 30%)	36,000
Under provision for 20X7 (CU35,000 – CU30,000)	5,000
Tax charge	41,000

(b)

	CU
Tax due on 20X8 profits (as above)	36,000
Over provision for 20X7 (CU25,000 – CU30,000)	(5,000)
Tax charge	31,000

2.4 Measurement

Measurement of current tax liabilities (assets) for the current and prior periods is very simple. Liabilities (assets) are measured at the **amount expected to be paid to (recovered from) the tax authorities**. The tax rates (and tax laws) used should be those enacted (or substantively enacted) by the end of the reporting period.

2.5 Presentation

In the statement of financial position, **tax assets and liabilities** should be shown separately from other assets and liabilities.

Current tax assets and liabilities are **offset**, but this should happen only when certain conditions apply.

(a) the entity has a **legally enforceable right** to set off the recognised amounts; **and**

(b) the entity intends to settle the amounts on a **net basis**, or to realise the asset and settle the liability at the same time.

The **tax expense (income)** related to the profit or loss from ordinary activities should be presented in **profit or loss**. An analysis of this figure would be provided in the notes to the financial statements showing the **major components** as follows.

	CU
Current tax expense	X
Adjustment for current tax of prior periods	X/(X)
Income tax expense	X

3 Structure and content of financial statements

Section overview

In addition to giving substantial guidance on the form and content of published financial statements IAS 1 also covers a number of general points:

- The profit or loss must be calculated after taking account of all income and expense in the period (unless an IFRS Accounting Standard or Interpretation requires otherwise).
- Recommended formats are given but they are not mandatory.
- Readers of annual reports must be able to distinguish between the financial statements and other information.
- Financial statements should be prepared at least annually.

3.1 Profit or loss for the period

The statement of profit or loss and statement of profit or loss and other comprehensive income are the most significant indicators of a company's financial performance. It is important to ensure that they are not misleading.

IAS 1 stipulates that all items of income and expense recognised in a period shall be included in profit or loss unless an **IFRS Accounting Standard** or an **Interpretation** requires otherwise.

Circumstances where items may be excluded from profit or loss for the current year include the correction of errors and the effect of changes in accounting policies. These are addressed in IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* (which is covered in Chapter 4).

3.2 How items are presented and disclosed

IAS 1 specifies the presentation of items in certain ways:

- Some items must be presented in the statement of financial position, statement of profit or loss, or in the statement of profit or loss and other comprehensive income.
- Other items can be disclosed in a note to the financial statements instead.

Illustrative primary financial statements formats are given which entities may or may not follow, depending on their circumstances.

Disclosures specified by **other standards** must also be made, and we will mention the necessary disclosures when we cover each IFRS Accounting Standard in turn. Disclosures in both IAS 1 and other IFRS Accounting Standards must be made either in the relevant statement or in the notes unless otherwise stated ie, disclosures cannot be made in an accompanying commentary or report.

3.3 Identification of the financial statements

As a result of the above point, it is most important that entities **distinguish the financial statements** very clearly from any other information published with them. This is because IFRS Accounting Standards apply **only** to the financial statements (ie, the main statements and related notes), so the users of the annual report must be able to differentiate between the parts of the report which are prepared under IFRS Accounting Standards, and other parts which are not.

The entity should **identify each component** of the financial statements very clearly. IAS 1 also requires disclosure of the following information in a prominent position. If necessary, it should be repeated wherever it is felt to be of use to the reader in his understanding of the information presented.

- **Name** of the reporting entity (or other means of identification)
- Whether the accounts cover the **single entity** only or a group of entities
- The **end of the reporting period** or the period covered by the financial statements (as appropriate)
- The **reporting currency**
- The **level of rounding** used in presenting the figures in the financial statements

Judgement must be used to determine the best method of presenting this information. In particular, the standard suggests that the approach to this will be very different when the financial statements are communicated electronically.

The **level of rounding** is important, as presenting figures in thousands or millions of units makes the figures more understandable. The level of rounding must be disclosed, however, and it should not obscure necessary details or make the information less relevant.

3.4 Reporting period

It is normal for entities to present financial statements **annually** and IAS 1 states that they should be prepared at least as often as this. If (unusually) an entity's reporting period is changed, for whatever reason, the period for which the statements are presented will be less or more than one year. In such cases the entity should also disclose:

- the **reason(s) why** a period other than one year is used; and
- the fact that the comparative figures given **are not in fact comparable**.

3.5 Example financial statements

IAS 1 looks at the statement of financial position, the statement of profit or loss, the statement of profit or loss and other comprehensive income and the statement of changes in equity. We will

not give all the detailed disclosures as some are outside the scope of your syllabus. Instead we will look at **example financial statements** based on the Implementation Guidance which accompanies IAS 1. Note the description of this guidance as 'not part' of IAS 1 which means that it is **not mandatory**. It shows ways in which financial statements **may** be presented. However, these are the formats that the *Financial Accounting and Reporting* syllabus is based on and therefore should be adopted in the exam.

Note: In your exam, you will be provided with proformas for the statement of profit or loss and other comprehensive income and statement of financial position (individual company and group), as well as basic proformas for the statement of changes in equity and statement of cash flows. You can copy and paste the proformas and edit them as required, for example to include additional line items or remove lines that are not needed.

4 Statement of financial position

Section overview

- IAS 1 provides guidance on the layout of the statement of financial position.
- IAS 1 specifies that certain items must be shown in the statement of financial position.
- Other information is required in the statement of financial position or in the notes.
- Both assets and liabilities must be separately classified as current and non-current.

4.1 Statement of financial position format

IAS 1 **suggests** a format for the statement of financial position although it does not prescribe the order or format in which the items listed should be presented. The layout below is consistent with the minimum requirements of IAS 1 and will be used throughout this Workbook.

EXAMPLE STATEMENT OF FINANCIAL POSITION

XYZ plc – Statement of financial position as at 31 December 20X7

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment		350,700
Intangible assets		308,270
Financial assets		122,650
Investments		120,000
		901,620
Current assets		
Inventories	135,230	
Trade and other receivables	91,600	
Investments	25,000	
Cash and cash equivalents	153,953	
	405,783	
Non-current assets held for sale	25,650	

	CU	CU
		431,433
Total assets		1,333,053
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
Ordinary share capital		600,000
Preference share capital (note)		30,000
Share premium account		20,000
Revaluation surplus		2,053
Retained earnings		243,900
		895,953
Non-controlling interests		72,950
		968,903
Non-current liabilities		
Preference share capital (note)	28,000	
Lease liabilities	28,850	
Borrowings	120,800	
		177,650
Current liabilities		
Trade and other payables	115,100	
Dividends payable	7,500	
Taxation	34,500	
Provisions	5,000	
Borrowings	10,000	
Lease liabilities	14,400	
		186,500
Total equity and liabilities		1,333,053

Note: Preference shares may be classified as equity or liability depending on their characteristics (see Chapter 9).

4.2 Information which must be presented in the statement of financial position

IAS 1 specifies various items which must be presented in **the statement of financial position:**

- property, plant and equipment
- investment property
- intangible assets
- financial assets
- investments accounted for using the equity method (see Chapter 15)
- assets classified as held for sale
- inventories
- trade and other receivables
- cash and cash equivalents
- trade and other payables

- provisions
- financial liabilities
- current and deferred tax assets and liabilities
- non-controlling interests (see Chapter 12)
- issued capital and reserves attributable to owners of the parent

Any **other line items**, headings or sub-totals should be **shown in the statement of financial position** when it is necessary for an **understanding** of the entity's financial position.

This decision depends on judgements based on the assessment of the following factors:

- **Nature and liquidity of assets and their materiality**. Thus, goodwill and assets arising from development expenditure will be presented separately, as will monetary/non-monetary assets and current/non-current assets.
- **Function within the entity**. Operating and financial assets, inventories, receivables and cash and cash equivalents are therefore shown separately.
- **Amounts, nature and timing of liabilities**. Interest-bearing and non-interest-bearing liabilities and provisions will be shown separately, classified as current or non-current as appropriate.

The standard also requires separate presentation where **different measurement bases** are used for assets and liabilities which differ in nature or function. According to IAS 16, *Property, Plant and Equipment*, for example, it is permitted to carry certain items of property, plant and equipment at cost or at a revalued amount. Property, plant and equipment may therefore be split to show classes held at historical cost separately from those that have been revalued.

4.3 Information presented either in the statement of financial position or in the notes

Certain pieces of information may be presented **either** in the statement of financial position **or** in the notes to the financial statements.

These comprise:

- further sub-classification of line items from the statement of financial position. Disclosures will vary from item to item, which will in part depend on the requirements of IFRS Accounting Standards. For example, tangible assets are categorised by class of asset (eg, land and buildings, plant and equipment) as required by IAS 16, *Property, Plant and Equipment*
- details about each class of share capital
- details about each reserve within equity

4.4 The current/ non-current distinction

An entity must present **current and non-current assets and liabilities as separate classifications** in the statement of financial position. This is separating current assets from fixed assets and amounts due within one year from amounts due after more than one year.

An alternative liquidity presentation which lists assets by reference to how closely they approximate to cash is permitted but only where this provides information that is reliable and more relevant eg, in the case of a financial institution such as a bank.

For all businesses which have a clearly identifiable **operating cycle**, it is the current/non-current presentation which is more meaningful, so this is the one which must be used. (See section 4.5 below.)

In either case, the entity should disclose any portion of an asset or liability which is expected to be recovered or settled **after more than 12 months**.

Context example: Amount receivable

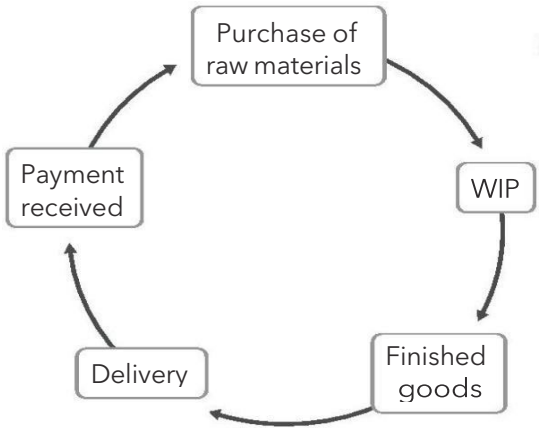
For an amount receivable which is due in instalments over 18 months, the portion due after more than 12 months must be presented separately as a non-current asset.

4.5 Operating cycle

Definition

Operating cycle: The time between the acquisition of assets for processing and their realisation in cash or cash equivalents.

The typical operating cycle of a manufacturing business is shown as follows.



This is an important term as it forms part of the definitions of current assets and current liabilities.

4.6 Current assets

Definition

Current asset: An asset shall be classified as **current** when it satisfies **any of the following criteria**:

- it is expected to be realised in, or is intended for sale or consumption in, the entity's normal operating cycle;
- it is held primarily for the purpose of being traded;
- it is expected to be realised within 12 months after the reporting period; or
- it is cash or a cash equivalent (as defined in IAS 7, *Statement of Cash Flows*), unless it is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

All other assets should be classified as non-current assets.

Current assets therefore include inventories and trade receivables that are sold, consumed and realised as part of the normal operating cycle. **This is the case even where they are not expected to be realised within 12 months**. It is the operating cycle which is the key.

Current assets will also include **marketable securities** if they are expected to be realised within 12 months of the end of the reporting period. If expected to be realised later, they should be included in non-current assets.

Note: There is no specific definition of non-current assets. These are merely all assets which are not current assets.

4.7 Current liabilities

Definition

Current liability: A liability shall be classified as current when it satisfies any of the following criteria:

- it is expected to be settled in the entity's normal operating cycle;
- it is held primarily for the purpose of being traded;
- it is due to be settled within 12 months after the reporting period; or
- the entity does not have the right at the end of the reporting period defer settlement of the liability for at least 12 months after the reporting period.

All other liabilities should be classified as non-current liabilities.

(IAS 1: para. 69)

The categorisation of current liabilities is very similar to that of current assets. Thus, some current liabilities are part of the **working capital** used in the normal operating cycle of the business (ie, trade payables and accruals for employee and other operating costs). Such items will be classed as current liabilities **even where they are due to be settled more than 12 months after the reporting period**.

There are also current liabilities which are not settled as part of the normal operating cycle, but which are due to be settled within 12 months of the reporting period. These include bank overdrafts, income taxes, other non-trade payables and the current portion of interest-bearing liabilities. Any interest-bearing liabilities that are used to finance working capital on a long-term basis, and that are not due for settlement within 12 months, should be classed as **non-current liabilities**.

4.8 Shares and dividends

A company statement of financial position will show **ordinary shares** but may also show **preference shares**. Preference shares may be **redeemable or irredeemable**. Some preference shares are accounted for as a liability, not as equity, and this also affects the treatment of the dividends, as we will see below (and in more detail in Chapter 9).

Dividends on shares classified as equity are treated as **appropriations of profit** (ie, a reduction to retained earnings) and are therefore reflected in the statement of changes in equity (see later). An **interim ordinary dividend that has been approved in the period but has not been declared at the year-end is not treated as a liability** in the statement of financial position. If the interim ordinary dividend is **declared**, an obligation is created and, therefore, a liability is required. **An unpaid mandatory dividend on irredeemable preference shares** at the end of the reporting period is shown under current liabilities as a **dividend payable**.

The difference in treatment arises because an interim ordinary dividend approved but not declared by the directors before the end of the reporting period could be revoked before it is paid, and therefore there is no obligation at the period end. Declared ordinary dividends and mandatory dividends on irredeemable preference shares create contractual obligations.

A **final ordinary dividend** for a reporting period is declared at the following period's Annual General Meeting (AGM) and is therefore binding from that date. However, as the AGM is usually held after the end of the reporting period, there will be no liability at the year end.

For the purposes of your exam studies it will be made clear if an ordinary dividend meets the definition of a liability.

Dividends on shares classified as a liability are treated as an **expense** and recognised in profit or loss (as a finance cost). If they are unpaid at the year end, they are shown under current liabilities as **other payables**.

Note: In an exam question sufficient detail will be provided to determine whether preference shares should be classified as equity or a liability (see Chapter 9 for more detail on the differences).

4.9 Accounting for dividends

- Payment of ordinary dividend:

	CU	CU
DR Retained earnings	X	
CR Cash		X

- Payment or declaration of interim or final dividend on preference shares classified as a liability:

	CU	CU
DR Finance costs	X	
CR Cash/other payables (current liability)		X

- Payment or declaration of mandatory dividend on preference shares classified as equity:

	CU	CU
DR Retained earnings	X	
CR Cash/dividends payable (current liability)		X

Context example: Redeemable preference shares

On 1 January 20X1 a company issues 100,000 CU1 5% redeemable preference shares that are classified as a liability. In the financial statements for 20X1 the preference shares and the 5% dividend that is declared, but unpaid, will be shown as follows.

Statement of financial position as at 31 December 20X1 (extract)

	CU
Current liabilities	
Other payables (unpaid dividend)	5,000
Non-current liabilities	
Preference share capital	100,000

Statement of profit or loss for the year ended 31 December 20X1 (extract)

	CU
Finance cost	5,000

CHAPTER 3

4.10 Non-controlling interests

A parent company may own less than 100% of a subsidiary, in which case the amount not owned is described as the **non-controlling interest**. The detail of how to account for such holdings is dealt with in Chapter 12 onwards, so for the moment it is only necessary to note that:

- In the statement of financial position, equity must be split between the non-controlling interests and the amount attributable to the owners of the parent.
- In the statement of profit or loss, the allocation must be shown of the profit or loss for the period between the non-controlling interests and the owners of the parent.
- In the statement of changes in equity, the total comprehensive income for the period must be split between the non-controlling interests and the amount attributable to the owners of the parent.

This treatment is consistent with the *Conceptual Framework for Financial Reporting*' *s* definitions of the elements of the financial statements. As there is no present obligation arising out of past events to settle the amount due to the non-controlling interests, it cannot be classified as a liability; instead it must be part of equity, which is the residual once liabilities have been deducted from assets.

Note: In Chapters 1–11 only the financial statements of single entities are covered. Non-controlling interests do not arise in the financial statements of single entities. However, as this chapter shows the complete formats per IAS 1, non-controlling interests have been included for completeness.

5 Statement of profit or loss and other comprehensive income

Section overview

- IAS 1 requires all items of income and expense in a period to be presented either:
  - in a single statement of profit or loss and other comprehensive income; or
  - in two statements: a separate statement of profit or loss and a statement of profit or loss and other comprehensive income which begins with 'profit for the year'.
- Expenses can be classified by function or by nature.

5.1 Statement of profit or loss and other comprehensive income – format

The standard gives the following examples of the formats for the single statement and the two separate statements. The only items under 'other comprehensive income' which are included in your syllabus are gains/losses on property revaluations. For the purposes of your exam only the single statement approach will be examined.

Note that here the single statement format shows the classification of expenses in the statement of profit or loss by **function** and the two statement format shows expenses classified by **nature**. As expense classification by function is more common in practice, this is the method that will be tested in the exam for the preparation of a complete statement of profit or loss (ie, from a trial balance or draft statements). However, expenses classified by nature may be tested in an extracts question or in an explain style question.

Single statement format

XYZ plc – Statement of profit or loss and other comprehensive income for the year ended 31 December 20X7 (illustrating a single statement approach)

Illustrating the classification of expenses by function

	CU
Revenue	390,000
Cost of sales	(245,000)
Gross profit	145,000
Other income	20,667
Distribution costs	(9,000)
Administrative expenses	(20,000)
Other expenses	(2,100)
Operating profit	134,567
Finance cost	(8,000)
Share of profits/(losses) of associates	35,100
Profit/(loss) before tax	161,100
Income tax expense	(40,417)
Profit/(loss) for the year from continuing operations	121,250
Profit/(loss) for the year from discontinued operations	
Profit/(loss) for the year	121,250

	CU
Other comprehensive income:	
– Gains on property revaluation	653
Total comprehensive income for the year	121,903
Profit attributable to:	
- Owners of the parent	97,000
- Non-controlling interests	24,250
	121,250
Total comprehensive income attributable to:	
- Owner of the parent	97,653
- Non-controlling interests	24,250
	1,21,903

Note: The sub-total 'operating profit' is not a current requirement of IAS 1. These learning materials use this description as it is used in practice and is not prohibited by IAS 1.

In your exam only the single statement approach will be tested.

Revaluation of non-current assets will be dealt with in Chapter 5.

Two statement format

XYZ plc – Statement of profit or loss for the year ended 31 December 20X7 (illustrating the two-statement approach)

Illustrating the classification of expenses by nature

	CU
Revenue	390,000
Other income	20,667
Changes in inventories of finished goods and work in progress	(115,100)
Work performed by the entity and capitalised	16,000
Raw material and consumables used	(96,000)
Employee benefits expenses	(45,000)
Depreciation and amortisation expense	(26,000)
Impairment of property, plant and equipment	(4,000)
Other expenses	(6,000)
Operating profit	134,567
Finance costs	(8,000)
Share of profit of associates	35,100
Profit before tax	161,667
Income tax expense	
Profit for the year from continuing operations	121,250
Loss for the year from discontinued operations	
Profit for the year	121,250
Profit attributable to:	
- Owners of the parents 97,000	97,000
- Non-controlling interests	24,250
	121,250

XYZ plc – statement of profit or loss and other comprehensive income for the year ended 31 December 20X7 (illustrating the two statement approach)

	CU
Profit for the year	121,250
Other comprehensive income:	
- Gains on property revaluation	653
Total comprehensive income for the year	121,903
Total comprehensive income attributable to:	
- Owners of the parent	97,653
- Non-controlling interests	24,250
	121,903

5.2 Information presented in the statement of profit or loss (under the two statement approach)

The standard lists the following to be included in the statement of profit or loss:

- Revenue
  - Gains/losses on the derecognition of financial assets at amortised cost
- Finance costs
  - Impairment losses recognised on financial instruments
- Share of profits and losses of associates and joint ventures accounted for using the equity method (we will look at associates and joint ventures in Chapter 15)
- Adjustments on the reclassification of financial assets
  - Income tax expense
- A single amount comprising the total of:
  - The post-tax profit or loss of discontinued operations.
  - The post-tax gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets constituting the discontinued operation.
- Profit or loss

The following items must be disclosed in the statement of profit or loss as allocations of profit or loss for the period.

- Profit or loss attributable to non-controlling interests
- Profit or loss attributable to owners of the parent

The allocated amounts must not be presented as items of income or expense. (These issues relate to group accounts, covered later in this Workbook.)

5.3 Information presented in the statement of profit or loss and other comprehensive income (under the two statement approach)

The standard lists the following as the **minimum** to be included in the other comprehensive income section of the statement of profit or loss and other comprehensive income.

- Other comprehensive income classified by nature and grouped into those that may be reclassified to profit or loss and those that will not be reclassified
  - The share of other comprehensive income of associates and joint ventures, again grouped into amounts that may be reclassified to profit or loss and amounts that will not be
- Total other comprehensive income
  - Total comprehensive income

The following items must be disclosed in the statement of profit or loss and other comprehensive income as allocations of total comprehensive income for the period.

- Total comprehensive income attributable to non-controlling interest
- Total comprehensive income attributable to owners of the parent

5.4 Analysis of expenses

An analysis of expenses must be shown **either in the statement of profit or loss and other comprehensive income** (one statement format) **or separate statement of profit or loss** (two statement format) **or by note**, using a classification based on **either** the nature of the expenses or their function. This **sub-classification of expenses** indicates a range of components of financial performance; these may differ in terms of stability, potential for gain or loss and predictability.

Function of expense/ cost of sales method	You are likely to be more familiar with this method. Expenses are classified according to their function as part of cost of sales, distribution or administrative activities. This method often gives **more relevant information** for users, but the allocation of expenses by function requires the use of judgement and can be arbitrary. Consequently, perhaps, when this method is used, entities should disclose **additional information** on the nature of expenses, including staff costs, and depreciation and amortisation expense.
Nature of expense method	Expenses are not reallocated amongst various functions within the entity but are aggregated in the statement of profit or loss **according to their nature** (eg, purchase of materials, depreciation, wages and salaries, transport costs). This may be the easiest method for smaller entities.

Which of the above methods is chosen by an entity will depend on **historical and industry factors**, and also the **nature of the organisation**. The choice of method should fairly reflect the main elements of the entity's performance.

5.5 Other information presented either in the statement of profit or loss or in the notes

These comprise:

- 'Exceptional items'

These are material items of income and expense which should be disclosed separately. These include:

- write downs of inventories to net realisable value
- write down of property, plant and equipment to recoverable amount
- disposals of property, plant and equipment
- restructuring of the activities of an entity and reversals of any provisions for the cost of restructuring
- disposals of investments
- discontinued operations
- litigation settlements
- other reversals of provisions

IAS 1 does not specifically use the term 'exceptional'. However, it is a useful label for this type of item.

Notes

1. Dividends related to shares classified as equity are **not** shown as expenses in the **statement of profit or loss**; instead, they should be shown in the statement of changes in equity.
2. Where no items are involved which would be shown in a separate statement of profit or loss and other comprehensive income, these learning materials refer to 'statement of profit or loss'.

6 Statement of changes in equity

Section overview

The statement of changes in equity shows the total comprehensive income for the period and the amounts of transactions with owners.

The statement of profit or loss and other comprehensive income is framed as a straightforward measure of financial performance, in that it shows all items of income and expense recognised in a period. It is then necessary to link this result with the results of transactions with owners such as share issues and dividends. The statement making the link is the **statement of changes in equity**. This must be presented as a separate component of the financial statements not just included in the notes.

The following should be shown in the statement:

(a) Total comprehensive income for the period, showing separately the total amounts attributable to owners of the parent and to non-controlling interest.

(b) The effect of changes in accounting policy or correction of errors for each component of equity where these have been recognised during the period in accordance with IAS 8 (see Chapter 4).

(c) For each component of equity, a reconciliation between the carrying amount at the beginning and end of the period, showing separately each change resulting from profit or loss, other comprehensive income and transactions with owners in their capacity as owners (ie contributions by owners and distributions to owners).

Dividends to owners recognised during the period and the amount per share can be presented in the statement of changes in equity or in the notes.

Notes

1 In most cases the 'total comprehensive income for the year' will be the profit for the period from the statement of profit or loss. Where an additional 'statement of profit or loss and other comprehensive income' has been prepared, the items comprising 'other comprehensive income' will be shown on the same line; for instance any revaluation gain will appear under 'revaluation surplus'.

2 In extracts from the statement of changes in equity throughout this text we will show the correct terminology of 'total comprehensive income for the year' even though the figures may be taken from a simple statement of profit or loss.

XYZ group – Statement of changes in equity for the year ended 31 December 20X7

	Ordinary share capital	Preference share capital*	Share •remium	Retained earnings	Revaluation surplus	Total	Non-controlling interests	Total equity
	CU	CU	CU	CU	CU	CU	CU	CU
At 1 January 20X7	550,000	30,000	10,000	161,300	1,600	752,900	48,600	801,500
Changes in accounting policy	-	-	-	400	-	400	100	500
Restated balance	550,000	30,000	10,000	161,700	1,600	753,300	48,700	802,000
Issue of share capital	50,000	-	10,000	-	-	60,000	-	60,000
Final dividends on ordinary shares	-	-	-	(12,000)	-	(12,000)	-	(12,000)
Final dividends on irredeemable shares	-	-	-	(3,000)	-	(3,000)	-	(3,000)
Total comprehensive income for the year	-	-	-	97,000	653	97,653	24,250	121,903
Transfer to retained earnings	-	-	-	200	(200)	-	-	-
At 31 December 20X7	600,000	30,000	20,000	243,900	2,053	895,953	72,950	968,903

*(irredeemable)

At 1 January 20X7 Changes in accounting policy Restated balance Issue of share capital Final dividends on ordinary shares Final dividends on irredeemable shares Total comprehensive income for the year Transfer to retained earnings At 31 December 20X7 *(irredeemable)

7 Statement of cash flows

Section overview

- The statement of cash flows shows movements in cash and cash equivalents.
- All entities are required to produce a statement of cash flows.

The statement of cash flows was covered in *Accounting*, so this section is a reminder of the key points.

7.1 Objective of IAS 7

The objective of IAS 7, *Statement of Cash Flows* is to provide **historical** information about changes in cash and cash equivalents, classifying **cash flows** between operating, investing and financing activities. This will provide information to users of financial statements about the entity's **ability to generate cash and cash equivalents**, as well as indicating the cash needs of the entity.

Statements of cash flows, particularly when they can be analysed over more than one year, are useful to creditors, lenders and investors. A company with good operating cash flows can finance both business operations and returns to investors.

Definition

Cash flows: These are inflows and outflows of cash and cash equivalents.

7.2 Scope

A statement of cash flows should be presented as an **integral part** of an entity's financial statements. All types of entity can provide useful information about cash flows as the need for cash is universal, whatever the nature of their revenue-producing activities. Therefore, **all entities are required by the standard to produce a statement of cash flows**.

7.3 Benefits of cash flow information

Statements of cash flows should be used **in conjunction** with the rest of the financial statements. Users can gain further appreciation of:

- The change in net assets.
- The entity's financial position (liquidity and solvency).
- The entity's ability to adapt to changing circumstances and opportunities by affecting the amount and timing of cash flows.

Statements of cash flows **enhance comparability** as they are not affected by differing accounting policies used for the same type of transactions or events.

Cash flow information of a historical nature can be used as an indicator of the amount, timing and certainty of future cash flows. Past forecast cash flow information can be **checked for accuracy** as actual figures emerge. The relationship between profit and net cash flow and the impact of changing prices can be analysed over time.

7.4 Cash and cash equivalents

The statement of cash flows shows movements in **cash and cash equivalents**.

Definitions

Cash: Comprises cash on hand and demand deposits.

Cash equivalents: Short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

IAS 7 expands on the definition of cash equivalents: they are not held for investment or other long- term purposes, but rather to meet short-term cash commitments. To fulfil the above definition, an investment's **maturity date should normally be within three months from its acquisition date**. It would usually be the case then that equity investments (ie, shares in other companies) are **not** cash equivalents. An exception would be where preference shares were acquired with a very close maturity date.

Notes

1. **Loans and other borrowings** from banks are classified as financing activities. In some countries, however, **bank overdrafts** are repayable on demand and are treated as part of an entity's total cash management system. In these circumstances an overdrawn balance will be included in cash and cash equivalents. Such banking arrangements are characterised by a balance which fluctuates between overdrawn and credit.
2. In the absence of other information you **should assume**, in the exam, that **bank overdrafts** are **repayable on demand** and should therefore be **classed as cash and cash equivalents**.

3 **Movements** between different types of cash and cash equivalent are not included in cash flows. The investment of surplus cash in cash equivalents is part of cash management, not part of operating, investing or financing activities.

7.5 Presentation

IAS 7 requires statements of cash flows to report cash flows during the period classified by:

- **Operating activities**: These are primarily derived from the principal revenue-producing activities of the entity and other activities that are not investing or financing activities.
- **Investing activities**: These are the cash flows derived from acquisition and disposal of non-current assets and other investments not included in cash equivalents.
- **Financing activities**: These are activities that result in changes in the size and composition of the equity capital and borrowings of the entity.

There is a 'cash generated from operations' sub-total within the operating activities section. There are two methods of presenting cash generated from operations: the direct method and the indirect method.

- **Direct method** – discloses the major classes of gross cash receipts and gross cash payments. It is readily understood by the users of financial statements but is more difficult to prepare than the indirect method.
- **Indirect method** – starts with profit or loss before interest and tax and adjusts for non-cash transactions, cash movements in working capital items and items presented elsewhere in the statement of cash flows.

IAS 7 recommends, but does not mandate, the use of the direct method.

Professional skills focus: Concluding, recommending and communicating

Accountants need to decide whether to present the statement of cash flows using the direct or indirect method. They need to balance the additional time and expense of using the direct method with the fact that the direct method better communicates information about the company's cash flows to the users.

7.6 Example of a statement of cash flows

This is an example statement of cash flows (indirect method) adapted from the example given in the standard.

Statement of cash flows for the year ended 31 December 20X7

	CUm	CUm
Cash flows from operating activities		
Cash generated from operations (Note)	2,730	
Interest paid	(270)	
Income taxes paid	(900)	
Net cash from operating activities		1,560
Cash flows from investing activities		
Purchase of property, plant and equipment	(900)	
Proceeds from sale of property, plant and equipment	20	

Interest received	200	
Dividends received	200	
Net cash used in investing activities		(480)
Cash flows from financing activities		
Proceeds from issue of share capital	250	
Proceeds from issue of long-term borrowings	250	
Dividends paid	(1,290)	
Net cash used in financing activities		(790)
Net increase in cash and cash equivalents		290
Cash and cash equivalents at beginning of period		120
Cash and cash equivalents at end of period		410

Note: Reconciliation of profit before tax to cash generated from operations

	CUm
Profit before taxation	3,530
Adjustments for:	
Depreciation	450
Foreign exchange loss	40
Investment income	(500)
Interest expense	400
	3,920
Increase in trade and other receivables	(500)
Decrease in inventories	1,050
Decrease in trade payables	(1,740)
Cash generated from operations	2,730

The information to prepare a statement of cash flows can be obtained from the figures in the:

- Statement of financial position at the start of the period
- Statement of financial position at the end of the period
- Statement of profit or loss and statement of profit or loss and other comprehensive income for the period
- Supporting notes

Cash flows from operating activities can be presented separately as a note.

Note: As full single entity statements of cash flows are tested in *Accounting* they are not examinable as part of the *Financial Accounting and Reporting* syllabus. Instead you may be asked to revise an existing statement of cash flows or prepare extracts. In the next few sections we will look at the standard T-accounts that you will need to be able to produce.

7.7 Payments of interest and tax

The **adjustments** in the statement of cash flows to **'cash generated from operations'** to arrive at **'net cash from operating activities'** consist of **payments of interest and income tax**.

A similar method can be used to calculate the cash flows for interest paid and income tax paid. For each item, the information available might be:

- Opening balance at the start of the period (opening statement of financial position)
- Statement of profit or loss (the amount of the item, as reported)
- Closing balance at the end of the period (closing statement of financial position)

The cash flow is a balancing figure obtained from these three figures. A T-account can be used as a working.

Note: Interest paid can be presented as an operating or financing cash flow. It should be presented consistently from period to period. In *Financial Accounting and Reporting*, assume it is presented as an operating cash flow unless you are told otherwise.

Context example: Payments of interest and tax

A company's financial statements show the following information:

	At 1 Jan 20X2	At 31 Dec 20X2	For the year 20X2
	CU	CU	CU
Interest payable	54,000	63,000	
Interest charge			240,000

Interest paid is calculated as follows.

INTEREST PAID

	CU		CU
Cash payment (balancing figure)	231,000	Balance b/d	54,000
Balance c/d	63,000	Profit or loss	240,000
	294,000		294,000

Alternatively, this could be calculated as follows:

(54,000 + 240,000 – 63,000) = CU231,000

A similar technique can be used to calculate payments of income tax in the year. The taxation payment refers to payments of **income** tax, not to payments of sales tax (VAT) or tax paid by employees.

The opening and closing statements of financial position will show a liability for income tax. The income tax charge for the year is shown in the statement of profit or loss. The figure for income taxes paid during the year is derived as a balancing figure.

Interactive question 1: Income tax

A company had a liability for income tax at 31 December 20X6 of CU940,000 and a liability for income tax at 31 December 20X7 of CU1,125,000. The income tax expense for the year to 31 December 20X7 was CU1,270,000.

Requirement

Calculate the amount of income tax paid during the year.

INCOME TAX PAID

	CU		CU
Cash payment (balancing figure)		Balance b/d	
Balance c/d		Profit or loss	

See **Answer** at the end of this chapter.

7.8 Cash receipts from sales of property, plant and equipment

A T-account can be used for calculating the cash receipts from sales of property, plant and equipment (PPE). The company's accounts will include the amount of any profit or loss on disposal. A note to the accounts on non-current assets will show the cost and the accumulated depreciation for property, plant and equipment disposed of during the year. The cash received from the sale is the balancing figure in the T-account.

PROPERTY, PLANT AND EQUIPMENT – DISPOSAL ACCOUNT

	CU		CU
Cost/valuation of asset disposed	X	Accumulated depreciation	
Profit on disposal	X	Loss on disposal	X
		Cash received (balancing figure)	
	X		X

Worked example: Cash receipts from sale of PPE

A company's statement of financial position as at the beginning and the end of the year showed the following.

Property, plant and equipment

	CU
Cost	
At 1 January 20X7	760,000
Disposals*	(240,000)
At 31 December 20X7	520,000
Depreciation	
At 1 January 20X7	270,000
Disposals	(180,000)
Charge for year	50,000
At 31 December 20X7	140,000
Carrying amount	
At 31 December 20X7	380,000
At 31 December 20X6	490,000

*The property, plant and equipment was disposed of at a loss of CU7,000.

CHAPTER 3

Requirement

Calculate the cash proceeds on disposal of property, plant and equipment.

Solution

The balancing figure can be obtained by constructing a disposal of property, plant and equipment account as a working.

PROPERTY, PLANT AND EQUIPMENT – DISPOSAL ACCOUNT

	CU		CU
Cost	240,000	Accumulated depreciation	180,000
		Loss on disposal	7,000
		Cash received (balancing figure)	53,000
	240,000		240,000

7.9 Cash payments for purchase of property, plant and equipment

Purchase of property, plant and equipment during a period can be calculated by means of a T account or a working table.

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
Balance b/d	X	Disposals	X
Additions (balance)	X	Balance c/d	X
	X		X

Interactive question 2: Cash payments for PPE

A company's accounts show that at 31 December 20X7, it had property, plant and equipment at cost of CU6,800,000. During the year, it disposed of assets that had a cost of CU850,000. At 31 December 20X6, the company's property, plant and equipment at cost had been CU5,100,000.

Requirement

Calculate the cash purchases of property, plant and equipment during the year.

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
Balance b/d		Disposals	
Additions (balance)		Balance c/d	

See **Answer** at the end of this chapter.

7.10 Interest and dividends received

Returns received in cash from investments will include interest and dividends received. The cash flows can be calculated by using an interest received or dividends received T-account. Both T-accounts are very similar and are prepared as follows:

INTEREST/ DIVIDENDS RECEIVED

	CU		CU
Balance b/d (receivable)	X	**Cash receipt** (balancing figure)	X
Profit or loss	X	Balance c/d (receivable)	X
	X		X

Interactive question 3: Interest received

A company had interest receivable of CU35,000 at the start of the year and interest receivable of CU42,000 at the end of the year. The statement of profit or loss for the year shows interest income of CU90,000.

Requirement

Calculate the cash receipts in respect of interest received in the year.

INTEREST RECEIVED

	CU		CU
Balance b/d		Cash received (balancing figure)	
Profit or loss		Balance c/d	

See **Answer** at the end of this chapter.

Note: Interest and dividends received can be presented as an operating or investing cash flow. They should be presented consistently from period to period. In *Financial Accounting and Reporting*, assume that they are presented as an **investing cash flow** unless you are told otherwise.

7.11 Cash received from issuing shares

The amount of cash received from new issues of shares can usually be calculated from the opening and closing statement of financial position figures for share capital and share premium.

As a general rule:

SHARE CAPITAL AND SHARE PREMIUM

	CU		CU
		Balance b/d	X
Balance c/d	X	**Cash receipt** (balancing figure)	
	X		X

Bonus issues do not involve the movement of cash but the general rule will still apply where a bonus issue has been financed from the share premium account.

The rule does not apply fully when the company makes a bonus issue of shares during the year, and some of the new share capital is obtained by means of reducing **a reserve account other than the share premium**. To calculate cash receipts from share issues in the year, the amount transferred to share capital from the other reserve account should be subtracted.

Worked example: Cash received from share issue

Rustler plc's annual accounts for the year to 31 December 20X7 show the following figures.

	At 31 Dec 20X7	At 31 Dec 20X6
	CU	CU
Share capital: Ordinary shares of 50p	6,750,000	5,400,000
Share premium	12,800,000	7,300,000

There were no bonus issues of shares during the year.

Requirement

Calculate the proceeds from the issue of shares during the year.

Solution

SHARE CAPITAL AND SHARE PREMIUM

	CU		CU
Balance c/d (6,750,000 + 12,800,000)		Balance b/d (5,400,000 + 7,300,000)	12,700,000
Additions (balance)	19,550,000	**Cash receipt** (balancing figure)	6,850,000
	19,550,000		19,550,000

Interactive question 4: Bonus issue

Groat plc's accounts for the year to 31 December 20X7 show the following figures.

	At 31 Dec 20X7	At 31 Dec 20X6
	CU	CU
Share capital: Ordinary shares of 10p	22,500,000	10,000,000
Share premium	900,000	4,800,000

The company made a one for two bonus issue of shares at the start of the year. It used the share premium account and CU200,000 from retained earnings to do this.

Requirement

Calculate the proceeds from the issue of shares during the year.

SHARE CAPITAL AND SHARE PREMIUM

	CU		CU
		Balance b/d	
		Retained earnings	
Balance c/d		Cash received (balance)	

See **Answer** at the end of this chapter.

7.12 Dividends paid

Cash flows from dividends paid should be **disclosed separately**. Cash flows for dividends paid can be calculated using a T-account.

Context example: Dividends paid

A company has declared preference dividends for the year of CU7,000. These relate to its 7% CU100,000 redeemable preference shares in issue, which are classified as a liability. At the start of the year the statement of financial position included a liability of CU3,500 for preference dividends payable. At the end of the year no amount was owing to preference shareholders in respect of dividends.

The preference dividend paid for the year is not simply the CU7,000 declared and reflected in finance costs in profit or loss as this amount needs to be adjusted for any opening and closing liabilities.

DIVIDENDS PAID

	CU		CU
Cash payment (balancing figure)	10,500	Balance b/d	3,500
Balance c/d		Retained earnings	7,000
	10,500		10,500

The cash paid during the year of CU10,500 is the second half year preference dividend due from last year and the whole of this year's preference dividend (all paid during the year).

Note: Dividends paid can be presented as an operating or financing cash flow. They should be presented consistently from period to period. In the *Financial Accounting and Reporting* exam, you should classify dividends paid as a financing cash flow, unless the question specifically states otherwise.

7.13 Preparing a statement of cash flows

Worked example: Preparing a statement of cash flows

Able plc's statement of profit or loss and statement of changes in equity for the year ended 31 December 20X7 and statements of financial position at 31 December 20X6 and 31 December 20X7 were as follows.

Statement of profit or loss for the year ended 31 December 20X7

	CU	CU
Revenue		720,000
Raw materials consumed	70,000	
Staff costs	94,000	
Depreciation	118,000	
Loss on disposal of non-current asset	18,000	
		(300,000)
Operating profit		420,000
Finance cost		(28,000)
Profit before tax		392,000
Income tax expense		(124,000)
Profit for the year		268,000

Statements of financial position as at 31 December

	20X7		20X6
	CU	CU	CU
ASSETS			
Non-current assets			
Cost	1,596,000	1,560,000	
Depreciation	(318,000)	(224,000)	
	1,278,000		1,336,000
Current assets			
Inventory	24,000	20,000	
Trade receivables	76,000	58,000	
Bank	48,000	56,000	
	148,000		134,000
Total assets	1,426,000		1,470,000
EQUITY AND LIABILITIES			
Equity			
Share capital (CU1 ordinary shares)	360,000	340,000	
Share premium	36,000	24,000	
Retained earnings	686,000	490,000	
	1,082,000		854,000
Non-current liabilities			
Long-term loans	200,000		500,000
Current liabilities			
Trade payables	42,000	30,000	
Taxation	102,000	86,000	
	144,000		116,000
Total equity and liabilities	1,426,000		1,470,000

Statement of changes in equity (extract) for the year ended 31 December 20X7

	Retained earnings
	CU
At 1 January 20X7	490,000
Dividend paid on ordinary shares	(72,000)
Total comprehensive income for the year At 31 December 20X7	268,000
During the year, the company paid CU90,000 for a new piece of machinery.	686,000

Requirement

Prepare a statement of cash flows for Able plc for the year ended 31 December 20X7 in accordance with the indirect method permitted under IAS 7. The reconciliation of profit before tax to cash generated from operations should be shown as a note.

Solution

Steps to follow:

Step 1 Set out a blank statement of cash flows (using the proforma provided in the exam which is included in the front pages of this Workbook) and set up a blank reconciliation note.

Step 2 Begin with the **cash flows from operating activities** as far as possible. You will usually have to calculate such items as depreciation, loss on sale of non-current assets, interest paid and tax paid.

Step 3 Calculate the cash flow figures for **dividends paid, purchase or sale of non-current assets, issue of shares and repayment of loans** if these are not already given to you (as they may be).

Step 4 If you are not given the profit figure, open up a **working for the statement of profit or loss**. Using the opening and closing balances of retained earnings, the taxation charge and dividends paid, you will be able to calculate profit for the year as the balancing figure to put in the cash flows from operating activities section.

Step 5 You will now be able to **complete the statement** by slotting in the figures given or calculated.

ABLE PLC – Statement of cash flows for the year ended 31 December 20X7

	CU	CU
Cash flows from operating activities		
Cash generated from operations (see Note)	546,000	
Interest paid	(28,000)	
Tax paid (86 + 124 – 102)	(108,000)	
Net cash from operating activities		410,000
Cash flows from investing activities		
Purchase of property, plant and equipment	(90,000)	
Proceeds from sale of property, plant and equipment (W)	12,000	
Net cash used in investing activities		(78,000)

Cash flows from financing activities

Proceeds from issue of share capital (360 + 36 – 340 – 24)	32,000	
Long-term loans repaid (500 – 200)	(300,000)	
Dividends paid	(72,000)	
Net cash used in financing activities		(340,000)
Decrease in cash and cash equivalents		(8,000)
Cash and cash equivalents at 1.1.X7		56,000
Cash and cash equivalents at 31.12.X7		48,000

Note to the statement of cash flows

Reconciliation of profit before tax to cash generated from operations for the year ended 31 December 20X7

	CU
Profit before tax	392,000
Depreciation charges	118,000
Loss on sale of property, plant and equipment	18,000
Interest expense	28,000
Increase in inventories	(4,000)
Increase in receivables	(18,000)
Increase in payables	12,000
Cash generated from operations	546,000

WORKING

Property, plant and equipment disposals

COST

	CU		CU
Balance b/d	1,560,000	Balance c/d	1,596,000
Purchases	90,000	Disposals (β)	54,000
	1,650,000		1,650,000

ACCUMULATED DEPRECIATION

	CU		CU
Balance c/d	318,000	Balance b/d	224,000
Depreciation on disposals (balancing figure)	24,000	Charge for year	118,000
	342,000		342,000

	CU
Carrying amount of disposals (54,000 – 24,000)	30,000
Net loss reported	(18,000)
Proceeds of disposals	12,000

Professional skills focus: Structuring problems and solutions

It is essential that the professional accountant can structure information from various sources and select the appropriate accounting treatment. In your exam, you will be given numerical information as well as additional explanations from which you need to be able to carefully plan your answer. This is especially important when preparing primary financial statements.

7.14 Disclosures

7.14.1 Cash and cash equivalents

The following disclosures are required:

- The components of cash and cash equivalents
- A reconciliation showing the amounts in the statement of cash flows reconciled with the equivalent items reported in the statement of financial position
- The accounting policy used in deciding the items included in cash and cash equivalents (IAS 1)

7.14.2 Other disclosures

All entities should disclose, together with a **commentary by management**, any other information likely to be of importance, for example:

- Restrictions on the use of or access to any part of cash equivalents
- The amount of undrawn borrowing facilities which are available
- Cash flows which increased operating capacity compared to cash flows which merely maintained operating capacity

7.14.3 Significant non-cash transactions

Many investing and financing activities do not have a direct impact on current cash flows although they do affect the capital and asset structure of an entity. Significant **'non-cash transactions' should be disclosed**.

Examples include:

- the acquisition of assets either by assuming directly related liabilities or by means of a lease; and
- the acquisition of an entity by means of an issue of equity shares.

7.14.4 Changes in liabilities arising from financing activities

Liabilities arising from financing activities are any liabilities for which associated cash flows are classified as financing activities. Entities should disclose any changes in such liabilities including:

- changes arising from cash flows
- changes as a result of the acquisition or disposal of a subsidiary
- the effect of changes in foreign exchange rates
- changes in fair values
- other changes

The disclosure may be provided in a tabular format, reconciling between the opening and closing balances in the statement of financial position.

The purpose of this note is to allow users to evaluate changes in liabilities due to both cash and non- cash transactions and events. It will, for example, highlight debt assumed as a result of acquiring a subsidiary and which is not reported as a separate cash inflow in the statement of cash flows.

7.14.5 Example: Notes to the statement of cash flows

The following shows how the required disclosures would be presented.

Cash and cash equivalents

Cash and cash equivalents consist of cash on hand and balances with banks, and investments in money market instruments. Cash and cash equivalents included in the statement of cash flows comprise the following amounts from the statement of financial position.

	20X7 CUm	20X6 CUm
Cash on hand and balances with banks	40	25
Short-term investments	370	95
Cash and cash equivalents	410	120

The company has undrawn borrowing facilities of CU2,000 million of which only CU700 million may be used for future expansion.

Property, plant and equipment

During the period the company acquired property, plant and equipment which was initially recognised at CU1,250 million including CU900 million recognised as right of use assets. The remaining CU350 million was paid in cash.

Changes in liabilities arising from financing activities

Non-cash changes

	20X6 CUm	Cash flows CUm	Acquisitions CUm	New leases CUm	20X7 CUm
Non-current loans	100	10	8	–	118
Lease liabilities	-	(6)	-	30	24
Non-current debt	100	4	8	30	142

8 Notes to the financial statements

Section overview

Certain items need to be disclosed by way of note.

8.1 Contents of notes

The notes to the financial statements will **amplify** the information given in the statement of financial position, statement of profit or loss, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows. We have already noted above the information which IAS 1 allows to be shown by note rather than in the statements. To some extent, then, the contents of the notes will be determined by the level of detail shown **in the statements**.

8.2 Structure

The notes to the financial statements should perform the following functions:

- Present information about the **basis on which the financial statements were prepared** and which **specific accounting policies** were chosen and applied to significant transactions/events.
- Disclose any information, not shown elsewhere in the financial statements, which is **required by IFRS Accounting Standards.**
- Provide any additional information not presented elsewhere in the financial statements which is relevant to an understanding of any of them.

The way the notes are presented is important. They should be set out in a **systematic manner** and **cross-referenced** back to the related figure(s) in the statement of financial position, statement of profit or loss and/or statement of profit or loss and other comprehensive income, statement of cash flows or statement of changes in equity.

Notes to the financial statements will amplify the information shown therein by giving the following:

- more **detailed analysis** or breakdowns of figures in the statements;
- **narrative information** explaining figures in the statements; and
- **additional information** where items are not included in the financial statements eg, contingent liabilities and commitments.

IAS 1 suggests that the notes to the financial statements may follow the order of line items in the statement of profit or loss and statement of financial position. This will assist users when comparing the statements of different entities. (Remember, comparability is one of the enhancing qualitative characteristics of useful information.)

- Statement of **compliance** with IFRS Accounting Standards
- Material accounting policy information
- **Supporting information** for items presented in each of the main components of the financial statements in the same order as the financial statements and each line item within them
- Other disclosures, eg:
  - Contingent liabilities and unrecognised contractual commitments
  - Non-financial disclosures

The order of specific items may have to be varied occasionally, but a systematic structure is still required.

Professional skills focus: Applying judgement

Accountants need to apply judgement when preparing the notes to the financial statements. Only information that is material to the users of the financial statements needs to be presented. Determining what information is material requires judgement, if too much immaterial information is presented, this will obscure the information that is material. Conversely if not enough information is presented, then users of the financial statements may not have a good enough understanding of the entity's position and performance. The fundamental qualitative characteristics should be applied - the notes presented should be relevant and a faithful representation.

8.3 Disclosure of material accounting policy information

Material *accounting policy information should be disclosed. Accounting policy information is material if, when it is considered along with other information in the financial statements, it could reasonably be expected to influence the decisions of primary users of the financial statements.*

Usually accounting policy information is material if users of financial statements would need it to understand other information in the financial statements.

For example, accounting policy information is likely to be material ***if that information relates to material transactions, other events and conditions****,* ***and*** *(IAS 1: para. 117B):*

(a) *The accounting required for them is* ***complex*** *and users of the financial statements would otherwise* ***not understand*** *those material transactions, other events or conditions;*

(b) *The entity* ***changed its accounting policy*** *and the change resulted in a material change to the information in the financial statements;*

(c) *The entity* ***chose the accounting policy from one or more options*** *allowed by IFRS Accounting Standards. For example choosing to measure investment property at historical cost rather than fair value;*

(d) *The accounting policy was* ***developed in accordance with IAS 8*** *because there is no IFRS Accounting Standard that specifically applies;*

(e) *The accounting policy relates to an area in which the entity makes* ***significant judgements or assumptions*** *in applying an accounting policy.*

Accounting policy information disclosed is more useful to users if it is entity-specific. It should focus on how the entity has applied the requirements of IFRS Accounting Standards to its own circumstances.

The entity should disclose the ***judgements*** *made by management in applying the accounting policies that have had the most significant effect on the amounts recognised in the financial statements.*

8.4 Sources of estimation uncertainty

An entity should disclose information about the ***key assumptions*** *made about the future and other major sources of* ***estimation uncertainty*** *which carry a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The assumptions disclosed should relate to estimates that require the most difficult, subjective or complex judgements by management.*

8.5 Other disclosures

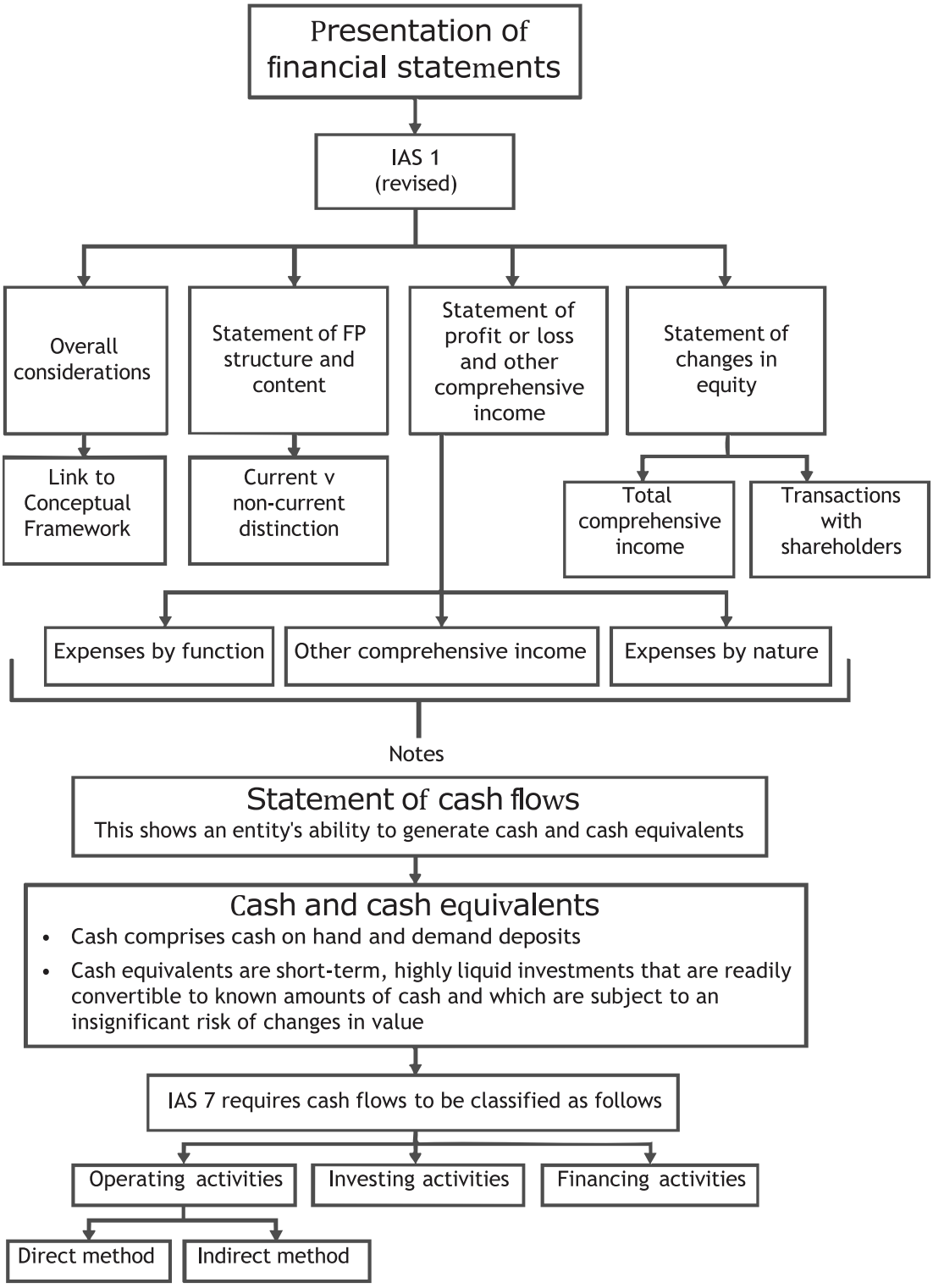
An entity must disclose in the notes:

- the amount of dividends proposed or declared before the financial statements were authorised for issue but not recognised as a distribution to equity holders during the period, and the amount per share; and
- the amount of any cumulative preference dividends not recognised.

IAS 1 ends by listing some **specific disclosures** which will always be required if they are not shown elsewhere in the financial statements.

- The domicile and legal form of the entity, its country of incorporation and the address of the registered office (or, if different, principal place of business).
- A description of the nature of the entity's operations and its principal activities.
- The name of the parent entity and the ultimate parent entity of the group.

Summary


Presentation of financial statements
IAS 1 (revised)
Overall considerations
Statement of FP structure and content
Statement of profit or loss and other comprehensive income
Statement of changes in equity
Link to Conceptual Framework
Current v non-current distinction
Total comprehensive income
Transactions with shareholders
Expenses by function
Other comprehensive income
Expenses by nature
Notes
Statement of cash flows
This shows an entity's ability to generate cash and cash equivalents
Cash and cash equivalents
Cash comprises cash on hand and demand deposits
Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value
IAS 7 requires cash flows to be classified as follows
Operating activities
Investing activities
Financing activities
Direct method
Indirect method

Further question practice

1 Knowledge Diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	What is meant by the term 'materiality' in the context of the financial statements? Why is it not possible to determine an absolute measure for materiality? (Topic 1)
2.	How are under- and over-provisions of income tax accounted for? (Topic 2)
3.	What information is presented under 'Other comprehensive income'? (Topic 5)
4.	What does the Statement of Changes in Equity show? (Topic 6)?
5.	Which cash flows would typically be recorded in the Operating, Investing and Financing activities sections of the Statement of Cash Flows? (Topic 7)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Oscar plc	This is a good example of the style of question 1 in the exam, but at a simplified level while you are still learning the knowledge required for *Financial Accounting and Reporting*. It combines a test of knowledge of preparing a statement of profit or loss, a statement of changes in equity and a statement of financial position. Part (b) tests your knowledge skills by asking you to briefly explain 'fair presentation'.
Middlesex	This is an introduction to the preparation of a statement of cash flows. Before you attempt this question, make sure you have studied this chapter carefully, including the Worked Example in section 7.13, Able plc.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Knowlton	There are three elements to this question, giving good coverage of the topics covered in Chapter 3: • extracts from a statement of cash flows • IAS 1 and presentation of expenses • foreign exchange movements
Caleta plc	This question requires you to prepare a revised statement of cash flows, using additional information.
Tebay Ltd	Another short question which enables you to practice your statement of cash flow application skills. Part (2) of this question is 5 marks on ethics, which is a good opportunity to apply your knowledge.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

Note: The whole of IAS 1 is examinable with the exception of paragraphs 134–136 and IG7–IG11. The paragraphs listed below are the key references you should be familiar with.

1 IAS 1, *Pres entation of Financial Statements*

- Applies to all general-purpose financial statements – **IAS 1 (2–6)**
- Users of the financial statements – **IAS 1 (9), *Conceptual Framework for Financial Reporting* (1.2)**
- Links back to much in the *Conceptual Framework for Financial Reporting*:
  - Fair/faithful presentation – **IAS 1 (15), *Conceptual Framework for Financial Reporting* (2.12– 2.14)**
  - Going concern – **IAS 1 (25–26), *Conceptual Framework for Financial Reporting* (4.1)**
  - Accrual basis of accounting – **IAS 1 (27–28), *Conceptual Framework for Financial Reporting* (1.17)**
  - Consistency of presentation/Comparability – **IAS 1 (45–46), *Conceptual Framework for Financial Reporting* (2.24–29)**
  - Materiality and aggregation – **IAS 1 (29–31), *Conceptual Framework for Financial Reporting* (2.11)**
  - Offsetting – **IAS 1 (32–35), *Conceptual Framework for Financial Reporting* (4.53–4.54)**
  - Comparative information – **IAS 1 (38–44)**
- Presentation and disclosure rules apply only to material items – **IAS 1 (31)**
- Statement of financial position:
  - Layout as in example above
  - Distinction between current and non-current – **IAS 1 (60–65)**
  - Linked to the operating cycle of the business, not just the next 12 months
  - Some items must be in the statement, others can be in the notes – **IAS 1 (77–79)**
- Statement of profit or loss:
  - Layout as in example above
  - Some items must be in the statement, others can be in the notes – **IAS 1 (82–98)**
  - No extraordinary items – **IAS 1 (87)**
  - No dividends paid or payable
  - Allocate net profit for the year between parent company owners and non-controlling interest – **IAS 1 (83)**
- Statement of changes in equity:
  - Layout as in example above
  - Dividends recognised by end of the reporting period – **IAS 1 (106–110)**
- Notes
  - What must be included – **IAS 1 (112)**
  - The systematic manner in which it must be disclosed – **IAS 1 (113)**
  - The disclosure of the measurement bases (eg, historical cost, fair value) and the other

accounting policies used. Note the matters which an entity must consider when deciding what to disclose – **IAS 1 (117)**

- The judgements made by management in applying the accounting policies – **IAS 1 (122)**
- The key measurement assumptions made about the future which carry the significant risk of causing a material adjustment to assets and liabilities – **IAS 1 (125)**
- The disclosure of ordinary dividends proposed or declared after the period end and not recognised in the accounting period. Such dividends do not fall within the definition of a liability at the period end, so cannot be recognised until the next accounting period – **IAS 1 (137)**

2 IAS 7, *Statement of Cash Flows*

- Objective of the statement of cash flows
  - The statement of cash flows should show the historical changes in cash and cash equivalents
  - Cash comprises cash on hand and demand deposits – **IAS 7 (6)**
  - Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value – **IAS 7 (6)**
- Presentation of a statement of cash flows – **Appendix A**
  - Cash flows should be classified by operating, investing and financing activities – **IAS 7 (10)**
  - Cash flows from operating activities are primarily derived from the principal revenue-producing activities of the entity – **IAS 7 (13–14)**
  - Cash flows from investing activities are those related to the acquisition or disposal of any property, plant and equipment, intangible assets or trade investments together with returns received in cash from investments (that is dividends and interest) – **IAS 7 (16)**
- Financing activities include:
  - Cash proceeds from issuing shares
  - Cash proceeds from issuing debentures, loans, notes, bonds, mortgages and other short or long-term borrowings
  - Cash repayments of amounts borrowed
  - Dividends paid to shareholders
  - Principal repayments of amounts borrowed under leases – **IAS 7 (17)**
- Cash flows from operating activities

  There are two methods of presentation allowed:
  - Direct method – **IAS 7 (19)**
  - Indirect method – **IAS 7 (20)**

Self-test questions

Answer the following questions.

1 Bell Holdings Ltd

The statement of profit or loss and other comprehensive income of Bell Holdings Ltd showed a total comprehensive income of CU183,000 for the year ended 30 June 20X7. During the year the following transactions occurred.

- Equity dividends paid of CU18,000.
- Property with a carrying amount of CU60,000 was revalued to CU135,000, which gave rise to additional depreciation of CU8,000. The company transfers amounts from revaluation surplus to retained earnings in respect of the additional depreciation.

The total equity balance brought forward at 1 July 20X6 from the statement of changes in equity was CU2,078,000.

Requirement

In accordance with IAS 1, *Presentation of Financial Statements* what is the total equity balance at 30 June 20X7 in the statement of changes in equity?

2 Dalston Ltd

At 1 January 20X9 the opening statement of financial position of Dalston Ltd showed a credit balance on the tax payable account of CU15,000. At 31 December 20X9 income tax on the profit for the year is estimated at CU45,000.

Requirements

2.1 Calculate the tax expense for inclusion in the statement of profit or loss for the year ended 31 December 20X9.

2.2 Calculate the amount of tax payable that will be presented in the statement of financial position at 31 December 20X9.

3 Ealing plc

Information concerning the non-current assets of Ealing plc is detailed in the table. During the year non-current assets which had cost CU80,000 and which had a carrying amount of CU30,000 were sold for CU20,000. Net cash from operating activities for the year was CU300,000.

	Start of year CU	End of year CU
Cost	180,000	240,000
Aggregate depreciation	(120,000)	(140,000)
Carrying amount	60,000	100,000

There was no other cash activity.

Requirement

Calculate the increase in cash over the year.

4 Gresham plc

Information from the statement of cash flows and related notes of Gresham plc for the year ended 31 December 20X1 can be found in the table below.

	CU
Depreciation	30,000
Profit on sale of property, plant and equipment	5,000
Proceeds from sale of property, plant and equipment	20,000
Purchase of property, plant and equipment	25,000

Requirement

If the carrying amount of property, plant and equipment was CU110,000 on 31 December 20X0, what was it on 31 December 20X1?

5 Tiger Ltd

The following extract has been taken from the trial balance at 31 December 20X9 of Tiger Ltd, a manufacturing company.

	CU	CU
Sales revenue		340,000
Raw material inventories at 1 January 20X9	43,000	
Finished goods inventories at 1 January 20X9	27,000	
Raw material purchases	72,000	
Factory wages	84,000	
Factory plant – cost	127,000	
Factory plant – accumulated depreciation at 1 January 20X9		21,000
Factory rent	65,000	
Office salaries	17,000	
Advertising and selling costs	1,800	

Additional information

Factory plant is depreciated at 20% pa on a reducing balance basis.

Closing inventory at 31 December 20X9 is:

	CU
Raw materials	28,000
Finished goods	41,000

Requirement

Prepare the statement of profit or loss of Tiger Ltd down to 'operating profit' using the 'expenses classified by nature' format.

6 Hendon Ltd

For the year ended 15 July 20Y8 the accountant of Hendon Ltd extracted the following balances from the cloud-based accounting system.

	CU
At 16 July 20Y7	
Inventories	180,900
Retained earnings	170,555
Accumulated depreciation:	
Freehold buildings	20,000
Motor vehicles	28,000
Plant and machinery	22,100
Rental income	12,120
Sales	962,300
Trade receivables	166,270
Purchases	777,200
Trade payables	210,800
Discounts received	27,405
Sundry business expenses:	
Wages	73,500
Salaries	74,000
Office	10,000
Directors' remuneration	30,000
Dividends:	
Paid	40,000
Received	20,000
Interest:	
Paid	12,500
Received	10,000
Freehold land	70,000
Freehold buildings	160,000
Motor vehicles	124,200
Plant and machinery	74,300
10% loan notes:	
14 July 20Y9	35,000
14 July 20Z5	90,000
Share premium account	66,000
25p ordinary shares	200,000
Investments	58,000
Bank (debit)	61,410
New share issue account	38,000

Following a physical count closing inventories were determined to be CU210,000. In addition the accountant discovered the following.

- The loan note interest is payable in arrears on 14 July until maturity.
- One motor vehicle, stated in the accounts at cost of CU8,000 with accumulated depreciation of CU2,000, was stolen during the year. The insurance company has agreed to pay CU7,000 in full settlement. No entries have been made in the accounting records in respect of this matter.
- The company depreciates assets using the reducing balance method. The relevant rates are as follows.

	%
Freehold buildings	2
Plant and machinery	10
Motor vehicles	25

- Freehold land is not depreciated.
- During the year the company issued 40,000 25p ordinary shares at 95p each. The proceeds have been credited to the new shares issue account and still need to be properly accounted for.

Requirement

Prepare a statement of profit or loss for the year ended 15 July 20Y8 and a statement of financial position as at 15 July 20Y8.

Note: Ignore comparatives and taxation.

7 Oscar plc

The following trial balance has been extracted from the accounting records of account of Oscar plc as at 31 March 20X8.

	CU	CU
Administrative expenses	210,000	
Ordinary share capital		600,000
Trade receivables	470,000	
Bank overdraft		80,000
Provision for warranty costs		205,000
Distribution costs	420,000	
Non-current asset investments	560,000	
Investment income		75,000
Finance cost	10,000	
Freehold land and buildings at cost	200,000	
Plant and equipment		
At cost	550,000	
Accumulated depreciation (at 31 March 20X8)		220,000
Retained earnings (at 1 April 20X7)		180,000
Purchases	960,000	

	CU	CU
Inventories (at 1 April 20X7)	150,000	
Trade payables		260,000
Revenue		2,010,000
20X7 final dividend paid	65,000	
20X8 interim dividend paid	35,000	
	3,630,000	3,630,000

Additional information

(1) Inventories at 31 March 20X8 were valued at CU160,000.

(2) The following items are already included in the balances listed in this trial balance.

	Distribution costs	Administrative expenses
	CU	CU
Depreciation charge for the year	27,000	5,000
Employee benefits	150,000	80,000

(3) The income tax expense for the year is estimated at CU74,000.

(4) The warranty provision is to be increased by CU16,000, charged to administrative expenses.

(5) Staff bonuses totalling CU40,000 are to be provided for, charged equally to distribution costs and administrative expenses.

(6) In May 20X8 a final dividend for 20X8 of 10p per share was proposed on each of the company's 600,000 ordinary shares.

Requirements

7.1 Prepare Oscar plc's statement of profit or loss and statement of changes in equity for the year to 31 March 20X8, a statement of financial position at that date and notes in accordance with the requirements of IAS 1, *Presentation of Financial Statements* to the extent the information is available.

7.2 Explain the concept of 'fair presentation'.

8 Middlesex Ltd

The statement of financial position of Middlesex Ltd as at 30 June 20Y8, including comparative figures, is given below.

	20Y8 CU	20Y7 CU
ASSETS		
Non-current assets		
Property, plant and equipment	333,000	311,000
Less depreciation	(70,000)	(69,000)
	263,000	242,000
Investment	50,000	
	313,000	242,000

	20Y8 CU	20Y7 CU
Current assets		
Inventories	12,000	11,000
Trade and other receivables	29,000	27,000
Cash and cash equivalents	20,000	10,000
	61,000	48,000
Total assets	374,000	290,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital (CU1 shares)	95,000	50,000
Share premium	15,000	10,000
Revaluation surplus	12,000	12,000
Retained earnings	149,000	115,000
	271,000	187,000
Non-current liabilities		
Interest-bearing borrowings (12% loan notes 20Z1)	50,000	60,000
Current liabilities		
Provisions	–	2,000
Trade and other payables	27,000	19,000
Tax liabilities	7,000	3,000
Accruals	19,000	19,000
	53,000	43,000
Total equity and liabilities	374,000	290,000

You are also given the following information which is already reflected correctly in the accounts.

- During the year a bonus issue of 1 for 10 was made on the ordinary shares in issue at 30 June 20Y7, utilising available profits.
- New shares were issued on 1 July 20Y7. Part of the proceeds was used to redeem CU10,000 12% loan notes 20Z1 at par.
- During the year certain tangible non-current assets were disposed of for CU20,000. The assets had originally cost CU40,000 and had a carrying amount at the disposal date of CU18,000.
- Trade and other payables include CU5,000 for 20Y8 relating to the non-current asset purchases.
- The income tax charge for the year is CU7,000.

Requirement

Prepare a statement of cash flows for the year ended 30 June 20Y8 and the note reconciling profit before tax with cash generated from operations.

9 Virgil Ltd

You have been asked to correct the following draft statement of cash flows which has been prepared for Virgil Ltd:

Statement of cash flows for the year ended 30 June 20X2

	CU	CU
Net cash from operating activities		40,000
Cash flows from investing activities		
Development expenditure	(130,000)	
Purchase of property, plant and equipment (825 – 637 + 57)	(245,000)	
Proceeds of sale of property, plant and equipment	110,000	
Net cash used in investing activities		(265,000)
Cash flows from financing activities		
Proceeds of share issue (850 – 500)	350,000	
Proceeds from issue of loan notes	50,000	
Payment of lease liabilities	(56,000)	
Net cash from financing activities		344,000
Increase in cash and cash equivalents		119,000

The statements of financial position for the years ended 30 June 20X1 and 30 June 20X2 are as follows:

	20X2 CU	20X1 CU
Non-current assets		
Property, plant and equipment	825,000	637,000
Development expenditure	390,000	260,000
	1,215,000	897,000
Current assets		
Inventories	360,000	227,000
Trade receivables	274,000	324,000
Cash and cash equivalents	172,000	163,000
	806,000	714,000
Total assets	2,021,000	1,611,000
Equity		
Share capital – CU1 ordinary shares	500,000	400,000
Share premium	350,000	100,000
Revaluation surplus	152,000	60,000
Retained earnings	285,000	300,000
	1,287,000	860,000

	20X2 CU	20X1 CU
Non-current liabilities		
8% loan notes	150,000	100,000
Lease liabilities	100,000	80,000
	250,000	180,000
Current liabilities		
Lease liabilities	17,000	12,000
Other current liabilities	335,000	505,000
Bank overdraft	132,000	54,000
	484,000	571,000
Total equity and liabilities	2,021,000	1,611,000

It is immediately clear that the increase in cash and cash equivalents shown in the statement of cash flows does not agree with the cash movement shown in the statements of financial position.

You establish the following:

- The net cash flow from operating activities is correct.
- Amortisation of development expenditure, correctly adjusted for in the net cash from operating activities, was CU60,000.
- One of the properties owned by Virgil Ltd was revalued upwards at the beginning of 20X2. Depreciation based on the year-end carrying amount of property, plant and equipment was CU57,000, which was correctly added back in calculating net cash from operating activities. Depreciation based on historical cost would have been CU49,000. Virgil Ltd has transferred the excess depreciation to retained earnings as allowed by IAS 16, *Property, Plant and Equipment*.
- Plant and equipment was sold during the year for CU110,000 and yielded a profit of CU7,000.
- New plant and equipment was acquired during the year under a lease. The lease liability was initially recognised at CU56,000 and this amount has been shown under financing activities. The right-of-use asset was initial recognised equal to the amount of the lease liability and is presented as part of property, plant and equipment.
- The share issue at full market price was preceded by a 1 for 8 bonus issue capitalising retained earnings.
- Profit for the year ended 30 June 20X2 was CU183,000.

Requirement

Prepare a corrected statement of cash flows for Virgil Ltd in accordance with IAS 7, *Statement of Cash Flows* for the year ended 30 June 20X2.

Notes to the statement of cash flows are not required.

10 Optica plc

The following statement of cash flows has been prepared for Optica plc, an engineering company.

Statement of cash flows for the year ended 30 September 20X6

	CU	CU
Net cash from operating activities		275,000
Cash flows from investing activities		
Purchase of property, plant and equipment	(340,000)	
Purchase of non-current asset investments	(10,000)	
Net cash used in investing activities		(350,000)
Cash flows from financing activities		
Issue of 9% loan notes	120,000	
Redemption of 8% loan notes	(100,000)	
Equity share issue (200 share cap + 65 premium)	265,000	
Net cash from financing activities		285,000
Increase in cash and cash equivalents		210,000

Reconciliation of profit before tax to net cash from operating activities

	CU
Profit before tax	142,000
Depreciation	255,000
Finance costs	40,000
	437,000
Decrease in inventories	30,000
Decrease in receivables	110,000
Decrease in payables	(205,000)
Cash generated from operations	372,000
Interest paid	(40,000)
Income taxes paid	(57,000)
Net cash from operating activities	275,000

On looking this over you see that the decrease in cash does not agree back to the statements of financial position, which show cash and cash equivalents at 30 September 20X5 of CU182,000 and cash and cash equivalents at 30 September 20X6 of CU441,000.

You obtain the following further information:

(1) The figure included in the statement of cash flows for purchase of property, plant and equipment was calculated by taking the movement in the total PPE figure shown on the face of the statement of financial position. There were no disposals of PPE during the year.

(2) Due to a change in legislation from 1 October 20X5, Optica plc has an obligation to restore damage caused by an offshore drilling rig. The cost of restoration has been estimated and discounted at a rate of 8% to a present value of CU300,000. This amount has been added to the cost of the rig and treated as a provision from 1 October 20X5. Unwinding of the discount has been included in finance costs. There were no interest payments outstanding at 30 September 20X5 or 30 September 20X6.

(3) Land was revalued upward during the year. This was the only revaluation that took place during the year.

(4) On 1 April 20X6 a 1 for 3 bonus issue was made utilising as far as possible the share premium account. On 1 July 20X6 CU100,000 of the 8% loan notes were converted to equity at the rate of one share per CU2 of loan capital.

(5) A translation loss of CU45,000 was recorded on the restatement of foreign investments at 30 September 20X6. This was charged to administrative expenses and has been correctly accounted for in arriving at the CU10,000 net cash outflow on purchase of investments.

(6) No amounts were due to the tax authorities at 30 September 20X5 or 30 September 20X6.

(7) The equity sections of the statements of financial position are as follows:

		20X6		20X5
		CU		**CU**
Equity shares of		500,000		300,000
CU1 Share premium	150,000		85,000	
Revaluation surplus	60,000		25,000	
Retained earnings	950,000		965,000	
		1,160,000		1,075,000
		1,660,000		1,375,000

Requirement

Prepare a corrected statement of cash flows and note reconciling profit before tax to net cash from operating activities in accordance with IAS 7, *Statement of Cash Flows* for Optica plc for the year ended 30 September 20X6 taking account of (1) to (7) above.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

INCOME TAX PAID

	CU		CU
Cash payment (balancing figure)	1,085,000	Balance b/d	940,000
Balance c/d	1,125,000	Profit or loss	1,270,000
	2,210,000		2,210,000

Alternatively, this could be calculated as follows:

(CU940,000 + CU1,270,000 – CU1,125,000) = CU1,085,000

Answer to Interactive question 2

PROPERTY, PLANT AND EQUIPMENT

	CU		CU
Balance b/d	5,100,000	Disposals	850,000
Additions (balance)	2,550,000	Balance c/d	6,800,000
	7,650,000		7,650,000

The company started the year with PPE at cost of CU5,100,000. It bought a further CU2,550,000 of PPE, giving a total of CU7,650,000 at cost. However, there were disposals of PPE with a cost of CU850,000, bringing the year-end figure down to CU6,800,000.

Answer to Interactive question 3

INTEREST RECEIVED

	CU		CU
Balance b/d	35,000	Cash received (balancing figure)	83,000
Profit or loss	90,000	Balance c/d	42,000
	125,000		125,000

Answer to Interactive question 4

SHARE CAPITAL AND SHARE PREMIUM

	CU		CU
		Balance b/d	14,800,000
		Retained earnings	200,000
Balance c/d	23,400,000	Cash received (balance)	8,400,000
	23,400,000		23,400,000

Answers to Self-test questions

1 Bell Holdings Ltd

The revaluation and additional depreciation of CU8,000 will have already been accounted for in the statement of profit or loss and other comprehensive income. The transfer from the revaluation surplus to retained earnings does not impact on total equity.

Equity

	CU
B/f	2,078,000
Total comprehensive income	183,000
Dividends paid	(18,000)
Total	2,243,000

2 Dalston Ltd

2.1 Tax expense

	CU
Tax expense on current year's profits	45,000
Less: overprovision in respect of previous year	(15,000)
Tax expense in statement of profit or loss	30,000

2.2 Tax payable

	CU
Due to tax authority for current year	45,000

3 Ealing plc

Cash increase = CU180,000

NON-CURRENT ASSETS – COST

	CU		CU
Balance b/d	180,000	Disposals	80,000
Therefore purchases	140,000	Balance c/d	240,000
	320,000		320,000

	CU
Cash from operations	300,000
Cash inflow: disposal proceeds	20,000
	320,000
Cash outflow: purchases of non-current assets	(140,000)
Therefore net cash increase	180,000

Note that adjustments for depreciation and loss on disposal will already be included in net cash from operating activities.

4 Gresham plc

Carrying amount = CU90,000

PROPERTY (CARRYING AMOUNT)

	CU		CU
Balance b/d	110,000	Depreciation	30,000
Additions	25,000	Disposals (carrying amount)	15,000
		Balance c/d	90,000
	135,000		135,000

5 Tiger Ltd

Statement of profit or loss for the year ended 31 December 20X9

	CU
Revenue	340,000
Changes in inventories of finished goods (41,000 – 27,000)	14,000
Raw materials used (43,000 + 72,000 – 28,000)	(87,000)
Employee benefits expense (84,000 + 17,000)	(101,000)
Depreciation ((127,000 – 21,000) × 20%)	(21,200)
Other expenses (65,000 + 1,800)	(66,800)
Operating profit	78,000

6 Hendon Ltd

Statement of profit or loss for the year ended 15 July 20Y8

	CU
Revenue	962,300
Cost of sales (W8)	(725,915)

	CU
Gross profit	236,385
Other operating income (12,120 + 1,000*)	13,120
Distribution costs (W8)	(22,550)
Administrative expenses (W8)	(190,300)
Operating profit	36,655
Finance cost (W2)	(12,500)
Investment income (20,000 + 10,000)	30,000
Net profit for the year	54,155

* profit on disposal of non-current assets

Statement of financial position as at 15 July 20Y8

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (W9)		321,830
Investments		58,000
		379,830
Current assets		
Inventories	210,000	
Trade and other receivables (W7)	173,270	
Cash and cash equivalents	61,410	
		444,680
Total assets		824,510
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital (W4)		210,000
Share premium (W5)		94,000
Retained earnings (W6)		184,710
		488,710
Non-current liabilities		
Interest-bearing borrowings		90,000
Current liabilities		
Trade and other payables	210,800	
Short-term borrowings	35,000	
		245,800
Total equity and liabilities		824,510

WORKINGS

(1) **Accumulated depreciation**

	Charge	B/f	Disposals	C/f
	CU	CU	CU	CU
Freehold (160,000 - 20,000) × 2%)	2,800	20,000	-	22,800
Vehicles (((124,200 - 8,000) - (28,000 - 2,000)) × 25%)	22,550	28,000	(2,000)	48,550
Plant (74,300 - 22,100) × 10%	5,220	22,100	-	27,320

(2) **Finance cost**

	CU
20Y9 loan notes (35,000 × 10%)	3,500
20Z5 loan notes (90,000 × 10%)	9,000
	12,500

All interest due has been paid in year.

(3) **Cost of property, plant and equipment**

	CU
Freehold (70,000 + 160,000))	230,000
Vehicles (124,200 - 8,000)	116,200

(4) **Ordinary share capital**

	CU
Per TB	200,000
New issue (40,000 × 25p)	10,000
	210,000

(5) **Share premium**

	CU
Per TB	66,000
New issue ((95p – 25p) × 40,000)	28,000
	94,000

(6)

RETAINED EARNINGS

	CU		CU
Dividends	40,000	B/d	170,555
C/d	184,710	Profit for the year	54,155
	224,710		224,710

(7) **Trade and other receivables**

	CU
Trade receivables	166,270
Insurance claim	7,000
	173,270

(8) **Analysis of expenses**

	Cost of sales	Distribution Costs	Administrative expenses
	CU	CU	CU
Opening inventories	180,900		
Purchases	777,200		
Discount received	(27,405)		
Closing inventories	(210,000)		
Plant and machinery – depreciation charge (W1)	5,220		
Motor vehicles – depreciation charge (W1)		22,550	
Freehold buildings – depreciation charge (W1)			2,800
Expenses (total sundry expenses)			187,500
	725,915	22,550	190,300

(9) **Analysis of property, plant and equipment**

	Cost or Valuation (W3)	Accumulated depreciation (W1)	Carrying amount
	CU	CU	CU
Freehold buildings	230,000	22,800	207,200
Motor vehicles	116,200	48,550	67,650
Plant and machinery	74,300	27,320	46,980
	420,500	98,670	321,830

7 Oscar plc

7.1 **Financial statements**

Statement of profit or loss for the year ended 31 March 20X8

	CU
Revenue	2,010,000
Cost of sales (960 + 150 – 160)	(950,000)
Gross profit	1,060,000
Distribution costs (420 + 20)	(440,000)

Administrative expenses (210 + 16 + 20)	(246,000)
Operating profit	374,000
Finance cost	(10,000)
Investment income	75,000
Profit before tax	439,000
Income tax expense	(74,000)
Profit for the year	365,000

Statement of changes in equity for the year ended 31 March 20X8

	Share capital	Retained Earnings	Total equity
	CU	CU	CU
Balance at 1 April 20X7	600,000	180,000	780,000
Dividends		(100,000)	(100,000)
Total comprehensive income for the year		365,000	365,000
Balance at 31 March 20X8	600,000	445,000	1,045,000

Notes

1 The operating profit is arrived at after charging:

	CU
Depreciation (27 + 5)	32,000
Employee benefits (150 + 80 + 40)	270,000

2 A final dividend for 20X8 of CU60,000 (10p per share) is proposed.

Statement of financial position as at 31 March 20X8

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (200 + 550 – 220)		530,000
Investments		560,000
		1,090,000
Current assets		
Inventories	160,000	
Trade and other receivables	470,000	
Total assets		630,000
		1,720,000

	CU	CU
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital		600,000
Retained earnings		445,000
		1,045,000
Non-current liabilities		
Provision for warranty costs (205 + 16)		221,000
Current liabilities		
Trade and other payables (260 + 40)	300,000	
Taxation	74,000	
Borrowings	80,000	
		454,000
Total equity and liabilities		1,720,000

7.2 IAS 1, *Presentation of Financial Statements* describes the concept of fair presentation. Fair presentation involves:

- representing faithfully the effect of transactions, other events and conditions; and
- in accordance with the definitions and recognition criteria in the *Conceptual Framework for Financial Reporting*.

This is developed by stating that the application of IFRS Accounting Standards, Interpretations and additional disclosures is presumed to result in fair presentation.

The *Conceptual Framework for Financial Reporting* uses the description of fair presentation in its discussion of the application of the principal qualitative characteristics of financial information.

8 Middlesex Ltd

Statement of cash flows for the year ended 30 June 20Y8

	CU	CU
Cash flows from operating activities		
Cash generated from operations (Note)		71,000
Interest paid (W6)		(6,000)
Tax paid (W2)		(3,000)
Net cash from operating activities		62,000
Cash flows from investing activities		
Purchase of property, plant and equipment (W3)	(57,000)	
Proceeds from sale of property, plant and equipment	20,000	
Purchase of investments	(50,000)	
Net cash used in investing activities		(87,000)

	CU	CU
Cash flows from financing activities		
Issues of ordinary shares (W4)	45,000	
Redemption of non-current interest-bearing borrowings	(10,000)	
Net cash from financing activities		35,000
Net change in cash and cash equivalents		10,000
Cash and cash equivalents brought forward		10,000
Cash and cash equivalents carried forward		20,000

Reconciliation of profit before tax to net cash generated from operations for the year ended 30 June 20Y8

	CU
Profit before tax (W7)	46,000
Finance cost (W6)	6,000
Property, plant and equipment – depreciation charge (W1)	23,000
Profit on disposal of property, plant and equipment	(2,000)
Change in inventories (W5)	(1,000)
Change in trade and other receivables (W5)	(2,000)
Change in trade and other payables (W5)	3,000
Change in provision	(2,000)
Cash generated from operations	71,000

WORKINGS

(1)

PROPERTY, PLANT AND EQUIPMENT – ACCUMULATED DEPRECIATION

	CU		CU
Disposal (40,000 – 18,000)	22,000	B/f	69,000
C/f	70,000	Charge for year (β)	23,000
	92,000		92,000

(2)

TAX PAID

	CU		CU
Cash (β)	3,000	B/f	3,000
C/f	7,000	Charge for year	7,000
	10,000		10,000

(3)

PROPERTY, PLANT AND EQUIPMENT – COST OR VALUATION

	CU		CU
B/f	311,000	Disposal	40,000
Additions (β)	57,000	C/f	333,000
C/f	5,000		
	373,000		373,000

(4)

SHARE CAPITAL AND PREMIUM

	CU		CU
		B/f (50,000 + 10,000)	60,000
		Accumulated profit/losses (bonus issue) (50,000 ÷ 10)	5,000
C/f (95,000 + 15,000)	110,000	Cash (β)	45,000
	110,000		110,000

(5) **Changes in current items**

	CU
Inventories (12,000 – 11,000)	(1,000)
Receivables (29,000 – 27,000)	(2,000)
Payables (27,000 – 5,000 – 19,000)	3,000

(6) **Finance cost**

CU50,000 × 12% = CU6,000

(7)

RETAINED EARNINGS

	CU		CU
Bonus issue	5,000	B/f	115,000
Income tax	7,000	Net profit for the year (β)	46,000
C/f	149,000		
	161,000		161,000

9 Virgil Ltd

Statement of cash flows for the year ended 30 June 20X2

	CU	CU
Net cash from operating activities		40,000
Cash flows from investing activities		
Development expenditure (130 + 60)	(190,000)	
Purchase of property, plant and equipment (W1)	(192,000)	
Proceeds of sale of property, plant and equipment	110,000	
Net cash used in investing activities		(272,000)
Cash flows from financing activities		
Proceeds of share issue (850 – 500 – (400/8))	300,000	
Proceeds from issue of loan notes	50,000	
Payment of lease liabilities (W2)	(31,000)	
Dividends paid (W3)	(156,000)	
Net cash from financing activities		163,000
Net decrease in cash and cash equivalents		(69,000)
Cash and cash equivalents at beginning of period (163 – 54)		109,000
Cash and cash equivalents at end of period (172 – 132)		40,000

WORKINGS

(1)

PPE – CARRYING AMOUNT

	CU		CU
B/f	637,000	Depreciation	57,000
Revaluation (152 – 60 + 8*)	100,000	Disposals (110 – 7)	103,000
Right-of-use assets	56,000		
Cash additions (ß)	192,000	C/f	825,000
	985,000		985,000

* (57,000 – 49,000)

(2)

LEASE LIABILITIES

	CU		CU
Payments made (ß)	31,000	B/f	
C/f		– non-current	80,000
– non-current	100,000	– current	12,000
– current	17,000	Additions	56,000
	148,000		148,000

(3)

RETAINED EARNINGS

	CU		CU
Bonus issue	50,000	B/f	300,000
Dividends paid (ß)	156,000	Excess depreciation	8,000
C/f	285,000	Profit for the year	183,000
	491,000		491,000

10 Optica plc

Statement of cash flows for the year ended 30 September 20X6

	CU	CU
Net cash from operating activities		**344,000**
Cash flows from investing activities		
Purchase of property, plant and equipment (W1)	(260,000)	
Purchase of non-current asset investments	(10,000)	
Net cash used in investing activities		(270,000)
Cash flows from financing activities		
Dividends paid (W2)	(85,000)	
Issue of 9% loan notes	120,000	
Equity share issue (50 (W3) + 100 (W4))	150,000	
Net cash from financing activities		185,000
Increase in cash and cash equivalents		259,000
Cash and cash equivalents at 30 September 20X5		182,000
Cash and cash equivalents at 30 September 20X6		441,000
Reconciliation of profit before tax to net cash from operating activities		
Profit before tax		142,000
Depreciation		255,000
Foreign exchange loss		45,000
Finance costs		40,000
		482,000
Decrease in inventories		30,000
Decrease in receivables		110,000
Decrease in payables		(205,000)
Cash generated from operations		417,000
Interest paid (40 – (300 × 8% re decommissioning))		(16,000)
Income taxes paid		(57,000)
Net cash from operating activities		344,000

WORKINGS

(1)

PROPERTY, PLANT AND EQUIPMENT – CARRYING AMOUNT

	CU		CU
Revaluation (60 – 25)	35,000	Depreciation	255,000
Decommissioning provision	300,000		
Additions (ß)	260,000	Movement	340,000
	595,000		595,000

(2)

RETAINED EARNINGS

	CU		CU
Bonus issue (100- 85 (W4))	15,000	Balance b/f	965,000
Dividends paid (ß)	85,000	Profit for the year (142 – 57)	85,000
Balance c/f	950,000		
	1,050,000		1,050,000

(3)

SHARE CAPITAL

	CU		CU
		Balance b/f	300,000
		Loan notes converted (100/2)	50,000
		Bonus issue (300/3)	100,000
Balance c/f	500,000	New issue (ß)	50,000
	500,000		500,000

(4)

SHARE PREMIUM

	CU		CU
Bonus issue	85,000	Balance b/f	85,000
		Loan notes converted (W3)	50,000
Balance c/f	150,000	New issue	100,000
	235,000		235,000

Chapter 4
Reporting financial performance

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors

2 IFRS 5, Non-current Assets Held for Sale and Discontinued Operations

3 IAS 21, The Effects of Changes in Foreign Exchange Rates

4 IAS 24, Related Party Disclosures

5 IAS 33, Earnings per Share

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Introduction

Learning outcomes

- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards to specified single entity scenarios
- Define and calculate from information provided the distributable profits of an entity

Syllabus links

In *Accounting* you will have looked briefly at IAS 8 in the context of accounting for changes in accounting estimates and the correction of errors when preparing financial statements. In *Financial Accounting and Reporting*, those basic principles are developed. IFRS 5, IAS 21, IAS 24 and IAS 33 are introduced at this level. The more complex aspects of these standards will be covered at the Advanced Stage.

Examination context

In the assessment, students may be required to:

- Prepare financial statements or extracts including adjustments for:
  - changes in accounting policies
  - changes in accounting estimates
  - prior period adjustments
  - foreign currency transactions
- Explain the required accounting treatment.
- Identify and explain the circumstances in which an operation would meet the IFRS 5 definition of a discontinued operation.
- Calculate basic EPS and comment on how it might be affected by different accounting policies.
- Identify the distributable profits for an entity and explain the rules surrounding the calculation.
- Identify and discuss a related party situation and explain the disclosure requirements for related parties.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**IAS 8, *Accounting Policies, Changes in Accounting Estimates and* Errors** Some accounting standards offer an accounting policy choice, such as IAS 16 which allows property, plant and equipment to be held at historical cost or valuation. A company may change its accounting policies, but only in limited circumstances. Professional accountants frequently make estimates as to the amounts to be included in the financial statements. The method and rate of depreciation and the amount of allowance for receivables are examples of accounting estimates. IAS 8 considers how changes in accounting estimates should be applied. IAS 8 also considers how we should correct for errors that relate to prior year financial statements.	**Approach** Understand the importance of the choice and application of an accounting policy and then consider the reasons for and implications of changing an accounting policy. Be aware of changes caused by adopting a new policy, either because of a change by management or because of a change in the accounting standards. Compare that to the treatment for changes in accounting estimates. Make sure you can differentiate between an accounting policy and an accounting estimate. Finally, consider the implications of errors and how these are corrected in the financial statements. **Stop and think** Consider the reasons for wanting to change an entity's accounting policy. Why are changes in an accounting policy being instigated by the entity?	This accounting standard could be tested anywhere in the *Financial Accounting and Reporting* exam, as it lends itself to questions that may be numerical (showing the adoption of a new accounting policy or a change of accounting policy), explanatory (what is the effect of the changes in accounting estimates or policies) or ethical (why is management considering the change and are there sinister motives for the proposed change?).	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
2	**IFRS 5, *Non- current Assets Held for Sale and Discontinued Operations*** In this topic, only discontinued operations is covered (Chapter 5 looks at assets held for sale). The performance of a component of a business that will not continue into the future need to be presented separately.	**Approach** Understand the reasons for the standard and how it will help the users of the financial statements. Work through the topic and the worked examples which explain how applying the Standard affects the financial statements. **Stop and think** Consider the impact on the users of the financial statements if IFRS 5 didn't require a separate disclosure of discontinued operations. How would the users be able to predict future profits or potential earnings?	You may be asked to show the impact of a discontinued division in a single company or consolidated accounts question. Assessment of the knowledge and application of this standard will be part of a longer question.	**IQ1 Discontinued Operation** Work methodically through this question, using the proforma provided to practise your application of discontinued operations.
3	**IAS 21, The *Effects of Changes in Foreign* Exchange *Rates*** Many companies undertake transactions in foreign currencies and must translate these amounts into sterling in order to record them in their accounting records. You need to learn the rules regarding the exchange rates, the balances which need to be translated and how to account for exchange gains and losses.	**Approach** Make sure that you understand when the relevant exchange rates should be applied (at the transaction date, at the year-end date for monetary balances) and how gains and losses are accounted for.	Your knowledge and application of IAS 21 could be tested in an objective test question or as part of a preparation of financial statements question.	**IQ2 Exchange rate movements** This is a simple question to show the impact of foreign exchange transactions and the implications of IAS 21 in the year-end accounts.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**IAS 24, *Related* Party D*is closures*** Disclosure is required of the relationship with related parties and related party transactions and outstanding balances (eg, between a parent company and its subsidiary). Group financial statements often involve related party transactions so it is likely that you will have both practical and theoretical experience of transactions between multiple group companies.	**Approach** Understand what is meant by the term 'related party' and who those parties may be and what disclosures are required when there are related party transactions in the year. **Stop and think** Consider the implications for a group scenario, especially where there may be intra-group trading.	You may be asked to explain the reasons behind the requirements of IAS 24 or explain the related party disclosures that may be required. There could be some ethical considerations too if the directors of a company do not want to disclose related party information.	**IQ3 Related party disclosures** This question provides four scenarios and asks you to explain whether each should be disclosed in the financial statements.
5	**IAS 33, E*arnings per* Sh*are*** EPS is a commonly used performance measure for companies. The standard is only mandatory for listed companies.	**Approach** Learn the equation for the calculation of basic earnings per share (EPS) and consider the impact on the calculation of the entity issuing new shares.	The calculation of EPS is likely to be tested as part of a preparation of financial statements question, especially where shares have been issued during the year, so ensure you can calculate the weighted average number of shares.	**IQ4 Dividend on irredeemable preference shares presented as equity & IQ5 Cumulative dividend on irredeemable preference shares presented as equity** Both questions focus on how preference shares feature in the basic EPS calculation. **IQ6 Bonus issue** This question gives you a chance to practice calculating EPS where there has been a bonus issue.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
				IQ7 Rights issue This question looks at the calculation of the bonus factor when calculating EPS after a rights issue.
6	**Distributable profits** Distributable profits are calculated based on the single entity rather than the group as a whole. There are different rules of public and private companies.	**Approach** Learn the rules for how to calculate distributable profits and work through the Distributable profits example before attempting Interactive question 8.	You may be asked to advise on whether a proposed dividend can legally be paid.	**IQ8 Distributable profits** Explain and calculate the distributable reserves and how other elements of equity may affect the calculation.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*

Section overview

IAS 8 is intended to enhance:

- relevance
- faithful representation
- comparability

1.1 Introduction

The objective of IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* is to prescribe the criteria for selecting and changing accounting policies, together with the accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates and correction of errors. This enhances relevance, faithful representation and comparability. IAS 8 achieves this objective by ensuring that:

- information is available about the accounting policies adopted by different entities;
- different entities adopt a common approach to the distinction between a change in accounting policy and a change in an accounting estimate;
- the scope for accounting policy changes is constrained; and
- changes in accounting policies, changes in accounting estimates and corrections of errors are dealt with in a comparable manner by different entities.

Definition

Accounting policies: The specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements (IAS 8: para.5).

Accounting policies are normally developed by reference to the **applicable IFRS Accounting Standard or Interpretation** together with any relevant Implementation Guidance issued by the IASB. The exception to this is where the effect of applying the accounting policy set out in the IFRS Accounting Standard is immaterial.

Where there is no applicable IFRS Accounting Standard or Interpretation, management should use its judgement in developing an accounting policy ensuring that the resulting information is relevant and reliable. In practical terms management should refer to:

- the requirements and guidance in IFRS Accounting Standards/Interpretations dealing with similar and related issues; and
- the basic principles set down in the *Conceptual Framework for Financial Reporting*, for example, the recognition criteria and measurement concepts for assets, liabilities and expenses.

Management may also consider the most recent pronouncements of other standard setting bodies that use a similar conceptual framework to develop standards, other accounting literature and accepted industry practices if these do not conflict with the sources above.

1.2 Consistency of accounting policies

Once selected, accounting policies should be **applied consistently** for similar transactions, other events and conditions. The exception to this is where an IFRS Accounting Standard requires or allows categorisation of items where different policies may be applied to each category.

The same accounting policies are usually adopted from period to period, to enhance comparability thereby allowing users to analyse trends over time in profit, cash flows and financial position.

Changes in accounting policy will therefore be rare and should only be made if the change:

- is required by an IFRS Accounting Standard; or
- will result in the financial statements providing reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, financial performance or cash flows (a voluntary change).

The standard highlights two types of event **which do not constitute changes in accounting policy**:

- adopting an accounting policy for a **new type of transaction** or event not dealt with previously by the entity; and
- adopting a **new accounting policy** for a transaction or event which has not occurred in the past or which was not material.

Professional skills focus: Applying judgement

You will need to use professional scepticism in the exam (as well as in your working life) if a company is planning to change an accounting policy. Changes may occur if the business has recently been merged with another one that has different policies, in which case changes are justified. Be aware in particular of any change in accounting policy where financial results are significantly affected, especially where directors' bonuses or performance measures such as EPS may be affected.

1.3 Changes in accounting policy

A change in accounting policy **is applied retrospectively.**

Definition

Retrospective application: Applying a new accounting policy to transactions, other events and conditions as if that policy had always been applied.

In other words, the new policy is applied from the earliest date such transactions or events occurred. As a result of an accounting policy change in the current reporting period:

- comparative period amounts are restated in the financial statements; and
- if periods before the earliest comparative period presented are affected, an adjustment is made to retained earnings brought forward at the start of the earliest comparative period.

When an entity applies an accounting policy retrospectively or retrospectively restates or reclassifies items in its financial statements, IAS 1 requires a minimum of three statements of financial position ie, as at:

- the end of the current period;
- the end of the previous period (beginning of the current period); and
- the beginning of the earliest comparative period.

A change in the way an item is presented, such as now classifying depreciation charges as cost of sales instead of in administrative expenses **is a change in accounting policy**.

Although IAS 8 requires retrospective adjustment for changes in accounting policy it recognises that there may be circumstances where it is **impracticable** to determine the effect in a specific period or on a cumulative basis. Where this is the case the policy should be applied retrospectively to the earliest period for which it is practicable to do so.

In the **rare circumstance** where it is impracticable to restate retrospectively **any** financial results the new policy should be applied **prospectively.**

Definition

Prospective application of a change in accounting policy: Applying the new accounting policy to transactions, other events and conditions occurring after the date as at which the policy is changed.

1.4 *Adopting a policy of revaluation for assets*

*If a **policy of revaluation** for a class of **property, plant and equipment** or **intangible assets** is adopted for the first time, then IAS 8 specifies that this is a change in an accounting policy **to be dealt with as a revaluation in accordance with IAS 16, Property, Plant and Equipment or IAS 38, Intangible Assets** rather than as a change of accounting policy in accordance with IAS 8. A change to the revaluation model will therefore be applied **prospectively**, in line with IAS 16 or IAS 38, and not retrospectively.*

1.5 Adoption of a new IFRS Accounting Standard

Where a new IFRS Accounting Standard is adopted, IAS 8 requires any transitional provisions in the new IFRS Accounting Standard itself to be followed. If none are given in the IFRS Accounting Standard which is being adopted, then the entity should follow the general principles of IAS 8.

1.6 Disclosure

Certain **disclosures** are required when a voluntary change in accounting policy has a **material** effect on the current period or any prior period presented, or when it may have a material effect in subsequent periods.

- nature of the change
- reasons for the change (why more reliable and relevant)
- amount of the adjustment for the current period and for each prior period presented for each line item
- amount of the adjustment relating to periods before those included in the comparative information
- the fact that comparative information has been restated or that it is impracticable to do so

An entity should also disclose information relevant to assessing the **impact of new IFRS Accounting Standards** on the financial statements where these have **not yet been adopted**.

1.7 Accounting estimates

Definition

Accounting estimate: Accounting estimates are monetary amounts in financial statements that are subject to measurement uncertainty (IAS 8: para. 5).

Estimates arise in relation to business activities because of the **uncertainties inherent within them**. Judgements are made based on the latest available, reliable information. The use of such estimates is a necessary part of the preparation of financial statements and does **not** undermine their reliability.

Advanced data analysis and artificial intelligence tools have the potential to improve the accuracy of accounting estimates. Data analysis tools can analyse vast amounts of data, drawn from multiple sources and often using real time data, and so can develop much more accurate predictions and estimates than were previously possible.

Examples of accounting estimates are:

- an allowance for receivables
- useful lives of depreciable assets
- adjustment for obsolescence of inventory
- estimates of liability under standard warranty obligations

1.8 Accounting treatment

An entity may need to **change an accounting estimate** if there are changes in the circumstances on which the accounting estimate was based, or if there is new information or new developments or more experience on which the entity can base the accounting estimate.

The **effect of a change in an accounting estimate** should be recognised **prospectively**. This means the change is applied to transactions **from the date of the change**.

The effect of a change in an accounting estimate should be included in the determination of net profit or loss in:

- the period of the change, if the change affects that period only; or
- the period of the change **and** future periods, if the change affects both.

An example of a change in accounting estimate which affects only the **current period** is a change to the irrecoverable debt allowance. However, a revision in the life over which an asset is depreciated would affect both the **current and future periods**, via the amount of the depreciation expense.

The effect of a change in an accounting estimate should be included in the **same revenue or expense classification** as was used previously for the estimate. This rule helps to ensure **consistency** between the financial statements of different periods.

1.9 Disclosure

Where a change in an accounting estimate has a **material effect** in the current period (or which is expected to have a material effect in subsequent periods) the following should be disclosed:

- nature of the change in accounting estimate
- amount of change (if impracticable to estimate, this fact should be disclosed)

Context example: Change in accounting estimate

Taking the example of a machine tool with an original cost of CU100,000, an originally estimated useful life of 10 years and an originally estimated residual value of CUnil, the annual straight line depreciation charge will be CU10,000 pa and the carrying amount after three years will be CU70,000. If at the start of the fourth year it is decided that as a result of changes in market conditions the remaining useful life is only three years (so a total of six years), then the depreciation charge in that year (and in the next two years) will be the carrying amount brought forward ÷ the revised remaining useful life, so CU70,000 ÷ 3 = CU23,333. The depreciation charge for the past three years is not restated.

The effect of the change (in this case an increase in the annual depreciation charge from CU10,000 to CU23,333) in the current year and the next two years should be disclosed, if that information is material to users of the financial statements.

1.10 Changes in accounting policy versus changes in accounting estimate

It can be difficult sometimes to distinguish between changes in accounting policies and changes in accounting estimates.

When there is doubt as to which type of change it is, IAS 8 requires it to be treated as a **change in accounting estimate**.

1.11 Prior period errors

Errors may be discovered during a current period which **relate to a prior period.**

If **immaterial**, these errors can be **corrected through net profit or loss for the current period**. Where they are **material prior period errors**, however, this is **not appropriate**.

Definition

Prior period errors: Prior period errors are omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information that:

- was available when financial statements for those periods were authorised for issue; and
- could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements.

Such errors include the effects of mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

1.12 Accounting treatment

Material prior period errors should be corrected **retrospectively**.

Definition

Retrospective restatement: Correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

This involves:

- either restating the comparative amounts for the prior period(s) in which the error occurred; or

- if the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented,

so that the financial statements are presented **as if the error had never occurred**.

Only where it is **impracticable** to determine the cumulative effect of an error on prior periods can an entity correct a prior period error **prospectively**.

Worked example: Correction of prior period error

In the course of preparing its draft financial statements for the current year ended 31 December 20X8, Mufti Ltd discovered that items valued at CU2.1 million which were included in inventory at 31 December 20X6 had in fact been sold before that year end. Retained earnings at 31 December 20X6 were reported as CU9,638,000. Cost of sales reported in the year ended 31 December 20X7 includes the CU2.1 million error in opening inventory. The statement of profit or loss as reported for the 20X7 comparative period, before correction of the error, is as follows:

	20X7
	CU
Revenue	33,600,000
Cost of sales	(27,900,000)
Gross profit	5,700,000
Expenses	(1,617,000)
Profit before tax	4,083,000
Income tax expense	(1,225,000)
Profit for the year	2,858,000

Requirement

Prepare the corrected statement of profit or loss for the year to 31 December 20X7 and the corrected retained earnings extract from the statement of changes in equity. Ignore any effect on taxation.

Solution

The error arose in 20X6, which is before the earliest period presented and therefore a prior period adjustment is required in the 20X7 SOCE. This adjustment reduces the brought forward retained earnings balance at 1.1.X7 by CU2.1 million to reflect the fact that 20X6 reported profits were overstated by CU2.1 million.

Since the error relates to 20X6 closing inventories, it is carried through to also become an error in the 20X7 financial statements (where the incorrect balance is opening inventories within COS).

Therefore, the 20X7 statement of profit or loss is also restated to reduce cost of sales by CU2.1 million, with the effect that reported profit for the year is CU2.1 million higher.

Statement of profit or loss

	20X7 (restated)
	CU
Revenue	33,600,000
Cost of sales (27,900 – 2,100)	(25,800,000)
Gross profit	7,800,000
Expenses	(1,617,000)
Profit before tax	6,183,000
Income tax expense	(1,225,000)
Profit for the year	4,958,000

Statement of changes in equity (extract)

	Retained earnings
	CU
Balance at 1 January 20X7	9,638,000
Correction of prior period error	(2,100,000)
Restated balance	7,538,000
Total comprehensive income for the year	4,958,000
Balance at 31 December 20X7	12,496,000

Notes

1 The 20X8 statement of profit or loss is unaffected; the 20X8 statement of changes in equity reports a brought forward retained earnings balance of CU12,496,000.

2 Had the error related to inventory at 31 December 20X7, it would have been corrected through restating the 20X7 comparative figures. No prior period adjustment to retained earnings would have been required.

3 In the *Financial Accounting and Reporting* exam, comparative figures are not usually presented or prepared. Therefore, in an exam question, for simplicity, a correction for a prior period error will be shown as an adjustment to opening retained earnings in the current year statement of changes in equity.

1.13 Disclosures

Various **disclosures** are required:

- **nature** of the prior period error;
- for each prior period, to the extent practicable, the **amount** of the correction for each financial statement line item affected;
- the amount of the correction at the **beginning of the earliest prior period** presented; and
- if **retrospective restatement is impracticable** for a particular prior period, the **circumstances** that led to the existence of that condition and a description of how and from when the error has been corrected.

Subsequent periods need not repeat these disclosures.

Professional skills focus: Applying judgement

IAS 8 requires the directors to select and apply the most appropriate accounting policy for their entity, and any changes must be justified. Changes cannot be made just so that the profit for that year will meet targets or maximise bonuses payable to directors. When faced with a question in which management suggest a change in accounting policy, you should be alert to the ethical risks that the change is being made for the purposes of manipulating the financial statements.

2 IFRS 5, Non- current Assets Held for Sale and Discontinued Operations

Section overview

The results of discontinued operations should be presented separately in the statement of profit or loss.

2.1 The problem

The ability to predict the future performance of an entity is hampered when the financial statements include activities which as a result of sale or closure will not continue into the future. While figures inclusive of those activities are a fair measure of past performance, they do not form a good basis for predicting the future cash flows, earnings-generating capacity and financial position. Separating out the results of discontinued activities benefits users of financial statements but leads to difficulties in defining such operations and in deciding when a discontinuance comes about. This problem is addressed by IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

2.2 The objectives of IFRS 5 regarding discontinued operations

Part of IFRS 5 is designed to deal with the problem by requiring entities to present in the statement of profit or loss and statement of cash flows the results of discontinued operations separately from those of continuing operations. This chapter only deals with discontinued operations and its presentation and disclosure requirements; non-current assets held for sale are covered in Chapter 5.

There are two parts of the Chapter 5 coverage which are relevant to the disclosure rules dealt with in this chapter:

- The key criterion for the classification of a non-current asset as held for sale is that it is highly probable that it will be finally sold within **12 months of classification**.
- A non-current asset held for sale is measured at the **lower of carrying amount and fair value less costs to sell**. The effect is that if fair value less costs to sell is lower than the carrying amount of the asset, then the loss is recognised at the time the decision is made to dispose of the asset, not when the disposal actually takes place.

2.3 Discontinued operations

Definitions

Discontinued operation: A component of an entity that has either been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Component of an entity: Operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

As already noted, the separation of information about discontinued activities benefits users of financial statements by providing them with information about continuing operations which they can use as the basis for predicting the future cash flows, earnings-generating capacity and financial position. Management is therefore faced with the temptation to classify continuing, but underperforming, operations as discontinued, so that their performance does not act as a drag on the figures used as a basis for future predictions. This is why the definition of a discontinued operation is so important, but applying that definition requires difficult **judgements**.

Consider the following:

- The abrupt cessation of several products within an ongoing line of business: presumably a line of business must be defined by reference to the requirement in the definition for a component to be 'distinguished operationally and for financial reporting purposes'. But how many products have to be stopped before the line of business itself is stopped?
- Selling a subsidiary whose activities are similar to those of other group companies: how should 'similar' be defined?

2.4 When does an operation become discontinued?

IFRS 5 defines a discontinued operation as a component of the entity which:

- **has been disposed of**. In this case, the separate presentation will first be made in the accounting period in which the disposal takes place; or
- **is held for sale**. In this case the separate presentation will first be made in the accounting period in which the decision to dispose of it is made, provided that it is highly probable that it will be **sold within 12 months of classification**.

If a business decides to discontinue operations and the non-current assets supporting these operations are to be abandoned (so scrapped or just closed down) rather than sold, the carrying amount of the assets will not be recovered principally through sale. These assets cannot therefore be classified as held for sale. As a result, these operations should not be disclosed as discontinued until the underlying assets cease to be used.

Note: Operations supported by assets which become idle because they are temporarily taken out of use may not be described as discontinued. This includes, for example, assets that are mothballed and may be brought back into use if market conditions improve.

2.5 Disclosing discontinued operations: statement of profit or loss and statement of cash flows

An entity should disclose a **single amount in the statement of profit or loss** comprising the total of:

- the post-tax profit or loss of discontinued operations; and
- the post-tax gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets constituting the discontinued operation.

An entity should also **disclose an analysis of this single amount** into:

- the revenue, expenses and pre-tax profit or loss of discontinued operations;
- the related income tax expense;
- the gain or loss recognised on measurement to fair value less costs to sell or on disposal of the assets constituting the discontinued operation; and
- the related income tax expense. This analysis may be presented either:
- in the statement of profit or loss; or
- in the notes.

If the analysis is presented in the statement of profit or loss, it should be presented in a section identified as relating to discontinued operations ie, separately from continuing operations. (This analysis is not required where the discontinued operation is a newly acquired subsidiary that has been classified as held for sale.)

The disclosure of discontinued operations adopted in these learning materials is in line with Example 11 in the IFRS 5 Implementation Guidance. The main part of the statement of profit or loss is described as 'continuing operations', with the single amount in respect of 'discontinued operations' being brought in just above 'profit/(loss) for the year'.

XYZ plc – Statement of profit or loss for the year ended [date]

	CUm
Continuing operations	
Revenue	X
Cost of sales	(X)
…	…
…	…
Share of profits/(losses) of associates	X
Profit/(loss) before tax	X
Income tax expense	(X)
Profit/(loss) for the year from continuing operations	X
Discontinued operations (Note Y)	
Profit/(loss) for the year from discontinued operations	(X)
Profit/(loss) for the year	X

Note Y – Discontinued operation

During the year the company disposed of its textile division.

Amounts attributable to the division for 20X9 were as follows:

	CUm
Revenue	X
Expenses	(X)
Pre-tax profit	X
Income tax expense	(X)
	X
Loss recognised on disposal of non-current assets	(X)
Income tax	X
	(X)

In the **statement of cash flows** an entity should disclose the net cash flows attributable to the:

- operating;
- investing; and
- financing

activities of discontinued operations.

These disclosures may be presented either in the statement of cash flows or in the **notes**.

Notes

1 The results and cash flows for any prior periods shown as comparative figures must be restated to be consistent with the continuing/discontinued classification in the current period. As an example, operations discontinued in the year ended 31 December 20X7 will have been presented as continuing in the 20X6 financial statements but will be represented as discontinued in the 20X6 comparative figures included in the 20X7 financial statements.

2 Some narrative descriptions are also required. Although this part of IFRS 5 does not specifically mention discontinued operations, it includes them through its requirement for these narratives in respect of non-current assets disposed of or classified as held for sale; many discontinued operations will include such non-current assets.

3 If in the current period there are adjustments to be made to operations discontinued in prior periods, their effect must be shown separately from the figures for operations discontinued in the current period.

4 If a part of the business is discontinued but it does not meet the criteria for a discontinued operation (ie, it cannot be clearly distinguished), then its results must be included in those from continuing operations.

2.6 Link with other IFRS Accounting Standards

As has already been noted, the part of IFRS 5 dealt with in this chapter is concerned purely with disclosure, not about recognition or measurement. But a decision to discontinue an operation would normally require management to immediately consider the recognition and measurement requirements of:

- IAS 36, *Impairment of Assets* (dealt with in Chapter 5) which may require an immediate reduction in the carrying amount of non-current assets; and
- IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* (dealt with in Chapter 10) which may require the recognition of provisions for reorganisation and restructuring costs.

It is also the case that, even if a component being disposed of or abandoned has to be treated as a continuing operation (because it does not meet all of the conditions for being classified as a discontinued operation), management should still consider whether the requirements of IAS 36 and IAS 37, together with that of IAS 1 (dealt with in Chapter 3) to make separate disclosure of material items, should be applied to that continuing operation.

Worked example: Business closure

On 20 October 20X7 the directors of company made a public announcement of plans to close its steel works, which is one of its business operations. The closure means that the company will no longer carry out this type of operation, which until recently has represented about 10% of its total revenue. The works will be gradually shut down over a period of several months, with complete closure expected in July 20X8. At 31 December 20X7 output had been significantly reduced and some redundancies had already taken place. The cash flows, revenues and expenses relating to the steel works can be clearly distinguished from those of the company's other operations.

Requirement

How should the closure be treated in the financial statements for the year ended 31 December 20X7?

Solution

Although at 31 December 20X7 the company was firmly committed to the closure, this has not yet taken place. In addition, as the steel works is being closed rather than sold, the assets cannot be classified as held for sale and therefore the steel works must be included in continuing operations. Information about the planned closure should be disclosed in the notes to the financial statements.

Interactive question 1: Discontinued operation

The statement of profit or loss for Grey plc for the year ended 31 December 20X7 is as follows:

	CU
Revenue	300,000
Cost of sales	(100,000)
Gross profit	200,000
Distribution costs	(40,000)
Administrative expenses	(90,000)
Profit before tax	70,000
Income tax expense	(21,000)
Profit for the year	49,000

On 30 September 20X7 Grey plc classified a manufacturing division as held for sale. It satisfies the definition of a discontinued operation in accordance with IFRS 5.

The results of the division are as follows:

	CU
Revenue	32,000
Cost of sales	(15,000)
Distribution costs	(12,000)
Administrative expenses	(10,000)

These balances have been included in the statement of profit or loss of Grey plc above.

Requirement

Show how the discontinued operation would be treated in Grey plc's statement of profit or loss. See **Answer** at the end of this chapter.

3 IAS 21, The *Effects of Changes in Foreign Exchange Rates*

Section overview

- Exchange gains and losses arise when there is a change in the exchange rate that is applied on initial recognition and on settlement/retranslation of a transaction carried out in a foreign currency.
- At the end of a reporting period, monetary foreign currency assets and liabilities must be retranslated into the local or 'functional' currency of the reporting entity.

3.1 The issue

If a company trades internationally, it will buy or sell goods and services in foreign currencies. For example, an Indian company might buy materials from Canada and pay for them in Canadian dollars, and then sell its finished goods in Germany, receiving payment in Euros. If the company owes money in a foreign currency at the end of the accounting period is owed amounts due to be settled in a foreign currency, those (monetary) liabilities or assets must be translated into the local currency (in this Workbook CU), in order to be shown in the accounting records.

If foreign currency exchange rates remained constant, there would be no exchange differences. As you will be aware, however, foreign exchange rates are continually changing, and it is not inconceivable, for example, that the rate of exchange between the Euro and sterling might be €1.4 to CU1 at the start of the accounting year, and €1.2 to CU1 at the end of the year (in this example, a 17% increase in the relative strength of the Euro).

3.2 Definitions

These are some of the definitions given by IAS 21.

Definitions

Foreign currency: A currency other than the functional currency of the entity.

Functional currency: The currency of the primary economic environment in which the entity operates.

Exchange rate: The ratio of exchange for two currencies.

Exchange difference: The difference resulting from translating a given number of units of one currency into another currency at different exchange rates.

Closing rate: The spot exchange rate at the end of the reporting period.

Spot exchange rate: The exchange rate for immediate delivery.

Presentation currency: The currency in which the financial statements are presented.

Monetary items: Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency. (IAS 21: para 8)

For most individual companies the functional currency will be the currency of the country in which they are located and in which they carry out most of their transactions.

3.3 Foreign currency transactions: initial recognition

IAS 21 states that a foreign currency transaction should be recorded in the functional currency at initial recognition by applying the exchange rate between the reporting currency and the foreign currency at the date of the transaction, known as the spot rate. (IAS 21: para 21)

An **average rate** for a period may be used if exchange rates do not fluctuate significantly during the period. (IAS 21: para 22)

Worked example: Brianco Ltd – Initial recognition

Brianco Ltd's functional currency is the CU.

Brianco Ltd buys a large consignment of goods from a supplier in Germany. The order is placed and the goods are delivered on 1 May. The agreed price is €127,875. At the time of delivery, the exchange rate was €1.50 to CU1.

Requirement

Prepare the journal entry to record the initial transaction in the accounting records.

Solution

Brianco Ltd would record the purchase at the spot rate at the date of the transaction in its accounts as follows:

		CU	CU
DR	Purchases (€127,875 ÷ 1.50)	85,250	
CR	Trade payables		85,250

3.4 Exchange gains and losses

There may be a period of time between the initial recognition of a transaction and the payment of the invoice. It is therefore highly likely that the exchange rate will have changed during that time, resulting in a difference between the amount at which the transaction was initially recorded

and the actual amount of cash that is paid (or received). This difference is the **exchange gain or loss on the transaction**.

Worked example: Brianco Ltd – Calculating and recording exchange gains or losses

Following the Brianco Ltd worked example above, Brianco Ltd pays the supplier on 1 June when the exchange rate is €1.55 to CU1.

Requirement

Prepare the journal entry to account for the payment of the invoice.

Solution

Brianco Ltd will need to pay CU82,500 (€127,875 ÷ 1.55) to settle the invoice 'costing' CU85,250. Brianco Ltd would therefore record a gain on exchange of CU2,750 in profit or loss for the period.

		CU	CU
DR	Trade payables	85,250	
CR	Cash		82,500
CR	Exchange gain (SPL)		2,750

An exchange gain or loss is recognised in profit of loss for the year in which they arise.

3.5 Retranslation of monetary assets and liabilities

We have looked at the accounting for the initial transaction and any gain or loss on the settlement of the invoice. However, IAS 21 also requires that an exchange gain or loss is recognised on **monetary assets** and **monetary liabilities** that are retranslated at the exchange rate pertaining at the date of the statement of financial position (the closing rate).

Retranslation is required at the end of an accounting period when a company still holds monetary assets or liabilities in its statement of financial position which were obtained or incurred in a foreign currency.

Monetary items are the rights to receive (or an obligation to deliver in the case of liabilities) cash. **Non-monetary items** are assets, such as inventory and non-current assets.

Note that no amounts are being converted into foreign currency on retranslation and therefore there is no cash flow associated with the retranslation of monetary assets and liabilities. It is purely a year- end calculation.

Interactive question 2: Exchange rate movements

Watford Ltd, a company whose functional currency is the CU, entered into the following foreign currency transactions.

31 October 20X8 – Purchased goods from Mexico SA for 129,000 Mexican pesos

31 December 20X8 – Mexico SA has not yet been paid

31 January 20X9 – Payment made to Mexico SA

The exchange rates are as follows.

	Pesos to CU1
31 October 20X8	9.5
31 December 20X8	10
31 January 20X9	9.7

Requirement

Show how this transaction would be recorded in the accounting records of Watford Ltd during the years ended 31 December 20X8 and 20X9.

See **Answer** at the end of this chapter.

3.6 Non-monetary assets and liabilities

Non-monetary items which are purchased in a foreign currency and are subsequently carried at historical cost are translated using the exchange rate at the date of the transaction (historical rate) and are not retranslated.

Non-monetary items which are purchase in a foreign currency and are subsequently carried at fair value are translated using the exchange rates that existed when the values were measured. There is no requirement to separate the revaluation from the exchange gains or losses. If fair value movements on non-monetary items are presented in other comprehensive income (such as the revaluation surplus on property, plant and equipment accounted for under the revaluation model in IAS 16), any gain or loss on the translation of those non-monetary assets will also be presented in other comprehensive income (IAS 21: para 30).

4 IAS 24, *Related Party Disclosures*

Section overview

- Disclosure is required of the nature of any related party relationships, of any transactions between such parties and any balances outstanding at the end of the period.
- There are a number of ways in which one party may be related to another.
- The relationship between an entity and its parent and subsidiaries should be disclosed regardless of whether any transactions have taken place between them.
- An entity is required to disclose the name of its parent and, if different, that of the ultimate controlling party.
- An entity should disclose the salary and other compensation of key management personnel in total together with an analysis of this balance.

4.1 Introduction

The normal assumption is that directors of companies attempt to promote the interests of shareholders in their dealings with other entities. As a result, **transactions are normally assumed to take place at arm's length values**.

However, companies are made up of a variety of stakeholders with different interests and incentives, which in some cases may lead to **a conflict of interest**. Examples might include:

- transactions between companies under **common control** (for example a parent and a subsidiary)
- transactions between the company and its directors

The two parties to the transactions referred to above are said to be related to each other and the transactions between them to be related party transactions.

In these circumstances the normal rules of commercial arrangements **may not** apply and as a result:

- the reported performance of the entity **may** be distorted; and
- directors **may** face conflicting incentives.

IAS 24 enhances transparency by requiring **disclosure** to shareholders of these relationships and the transactions stemming from them.

Note: IAS 24 **does not** require any disclosures about whether related party transactions were carried out at prices other than open market prices.

4.2 Objective

The key emphasis of IAS 24 is **appropriate disclosure**. It aims to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its position and results may have been affected by the existence of related parties and transactions with them.

Related party transactions are, however, a normal feature of commerce and business, so IAS 24 does not attempt to prevent such relationships or to require any adjustments to the values of related party transactions carried out at non-market prices.

4.3 Scope

IAS 24 should be applied in:

(a) identifying **related party relationships** and **transactions**;

(b) identifying **outstanding balances** between an entity and its related parties;

(c) identifying circumstances in which **disclosure** of the items in (a) and (b) is required; and

(d) **determining the disclosures to be made** about those items.

IAS 24 is relevant to all financial statements. It requires disclosure of related party relationships, transactions and outstanding balances in the consolidated financial statements and also in the separate financial statements of:

- a parent
- a venturer in a joint venture
- an investor in an associated entity

Related party transactions and outstanding balances with other entities in a group are disclosed in an
individual entity's financial statements.

Intra-group related party transactions and outstanding balances **are eliminated on consolidation in the financial statements of the group** and are not disclosed.

Note: On many occasions IAS 24 uses the phrase 'outstanding balances, including commitments', commitments meaning undertakings to do something if a particular event occurs or does not occur in the future. In these notes this phrase had been shortened to 'outstanding balances'.

4.4 Identifying related parties

This depends on a number of key definitions in IAS 24.

Definition

Related party: A person or entity that is related to the entity preparing its financial statements (the reporting entity).

(a) A person or a close member of that person's family (see definition below) is related to a reporting entity if that person:
   (1) has control or joint control over the reporting entity;
   (2) has significant influence over the reporting entity; or
   (3) is a member of the key management personnel (see definition below) of the reporting entity or of a parent of the reporting entity.

(b) An entity is related to a reporting entity if any of the following conditions applies:
   (1) The entity and the reporting entity are members of the same group.
   (2) One entity is an associate or joint venture of the other entity (or of a member of the group of which the other entity is a member).
   (3) Both entities are joint ventures of the same third party.
   (4) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
   (5) The entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or of an entity related to the reporting entity.
   (6) The entity is controlled or jointly controlled by a person identified in (a) above.
   (7) A person identified in (a) above has significant influence over the entity or is a member of the key management personnel (see definition below) of the entity or of a parent of the entity.
   (8) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

Note: The definitions of a related party treat control and joint control differently from significant influence. So fellow subsidiaries and fellow joint ventures are related parties of each other under definitions (b)(1) and (b)(3) respectively, but if the same investor has significant influence over two associates, those associates are not related parties of each other.

Definitions

Close members of the family of a person: Those family members who may be expected to influence, or be influenced by, that person in their dealings with the entity. These include:

- that person's children and spouse or domestic partner;
- children of that person's spouse or domestic partner; and
- dependants of that person or that person's spouse or domestic partner.

Key management personnel: Those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

Notes

1 Control is defined as the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

2 Joint control is defined as the contractually agreed sharing of control over an economic activity.

3 Significant influence is defined as the power to participate in the financial and operating policy decisions of an entity, but not to control those policies. Significant influence may be gained by share ownership, statute or agreement.

4.5 Application of substance over form

Under IAS 24 attention should be directed to the **substance** of the relationship rather than focusing on its legal form. For example, the following **are not related parties**:

- Two entities **simply because they have a director** (or other member of key management personnel) **in common**, or because a member of key management personnel of one entity has significant influence over the other entity
- Two venturers **simply because they share joint control over a joint venture**
- Providers of finance, trade unions, public utilities and government departments and agencies of a government that does not control, jointly control or significantly influence the reporting entity **simply by virtue of their normal dealings with an entity**
- A customer, supplier, franchisor, distributor, or general agent, with whom an entity transacts a significant volume of business, **simply by virtue of the resulting economic dependence**

Context example: Related parties

Scenario 1	Person A owns 30% of Entity B and Entity C owns 40% of Entity B. Entity B is the reporting entity: Person A is a related party under definition (a)(2) and Entity C is a related party under definition (b)(2). Entity C is the reporting entity: Entity B is a related party under definition (b)(2).
Scenario 2	Person A and Entity B have joint control over Entity C. Entity B is the reporting entity: Entity C is a related party under definition (b)(2). Entity C is the reporting entity: Person A is a related party under definition (a)(1) and Entity B is a related party under definition (b)(2).
Scenario 3	Person A is a non-executive director of Entity B. Entity B is the reporting entity: Person A falls within the definition of Entity B's key management personnel and is a related party under definition (a)(3).

Scenario 4	Person A owns 70% of Entity B and is a director of Entity C. Entity B is the reporting entity: Person A is a related party under definition (a)(1) and Entity C is a related party under definition (b)(7). Entity C is the reporting entity: Person A falls within the definition of Entity C's key management personnel and is a related party under definition (b)(3). Entity B is a related party under definition (b)(6).

4.6 Related party transactions

Definition

Related party transaction: A transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

Note that this definition covers **any transaction that occurs between a reporting entity and a related party**.

- It is common practice for a reporting entity's employees to receive goods or services at reduced prices or for free. If the employees fall within the definition of the reporting entity's key management personnel, they will be related parties and the entity should disclose these transactions.
- Even if every transaction with a related party takes place at the full arm's length price, the reporting entity should disclose them.

IAS 24 is based on the principle that **it is the identification of the related party relationship that triggers the disclosure requirements**.

Examples of transactions which could be disclosed include:

- **Transfers of resources for which no charge is made**

It is common for parent companies not to make a charge for some services, such as for management services provided to a subsidiary. In practice, **it is very difficult to identify transactions for which there is no charge at all**; there is nothing for accounting systems to capture, so there is no easy place to go looking for the relevant information.

- **Transfers of resources for which an artificial charge is made**

  An example of an artificial charge would be where, under instructions from the parent, **sales** between group companies **are at above, or below, open market prices**.

- **Transfers of resources made at full, open market, prices (that is arm's length prices)**

  The reason for including these is that even if in the current year such transfers are made for full consideration, the related party relationship means that in a future year they might not be. Also, **the related party relationship itself is important information to users** in understanding the motivation of the relevant parties in the context of corporate governance.

Disclosures that related party transactions were made on terms equivalent to those that prevail in arm's length transactions should be made **only if such terms can be substantiated**.

4.7 Disclosures

- **Disclosure is always required of the related party relationship between a parent and a subsidiary**, irrespective of whether there have been any transactions between the entities.

  Disclosure is required of the parent's name and, if different, the name of the ultimate controlling party.

  If the financial statements of the parent or ultimate controlling party are not publicly available, the entity is required to identify the next most senior parent in the group that does produce financial statements that are available to the general public.

Note: The reason this relationship must be disclosed even if there have not been any such transactions in the current period, is that the control held by the parent means that there could be such transactions in future periods, if the parent decided this was appropriate.

- **Disclosure is always required of compensation**, being the consideration in exchange for their services, received by **key management personnel** in total and for each of the following five categories:

Category	Example
Short-term employee benefits	Salary and holiday pay
Post-employment benefits	Pensions
Other long-term benefits	Long-service awards or sabbatical leave
Termination benefits	Redundancy pay
Share-based payments	Shares and share options

- **Disclosures required only if there have been related party transactions during the period**:
  - the nature of the relationships (but remember this must always be disclosed in respect of a parent)
  - the amount of the transactions
  - the amount of any balances outstanding at the year end
  - the terms and conditions attaching to any outstanding balance (for example, whether security has been provided and what form the payment will take)
  - details of any guarantees given or received
  - any allowance against any outstanding balances and the expense recognised in the period for irrecoverable or doubtful debts due from related parties

These disclosures should be made separately for different categories of related parties, although items of a similar nature may be disclosed together. Where aggregation results in key information necessary to understand the effect of the transactions on the financial statements being unavailable, separate disclosure should be made.

The different categories for which separate disclosures are required are identified as:

- the **parent**
- entities with **joint control** or **significant influence** over the entity
- **subsidiaries**
- **associates**
- **joint ventures** in which the entity is a **venturer** (see Chapter 15)
- **key management personnel** of the entity or its parent
- **other related parties**

Although information is required about the nature of related parties, there is no requirement to identify them by name.

Disclosure of the fact that transactions were on an **arm's length basis** is **only permitted if the terms can be substantiated**.

This disclosure may be made only if such terms can be substantiated.

Notes

1 IAS 1, *Presentation of Financial Statements* states that an entity need not provide specific disclosure required by an IFRS Accounting Standard if the information resulting from that disclosure is **not material** (IAS 1: para 31). IFRS Practice Statement 2 *Making Materiality Judgements* makes clear that this principle applies to the related party disclosures required by IAS 24. An entity must assess whether the information resulting from disclosure of a related party transaction is material, if it is not, the disclosure does not need to be made.

2 You will not be required to make materiality judgements in the *Financial Accounting and Reporting* exam. You should assume related party transactions are material unless you are told otherwise.

Professional skills focus: Applying judgement

Determining whether a related party transaction should be disclosed is a matter of judgement for the preparer of the financial statements. They must consider whether the information is material ie, whether omitting, misstating or obscuring the information could reasonably be expected to influence the decisions of primary users of the financial statements. In making this judgement, the preparer should consider both quantitative and qualitative factors, such as whether the entity would have entered into such a transaction had it not been with a related party.

Consider the following related party disclosure note from the notes to the financial statements of Marks & Spencer Group plc for the year ended 3 April 2021:

Context example: Related party disclosure

28 RELATED PARTY TRANSACTIONS

A. Subsidiaries

Transactions between the Company and its subsidiaries, which are related parties, have been eliminated on consolidation and are not disclosed in this note. Transactions between the Company and its subsidiaries are disclosed in the Company's separate financial statements.

B. Joint ventures and associates

A shareholder loan facility with Ocado Retail Limited was established in the prior year, with Ocado Retail Limited having the ability to draw down up to CU30m from each shareholder. The facility was not utilised by Ocado Retail Limited during the year ended 3 April 2021 (last year: not utilised).

As part of the Ocado Retail Limited investment, Ocado Retail Limited entered into a CU30m, three-year revolving credit facility. Along with Ocado Group Plc, the Group has provided a parent guarantee to cover 50% of the CU30m revolving credit facility provided by BNPP to

Ocado Retail Limited. The revolving credit facility was undrawn at 3 April 2021(last year: undrawn).

The following transactions were carried out with Ocado Retail Limited, an associate of the Group. Sales and purchases of goods and services:

	2021 CUm	2020 CUm
Sales of goods and services	28.5	–
Purchases of goods and services	–	–
Included within trade and other receivables is a balance of CU2.3m (last year: CUnil) owed by Ocado Retail Limited. C. Marks & Spencer BD Pension Scheme Details of other transactions and balances held with the Marks & Spencer BD Pension Scheme are set out in notes 11 and 12. D. Key management compensation The Group has determined that the key management personnel constitute the Board and the members of the Executive Committee.		
	2021 CUm	2020 CUm
Salaries and short-term benefits	8.6	5.9
Share-based payments	3.2	1.7
Total	11.8	7.6

Note the following important features of the disclosure note:

- As these are consolidated financial statements, transactions and balances with subsidiaries are not disclosed as they are eliminated on consolidation. This will be covered in detail in Chapters 12–14. The transactions with subsidiaries would be included in the separate financial statements of the parent.
- The associate is identified by name and the amount of transactions and balances owed by the associate are disclosed.
- Transactions with key management personnel are disclosed in total.

4.8 Examples

The following are **examples of transactions that are disclosed** if they are **with a related party:**

- purchases or sales of goods (finished or unfinished)
- purchases or sales of property and other assets
- rendering or receiving of services
- leases
- transfers of research and development
- transfers under licence agreements
- transfers under finance arrangements
- provision of guarantees or collateral
- commitments to do something if a particular event occurs or does not occur in the future
- settlement of liabilities on behalf of the entity, or by the entity on behalf of another party

Interactive question 3: Related party disclosures

Pinot is a company that complies with the minimum requirements of IAS 24.

Explain whether related party relationships exist and what disclosures, if any, would be required by IAS 24 in the current year financial statements of Pinot, in respect of each of the following transactions.

Requirements

3.1 Pinot sells goods on credit to Chablis, which is a company owned by the daughter of Mr Grigio. Mr Grigio is a director of Pinot. At the year end, there was a trade receivable of CU100,000 owing from Chablis to Pinot. It was decided to write off CU30,000 of this receivable and make full allowance against the remainder. Debt collection costs incurred by Pinot during the year were CU4,000.

3.2 During the year Pinot purchased goods from Merlot for CU600,000, which was deemed to be an arm's length price. Pinot owns 40% of the ordinary share capital of Merlot.

3.3 At the year-end an amount of CU90,000 was due to one of Pinot's distributor companies, Shiraz.

3.4 During the year a car owned by Pinot, with a carrying amount of CU20,000 and a market value of CU25,000, was sold to one of its directors, Mrs Barolo, for CU25,000. Pinot would have sold the car on the open market had it not made the sale to Mrs Barolo. Pinot has determined that the transaction is not material and therefore unlikely to influence the decisions of users of the financial statements.

See **Answer** at the end of this chapter.

Professional skills focus: Applying judgement

In practical terms, the identification of related parties and the disclosure of transactions with them may not be straightforward. Reasons for this include the following:

- The application of the definitions of a related party can be **subjective** and will involve the use of **judgement**; for example, whether someone is a close member of the family of an individual.
- Transactions may be difficult to identify, particularly where **no consideration** has changed hands.
- Directors and key management may be **sensitive** to the disclosure of certain transactions; this increases the risk of deliberate concealment.
- **Quantitative materiality** issues are not necessarily relevant. In many cases the existence of the relationship is the issue rather than the amounts involved.

An accountant preparing financial statements must ensure that **all relevant information is made available to them** and that the statements comply with the requirements of IAS 24, irrespective of any other pressures being applied.

5 IAS 33, *Earnings per Share*

Section overview

- Basic earnings per share is calculated as the profit or loss attributable to the ordinary equity holders divided by the number of shares in issue.
- IAS 33 is only mandatory for listed entities.

5.1 Context

One of the most commonly used performance measures worldwide is basic earnings per share (EPS), which is calculated as the profit or loss attributable to the ordinary equity holders divided by the number of shares in issue.

In addition to being an important independent measure, it also is a component in the price earnings (P/E) ratio which often forms a pivotal role in the valuation of businesses. A meaningful comparison between entities, or against a benchmark figure, can only be made where entities measure their EPS figure on a consistent basis. IAS 33 prescribes what that consistent basis should be.

Standard EPS calculations assist in comparisons which are meaningful across entities, but they take account of all income and expenses that have been reported during the period, whether or not they are likely to recur in the future. These calculations provide a historical performance measure and do not purport to provide a measure of future performance. So entities frequently present alternative forms of EPS, based on income and expenses which have been adjusted to exclude non-recurring items; entities generally refer to the adjusted profit figure as 'maintainable earnings'. Industry or market standard EPS figures are also often reported. Both of these additional performance measures are claimed to provide a more realistic measure of the entity's performance in future periods.

Compliance with IAS 33 is mandatory in:

- the separate financial statements of entities whose ordinary shares are publicly traded or are in the process of being issued in public markets; and
- the consolidated financial statements of groups whose parent has shares similarly traded/being issued.

Other entities need not present EPS (because their shares are not traded, there is no readily available market price which can be used to calculate the P/E ratio), but if they do voluntarily, they should comply with IAS 33.

IAS 33 requires the EPS to be presented in the statement of profit or loss.

5.2 Calculation

The calculation for basic EPS is profit or loss divided by the number of shares in issue. The fully worded calculation is:

$$\frac{\text{Profit / (loss) attributable to ordinary equity holders of the parent}}{\text{Weighted average number of shares outstanding durning the period}}$$

Shares are usually included in the weighted average number of shares from the date any consideration for them is receivable by the issuer. This is generally the date of their issue.

Note: The need for a weighted average number of shares is explained later in section 5.4.

5.3 Calculating earnings

The earnings figure to be used is the profit or loss attributable to **the ordinary equity holders**. The statement of profit or loss presents the profit attributable to the **owners** of the entity. Usually this will be the amount attributable to ordinary equity holders, but in some cases a deduction should be made for the amount attributable to preference equity holders.

Whether such a deduction is needed depends upon the type of preference share:

- Redeemable preference shares are generally classified as liabilities and the finance charge relating to them (both dividend and any premium on redemption adjustment) should already have been recognised in profit or loss as part of finance charges. No adjustment is needed.
- Some irredeemable preference shares are classified as equity and the dividend is deducted in the statement of changes in equity. An adjustment is needed; the dividend should be deducted from the profit figure taken from the statement of profit or loss to arrive at the profit attributable to the ordinary equity holders.

Interactive question 4: Dividend on irredeemable preference shares presented as equity

	CUm
Profit for the period	2,177
Attributable to:	
- Owners of the parent	1,897
- Non-controlling interests	280
	2,177
Dividends presented in statement of changes in equity	
On irredeemable preference shares	400
On ordinary shares	600

The weighted average number of ordinary shares in issue is 6,241 million.

Requirement

Calculate the basic EPS.

Fill in the proforma below.

	CUm
Profit attributable to owners of the parent	
Less dividend on irredeemable preference shares	
Profit attributable to ordinary equity holders of the parent	
EPS	

See **Answer** at the end of this chapter.

5.3.1 Cumulative dividends on irredeemable preference shares presented as equity

If the dividends on such shares are cumulative, any dividend not paid in the current year (due, for example, to lack of distributable profits) will be payable in subsequent years when distributable profits become available. All such arrears need to be paid off before any ordinary share dividend is paid.

The **treatment of such cumulative dividends** for EPS purposes is as follows.

- If the dividend is not paid in the year, then it should still be deducted from profit.
- When the arrears of dividend is subsequently paid, it should be excluded from the EPS calculation.

Interactive question 5: Cumulative dividend on irredeemable preference shares presented as equity

	CUm
Profit for the period	88
Attributable to:	
- Owners of the parent	82
- Non-controlling interest	6
	88
Dividends presented in statement of changes in equity	
On irredeemable preference shares (Note)	20
On ordinary shares	5

Note: This figure includes CU15 million in respect of arrears of cumulative dividend not paid in previous years due to lack of distributable profits.

The weighted average number of ordinary shares is 1,200 million.

Requirement

Calculate the basic EPS.

See **Answer** at the end of this chapter.

5.4 Calculating the weighted average number of ordinary shares

If no additional shares have been issued during the year, or repurchased, there are no complications; the number of shares in issue at the start (or end) of the period is used.

If additional shares **have been issued** during the current period, the calculation of the weighted average number of shares depends upon whether:

- the resources of the entity have increased, for example an issue of shares for cash at full market price; and
- the resources of the entity have not changed, for example a bonus issue.

If shares are repurchased during the period (treasury shares), the weighted average number of shares will again depend on whether:

- the repurchase was at market price; and
- the repurchase was other than at market price.

5.5 Issue of shares for cash at full market price

Where shares are issued during the period for cash at full market price, the cash received is an **increase in the resources** of the entity. These additional resources will only have been available to increase earnings (the numerator in the EPS fraction) for part of the period, so the additional shares should only be included in the shares in issue (the denominator of the fraction) for part of the period. The number of new shares is 'weighted' for the proportion of the period they have been in issue.

Note: An issue of shares in an acquisition at market value is equivalent to an issue of shares for cash in these calculations.

The weighted average number of shares is calculated as follows:

- Start with the number of shares in issue **at the start of the year** and time-apportion it for the period **up to** the date the new shares were issued.
- Take the number of shares in issue **after** the new shares were issued and time-apportion it for the period **after** the date of issue.
- The total of these two is the weighted average number of shares in issue over the year.

Worked example: Issue of shares for cash at full market price

X plc has 10 million ordinary shares in issue at 1 January 20X4. Its accounting year end is 31 December. During 20X4 the following events occur:

Date	Event
1 April 20X4	2 million shares are issued to acquire a
1 October 20X4	subsidiary 2 million shares are issued at full

Requirement

What is the weighted average number of ordinary shares outstanding during the period?

Solution

The weighted average number of ordinary shares is calculated as follows.

Weighted average (million)

January to March	10m × 3/12 =	2.5
April to September	12m × 6/12 =	6.0
October to December	14m × 3/12 =	3.5
		12.0

5.6 Bonus issue

When a bonus issue is made:

- additional shares are issued to the ordinary equity holders in proportion to their current shareholding, for example one new share for each five shares already owned;
- no cash is received for these shares; and
- reserves are capitalised by a debit to share premium/retained earnings.

In this case the issuing entity has not received any additional resources to help increase earnings. Each shareholder has more shares, but still has the same proportionate interest in the entity. As an example, a shareholder owning 100,000 shares out of the 1 million in issue has a 10% interest. If the entity makes a 1 for 2 bonus issue, the shareholder will own 150,000 shares out of the 1.5 million now in issue, still a 10% interest.

For a bonus issue the treatment for the weighted average number of shares is to assume that the **shares have always been in issue**. This means that they should be treated as having been issued at the start of the earliest period for which results are reported, usually the start of the year presented as the comparative figures.

Worked example: Bonus issue

X plc has 10 million ordinary shares in issue at 1 January 20X3. Its accounting year end is 31 December.

Earnings:

	CUm
20X4	13
20X3	10

Two million bonus shares are issued on 1 October 20X4.

Requirements

1 Calculate the basic EPS amount that was presented in the 20X3 financial statements.

2 Calculate the 20X4 and 20X3 (restated) basic EPS to be presented in the 20X4 financial statements.

Solution

1 20X3 financial statements: EPS (CU10m/10m shares) = 100p

2 20X4 financial statements:

Basic EPS for both years should be calculated as if the bonus shares had always been in issue. Basic EPS for 20X4 (CU13m/(10m + 2m)) = 108.3p

Basic EPS for 20X3 restated (CU10m/(10m + 2m)) = 83.3p

Note: An alternative adjustment to the 20X3 basic EPS as originally stated would be to multiply it by (shares before bonus/shares after bonus), so 100p × (10m/12m) = 83.3p

Interactive question 6: Bonus issue

At 1 January 20X4 and 1 January 20X5 X plc had in issue 20 million ordinary shares. During 20X5 the following events took place:

Date	Event
31 May 20X5	Issue of 6 million shares for cash at full market price
30 September 20X5	Bonus issue of 1 for 2

Earnings for the year ended 31 December 20X4 were CU6 million and for the year ended 31 December 20X5 were CU8 million.

Requirements

6.1 Calculate the basic EPS originally reported in 20X4.

6.2 Calculate the basic EPS reported in 20X5 including comparative. See **Answer** at the end of this chapter.

5.7 Rights issue

A rights issue is:

- an issue of shares for cash to the existing ordinary equity holders in proportion to their current shareholdings; and
- at a discount to the current market price.

Because the issue price is below the market price, a rights issue is in effect a combination of **an issue at full value and a bonus issue**.

In order to calculate the basic EPS number of shares when there has been a rights issue, an adjustment for the bonus element is required:

$$\text{Adjustment} = \frac{\text{Pre - rights fair value of shares}}{\text{Theoretical ex - rights fair value}}$$

The pre-rights fair value of the shares is the market price immediately before the rights issue is announced. The theoretical ex-rights fair value is the theoretical price at which the shares would trade after the rights issue and takes into account the diluting effect of the bonus element in the rights issue. For the purpose of these learning materials the term 'theoretical ex-rights price', otherwise known as TERP, is used as an equivalent recognised term.

The adjustment is used to increase the number of shares in issue **before** the rights issue for the bonus element.

Note: The TERP is used because the market price at which the shares trade after the rights issue takes account of other factors; for example, it will go up above the TERP if investors interpret the rights issue as a positive sign for the development of the issuing company, and go down below it if they interpret it as a negative sign.

Worked example: TERP

A 1 for 3 rights issue is made at 132p when the market price is 220p.

Requirement

What is the TERP?

Solution

	Number	Price	Total
		p	p
Pre-rights issue holding	3	220	660
Rights share	1	132	132
	4		792

TERP (792/4) = 198p

Note: To prove that a rights issue is a combination of an issue at full market price and a bonus issue, consider the effect if instead of this rights issue, an issue of 1 for 8 had been made at the full market price of 220p, followed immediately by a 1 for 9 bonus.

	Number	Price	Total
		p	p
Initial holding	8	220	1,760
Issue at full market price	1	220	220
Revised holding	9		1,980
Bonus issue	1	N/A	0
Revised holding	10		1,980

Theoretical price (1,980/10) = 198p

Worked example: EPS following a rights issue

The following information is available for an entity.

Earnings	CU
20X2	1,000,000
20X3	1,300,000
20X4	1,500,000

Number of shares in issue at 1 January 20X2: 800,000

Rights issue: 1 for 4 at CU5 each on 1 April 20X3 when the market value was CU7

Requirement

What are the basic EPS amounts for each of the three years **after** adjustment for the rights issue?

Solution

Computation of theoretical ex-rights price (TERP):

	Number	Price p	Total p
Pre-rights issue holding	4	700	2,800
Rights share	1	500	500
	5		3,300

$$\text{Therefore TERP} = \frac{3{,}300}{5} = 660\text{p}$$

Computation of bonus adjustment factor:

$$\text{Adjustment} = \frac{\text{Value of share before rights}}{\text{TERP}} = \frac{700\text{p}}{660\text{p}}$$

Computation of EPS:

20X2

Earnings CU1m/(800,000 shares × (700/660)) = 117.9p

20X3

Earnings = CU1.3m

Weighted average shares	Total
1 January – 31 March = 800,000 × 700/660 × 3/12	212,121
1 April – 31 December = 800,000 × ((4 + 1)/4) × 9/12	750,000
	962,121

$$\text{Basic EPS} \frac{\text{CU1.3m}}{962{,}121} = 135.1\text{p}$$

$$\text{20X4 Basic EPS} \frac{\text{CU1.5m}}{(800{,}000 \times (4 + 1)/4)} = 150.0\text{p}$$

Interactive question 7: Rights issue

At 1 January 20X8 and 1 January 20X9 Box plc had in issue 10 million ordinary shares. On 30 June 20X9 Box plc made a 1 for 4 rights issue at CU2.40 per share. At that date the market price before the issue was announced was CU3.20 per share. The earnings of the company were CU4 million for 20X8 and CU4.8 million for 20X9.

Requirement

Calculate the reported basic EPS for 20X9 (including the comparative). See **Answer** at the end of this chapter.

5.8 Repurchase of shares

When shares are repurchased and held as treasury shares the number of shares in issue reduces but share capital remains unchanged as the treasury shares are shown in a separate reserve (it is a debit balance and is therefore presented as a negative reserve). An adjustment therefore needs to be made when calculating the weighted average number of shares as part of the EPS calculation.

If the shares are repurchased at market price, the resources expended on the repurchase are commensurate with the reduction in the number of shares. If the shares are repurchased for a price above market value, the resources expended will exceed the reduction in the number of shares. This reduces EPS and so the prior year EPS must be adjusted to reflect this.

In the exam a share repurchase will always be at market price.

Worked example: Weighted average following repurchase

An entity had 10 million CU1 ordinary shares in issue at 1 January 20X8 and on 30 September 20X8 entered into a repurchase arrangement to buy back two million CU1 ordinary shares at market price. The repurchased shares are recognised in a separate reserve as treasury shares.

Requirement

What is the number of shares that will be used to calculate EPS at 31 December 20X8?

Solution

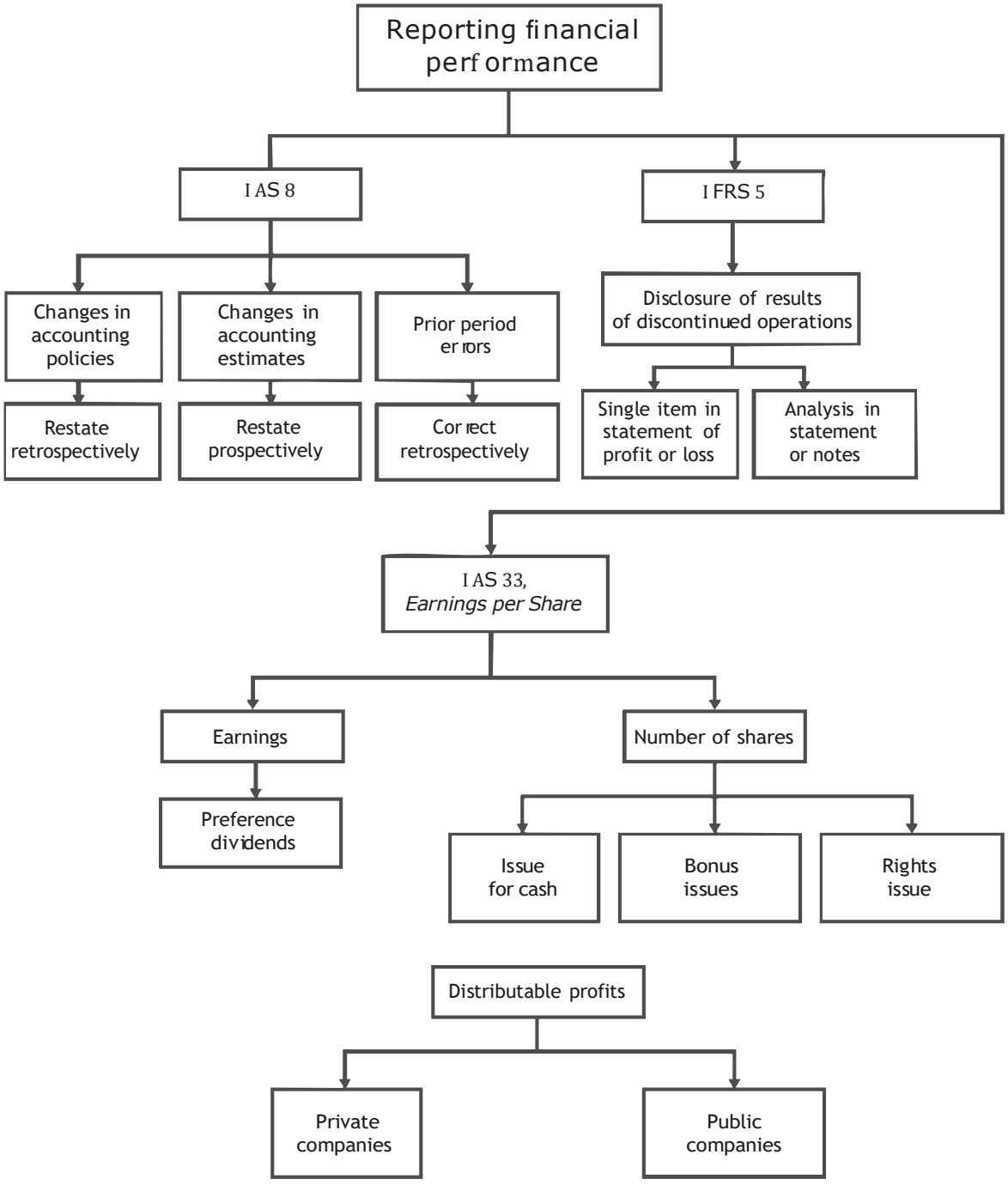
The weighted average number of shares will be calculated as follows:

10m × 9/12	7,500,000
8m × 3/12	2,000,000
	9,500,000

Professional skills focus: Structuring problems and solutions

You are likely to be asked to calculate earnings per share in a question which requires a number of adjustments to be made to the financial statements. Make sure that you have processed all the adjustments required in the question prior to methodically working through the EPS calculation. In particular, watch out for any bonus or rights issues of shares.

Summary


Reporting financial performance
IAS 8
IFRS 5
Changes in accounting policies
Changes in accounting estimates
Prior period errors
Disclosure of results of discontinued operations
Restate retrospectively
Restate prospectively
Correct retrospectively
Single item in statement of profit or loss
Analysis in statement or notes
IAS 33, Earnings per Share
Earnings
Number of shares
Preference dividends
Issue for cash
Bonus issues
Rights issue
Distributable profits
Private companies
Public companies

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you distinguish between an accounting policy and an accounting estimate? (Topic 1)
2.	Do you understand when changes to accounting policies, estimates or adjustments for errors are applied retrospectively or prospectively? (Topic 1)
3.	Do you understand the source of exchange gains and losses for an entity? Ensure you can account for any exchange gain or loss, including those on revalued assets. (Topic 3)
4.	Can you define what is meant by a related party? Why is disclosure of related party transactions and balances in the financial statements important to users of the accounts? (Topic 4)
5.	Do you understand how to calculate a basic earnings per share, and why is it different when there has been a bonus or rights issue of shares during the year? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Anodyne plc	Anodyne plc gives you a chance to practice your identification of the factors of IFRS 5 (and you can then give yourself additional practice by attempting Q4 Grant plc if you have struggled with Q3).
Abercorn Ltd	A simple foreign exchange question testing translation and the accounting for exchange gains and losses.
Western Enterprises that Ltd	A more complex financial statements preparation question incorporates a number of elements from the chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce an exam-style scenario that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
MilloMops plc (part 1 and part 3 (issue 4 only))	Part 1 (issue 4) requires the explanation of the accounting treatment for a potential related party transaction and part 3 requires an explanation of why it is necessary to disclose related party transactions.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted this question, you can continue your studies by moving onto the next chapter.

Technical reference

Note: The following sets out the examinability of the standards covered in this chapter.

- **IAS 8** – All examinable except for 23–27
- **IFRS 5** – References to disposal groups and implementation guidance (except 11 and 12) are not examinable
- **IAS 21** – Only paragraphs 1–34 are examinable
- **IAS 24** – All examinable except for 25–27
- **IAS 33** – Only paragraphs 1–29 examinable

The paragraphs listed below are the key references you should be familiar with.

1 Accounting policies

- Definition – **IAS 8 (5)**
- Developed by reference to the relevant Standard/Interpretation where this is applicable – **IAS 8 (7)**
- Otherwise judgement applied – **IAS 8 (10)**
- Selection and application should be consistent – **IAS 8 (13)**

2 Change in accounting policies

- Only allowed if:
  - required by a Standard/Interpretation; or
  - results in relevant and more reliable information – **IAS 8 (14)**
- Changes should be applied:
  - in accordance with transitional provisions; or
  - retrospectively if there are no transitional provisions or the change is voluntary – **IAS 8 (19–22)**
- Retrospective application is applying a new accounting policy as if that policy had always been applied – **IAS 8 (5)**
- If impracticable to determine the period specific effects:
  - Apply the new accounting policy from the earliest period for which retrospective application is practicable
  - Disclose this fact – **IAS 8 (23–28)**
- When changes are made to presentation or classification of items, comparative amounts should also be reclassified, unless impracticable – **IAS 1 (41–42)**

3 Accounting estimates

- Definition – **IAS 8 (5)**
- Changes in accounting estimates relating to assets, liabilities or equity are adjusted in the period of change – **IAS 8 (37)**
- All other changes in accounting estimates should be applied prospectively:
  - In the period of change
  - In the period of change and future periods if both are affected – **IAS 8 (36)**
- Disclosure:
  - Nature of change
  - Amount – **IAS 8 (39)**

4 Prior period errors

- Definition – **IAS 8 (5)**
- Correct retrospectively in the first set of financial statements authorised for issue after their discovery – **IAS 8 (42)**
- Disclose
  - Nature of the prior period error
  - Amount of the correction for each prior period presented
  - Amount of the correction at the beginning of the earliest period presented – **IAS 8 (45)**
- If impracticable to determine the period-specific effects or the cumulative effect of the error:
  - Correct the error from the earliest period/date practicable
  - Disclose this fact – **IAS 8 (49)**

5 Discontinued operations

- Definition – **IFRS 5 (31–32)**
- Disclosures in the statement of profit or loss – a single amount comprising the total of:
  - The post-tax profit or loss of discontinued operations, and
  - The post-tax gain or loss recognised on related assets – **IFRS 5 (33(a))**
- Disclosures in the statement of profit or loss or in the notes – an analysis of the single amount disclosed in the statement of profit or loss – **IFRS 5 (33(b)(c))**
- Comparative figures must be restated – **IFRS 5 (34)**
- Narrative disclosures are also required – **IFRS 5 (41)**
- If part of the business is discontinued but it does not meet the criteria then its results must be included in those from continuing operations – **IFRS 5 (37)**

6 Foreign currency transactions

- Definition: functional currency – **IAS 21 (9)**
- Initial recognition of foreign currency transactions – **IAS 21 (20)**
- Reporting at the ends of subsequent reporting periods – **IAS 21 (23)**
- Recognition of exchange differences – **IAS 21 (27–34)**

7 Related party disclosures

- Definition: related party – **IAS 24 (9)**
- Related party transaction – **IAS 24 (9)**
- Disclosure – **IAS 24 (13–24)**

8 Earnings per share

- Definition – **IAS 33 (5)**
- Basic earnings per share – **IAS 33 (9–29)**

9 References

Marks and Spencer Group plc (2021), *Annual Report & Financial Statements & Notice of Annual General Meeting 2021* [Online]. Available from: https://corporate.marksandspencer.com/investors/our-performance-updates/results-reports-webcasts-presentations [accessed 6 August 2024]

Self-test questions

Answer the following questions.

1 Pipe Ltd

During the year to 30 September 20X6, the following events occurred in relation to Pipe Ltd.

(1) A claim for tax relief, submitted in 20X3, was rejected by the General Commissioners of HMRC. No appeal will be made. The resulting liability of CU15,000 was not provided at 30 September 20X5, since the company had expected the claim to succeed.

(2) A cut-off error in respect of inventories at 30 September 20X5 was discovered which would have reduced the carrying amount of inventories by CU24,000. This error is material but not fundamental.

(3) Non-current assets which had been written down to their estimated realisable value of CU17,000 at 30 September 20X5 were sold for CU7,000.

Requirement

How much should be accounted for retrospectively as an adjustment to retained earnings brought forward at 1 October 20X5?

2 IFRS 5

When considering IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, which of the following statements is/are true?

A A discontinued operation must have been disposed of by the end of the reporting period.

B A discontinued operation must be a separate major line of business or geographical area of operation.

C A discontinued operation must be clearly distinguished operationally and for financial reporting purposes.

3 Anodyne plc

During the financial year Anodyne plc carried out a reorganisation as follows.

Division X, a BD division whose operations are being terminated and transferred to another BD division producing the same product.

Division Y, the sole operator in South America whose business is being sold externally to the group.

Activity W, (part of Division Z) whose operations have been closed down. W's results have not been reported separately.

Requirement

Which of these divisions could be a discontinued operation according to IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*?

4 Grant plc

During the year to 30 April 20X9 Grant plc carried out a major reorganisation of its activities as follows.

Maynard was closed down on 1 January 20X9. Maynard was the only manufacturing division of the company, and as a result of the closure Grant's only activity will be the retail of artists equipment.

On 30 March 20X9 it was decided to sell Lytton, the only division that operated in Europe. The company were confident of a sale within the year. The sale actually took place on 15 July 20X9.

The activities carried on by Hobhouse were terminated during the period. Hobhouse was one of a number of smaller divisions which operated from the same location as the main headquarters of Grant. All these divisions use the same central accounting system and operating costs are allocated between them for the purpose of the management accounts.

The accounts for the year ended 30 April 20X9 were approved on 7 July 20X9.

Requirement

Which of these divisions should be classified as discontinued operations in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* in the financial statements of Grant plc for the year ended 30 April 20X9?

5 Abercorn Ltd

Abercorn Ltd, whose year-end is 31 December, buys some goods from Prima SA of France on 30 September. The invoice value is €40,000 and is due for settlement in equal instalments on 30 November and 31 January. The exchange rate moved as follows.

	€ = CU1
30 September	1.60
30 November	1.80
31 December	1.90
31 January	1.85

Requirement

Prepare the journal entries required to record this transaction in the accounting records of Abercorn Ltd.

6 Related parties

You are preparing the financial statements of James plc for the year ended 30 September 20X6.

Requirements

Explain whether the following are related party relationships for James plc under IAS 24, *Related Party Disclosures*.

(a) James plc and Ali plc are separate entities but each have a board containing five directors, four of whom are common. There are no common shareholdings.

(b) James plc has two associated companies, Hester Ltd and Frances Ltd.

(c) Robyn Pearson is a director of James plc and Frodsham Ltd.

(d) Giprock Ltd controls James plc. Giprock Ltd also exerts significant influence over Kendal plc.

7 Mitchell Bros plc

Mitchell Bros plc had 14 million ordinary shares in issue on 1 January 20X4 and 20X5. In its financial year ended 31 December 20X5 it issued further shares as follows:

- on 1 April, four million shares in consideration for the majority holding in another entity; and
- on 1 July a rights issue of 1 for 6 at a price of CU15 per share. The market price of Mitchell Bros shares immediately before the rights issue had been CU20 per share.

A profit of CU17 million attributable to the ordinary equity holders was reported for 20X5 and CU14 million for 20X4.

The shares issued on the acquisition were issued at their full fair value.

Requirement

Calculate basic EPS for the year ended 31 December 20X5 and the basic EPS for the year ended 31 December 20X4, as restated in the 31 December 20X5 financial statements.

8 Western Enterprises plc

Western Enterprises plc wholesales and distributes toys and models and provides distribution services to other organisations. The following balances have been extracted from its cloud-based accounting software as at 31 December 20X3.

	CU
Ordinary shares	800,000
5% redeemable preference shares	200,000
Share premium account	350,000
Retained earnings at 1 January 20X3	1,650,000
Revenue	11,899,000
Purchases	8,935,000
Inventories at 1 January 20X3	974,000
Staff costs – distribution	270,000
Staff costs – administration	352,000
Depreciation charge for the year	
– Freehold land and buildings	30,000
– Distribution equipment	116,000
– Other plant and equipment	160,000
General expenses	432,000
Interest income	41,000
Interest expense	35,000
Taxation – charge for the year	336,000
Paid dividends	
– Ordinary shares – final regarding 20X2	60,000
– Ordinary shares – interim regarding 20X3	30,000
– 5% redeemable preference shares – for 20X3	10,000
Patent rights	200,000
Freehold land and buildings – cost	1,200,000
Distribution equipment – cost	800,000
Other plant and equipment – cost	1,400,000
Accumulated depreciation at 31 December 20X3	
– Freehold land and buildings	130,000

	CU
– Distribution equipment	320,000
– Other plant and equipment	250,000
Trade receivables	1,600,000
Trade payables	1,200,000
Cash and cash equivalents	300,000
Tax liability	400,000

Additional information

(1) Included in revenue are invoices totalling CU120,000 in relation to distribution services rendered under a contract to a customer. The contract price was CU100,000 and provides for a CU20,000 bonus for early completion. The contract is currently 65% complete and management believe that there is a 55% chance of early completion.

(2) The patent was acquired during the year. Amortisation of CU20,000 should be charged to administrative expenses.

(3) Inventories at 31 December 20X3 were valued at CU1,304,000.

(4) Costs not specifically attributable to one of the profit or loss expense headings should be split 50:50 between distribution costs and administrative expenses.

(5) Inventories carried at CU846,000 were purchased from Germany in euros and payment is due on 2 March 20X4. At the date of the transaction the exchange rate was €1.55 to CU1. At 31 December 20X3 the exchange rate was €1.50 to CU1. The only accounting entries made by Western Enterprises plc in relation to this transaction were to debit inventories and credit payables with CU846,000 at the date of the transaction.

(6) A final ordinary share dividend for 20X3 of CU50,000 was proposed in May 20X4, payable on 28 June 20X4.

(7) CU450,000 cash was received during the year as a result of a rights issue of ordinary shares. The nominal value of the shares issued was CU100,000.

(8) On 1 June 20X3 the company made the decision to sell its loss-making soft toy division as a result of severe competition from the Far East. The company is confident that the closure will be completed by 30 April 20X4. The division's operations represent in 20X3 10% of revenue (after all adjustments), 15% of cost of sales, 10% of distribution costs and 20% of administrative expenses. No disclosures are necessary in the statement of financial position.

Requirement

Prepare Western Enterprises plc's statement of profit or loss and statement of changes in equity for the year to 31 December 20X3, a statement of financial position at that date and movements schedules and notes in accordance with the requirements of IFRS Accounting Standards, to the extent the information is available.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Statement of profit or loss for the year ended 31 December 20X7

	CU
Continuing operations	
Revenue (W)	268,000
Cost of sales (W)	(85,000)
Gross profit	183,000
Distribution costs (W)	(28,000)
Administrative expenses (W)	(80,000)
Profit before tax	75,000
Income tax expense	(21,000)
Profit for the year from continuing operations	54,000
Discontinued operations	
Loss for the year from discontinued operations (W)	(5,000)
Profit for the year	49,000

WORKING

Continuing and discontinued operations

	Continuing operations	Discontinued operations	Total
	CU	CU	CU
Revenue	268,000	32,000	300,000
Cost of sales	(85,000)	(15,000)	(100,000)
Gross profit	183,000	17,000	200,000
Distribution costs	(28,000)	(12,000)	(40,000)
Administrative expenses	(80,000)	(10,000)	(90,000)
Profit/(loss) before tax	75,000	(5,000)	70,000
Income tax expense	(21,000)		(21,000)
Net profit/(loss) for year	54,000	(5,000)	49,000

Answer to Interactive question 2

	DR	CR
	CU	CU
31 Oct 20X8		
Purchases (129,000 @9.50)	13,579	
Trade payables		13,579
31 Dec 20X8		
Trade payables	679	
Profit or loss – exchange gains (W)		679
31 Jan 20X9		
Trade payables	12,900	
Profit or loss – exchange losses	399	
		13,299

WORKING

Exchange gain on retranslation of trade payables

	CU
Trade payables as at 31 December 20X8 (129,000 @10)	12,900
Trade payables as previously recorded	13,579
Exchange gain	679

Answer to Interactive question 3

3.1 Chablis is owned by one of the close members of the family of a member of Pinot's key management personnel, so it is a related party of Pinot. Disclosure should be made of the nature of the relationship, any transactions during the period and the fact that the CU100,000 balance has been written off during the period.

There is no requirement to disclose the debt collection costs of CU4,000, or the names of Chablis, the director of Pinot or his daughter.

3.2 Merlot is very probably a related party of Pinot because Pinot's 40% shareholding in it appears to provide Pinot with significant influence over Merlot. Despite being an arm's length price, the value of the transaction should be disclosed (aggregated with similar transactions during the year if appropriate).

The company should only disclose that related party transactions were made on terms equivalent to those that prevail in arm's length transactions if these terms can be substantiated.

The nature of the relationship should be disclosed, but no names need to be disclosed.

3.3 The distributor is not a related party of Pinot, thus no separate disclosure is required.

3.4 Mrs Barolo is a member of the key management personnel of Pinot, so is one of its related

parties. The transaction with Mrs Barolo is therefore a related party transaction. However, Pinot has determined that the transaction is immaterial, and therefore it does not require disclosure in the financial statements. The car was due to be sold on the open market at its fair value, it is therefore unlikely to be of interest to users of the financial statements that the car was sold to a director at market value.

Answer to Interactive question 4

	CUm
Profit attributable to owners of the parent	1,897
Less dividend on irredeemable preference shares	(400)
Profit attributable to ordinary equity holders of the parent	1,497

EPS = 1,497/6,241 = 24p per share

Answer to Interactive question 5

	CUm
Profit attributable to owners of the parent	82
Less one year's dividend on irredeemable preference shares (20 – 15)	(5)
Profit attributable to ordinary equity holders of the parent	77

EPS = 77/1,200 = 6.4p per share

Answer to Interactive question 6

6.1 EPS originally reported in 20X4 (CU6m/20m) = 30p

6.2 The bonus issue is treated as having been issued at the start of 20X4 (the earliest reported period).

The adjusted weighted average number of shares for 20X4 is (20m × (2 + 1)/2) = 30m

The restated 20X4 EPS is (CU6m/30m) = 20p

EPS for 20X5

Weighted average shares:

As the bonus issue came **after** the issue for cash at full market price, the 6 million new shares rank for the bonus issue.

	Weighted average (million)
1 January – 31 May = 20m × (2 + 1)/2 × 5/12	12.50
1 June – 31 December = (20m + 6m) × ((2 + 1)/2) × 7/12	22.75
	35.25

EPS (CU8m/35.25m) = 22.7p

Answer to Interactive question 7

Computation of theoretical ex-rights price (TERP)

	Number	CU	CU
Pre-rights issue holding	4	@3.20	12.80
Rights share	1	@2.40	2.40
	5		15.20

$$\text{TERP} = \frac{\text{CU15.20}}{5} = \text{CU3.04}$$

Computation of bonus adjustment factor:

$$\text{Adjustment} = \frac{\text{Value of shares before rights}}{\text{TERP}} = \frac{320\text{p}}{304\text{p}}$$

Computation of basic EPS:

$$\text{20X8 EPS} = \frac{\text{CU4m}}{\text{(10m shares} \times \text{(320/304))}} = 38.0\text{p}$$

20X9 Earnings = CU4.8m

Weighted average shares	**Total**
1 January – 30 June 10m × 320/304 × 6/12	5,263,158
1 July – 31 December 10m × ((4 + 1)/4) × 6/12	6,250,000
	11,513,158

$$\text{EPS} = \frac{\text{CU4.8m}}{11{,}513{,}158} = 41.7\text{p}$$

Answers to Self-test questions

1 Pipe Ltd

Under IFRS Accounting Standards, items (1) and (3) arise from normal estimation errors and are recognised in the current accounting period. Item (2) results from an error which reduces retained earnings brought forward by CU24,000. This reduction to the brought forward amount is achieved by restating the comparative period financial statements and therefore no adjustment to retained earnings is required at the start of the current period.

2 IFRS 5

The correct answers are:

B A discontinued operation must be a separate major line of business or geographical area of operation.

C A discontinued operation must be clearly distinguished operationally and for financial reporting purposes.

In order to be classified as discontinued, a component must either have been disposed of or be held for sale (provided that it is highly probable that it will be sold within 12 months of classification (IFRS 5: para. 8)).

3 Anodyne plc

Division Y could be a discontinued operation as a geographical area of operations is being sold.

Division X is not a discontinued operation as a separate line of business is not being terminated – production is shifting from one division to another.

Activity W is not discontinued, as it cannot be separately distinguished for financial reporting purposes.

4 Grant plc

Maynard and Lytton should both be classified as discontinued operations. Maynard amounts to the withdrawal from a particular line of business. Lytton amounts to the withdrawal from a geographical area of operation. The date of sale is irrelevant.

5 Abercorn Ltd

The purchase will be recorded in the accounting records of Abercorn Ltd using the rate of exchange ruling on 30 September.

	CU	CU
DR Purchases	25,00	
CR Trade		25,00

CU25,000 being the CU cost of goods purchased for €40,000 (€40,000 €1.60/CU1)

On 30 November, Abercorn Ltd must pay €20,000. This will cost €20,000/ €1.80 = CU11,111 and the company has therefore made an exchange gain of CU12,500 – CU11,111 = CU1,389.

		CU	CU
DR	Trade payable	12,500	
CR	Exchange gain: profit or loss		1,389
CR	Cash		11,111

On 31 December, the year end, the outstanding liability will be recalculated using the rate applicable to that date: €20,000/ €1.90 = CU10,526. A further exchange gain of CU1,974 has been made and will be recorded as follows.

	CU	CU
DR Trade payables	1,974	
CR Exchange gain: profit or loss		1,974

The total exchange gain of CU3,363 will be included in the operating profit for the year ending 31 December.

On 31 January, Abercorn Ltd must pay the second instalment of €20,000. This will cost them CU10,811 (€20,000/ €1.85).

		CU	CU
DR	Trade payable	10,526	
DR	Exchange loss: profit or loss	285	
CR	Cash		10,811

6 Related parties

(a) All five directors of James plc are members of its key management personnel and are therefore its related parties. The same is the case for all five directors of Ali plc. Individually the four common directors do not have significant influence over either James plc or Ali plc, but together, as the clear majority of the board, they can control both of them.

James plc and Ali plc are not necessarily related parties of each other. IAS 24 requires consideration of the substance of situations, not just their legal form. If the four directors are acting in concert, then in substance they control both entities which are therefore related parties of each other.

(b) Hester Ltd and Frances Ltd are associates of the same investor, James plc. James plc has significant influence over each company and therefore both Hester Ltd and Frances Ltd are related parties of James plc. Hester Ltd and Frances Ltd would not normally be regarded as related parties of each other.

(c) James plc and Frodsham Ltd have one director in common, but there is no information about shareholdings which would indicate that this director has control over either of them. They would not normally be regarded as related parties of each other.

(d) Kendal plc is an associate of Giprock Ltd and James plc is a member of the Giprock Group, so Kendal plc and James plc are related parties per IAS 24.9(b)(ii).

7 Mitchell Bros plc

The issue at full market price does not contain any bonus element (that is it is not expected to reduce/dilute the future earnings potential of each share). It is therefore simply time apportioned.

The rights issue is priced below market price, which will dilute the future earnings potential of each ordinary share. There will need to be a retrospective adjustment to EPS to allow for this. This is achieved by calculating the bonus fraction and retrospectively increasing the number of ordinary shares before the rights issue occurring.

The calculation of the weighted average number of shares in issue is as follows:

Date	Number of shares ('000)	Time	Bonus fraction	Weighted average
1 January 20X5	14,000	3/12	(W) 20/19.29	3,628,823
1 April 20X5	4,000			
	18,000	3/12	(W) 20/19.29	4,665,630
1 July 20X5	3,000			
	21,000	6/12		10,500,000
Weighted average				18,794,453

The basic EPS for 20X5 is therefore CU17m/18,794,453 = 90.45p.

The previous year's EPS should have been reported in the 20X4 financial statements as CU14m/14m = 100p per share. This should be restated as 100p × 19.29/20 = 96.45p.

WORKING

Calculation of theoretical ex-rights price (TERP) and bonus element

	Number	Price	Total
		CU	CU
Pre-rights holding	6	20	120
Rights share	1	15	15
Post-rights holding	7		135

TERP = CU135/7 = CU19.29

The bonus element of this issue is therefore 20/19.29. This means that future EPS is expected to be 19.29/20 of the amount before the rights issue at below market price.

8 Western Enterprises plc

Statement of profit or loss for the year ended 31 December 20X3

	CU
Continuing operations	
Revenue (W1)	10,660,000
Cost of sales (W2)	(7,314,000)
Gross profit	3,346,000
Distribution costs (W2)	(627,000)
Administrative expenses (W2)	(568,960)
Operating profit	2,150,040

	CU
Finance cost (35 + 10)	(45,000)
Finance income	41,000
Profit before tax	2,146,040
Income tax expense	(336,000)
Profit for the year from continuing operations	1,810,040
Discontinued operations	
Loss for the year from discontinued operations (W4)	(319,240)
Profit for the year	1,490,800

Statement of changes in equity for the year ended 31 December 20X3

	Share capital CU	Share premium CU	Retained earnings CU	Total CU
Balance at 1 January 20X3	700,000		1,650,000	2,700,000
Changes in equity for 20X3:				
Issue of share capital	100,000	350,000		450,000
Dividends			(90,000)	(90,000)
Total comprehensive income for the year			1,490,800	1,490,800
Balance at 31 December 20X3	800,000	350,000	3,050,800	4,200,800

Notes

1 The operating profit is arrived at after charging (see working below).

2 A final ordinary share dividend for 20X3 of CU50,000 is proposed for payment on 28 June 20X4.

3 On 1 June 20X3 the company classified its soft toy division as held for sale. The division had been loss-making for some time due to severe competition from the Far East. It is expected that the closure will be complete by 30 April 20X4.

4 Amounts attributable to this division in 20X3 were: revenue CU1,184,000; expenses CU1,503,000; and pre-tax loss CU319,000.

Statement of financial position as at 31 December 20X3

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (see Note 1)		2,700,000
Intangible assets (see Note 2)		180,000
		2,880,000
Current assets		
Inventories	1,304,000	
Trade and other receivables (1,600 – 55 (W1))	1,545,000	

	CU	CU
Cash and cash equivalents	300,000	
		3,149,000
Total assets		6,029,000
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital		800,000
Share premium		350,000
Retained earnings		3,050,800
Total equity		4,200,800
Non-current liabilities		
Preference share capital		200,000
Current liabilities		
Trade and other payables (1,200 + 28.2 (W3))	1,228,200	
Taxation	400,000	
		1,628,200
Total equity and liabilities		6,029,000

Notes to the financial statements

Note 1 PROPERTY, PLANT AND EQUIPMENT

	Freehold land and buildings CU	Distribution equipment CU	Other plant and equipment CU	Total CU
Cost				
At 1 January 20X3	1,200,000	800,000	1,400,000	3,400,000
At 31 December 20X3	1,200,000	800,000	1,400,000	3,400,000
Depreciation				
At 1 January 20X3	100,000	204,000	90,000	394,000
Charge for the year	30,000	116,000	160,000	306,000
At 31 December 20X3	130,000	320,000	250,000	700,000
Carrying amount				
At 31 December 20X3	1,070,000	480,000	1,150,000	2,700,000
At 1 January 20X3	1,100,000	596,000	1,310,000	3,006,000

Note 2 INTANGIBLE ASSETS

	CU
Cost at 31 December 20X3	200,000
Amortisation	(20,000)
Carrying amount at 31 December 20X3	180,000

This patent was acquired during the year.

WORKINGS

(1) **Revenue**

	CU	CU
Per list of balances		11,899,000
Adjustment regarding incomplete contract		
Included in revenue	120,000	
Revenue in line with IFRS 15	(65,000)	
Adjustments to revenue and trade receivables		
		55,000
		11,844,000

IFRS 15 requires that variable consideration is only included in transaction price to the extent that it is highly probable that it will not be reversed. In this case there is only a 55% probability that the bonus will be achieved and therefore it should not form part of the transaction price. The transaction price is CU100,000 and the contract is 65% complete therefore only CU65,000 should be recognised as revenue.

(2) **Analysis of expenses**

	Cost of sales	Distribution costs	Administrative expenses
	CU	CU	CU
Opening inventories	974,000		
Purchases	8,935,000		
Staff costs		270,000	352,000
Depreciation			
– Land and buildings		15,000	15,000
– Distribution equipment		116,000	
– Other PPE		80,000	80,000
General expenses		216,000	216,000
Amortisation of patent			20,000
Foreign exchange loss (W3)			28,200
Closing inventories	(1,304,000)		
	8,605,000	697,000	711,200

(3) **Foreign exchange loss**

	CU
Payable at date of transaction	846,000
Payable at year end date (846,000 × 1.55/1.5)	(874,200)
Exchange loss at end of reporting period	(28,200)

(4) **Continuing/ discontinued analysis**

	Continuing operations	Discontinued operations	Total
	CU	CU	CU
Revenue (W1 – 90:10)	10,660,000	1,184,000	11,844,000
Cost of sales (W2 – 85:15)	(7,314,000)	(1,291,000)	(8,605,000)
Gross profit	3,346,000	(107,000)	3,239,000
Distribution costs (W2 – 90:10)	(627,000)	(70,000)	(697,000)
Admin expenses (W2 – 80:20)	(568,960)	(142,240)	(711,200)
Profit/(loss) from operations	2,150,040	(319,240)	1,830,800
Finance cost (35 + 10)	(45,000)	–	(45,000)
Finance income	41,000		41,000
Profit/(loss) before tax	2,146,040	(319,240)	1,826,800
Income tax	(336,000)	–	(336,000)
Profit/(loss) for the year	1,810,040	(319,240)	1,490,800

Chapter 5
Property, plant and equipment

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Property, plant and equipment
2 Recognition of property, plant and equipment (PPE)
3 Measurement of property, plant and equipment (PPE) at recognition
4 Borrowing costs
5 Measurement of PPE after initial recognition
6 Depreciation
7 Accounting for revaluations
8 Impairment of assets
9 Derecognition of property, plant and equipment (PPE)
10 Disclosures
11 Ethical and judgement issues

Summary

Further question practice

Technical reference

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Answers to Self-test questions

Introduction

Learning outcomes

- Explain the objectives and inherent limitations of financial statements giving appropriate examples
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards.
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios
- Discuss the impact of sustainability and climate-related risks and opportunities on the preparation of the financial statements

Syllabus links

You will have a working knowledge of IAS 16, *Property, Plant and Equipment* from *Accounting* and will have applied it to straightforward situations.

Financial Accounting and Reporting covers the more complex aspects of accounting for property, plant and equipment (PPE), including the revaluation model, as well as the issues of judgement that can be involved in applying IAS 16. It also covers the other IFRS Accounting Standards relevant to PPE:

- IAS 23, *Borrowing Costs*
- IAS 36, *Impairment of Assets*
- IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*

Examination context

In the examination, students may be required to:

- Explain how the *Conceptual Framework for Financial Reporting* applies to the recognition of property, plant and equipment.
- Prepare and present financial statements or extracts therefrom in accordance with:
  - IAS 16, *Property, Plant and Equipment*
  - IAS 23, *Borrowing Costs*
  - IAS 36, *Impairment of Assets*
  - IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*
- Explain the accounting treatment of property, plant and equipment, borrowing costs, impairment and non-current assets held for sale.
- Explain the potential impairment of assets due to climate-related issues, identify such potential impairment as a climate-related risk, and explain or prepare basic disclosures required by IFRS S2 *Climate-related Disclosures*.
- Identify and explain any ethical issues.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Property, plant and equipment (PPE)** For many companies, PPE is a large balance in the statement of financial position, which also impacts the statement of profit or loss via the depreciation charge. A professional accountant should be aware of the underlying principles (based on the *Conceptual Framework for Financial Reporting*) and the main objectives of IAS 16.	**Approach** This section is a revision from material you will have covered in *Accounting*. Ensure you are familiar with the underlying principles identified in the *Conceptual Framework for Financial Reporting*. **Stop and think** Consider how the principles in the *Conceptual Framework for Financial Reporting* interact with IAS 16.	In your exam, you may be asked to explain the application of IAS 16 and you will need to be able to explain the underlying objectives of the accounting standard.	
2	**Recognition of property, plant and equipment** Items of PPE should be recognised when it is probable that economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. Economic benefits may arise from, for example, selling products produced by the item, or by reducing other expenses (such as staff costs).	**Approach** This short section covers the basic principles for recognising an item of PPE in the financial statements.	Although you are unlikely to find a separate question on this area, you need to be comfortable with dealing with the recognition criteria for PPE.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	**Measurement at recognition** For new assets purchased in the period, you may be faced with a list of costs incurred in the purchase, but not all of them can necessarily be capitalised. You will need to be able to correctly calculate the cost of new PPE.	**Approach** Understand the main elements of cost which may be capitalised, testing your knowledge by attempting Interactive Question 1. **Stop and think** Consider why certain costs are not capitalised, bearing in mind the principles of control and generation of economic benefits.	You must be confident with understanding which costs may be capitalised when dealing with PPE. It is very likely that you will have to account for such additions in your exam.	**IQ1 Measuring cost** This tests your understanding of what costs can be capitalised within the measurement of PPE.
4	**Borrowing costs** Building on the initial measurement of the PPE, qualifying borrowing costs should also be capitalised. The criteria are explained in this section.	**Approach** Understand the core principles behind IAS 23, *Borrowing Costs*, then work through the stages of capitalisation and then cessation of capitalisation using the worked examples to guide you. **Stop and think** Consider the level of judgement required by management in determining which borrowing costs qualify for capitalisation and how this may be used to affect the results in the financial statements.	Borrowing costs may be tested as part of a computational question or within an explain question. The latter may ask for you to explain and determine (from a scenario) whether borrowing costs should be capitalised. You may also be required to consider, perhaps reflecting on ethics, whether a proposed accounting treatment by management is in keeping with the requirements of the standard.	**IQ2 Commencement of capitalisation** Understanding the key milestones when borrowing costs can be capitalised is important. This short question tests your application skills.
5	**Measurement of PPE after initial recognition** We met the notion of the historical cost vs current value measurement bases	**Approach** This is an introduction to the cost model and revaluation model which is an accounting policy	Ensure you are familiar with the two methods of subsequently measuring PPE, and the concept of fair value.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	in Chapter 1. Here we will extend that by considering the cost and revaluation models available for PPE.	choice made by an entity when accounting for PPE in subsequent accounting periods. The cost model is then developed in the next section on **depreciation** and the revaluation model is explained in the section on **accounting for revaluations**.		
6	**Depreciation** You will be familiar with depreciation from your *Accounting* studies. Here we consider the effects of depreciation on the financial statements, as well as revisions to useful life and residual value of assets and changes in the depreciation methods itself.	**Approach** Building on your *Accounting* studies, we look at variations in depreciation rates and useful lives, as well as practical reasons for making changes to the useful life, residual value or depreciation method of PPE. You may need to go back to Chapter 4, Reporting Financial Performance, to revise your knowledge of changing of accounting estimates under IAS 8. **Stop and think** Consider the impact of different depreciation rates on the financial statements, in particular, the profit for the year. There is scope for creative accounting and manipulation of profits.	In the exam, you will be expected to be able to calculate and account for any depreciation that may be required on existing, new or revalued assets in the financial statements. An ethics question may consider the impact of management wanting to change the rates of depreciation to affect the profits for the year.	**IQ3 Calculating depreciation** Building on the information from IQ1 (*ensure you have completed that question first*), this question tests your application of depreciation methods. **IQ4 Depreciation period** This question tests your understanding of how to account for a revision to the useful life of an asset.
7	**Accounting for revaluations** Carrying PPE at cost	**Approach** Firstly, work through the accounting for	You are likely to be examined on your understanding of	**IQ5 Revaluation** This is a relatively simple revaluation

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	less depreciation is the simplest approach, however, it may not represent the most relevant measurement of that asset. This is especially relevant for property, specialised machinery or land. A company may decide to carry such assets at their fair value rather than historical cost.	upwards revaluations (using the worked example as a guide), then attempt Interactive Question 5. Then work through revaluation decreases, again using the worked example as a guide. Finally, the depreciation on these revalued assets is explained in detail, with two worked examples. **Stop and think** If an entity's financial statements present PPE with a carrying amount of CU1 million, then what is the minimum amount of return the users would expect the asset to generate? Consider the impact on users of the revaluation of assets.	dealing with revaluations and the calculation of the revised depreciation charge. Ensure you do plenty of question practice on this key area.	question testing your understanding of the basic mechanics behind the accounting treatment.
8	**Impairment of assets** Assets are said to be impaired when their carrying amount exceeds their recoverable amount. Management must be alert to the indicators of impairment and ensure they test assets for impairment when required.	**Approach** You need to understand what impairment means and the indicators of impairment. Once you have understood these, move onto the accounting treatment for dealing with impaired assets. There is a useful worked example which will help to explain the process. **Stop and think** Can you think of circumstances that would indicate that an asset has been impaired?	You may be asked a question testing your application skills of the accounting for the impairment of PPE. This is usually as part of a preparation of financial statements question with additional information. You may also be asked about the key indicators of impairment or to explain the correct accounting treatment under IAS 36.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
9	**Derecognition of PPE** This section covers the accounting treatment for the disposal of PPE. You should be familiar with disposals from your earlier *Accounting* studies. This is extended in *Financial Accounting and Reporting* to include the situation where assets are held for sale – that is that the sale of an asset is planned but has not taken place by the year end date.	**Approach** Ensure that you are familiar with how to account for the disposal of PPE. This chapter also introduces the recommended accounting treatment to be applied when it is decided to sell rather than use PPE. **Stop and think** Consider the impact on the performance of an entity if assets are classified as 'held for sale' (eg consider depreciation expense and/or impairment losses).	You will be familiar with the disposal of PPE from your *Accounting* studies, however in *Financial Accounting and Reporting* both actual and planned disposals are examinable. IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, may be tested as a numerical question, or by requiring you to explain the correct accounting treatment to a third party. There may also be ethical questions associated with the misclassification of PPE as 'held for sale'.	**IQ6 Assets held for sale I** and **IQ7 Assets held for sale II** These are relatively simple questions to test your understanding of the basic principles of IFRS 5 in relation to assets held for sale. **IQ8 Disposal of revalued PPE** This question focuses on disposals of revalued assets. **IQ9 Summary** This question builds on the disposal of revalued assets, focusing on the impact on the revaluation surplus. The question then goes on to identify the asset as being held for sale. This is good comprehensive question covering this chapter.
10	**Disclosures** This section sets out the disclosure requirements for PPE. You are expected to be able to prepare a PPE disclosure note from information provided.	**Approach** Ensure that you are confident in preparing a disclosure note in respect of PPE. **Stop and think** Think about why disclosure of the movement of PPE is important for the users of the financial	In the exam, you may be required to draft a disclosure note for PPE.	**IQ10 Disclosure** You are asked to complete a note showing the movements on PPE for a company, RSBH Ltd.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		statements.		
11	**Ethical and judgement issues** It is important that you are aware of the pressures on accountants to achieve certain targets and the risk of manipulation that this pressure brings. You should be aware of the potential for manipulation any time an accountant is required to apply judgement. In respect of PPE, that could be in determining, for example, the depreciation rate, the useful life of an asset, or the value in use of an impaired asset.	**Approach** Read through the short section understanding the pressures to report a certain value of assets or achieve a certain profit target and how judgements around PPE could help to achieve those targets.	You will be expected to be aware of the ethical issues facing accountants and to be able to advise on appropriate ethical behaviour in the exam.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Property, plant and equipment

Section overview

IAS 16, *Property, Plant and Equipment* provides guidance on the accounting treatment of non-current tangible assets.

1.1 What is property, plant and equipment?

Definition

Property, plant and equipment (PPE): Tangible items that are both:

- held for use in the production or supply of goods or services, for rental to others or for administrative purposes; and
- expected to be used during more than one period.

In practice this definition causes few problems. Property, plant and equipment (PPE) includes, for example, land and buildings, plant and machinery, motor vehicles, office equipment and forms the major part of assets of certain types of business, such as manufacturing and transport businesses.

1.2 Non-current v current

The main issue arising is whether the assets are held for use in the company's activities or intended for resale.

For example, cars held for resale by a motor dealer are inventories (a current asset) whereas cars held for use by employees on company business are PPE.

1.3 IAS 16, *Property, Plant and Equipment*

The objective of IAS 16 is to set out, in relation to PPE, the accounting treatment for:

- the recognition of assets;
- the determination of their carrying amounts; and
- the depreciation charges and impairment losses relating to them.

This provides the users of financial statements with information about an entity's investment in its PPE and changes in such investments.

IAS 16 should be followed when accounting for PPE **unless** another IFRS Accounting Standard requires a **different** treatment eg, IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

1.4 Underlying principles

The key elements in financial statements, identified in the *Conceptual Framework for Financial Reporting*, which are relevant to PPE are:

Assets	An asset is a present economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits.
Income	Income is increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims.
Expenses	Expenses are decreases in assets, or increases in liabilities, that result in decreases in equity, other than those related to distributions to holders of equity claims.

The income and expenses here relate to the subsequent depreciation, revaluation, impairment and disposal of PPE.

2 Recognition of property, plant and equipment (PPE)

Section overview

- The cost of an item of PPE should be recognised where it is probable that future economic benefits will flow to the entity and the cost can be measured reliably.
- Subsequent costs:
  - Repairs and maintenance expenditure should not be capitalised.
  - Replacement parts should be capitalised.
- Items of PPE may be separated into components, each with a separate useful life.

2.1 Recognition

In this context, **recognition** simply means incorporation of the item in the entity's financial statements, in this case as a non-current asset.

IAS 16 states that the cost of an item of PPE should be recognised as an asset if:

- It is **probable** that **future economic benefits** associated with the item **will flow to the entity**, **and**
- The item's cost can be **measured reliably**.

Notes

1 The asset is not defined in terms of the **tangible** item of PPE (eg, a building or a piece of production machinery) but in terms of the **economic benefits flowing from it**. Remember the definition of an asset in the *Conceptual Framework for Financial Reporting:* 'an asset is a **present economic resource** controlled by the entity as a result of past events. An economic resource is a right that has the potential to **produce economic benefits**.' So, the cost of an obligatory safety inspection can be treated as part of the cost of an item of PPE because it enables the item of PPE to continue in operation, thereby enabling the asset to generate economic benefits.

2 There is **no definition of what constitutes 'an item' of PPE**. It will be for each entity to develop its own definitions. It will be straightforward to decide that an individual motor vehicle should constitute 'an item'. But when it comes to a blast furnace, should that be a

single item or several items? Equally it may be appropriate to aggregate individually insignificant items such as tools.

3 The **recognition criteria must be applied to subsequent expenditure** related to an item of PPE; only expenditure that meets the recognition criteria can be capitalised as part of the cost of the item of PPE.

2.2 Subsequent costs

In terms of costs incurred subsequently to add to, replace part of, or service the item, the practical application is that:

- **Repairs and maintenance expenditure should be recognised in profit or loss as incurred**, because it is not probable that there will be future economic benefits flowing from it, over and above the benefits flowing from the cost originally recognised when the item was first acquired.
- **Replacement parts should be capitalised**, provided the original cost of the items they replace is derecognised (ie, treated as disposed of) at the time of the replacement.

IAS 16 gives the example of a blast furnace which may require re-lining after a specified number of hours of use. The existing lining is derecognised and the new lining is capitalised and depreciated, separately from the body of the furnace, over its useful life.

Another example is parts of an aircraft, such as seats or engines, which may require replacement several times over the life of the airframe.

2.3 Separate components

A large or complex asset may be separated into its **separate components**, with **separate lives**. These components are then **depreciated separately** (see section 6 below), over their individual useful life rather than over the useful life of the bigger asset.

This component approach is also applied **where regular major inspections of an asset are a condition of continuing to use it**. The cost of each inspection is treated as a separate item of PPE and recognised in profit or loss over the period to the next inspection. If no separate inspection cost was incurred on original acquisition, an allocation of original cost to the inspection may be made by reference to the estimated cost of the first actual inspection.

For instance, a firm operates lorries which have to pass an inspection every six months. If a new vehicle is CU20,000, including an initial inspection, and the cost of an inspection is CU3,000, then CU17,000 of the cost will be allocated to the actual vehicle and CU3,000 to the initial inspection. This CU3,000 will be written off over the next six months and the CU3,000 paid when the next inspection takes place will be capitalised and written off over the following six months.

3 Measurement of property, plant and equipment (PPE) at recognition

Section overview

- PPE should be measured at cost at recognition.
- Elements of cost include:
  - purchase price

- directly attributable costs
- estimate of dismantling and site restoration costs

- Cost is measured as:
  - purchase price plus directly attributable costs; or
  - fair value if PPE items are exchanged.

3.1 Measurement at recognition

An item of PPE qualifying for recognition as an asset is initially measured at its **cost**.

Definition

Cost: This is the amount of cash or cash equivalents paid or the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction.

3.2 Elements of cost of property, plant and equipment

The cost of a PPE item comprises:

- **purchase price**, including all non-recoverable duties and taxes but net of trade discounts;
- costs **directly attributable to bringing the asset to the location and condition** necessary for it to be capable of operating in the manner intended by the management; and
- the initial estimate of **dismantling and site restoration costs**. Directly attributable costs include:
- **employee benefits** arising directly from construction or acquisition of the item; and
- **site preparation, delivery, installation and assembly costs, costs of testing whether the asset is functioning as expected, and professional fees** (eg, legal costs and architects' fees).

But note that certain costs associated with the item cannot be included in its cost:

- Some costs are **excluded** because they are **not directly attributable to the item**. Examples include:

- the costs of opening a new facility
  - the cost of introducing new products
  - the cost of conducting business in a new location or with a new class of customer
  - administration and general overhead costs

- **Capitalisation ceases when the item is capable of operating in the manner intended**. Costs incurred after this date have to be **excluded**. Examples include:
  - costs incurred when the item is not yet in use or is operated at less than full capacity
  - operating losses while demand for the output builds up (eg, a new hotel)
  - reorganisation costs

Notes

1 Costs of testing would include, for example, flight testing a new aircraft and testing for the satisfactory operation of a new plant.

2 Items may be produced in the process of bringing PPE to the location and condition necessary for it to be capable of operating as expected. Any proceeds raised on the sale of

such items are presented in profit or loss in the period they are earned. Any costs associated with producing those items are also presented in profit or loss and are measured in accordance with IAS 2, *Inventories*.

3 Where activities are undertaken that are incidental to the development of the PPE item, any revenue and expenses are recognised in profit or loss, not taken into account in arriving at the cost of the item.

4 Where, as a result of the acquisition of an item of PPE, an obligation arises to dismantle it at the end of its useful life and/or to restore its site, then the present value of that obligation must be provided for as a liability at the same time as the asset is recognised (eg, a provision for decommissioning costs of nuclear power stations or the mandatory remediation of environmental damage). We will look at this issue again in Chapter 10.

5 In the case of self-constructed assets; **internal profits and abnormal costs** (eg, those relating to design errors, wasted resources or industrial disputes) are excluded from cost; and **interest costs** incurred during the course of construction are capitalised under IAS 23, *Borrowing Costs*, where they are eligible for capitalisation.

Interactive question 1: Measuring cost

A business incurs the following costs in relation to the construction of a new facility and the introduction to the market of its output:

	CU
Site preparation	400,000
Net income while site used as a car park, before construction commencing	(50,000)
Materials used, inclusive of CU0.3 million recoverable VAT	2,000,000
Labour costs, inclusive of CU0.5 million incurred when a labour dispute meant that no construction work was carried out	4,000,000
Testing of facility's processes	300,000
Sale of by-products produced as part of testing process	(60,000)
Consultancy fees re installation and assembly	500,000
Safety inspection	150,000
Professional fees	300,000
Opening of facility	100,000
Overheads incurred:	
- Construction	800,000
- General	600,000
Relocation of staff to new	350,000

The following estimates have been made:

(1) The cost of having to dismantle the facility at the end of its useful life (discounted to present value) of CU750,000.

(2) The facility has passed an initial safety inspection, which cost CU150,000. The next inspection is due in three years and thereafter every three years.

(3) While the overall life of the facility is 20 years, 40% of the costs other than those of safety inspections relate to items that will need replacing in eight years.

Requirement

Identify the total cost of the facility in accordance with IAS 16 and allocate it over the facility's components.

See **Answer** at the end of this chapter.

3.3 Measurement of cost

Cost is measured as the **cash price at the time of recognition or the fair value of other consideration provided.** The cash price is **discounted** if payment is deferred beyond normal credit terms.

Where there is an **exchange of items of PPE** such that there is no cash price, cost should be measured at **fair value**.

The **exception** to this is where:

- the exchange transaction lacks **commercial substance**, for example where the risk, timing and amount of the cash flows of the asset received differs from the risk, timing and amount of the cash flows of the asset transferred; or
- the fair value of neither asset exchanged can be **measured reliably**.

In this case the asset is measured at the **carrying amount** of the asset given up.

4 Borrowing costs

Section overview

- Under IAS 23, *Borrowing Costs* certain borrowing costs form part of the cost of a qualifying asset.
- Only the borrowing costs directly attributable to the acquisition/construction/production of the asset should be capitalised.
- If the funds used for the acquisition etc, are the general funds of the business, a weighted average borrowing cost should be calculated.
- IAS 23 lays down requirements for the commencement and cessation of capitalisation of borrowing costs.

4.1 Introduction

If an entity constructs a substantial asset either for use itself or for resale, it is likely that additional funds in the form of loan capital will be required in order to finance the construction. The finance cost of these additional funds is a cost of the construction of the asset, in the same way that materials and labour are costs of the construction of the asset.

The question is therefore whether these finance costs incurred should be:

- recognised as an expense in profit or loss; or
- recognised as part of the cost of the asset carried in the statement of financial position.

Where borrowings have been acquired **specifically to finance the construction of a qualifying asset**, a direct cost is incurred that would have been avoided had the construction not taken place. It therefore seems reasonable that the financing cost associated with such borrowings should form **part of the cost of the asset**, as are other costs incurred in the construction process. IFRS Accounting Standards **require** this treatment for all 'directly attributable' borrowing costs.

'Directly attributable' borrowing costs should therefore be recognised as part of the cost of the asset and not treated as an expense in profit or loss.

4.2 IAS 23 core principle

Borrowing costs that are directly attributable to the acquisition, construction or production of a **qualifying asset** form part of the cost of that asset. Other borrowing costs are recognised as an expense.

Definition

Qualifying asset: An asset that necessarily takes a substantial period of time to get ready for its intended use or sale.

This could cover:

- property, plant and equipment
- investment properties under construction
- inventories (such as construction of an aeroplane for sale)
- intangible assets

The definition **excludes** an asset which is ready for use or sale at the time it is acquired.

Note: An entity is not required to apply IAS 23 to borrowing costs directly attributable to the acquisition, construction or development of: assets which on initial recognition are measured at fair value; or inventories that are manufactured or produced in large quantities on a repetitive basis even if they take a substantial period of time to get ready for use or sale.

4.3 Borrowing costs to be capitalised

Definition

Borrowing costs: Interest and other costs that an entity incurs in connection with the borrowing of funds.

This definition includes:

- interest expense, calculated using the effective interest method as described in IFRS 9, *Financial Instruments* (see Chapter 9);
- finance charges in respect of leases; and
- exchange differences arising from foreign currency borrowings to the extent that they are regarded as an adjustment to interest costs.

However, only borrowing costs which are **directly attributable** to the acquisition, construction or production of the qualifying asset should be capitalised; these are the borrowing costs which would have been avoided if the expenditure on the qualifying asset had not been made.

If **funds are borrowed specifically** for the construction:

- the borrowing costs can be readily identified; and
- if the funds are not all required immediately and some are invested, the borrowing costs capitalised should be reduced by the investment income received on the excess funds.

Context example: Specific funds

An entity borrowed CU1 million at 7.5% pa in order to finance the construction of a new building which would take 12 months to complete. As stage payments were to be made in respect of the construction costs, surplus funds were invested and during the 12-month period interest income of CU35,000 was earned.

Borrowing costs to be capitalised = (CU1,000,000 × 7.5%) – CU35,000 = CU40,000

IAS 23 is silent on how to treat any temporary investment income earned in the same period before the capitalisation of borrowing costs commences. As there is no specific guidance the fair presentation requirement of the *Conceptual Framework for Financial Reporting* requires that an entity should apply a policy that gives a fair presentation of the business. Therefore, the approach adopted should be that any temporary investment income earned before capitalisation commences should be recognised as part of profit or loss for the period.

In summary, it will not be deducted from eligible borrowing costs as at the time the investment income was earned the conditions of capitalisation were not fulfilled and IAS 23 was not applicable.

If the construction is financed out of the **general borrowing** of the entity:

- the amount of borrowing costs to be capitalised should be calculated by reference to the weighted average cost of the general borrowings; and
- the weighted average calculation excludes borrowings to finance a specific asset or building until substantially all activities to prepare that specific asset for use or sale are complete.

If the entity is part of a group and funds are negotiated for the whole group rather than individual entities, then judgement is required as to which borrowings should be used in the calculation of the weighted average cost of (group) borrowings.

Worked example: Weighted average cost

An entity has the following loan finance in place during the year:

CU1 million of 6% pa loan finance

CU2 million of 8% pa loan finance

It constructed a new factory which cost CU600,000 and this was funded out of the existing loan finance. The factory took eight months to complete.

Requirement

What amount of borrowing costs should be capitalised?

Solution

Calculation as follows:

$$\text{Weighted average cost of loans} = \frac{(CU1{,}000{,}000 \times 6\%) + (CU2{,}000{,}000 \times 8\%)}{CU3{,}000{,}000} = 7.33\%$$

Borrowing costs to be capitalised = CU600,000 × 7.33% × 8/12 = CU29,320

The amount of borrowing costs capitalised may be limited because the total carrying amount of the asset (including borrowing costs) should not exceed the asset's recoverable amount.

4.4 Commencement of capitalisation

Capitalisation should commence when the entity first meets **all three** of the following conditions:

- It incurs expenditures for the asset.
- It incurs borrowing costs.
- It undertakes activities that are necessary to prepare the asset for its intended use or sale.

Activities necessary to prepare the asset for use or sale include:

- construction
- drawing up plans
- obtaining planning permissions
- obtaining permissions from utility providers
- obtaining other consents required

Simply holding an asset for development without any associated activities is not enough to qualify for capitalisation.

Interactive question 2: Commencement of capitalisation

The following events take place:

(1) An entity buys some land on 1 December.

(2) Work is undertaken in December and January in preparing a planning application.

(3) Planning permission is obtained on 31 January.

(4) Payment for the land is deferred until 1 February.

(5) The entity takes out a loan to cover the cost of the land and the construction of the building on 1 February.

Requirement

When should capitalisation of borrowing costs commence? See **Answer** at the end of this chapter.

4.5 Cessation of capitalisation

The entity shall cease capitalising borrowing costs when substantially all the activities necessary to get the asset ready for its intended use or sale are complete.

Minor activities such as decoration of a building to a purchaser's specification do not form part of substantial activities, so capitalisation should cease before this work is started.

Note: It is the availability for use or sale which is important, not the actual use or sale. An asset is normally ready for use or sale when its physical construction is complete.

Where an asset is completed in parts: where each part is capable of being used/sold separately while other parts continue to be constructed, the cessation of capitalisation of borrowing costs should be assessed on the completion of each part; and where no part is capable of being used/sold separately until all the other parts have been completed, cessation should take place when the last part is completed.

4.6 Disclosure

The entity should disclose:

- the costs which have been capitalised in the current period; and
- the capitalisation rate used to determine the amount of borrowing costs eligible for capitalisation.

4.7 Judgements required

IAS 23 requires some significant judgements on the part of management, particularly in terms of how to define:

- 'A substantial period of time to get ready' which is a central part of the definition of a qualifying asset.
- The borrowing costs which are 'directly attributable' to work on the qualifying asset. In groups of companies with a central treasury function, it may be that some of the group borrowings are really attributable to activities other than the work on the qualifying asset.
- 'Activities necessary to prepare the qualifying asset'. This is central to identifying when capitalisation should commence.
- When 'substantially all the activities necessary… are complete', the point at which capitalisation should cease.

Professional skills focus: Applying judgement

IAS 23 distinguishes between general borrowings and those borrowings obtained purely to fund new PPE. This is one topic where the accounting treatment provided in a scenario may be subject to scrutiny and your appraisal in the exam. In the question, general borrowings may be capitalised in their entirety or the wrong interest rate may be used, perhaps with the intention to maximise profits. Ensure that you understand the definitions and can apply this technical knowledge to any given scenario.

5 Measurement of PPE after initial recognition

Section overview

After initial recognition, an item of PPE may be measured using:

- the cost model
- the revaluation model

5.1 The two models

IAS 16 sets out **two** models, **without expressing a preference** for either:

- The **cost model**. An item of PPE is carried at cost (ie, initial cost plus subsequent expenditure) less accumulated depreciation and impairment losses.
- The **revaluation model**. An item of PPE is carried at the revalued amount, being **fair value** less subsequent accumulated depreciation and impairment losses.

The choice of model is an accounting policy choice, which must be applied across an entire **class of PPE**.

5.2 Fair value

Fair value is determined in accordance with IFRS 13, *Fair Value Measurement* and is the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date. Various techniques may be used to determine fair value, however in the *Financial Accounting and Reporting* examination, where relevant, it will be given to you.

5.3 Frequency of valuations

Revaluations should be made with **sufficient regularity** to ensure that the **carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period**.

So, the frequency of the valuation **depends on the volatility of the fair values** of individual items of PPE. The more volatile the fair value, the more frequently revaluations should be carried out, in some cases annually.

The **maximum interval mentioned is five years**, but longer could be justified if movements were very small and slow.

The requirement for periodic revaluations is designed to **prevent companies from revaluing assets selectively**.

5.4 Classes of assets

Definition

Class of property, plant and equipment: A grouping of assets of a similar nature and use in an entity's operations.

Where an item of PPE is revalued, all other assets **in the same class** should also be revalued.

Again, this is designed to stop companies being selective about which items to revalue and to avoid financial statements including a mixture of costs and values for like items.

IAS 16 provides **examples** of separate classes including the following:

- land
- land and buildings
- machinery
- ships
- aircraft
- motor vehicles
- furniture and fixtures
- office equipment
- bearer plants

6 Depreciation

Section overview

- Depreciation is a means of allocating the depreciable amount of a non-current asset to profit or loss over the useful life of the asset. It is an application of the accruals (matching) principle.
- Each significant part of an item of PPE must be depreciated separately.

- Land should be accounted for separately from buildings.
- Residual values and useful lives must be reviewed annually. Any change must be treated as a change in accounting estimate.
- There are a number of different methods of depreciation:
  - straight-line method
  - diminishing balance method (= reducing balance)
  - units of production method

6.1 Objective of depreciation

Depreciation is an application of the **accrual concept**. Its objective is to charge to profit or loss the cost of using PPE in each period, so that at the end of its useful life the whole of the net cost has been written off.

Depreciation does not relate to the value of an asset as it is a cost-allocation concept, not a measure of value changes. An increase in the current value of an asset does not itself justify not depreciating that asset. The means of recognising an increase in value of an asset is to revalue the asset, which is a separate issue from depreciation.

Definitions

Depreciation: This is the systematic allocation of the depreciable amount of an asset over its useful life.

Depreciable amount: The cost of an asset, or other amount substituted for cost, less its residual value.

Useful life: This is:

- the period over which an asset is expected to be available for use by an entity; or
- the number of production or similar units expected to be obtained from the asset by an entity.

Note: Note that the useful life of an asset is not the same as its total economic life. For example, a well-maintained car might have an economic life of ten years, but if the company has a policy to replace its company cars every five years, the useful life of the car to the entity will be five years.

Residual value: The estimated amount an entity would currently obtain from disposing of the asset, after deducting the costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

6.2 Calculation and recognition

Each significant part of an item of PPE must be **depreciated separately**, although they may be grouped together for depreciation charge purposes if they have the same useful lives and depreciation methods. So an aircraft's engines will be depreciated separately from its airframe when they have different useful lives. This is a natural consequence of the initial process of analysing the cost of an asset over its component parts (see section 2 above).

Land and buildings are separable assets and **accounted for separately**, even when acquired together. Land usually has an infinite life, whereas buildings do not. So, **buildings are always depreciable assets, but land is not** unless it is used for a purpose such as landfill or quarrying and so has a finite life. If the initial cost of land includes a provision for dismantlement and

restoration (see section 3.2 above), then that part of its cost is depreciated over the period expected to benefit.

The **depreciation charge is recognised in profit or loss**, unless it can be included in the cost of an asset. The cost of inventories under IAS 2, *Inventories* includes depreciation charges on manufacturing PPE. Where PPE is used for development activities, the depreciation charge on the PPE is included in the cost of the intangible asset recognised in accordance with IAS 38, *Intangible Assets*.

Note: In the *Financial Accounting and Reporting* exam, you should assume that depreciation should be calculated on a monthly basis, pro rata, unless the question states otherwise.

Interactive question 3: Calculating depreciation

Using the costs from Interactive question 1 and assuming there are no residual values, calculate the annual depreciation charges for the facility.

Fill in the proforma below.

Annual charge re:

	CU
Safety inspection – Over three years	
Components to be replaced in eight years – Over eight years	
Remainder – Over 20 years	

See **Answer** at the end of this chapter.

6.3 Depreciable amount and depreciation period

The residual value and useful life of an asset must be reviewed **at least each year end**; any change is a change in **accounting estimate** and must be accounted for prospectively under IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*. The accounting policy remains one of depreciation, taking into account residual values and useful lives; all that changes are the estimates of these amounts.

Interactive question 4: Depreciation period

An asset has a cost of CU1,000, useful life of 10 years and residual value of CU200. At the beginning of year 3 of its life, the remaining useful life was revised to four years, the residual value being unchanged.

Requirement

Calculate the depreciation charge for each of years 1 to 3 on the straight-line basis. Fill in the proforma below.

	Year 1 **CU**	Year 2 **CU**	Year 3 **CU**
Cost			
Accumulated depreciation			
Carrying amount			
Charge for the year			

See **Answer** at the end of this chapter.

Notes

1. A change in residual value is dealt with in the same way as a change in useful life. Calculate the carrying amount immediately before the change, then calculate subsequent depreciation by taking account of the change in residual value. A change in useful life or residual value is always applied prospectively.
2. In accordance with accrual accounting, depreciation continues to be recognised even if fair value is greater than the carrying amount.
3. Depreciation is zero if residual value exceeds the carrying amount. The reason is that there is no longer a depreciable amount.

6.4 Commencement of depreciation

Depreciation should commence **when the asset is in the location and condition necessary for it to be capable of operating in the manner intended**. This is the case even if the asset is actually put into use at a later date. Depreciation continues **even if the asset lies idle**, for example as a result of a fall in market demand for its output. Depreciation **only ceases when the asset is derecognised**; the treatment of assets held for sale is dealt with below.

6.5 Factors affecting useful life

There are many factors affecting the useful life of an asset. These include:

- **expected usage** of the asset measured by reference to the asset's expected capacity or physical output;
- expected **physical wear and tear**;
- **technical or commercial obsolescence** arising from changes or improvements in production, or from a change in market demand; and
- **legal or similar limits** on the use of the asset, such as expiry dates of related leases.

These factors should be considered by management on the initial assessment of the asset's useful life and on each subsequent annual review.

6.6 Depreciation method

IAS 16 requires that a **systematic basis** should be used to allocate the depreciable amount over the asset's useful life; the method should reflect the **pattern in which the future economic benefits are consumed**. A number of methods are identified, which you should be familiar with from your *Accounting* studies:

- Straight-line method, whereby there is a constant charge each year, on the assumption that equal amounts of economic benefit are consumed in each year of the asset's life.
- Diminishing (or reducing) balance method, whereby the depreciation rate is applied to the opening carrying amount. This method, which charges more depreciation in the early years of an asset's life than in later years, could be appropriate in circumstances where over its life the asset becomes less capable of producing a high-quality product.
- Units of production method, whereby the charge is calculated by reference to the output each year as a proportion of the total expected output over the asset's useful life.

6.7 Change in method of depreciation

Depreciation methods must be reviewed at least **at each financial year end**. A change in the pattern of consumption of economic benefits may demand a change to the method. Any changes are **changes in an accounting estimate** and are accounted for **prospectively**. The

carrying amount of the asset is depreciated under the new method over the remaining useful life, beginning in the period in which the change is made in accordance with IAS 8.

Context example: Change in depreciation method

Bord plc has a 31 December year end. On 1 January 20X3 as part of its energy reduction strategy, Bord plc invested in energy-efficient machinery at a cost of CU100,000. The machinery was depreciated at 15% pa on the reducing balance basis. The residual value is nil.

On 31 December 20X6, the machine will be included in Bord plc's accounts at the following amount:

	CU
Cost	100,000
Accumulated depreciation	(47,800)
Carrying amount	52,200

During 20X7, the company decided to change the basis of depreciation to straight-line over a total life of 10 years, ie, six years remaining from 1 January 20X7.

$$\text{New annual charge from 20X7} = \frac{52{,}000}{6} = \text{CU8,700 pa}$$

6.8 Impairment in accordance with IAS 36

IAS 16 requires the provisions of IAS 36, *Impairment of Assets* to be applied.

IAS 36 is covered in more detail below. Any compensation received from third parties for impaired PPE is recognised in profit or loss (where the impairment loss is charged), not set against the cost of the PPE item.

7 Accounting for revaluations

Section overview

- Revaluation gains are recognised in other comprehensive income and form part of equity as a revaluation surplus.
- Revaluation losses are recognised as an expense in profit or loss unless they relate to an earlier revaluation surplus.
- After revaluation, depreciation is based on the revalued amount.
- An annual reserves transfer is allowed amounting to the excess of actual depreciation over the historical cost depreciation.

7.1 Increases in value

When the historical cost convention is used in accounting, assets are recorded at their original purchase cost. For many small businesses this is sufficient.

Non-current assets might have been purchased a long time ago, and risen in value over time, so that their historical cost (less accumulated depreciation) is no longer representative of the current value.

Non-current assets may therefore be revalued using the revaluation model**.** This new value is then depreciated over the remainder of the useful life.

The basic rule is that increases in value on a revaluation are recognised in other comprehensive income and form part of equity under the heading of revaluation surplus. The effect of this is that they:

- appear under 'other comprehensive income' in the statement of profit or loss and other comprehensive income;
- appear in the statement of changes in equity as part of 'total comprehensive income', and hence are part of total equity; and
- are not recognised in profit or loss.

The exception is that where such an increase reverses an earlier revaluation decrease on the same asset that was recognised in profit or loss (see section 7.3 below), then the surplus should be recognised in profit or loss, but only to the extent of the previous decrease. In practice, the surplus is treated so that the overall effect is the same as if the original downward revaluation recognised in profit or loss had not occurred. Any excess surplus is recognised in other comprehensive income as described above.

Professional skills focus: Structuring problems and solutions

In your exam, you may be given a scenario where an item of PPE has been revalued during the year. This may be an initial revaluation or increasing or decreasing a previous revaluation. It is vital that you understand the accounting treatment regarding revaluations and can apply it to different scenarios. In particular, pay attention to the date of revaluation and any existing balances on the revaluation surplus, especially if it is a decrease in value. A revaluation is not necessarily a straightforward adjustment, especially where there has been a previous increase in the valuation of the asset in question.

7.2 Accounting for increases in value

The commonly adopted method of accounting for upward revaluations to fair value is to **write the original cost to fair value** and **write back the accumulated depreciation to revaluation surplus**.

Journal entries for revaluation

(a) When undepreciated freehold land is revalued upwards, the journal entry increases the asset's cost to the revalued amount and creates a **revaluation surplus**.

		CUX	CU
DR	Freehold land – cost/valuation		
CR	Revaluation surplus (OCI)		X

(b) When assets which have been depreciated are revalued upwards, the journal entry adjusts the asset's cost to its new value and also removes the accumulated depreciation that has built up to date. Together these amounts total the credit to the revaluation surplus:

DR/CR	Building – cost/valuation (Note)	CUX	
DR	Building – accumulated depreciation	CUX	
CR	Revaluation surplus (OCI)		CUX

Note: Note that there may be a credit to the cost/valuation of the asset in a revaluation increase if the amount of accumulated depreciation written back exceeds the amount of the revaluation surplus.
You should remove (debit) the accumulated depreciation first before making the adjustment to cost/valuation.

(c) The **asset's** annual depreciation charge on the full amount after the revaluation is charged as an expense (the annual depreciation charge will rise after the revaluation, assuming there is no extension to the useful life):

DR	Profit or loss – depreciation on revalued amount	CUX	
CR	Accumulated depreciation		CUX

Worked example: Revaluation

Flower Ltd has two non-current assets.

Asset A was bought for CU1,400,000 some years ago and is now valued at CU4,500,000. This asset is not depreciated.

Asset B was bought for CU500,000 five years ago and has been depreciated at 10% on cost pa. It is now valued at CU800,000. There is no change to its useful life.

Requirement

Show the journals to record the asset revaluations and show the extracts from the statement of financial position for the non-current assets and the revaluation surplus.

Solution Asset A

		CU	CU
DR	Asset A – cost/valuation (CU4.5m – CU1.4m)	CU3,100,000	
CR	Revaluation surplus (OCI)		CU3,100,000

Asset B

		CU	CU
DR	Asset B – cost/valuation (CU800,000 – CU500,000)	300,000	
DR	Asset B – accumulated depreciation (CU500,000 × 10% × 5)	250,000	
CR	Revaluation surplus (OCI)		550,000

Statement of financial position (extract)

	CU
Property, plant and equipment (CU4,500,000 + CU800,000)	5,300,000
Revaluation surplus (CU3,100,000 + CU550,000)	3,650,000

Interactive question 5: Revaluation

On 1 January 20X2, a recycling machine has a carrying amount of CU100,000 and a remaining useful life of 10 years, with a nil residual value. The recycling machine is revalued on that date to CU50,000 and the loss is recognised in profit or loss.

The recycling machine is depreciated straight-line over the next five years, giving a carrying amount of CU25,000 at 31 December 20X6. Then, on 1 January 20X7 when the remaining useful life is the unexpired five years, the recycling machine is revalued to CU60,000.

Requirement

State how much of the revaluation surplus on 1 January 20X7 is recognised in other comprehensive income and how much is recognised in profit or loss.

See **Answer** at the end of this chapter.

7.3 Decreases in value

The basic rule is that decreases in value on a revaluation are **recognised as an expense** and charged to profit or loss.

The exception is where such a decrease **reverses an earlier revaluation increase** on the same asset that was recognised in other comprehensive income and is held in the revaluation surplus, then the **deficit should be recognised in other comprehensive income**, but only to the extent of the previous increase.

Context example: Revaluation decrease

A plot of land originally cost CU15,000. Two years ago it was revalued to CU20,000. Now the value has fallen to CU13,000.

When the land was originally revalued two years ago, the revaluation surplus of CU5,000 would have been recognised in other comprehensive income and accumulated in the revaluation surplus as part of equity.

The asset value has fallen by CU7,000, of which CU5,000 should reverse the previous revaluation surplus via other comprehensive income and the remaining CU2,000 should be recognised in profit or loss.

The double entry would be:

		CU	CU
DR	Revaluation surplus (OCI)	5,000	
DR	Profit or loss	2,000	
CR	Asset value		7,000

If the profit for the year before adjusting for this loss was CU57,000, the extracts from the financial statements would show the following.

Statement of profit or loss and other comprehensive income

	CU
Profit for the year (57,000 – 2,000)	55,000
Other comprehensive income:	
Loss on property revaluation	(5,000)
Total comprehensive income for the year	50,000

Statement of changes in equity

	Retained earnings	Revaluation surplus	Total
	CU	CU	CU
Total comprehensive income for the year	55,000	(5,000)	50,000

7.4 Depreciation of revalued assets

Where an asset has been revalued, **the depreciation charge is based on the revalued amount, less residual value, from the date of revaluation**. The asset's residual value should also be **re-estimated on revaluation**. In your exam, pay attention to the date of revaluation when calculating depreciation. It will be based on historic cost if revalued at the end of the year, or if the revaluation took place mid- year, then the depreciation will be based partially on historic cost and partially on revalued amount.

Definition

Residual value: The estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal if the asset were already of the age and in the condition expected at the end of its useful life.

Worked example: Revaluation and depreciation of non-current assets

Vann Ltd commenced trading on 1 January 20X1. On that date the company purchased a building for CU120,000 to be depreciated over 30 years with no residual value. Vann Ltd uses a revaluation model for buildings.

After five years of trading on 1 January 20X6, the building has a fair value of CU175,000. It still has a further 25 years of useful life remaining.

Requirement

Calculate the annual depreciation charge to profit or loss in each year of the asset's life, and the revaluation surplus as at 1 January 20X6.

Solution

Before the revaluation, the annual depreciation charge is CU4,000 pa on the building. This charge is made in each of the first five years of the asset's life.

The carrying amount of the asset will decline by CU4,000 pa, to CU120,000 less (5 × CU4,000) CU20,000 = CU100,000 at 31 December 20X5.

When the revaluation takes place, the amount of the revaluation is:

	CU
New asset value (to be shown in statement of financial position)	175,000
Carrying amount as at end of 20X5	(100,000)
Amount of revaluation	75,000

The carrying amount of the asset will be increased by CU75,000 to CU175,000 and CU75,000 recognised in other comprehensive income and accumulated in the revaluation surplus as part of equity.

The accumulated depreciation of CU20,000 built up over five years is no longer needed. On 1 January 20X6 we therefore:

		CU	CU
DR	Non-current asset cost (175,000 – 120,000)	55,000	
DR	Accumulated depreciation (entire balance)	20,000	
CR	Revaluation surplus (OCI)		75,000

After the revaluation, depreciation will be charged on the building at a new rate of:

$$\frac{\text{CU175,000}}{\text{25 years}} = \text{CU7,000 per year}$$

The carrying amount of the building will fall by CU7,000 per year over 25 years, from CU175,000 as at 1 January 20X6 to nil at the end of the 25 years, ie, it will have been fully depreciated.

The whole of the depreciation charge is **recognised in profit or loss**. None is recognised in other comprehensive income and consequently set against the revaluation surplus. However, IAS 16 **permits**, and it is best practice to make, **a transfer between reserves**, of the 'excess' depreciation arising as a result of the revaluation.

The overall effect is that the statement of profit or loss shows the economic benefit consumed, measured by reference to the revalued figure for the asset, but distributable profits (ie, those out of which dividends may be declared) are not affected by extra depreciation on revalued assets.

The transfer is recorded as follows:

Amount of transfer = actual depreciation charged less equivalent charge based on original historical cost of asset

Entry to record transfer:

DR	Revaluation surplus	X	
CR	Retained earnings		X

This transfer is shown in the statement of changes in equity.

Context example: Reserve transfer

An item of PPE was purchased for CU800,000 on 1 January 20X6. It is estimated to have a useful life of 20 years and is depreciated on a straight-line basis. On 1 January 20X8 the asset is revalued to CU850,000. The useful life is unchanged. (Ignore residual value.)

		CU
Actual depreciation for 20X8 based on revalued amount	850,000/18	47,222
Depreciation for 20X8 based on historical cost	800,000/20	(40,000)
Difference		7,222

In the statement of profit or loss for 20X8 a depreciation expense of CU47,222 will be charged. A reserve transfer, which will be shown in the statement of changes in equity, may be performed as follows:

	CU	CU
DR Revaluation surplus	7,222	
CR Retained earnings		7,222

The closing balance on the revaluation surplus on 31 December 20X8 will therefore be as follows:

	CU
Balance arising on revaluation (850 – 720)	130,000
Transfer to retained earnings	(7,222
	122,778

7.5 Disposal of revalued assets

This is dealt with in section 9.4 below.

8 Impairment of assets

Section overview

- An asset is impaired if its recoverable amount is less than its carrying amount.
- The recoverable amount is the higher of:
  - the asset's fair value less costs of disposal; and
  - its value in use.
- Internal and external sources provide indications of possible impairment.
- For assets held at historical cost an impairment loss should be charged to profit or loss.
- For assets held at a revalued amount the impairment loss is treated as a revaluation decrease.

8.1 Objective and scope of IAS 36, *Impairment of Assets*

Whenever an asset's recoverable amount falls to an amount less than its carrying amount, it is said to be impaired. Its carrying amount in the statement of financial position is therefore reduced to this recoverable amount and, in most cases, an expense is recognised in profit or loss. IAS 36 puts in place a detailed method for carrying out impairment reviews and related accounting treatments and disclosures.

IAS 36 applies to all assets apart from those specifically excluded from the standard. It most commonly applies to assets such as **property, plant and equipment** accounted for in accordance with IAS 16 and **intangible assets** accounted for in accordance with IAS 38, *Intangible Assets* (we will look at intangible assets in Chapter 6). The standard also applies to some financial assets, namely subsidiaries, associates and joint ventures. Impairments of all other financial assets are accounted for in accordance with IFRS 9, *Financial Instruments* the detail of which is outside your syllabus.

8.2 Basic principle

The basic principle underlying IAS 36 is relatively straightforward. If an asset's value in the financial statements is higher than its realistic value, measured as its 'recoverable amount', the asset is judged to have been **impaired**.

The value of the asset should be reduced by the amount of the **impairment loss**. This loss should be
charged to profit immediately.

The main accounting issues to consider are therefore as follows:

- How is it possible to **identify when** an impairment loss may have occurred?
- How should the **recoverable amount** of the asset be **measured**?
- How should an impairment loss be **reported in the financial statements**?

8.3 Indicators of impairment

An entity should assess at the end of each reporting period whether there are any indications of impairment to any assets. The concept of **materiality** applies, and only material impairment needs to be identified.

If there are indications of possible impairment, the entity is required to make a formal estimate of the **recoverable amount** of the assets concerned.

In assessing such indications of a possible impairment, IAS 36 requires an entity to consider, as a minimum, the following:

- **External sources of information**:
  - A fall in the asset's market value that is more significant than would normally be expected from passage of time over normal use.
  - A significant change in the technological, market, legal or economic environment of the business in which the assets are employed.
  - An increase in market interest rates or market rates of return on investments likely to affect the discount rate used in calculating value in use.
  - The carrying amount of the entity's net assets being more than its market capitalisation.
  - A change in government policy related to climate change, such as greenhouse gas reduction targets, which may affect the use of an asset or the operations of a business unit, leading to potential impairment.
- **Internal sources of information**:
  - Evidence of obsolescence or physical damage.
  - Adverse changes in the use to which the asset is put.
  - Indications that the economic performance of an asset is, or will be, worse than expected.
  - Company policies on sustainability practices that may impact on the use of certain assets (eg, a company commitment to reduce emissions may mean an asset can no longer be used or will be retired sooner than was planned).

Even if there are no indications of impairment, the following assets must **always** be tested for impairment annually:

- an intangible asset with an **indefinite useful life** or not yet available for use; and
- **goodwill** acquired in a business combination.

(Intangible assets are covered in Chapter 6.)

Professional skills focus: Concluding, recommending and communicating

Be aware of any indicators of impairment given in the scenario. You may be asked to explain, with supporting calculations, the appropriate treatment for accounting for an impairment of an asset. This may be in the form of communicating, in non-technical language, the reasoning behind the impairment as well as drafting revised extracts to the financial statements as appropriate.

8.3.1 *Current issues – stranded assets*

*The concept of '**stranded assets**' was coined to allow discussion around the potential impact of transitioning to a low-carbon economy on the value of an entity's assets, and therefore on the value of an entity's shares.*

Definition

***Stranded assets:** Stranded assets are assets that are economically stranded, having suffered from 'unanticipated or premature write-downs, devaluations or conversion to liabilities' (Smith School of Enterprise and the Environment, 2014).*

This can be caused by a range of environmental-related risks including:

- *Climate change*
- *New regulations*
- *Evolving social norms*
- *Litigation*

(ACA Sustainability Glossary)

The financial think tank, Carbon Tracker, describes stranded assets, in simple terms, as 'assets that turn out to be worth less than expected as a result of changes associated with the energy transition' (Carbon Tracker, 2017).

*The concept of stranded assets is relevant to accountants because assets that are at risk of 'stranding' are assets that are **potentially impaired**. Accountants need to consider whether the risk of stranding is an **indicator of impairment**, and if so, an impairment review should be conducted. Any asset which is considered impaired should be written down to its recoverable amount. The **useful life** of an asset may also be impacted. For example, an asset that is highly polluting may need to be replaced sooner than planned due to government emission reduction targets, therefore the useful life of the asset will be reduced.*

*In addition, the potential for an entity's assets to become stranded is a **climate-related transition risk.** Under the **TCFD** recommendations, a company should use scenario analysis to consider climate-related risks and make disclosure if material. **IFRS S2, Climate- related Disclosures** also requires consideration and disclosure of **transition risks**, including exposure to carbon-related industries. Accountants need to be able to work with sustainability experts to consider both the risk presented by stranded assets and the strategies that could be employed to prevent assets from becoming stranded.*

Context example: Stranded assets

A study published in 2021 in the journal Nature estimated that in order to keep to the Paris Agreement pledge to limit the global temperature increase to 1.5C, 60% of oil and natural gas and 90% of coal must remain unextracted (Welsby et al, 2021). Suppose that companies are

prevented from extracting their fossil fuel reserves, for example due to government regulation, the fossil fuel reserves effectively become worthless. Similarly, the assets required for extraction and processing – such as drills, rigs, processing plants and pipelines – would become useless. The fossil fuel reserves and associated infrastructure are therefore potential stranded assets.

8.4 Measuring the recoverable amount of the asset

Definitions

Recoverable amount of an asset: Is the **higher** of:

- its fair value less costs of disposal; and
- its value in use.

Costs of disposal: Incremental costs directly attributable to the disposal of an asset or cash generating unit excluding finance costs and income tax expense.

8.4.1 Fair value less costs of disposal

Examples of costs of disposal are legal costs, stamp duty and the cost of removing the asset.

Selling costs cannot include any **restructuring or reorganisation expenses**, or any costs that have already been recognised in the financial statements as liabilities.

8.4.2 Value in use

An asset's fair value less costs of disposal is compared with its **value in use** in order to determine the recoverable amount (see above). Value in use is measured as the present value of the future cash flows expected to be derived from an asset.

The detailed guidance provided as to how to arrive at this value is not in the syllabus, but the following general points should be noted:

- Calculations should be based on **reasonable and supportable assumptions**.
- Projections should be based on the **most recent budgets etc approved by management** over a **maximum of five years**, unless a longer period can be justified.
- **Inflows and outflows should be estimated separately**, based upon the asset's current condition (so ignoring the benefits of restructurings not committed to and future performance enhancements).
- Financing and tax costs should be **excluded**.
- Account should be taken of net cash flows expected to arise on the asset's **ultimate disposal**.

Note the practical point that **if one of the two elements in the recoverable amount has been estimated as in excess of the asset's carrying amount, then the asset is not impaired and there is no need to estimate the value of the other element**. So if fair value less costs of disposal exceeds carrying amount, as it well might in the case of freehold and leasehold properties, then there is no need to estimate value in use. This is useful in relation to assets for which there is an active market, **because fair values can be estimated quickly and cheaply**.

8.5 Accounting treatment of impairments

If the recoverable amount of an asset is less than the carrying amount, the difference is the impairment loss.

It should be described as such in the financial statements but the accounting treatment is similar to increases and decreases arising on a revaluation (see section 7 above) whereby:

- An impairment loss **for assets at a historical cost** is recognised in the same way as **a decrease on revaluation ie, as an expense** in profit or loss.
- If the impairment loss relates to **an asset that has previously been revalued**, then it is treated as a **revaluation decrease** and not as an impairment loss. So in line with section 7.3 above it can first be set against any balance relating to the same asset standing on the revaluation surplus, with any excess being recognised in profit or loss.
- Depreciation charges in future accounting periods are calculated based on **the revised carrying amount**, less residual value, spread over the asset's remaining useful life.

In certain circumstances impairment losses incurred in one accounting period may be reversed in a later period, but the relevant rules are outside the scope of the *Financial Accounting and Reporting* syllabus.

Context example: Impairment

The following details relate to a freehold property:

	CU
Carrying amount (at date of revaluation)	1,000,000
Revalued to	1,600,000
Amount recognised in the revaluation surplus	600,000
Current carrying amount	1,500,000
Fair value less costs of disposal	600,000
Value in use	800,000

The recoverable amount of the asset is CU800,000 (ie, the higher of fair value less costs of disposal and value in use).

An impairment loss of CU700,000 has occurred (1,500,000 – 800,000) The impairment will be accounted for as follows:

		CU	CU
DR	Revaluation surplus (OCI)	600,000	
DR	Profit or loss	100,000	
CR	Property (carrying amount)		700,000

8.6 Disclosure

For all impairments, disclosure must be made for **each class of assets** of:

- the amount of any impairment loss recognised in profit or loss and the line item where it has been included; and
- the amount of impairment losses recognised on revalued assets recognised in other comprehensive income.

If an impairment loss for **an individual asset is material to the financial statements** as a whole, there must be **additional disclosure** of:

- the events that led to the recognition of the loss;

- the amount;
- the nature of the asset;
- whether the recoverable amount is fair value less costs of disposal or value in use;
- how fair value less costs of disposal is determined in accordance with IFRS 13 (where the recoverable amount is fair value less costs of disposal); and
- the discount rate used in the current estimate and any previous estimate of value in use (where the recoverable amount is value in use).

If impairment losses are **material only in aggregate**, then a **reduced** amount of additional information should be given. The following details must be disclosed:

- The main classes of assets affected by impairment losses; and
- The main events and circumstances that led to the recognition of these impairment losses.

9 Derecognition of property, plant and equipment (PPE)

Section overview

- PPE disposed of should be removed (derecognised) from the statement of financial position and a gain or loss on disposal recognised in profit or loss.
- When the decision is made to sell a non-current asset, it may be classified as 'held for sale' if IFRS 5 criteria are met.
- An asset held for sale is measured at the lower of:
  - Its carrying amount
  - Its fair value less costs to sell
- No depreciation is charged on a held for sale asset.

9.1 General rule

An item of PPE shall be **removed from the statement of financial position** (ie, derecognised) when it is **disposed** of or when **no future economic benefits** are expected from its use or disposal (ie, **it is abandoned**).

The gain or loss on the disposal of an item of PPE is **included in the profit or loss** of the **period in which the derecognition occurs**. The gain or loss is calculated as the difference between the net sale proceeds and the carrying amount. Gains may not be included in revenue in the statement of profit or loss but are instead included as other income or netted off against expenses. Any balance on the revaluation surplus in respect of PPE disposed of should be released to retained earnings on disposal.

The process of selling an item of PPE involves the following stages:

- making the decision to sell the item;
- putting the item on the market, agreeing the selling price and negotiating the contract for sale; and
- completing the sale.

The issue is at what stage through this process should any gain or loss on the sale be recognised. These matters are dealt with in IFRS 5 and there are different required treatments depending on whether the item of PPE is measured under the cost model or the revaluation model.

9.2 Classification as held for sale

In order for an asset to be classified as held for sale, detailed criteria must be met:

- the asset must be **available for immediate sale** in its present condition; and
- its sale must be **highly probable** (ie, significantly more likely than probable).

For the sale to be highly probable:

- management must be **committed** to a plan to sell the asset;
- there must be an active programme to **locate a buyer**;
- the asset must be marketed for sale at **a price that is reasonable** in relation to its current fair value;
- the sale should be expected to take place **within one year** from the **date of classification**; and
- it is unlikely that significant changes to the plan will be made or that the plan will be **withdrawn**.

Notes

1 An asset can still be classified as held for sale, even if the sale has not actually taken place within one year. However, the delay must have been caused by events or circumstances beyond the entity's control and there must be sufficient evidence that the entity is still committed to sell the asset.

2 If the end of a reporting period intervenes between the classification as held for sale and the final disposal, fair value less costs to sell may have fallen below or risen above the figure used on original classification. Any fall is accounted for as a further impairment loss, while any rise goes to reduce the amount of the original impairment loss but cannot write the asset's carrying amount above its original level.

3 The rules for disposal groups (where an operation comprising assets and liabilities is being sold) fall outside the scope of the *Financial Accounting and Reporting* syllabus.

9.3 Assets held for sale – cost model

Following the principle that any loss should be recognised immediately but any gain should only be recognised when it is realised, IFRS 5's requirements in respect of PPE measured under the cost model are as follows:

- A non-current asset held for sale is measured at the lower of:
  - its **carrying amount**; and
  - its **fair value less costs to sell** (ie, its net selling price).

The effect is that any loss (ie, where the former value exceeds the latter) is recognised at the time of classification as held for sale. But any gain (ie, where the latter value exceeds the former) is not; instead it is recognised according to the general rule in section 9.1 above.

- A non-current asset held for sale **is presented separately from all other assets** in the statement of financial position. IFRS 5 does not specify where this 'separate presentation' should be made, but these learning materials follow the IASB's (non-mandatory) guidance on implementing IFRS 5 by presenting it immediately below the sub-total for current assets.

- **No depreciation is charged** on a held for sale asset. The new valuation basis of fair value less costs to sell approximates to residual value, so there is now no depreciable amount.
- **The loss is an impairment loss**, dealt with in the same way as other impairment losses under IAS 36.

On ultimate disposal, any difference between carrying amount and disposal proceeds is treated **as a loss or gain under IAS 16**, not as a further impairment loss or reversal of the original impairment loss.

If the end of a reporting period intervenes between the classification as held for sale and the final disposal, fair value less costs to sell may have fallen below or risen above the figure used on original classification. Any fall is accounted for as a further impairment loss, while any rise goes to reduce the amount of the original impairment loss but cannot write the asset's carrying amount above its original level.

Interactive question 6: Asset held for sale I

An item of PPE was acquired on 1 January 20X5 at a cost of CU100,000. A residual value of CU10,000 and a useful life of 10 years was assumed for the purpose of depreciation charges.

On 1 January 20X8 the asset was classified as held for sale. Its fair value was estimated at CU40,000 and the costs to sell at CU2,000.

The asset was sold on 30 June 20X8 for CU38,000.

Requirements

6.1 Prepare, using the proforma below, an extract from the PPE table for 20X8 relating to the asset held for sale.

	CU
Cost or valuation:	
At 1 January 20X8	
Classified as held for sale	
At 31 December 20X8	
Depreciation:	
At 1 January 20X8	
Impairment loss	
Classified as held for sale	
At 31 December 20X8	

6.2 Show, using the proforma below, the journal entry to record the classification as held for sale.

Journal entries to record the classification as held for sale

Recognising the impairment

		CU	CU
DR	Profit or loss		
CR	PPE – accumulated depreciation		

Classification as held for sale

		CU	CU
DR	Non-current assets held for sale		
DR	PPE – accumulated depreciation		
CR	PPE – cost		

Calculate the amount that would be presented in the statement of profit or loss for the year ended 31 December 20X8.

6.3 Explain how the answer would change if the sales proceeds on 30 June 20X8 were CU32,000. See **Answer** at the end of this chapter.

Interactive question 7: Asset held for sale II

These facts are as detailed in Interactive question 6, except that on classification as held for sale, the fair value was estimated at CU80,000 and the costs to sell at CU3,000.

The asset was sold on 30 June 20X8 for CU77,000.

Requirements

7.1 Show the journal entry to record the classification as held for sale. Fill in the proforma below.

Journal entry to record the classification as held for sale

		CU	CU
1 January 20X8			
DR	PPE – accumulated depreciation		
DR	Non-current assets held for sale		
CR	PPE – cost		

As fair value less costs of disposal is greater than carrying amount, there is no impairment loss at the time of classification.

7.2 Show the entry in the statement of profit or loss for the year ended 31 December 20X8. Fill in the proforma below.

Statement of profit or loss for the year ended 31 December 20X8

	CU
Gain on disposal of non-current assets held for sale	

See **Answer** at the end of this chapter.

9.4 Disposal of PPE measured under the revaluation model

For an item of PPE measured after recognition under the revaluation model and subsequently classified as held for sale, there is a different accounting treatment of the difference between carrying amount and fair value less costs to sell at the time of classification:

- Consistently with the accounting policy chosen, the asset must be **revalued to fair value** under IAS 16 **immediately before the classification**.

- 'Revaluation' means that **either a gain or loss will be recognised** (whereas, as explained in section 9.2, for assets measured under the cost method, only a loss is recognised at the time of classification). If the previous carrying amount is greater than fair value, there will be a loss; if it is less than fair value, there will be a gain.
- Such a gain or loss is dealt with under IAS 16 (see section 7 above), so **a gain is recognised in other comprehensive income and accumulated in revaluation surplus** (except to the extent it reverses a loss previously charged to the profit or loss) and **a loss in profit or loss** (except to the extent it reverses a gain previously recognised in other comprehensive income and held in revaluation surplus).
- Once revalued in this way, the measurement is then adjusted to the normal basis for held for sale assets, so fair value less costs to sell. The effect is that the **costs to sell are immediately recognised in profit or loss as an impairment loss**.

Interactive question 8: Disposal of revalued PPE

Land, which is not depreciated, was acquired on 1 January 20X2 at a cost of CU200,000 and revalued to CU250,000 on 1 January 20X5. On 1 January 20X8 the asset was classified as held for sale. Its fair value was estimated at CU235,000 and the costs to sell at CU5,000.

Requirements

8.1 Show the journal entry to record the revaluation on 1 January 20X5.

Fill in the proforma below.

Journal entry to record the revaluation

1 January 20X5	**CU**	**CU**
DR PPE – at valuation		
CR Revaluation surplus		

8.2 Show the journal entry to record the classification as held for sale on 1 January 20X8.

Fill in the proforma below.

Journal entry to record the classification as held for sale

1 **January 20X8**	**CU**	**CU**
DR Non-current assets held for sale – FV less costs of		
disposal DR Profit or loss – costs of disposal		
DR Revaluation surplus (OCI)		
CR PPE – at valuation		

See **Answer** at the end of this chapter.

9.5 Disposal and gains held in revaluation surplus

If there is still a credit balance on the revaluation surplus relating to an asset that has been disposed of, this balance should be **transferred to retained earnings as a reserve transfer** (the same treatment and presentation as for the reserve transfer in respect of extra depreciation).

The accounting entry is:

DR	Revaluation surplus	CUX	
CR	Retained earnings		CUX

Interactive question 9: Summary

On 1 January 20X1, Tiger Ltd bought a wind turbine to help generate power for its factory for CU120,000. The wind turbine has an estimated useful life of 20 years with no residual value. Tiger Ltd depreciates its non-current assets on a straight-line basis. Tiger Ltd's year-end is 31 December.

On 31 December 20X3, the wind turbine will be carried in the statement of financial position as follows:

	CU
Property, plant and equipment at cost	120,000
Accumulated depreciation (3 × (120,000 ÷ 20))	(18,000)
	102,000

On 1 January 20X4, the turbine is revalued to CU136,000. The total useful life remains unchanged.

On 1 January 20X8 the turbine is classified as held for sale, its fair value being CU140,000 and its costs to sell CU3,000. On 1 May 20X8 the asset is sold for CU137,000.

Requirements

9.1 Show the journal to record the revaluation.

9.2 Calculate the revised depreciation charge and show how it would be accounted for, including any permitted reserve transfers.

9.3 Show the journal to record the classification as held for sale.

9.4 Explain how these events will be recorded in the financial statements for the year ended 31 December 20X8.

See **Answer** at the end of this chapter.

9.6 Abandonment of non-current assets

All these requirements within IFRS 5 which we have looked at so far apply to non-current assets classified as held for sale because their carrying amounts will be recovered principally through a sale transaction. They **do not apply to non-current assets which are to be abandoned**, for example by being scrapped. Because there will be no sales proceeds, any recovery of the carrying amounts of such assets will principally be through continued use.

Such assets continue to be measured and presented under IAS 16, with the effect that:

- the assets remain **classified within their existing non-current asset category**;
- **depreciation charges continue to be recognised**; and
- any **profit or loss on abandonment is recognised at the time of abandonment** rather than at the (usually earlier) time of the decision to abandon them.

IAS 16, not IFRS 5, also applies to the measurement and presentation of an asset taken out of use but not scheduled for disposal; this might be the case if demand for its outputs has temporarily fallen away.

10 Disclosures

Section overview

IAS 16 requires a number of detailed disclosures.

10.1 IAS 16 requirements

As might be expected for items frequently that form such a large part of the statement of financial position and where management has to make so many important judgements (eg, re residual values and useful lives), the financial statements disclosure provisions are wide-ranging. All of the following must be shown for each class of PPE by way of note:

- the measurement basis used (either cost model or revaluation model)
- the depreciation methods
- the useful lives or depreciation rates
- gross carrying amounts and accumulated depreciation at the start and end of the period
- a reconciliation of the net carrying amounts at the start and end of the period by reference to:
  - additionsdisposals
  - depreciation
  - acquisitions through business combinations
  - the effects of revaluations
  - impairment lossesx
  - exchange differences
  - other changes eg, assets classified as held for sale
- details of assets pledged as security for loans and of contractual commitments to acquire PPE
- changes in accounting estimates in accordance with IAS 8
- for assets which have been revalued:
  - the effective date(s)
  - whether an independent valuer was involved
  - the carrying amount under the cost model
  - the total revaluation surplus, together with any movements in the period

The PPE disclosures are mainly satisfied by presenting a table which reconciles opening to closing cost/value, accumulated depreciation and carrying amount for each class of assets. Additional notes are then added regarding the depreciation rates, amounts pledged as security and revaluations.

Context example: Property, plant and equipment disclosure note

Consider the following Property, plant and equipment disclosure note table presented in the financial statements of BT Group as at 31 March 2021:

14. Property, plant and equipment

Significant accounting policies that apply to property, plant and equipment

Our property, plant and equipment is included at historical cost, net of accumulated depreciation, government grants and any impairment charges. Property, plant and equipment acquired through business combinations are initially recorded at fair value and subsequently accounted for on the same basis as our existing assets. We derecognise items of property, plant and equipment on disposal or when no future economic benefits are expected to arise from the continued use of the asset. The difference between the sale proceeds and the net book value at the date of disposal is recognised in operating costs in the income statement.

Included within the cost of network infrastructure and equipment are direct and indirect labour costs, materials and directly attributable overheads.

We depreciate property, plant and equipment on a straight line basis from the time the asset is available for use, to write off the asset's cost over the estimated useful life taking into account any expected residual value. Freehold land is not depreciated.

Estimated useful economic lives

The estimated useful lives assigned to principal categories of assets are as follows:

Land and buildings	
- Freehold buildings	14 to 50 years
- Short-term leasehold improvements	Shorter of 10 years or lease term
- Leasehold land and buildings	Unexpired portion of lease or 40 years, whichever is the shorter
Network infrastructure	
Transmission equipment	
- Duct	40 years
- Cable	3 to 25 years
- Fibre	5 to 20 years
Exchange equipment	2 to 13 years
Other network equipment	2 to 20 years
Other assets	
- Motor vehicles	2 to 9 years
- Computers and office equipment	3 to 7 years

Residual values and useful lives are reassessed annually and, if necessary, changes are recognised prospectively.

Network share assets

Certain assets have been contributed to a network share arrangement by both EE and Hutchison 3G Limited, with legal title remaining with the contributor. This is considered to be a reciprocal arrangement. Our share of the assets on acquisition of EE were recognised at fair value within tangible assets, and depreciated in line with policy. Subsequent additions are recorded at cost.

Impairment of property, plant and equipment

We test property, plant and equipment for impairment if events or changes in circumstances (assessed at each reporting date) indicate that the carrying amount may not be recoverable. When an impairment test is performed, we assess the recoverable amount by reference to the higher of the net present value of the expected future cash flows (value in use) of the relevant asset and the fair value less costs to dispose. If it is not possible to determine the recoverable amount for the individual asset then we assess impairment by reference to the relevant cash generating unit as described in note 13.

Building Digital (BD) government grants

We receive government grants in relation to the BD programme and other rural superfast broadband contracts. Where we have achieved certain service levels, or delivered the network more efficiently than anticipated, we have an obligation to either re-invest or repay grant funding. Where this is the case, we recognise deferred income in respect of the funding that will be re-invested or repaid, and make a corresponding adjustment to the carrying amount of the related property, plant and equipment.

Assessing the timing of whether and when we change the estimated take-up assumption is judgemental as it involves considering information which is not always observable. Our consideration on whether and when to change the base case assumption is dependent on our expectation of the long-term take-up trend.

Our assessment of how much grant income to defer includes consideration of the difference between the take-up percentage agreed with the local authority and the likelihood of actual take-up. The value of the government grants deferred is disclosed in note 18.

	Land and buildings CUm	Network infrastructure CUm	Other CUm	Assets in course of construction CUm	Total CUm
Cost					
At 1 April 2019	1,026	51,893	1,722	1,191	55,832
Additions	7	83	69	2,978	3,137
Transfers	25	3,244	17	(3,295)	(9)
Disposals and adjustments	(55)	(1,132)	(130)	42	(1,275)
Transfer to assets held for sale	(69)	(255)	(24)	–	(348)
Exchange differences	11	60	8	–	79
At 31 March 2020	945	53,893	1,662	916	57,416
Additions[b]	10	(65)	69	3,401	3,415
Transfers	32	3,123	141	(3,305)	(9)
Disposals and adjustments	(19)	(2,209)	(333)	(21)	(2,582)
Exchange differences	(22)	(146)	(19)	(1)	(188)
At 31 March 2021	946	54,596	1,520	990	58,052
Accumulated depreciation					
At 1 April 2019	673	36,052	1,371	–	38,096
Charge for the year	49	2,318	85	–	2,452
Transfers	1	–	(1)	–	–
Disposals and adjustments	(68)	(1,128)	(91)	–	(1,287)
Transfer to assets held for sale	(55)	(216)	(22)	–	(293)
Exchange differences	10	54	8	–	72
At 31 March 2020	610	37,080	1,350	–	39,040

	Land and buildings CUm	Network infrastructure CUm	Other CUm	Assets in course of construction CUm	Total CUm
Charge for the year	41	2,282	137	–	2,460
Transfers	(1)	2	(1)	–	–
Disposals and adjustments	(20)	(2,209)	(332)	–	(2,561)
Exchange differences	(18)	(133)	(17)	–	(168)
At 31 March 2021	612	37,022	1,137	–	38,771
Carrying amount					
At 31 March 2020	335	16,813	312	916	18,376
Engineering stores	–	–	–	98	98
Total at 31 March 2020	335	16,813	312	1,014	18,474
At 31 March 2021	334	17,574	383	990	19,281
Engineering stores	–	–	–	116	116
Total at 31 March 2021	334	17,574	383	1,106	19,397

a. Other mainly comprises motor vehicles, computers and fixtures and fittings.

b. Net of government grants of CU21m (2019/20: CU98m).

c. Fully depreciated assets in the group's fixed asset registers were reviewed during the year, as part of the group's annual asset verification exercise, and certain assets that were no longer in use have been written off, reducing cost and accumulated depreciation by CU2.3bn (2019/20: CU0.7bn). Disposals and adjustments include adjustments resulting from changes in assumptions used in calculating lease-end obligations where the corresponding asset is capitalised.

d. Transfers to assets held for sale during 2019/20 relate to our domestic operations in France, our domestic operations in Spain and selected domestic operations and infrastructure in 16 countries in Latin America. On reclassification to held for sale, assets associated with the France and Latin America disposals were impaired by CU18m. See note 23.

Included within the above disclosure are assets used in arrangements which represent core business activities for the group and which meet the definition of operating leases:

- CU13,032m (2019/20: CU12,284m) of the carrying amount of the network infrastructure asset class represents Openreach's network infrastructure. The majority of the associated assets are used to deliver fixed-line telecommunications services that have been assessed as containing operating leases, to both internal and external Communications Providers.
- Other assets includes devices with a carrying amount of CU128m (2019/20: CU33m) that are made available to retail customers under arrangements that contain operating leases.

The carrying amount of land and buildings, including leasehold improvements, comprised:

At 31 March	2021 CUm	2020 CUm
Freehold	123	105

Leasehold	211	230
Total land and buildings	334	335

Network infrastructure

Some of our network assets are jointly controlled by EE Limited with Hutchison 3G Limited. These relate to shared 3G network and certain elements of network for 4G rural sites. The net book value of the group's share of assets controlled by its joint operation MBNL is CU625m (2019/20: CU600m) and is recorded within network infrastructure. Included within this is CU95m (2019/20: CU112m), being the group's share of assets owned by its joint operation MBNL.

Within network infrastructure are assets with a net book value of CU10.3bn (2019/20: CU10bn) which have useful economic lives of more than 18 years.

There are further, voluntary disclosures. These include:

- the carrying amount of temporarily idle PPE;
- the gross carrying amount of any fully depreciated PPE that is still in use;
- the carrying amount of PPE retired from active use and not classified as held for sale in accordance with IFRS 5; and
- when the cost model is used, the fair value of PPE when this is materially different from the carrying amount.

Interactive question 10: Disclosure

	Cost	Accumulated depreciation
	CU	CU
Freehold property	1,000,000	300,000
Plant and machinery	700,000	330,000
Fixtures and fittings	300,000	180,000

(1) RSBH Ltd's statement of financial position at its year end 31 December 20X6 includes the property, plant and equipment amounts as shown in the table above.

(2) On 1 January 20X7 RSBH Ltd revalued its existing freehold property to its market value of CU1.2 million and bought additional freehold property at a cost of CU100,000. As a result of no depreciation being charged on the land element, the effective rate of depreciation is 2% pa on cost/valuation, assuming no residual value.

(3) On 1 April 20X7 RSBH Ltd classified as held for sale a machine with an original cost of CU360,000 and a carrying amount at 31 December 20X6 of CU100,000. The machine's fair value at 1 April 20X7 was estimated at CU80,000 with CU5,000 costs to sell. The company also bought new energy- efficient plant and machinery at a cost of CU400,000. Depreciation is to be charged at the rate of 10% pa on cost, assuming no residual value.

(4) On 1 July 20X7 RSBH Ltd refurbished its offices, scrapping inefficient windows and heating systems and replacing them with more energy-efficient versions. The scrapped fixtures and fittings had an original cost of CU40,000 and accumulated depreciation at 31 December 20X6 of CU25,000 and the new fixtures and fittings cost CU80,000. Depreciation is to be charged at 15% pa on cost, assuming no residual value.

Requirement

Prepare the note showing the movements on property, plant and equipment, including accumulated depreciation, which would be included in the financial statements of RSBH Ltd for the year ended 31 December 20X7.

See **Answer** at the end of this chapter.

11 Ethical and judgement issues

Section overview

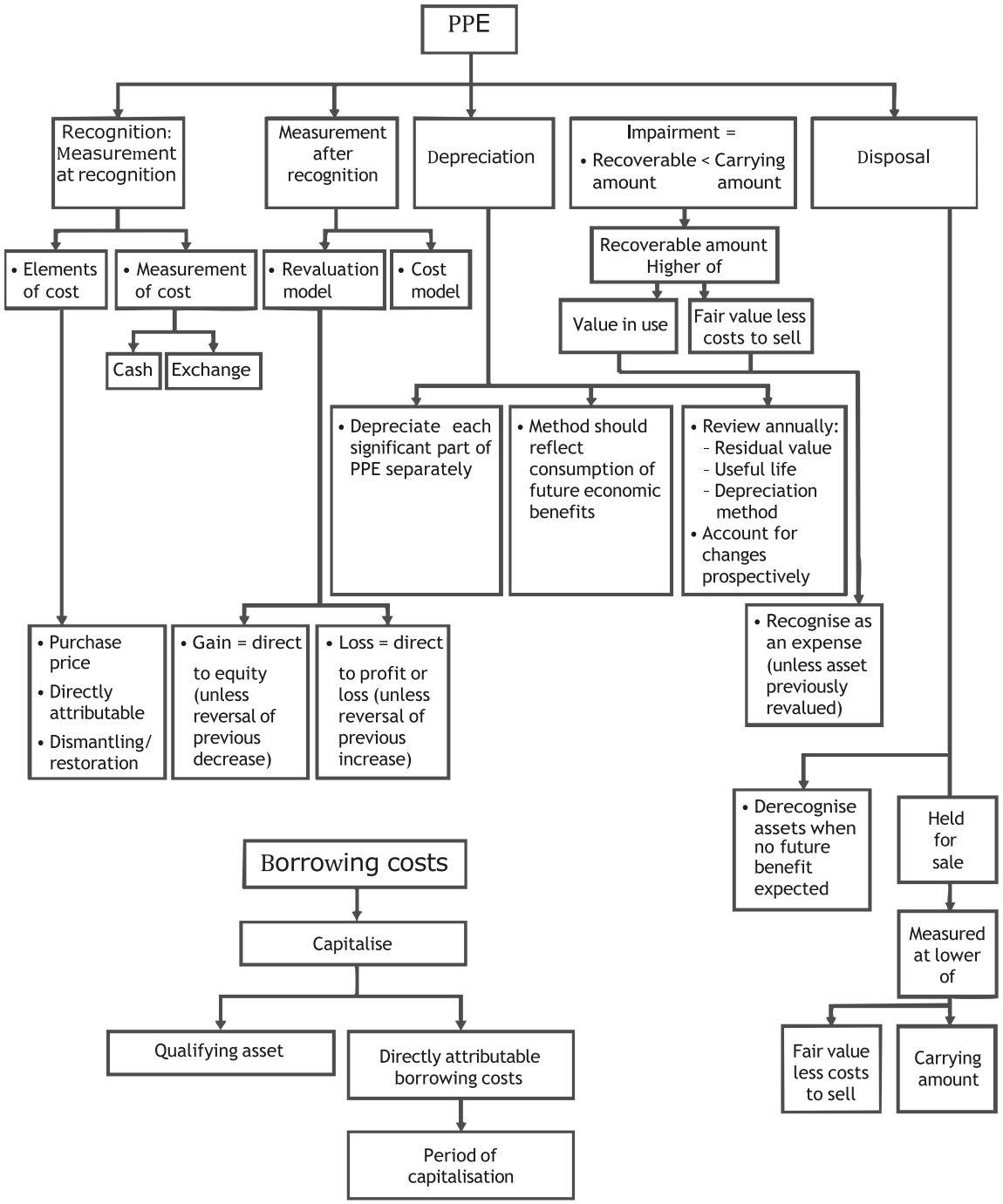
There are various points of judgement when accounting for property, plant and equipment that may give scope for the manipulation of the carrying amount of assets and the profit for the period.

Consider the impact of the following decisions made by accountants:

- Determining the useful life of the asset and its residual value will impact on the carrying amount of the PPE (under the cost model) and the depreciation charged to profit or loss
- Deciding whether to subsequently measure the PPE under the cost model or revaluation model will also impact on the carrying amount of assets and profit or loss
- Determining whether an asset meets the definition of a qualifying asset and determining the point at which capitalisation of borrowing costs should commence and cease
- Assessing whether there is objective evidence of impairment and if so, determining the recoverable amount of the asset

It is important that professional judgement is exercised and that the professional accountant is competent in the application of IFRS Accounting Standards for PPE and borrowing costs.

Summary


PPE
Recognition: Measurement at recognition
Measurement after recognition
Depreciation
Impairment =
• Recoverable < Carrying amount amount
Disposal
• Elements of cost
• Measurement of cost
• Revaluation model
• Cost model
Recoverable amount Higher of
Value in use
Fair value less costs to sell
Cash
Exchange
• Depreciate each significant part of PPE separately
• Method should reflect consumption of future economic benefits
• Review annually:
- Residual value
- Useful life
- Depreciation method
• Account for changes prospectively
• Purchase price
• Directly attributable
• Dismantling/ restoration
• Gain = direct to equity (unless reversal of previous decrease)
• Loss = direct to profit or loss (unless reversal of previous increase)
• Recognise as an expense (unless asset previously revalued)
• Derecognise assets when no future benefit expected
Held for sale
Measured at lower of
Fair value less costs to sell
Carrying amount
Borrowing costs
Capitalise
Qualifying asset
Directly attributable borrowing costs
Period of capitalisation

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you state the **two criteria** which must be satisfied in order to recognise the cost of an item of PPE as an asset? (Topic 2)
2.	Can you apply the basic principles of the **initial measurement** of an item of PPE? (Topic 3)
3.	Can you account for a **revaluation** of an item of PPE? (Topic 4)
4.	Can you account for **depreciation** when the useful life or residual value of an item of PPE has changed? (Topic 5)
5.	Can you explain under which circumstances an item of PPE may be **impaired**, and how to account for this impairment? (Topic 8)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Lydd Ltd	This question requires you to account for a change in the useful life of an asset, and subsequent depreciation.
Propane plc	This question tests your knowledge of the accounting required for the impairment of assets under IAS 36.
Apollo Ltd	This asset is reclassified as being held for sale under IFRS 5, testing your basic knowledge of the accounting treatment.
Arnold Ltd	A more complex question requiring a revaluation followed by the asset being held for sale.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
Litton plc	This question requires the preparation of extracts from the financial statements, including a number of PPE issues (held for sale, component assets, revaluation, impairment). Nickleby plc (issue 1 Issue 1 requires you to explain the application of borrowing costs to the and issue 4 only) scenario. Issue 4 asks for explanation regarding revaluation of PPE.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

IAS 16	All examinable
IAS 23	References to suspension of capitalisation are not examinable
IAS 36	Paragraphs 1–64 (excluding paragraph 54), 126–128, and 130–131 are examinable. The Appendices are not examinable
IFRS 5	References to disposal groups and implementation guidance (except paragraphs 11 and 12) are not examinable

The paragraphs listed below are the key references you should be familiar with.

1 Property, plant and equipment recognition

- Recognise items of PPE, provided future economic benefits and reliable measurement of cost – **IAS 16 (7)**
  - Initial costs to acquire or construct – **IAS 16 (10)**
  - Subsequent costs to add to, replace part of, or service
- Separate into components, with different lives eg, inspections – **IAS 16 (13)**

2 Measurement at recognition

- At cost – **IAS 16 (15)**
  - Purchase price – **IAS 16 (16)**
  - Costs directly attributable to bringing asset into location and condition necessary for it to be capable of working as intended, including testing – **IAS 16 (16–17)**
  - Costs to dismantle/restore – **IAS 16 (16)**
- Some costs excluded because not directly attributable or after item is capable of working as intended, eg, abnormal costs, general overheads, initial losses, internal profits – **IAS 16 (19–22)**
- Proceeds of testing presented in profit or loss – **IAS 16 (20A)**
- Can include interest – **IAS 16 (22)**

3 Measurement after recognition

- Choice of model: cost or revaluation to fair value – **IAS 16 (29–31)**
- Frequency: to ensure carrying amount not materially different from updated fair value – **IAS 16 (31)**
  - Maximum interval five years? – **IAS 16 (34)**
- All assets in a single class must be treated in the same way – **IAS 16 (36)**

4 Accounting for revaluations

- Gain recognised in other comprehensive income and accumulated in equity as part of revaluation surplus, so in statement of changes in equity – if reverse previous decrease, take to profit or loss to extent of that decrease – **IAS 16 (39)**

- Loss direct to profit or loss – if reverse previous increase, recognised in other comprehensive income and reduce revaluation surplus to extent of that increase – **IAS 16 (40)**
- Depreciation charge based on revalued amount
- Annual reserve transfer re excess of actual depreciation over historical cost depreciation – **IAS 16 (41)**

5 Depreciation

- Each significant part of PPE item depreciated separately – **IAS 16 (43)**
- Charge to profit or loss, unless included in inventory, construction contract or other PPE – **IAS 16 (48)**
- Depreciate depreciable amount (ie, cost less residual value (RV)) over estimated useful life (UL) – **IAS 16 (6)**
  - RV is current estimate of disposal proceeds, net of disposal costs, if item already of the age and in condition expected at the end of UL – **IAS 16 (6)**
  - UL is period over which asset expected to be available for use, commencing with when asset is available for use – **IAS 16 (6 and 55)**
- Method should allocate depreciable amount systematically over useful life, so as to reflect consumption of future economic benefits – **IAS 16 (60–61)**
- Annual reviews of RVs, ULs and depreciation methods – **IAS 16 (51 and 61)**
  - Any changes accounted for prospectively – **IAS 16 (51 and 61)**

6 Derecognition

- Derecognise non-current asset when classified as held for sale or when no future economic benefits expected – **IAS 16 (67)**
  - Separate procedures where held for sale – see below
- Proceeds less carrying amount taken to profit or loss – **IAS 16 (68)**
- Revalued assets: – **IAS 16 (41)**
  - Recycling of gains on disposal not permitted
  - Reserve transfer re previously recognised gains now realised – **IAS 16 (73, 74 and 77)**

7 Disclosures

- Measurement bases
- Depreciation methods
- Useful lives or depreciation rates
- Gross, accumulated depreciation and net amounts at start and end of period
- Additions, disposals, acquisitions through business combinations, revaluations, impairments, depreciation, classification as held for sale
- Assets pledged as security for loans and contractual commitments to acquire PPE
- For revalued assets, the dates, whether independent valuer used, assumptions, reference to active markets/recent transactions, carrying amount under historical cost convention, revaluation surplus

8 Borrowing costs

- Core principle – **IAS 23 (1 and 8)**

- Directly attributable borrowing costs – **IAS 23 (10–11)**
- Commencement of capitalisation – **IAS 23 (17–19)**
- Cessation of capitalisation – **IAS 23 (22–25)**
- Disclosure

9 Impairment

- At each reporting date assess whether indication of impairment: – **IAS 36 (9)**
  - If so, estimate recoverable amount
  - Recoverable amount is higher of fair value less costs to sell and value in use (present value of future cash flows in use and on disposal) – **IAS 36 (6)**
- Review both external and internal information for evidence of impairment – **IAS 36 (12)**
- Calculation of value in use to be on reasonable and supportable bases – **IAS 36 (33)**
- Impairment loss where carrying amount exceeds recoverable amount – **IAS 36 (59)**
- Treat impairment loss as a revaluation loss: – **IAS 36 (60–61)**
  - Treat as revaluation gain if impairment loss subsequently reversed
- Depreciate revised carrying amount over remaining useful life – **IAS 36 (63)**
- Disclosures:
  - All impairments:
    - The amount of any impairment loss recognition/reversal in profit or loss (and the line item where included) and in statement of changes in equity – **IAS 26 (126)**
  - For a material impairment on an individual asset:
    - The events which led to the recognition/reversal
    - The amount
    - The nature of the asset and, if relevant, the reportable segment to which it belongs – **IAS 36 (130)**
    - Whether the recoverable amount is the fair value less costs to sell or its value in use, with information about how it was calculated

10 Non-current assets held for sale

- Non-current asset classified as held for sale when carrying amount recovered principally through sale – **IFRS 5 (6)**
  - Must be available for immediate sale and sale (within 12 months of classification) must be highly probable – **IFRS 5 (7)**
  - If meet criteria after end of the reporting period, a non-adjusting event under IAS 10 – **IFRS 5 (12)**
- Measured at lower of carrying amount and fair value less costs of disposal – **IFRS 5 (15)**
  - Any loss accounted for under IAS 36 (any gain is recognised on actual disposal) – **IFRS 5 (20)**
  - Not depreciated – **IFRS 5 (25)**
- Presented separately from all other assets, immediately below the sub-total for current assets – **IFRS 5 (18)**
- Different rules if asset previously revalued:
  - Revalue before classification, with gain/loss accounted for under IAS 16

- Costs of disposal = impairment loss

- Measurement and presentation of non-current assets to be abandoned per IAS 16, not IFRS 5 – **IFRS 5 (13)**

11 References

Carbon Tracker (2017), *Stranded assets* [Online] Available from: https://carbontracker.org/terms/stranded-assets/ [Accessed 29 April 2024]

Welsby, D., Price, J., Pye, S. et al. (2021) *Unex tractable fossil fuels in a 1*.5 ° *C world*. Nature 597, 230– 234. [Online] Available from: https://doi.org/10.1038/s41586-021-03821-8 [Accessed 29 April 2024]

Self-test questions

Answer the following questions.

1 IAS 16

Per IAS 16, *Property, Plant and Equipment*, which three of the following should be capitalised as part of the cost of an asset?

A Stamp duty

B Employee costs related to site selection activities

C Cost of site preparation and clearance

D Installation costs

2 Max plc

Max plc has incurred the following expenditure in 20X0 in respect of its non-current assets.

	CU
Servicing of plant and equipment	25,000
Repainting of warehouse	40,000
Modification of a machine in order to reduce emissions and comply with new environmental legislation	12,000
Upgrading of machine parts to improve quality of product	7,500

Requirement

In 20X0 what will be the charge for repairs and maintenance in the statement of profit or loss in accordance with IAS 16, *Property, Plant and Equipment*?

3 Patty Ltd

Patty Ltd purchased freehold land and buildings on 1 July 20W3 for CU380,000 including CU80,000 for the land. The buildings had been depreciated at the rate of 4% pa on cost for each of the 10 years to 30 June 20X3. On 1 July 20X3 the property was professionally revalued at CU800,000 including CU200,000 for the land, an amount which was reflected in the accounts. At 1 July 20X3 it was estimated that the building had a remaining useful life of 20 years and a residual value of CU100,000.

Requirements

3.1 In accordance with IAS 16, *Property, Plant and Equipment,* what should the surplus on revaluation be on 1 July 20X3?

3.2 In accordance with IAS 16, what is the carrying amount of the freehold land and buildings on 30 June 20X4?

4 Rolax plc

On 1 January 20X9 Rolax plc borrowed CU3 million to finance the production of two assets, both of which took a year to build. Work started during 20X9. The loan facility was drawn down and incurred on 1 January 20X9, and was used as follows, with the remaining funds invested temporarily.

	Asset A	Asset B
	CU	CU
1 January 20X9	500,000	1,000,000
1 July 20X9	500,000	1,000,000

The loan rate was 9% pa and Rolax plc can invest surplus funds at 7% pa.

Requirement

Calculate the borrowing costs which must be capitalised for each of the assets and consequently the cost of each asset as at 31 December 20X9.

5 Webster plc

Webster plc had the following loans in place at the beginning and end of 20X6.

	1 January 20X6	31 December 20X6
	CUm	Cum
10% Bank loan repayable 20X8	120	120
9.5% Bank loan repayable 20X9	80	80

On 1 January 20X6, Webster plc began construction of a qualifying asset, a low-emissions industrial machine, using existing borrowings. Expenditure drawn down for the construction was: CU30 million on 1 January 20X6, CU20 million on 1 October 20X6.

Requirement

What is the amount of borrowing costs that are capitalised as part of the cost of the machine?

6 Paris Ltd

Paris Ltd has a freehold property carried at a revalued amount of CU175,000. Due to a slump in property prices its recoverable amount is now estimated to be only CU150,000. Its historical cost carrying amount is CU160,000.

Requirement

How should the above fall in value be reflected in the financial statements in accordance with IAS 16, *Property, Plant and Equipment*?

7 Dempster Ltd

On 1 June 20X6 Dempster Ltd completed the construction a wastewater treatment plant to remove contaminates before the water is discharged into the environment. The wastewater treatment plant has an estimated useful life of 50 years, but the certain essential parts of the infrastructure of the wastewater treatment plant will require replacing after 25 years. The cost of replacement is currently CU100,000. The total price of the wastewater treatment plant was CU1,000,000.

Requirement

In accordance with IAS 16, *Property, Plant and Equipment* what should the depreciation charge be for the year ended 31 May 20X7?

8 Lydd Ltd

On 1 January 20X1 Lydd Ltd purchased production machinery costing CU100,000, having an estimated useful life of 20 years and a residual value of CU2,000. On 1 January 20X7 the remaining useful life of the machinery is revised and estimated to be 25 years, with an unchanged residual value.

Requirement

What should the depreciation charge on the machinery be in the year ended 31 December 20X7?

9 Propane plc

Propane plc are undertaking an impairment review of assets following IAS 36, *Impairment of Assets*. Investigations have uncovered the following:

Asset R has a carrying amount of CU60,000, a value in use of CU65,000 and a fair value less costs of disposal of CU30,000.

Asset Q has a carrying amount of CU100,000, a value in use of CU92,000 and a fair value less costs of disposal of CU95,000.

Requirement

In accordance with IAS 36, *Impairment of Assets* what amount should be recognised as an impairment loss in relation to these two assets?

10 Apollo Ltd

Apollo Ltd has a year end of 31 December. On 30 October 20X4 it classified an item of plant as held for sale. The plant is accounted for under the cost model and had a carrying amount of CU13,200 at 1 January 20X4. Depreciation for the period to 31 October 20X4 has been calculated as CU1,200. Its fair value was estimated at CU11,100 and the costs of disposal at CU500.

On 15 December 20X4 the plant was sold for CU10,500.

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what amounts should be recognised as impairment loss and loss on disposal in profit or loss for the year to 31 December 20X4?

11 Einstein Ltd

Einstein Ltd has a year end of 30 June. On 1 June 20X5 it classified one of its freehold properties as held for sale. At that date the property had a carrying amount of CU567,000 and had been accounted for according to the revaluation model. Its fair value was estimated at CU725,000 and the costs of disposal at CU3,000.

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what amounts should be recognised in the financial statements for the year to 30 June 20X5?

12 Arnold Ltd

Arnold Ltd is an e-commerce business and bought a storage warehouse 1 October 20X1 for CU200,000. It was being depreciated over 20 years on the straight-line basis. On 1 October 20X3, the warehouse was revalued to CU270,000. Subsequently, on 30 September 20X7 Arnold Ltd had outgrown the warehouse and it was classified as held for sale. Its fair value was estimated at CU190,000 with costs of disposal of CU5,000.

Requirements

12.1 In accordance with IAS 16, *Property, Plant and Equipment* and assuming that a reserves transfer is made, what should the balance on the revaluation surplus be at the year end of 30 September 20X4?

12.2 In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what should the loss recognised in profit or loss for the year ended 30 September 20X7 be on classification as held for sale?

13 Maine Ltd

The following information was disclosed in the financial statements of Maine Ltd for the year ended 31 December 20X2.

	Plant and equipment	
	20X2	**20X1**
	CU	**CU**
Cost	735,000	576,000
Accumulated depreciation	(265,000)	(315,000)
Carrying amount	470,000	261,000
During 20X2		
Expenditure on plant and equipment		512,000
Impairment loss on reclassification of old plant as held for sale		50,000
Loss on the disposal of old plant		57,000
Depreciation charge on plant and equipment		143,000

Requirement

In accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* what were the sales proceeds received on the disposal of the old plant?

14 Pursche plc

Pursche plc has the following non-current assets at 1 January 20X7.

	Cost	Accumulated depreciation	Carrying amount
	CU'000	**CU'000**	**CU'000**
Freehold factory	1,440	144	1,296
Plant and equipment	1,968	257	1,711

Motor vehicles	449	194	255
Office equipment and fixtures	888	583	305
	4,745	1,178	3,567

You are given the following information for the year ended 31 December 20X7.

(1) The factory was acquired on 1 January 20X2 and is being depreciated over 50 years.

(2) Depreciation on other items has been calculated on cost on a straight-line basis. The rates used are 20% for office equipment and fixtures, 25% for motor vehicles and 10% for plant and equipment. The directors decided to change the method of depreciating motor vehicles to 30% reducing balance to give a more relevant presentation of the results and of the financial position.

(3) On 1 January 20X7 the factory was revalued to its fair value of CU2.2 million and a new storage unit was acquired on that date at a cost of CU500,000, which immediately became available for use. The directors wish to incorporate the revaluation into the accounts.

(4) Two electric cars costing CU17,500 each were bought on 1 January 20X7. Plant and equipment for the factory extension cost CU75,000 and office equipment and fixtures cost CU22,000 on this date.

(5) As part of the directors' drive to become more sustainable, they have decided to gradually cease production of single-use products in favour of reusable items. They have identified one plastics machine which will need to be scrapped as part of this plan. They have therefore reduced the remaining useful life of the plastics machine to four years. The plastics machine originally cost CU298,000 and at 1 January 20X7 had related accumulated depreciation of CU58,000. It is expected to generate CU8,000 as scrap at the end of its remaining life.

Requirements

14.1 Prepare the disclosure notes for property, plant and equipment for the year ended 31 December 20X7 required by IFRS Accounting Standards.

14.2 Briefly explain the qualitative characteristics of understandability, relevance, faithful representation and comparability contained in the *Conceptual Framework for Financial Reporting* illustrating your answer with references to the provisions of IAS 16, *Property, Plant and Equipment*.

15 Plover plc

Plover plc is a car manufacturing group and during the year ended 30 September 20X9 the following transactions relating to property, plant and equipment took place.

(1) On 1 March 20X9, plant and machinery for a new highly computerised production and assembly line became available for use in the factory. The external costs relating to this were CU800,000 and in addition the company also incurred the following:

- Labour costs of CU80,000 in installing the line (these were 20% higher than budgeted because of the impact of industrial disputes)
- Management and supervision costs (allocation) of CU15,000
- Start-up costs of CU30,000 incurred in testing the new process. CU20,000 of these were necessary to ensure the line operated correctly. The remaining CU10,000 was incurred when the directors held an 'open day' for their bankers to demonstrate the efficiency of the new system.

(2) The company still owns and uses part of the old factory but on 30 September 20X9 it was classified as held for sale. It is expected to be sold by 31 December 20X9 for CU200,000 (after spending CU25,000 to generally improve the property). The carrying amount of the factory at 1 October 20X8 is CU310,000 (cost CU500,000).

Depreciation rates are:

Freehold land and buildings: 2% pa Plant and machinery: 20% pa

(3) Plover plc's head office building was acquired on 1 October 20X2 for CU1.5 million and depreciated at 2% pa.

On 1 October 20X6 it was revalued to CU2.1 million. Plover plc did not make any reserve transfers for the additional depreciation.

Following a severe fall in the property market, Plover plc's valuers advised at 30 September 20X9 that the fair value of the building was CU1.7 million.

(4) New factory premises were finally completed and were ready for occupation on 1 March 20X9. Production was not transferred to the factory until 31 August 20X9 due to a dispute with the labour force arising from proposed redundancies.

Capitalised costs relating to the factory were CU1.1 million (including land of CU600,000) at 1 October 20X8, and the 'Costs incurred' table below shows the costs that have been incurred since then.

Costs incurred

	CU'000
Further construction costs	125
Additional legal fees	25
Management and supervision costs	75

Requirements

15.1 Prepare extracts from the statement of financial position in relation to the above as at 30 September 20X9 and draft the note showing the movements on property, plant and equipment for the year (working to the nearest CU000).

15.2 Calculate the impairment loss arising on classifying the old factory as held for sale.

15.3 Plover plc had profit for the year ended 30 September 20X9 of CU25.6 million, before adjusting for the impairment loss on the old factory.

Prepare the separate statement of profit or loss and other comprehensive income for the year.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Total cost of the facility:

	CU
Site preparation	400,000
Net income while site used as a car park (Incidental, so taken to profit or loss)	–
Materials used (2,000,000 – 300,000)	1,700,000
Labour costs (4,000,000 – 500,000)	3,500,000
Testing of facility's processes	300,000
Net proceeds on sale of by-products (presented in profit or loss)	
Consultancy fees re installation and assembly	500,000
Safety inspection	150,000
Professional fees	300,000
Opening of facility	-
Overheads incurred	
- Construction	800,000
- General	-
Relocation of staff to new facility	-
Cost of dismantling facility	750,000
	8,400,000

Allocated to components:

	CU
Safety inspection	150,000
To be replaced in eight years (40% × (8,400,000 – 150,000))	4,950,000
Remainder	8,400,000

Answer to Interactive question 2

In this scenario the key dates are as follows:

- Expenditure on the acquisition is incurred on 1 February.
- Borrowing costs start to be incurred from 1 February.
- Activities to prepare the building for intended use/sale (work on planning permission) were carried out during December and January.

The earliest date when all three of these conditions were met is 1 February.

Answer to Interactive question 3

Annual charge re:		**CU**
Safety inspection – Over three years	(150,000/3)	50,000
Components to be replaced in eight years – Over eight years	(3,300,000/8)	412,500
Remainder – Over 20 years	(4,950,000/20)	247,500
		710,000

Answer to Interactive question 4

	Year 1	**Year 2**	**Year 3**
	CU	**CU**	**CU**
Cost	1,000	1,000	1,000
Accumulated depreciation	(80)	(160)	(320)
Carrying amount	920	840	680
Charge for the year (W)	80	80	160

WORKING

Charge for the year

	Year 1	**Year 2**	**Year 3**
Depreciation charge	1,000−200	1,000−200	840−200
	10	10	4

Answer to Interactive question 5

The revaluation gain on 1 January 20X7 is CU35,000 (60,000 – 25,000).

If the previous downward revaluation had not taken place the carrying amount on 31 December 20X6 would have been CU50,000 (CU100,000 less five years' depreciation at CU10,000 per annum). The actual carrying amount at the date of valuation is CU25,000, hence the amount that needs to be credited to profit or loss to restate the effect of the previous revaluation decrease is CU25,000.

The 'excess' revaluation surplus recognised in the other comprehensive income is CU10,000 (35,000 – 25,000).

Answer to Interactive question 6

6.1

	CU
Cost or valuation:	
At 1 January 20X8	100,000
Classified as held for sale	(100,000)
At 31 December 20X8	0

Depreciation:

At 1 January 20X8 ((100,000 – 10,000)/3)	27,000
Impairment loss	35,000
Classified as held for sale	(62,000)
At 31 December 20X8	0

6.2 Journal entries to record the classification as held for sale

Recognising the impairment

		CU	CU
DR	Profit or loss	35,000	
CR	PPE – accumulated depreciation		35,000

Classification as held for sale

		CU	CU
DR	Non-current assets held for sale	38,000	
DR	PPE – accumulated depreciation	62,000	
CR	PPE – cost		100,00

6.3 Statement of profit or loss for the year ended 31 December 20X8

	CU
Impairment loss on reclassification of non-current assets held for sale ((100,000 – 27,000) – 38,000)	35,000

6.4 Statement of profit or loss for the year ended 31 December 20X8

In the statement of profit or loss: With sales proceeds of CU32,000

- The impairment loss would remain the same.
- A loss on disposal of CU6,000 (38,000 – 32,000) would be recognised in the statement of profit or loss.

Answer to Interactive question 7

7.1 **Journal entry to record the classification as held for sale**

		CU	CU
1 January 20X8			
DR	PPE – accumulated depreciation (30% × (100,000 – 10,000))	27,000	
DR	Non-current assets held for sale (balancing figure)	73,000	
CR	PPE – cost		100,000

As fair value less costs of disposal is greater than carrying amount, there is no impairment loss at the time of classification.

7.2 **Statement of profit or loss for the year ended 31 December 20X8**

	CU
Gain on disposal of non-current assets held for sale (77,000 – 73,000)	4,000

Answer to Interactive question 8

8.1 **Journal entry to record the revaluation**

1 January 20X5		**CU**	**CU**
DR	PPE – at valuation	50,000	
CR	Revaluation surplus (OCI)		50,000

8.2 **Journal entry to record the classification as held for sale**

1 January 20X8		**CU**	**CU**
DR	Non-current assets held for sale – FV less costs of disposal (235 – 5)	230,000	
DR	Profit or loss – costs of disposal	5,000	
DR	Revaluation surplus (OCI) (250 – 235)	15,000	
CR	PPE – at valuation		250,000

Answer to Interactive question 9

9.1 **Journal to record the revaluation**

1 January 20X4		**CU**	**CU**
DR	PPE cost/valuation (136,000 – 120,000)	16,000	
DR	PPE accumulated depreciation	18,000	
CR	Revaluation surplus (OCI) (136,000 – 102,000)		34,000

9.2 **Revised depreciation charge**

Annual charge from 20X4 onwards	**CU**	**CU**
DR Profit or loss – depreciation expense (136,000 ÷ 17)	8,000	
CR PPE accumulated depreciation		8,000

Annual reserve transfer	**CU**	**CU**
DR Revaluation surplus	2,000	
CR Retained earnings		2,000

Being the difference between the actual depreciation charge and the charge based on historical cost (CU6,000).

Shown in the statement of changes in equity as follows:

	Revaluation Surplus	Retained earnings
	CU	CU
Brought forward	X	X
Profit for the year	-	X
Transfer of realised profits	(2,000)	2,000
Carried forward	X	X

9.3 Journal to record classification as held for sale

At 1 January 20X8, balances relating to the asset will be as follows:

	CU
Property, plant and equipment at valuation	136,000
Accumulated depreciation (4 × 8,000)	(32,000)
Carrying amount	104,000
Revaluation surplus (34,000 – (4 × 2,000))	26,000

1 January 20X8	CU	CU
DR PPE – accumulated depreciation	32,000	
DR Non-current assets held for sale – fair value less costs of disposal	137,000	
DR Profit or loss – costs of disposal	3,000	
CR PPE – cost/valuation		136,000
CR Revaluation surplus (OCI) (ß)		36,000

9.4 In the statement of profit or loss:

(1) A charge of CU3,000 will be made for the costs of disposal, classified as an impairment loss.

(2) No profit or loss on disposal will be shown, as the asset is sold for its fair value less costs to sell.

In the statement of profit or loss and other comprehensive income:

The revaluation surplus arising from the classification as held for sale will be recognised:

	CU
Profit for the year	X
Gain on property revaluation Total comprehensive income	36,000
	X

Remaining balance on revaluation surplus is transferred to retained earnings as a reserve transfer in the statement of changes in equity:

	Revaluation surplus	Retained earnings
	CU	CU
Brought forward	X	X
Retained profit for the year	–	X
Transfer of realised profits (26 + 36)	(62,000)	62,000
Carried forward	X	X

Answer to Interactive question 10

RSBH Ltd: Note showing movements on property, plant and equipment for the year ended 31 December 20X7

	Freehold property	Plant and machinery	Fixtures and fittings	Total
Cost/ valuation	CU	CU	CU	CU
At 1 January 20X7	1,000,000	700,000	300,000	2,000,000
Revaluation	200,000			200,000
Additions	100,000	400,000	80,000	580,000
Classified as held for sale		(360,000)		(360,000)
Disposals			(40,000)	(40,000)
At 31 December 20X7	1,300,000	740,000	340,000	2,380,000
Depreciation				
At 1 January 20X7	300,000	330,000	180,000	810,000
Revaluation	(300,000)			(300,000)
Charge for the year (W1)	26,000	73,000	48,000	147,000
Classified as held for sale (269,000 (W2) + 16,000 (W3))		(285,000)		(285,000)
Impairment loss (W3)		16,000		16,000
Disposals (W2)			(28,000)	(28,000)
At 31 December 20X7	26,000	134,000	200,000	360,000
Carrying amount				
At 31 December 20X7	1,274,000	606,000	140,000	2,020,000
At 31 December 20X6	700,000	370,000	120,000	1,190,000

WORKINGS

(1) **Deprecation charge for the year**

	Plant and machinery	Fixtures and fittings
	CU	CU
Items reclassified/disposed of during year (360,000 × 10% × 1/4) and (40,000 × 15% × 1/2)	9,000	3,000
Items owned throughout year		
((700,000 – 360,000) × 10%) and ((300,000 – 40,000) × 15%)	34,000	39,000
Items acquired during year (400,000 × 10% × 3/4) and (80,000 × 15% × 1/2)	30,000	6,000
	73,000	48,000

(2) **Accumulated depreciation on items reclassified/disposed of**

	CU	CU
Brought forward	260,000	25,000
Charge for year (as above)	9,000	3,000
	269,000	28,000

(3) **Impairment loss on items reclassified**

	CU
Cost	360,000
Accumulated depreciation (W2)	(269,000)
Carrying amount on classification as held for sale	91,000
Fair value less costs of disposal (80,000 – 5,000)	(75,000)
Impairment loss	16,000

Answers to Self-test questions

1 IAS 16

The correct answers are:

A Stamp duty

C Cost of site preparation and clearance

D Installation costs

Per IAS 16 paragraph 16, A, C and D should be capitalised.

2 Max plc

The profit or loss charge will be:

	CU
Servicing	25,000
Repainting	40,000
	65,000

Machine modification and upgrading creates future economic benefits from the asset and should be capitalised (IAS 16: para. 7). The modification of the machine to comply with environmental legislation creates future economic benefits, as without the modification, the machine could not be operated as it would not comply with the law.

3 Patty Ltd

3.1 The revaluation surplus is CU540,000 (W).

3.2 The total carrying amount of freehold land and buildings is CU775,000 (W). WORKING

	Land	Buildings	Total
	CU	CU	CU
Cost on 1 July 20W3	80,000	300,000	380,000
10 years' depreciation (300 × 4% × 10)		(120,000)	(120,000)
	80,000	180,000	260,000
Revaluation surplus	120,000	420,000	540,000
	200,000	600,000	800,000
Depreciation (600 – 100) / 20 years	———	(25,000)	(25,000)
	200,000	575,000	775,000

4 Rolax plc

	Asset B CU	Asset B CU
Borrowing costs		
To 31 December 20X9 (CU1,000,000/CU2,000,000 × 9%)	90,000	180,000
Less investment income		
To 30 June 20X9 (CU500,000/CU1,000,000 × 7% × 6/12 months)	(17,500)	(35,000)
	72,500	145,000
Cost of assets		
Expenditure incurred	1,000,000	2,000,000
Borrowing costs	72,500	145,000
	1,072,500	2,145,000

5 Webster plc

The amount of borrowing costs to be capitalised is CU3.43 million.

Capitalisation rate = weighted average rate =

$$\left(10\% \times \frac{120}{120 + 80}\right) + \left(9.5\% \times \frac{80}{120 + 80}\right) = 9.8\%$$

Borrowing costs = (CU30m × 9.8%) + (CU20m × 9.8% × 3/12) = CU3.43m

6 Paris Ltd

CU10,000 should be debited to profit or loss and CU15,000 should be debited to other comprehensive income.

If an asset has previously been revalued, we recognise the revaluation loss down to depreciated historic cost (175,000 – 160,000 = CU15,000) in other comprehensive income, the balance (160,000 – 150,000 = CU10,000) in profit or loss (IAS 16: para. 40).

7 Dempster Ltd

Each significant part of an item of PPE must be depreciated separately (IAS 16: para. 43).

CU900,000/50 years = CU18,000

CU100,000/25 years = CU4,000

Total depreciation CU18,000 + CU4,000 = CU22,000

8 Lydd Ltd

Carrying amount at 31 December 20X6 = 100,000 – ((100,000 – 2,000) × 6/20 years) = CU70,600 Depreciation charge in 20X7 = (70,600 - 2,000) × 1/25 years = CU2,744

9 Propane plc

An asset is impaired when the recoverable amount is lower than the carrying amount of the asset. To determine whether an asset is impaired, compare the recoverable amount to the

carrying amount. The recoverable amount is the greater of the value in use and the fair value less costs of disposal.

Asset R is not impaired as recoverable amount is greater than carrying amount. Asset Q is impaired as recoverable amount of CU95,000 is lower than the carrying amount of CU100,000.

An impairment loss of CU5,000 should be recognised.

10 Apollo Ltd

Immediately before classification of the asset as held for sale, the asset should be measured in accordance with the relevant IFRS Accounting Standard, which in this case is IAS 16. The carrying amount of the asset immediately before classification is therefore CU12,000 (CU13,200 - CU1,200). On classification as held for sale, the asset should be measured at the lower of its carrying amount (CU12,000) and its fair value less costs of disposal (CU11,100 – CU500 = CU10,600). An impairment loss of CU1,400 (CU12,000– CU10,600) is therefore recognised on classification as held for sale.

When the asset is actually sold any further loss or gain is treated as a loss or gain on disposal. Here there is a further loss of CU100 (CU10,600 – CU10,500).

11 Einstein Ltd

Immediately before the classification as held for sale, the asset should be measured in accordance with IAS 16. As the asset is carried under the revaluation model it must be revalued to fair value immediately before the reclassification. Any gain will be recognised in other comprehensive income and taken to the revaluation surplus and any loss to profit or loss (except to the extent that it reverses a gain held in the revaluation surplus). So here, a revaluation gain is recognised of CU158,000 (CU725,000 – CU567,000) and the carrying amount of the asset immediately before classification as held for sale is CU725,000

On classification has held for sale, the asset is measured at the lower of its carrying amount (CU725,000) and the fair value less costs of disposal (CU725,000 – CU3,000). The effect is that the costs of disposal (here CU3,000) are recognised in profit or loss as an impairment loss.

12 Arnold Ltd

12.1 The balance on the revaluation surplus will be CU85,000.

	Revaluation surplus
	CU
Gain on revaluation (W)	90,000
Reserve transfer:	
New depreciation – old depreciation to 30/9/X4	
$\frac{270,000}{18} - \frac{200,000}{20}$	(5,000)
Balance at 30/9/X4	85,000

WORKING

Gain on revaluation

	CU
Cost	200,000
Less depreciation (200,000 × 2/20 years)	(20,000)
Carrying amount at revaluation	180,000
Gain on revaluation	90,000
Valuation	270,000

12.2 The loss recognised in profit or loss will be CU5,000.

	CU
At 30 September 20X7:	
Revalued amount	270,000
Depreciation (270,000 × 4/18 years)	(60,000)
Carrying amount on reclassification	210,000
Revalue to fair value	(190,000)
Loss to revaluation surplus through OCI	20,000
Revaluation surplus at 30 September 20X4	85,000
Reserve transfer	
New depreciation – old depreciation (5,000 × 3 years)	(15,000)
Revaluation surplus at 30 September 20X7	70,000
Impairment loss	(20,000)
Balance c/f (transfer to retained earnings on disposal)	50,000

Because there was a sufficient balance on the revaluation surplus in respect of this asset to which the loss could be charged, the only impairment loss taken to profit or loss is the costs of disposal of CU5,000.

13 Maine Ltd

The disposal proceeds were CU53,000.

PLANT AND EQUIPMENT ACCOUNT (CARRYING AMOUNT)

	CU		CU
B/f	261,000	Depreciation	143,000
Additions	512,000	Loss on disposal	57,000
		Impairment loss	50,000
		Disposal proceeds (ß)	53,000
		C/f	470,000
	773,000		773,000

14 Pursche plc

14.1 **Notes to the financial statements for the year ended 31 December 20X7 (extracts)**

(1) **Accounting policies Property, plant and equipment**

Freehold land and buildings are stated at a valuation. Other tangible non-current assets are stated at cost, together with any incidental expenses of acquisition.

Depreciation is calculated so as to write off the net cost or valuation of tangible non-current assets over their expected useful lives. Depreciation charges commence when an asset becomes available for use. The rates and bases used are as follows.

Asset	% pa	Basis
Freehold land and buildings	2%	Straight-line
Plant and equipment	10%	Straight-line
Office equipment and fixtures	20%	Straight-line
Motor vehicles	30%	Reducing-balance

(2) **Operating profit is stated after charging**

	CU
Depreciation of property, plant and equipment	562,000

(3) **Property, plant and equipment**

	Freehold land and buildings CU	Plant and equipment CU	Motor vehicles CU	Office equipment and fixtures CU	Total CU
Cost or valuation					
At 1 January 20X7	1,440,000	1,968,000	449,000	888,000	4,745,000
Additions	500,000	75,000	35,000	22,000	632,000
Revaluations (W1)	760,000				760,000
At 31 December 20X7	2,700,000	2,043,000	484,000	910,000	6,137,000
Depreciation					
At 1 January 20X7	144,000	257,000	194,000	583,000	1,178,000
Revaluation adjustment (W)	(144,000)				(144,000)
Charge for year (W2) /(W5) /(W3) /(W4)	60,000	233,000	87,000	182,000	562,000
At 31 December 20X7	60,000	490,000	281,000	765,000	1,596,000
Carrying amount					
At 31 December 20X7	2,640,000	1,553,000	203,000	145,000	4,541,000
At 1 January 20X7	1,296,000	1,711,000	255,000	305,000	3,567,000

(4) Freehold land and buildings were valued for the purposes of the 20X7 accounts at fair value, with subsequent additions at cost. Their historical cost is CU1,940,000 (W6) and the related accumulated depreciation is CU183,000 (W6).

(5) The company's depreciation policy on motor vehicles has been changed from a rate of 25% pa on cost to a rate of 30% pa on reducing balance in order to give a more relevant presentation of the results and of the financial position. The effect of this change has been to reduce the depreciation charge for the year by CU34,000 (CU121,000 – CU87,000).

14.2 **Qualitative characteristics and IAS 16 Understandability**

The enhancing qualitative characteristic of understandability requires the preparers of the financial statements to present and classify information clearly and concisely in order to make it understandable to the users.

For example, IAS 16 requires disclosures to be given by each class of property, plant and equipment so it will be clear what type of assets have been purchased during the year and what types of assets have been sold. If this information were merged over one class it would be less clear to the users of the financial statements, which assets were of the most significant value. This would be especially useful where specialised machinery or buildings were held on the statement of financial position, as these are usually the assets with the most significant value.

Relevance

Relevance is a fundamental qualitative characteristic. Relevant financial information is capable of making a difference in the decisions made by users. Financial information is capable of making a difference in the decisions of users if it has predictive or confirmatory value, or both of these attributes.

The choice of the revaluation model as a measurement model in IAS 16 provides relevant information by showing up-to-date values. This will give the user information as to what the entity's underlying assets are worth. PPE with a significant value or the acquisition of new assets should indicate to the user that the company expects to increase its revenue in the coming accounting periods. This is because PPE is recognised when it is probable that future economic benefits associated with the item will flow to the entity under IAS 16.

Faithful representation

Information is a faithful representation of the performance and position of the entity if it is complete, neutral and free from error.

Although the revaluation model gives relevant information this information is generally seen to be less reliable than the cost model – the other measurement model allowed by IAS 16. The cost model is based on historic costs, which are not the most relevant costs on which to base future decisions. However, historic cost is a faithful representation being based on fact.

However, historic cost is a faithful representation being based on fact.

Comparability

Comparability is the qualitative characteristic that enables users to identify and understand similarities in, and differences between items. Users must be able to compare information with that of previous periods or with that of another entity. Consistency, although important and helpful for achieving the goal of comparability, is not the same as comparability. For example, it may be required to revise the depreciation method (in line with IAS 8), but a change in methods will not be consistent. However, an explanation as to the reasons for the change will assist with the user being able to compare the results year on year.

IAS 16 allows comparability between the cost and the revaluation model (for example, to facilitate comparisons between two companies who have adopted different models) by requiring equivalent cost information to be disclosed under the revaluation model. It also requires disclosures (in accordance with IAS 8) of the effect of a change in an accounting estimate such as useful lives or depreciation rates. This facilitates comparison between different periods.

WORKINGS

(1) **Freehold land and buildings revaluation**

	CU	CU
DR Freehold land and buildings (ß)	760,000	
DR Accumulated depreciation (1,440,000 × 5/50)	144,000	
CR Revaluation surplus (OCI) (2,200,000 – 1,296,000)		904,000

(2) **Freehold land and buildings depreciation charge**

Valuation/cost at 1 January 20X7	CU2,700,000
Remaining useful life	45 years
Annual depreciation charge	CU60,000

(3) **Motor vehicles depreciation charge**

	CU
Carrying amount at 1 January	255,000
20X7 Additions	35,000
	290,000
Depreciation – reducing balance method @30%	87,000

(4) **Fixtures and fittings depreciation charge**

	CU
Cost at 31 December 20X7	910,000
Depreciation – straight-line method @20%	182,000

(5) **Plant and equipment depreciation charge**

	CU
Cost at 1 January 20X7	1,968,000
Less plastics machine	(298,000)
Add Purchases for factory extension	75,000
Depreciation – straight-line method @10%	1,745,000
	175,000

	CU
Plastics machine – cost	298,000
Accumulated depreciation at 1 January 20X7	(58,000)
Carrying amount at 1 January 20X7	240,000
Depreciation (240,000 – 8,000)/4	(58,000)
Carrying amount at 31 December 20X7	182,000

The carrying amount must be written off over the machine's remaining useful life of four years down to its residual value of CU8,000

	CU
Total depreciation charge for plant	
Plastics machine	58,000
Other plant	175,000
	233,000

(6) **Historical cost depreciation on freehold land and buildings**

	CU
Cost at 1 January 20X7	1,440,000
Addition – extension	500,000
Cost at 31 December 20X7	1,940,000
Accumulated depreciation at 1 January 20X7	144,000
Depreciation charge at 2%	39,000
Accumulated depreciation at 31 December 20X7	183,000

15 Plover plc

15.1 Financial statement extracts

Statement of financial position as at 30 September 20X9

	CU'000	CU'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note)		3,726
		X
Current assets	X	
Non-current assets held for sale (200 – 25)	175	X
		X
EQUITY		
Revaluation surplus (720 – 263 (W5))		457

Notes to the financial statements

Property, plant and equipment

	Head office	Factory premises	Plant and equipment	Assets in the course of construction	Total
	CU'000	CU'000	CU'000	CU'000	CU'000
Cost/valuation					
At 1 October 20X8	2,100	500	–	1,100	3,700
Additions (W1, W2)	–	–	887	150	1,037
Transfers	–	1,250	–	(1,250)	–
Classified as held for sale	–	(500)	–	–	(500)
Revaluation loss (W5)	(400)				(400)
At 30 September 20X9	1,700	1,250	887		3,837
Depreciation					
At 1 October 20X8 (W4, 5)	91	190	–	–	281
Charge for the year (W3)	46	18	103	–	167
Impairment loss (part 2)	–	125	–	–	125
Classified as held for sale (125 (part 2) + 200 (W4))	–	(325)	–	–	(325)
Revaluation loss (W5)	(137)				(137)
At 30 September 20X9		8	103		111
Carrying amount					
At 30 September 20X9	1,700	1,242	784		3,726
At 1 October 20X8	2,009	310		1,100	3,419

15.2 **Impairment loss**

	CU'000
Carrying amount brought forward	310
Depreciation to 30 September (W3)	(10)
	300
Recoverable amount (200 – 25)	(175)
Charge to profit or loss	125

15.3 **Statement of profit or loss and other comprehensive income for the year ended 30 September 20X9**

	CU'000
Profit for the year (25,600 – 125)	25,475
Other comprehensive income:	
– Loss on property revaluation (400 – 137)	(263)
Total comprehensive income for the year	25,212

WORKINGS

(1) **Additions to new factory**

	CU'000
Construction costs	125
Legal fees	25
	150

(2) **Additions to plant and equipment**

	CU'000
External costs	800
Labour (80,000 × 100/120)	67
Start-up costs	20
	887

(3) **Depreciation**

	CU'000
Head office (W5)	46
New factory ((1,250 – 600) × 2% × 7/12 months)	8
Old factory (500 × 2%)	10
	18
Plant and equipment (887 × 20% × 7/12 months)	103

(4) **Old factory accumulated depreciation**

	CU'000
Brought forward at 1 October 20X8 (500 – 310)	190
Charge for year (W3)	10
	200

(5) **Head office revaluation**

	CU'000
Original cost	1,500
Depreciation (Four years at 2%)	(120)
Carrying amount at 1 October 20 X6	
Revaluation gain	1,380
Revalued amount at 1 October 20 X6	720
Depreciation (2,100/46 × 2)	2,100
Balance at 1 October 20X8	(91)
Depreciation (2,100/46)	2,009
Revaluation loss (400 – 91 – 46)	(46)
Carrying amount 30 September 20X9	(263)
	1,700

Note: As the carrying amount has not fallen below original cost less depreciation to date on original cost, the fall in value will be debited to the revaluation surplus and recognised in other comprehensive income.

Chapter 6
Intangible assets

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 IAS 38, Intangible Assets

2 Initial recognition and measurement

3 Internally generated assets

4 Subsequent measurement of intangible assets

5 Disposals

6 Disclosure

7 Goodwill

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Introduction

Learning outcomes

- Explain the objectives and inherent limitations of financial statements, giving appropriate examples
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios

Syllabus links

In *Accounting* you were introduced to accounting for intangible assets. In *Financial Accounting and Reporting*, you are required to understand the importance of intangible assets to modern businesses and to develop a sound understanding of the requirements of IAS 38, *Intangible Assets*.

Examination context

In the examination, students may be required to:

- Explain how the *Conceptual Framework for Financial Reporting* applies to the recognition of intangible assets.
- Prepare and present financial statements or extracts in accordance with:
  - IAS 38, *Intangible Assets*
  - IAS 36, *Impairment of Assets*
- Explain the accounting treatment of intangible assets.
- Identify and explain any ethical issues in the selection of accounting policies regarding the treatment of intangible assets and provide advice in areas where professional judgement is required.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**IAS 38, *Intangible Assets*** In recent years, the recognition and measurement of intangible assets has been a controversial	**Approach** Consider the definition of an intangible asset and what it means to be	Intangible assets may be examined within a question that requires you to prepare financial statements or in a	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	area of financial reporting. As businesses change, especially the rise in prominence of technology companies, intangible assets have become a significant part of the value of an entity. The most important assets for many businesses are now brands, software development, patents, knowledge capital and people. However, these are not always recognised in the financial statements as they do not meet the strict criteria set out in IAS 38.	'identifiable'. **Stop and think** Consider the impact of intangible assets on modern companies, especially companies like Microsoft, Google and Uber.	question that asks you to explain the appropriate accounting treatment for a given transaction. Research and development costs and identification, from a given scenario, of which costs may be capitalised are commonly examined. There may also be questions on the ethical treatment of intangible asset costs, and the impact of their capitalisation on the profits of an entity.	
2	**Initial recognition and measurement** In this section, the criteria for recognition of intangible assets and their initial measurement are introduced.	**Approach** Review the basic principles of the recognition for intangible assets; in particular, what costs are deemed directly attributable costs, and what costs must be excluded.	A question may ask you whether or not an intangible asset can be recognised in a company's financial statements or to identify from a list which costs may be capitalised as an intangible asset.	**IQ1 Treatment of expenditure** This question ensures you understand the recognition criteria.
3	**Internally generated assets** Increasingly, businesses are developing new technologies in house as part of their research and development (R&D) work. Questions may include the R&D costs of developing new software, new medical	**Approach** Ensure that you understand which costs may be capitalised and which should be expensed. **Stop and think** Consider the impact on the financial statements	Research and development is a frequently examined area, and may be included within a computational or explanation question. The aggressive capitalisation of R&D costs to increase assets	**IQ2 Acquired and internally generated intangible assets** This question tests your understanding of the difference in treatment between internally generated and

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	equipment or pharmaceuticals.	if the incorrect accounting treatment is adopted.	and reduce expenses may also be included within an ethics question.	acquired intangible assets.
4	**Subsequent measurement of intangible assets** Understand the difference between the cost and the revaluation models for the subsequent measurement of intangible assets. The approach is consistent with that which you have met previously under IAS 16. The amortisation of intangible assets is another area requiring professional judgement, as it is vital to ensure that the amortisation period is reasonable for that class of asset.	**Approach** Ensure that you can correctly apply the amortisation method to an intangible asset. **Stop and think** Consider the difficulty in determining an appropriate amortisation period for a technological asset. How does that compare with setting the depreciation period for an item of machinery?	Correctly applying the cost less amortisation method is more common in a computational question. However, you may need to justify whether the revaluation method is appropriate in an explanation question.	
5	**Disposals** The topic should be familiar to you as the approach for intangible assets is consistent with that for PPE covered in Chapter 5.	**Approach** Accounting for disposals of intangible assets is consistent with the disposal of tangible non-current assets, so you should be able to cover this content relatively quickly. **Stop and think** Consider the impact of any gain or loss on the disposal, especially in the notes to the financial statements.	You may be asked to account for the disposal of a number of non-current assets, including intangible assets, as part of a longer computational question in your exam.	
6	**Disclosure** This section sets out	**Approach** Ensure that you	You may be asked to prepare a	**IQ3 Intangible Assets**

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	the disclosure requirements for intangible assets. Again, the requirements are consistent with those covered for PPE in Chapter 5.	understand the disclosure requirements as required by IAS 38 and feel comfortable with preparing an intangible assets disclosure note. **Stop and think** Consider what may be the impact of incorrectly disclosing intangible assets in the financial statements.	disclosure note for intangible assets.	There are three different scenarios here; you need to consider the information provided and suggest the appropriate accounting treatment in each case.
7	**Goodwill** This section only briefly introduces goodwill, which is covered in more detail in the group accounting chapters. It establishes the rule that internally generated goodwill cannot be capitalised; only goodwill from a business acquisition may be capitalised.	**Approach** Understand that purchased goodwill (acquired in a business combination) is capitalised, but internally generated goodwill is not capitalised. Purchased goodwill will be covered in more detail later in this Workbook.	A question may ask you to explain which types of goodwill may be capitalised by an entity, likely phrased that a director wishes to capitalise internally generated goodwill, and you need to explain whether this is permitted.	**IQ4 Stannington plc** A more complex, longer question covering the topics in this chapter.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 IAS 38, *Intangible Assets*

Section overview

- IAS 38 applies to almost all intangible assets, the key exception being goodwill acquired in a business combination.
- The objective of IAS 38 is to prescribe the accounting treatment of intangible assets not covered by other IFRS Accounting Standards, in terms of:
  - **recognition** if certain criteria are met
  - **measurement** – can cost or value be measured reliably?
  - **disclosures**

1.1 Intangible assets

The concept of intangible assets was introduced in *Accounting*. Your Professional Level studies look at the application of the accounting standard. One of the principal distinctions between property, plant and equipment (PPE) and intangible assets is that while the former have physical substance, the latter do not.

The following are some examples of categories of expenditure that **might** be capitalised as an intangible asset:

- marketing-related intangible assets, such as **trademarks**
- customer-related intangible assets, such as **customer lists**
- artistic-related intangible assets, such as **motion picture films, publishing titles**
- contract-based intangible assets, such as **operating licenses,franchise agreements, import quotas**
- technology-based intangible assets, such as **computer software, technology platforms, manufacturing technology**

The key issue affecting the treatment of this type of expenditure is whether it should be **recognised as an asset** and if so, how it should be **measured**. IAS 38, *Intangible Assets* provides guidance in this area.

Accounting for intangible assets also requires the professional accountant to apply judgement as to what costs may be capitalised and the period over which they should be amortised. Given the unique nature of many intangible assets, this is an area that can generate much debate.

1.1.1 *Is IAS 38 fit for purpose?*

*Many companies **now have more value in their intangible assets** (such as their brand, market position, knowledge capital, intellectual property and people) **than their tangible assets**. However, a significant proportion of this value will not be seen in a company's financial statements. Only items that meet the strict recognition criteria in IAS 38 can be recognised in the statement of financial position.*

*There are also very strict rules in IAS 38 about recognising **internally generated intangible assets**, such that only when certain criteria are met are costs classified as development costs and are capitalised. This has meant, for example, that there are some software providers whose most significant asset is not recognised in the financial statements (IASplus, 2021).*

This issue has led to discussion among standards setters, investors and others about whether the current accounting rules in IAS 38 are fit for purpose in our current digital world. IAS 38 was issued more than 20 years ago and has not been significantly revised since then. Arguably, it has not kept pace with the digital world we now live in and ***does not adequately reflect the importance of intangible assets*** *in today's business models.*

In recognition of this, the IASB launched a comprehensive review of the accounting for intangibles in April 2024. The IASB will assess whether the requirements of IAS 38 remain relevant and continue to fairly reflect current business models, or whether the requirements should be revised. As part of its

project, the IASB will consider the ***connections with the work of the ISSB on the IFRS Sustainability Disclosure Standards****, including the ISSB's project on* ***human capital****.*

1.2 Scope

IAS 38 applies to **all intangible assets** with certain exceptions. Examples of assets **specifically excluded** from IAS 38 include:

- **Goodwill acquired in a business combination**, which is accounted for under IFRS 3, *Business Combinations*
- **Financial assets** as defined in IAS 32, *Financial Instruments: Presentation*
- **Mineral extraction, related exploration and development expenditure** incurred

1.3 Definition of an intangible asset

IAS 38 defines an intangible asset as follows.

Definition

Intangible asset: An **identifiable** non-monetary asset without physical substance.

1.3.1 Identifiable

An intangible asset must be **'identifiable'**. This is to distinguish intangible assets from goodwill, which can arise on the acquisition of a subsidiary (this is covered later in this chapter).

Definition

Identifiable: An intangible asset is identifiable if:

- it is **separable**; and/or
- it arises from **contractual or other legal rights**.

An asset is **separable** if it can be sold, transferred, exchanged, licensed or rented to another party on its own rather than as part of a business (see the earlier examples given in this chapter).

Most of these examples also arise from contractual or other legal rights. Clearly, patents, copyrights, motion picture films, fishing licences and import quotas arise from such rights. But this second condition is designed to cover items that are not separable but are nevertheless of value to the business. Examples may include:

- import quotas, which may not be separate from the business and may only be transferred upon the sale of the whole business; and

- where an entity controls both unique equipment to produce a unique product and the right to manufacture and distribute that product in a particular territory, the unique equipment is worthless without the distribution rights, and vice versa, so the distribution rights are not separable but still identifiable.

There are few problems in identifying intangible assets which meet the identifiability criterion of being separable. To be separable, they should be capable of being disposed of on their own, with the remainder of the business being retained.

Goodwill can only be disposed of as part of the sale of a business, so is not separable. It is this lack of identifiability which prevents internally generated goodwill being recognised. It is not separable and does not arise from contractual or other legal rights. Goodwill arising in a business combination will be covered in more detail in the group accounting chapters of this Workbook.

1.3.2 Control

An **intangible asset** must also satisfy the **basic definition of an asset**.

One of the characteristics of an asset (according to the definition in the *Conceptual Framework for Financial Reporting*) is that it is **controlled by the entity**. The entity must have the right to access the future economic benefits generated by the asset. A **legally enforceable right** is evidence of such control, but not always a **necessary** condition. The following should be noted:

- Control over technical knowledge or know-how only exists if it is protected by a legal right.
- The skills of employees, arising out of the benefits of training costs, are most unlikely to be recognised as an intangible asset, because an entity does not control the future actions of its staff.
- Similarly, an entity normally has insufficient control over market share and customer loyalty for those to meet the definition of an intangible asset. However, the exception to this would be where the entity has the ability to exchange a customer relationship, for example, where a customer list can be traded, or separate rights provided for its use by a third party. This provides reliable evidence that the entity has control over the future economic benefits flowing from that relationship, and therefore meets the definition of an intangible asset.

2 Initial recognition and measurement

Section overview

- An item should be recognised as an intangible asset if it meets the definition of an intangible asset and:
  - It is probable that the expected future economic benefits that are attributable to the asset will flow to the entity; and
  - The cost of the asset can be measured reliably.
- Separately acquired intangible assets and those acquired as part of a business combination are normally considered to meet the recognition criteria under IAS 38.
- At recognition, the intangible asset should be measured at cost.
- An intangible asset acquired as part of a business combination should be recognised at fair value.

2.1 Initial recognition and measurement

An item should be recognised as an intangible asset if it **meets the definition of an intangible asset** in IAS 38 **and** it satisfies the **recognition criteria**, which are:

- It is **probable** that the future economic benefits that are attributable to the asset will flow to the entity.
- The cost can be measured **reliably**.

An intangible asset should be measured initially at its **cost**.

Note: An item should only be recognised as an intangible asset if it is probable that **economic benefits** are expected to flow in the future from ownership of the asset. This criterion is stricter than that used in the definition of an asset in the *Conceptual Framework for Financial Reporting,* which states that an asset must have "the potential to produce economic benefits". Economic benefits may result in increased revenue but may also result in the **reduction of costs** (cost savings).

2.2 Subsequent expenditure

Subsequent expenditure should **rarely be recognised** in the carrying amount of an intangible asset. This is because in most cases the expenditure is incurred to maintain the expected economic benefits within an existing intangible asset. It is often difficult to attribute subsequent expenditure directly to a particular intangible asset rather than to the business as a whole.

2.3 Separately acquired intangible assets

In most cases, separately acquired intangible assets satisfy the IAS 38 recognition criteria.

Brands, mastheads, publishing titles, licences, computer software, copyrights, patents and airport landing slots are all examples of intangible assets that can be acquired externally and should be capitalised.

Cost for these purposes comprises:

- purchase price (including duties and non-refundable taxes)
- any directly attributable costs of preparing the asset for its intended use

Directly attributable costs include:

- costs of employees working directly to bring the asset to its working condition
- legal and professional fees
- costs of testing

The following expenditure is excluded from the cost of the intangible asset:

- costs of introducing a new product or service including costs of advertising and promotional activities;
- costs of conducting business in a new location or with a new class of customer (including staff training); and
- administration and other general overhead costs (These expenses are also excluded from the cost of PPE.)

Capitalisation of costs should cease when the asset is ready for use, irrespective of whether it is put into use immediately or not.

Context example: Cost of intangible asset

Data Ltd acquired new technology that will revolutionise its current manufacturing process. Costs incurred were as follows:

	CU
Original cost of new technology	1,200,000
Discount received	120,000
Staff training incurred in operating the new process	60,000
Testing of the new manufacturing process	12,000
Losses incurred while other parts of the plant stood idle	24,000

The cost that should be capitalised as part of the intangible asset is:

	CU
Cost	1,200,000
Less discount received	(120,000)
Plus testing of process	12,000
Total	1,092,000

The costs of staff training and initial operating losses should be recognised as expenses in the period in which they occur.

2.4 Intangible assets acquired as part of a business combination

When an entity purchases another business entity the consideration given will normally exceed the fair value of the individual assets acquired and liabilities assumed. This excess is normally referred to as **goodwill**.

However, as part of the business combination, the acquiring company may gain control over the acquiree's intangible assets such as patents, copyrights and brands, and these are recognised as separate assets in their own right.

Intangible assets acquired as part of a business combination are normally considered to **meet the recognition criteria** of IAS 38. The cost of an intangible asset acquired as part of a business combination should be measured at its **fair value** at the date it was acquired. Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

Fair value may be observable from an active market or recent similar transactions. Other methods may also be used. If fair value cannot be ascertained reliably, then the asset has failed to meet the recognition criteria. In this situation no separate intangible asset would be recognised, resulting in an increase in the value of goodwill acquired in the business combination.

2.5 *Digital assets and cryptocurrency*

Definitions

Digital asset: *A digital asset is anything that is stored digitally and is uniquely identifiable that organisations can use to realise value (Gartner, nd).*

Cryptocurrency: *Cryptocurrency is a digital asset that is designed to function as a medium of exchange and store of value. It operates through a decentralised computer network independent of any central authority, such as a central bank, which does not issue or regulate it. Cryptocurrencies use blockchain technology to achieve decentralisation, transparency and immutability, distinguishing them from traditional monetary systems and financial assets. While they perform roles similar to currency, under IFRS Accounting Standards they are not recognised as cash or financial instruments but may be accounted for as intangible assets or inventory depending on the circumstances. (ACA Technology Glossary)*

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*The term **digital assets** encompasses a wide range of assets, including digital documents, audio, videos, software and websites. Continued technological developments mean that digital assets are growing in complexity. Through the use of distributed ledger technologies (ie, blockchain), we now have **cryptocurrencies**, **non-fungible tokens** and **tokenised real estate**. Many of these assets are presenting challenges in how they are accounted for, which is only set to increase as the scope and nature of digital assets broadens with new advances and applications of technology.*

*Accounting for **cryptocurrencies** under IFRS Accounting Standards, is, however, seemingly straightforward. The IFRS Interpretations Committee stated in 2019 that in the absence of a specific standard on cryptocurrencies, **cryptocurrencies most closely meet the IAS 38 definition of an intangible asset** (IFRS Interpretations Committee, 2019). This means they should initially be measured at cost and then subsequently measured at either cost less accumulated amortisation (though they are likely to have an indefinite useful life) or at fair value (if an active market exists – which it may for cryptocurrencies like bitcoin), with any gains or losses taken to other comprehensive income, as required by IAS 38. Where the cryptocurrency is held for sale in the ordinary course of business, it is accounted for under IAS 2 Inventories.*

This accounting treatment is in contrast to that required under US GAAP after the United States standard-setter, FASB, issued guidance in December 2023 to require certain crypto assets to be measured at fair value, with changes in fair value recorded in profit or loss (Deloitte, 2023).

The IASB's project on intangibles (which commenced in April 2024) is likely to include the accounting for cryptocurrencies and other digital assets in its scope, so it remains to be seen whether and how accounting for digital assets under IFRS Accounting Standards will change in the future.

2.6 Recognition of an expense

Expenditure on intangible assets should be recognised as an expense unless:

- it is part of the cost of an asset which meets the recognition criteria; or
- it arises in a business combination but cannot be recognised as an asset. (This will form part of the goodwill arising at the acquisition date.)

Examples of expenditure which should be treated as an expense include:

- start-up costs
- training costs
- advertising and promotional costs
- business relocation and reorganisation costs

Professional skills focus: Structuring problems and solutions

You should be able to take the information provided in a question and apply your knowledge of IAS 38 to decide which of the costs must be capitalised as intangible assets and which must be expensed to determine the initial cost of an intangible asset. It is imperative that you both understand and can apply this knowledge to a given scenario.

3 Internally generated assets

Section overview

- Internally generated goodwill should **not** be recognised.
- Expenditure incurred in the **research phase** should be expensed as incurred.
- Expenditure incurred in the **development phase** should be recognised as an intangible asset provided certain criteria are met.
- IAS 38 prohibits the recognition of internally generated brands.
- If recognised, internally generated assets should be measured at cost.

3.1 Recognition of internally generated assets

Internally generated goodwill should **not be recognised** as an asset.

The key difficulties in deciding whether **other internally generated intangible assets** should be recognised are:

- fixing the time when an identifiable asset comes into **existence**; and
- measuring its costs **reliably**, as it may be difficult to distinguish the costs of generating it from those of maintaining or enhancing the day-to-day operations of the business.

So additional requirements and guidance apply.

The evolution of such assets is split into the **research phase** and the **development phase**. Note that these phases relate to **all intangible assets**, not just what would normally be regarded as 'research and development expenditure'.

Also note that when there is doubt regarding into which phase expenditure falls, it should be allocated to the research phase.

3.2 Research costs

All expenditure that arises in the research phase should be recognised as an expense when it is incurred. No costs should be recognised as an intangible asset. The rationale for this treatment is that at this stage there is insufficient certainty that the expenditure will generate future economic benefits. Examples of research costs include:

- activities aimed at obtaining new knowledge
- the search for, evaluation and final selection of applications of research findings or other knowledge
- the search for alternatives for materials, devices, products, processes, systems or services
- the formulation, design, evaluation and final selection of possible alternatives for new or improved materials, devices, products, processes, systems or services

3.3 Development costs

Development costs **should be recognised** as intangible assets provided that the entity can demonstrate that **all** the following **strict criteria** are met:

- the technical feasibility of completing the intangible asset so that it will be available for use or sale;
- the intention to complete the intangible asset and use or sell it;
- the ability to use or sell the intangible asset;

- how the intangible asset will generate probable future economic benefits. Among other things, the entity should demonstrate the existence of a market for the output of the intangible asset or the intangible asset itself or, if it is to be used internally, the usefulness of the intangible asset;
- the availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- its ability to measure reliably the expenditure attributable to the intangible asset during its development.

If the above conditions are met development expenditure **must be capitalised**. In contrast with research costs, development costs are incurred at a later stage in a project, and the probability of success should be more apparent. Examples of development costs include the following:

- the design, construction and testing of pre-production or pre-use prototypes and models
- the design of tools, jigs, moulds and dies involving new technology
- the design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production
- the design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems or services

Where PPE is used for development activities, the depreciation charge on the PPE is included in the cost of the intangible asset recognised in accordance with IAS 38, *Intangible Assets*.

Professional skills focus: Applying judgement

Whilst the criteria for the recognition of development costs are strict and not open to interpretation, significant judgement needs to be applied in determining the existence of a market in which to sell the asset or the benefits that will be derived from its internal use. Professional accountants are likely to require the advice of experts to determine whether the criteria are satisfied.

Worked example: PPE and development costs

A pharmaceutical company began work on a new drug on 1 January 20X8 and purchased a centrifuge for that purpose at a cost of CU40,000. The centrifuge has an expected five-year useful life. Salaries paid to scientists working on the new drug have been CU100,000 pa.

On 1 January 20X9 the project met the IAS 38 criteria for recognition of development costs.

Requirement

What is the amount of the intangible asset that should be recognised at 31 December 20X9?

Solution

	CU
Salaries from 1 January 20X9	100,000
Depreciation from 1 January 20X9 (40,000/5)	8,000
	108,000

The salaries of the scientists are directly attributable costs and can therefore be capitalised.

The centrifuge is a tangible asset and is therefore capitalised as PPE in accordance with IAS 16. The depreciation on the centrifuge forms part of the cost of the development of the new drug and is therefore capitalised as a development cost rather than being written off to profit or loss.

3.4 Other internally generated intangible assets

The standard **prohibits** the recognition of **internally generated brands**, **mastheads**, **publishing titles and customer lists** and similar items as intangible assets. The reason for this is that these costs cannot be identified separately from the cost of developing the business as a whole. They can be seen as being component parts of internally generated goodwill, the recognition of which is also prohibited.

3.5 Cost of an internally generated intangible asset

If an internally generated intangible asset is recognised it should be measured at **cost**. The costs allocated to an internally generated intangible asset should be only costs that can be **directly attributed** or allocated on a reasonable and consistent basis to creating, producing or preparing the asset for its intended use. Such costs include:

- materials and services consumed
- employment costs of those directly engaged in generating the asset
- legal and patent or licence registration fees

The principles underlying the costs that should or should not be included are similar to those for other non-current assets and inventory.

The cost of an internally generated intangible asset is the sum of the **expenditure incurred from the date when** the intangible asset **first meets the recognition criteria**. If, as often happens, considerable costs have already been recognised as expenses before management can demonstrate that the criteria have been met, **this earlier expenditure should not be retrospectively recognised** at a later date as part of the cost of an intangible asset.

Interactive question 1: Treatment of expenditure

Douglas Ltd is developing augmented reality technology for use in children's toys. During 20X7, expenditure incurred was CU100,000, of which CU90,000 was incurred before 1 December 20X7 and
CU10,000 was incurred between 1 December 20X7 and 31 December 20X7. Douglas Ltd can demonstrate that, at 1 December 20X7, the development met the criteria for recognition as an intangible asset.

Requirement

How should the expenditure be treated?

See **Answer** at the end of this chapter.

Interactive question 2: Acquired and internally generated intangible assets

One of your colleagues at Shazzle Ltd has come to ask for clarification regarding the treatment of intangible assets that are developed by the business internally (such as new software the company is currently developing) and the purchase of rights to distribute a competitor's software.

Requirement

Compare the recognition criteria for acquired and internally generated intangible assets. See **Answer** at the end of this chapter.

4 Subsequent measurement of intangible assets

Section overview

- After initial recognition an entity can choose between two measurement models:
  - the cost model
  - the revaluation model
- In practice few intangible assets are revalued.
- An intangible asset with a finite useful life should be amortised over this period.
- An intangible asset with an indefinite useful life should not be amortised.

4.1 Cost model

The standard allows two methods of measuring intangible assets after they have been first recognised.

Applying the **cost model**, an intangible asset should be **carried at its cost**, less any accumulated amortisation and any accumulated impairment losses.

4.2 Revaluation model

The **revaluation model** requires an intangible asset to be carried at a revalued amount, which is its **fair value** at the date of revaluation, less any subsequent accumulated amortisation and any subsequent accumulated impairment losses.

The fair value should be determined in accordance with IFRS 13, *Fair Value Measurement*. The fair value must be able to be measured reliably by reference to an **active market** in that type of asset.

Definition

Active market: *A market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis (IFRS 13: Appendix A).*

Notes

1. The **entire class** of intangible assets of that type should be revalued at the same time (to prevent selective revaluations).
2. If an intangible asset in a class of revalued intangible assets cannot be revalued because there is **no active market** for this asset, that asset should be carried at its **cost less any accumulated amortisation and impairment losses.**
3. Revaluations should be made with such regularity that the carrying amount does not differ materially from that which would be determined using fair value at the end of the reporting period.

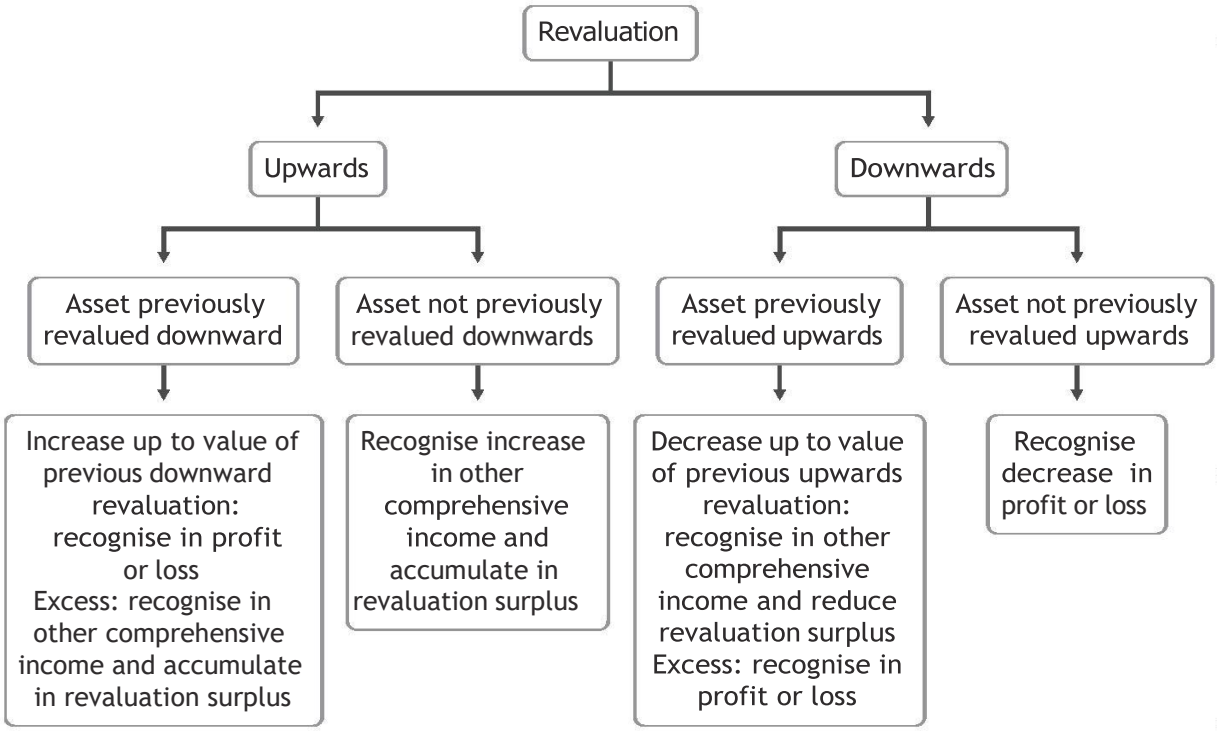
4 Where an intangible asset is revalued, subsequent amortisation is based on the revalued amount.

In practice there **will not usually be an active market** in an intangible asset; therefore, the revaluation model **will usually not be available**. For example, although copyrights, publishing rights and film rights can be sold, these items are **unique** and therefore no active market can exist for them. The contracts are negotiated between individual buyers and sellers and the transactions are infrequent. In such cases, revaluation to fair value would be inappropriate. A fair value might be obtainable, however, for assets such as freely transferable fishing rights or taxi licences.

Note: In the exam, the fair value amount will be provided if you need to use it in calculations relating to intangible assets.

4.3 Revaluation: accounting treatment

The treatment of revaluation gains and losses for intangible assets (other than goodwill) follows the same rules as for PPE (see Chapter 5). This can be summarised as follows:



Worked example: Revaluation

Gove has a licence to operate bio-fuel buses in the North-East of England. It subsequently measures the licence under the revaluation model. The licence was revalued upwards by CU800,000 in 20X6, which was recognised in other comprehensive income and a revaluation surplus of CU800,000 was presented in the statement of financial position. Gove does not have a policy of transferring the revaluation surplus to retained earnings over the life of the asset. At the end of 20X7, the licence was revalued downward by CU1,000,000.

Requirement

Explain the accounting treatment for the downward revaluation.

Solution

In this example, the downward valuation should first be recognised in other comprehensive income and set against the revaluation surplus of CU800,000. The revaluation surplus is therefore reduced to zero. The excess of CU200,000 is recognised as an expense in the statement of profit or loss in 20X7.

4.4 Useful life

Under both measurement models an entity should **assess** the useful life of an intangible asset, which may be **finite or indefinite**. An intangible asset has an indefinite useful life when there is **no foreseeable limit** to the period over which the asset is expected to generate net cash inflows for the entity.

Many factors should be considered in determining the useful life of an intangible asset, including:

- expected usage
- typical product life cycle
- technical, technological, commercial or other types of obsolescence
- the stability of the industry
- expected actions by competitors
- the level of maintenance expenditure required
- legal or similar limits on the use of the asset, such as the expiry dates of related leases

Computer software and many other intangible assets normally have short lives because they are susceptible to technological obsolescence. However, uncertainty does not justify choosing a life that is unrealistically short.

The useful life of an intangible asset that arises from **contractual or other legal rights** should not exceed the period of the rights, but may be shorter depending on the period over which the entity expects to use the asset.

4.5 Amortisation period and amortisation method

An intangible asset with a finite useful life should be amortised over its **expected useful life**.

- Amortisation should start when the asset is **available for use**.
- Amortisation should cease at the earlier of the date that the asset is classified **as held for sale** in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* and the date that the asset is **derecognised**.
- The amortisation method used should reflect the **pattern in which the asset's future economic benefits are consumed**. If such a pattern cannot be predicted reliably, the straight-line method should be used.
- The amortisation charge for each period should normally be recognised **in profit or loss**.

The **residual value** of an intangible asset with a finite useful life should be **assumed to be z ero** unless a third party is committed to buying the intangible asset at the end of its useful life or unless there is an active market for that type of asset (so that its expected residual value can be measured) and it is probable that there will be a market for the asset at the end of its useful life.

The amortisation period and the amortisation method used for an intangible asset with a finite useful life should be **reviewed at each financial year end**.

4.6 Intangible assets with indefinite useful lives

An intangible asset with an indefinite useful life **should not be amortised**. Instead, the asset should be reviewed annually to assess whether there has been a fall in its value in accordance with IAS 36, *Impairment of Assets*.

5 Disposals

Section overview

On disposal of an intangible asset, any gain or loss should be recognised in profit or loss.

5.1 Accounting treatment

An intangible asset should be derecognised from the statement of financial position when it is disposed of or when there is no further economic benefit expected from its future use or disposal. On disposal the gain or loss arising from the **difference between the net disposal proceeds and the carrying amount** of the asset should be recognised in profit or loss as a gain or loss on disposal, unless IFRS 16, *Leases* requires otherwise on a sale and leaseback arrangement.

Worked example: Disposal

Marketpro Ltd has been trading for 10 years and has developed specialist software aimed for use by market research businesses. The software met the criteria for recognition and the directors initially recognised the software at its cost of CU120,000. The software had a carrying amount of CU80,000 when the company moved into a different line of business and sold it to a competitor for CU200,000.

Requirement

How will the sale be recorded in the financial statements?

Solution

The software was an internally-generated intangible asset, which met the recognition criteria and was therefore capitalised at its cost of CU120,000 and amortised to a carrying amount of CU80,000. The sale proceeds of CU200,000 therefore give rise to a gain on disposal of CU120,000 which is recognised in profit or loss in the period it is earned.

6 Disclosure

Section overview

IAS 38 requires detailed disclosures:

- For each class of intangible asset.
- For intangible assets accounted for at revalued amounts.

6.1 Disclosure requirements

The financial statements should disclose the **accounting policies** for intangible assets that have been adopted.

For **each class of intangible assets**, disclosure is required of the following, distinguishing between internally generated intangible assets and purchased intangible assets:

- the method of amortisation used for assets with finite lives;
- whether assets have a finite or indefinite life and the useful life of the assets or the amortisation rates used for finite life assets;
- the gross carrying amount, and any accumulated amortisation (aggregated with accumulated impairment losses) at the beginning and the end of the period;
- the line item(s) of the statement of profit or loss in which any amortisation of intangible assets is included; and
- a reconciliation of the carrying amount as at the beginning and at the end of the period (additions, retirements/disposals, revaluations, impairment losses, amortisation charge for the period).

The financial statements should also disclose the following:

- In the case of intangible assets that are assessed as having an indefinite useful life, the carrying amounts and the reasons supporting the assessment of an indefinite useful life.
- A description, the carrying amount, nature and remaining amortisation period of any individual intangible asset that is **material to the financial statements of the entity as a whole**.
- The existence (if any) and carrying amounts of intangible assets whose **title is restricted** and of intangible assets that have been **pledged as security** for liabilities.
- The amount of any contractual **commitments for the future acquisition of intangible assets**.

Where intangible assets are accounted for under the revaluation model, disclosure is required of the following by class of intangible assets:

- the **effective date of the revaluation**
- the **carrying amount** of revalued intangible assets
- the carrying amount that would have been recognised **if the cost model had been used**, and the amount of amortisation that would have been charged

Also:

- the amount of any **revaluation surplus** on intangible assets, as at the beginning and end of the period, and movements in the surplus during the year (and any restrictions on the distribution of the balance to shareholders);
- the methods and significant assumptions applied in estimating the assets' fair values; and
- the amount of research and development expenditure that has been recognised as an expense in the period should be disclosed.

Note: The disclosure note for intangible assets is largely consistent with that for PPE, which is illustrated in Chapter 5. The information relating to the cost, accumulated amortisation and carrying amount of each class of asset is presented in a tabular format, reconciling the opening to closing position. Additional information relating to, for example, the amortisation method, any assets which have an indefinite useful life and assets which have been revalued is then detailed in notes immediately under the table.

Professional skills focus: Concluding, recommending and communicating

An exam question may ask you to draft a disclosure note in respect of intangible assets. You may also be asked to correctly resolve an accounting issue, such as assessing the costs from an internal project and explaining the required accounting treatment to a non-financial colleague in the form of a recommendation.

Interactive question 3: Intangible assets

In preparing its accounts for the year ended 30 June 20X7 NS plc has to deal with a number of matters.

(1) An advertising campaign has just been completed at a cost of CU1.5 million. The directors authorised this campaign on the basis of the evidence from NS plc's advertising agency that it would create CU4 million of additional profits over the next two years.

(2) A staff training programme has been carried out at a cost of CU250,000, the training consultants having demonstrated to the directors that the additional profits to the business over the next 12 months will be CU400,000.

(3) A new product has been developed during the year. The expenditure totals CU1.2 million, of which CU750,000 was incurred before 31 December 20X6, the date on which it became clear the product was technically feasible. The new product will be launched in the next three months and its recoverable amount is estimated at CU600,000.

Requirement

Explain the required accounting treatment of these matters in NS plc's statement of financial position at 30 June 20X7.

See **Answer** at the end of this chapter.

7 Goodwill

Section overview

- Internally generated goodwill should not be recognised.
- Acquired goodwill should be recognised.
- Acquired goodwill should not be amortised but is tested for impairment at least annually.

7.1 What is goodwill?

Goodwill can be thought of as being the excess of the value of a business over the sum of the fair value of its identifiable net assets. It can be created in many different ways, such as:

- **by good relationships** between a business and its customers
- by building up a **reputation** (by word of mouth perhaps) for high quality products or high standards of service
- by **responding promptly and helpfully** to queries and complaints from customers
- through the **personality of the staff** and their attitudes to customers

The value of goodwill to a business might be **extremely significant**. However, goodwill is not usually recognised in the accounts of a business at all, and we should not normally expect to find an amount for goodwill in its statement of financial position.

On reflection, we might agree with this omission of goodwill from the accounts of a business.

(a) The goodwill is **inherent** in the business, but it has not been paid for and it does not have an 'objective' value. We can guess at what such goodwill is worth, but such guesswork would be a matter of individual opinion, and not based on hard facts.

(b) Goodwill **changes** from day to day. One act of bad customer relations might damage goodwill and one act of good relations might improve it. Staff with a favourable personality might retire or leave to find another job, to be replaced by staff who need time to find their feet in the job, etc. Since goodwill is continually changing in value, it cannot realistically be recorded in the accounts of the business.

The result of this is that **internally generated goodwill should not be recognised as an asset**.

7.2 Purchased goodwill

There is one exception to the general rule that goodwill has no objective valuation. This is **when a business is acquired**. Entities wishing to set up in business have a choice of how to do it: they can either set up their business from scratch, or they can buy up an existing business from a proprietor willing to sell it. When a buyer purchases an existing business, it may pay more than the net carrying amount of the business's assets less its liabilities, and therefore also acquires the goodwill of the business.

Purchased goodwill is shown in the acquirer's statement of financial position because it has been paid for. It has no tangible substance, and so it is an **intangible non-current asset**.

Note: At this stage we are referring to goodwill arising on the acquisition of an **unincorporated** business. Goodwill arising on the acquisition of companies is reported in consolidated financial statements and will be explained when we deal with group accounting in Chapter 12 onwards. In both situations IFRS 3, *Business Combinations* applies.

Context example: Purchased goodwill

At 31 December 20X7, Andrew has net assets in his statement of financial position amounting to CU150,000. At that date, he believed the goodwill in his business to be worth CU20,000. Andrew cannot recognise the CU20,000 of goodwill as it is internally generated.

On 1 January 20X8, Brian purchased Andrew's business for CU170,000 which reflects the amount of the net assets and the goodwill. Brian has purchased the goodwill in Andrew's business and can recognise the goodwill as an intangible asset.

Note: This is a simple example to illustrate the difference between internally generated and purchased goodwill. The requirements of the IFRS 3 which apply to business combinations will be covered in detail in Chapter 12.

7.3 Ethical and judgement issues

The IESBA *Code of Ethics* requires professional accountants to demonstrate **objectivity**. Being objective requires the accountant to not compromise their professional or business judgements due to bias or the undue influence of others.

There may be pressures on a professional accountant to incorrectly capitalise development costs which may not meet all the criteria under IAS 38 in order to maximise profits or increase the carrying amount of assets on the statement of financial position.

Professional judgement is often required to assess which costs may be attributed to the valuation of intangible assets acquired as part of a business combination (especially where these assets have been internally generated). As such, errors, intentional or otherwise, may occur due to director shareholder pressures, time constraints due to a business acquisition deadline, or a lack of understanding or knowledge of what the accounting standards specify. Judgement is also required when assessing the useful life of intangible assets, something which is especially important where technologies and software are rapidly developing, and may, therefore, be subject to relatively short useful lives.

Professional skills focus: Applying judgement

An exam question may ask you to consider the ethical issues arising and actions you should take if management wish to take an aggressive approach to the capitalisation of research and development costs. Consider the fundamental ethical principles at stake, the potential impact on the financial statements (consider the financial impact as well as the possibility of misleading stakeholders) and what actions you should take.

Interactive question 4: Stannington plc

Stannington plc is 'knowledge-led' and its management has initiated a strategy of investment in areas such as brands, advertising, media, technology, and employee training. The business has few items of property, plant and equipment and the management are concerned that last year's statement of financial position did not reflect the value of these intangible assets. The following events have occurred during the year ended 31 December 20X3.

(1) On 1 January 20X3 the company acquired a cable television franchise for CU10 million. The franchise allows Stannington plc the exclusive right to provide cable television to two million viewers in the Sheffield area for the next 10 years.

A 10-year franchise covering a similar number of viewers in Liverpool was sold by a competitor to a third party on 31 December 20X3 for CU15 million. A franchise consultant has provided the management with an independent report that supports an equivalent market value for the Sheffield franchise. The company has measured the franchise rights in its statement of financial position at the valuation of CU15 million.

(2) The company is developing software for use in streaming programmes via smart phone hardware. It is unique software, as it allows users to interact as well as watch those programmes provided by Stannington's broadcasting network. In previous years CU2 million incurred on the project had been recognised as an expense in profit or loss as research costs. On 1 July 20X3 the company was able to demonstrate that the process met the IAS 38 criteria for recognition as an intangible asset. At 31 December 20X3 the company has recognised the intangible asset at a cost of CU4.5 million, comprising the expenses included in the 'Research and development costs' table below.

(3) On 1 January 20X3 Stannington plc acquired a publishing title for CU25 million. The title complemented the company's existing portfolio of four similar publishing titles. During 20X3 CU10 million of expenditure was incurred on marketing and promotional activities, which management hope has enhanced the value of the publishing portfolio, and CU2 million has been added to the carrying amount of the acquired publishing title.

The long-term strategic plans for the business show that Stannington plc will invest significantly in the future development of the titles. Management believe this will enhance the value of the titles and that the titles have an indefinite life.

Research and development costs

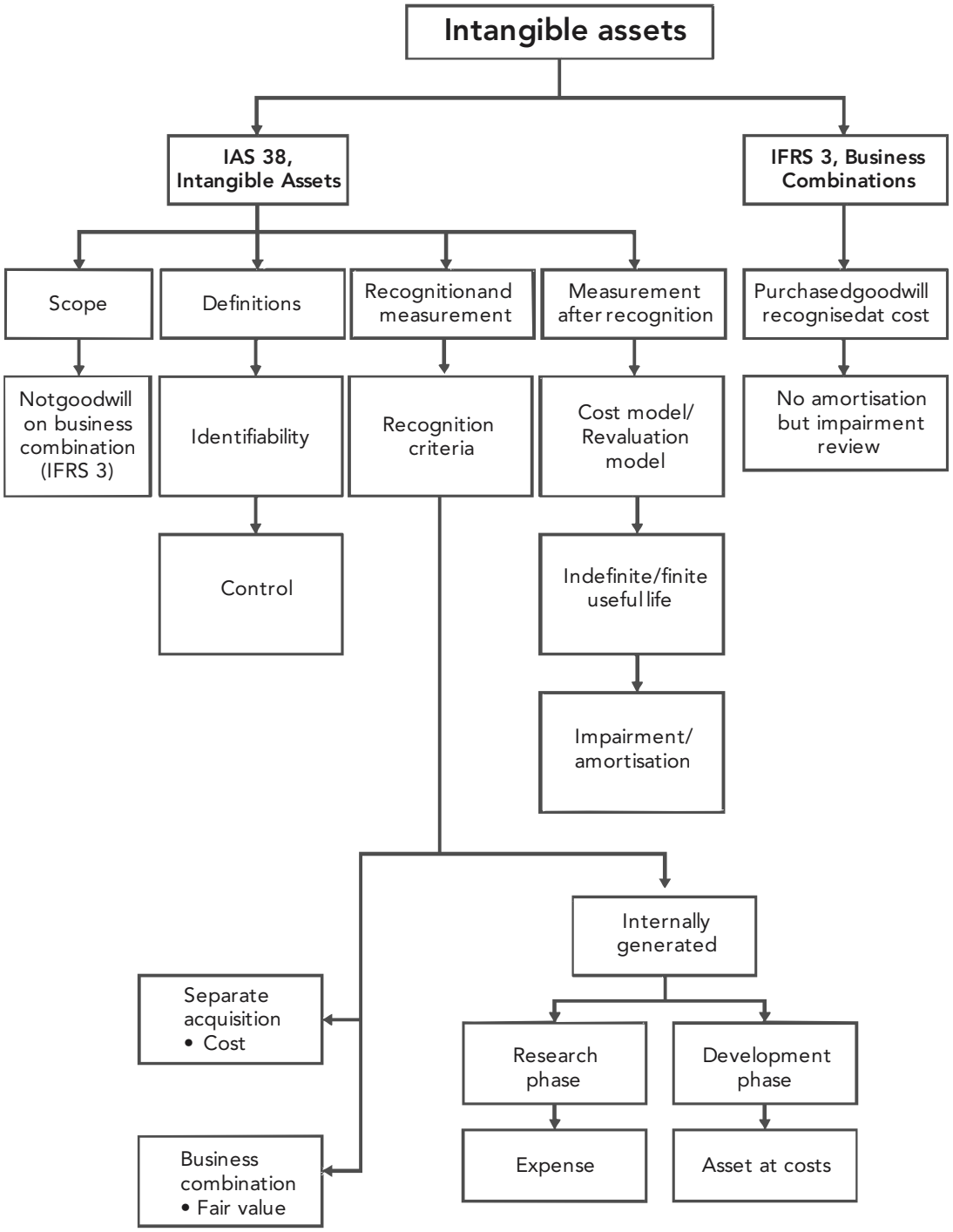
	CU
Research costs from prior years	2,000,000
Costs incurred in the six months to 30 June 20X3	1,000,000
Costs incurred in the six months to 31 December 20X3	1,500,000
	4,500,000

Requirement

Explain the required accounting treatment of the above issues, preparing calculations where appropriate and setting out the presentation requirements.

See **Answer** at the end of this chapter.

Summary


Intangible assets
IAS 38, Intangible Assets
IFRS 3, Business Combinations
Scope
Definitions
Recognitionand measurement
Measurement after recognition
Purchasedgoodwill recognisedat cost
Notgoodwill on business combination (IFRS 3)
Identifiability
Recognition criteria
Cost model/ Revaluation model
No amortisation but impairment review
Control
Indefinite/finite useful life
Impairment/ amortisation
Internally generated
Separate acquisition • Cost
Research phase
Development phase
Business combination • Fair value
Expense
Asset at costs

Further question practice

1 Knowledge Diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you explain, and apply, the criteria that an intangible asset must satisfy to be 'identifiable'? (Topic 1)
2.	Can you apply the basic principles of initial measurement of an intangible asset? (Topic 3)
3.	Do you understand the difference between research costs and development costs, and can you apply the correct accounting treatment? (Topic 4)
4.	Are you able to apply the correct treatment regarding the amortisation of an intangible asset? (Topic 5)
5.	Do you understand when an intangible asset can be revalued and how to account for the revaluation? (Topic 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Henna plc	This question tests your knowledge of the accounting treatment of a variety of different intangible assets.
IAS 38, *Intangible Assets*	This question asks you to explain the accounting treatment of a number of different costs applying the principles of IAS 38.
Dronfield Ltd	Marks have been allocated to the different parts of this question to allow you to practice your time management skills. This question tests your knowledge and application skills in a number of given scenarios.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Pleione Ltd (issue 3 only)	This question asks for an explanation of the accounting treatment of two brand names, one which was purchased and one which was internally developed by Pleione Ltd.
Sorbet Ltd (part 2 only)	This question requires the preparation of a disclosure note for the intangible assets owned by Sorbet Ltd.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

IAS 38 All examinable except paragraphs 42–47 and the illustrative examples.

IAS 3 All examinable except the following: paragraphs 41 and 42. Appendix B1–B4, B13–B27 and the illustrative examples are also excluded.

The paragraphs listed below are the key references you should be familiar with.

1 Scope and definition

- Scope of IAS 38: excludes what other IFRS Accounting Standards cover eg, goodwill acquired in a business combination (IFRS 3) – **IAS 38 (2 and 3)**
- Intangible asset: an identifiable, non-monetary asset without physical substance.
- Identifiability the key: – **IAS 38 (8)**
  - Separable – could be sold separately from entity which owns it – **IAS 38 (12(a))**
  - Arises from contractual or other legal rights – **IAS 38 (12(b))**
- Control is an essential part of the definition of an asset. Many items excluded because not controlled by a business: – **IAS 38 (13)**
  - Staff (always)
  - Customers (very often)

2 Recognition and initial measurement

- Reliable measurement – the recognition criteria disallow: – **IAS 38 (21)**
  - Internally generated goodwill – **IAS 38 (48)**
  - Similar items such as internally generated brands, mastheads and customer lists – **IAS 38 (63)**
  - Advertising – **IAS 38 (69)**
- Initial measurement at cost – **IAS 38 (24)**
- Separate acquisition:
  - Always – future economic benefits are probable – **IAS 38 (25)**
  - Usually – cost reliably measurable – **IAS 38 (26)**
  - Cost includes licences, etc – **IAS 38 (27)**
- Part of business combination
  - Always – future economic benefits are probable – **IAS 38 (33)**
  - Almost always – cost reliably measurable – **IAS 38 (35)**
  - Cost = fair value – **IAS 38 (33)**
  - Includes acquiree's unrecognised intangible assets, such as in-process research and development – **IAS 38 (34)**
- Internally generated: at cost, but:
  - Research expenditure (seeking new knowledge) written off as incurred (including subsequent expenditure on business combination research) – **IAS 38 (54 and 42)**
  - Development expenditure (application of research findings) capitalised if it meets stringent conditions as to future economic benefit – **IAS 38 (57 and 42)**

- Development expenditure includes materials, staff costs and licences but not general overheads – **IAS 38 (66 and 67)**
- Only development expenditure incurred after recognition criteria met is to be capitalised. No subsequent capitalisation of earlier expenditure already recognised in profit or loss – **IAS 38 (65 and 71)**

- Subsequent expenditure almost always written off, because most expenditure relates to maintenance, not enhancement, and is non-separable from that on business as a whole – **IAS 38 (20)**

3 Measurement after recognition

- Cost or revaluation models – **IAS 38 (72)**
  - Revaluation only if active market (transactions happen with sufficient frequency and volume to provide pricing information on an ongoing basis) – **IAS 38 (75 and 78)**
- Useful life:
  - Indefinite – no amortisation, but annual impairment and useful life reviews – **IAS 38 (107-109)**
  - Finite – annual amortisation, with impairment review if indication of impairment. Residual value almost always nil – **IAS 38 (97, 100, 111)**

4 Disclosure

- Disclosures specific to intangible assets (otherwise follow IAS 16):
- Whether useful lives are indefinite or finite (in which case amortisation rates must be disclosed) **– IAS 38 (118(a))**
- For intangible assets with indefinite useful lives, their carrying amount and the reasons supporting the indefinite life assessment – **IAS 38 (122(a))**
- Individual assets material to financial statements as a whole – **IAS 38 (122(b))**
- Amount of research and development expenditure recognised as an expense in the period – **IAS 38 (126)**

5 Goodwill

- Goodwill: non-current asset at excess of consideration over net assets acquired – **IFRS 3 (32)**
- No amortisation but subject to annual impairment reviews – **IAS 36 (10)**

6 References

Deloitte (2023) *FASB Issues Final Standard on Crypto Assets* [Online]. Available from: https://dart.deloitte.com/USDART/home/publications/deloitte/heads-up/2023/fasb-issues-asu- crypto-assets [Accessed 30 April 2024].

Gartner (n.d.) *Gartner Glossary: Digital Assets* [Online]. Available from: https://www.gartner.com/en/finance/glossary/digital-assets [Accessed 30 April 2024].

IASplus (2021) *Standard setters discuss intangibles* [Online]. Available from: https://www.iasplus.com/en-gb/news/2021/09/ifass-intangibles [Accessed 30 April 2024].

IFRS Foundation (n.d.) *IFRS Foundation work plan: Intangible Assets* [Online} . Available from: https://www.ifrs.org/projects/work-plan/intangible-assets/#about [Accessed 30 April 2024].

IFRS Interpretations Committee (2019) *Holdings of Cryptocurrencies – J une 2019* [Online]. Available from: https://www.ifrs.org/content/dam/ifrs/supporting-implementation/agenda-decisions/2019/holdings-of-cryptocurrencies-june-2019.pdf [Accessed 13 May 2024].

Self-test questions

Answer the following questions.

1 Plex Ltd

During 20X7 Plex Ltd incurred the following expenditure on research and development activities, none of which related to the cost of tangible non-current assets.

(1) CU20,000 on investigating methods of separating raw materials into chemicals A, B and C.

(2) After the technical viability of converting chemical B into a new medicine for sensitive teeth had been proved, CU150,000 on the conversion process.

Commercial production and sales of the medicine commenced on 1 April 20X7 and are expected to produce steady profitable income during a 10-year period before being replaced. Adequate resources exist to achieve this. No commercial uses have been discovered for chemicals A and C.

Requirement

What is the development expenditure that should be carried forward at 31 December 20X8 in accordance with IAS 38, *Intangible Assets*?

2 Henna plc

Henna plc was incorporated on 1 January 20X6. At 31 December 20X6 the following items had arisen.

(1) Purchase of a high performance computer network for new software development where the company can test new software concepts CU80,000

(2) Goodwill created as a result of an acquisition of a competitor company specialising in payroll services CU100,000

(3) Goodwill assessed to the value of CU80,000 by management to reflect the customer base and the success of Henna plc in the BD market

(4) Patents purchased in respect of Zion software which is used within the Henna plc Small Expanding Business Software package, costing Henna plc CU70,000

(5) Costs incurred by the company in developing the Henna brand name CU60,000

Requirement

Before amortisation, what amount should be carried as intangible assets in the statement of financial position of Henna plc at 31 December 20X6 in accordance with IAS 38, *Intangible Assets*?

3 IAS 38, Intangible Assets

In accordance with IAS 38, *Intangible Assets* how should these types of expenditure be treated in the financial statements?

(1) Tangible assets acquired in order to provide additional secure facilities for research and development activities

(2) Legal costs in connection with the registration of a patent

(3) Costs of searching for possible alternative products

(4) Salaries of personnel solely engaged in finalising a new product

4 Minbad plc

Minbad plc is a company operating in media and communications. It owns a number of newspapers and monthly magazine titles, which were acquired when the company acquired the assets of Newsmedia. The consideration totalled CU130 million, of which CU100 million was attributed to identifiable net assets (CU60 million specifically for the newspaper and magazine titles). The acquisition occurred on 1 January 20X7. The newspaper and magazine titles are assessed as having indefinite lives. Goodwill arising on the acquisition is estimated to have a useful life of 20 years.
However, an impairment review at 31 December 20X7 showed that goodwill had fallen in value by CU1 million during 20X7.

The newspapers and magazines have all shown increasing circulation since the acquisition. Accordingly, in considering the financial statements to 31 December 20X7 the directors wish to revalue the titles to CU133 million, which represents the sum of amounts it is estimated could be realised if each title and its associated rights were sold separately in the market at 31 December 20X7. The directors estimate that this approximates closely to current cost.

On 1 January 20X7 the company decided to expand its printing capacity by investing in new high tech machinery costing CU20 million. This machinery had been developed by a French company and Minbad plc had to pay CU20 million to acquire the patent allowing it sole use of the technology for 10 years. In addition Minbad plc has also developed a range of greeting cards to be sold alongside, and advertised in, the monthly magazines. These cards will all be sold under a newly developed brand name which Minbad plc has developed at a cost of CU6 million in 20X7.

Requirements

4.1 Assuming that IAS 38, *Intangible Assets* and IFRS 3, *Business Combinations* are complied with, prepare the table of movements and accounting policy notes for intangible assets for inclusion in the financial statements of Minbad plc for the year ended 31 December 20X7.
4.2 Comment on your treatment of Minbad plc's intangible assets in 4.1 above in the light of the *Conceptual Framework for Financial Reporting*.

5 Dronfield Ltd

IAS 38, *Intangible Assets* defines an intangible asset as an **identifiable** non-monetary asset without physical substance. An asset is a resource:

- controlled by an entity as a result of past events; and
- from which future economic benefits are expected to flow to the entity.

IAS 38 requires an entity to recognise an intangible asset in its financial statements if it meets the recognition criteria.

Dronfield Ltd is a large company which researches, develops and manufactures pharmaceutical products. The company invests heavily in the following areas.

(1) Research into alternative chemically active ingredients that may have therapeutic benefit. The research activities identify chemical compounds that have commercial application possibilities.

(2) Development of chemical compounds by applying research findings to design new drug therapies. At the end of the development phase each new compound must be successful in a series of regulatory trials before production can commence.

(3) The investment in marketing and brand development of new pharmaceutical products. This includes the significant launch costs of new drugs and the on-going brand development activities.

(4) The acquisition, either directly or through business combinations, of pharmaceutical patents and brands at the fully licensed stage.

Requirements

5.1 Discuss the IAS 38 definition of an intangible asset with specific reference to the following terms:

- identifiable
- control
- future economic benefits

5.2 Explain and justify the required accounting treatment for each of the above four areas by considering the recognition criteria for internally developed and acquired intangible assets

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

At the end of 20X7, the development of the augmented reality technology should be recognised as an intangible asset at a cost of CU10,000. This is the expenditure incurred since the date when the recognition criteria were met, that is, 1 December 20X7. The CU90,000 expenditure incurred before 1 December 20X7 is expensed, because the recognition criteria were not met. It cannot retrospectively form part of the cost of the development costs recognised in the statement of financial position.

Answer to Interactive question 2

Recognition criteria

Initial or subsequent expenditure on an item should be recognised as an intangible asset if it will give rise to future economic benefits and if its cost or value can be measured reliably.

For acquired intangible assets the probability of expected future benefits is reflected in the price paid, so this condition is automatically met. This is the case whether the asset has been purchased separately or as part of a business combination. So the recognition criteria are fully met if the acquiring entity **can measure the cost of the intangible assets reliably.**

IAS 38 outlines the criteria that need to be met for an entity to recognise the costs associated with an internally generated asset (such as technical feasibility, and probable future economic benefits).
Costs should only be capitalised from the date that the recognition criteria are met. Costs written off before this point should never be subsequently capitalised. In practice this restricts the capitalisation of costs to the later stages of development, when the technical and economic viability of a project is virtually certain. For example, where companies require regulatory approval for developed products, no costs should be recognised as an asset until that approval is successful. This is usually the point at which development is complete.

IAS 38 does not allow the recognition of internally generated goodwill, brands, mastheads, publishing titles and so on, because the costs of individual assets cannot be separated from the development of the business as a whole and then measured reliably. However, such items should be recognised if acquired separately or as part of a business combination. An acquisitive company's statement of financial position would probably present more intangible assets than a company which has invested in their internal generation.

Answer to Interactive question 3

The treatment in NS plc's statement of financial position at 30 June 20X7 should be as follows:

(1) **Advertising campaign:**

No asset should be recognised, because it is not possible to identify future economic benefits that are attributable only to this campaign. The whole expenditure should be recognised in profit or loss.

(2) **Staff training programme:**

No asset should be recognised, because staff are not under the control of NS plc and when staff leave, the benefits of the training, whatever they may be, also leave. The whole expenditure should be recognised in profit or loss.

(3) **New product:**

The development expenditure appearing in the statement of financial position should be measured at CU450,000.

The expenditure before the date on which the product becomes technically feasible should be recognised in profit or loss. The remaining CU450,000 is less than the recoverable amount, so no impairment issues arise.

Answer to Interactive question 4

Accounting treatment

(1) **Cable television franchise**

The cable television franchise should be recognised at cost of CU10 million on 1 January 20X3 provided the management believe cost is reliably measurable. The processes involved in determining whether to acquire the asset should provide sufficient evidence.

The intangible asset should be amortised over its useful life. The rights cover a period of 10 years and so an amortisation expense of CU1 million pa should be recognised, such that the carrying amount becomes CU9 million at the end of the year.

Management have revalued the asset to CU15 million at the year end. The revaluation model is allowed by IAS 38 provided:

- all assets of the same class are revalued; and
- fair values can be determined by reference to an active market for the intangible asset.

An active market is one in which there are sufficient frequency and volume of transactions to provide pricing information on an ongoing basis. It is unusual for such a market to exist for many intangible assets and it does not exist for television franchises as they are unique, they cover specific areas and demographics.

As no active market exists the franchise should not be revalued and the asset must be returned to its historical cost carrying amount.

(2) **New smartphone software**

All costs incurred before the production process met the IAS 38 criteria for recognition as an intangible asset should be written off as an expense. Such costs cannot be subsequently capitalised and therefore the CU2 million previously expensed as research and the costs incurred prior to 30 June 20X3 cannot be included in the initial cost of the intangible asset. The asset should be initially measured in the statement of financial position at cost of CU1.5 million, being the expenditure after 1 July 20X3.

The streaming software is unique and while an offer has been received from a competitor that provides evidence of fair value, it should continue to be recognised at cost, as the CU6 million value is not determined by reference to an active market.

However, as the asset is not ready for use, IAS 36 requires an impairment review (that is estimate of recoverable amount) to be made at least annually. The offer from the competitor provides evidence of the recoverable amount and that no impairment has been incurred.

(3) **Publishing title**

The publishing title should be recognised as an asset initially at a cost of CU25 million. The usual recognition criteria for intangible assets should be applied to any subsequent expenditure – that is it is recognised in profit or loss unless it is probable that the expenditure will lead to future economic benefits and the expenditure can be reliably measured.

The CU2 million expenditure does not meet the recognition criteria, as no persuasive evidence is available that future economic benefits are probable. In addition, it is difficult to attribute the expenditure to that asset rather than to the publishing portfolio or business as a whole. It appears that the CU2 million is an apportionment of the total amount across the five titles. The CU2 million should be recognised in profit or loss and the asset carried at CU25 million.

The significant investment in the development of all the titles is powerful evidence that the acquired titles have indefinite lives. There should be no amortisation charges but annual impairment reviews are required, even if there is no indication of any impairment.

Answers to Self-test questions

1 Plex Ltd

For the two R&D expenditures:

(1) Relates to research so should be written off as an expense in 20X7.

(2) Relates to development so should be capitalised once the recognition criteria (IAS 38 paragraph 57) are met.

	CU
Capitalised as at 1 April 20X7	150,000
Amortised up to 31 December 20X8 (21/120 × 150,000)	(26,250)
C/f as at 31 December 20X8	123,750

2 Henna plc

CU170,000

(1) should be carried forward as property, plant and equipment under IAS 16.

(2) and (4) should be carried forward as intangible assets under IAS 38.

(3) and (5) should not be carried as intangible assets – per IAS 38 (paras. 48 and 63).

3 IAS 38, Intangible Assets

(1) Capitalised under IAS 16.

(2) and (4) Capitalised as part of the cost of an internally-generated intangible (IAS 38: paras. 66–67).

(3) should be written off to profit or loss as research expenditure.

4 Minbad plc

4.1 Notes to the financial statements at 31 December 20X7 (extracts)

Intangible assets	Goodwill CUm	Patents CUm	Publishing titles CUm	Total CUm
Cost				
At 1 January 20X7	–	–	–	–
Additions	30	20	60	110
At 31 December 20X7	30	20	60	110
Amortisation/ impairment				
At 1 January 20X7	–	–	–	–
Charge for year (20 ÷ 10)	1	2	-	3
At 31 December 20X7	1	2	-	3
Carrying amount				
At 1 January 20X7	-	-	-	-
At 31 December 20X7	29	18	60	107

Note: Of the additions during the year totalling CU110 million the goodwill and publishing titles were acquired through a business combination. The patents were separately acquired.

Accounting policy note

Purchased intangible assets are recognised at the fair value of consideration paid and separately from goodwill.

Patents are amortised on a straight-line basis over the life of the legal agreement.

Publishing titles are considered to have an indefinite life and are not amortised but are subject to annual impairment reviews.

Goodwill is not amortised but is subject to annual impairment reviews.

4.2 ***Conceptual Framework for Financial Reporting***

Under the *Conceptual Framework for Financial Reporting* an asset is an economic resource controlled by the entity as a result of past events. An economic resource is a right that has the potential to produce economic benefits. This criteria is slightly different to that in IAS 38 which is described below.

Here, Minbad plc has control over all the intangible assets as it has either legally purchased them (the goodwill, newspaper titles and patents) or developed them internally (the brand).

However, an additional requirement of IAS 38 is that items can only be recognised as intangible assets if:

(1) there is a probable inflow of economic benefits; and

(2) the cost/value can be measured reliably.

Acquired intangible assets meet this requirement, but, as IAS 38 clearly identifies, it is not possible to separate out reliably the cost of internally generated brands from the costs to develop the business as a whole.

Other sections of the *Conceptual Framework for Financial Reporting* highlight the importance of providing relevant information to users of financial statements. It could be argued that users would find the value of internally generated intangible assets of great relevance when assessing/evaluating a business.

With regard to the proposed revaluation, although under IAS 38 either the cost or revaluation model can be used, intangible assets should only be revalued where there is an 'active market' for them. This is a market in which transactions happen with sufficient frequency and volume to provide pricing information on an ongoing basis. This cannot be true for assets such as magazine titles as they are unique so the price paid for one would not provide sufficient evidence of the fair value of another.

5 Dronfield Ltd

5.1 **IAS 38 definitions**

The definition of an intangible asset in IAS 38, *Intangible Assets* (para. 8) is largely consistent with the *Conceptual Framework for Financial Reporting* asset definition. The IAS 38 criteria is stricter as it requires that it Is probable that economic benefits will flow to the entity whereas the *Conceptual Framework for Financial Reporting* only requires that as asset has the potential to produce economic benefits.

The key aspects of the definition are set out below.

Identifiable – an intangible asset should be identifiable so that it can be distinguished from goodwill. Concluding on whether a resource is identifiable is not straightforward.

IAS 38 states that an asset is identifiable when:

- it is separable, that is it is capable of being sold, transferred, rented or exchanged individually or with related items; or
- it arises from contractual or other legal rights, regardless of whether those rights are transferable or separable by the entity from other rights and obligations.

A separable asset is individual and the acquirer does not require other assets to be acquired with it. Examples could be quotas, franchises and licences.

An example of an asset arising from legal rights would be the legal right to operate some plant and equipment in circumstances where the assets cannot generate economic benefits without the transfer of the legal right to do so, and the legal right is of no benefit without the plant and equipment to which it relates.

Control – an entity can demonstrate control of an asset through:

- being able to obtain future economic benefits from it; and
- restricting the access of others to those benefits.

This control usually arises from the ability to enforce legal rights in a court of law, for example through the ownership of a patent. However, legal enforceability is not a necessary condition. For example, trade secrets confidentially known to a few people will give access to future benefits and restrict their use by others.

Human resources and market share are examples of intangible resources that fail to meet the control test in the definition of an asset, since they cannot be legally protected or controlled.

Future economic benefits may flow from an increase in revenues or a reduction in costs from the use of the asset. These benefits could arise from the product itself or from the use of the intellectual property as part of the production process.

5.2 Required accounting treatments

Dronfield Ltd invests in four key business areas. The intangible resources it develops or acquires would meet the definition of an intangible asset. The issue is whether they meet the recognition criteria and should be included in the statement of financial position.

IAS 38 requires an entity to recognise an intangible asset if future economic benefits are probable and the cost can be measured reliably.

(1) **Research activities**

Dronfield Ltd's own research activities are planned investigations that try to identify new scientific knowledge. They meet the IAS 38 definition of a research phase of activity.

IAS 38 does not allow the recognition of intangible assets arising from the research phase. An entity cannot demonstrate that it is probable that future economic benefits will be generated. Hence the costs incurred do not meet the recognition criteria and should be recognised as an expense in profit or loss.

(2) **Development activities**

Dronfield Ltd's own development activities apply those research findings to design specific therapies that could be commercially beneficial. This is a development phase because it is further advanced than the research phase.

An intangible asset from the development phase should be recognised if, and only if, the entity can demonstrate that a number of stringent conditions have been met. In summary, the entity should be able to demonstrate the following.

- The technical feasibility of completing, and the intention to complete, the asset and the ability to use or sell it (this demonstrates completion of the process that will generate economic benefits).
- How the intangible asset will generate future economic benefits, either through the existence of an external market or its use internally, and the availability of resources to

complete it (this demonstrates the generation of economic benefits required by the recognition criteria).

- The ability to measure the development expenditure reliably (recognition criteria requirement).

In practice the criteria severely restrict the ability of entities to recognise development phase costs as assets. Assets should only be recognised from the date that the recognition criteria are met and retrospective recognition of costs previously expensed is not allowed.

The existence of regulatory trials means that costs incurred before the successful outcome of these trials should not be recognised as an asset, because before the completion of these trials, technical feasibility cannot be demonstrated. Hence, it is extremely unlikely that any development phase costs should be recognised as an asset by Dronfield Ltd.

(3) **Marketing and brand development costs**

IAS 38 states that internally generated brands and marketing costs should never be recognised as intangible assets.

The standard takes the view that costs of developing market positions and brands cannot be distinguished from the cost of developing the business as a whole. Hence the costs cannot be measured reliably and the recognition criteria cannot be met.

(4) **Acquired intangible assets**

IAS 38 states that it is always probable that future economic benefits will arise from acquired intangible assets. The basis for this is that if there were no such future benefits, the acquirer would not have bothered to acquire them; the probability that they will arise is adjusted for in the price offered: the greater the probability, the higher the price, and vice versa.

IAS 38 also states that the cost of separately acquired intangible assets can usually be measured reliably, particularly when the purchase consideration is in the form of cash or other monetary assets. The cost of intangible assets acquired through a business combination should also be capable of reliable measurement, for example by reference to the way the acquirer built up the acquisition price. There is a rebuttable presumption of reliable measurement when such intangible assets have finite useful lives.

Chapter 7
Revenue and inventories

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Introduction

Learning outcomes

- Explain the objectives and inherent limitations of financial statements, giving appropriate examples
- Explain the differences between financial statements produced using the accrual basis and those produced using the bases of cash accounting and break-up, performing simple calculations to illustrate the differences
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios

Syllabus links

Revenue

In your *Accounting* studies you covered the basic double entry for both a cash sale and a credit sale and were very briefly introduced to the five-step approach to recognising revenue under IFRS 15.

The *Financial Accounting and Reporting* syllabus builds on this basic knowledge by putting the topic into the context of IFRS 15, *Revenue from Contracts with Customers*. This sets out the basic principles of revenue recognition and introduces more complex transactions.

Inventories

In *Accounting* you have covered the basic principles of inventory valuation ie, inventory is measured at the lower of cost and net realisable value. You will also have dealt with the accounting entry for inventories as a year-end adjustment to a trial balance being:

DR Inventories (asset in the statement of financial position)	CUX	
CR Cost of sales (profit or loss)		CUX

The *Financial Accounting and Reporting* syllabus looks in more detail at the guidance provided by IAS 2, *Inventories*, particularly the calculation of cost and net realisable value.

Examination context

In the examination, students may be required to:

- Prepare and present financial statements or extracts therefrom in accordance with:
  - IFRS 15, *Revenue from Contracts with Customers*
  - IAS 2, *Inventories*
- Explain the accounting treatment of revenue and inventories.
- Explain the differences between the accounting treatment using the accrual basis and the cash basis in relation to revenue recognition.
- Identify and explain any ethical issues.

Chapter study guide

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Introduction** IFRS 15, *Revenue from Contracts with Customers* is a relatively new standard, developed with a view to providing clearer guidance on when revenue can be recognised and the amount that can be recognised. This short section explains why a new standard in this area was considered necessary.	**Approach** Read through this short topic which provides some background to the main issues that resulted in the development of IFRS 15. **Stop and think** Consider the ethical implications of aggressive revenue recognition.	The introduction will help you to understand the context of IFRS 15 and will help you to identify any potential ethical issues in relation to revenue recognition which arise in the exam.	
2	**IFRS 15, *Revenue from Contracts with Customers*** This is a key area of the syllabus and you need to be confident in applying the standard approach to determine the timing and amount of revenue that can be recognised.	**Approach** This topic covers the five- step approach for recognising revenue under IFRS 15. The transfer of control is the key indicator as to whether or not an entity should recognise revenue. The IFRS 15 application guidance covers several different types of revenue-related transaction. You must be comfortable with each of these scenarios. **Stop and think** Can you think of any goods and services that you purchase	You may be tested on revenue recognition as part of a longer preparation question. It may also come up as an explain question, often with additional ethical issues to be considered.	**IQ1 Performance obligations** This question enables practice of what is deemed to be a performance obligation in a contract situation. **IQ2 Publishing revenue** and **IQ3 Advance sales** test your knowledge and understanding of when performance obligations are satisfied. **IQ4 Rendering of services** and **IQ5 Service contract** look at the accounting treatment for longer term contracts.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		as a single bundle? Consider the point at which the provider satisfies its obligation to provide you with those goods and services and when/how much revenue they might recognise.		**IQ 6 Goods and services** and **IQ7 Servicing fees** focus on the application of bundling different services together (including 'free' items). This style of question has appeared in previous exams as part of a longer financial statements preparation question. **IQ8 Repurchase agreement** asks you to demonstrate your ability to apply your knowledge in dealing with a sale and repurchase issue.
3	**IAS 2, I *nventories*** Inventories is a key balance as it impacts on the statement of profit or loss and the statement of financial position. You should be familiar with the basic principles of IAS 2 from your *Accounting* studies.	**Approach** Much of this topic will be revision, but make sure you are confident with all the finer details as the whole of IAS 2 is examinable in *Financial Accounting and Reporting*. **Stop and think** Consider the implications of changing the accounting policy for the valuation of inventories (IAS 8).	You are more likely to be asked about IAS 2 in conjunction with other parts of IFRS Accounting Standards, such as how it interacts with the *Conceptual Framework for Financial Reporting* or how to deal with changes in accounting policy or prior period errors (IAS 8).	**IQ9 Fixed production overheads** This is a short revision of the absorption of fixed overheads. **IQ10 Cost of inventories** This question aids your revision on what costs may be included within the cost of inventories and what must be expensed. **IQ11 Retail method** This is a revision of the measurement of the value of inventories at the year end.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Ethical and judgement issues** You are expected to identify ethical and judgement issues relating to the key transactions and balances covered in the *Financial Accounting and Reporting* course. Ensure you understand the key issues in respect of revenue and inventories.	**Approach** This short topic highlights some of the ethical and judgemental areas you may come across in respect of revenue recognition and the valuation of inventories. **Stop and think** What is the impact on the profession as a whole if a company is found to be overstating its revenue?	You may be asked a question based on an ethical scenario, provided in your exam, on the subject of revenue or inventories.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Introduction

Section overview

- Both revenue recognition and accounting for inventories are affected by the application of accrual accounting.
- The key issue affecting revenue is the point at which an entity has fulfilled its performance obligations and is entitled to recognise revenue. This is when (or as) control of the good or service (ie, an asset) is passed to the customer.
- Control of the asset is described in IFRS 15, *Revenue from Contracts with Customers*, as the ability to direct the use of and obtain the remaining benefits of the asset.
- Inventories are covered by IAS 2, *Inventories*.
- The key issues affecting inventories include the following:
  - what costs may be included within the initial measurement of inventory; and
  - ensuring that inventories are carried at the lower of cost or net realisable value (as per IAS 2).

1.1 Background issues

Financial statements are prepared on the underlying assumption of the **accrual basis** of accounting, whereby effects of transactions are recognised **when they occur** and not when the cash associated with them is received or paid.

Therefore, when considering the recognition of revenue, this raises questions about **when** a transaction 'occurs':

- Is it when the buyer takes possession of the goods (is this when 'control' of the asset transfers)?
- Is it when services are provided in circumstances where the seller undertakes to come back to do additional work without charge if needed, eg, remedial work carried out by a building contractor?
- When does the revenue arise on a contract for the provision of services to a customer over time, such as under a maintenance contract of two years' duration? Only at the start of the contract, only in the middle of the contract, only at the end of the contract, or over the period of two years?

1.2 Context

Revenue is often the largest single figure in the financial statements. US studies have shown that over half of all financial statement frauds and requirements for restatements of previously published financial information involved revenue manipulation.

WorldCom was one of the world's largest telecommunication companies. In 2002 it was found that the directors had manipulated the financial statements using various means, including reallocating amounts from reserves and into revenue, in an attempt to overstate the earnings. Executive bonuses were tied to revenue targets and dubious accounting adjustments were constantly made to keep revenue 'on target'. By the time WorldCom filed for bankruptcy, revenue had been overstated by about $ 960 million.

In 2014, Tesco overstated its revenue with the resulting correction of profit, once the issue was

uncovered, of over CU263 million. Key directors were accused of aggressive accounting policies with fines issued by the FRC and criminal action taken against members of the management team.

IFRS 15 sought to correct some of the judgemental areas by applying robust principles for the recognition and measurement of revenue. A consistent approach to revenue recognition is essential if financial statements are to faithfully represent the underlying economic reality of the entity. One of the main issues is the reporting of revenue within discrete periods, when under a single contract services are provided in the current and future periods. This allocation of revenue has a direct impact on the earnings for each period.

2 IFRS 15, *Revenue from Contracts with Customers*

Section overview

- The standard defines revenue as income arising in the course of an entity's ordinary activities.
- Revenue should be recognised to depict the transfer of goods or services (assets) to a customer in an amount that reflects the consideration to which the entity expects to be entitled.
- Revenue is recognised when (or as) the entity has transferred to the buyer control of the asset.
- IFRS 15 takes a standard approach to determining when revenue can be recognised and the amount that can be recognised. It is often referred to as a 'five-stage approach' but this term is not directly used in the standard.

2.1 Objective and scope

The objective of IFRS 15 is to establish the principles that should be applied to report on the nature, amount, timing and uncertainty of revenue and cash flows arising from a contract with a customer. (IFRS 15: para. 1)

IFRS 15 applies to all contracts with customers except:

- leases within the scope of IFRS 16, *Leases*;
- insurance contracts within the scope of IFRS 17, *Insurance Contracts* (outside of scope for this exam);
- financial instruments, or other contracts which are covered in IFRS 9, *Financial Instruments*, IFRS 10, *Consolidated Financial Statements*, IFRS 11, J *oint Arrangements*, IAS 27, *Separate Financial Statements* and IAS 28, *Investments in Associates and J oint Ventures*; and
- non-monetary exchanges between entities in the same line of business.

2.2 Revenue

Revenue is simply income arising in the course of an entity's ordinary activities and different terms may be used such as:

- sales
- turnover
- royalties

Dividend income and interest income is covered by IFRS Accounting Standards on financial instruments, not IFRS 15, and is presented as finance income rather than revenue.

Gains, such as those arising on the disposal of PPE, are not revenue as they do not arise in the course of ordinary activities. They are either presented separately as other income in the statement of profit or loss or are netted against the relevant expense category.

Definition

Revenue: Income arising in the course of an entity's ordinary activities. (IFRS 15: App. A)

2.3 Recognition

The core principle of IFRS 15 is that revenue is recognised to depict the **transfer of goods or services** to a customer in an amount that reflects the **consideration** to which the entity expects to be entitled in exchange for those goods or services (IFRS 15: para. 2).

The transfer of goods and services is evidenced by the transfer of **control**.

Revenue is recognised in accordance with this core principle by applying a standard approach as required by IFRS 15.

2.4 Five step model

Revenue is recognised by applying the following steps:

Step 1 Identify the contract with a customer.

Step 2 Identify the performance obligations in the contract.

Step 3 Determine the transaction price.

Step 4 Allocate the transaction price to the performance obligations in the contract.

Step 5 Recognise revenue when (or as) the entity satisfies the performance obligations.

Professional skills focus: Structuring problems and solutions

IFRS 15 suggests that this standard process is followed (applying the five steps stated above) in order to determine the most appropriate accounting treatment. Ensure that you learn and can apply these steps to a scenario. Application is important – you can't simply rote learn the steps, as it is important that you can identify which steps are relevant and apply them to the information provided. The interactive questions will help you to understand each stage and ensure that you have identified all the relevant information about the given scenario.

2.5 Identify the contract with a customer

The contract can be written, verbal or implied. For instance, in retail sales the contract is implied. Identifying the contract helps to establish the enforceable rights and obligations. The criteria to be met are (IFRS 15: para. 9):

(a) All parties have **approved the contract**.

(b) The entity can identify **each party's rights** regarding the goods or services to be transferred.

(c) The **payment terms** can be identified.

(d) The contract has **commercial substance**.

(e) It is **probable that** the entity will collect the consideration to which it will be entitled in exchange for the goods or services.

A contract is **not** deemed to exist if either party can terminate the wholly unperformed agreement without having to compensate the remaining part.

2.6 Identify the performance obligations in the contract

A performance obligation is a promise to transfer to the customer either:

- a **distinct good or service** (or bundle of goods or services); or
- a **series of distinct goods or services** (IFRS 15: para. 22).

A good or service is distinct if:

- the customer can benefit from the good or service on its own or with other resources that are readily available; and
- the promise to transfer the good or service is separately identifiable from other promised in the contract.

If this does not apply, the good or service should be combined with other promised goods or services until a bundle of goods/services that is distinct can be identified.

Examples of performance obligations may include:

- sale or resale of goods or services
- acting as an agent to transfer goods or services
- granting licences
- granting options to purchase goods or services

Context example: Performance obligations

A software company, ClixPar is a reseller and installer of the popular software tool, Phage. It has a contract with a customer to provide the following:

- a software licence
- software installation
- any relevant software updates required in future years (up to three years)
- technical support for three years after installation

ClixPar sells each of these separately to other customers and other sellers also provide the same goods and services. The installation process is routine and ClixPar does not modify the software provided and the software remains functional without the updates and technical support.

So what are the performance obligations here?

The customer could benefit from the software using installation services from another supplier. It could equally use the software without updates or technical support, or by obtaining these from another supplier.

Therefore, each of the promises is distinct and there are four 'standalone' performance obligations in the contract.

If ClixPar were customising the software as part of the installation process to enable it to interface with the customer's other software applications, then the provision of software and its installation would not be distinct performance obligations, but would be combined to be a single performance obligation.

Interactive question 1: Identifying performance obligations

Skyward plc builds aircraft for the cargo and postal industries worldwide. It has been contracted to build three large cargo aircraft for Postal Europa Group (PEG). Skyward plc is to build the aircraft and is contracted to deliver them to PEG as each one is completed. It is expected to take six months for the construction of each aircraft, with the total time required therefore being 18 months.

Requirement

Identify the performance obligation(s) in the contract. See **Answer** at the end of this chapter.

2.7 Determine the transaction price

This is the amount of consideration in a contract to which an entity expects to be entitled for transferring promised goods or services to a customer (IFRS 15: para. 47).

This may include fixed and variable elements but not amounts collected on behalf of third parties. To determine the transaction price, the entity must consider:

- variable consideration
- the existence of a significant financing component
- non-cash consideration

2.7.1 Variable consideration

Definition

Variable consideration: Promised consideration may include a variable amount if the contract contains discounts, rebates, performance bonuses, penalties etc.

An entity shall estimate the amount of the variable consideration in a transaction price using whichever of the following methods better predicts the amount:

- the **expected value** – the sum of the probability-weighted amounts in a range of different outcomes; or
- the **most likely amount** – the single most likely amount in a range of different outcomes (IFRS 15, para 53).

Variable consideration is only included in the transaction price to the extent that it is **highly probable** that there will not be a significant reversal of revenue when the uncertainty associated with the variable consideration is resolved (IFRS 15: para. 56). Any changes to the variable consideration are allocated to all of the performance obligations in the contract. It should be noted that changes to variable consideration are outside of the scope of the *Financial Accounting and Reporting* syllabus, however, you should be aware that this is covered in your *Corporate Reporting* studies at Advanced level.

2.7.2 Significant financing component

Definition

Significant financing component: A significant financing component exists where the customer receives a benefit from financing due to the consideration being transferred after the satisfaction of the performance obligation (IFRS 15, para. 60). This may be the case regardless of whether the financing is implicit or explicit in the contract.

In such a case the consideration should be discounted to reflect the time value of money. Revenue should be recognised based on the price at which the transaction would be settled on a cash basis (the cash price). The significant financing component is the difference between the cash price and the amount that will be paid by the customer. The significant financing component is separately accounted for as finance income over the period between the date of the transaction and the date the full consideration is received.

Note: It is also possible for the entity to receive benefit from a significant financing component if it receives consideration in advance of the performance obligations being satisfied. You will not face this situation in the *Financial Accounting and Reporting* exam.

2.7.3 Non-cash consideration

Definition

Non-cash consideration: Consideration which is not in the form of cash, such as other assets, products or shares.

An entity may accept payment for the transfer of goods or services in a form other than cash. In this case, the non-cash consideration should be measured at its fair value at the date of transfer (IFRS 15, para. 66). If the fair value of the non-cash consideration cannot be determined, the entity should measure the transaction at the stand-alone selling price of the goods or services transferred to the customer.

Worked example: Significant financing component

A car retailer offers its customers a choice of paying for a car at its cash price today, 1 January 20X7, of CU17,150, or to pay a nothing today and make a single payment of CU20,000 in two years' time. The car retailer has calculated a finance cost of 8% applies to the transaction. A customer purchased a car on 1 January 20X7 and chose to pay CU20,000 on 1 January 20X9.

Requirement

How is the sale of the car accounted for in the year ended 31 December 20X7?

Solution

	CU
Revenue recognised	17,150
Finance income (W)	1,372
Carrying amount of receivable (W)	18,522

The revenue recognised is based on the price of the car had the transaction been settled immediately in cash.

The difference between this price and the amount receivable on 1 January 20X9 represents finance income which is recognised across the two-year period before payment is made.

WORKING

Finance income and receivable

The finance income for the year and carrying amount of the receivable at 31 December 20X7 are calculated as follows:

Year	Opening (CU)	Finance income at 8%	Closing (CU)
1	17,150	1,372	18,522
2	18,522	1,478*	20,000

* Adjusted for rounding differences

Context example: Interest-free credit

Comfy Couches Ltd delivers an item of furniture to a customer on 1 September 20X7 for CU2,500, with a one-year interest-free credit period. The company normally applies an interest rate of 7% to the sale of furniture.

Despite the fact that the customer receives an interest-free credit period, Comfy Couches Ltd must calculate the fair value of the sale by applying its standard interest rate of 7% to the transaction.

The fair value of the furniture is therefore CU2,500/1.07 = CU2,336, which is the amount that should be recognised as revenue on the sale.

- Interest revenue of CU164 (2,500 – 2,336), which would be recognised over the credit period
- Sales revenue of CU2,336, which would be recognised on 1 September 20X7 when control of the furniture passes to the customer

2.8 Allocate the transaction price to the performance obligations in the contract

The transaction price is allocated to each performance obligation on the basis of the **stand-alone selling price** of each distinct good or service in the contract (IFRS 15: para. 74). If the good or service does not have a directly observable stand-alone selling price, it will need to be estimated.

A contract may be for the supply of a bundle of goods or services, often at a discount to the stand- alone selling prices. An example of this is a mobile phone service contract which includes a free handset. The contract should be unbundled and in this case two performance obligations can be identified, being the provision of the handset and the provision of the service plan. In accordance with IFRS 15 the entity should allocate the total transaction price between the handset and service plan, based on their stand-alone selling prices.

Context example: Unbundling

A mobile phone company gives customers a free handset when they sign a two-year contract for the provision of network services. The handset has a stand-alone price of CU800 and the contract is for CU60 per month.

Under IFRS 15, there are two performance obligations: the provision of the handset to the customer, which is satisfied when control of the handset transfers to the customer, and provision of the network services over the two years. Some revenue must be recognised on delivery of the handset to the customer because this constitutes satisfaction of the first performance obligation. The remainder is recognised as network services are provided. The total transaction price is allocated between the performance obligations as follows:

	CU	%
Handset	800	36
Contract – Two years (CU60 × 24 months)	1,440	64
Total value	2,240	100

The total receipts are CU1,440, which is the amount which must be allocated to the separate performance obligations. Revenue will be recognised as follows:

	CU
Year 1	
Handset (1,440 × 36%)	518
Contract (1,440 – 518)/2	461
	979
Year 2	
Contract as above	461

2.9 Recognise revenue when (or as) a performance obligation is satisfied

A performance obligation is satisfied when control of the good or service specified in the contract is transferred to the customer (IFRS 15: para. 31).

A performance obligation can be satisfied **at a** point in time, such as in retail sales, or **over time**, such as a construction contract taking place over weeks, months or even years.

2.9.1 Performance obligations satisfied at a point in time

Where a performance obligation is satisfied **at a point in time**, that point will occur when **control is transferred**. At that point the customer is able to direct the use of the asset and obtain substantially all the remaining benefits from it (IFRS 15: para. 33).

The following events can indicate that control has been transferred (IFRS 15: para. 38):

- The entity has a present right to payment for the asset.
- The customer has legal title to the asset.
- The entity has transferred physical possession of the asset.
- The significant risks and rewards of ownership have been transferred to the customer.
- The customer has accepted the asset.

2.9.2 Performance obligations satisfied over time

In order to be considered satisfied over time, a performance obligation must meet one of the following criteria (IFRS 15: para. 35):

- The customer simultaneously receives and consumes the benefits as the entity performs.
- The entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced.
- The entity's performance does not create an asset with an alternative use to the entity and the entity has an enforceable right to payment for performance completed to date.

Where performance obligations are satisfied over time, the entity recognises revenue by measuring progress towards complete satisfaction of the performance obligation. Progress can be measured using two methods:

- the output method – measuring the value to the customer of goods or services transferred to date; or
- the input method – measuring the cost to the entity of goods or services transferred to date (IFRS 15: para. B14).

In the early stages of a contract, it may not be possible to reasonably measure the outcome of a performance obligation, but the entity is entitled to recover costs incurred. In this case, revenue can be measured to the extent of costs incurred.

Note: IFRS 15 does not explicitly cover the accounting treatment for contracts that are expected to be loss-making. These instead fall under IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* which is covered in Chapter 10.

2.9.3 Contract assets, contract liabilities and trade receivables

Contracts with customers will be presented in an entity's statement of financial position as a contract liability, a contract asset or a receivable, depending on the relationship between the entity's performance and the customer's payment. (IFRS 15: para. 105)

A contract liability is recognised and presented in the statement of financial position where a customer has paid an amount of consideration prior to the entity fulfilling its performance obligations by transferring control of the related good or service to the customer. (IFRS 15: para. 106)

When the entity has satisfied its performance obligations but the customer has not yet paid the related consideration, this will give rise to either a contract asset or a trade receivable. A contract asset is recognised when the entity's right to consideration is conditional on something other than the passage of time; for instance, future performance. A receivable is recognised when the entity's right to consideration is unconditional except for the passage of time. (IFRS 15: para. 107)

Where revenue has been invoiced but the customer has not yet settled the invoice, a trade receivable is recognised.

Professional skills focus: Applying judgement

A professional accountant will be required to apply judgement when measuring progress towards satisfaction of performance obligations. They must determine which method to use and how to appropriately measure the value or cost transferred under each method.

Worked example: Performance obligation satisfied over time

Associated Solutions Ltd is creating a bespoke software system for an insurance company. The software will transfer to the customer on completion of the contract and Associated Solutions Ltd has no alternative use for the software. The contract started on 1 January 20X7 with an estimated completion date of 31 December 20X9. Associated Solutions Ltd has an enforceable right to receive the payment for work completed to date based on a total contract price of CU2 million. Associated Solutions Ltd expects to earn a profit on the contract. The company uses the input method to determine completion of the contract based on staff time incurred to date.

(1) Costs incurred in the period to 31 December 20X7 amounted to CU800,000.

(2) Company time sheets indicate that half of the budgeted staff time for the contract has been incurred to date.

(3) Associated Solutions Ltd has invoiced CU400,000 to customers, of which half has been paid by the customer at 31 December 20X7.

Requirements

1 Explain and show the amount of revenue and costs that Associated Solutions Ltd can recognise in relation to the contract in its statement of profit or loss for the year ended 31 December 20X7.

2 What amounts should be presented in the statement of financial position in respect of the contract at 31 December 20X7?

Solution

1 This is a contract in which the performance obligation is satisfied **over time**. The entity is carrying out the work for the benefit of the customer – it does not have an alternative use for the asset – and it has an enforceable right to payment for work completed to date.

Associated Solutions Ltd uses the input method to measure progress towards satisfaction of the performance obligation, based on the proportion of staff time incurred compared to the total expected staff time required. As 50% of the total expected staff time has been incurred in the year to 31 December 20X7, the performance obligation is considered to be 50% complete.
Associated Solutions Ltd can therefore recognise revenue of CU1 million (50% x CU2 million).

Costs associated with the contract that can be recognised in the year to 31 December 20X7 are the CU800,000 incurred in the year.

2 Associated Solutions Ltd should present a contract asset of CU600,000 based on the difference between the revenue recognised of CU1,000,000 and the amount invoiced to date of CU400,000. This represents the entity's right to future consideration in respect of work completed to date.

There is a trade receivable of CU200,000, which is the amount invoiced for which payment has not yet been received.

Interactive question 2: Advance sales

A retailer is about to sell a new type of smart speaker. Customer demand is high and the store has taken advance orders for the smart speaker. The selling price of the smart speaker will be CU500 and so far, two thousand customers have paid an initial 10% deposit on the selling price of the smart speaker. No smart speakers are yet held in inventory.

Requirement

What amount should be recognised as revenue? See **Answer** at the end of this chapter.

Interactive question 3: Rendering of services

DataUs Ltd entered into a CU210,000 fixed-price contract for the provision of data analysis services for its customer, a sustainable fashion retailer. DataUs Ltd satisfies its performance obligations over time and at the end of 20X7, its first accounting period, costs of CU45,000 have been incurred in performing the work and these are recoverable, in full, from the customer. DataUs Ltd measures progress towards complete satisfaction of the performance obligation using the input method based on costs incurred to date as a proportion of total expected costs.

Requirements

Calculate the revenue to be recognised in 20X7 on the alternative assumptions that:

(a) The remaining costs to complete the contract (excluding the CU45,000 already incurred) can be reliably estimated at CU90,000.

(b) The costs to complete cannot be reliably estimated. See **Answer** at the end of this chapter.

Interactive question 4: Service contract

An entity entered into a contract for the provision of services over a two-year period. The total contract price was CU150,000. In the first year, costs of CU60,000 were incurred; the contract did not progress as expected and at the end of the first-year management was not sure of the total expected costs of the project, but believed that the costs incurred to date would be recovered from the customer.

Requirement

What amount of revenue should be recognised for the first year of the contract? See **Answer** at the end of this chapter.

Interactive question 5: Goods and services

An entity sells an item of equipment to a customer on 1 January 20X7 for CU1.5 million, the goods are transferred and control of that equipment is taken by the customer immediately. Due to the specialised nature of the equipment the entity has agreed to provide free support services for the next two years, despite the cost to the entity of that support being estimated at CU120,000 in total. The entity usually earns a gross margin of 20% on such support service contracts.

Requirement

How much revenue should the entity recognise for the year ended 30 April 20X7?

See **Answer** at the end of this chapter.

Interactive question 6: Servicing fees

On the last day of its current accounting period, Xon Ltd completes the handover of a new system to its customer and raises an invoice for CU800,000. This price includes free after-sales support for the next two years, which costs CU35,000 each year. Xon Ltd normally earns a gross profit margin of 17.5% on such support activity.

Requirement

Calculate the revenue to be included in Xon Ltd's current year statement of profit or loss in respect of this sale.

	CU
Standalone price of after-sales support Standalone price of system Total	
Transaction price allocated to the provision of the system	

See **Answer** at the end of this chapter.

2.10 Application of IFRS 15

The Application Guidance of IFRS 15 has a number of additional provisions from the Standard. Some of the specific situations are relevant to your *Financial Accounting and Reporting* studies.

2.10.1 Principal versus agent

IFRS 15 specifically excludes from the transaction price attached to a contract amounts collected on behalf of third parties (IFRS 15: para. 47). This applies to an agent collecting amounts on behalf of a principal.

Individually or in combination, the following criteria indicate that the entity is acting as a principal (IFRS 15: para. B37):

- The entity is primarily responsible for fulfilling the promise to provide the specified good or service to the customer.
- The entity has inventory risk before the specified good or service has been transferred to the customer or after transfer of control to the customer.
- The entity has discretion in establishing prices for the goods or services.

An entity is a principal if it controls the promised good or service before it is transferred to the customer. In this case, when the performance obligation is satisfied the entity recognises the revenue.

An entity is an agent if its performance obligation is to arrange for the provision of goods or services by another party. When this performance obligation is satisfied, it recognises revenue only for the fee or commission to which it is entitled (IFRS 15: para. B36).

Worked example: Agent or principal?

An entity runs a website which enables customers to buy goods from a range of suppliers. Prices are set by suppliers and payments are processed through the entity's website. Customers pay in advance and goods are delivered directly from the supplier to the customer.

The entity receives a commission of 10% of the sales price and has no further obligation to the customer after arranging for the products to be shipped.

Requirement

Is the entity an agent or the principal?

Solution

The entity is acting as an agent based on the following points:

- Goods travel directly from the supplier to the customer, so the entity never has physical custody of them and does not bear the associated risk.
- The supplier, not the entity, has the obligation to the customer.
- The entity does not set prices.

The entity should only recognise as revenue the commission received from suppliers.

2.10.2 Extended warranties

It is necessary to distinguish between warranties which give the customer assurance that an item will function as intended (standard warranties which are not separately paid for by the customer) and warranties which provide the customer with an additional distinct service (such as free repairs over a specified period). Warranties may be offered as part of a legal obligation (through a contract) or through a constructive obligation (such as a department store's 'no quibble' return policy within six months of purchase).

A warranty which does not promise an additional service, but simply provides assurance that an item will work as intended is accounted for in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* (IFRS 15: para. B28–30).

A warranty which provides the customer with an additional service is within the scope of IFRS 15. This is regardless of whether the customer pays for the additional service warranty or not. This is often referred to as extended or additional warranties and are usually paid for and go 'above and beyond' the usual level of warranty. Sometimes this may be paid for, or a company may decide to offer this as an incentive to purchase the item.

A warranty which the customer purchases separately will always be an additional service warranty, within the scope of IFRS 15. Such warranties represent separate performance obligations and therefore the revenue attributable to the warranty must be recognised separately from the revenue from the sale of goods. Remember, this is an additional service agreed between the seller and the purchaser, and therefore there is a **contract** which requires treatment under IFRS 15.

An additional service warranty is accounted for as a separate performance obligation within a contract and a portion of the transaction price is allocated to it.

Worked example: Warranties

Kaptcha Ltd sells a machine to Cylon Ltd for CU490,000 (the list price of the machine). A warranty is included in the sales contract providing assurance that the machine will operate as expected for one year from the date of purchase.

Cylon Ltd is a new customer, so Kaptcha Ltd also provides an additional extended warranty (at no extra cost to Cylon Ltd) which guarantees that the machine will operate as expected for a further twelve month period after the standard warranty has elapsed.

Extended twelve-month warranties are normally charged at CU10,000.

Requirement

Explain how the two warranties and the sale of the machine should be accounted for (ignore the effect of any discounting).

Solution

Standard warranty

The warranty that provides a guarantee that the machine complies with the specifications agreed in the contract and will operate as promised for one year from the date of purchase is a standard warranty at no cost to Cylon Ltd.

Therefore, it should be accounted for in accordance with IAS 37. This will be explained in further detail in Chapter 10.

Additional warranty

The additional warranty provides an additional performance guarantee for a further twelve months after the standard warranty expires. This second warranty is an additional service warranty and should be treated as a separate performance obligation. Revenue will be recognised when the performance obligation is satisfied which will be when the additional warranty period takes place.

Sale of the machine

The transaction price of CU490,000 should be allocated to the two performance obligations in accordance with their standalone selling prices:

Performance obligation	Stand-alone selling price	% of total	Transaction price allocated
	CU		CU
Machine	490,000	98	480,200
Extended warranty	10,000	2	9,800
Total	500,000	100	490,000

Revenue of CU480,200 from the sale of the machine will be recognised when control of the machine is transferred to the customer (for example, upon delivery to Cylon Ltd). Revenue of CU9,800 in respect of the additional warranty will be recognised as the warranty period takes place (over the 24-month period of the warranty).

Professional skills focus: Assimilating and using information

It is important to recognise that warranties may be dealt with in two different ways, under IAS 37 as a provision for future costs (such as in a standard warranty) or under IFRS 15 (as revenue) where the warranty has a performance obligation attached to it. Read the question and the scenario carefully to ensure that you have fully understood the issues. You need to be able to evaluate the relevance of the information that is being provided and identify the critical facts to account for the transactions correctly.

2.10.3 Sale with a right of return

Some contracts give the customer the right to return the product and receive a refund, a credit or a replacement.

The entity should recognise (IFRS 15: para. B21):

- revenue for the transferred products
- a refund liability
- an asset in respect of products to be returned

Worked example: Sale with a right of return

Wholesaler Ltd supplies popcorn machines to retailers across Bangladesh. It only supplies wholesale to department stores and other independent retailers. The popcorn machines are sold to retailers for CU10.00 each, with each popcorn machine costing CU5.00 to manufacture.

Wholesaler Ltd estimates that 8% of its popcorn machines will be returned by customers.

Wholesaler Ltd has a contract term with all of its customers to allow any returns for a full refund within three months of the date of sale.

On 1 April 20X8, Wholesaler Ltd sold 500 machines to one of its largest customers, the popular home store Likeland.

Requirement

How should the revenue be recognised?

Solution

When the popcorn machines are sold revenue is recognised in respect of machines that are not expected to be returned, and a liability is recognised in respect of the machines that are expected to be returned:

Revenue

	CU
500 units × CU10 per unit	5,000
Less: proportion expected to be returned	
8% × 500 × CU10	(400)
Revenue recognised on 1 April	4,600

This is recognised by:

	CU	CU
DR Bank/receivable	5,000	
CR Revenue		4,600
CR Refund liability		400

In addition, the machines transferred to customers are recognised in cost of sales to the extent that they are not expected to be returned and an asset is recognised in respect of the machines that are expected to be returned:

Cost of sales

	CU
500 × CU5	2,500
Less: proportion expected to be returned	
8% × 500 × CU5	(200)
Cost of sales recognised on 1 April	2,300

This is recognised by:

	CU	CU
DR Asset	200	
DR Cost of sales	2,300	
CR Inventories		2,500

The CU200 asset and CU400 refund liability may be reversed once the three-month period has expired.

2.10.4 Repurchase agreements

Under a repurchase agreement an entity sells an asset and has an option to repurchase it. This can come in one of three forms (IFRS 15: para. B64):

(a) An obligation to repurchase (a forward contract)

(b) A right to repurchase (a call option)

(c) An obligation to repurchase at the customer's request (a put option)

Under a **forward contract** or a **call option** the customer does not obtain control of the asset because that control is limited by the repurchase option. The contract is accounted for as a lease if the repurchase price is below the original selling price, or a financing arrangement if the repurchase price is equal to or above the original selling price (IFRS 15: para. B66).

Under a **put option**, if the customer does not have sufficient economic incentive to exercise the right to request repurchase, the agreement should be treated as if it were a sale with a right of return. If the customer **does** have sufficient economic incentive to exercise the option, the entity should account for the agreement as a lease in accordance with IFRS 16. If the **repurchase price is greater than or equal to the original selling price** and is above the expected market value of the option, the contract is treated as a financing arrangement.

Worked example: Repurchase agreement

Vass Ltd, a property development company, sold a property to another entity for CU4 million when the fair value of the property was CU5 million. Further investigation uncovered an agreement whereby Vass Ltd could repurchase the property after one year for CU4.32 million.

Requirement

How should this transaction be accounted for?

Solution

Vass Ltd has a right to repurchase the property – a call option. The repurchase price is above the original selling price, so this is in effect a financing arrangement.

The sale of the property at 20% below fair value is sufficient to cast doubt on whether a real sale has been made. Also, the repurchase price is below fair value at the date of sale and represents a return to the financial institution of 8% ((CU4.32m – 4m) as a percentage of CU4 million) on the amount paid out.

The substance of the arrangement appears to be that other entity has granted Vass Ltd a one year loan secured on the property, charging interest at 8%.

IFRS 15 reflects substance and requires that the transaction should be accounted for by Vass Ltd by:

- continuing to recognise the property as an asset;
- crediting the CU4 million received to a financial liability account;
- recognising CU0.32 million as a finance cost in profit or loss over the year and crediting it to the liability account; and
- derecognising the liability when the CU4.32 million cash is paid out.

2.10.5 Further application guidance

IFRS 15 Appendix B also provides specific application guidance in respect of the following:

Consignment sales	Under such arrangements, the buyer of the goods undertakes to sell them on, but on behalf of the original seller. Usually the buyer has not obtained control of the goods. This may be evidenced by the fact that the seller can require the return of the goods or transfer them to another dealer. In this case the original seller only recognises a sale **when the buyer sells the goods on to a third party**. (IFRS 15: para. B.77)
Bill-and-hold arrangements	Under these arrangements, an entity bills the customer for the product but delivery is delayed with the agreement of the customer, perhaps because the customer is short of space. In this case the entity must determine the point in time at which it has satisfied its performance obligation by transferring control of the product to the customer. It may be that the customer is still able to exercise control without having physical possession of the product. (IFRS 15: para. B.79)

Licensing	The grant of a licence may form a separate performance obligation within a contract or, if the promise to grant the licence is not distinct from the other promised goods or services in the contract, all the promises are treated as a single performance obligation. Where the granting of a licence is a separate performance obligation, the grantor must determine, on the basis of the contract, whether the licence transfers to the customer over time or at a point in time. A licence to access intellectual property as it existed when the licence was granted is a point in time transfer and results in the related revenue being recognised at the grant date; a licence to access intellectual property as it exists throughout a licence period (ie, reflecting updates) is an over-time transfer and results in the related revenue being recognised over the licence period. (IFRS 15: para. B.56)

2.11 *Revenue recognition in contemporary business models*

Many contemporary business models are made possible through advances in technology (eg, in data analytics, widespread internet connectivity, mobile apps and artificial intelligence). These business models include, among others:

- ***Platform business models** (such as Uber, Airbnb and Etsy) which connect buyers with sellers*
- *Those operating in the **subscription economy,** where services are paid for via monthly subscription, rather than a product being purchased outright (eg, Netflix, Spotify, Office 365)*
- ***On-demand services** where businesses despatch independent contractors to fulfil consumer services like food delivery or handyman tasks instantaneously (eg, Deliveroo, taskrabbit)*

These new business models raise new and different challenges for revenue recognition and there are difficult judgements to be made in determining how IFRS 15 should be applied. Consider the example of Airbnb given below.

Context example: Airbnb

What is Airbnb?

*Airbnb is an example of a **platform business model.** It is an online marketplace that enables people to list, find, and book accommodation from hosts around the world through its website and app.*
*Airbnb doesn't own any properties itself. Instead, it provides a platform that connects **hosts** who have rooms or homes to rent with **guests** looking for accommodation. Guests book and pay for accommodation via Airbnb's website or app and, after a guest has checked in, Airbnb transfers to the host the booking value less a service fee.*

How does Airbnb generate revenue?

Airbnb's revenue comes from service fees charged to hosts and to guests. Guests pay a guest service fee of around 14% of the booking total, which is included in the total booking cost. Hosts pay Airbnb a service fee, generally around 3% of the booking total for each completed booking on the platform.

How does Airbnb recognise revenue in its financial statements?

Airbnb reports under US GAAP, however, the standard for revenue recognition under US GAAP is converged (almost entirely) with IFRS 15, and therefore follows the five step model in IFRS 15.

The key judgements made in determining how and when to recognise revenue relating to short- terms stays (less than 28 nights) are disclosed in Airbnb's annual report and are summarised below (Airbnb, 2023):

- *Airbnb has determined it is an **agent** and not a principal in the transactions it undertakes because it does not **control the right to use the properties** before or after completion of its service. Therefore it recognises net revenue (just the service fees it charges to hosts and guests) and does not include in revenue the amount paid by the guest to the host which is collected via Airbnb's website.*
- *In each transaction, Airbnb has judged it has **one single performance obligation – to facilitate a stay** – for which it charges service fees (guest fee plus host fee). In exchange for these fees, Airbnb provides use of its platform, customer support, and payment processing activities. Airbnb has determined that these services are **not distinct** from each other and so form **one single performance obligation**.*
- ***Revenue is recognised upon check-in** of a guest, as this is when Airbnb's performance obligation is satisfied and it has the right to receive payment.*
- *Each booking is judged to be a separate contract with the host and guest, and the contracts **are not enforceable until check-in** (so per IFRS 15, no contract exists until check-in, and therefore IFRS 15 does not apply until check-in). Since no contract exists until check-in, there are no partially satisfied performance obligations at the reporting date. The service fees collected from guests prior to check-in are recorded as 'unearned fees' and not as contract balances as they are subject to refund if the booking is cancelled.*

2.12 Disclosure

The following amounts should be disclosed unless they have been presented separately in the financial statements in accordance with other standards (IFRS 15: para. 110):

- revenue recognised from contracts with customers, disclosed separately from other sources of revenue;
- any impairment losses recognised (in accordance with IFRS 9) on any receivables or contract assets arising from an entity's contracts with customers, disclosed separately from other impairment losses;
- the opening and closing balances of receivables, contract assets and contract liabilities from contracts with customers;
- revenue recognised in the reporting period that was included in the contract liability balance at the beginning of the period; and
- Revenue recognised in the reporting period from performance obligations satisfied in previous periods (such as changes in transaction price).

3 IAS 2, *Inventories*

Section overview

- Inventories should be measured at the lower of cost and net realisable value (NRV).
- Cost comprises the costs of:
  - purchase
  - conversion
  - bringing the inventories to their present location and condition

- The comparison of cost and NRV should be performed on an item-by-item basis although similar items may be grouped together.

3.1 Objective and scope

The objective of IAS 2, *Inventories* is to prescribe the accounting treatment for inventories. In particular it provides guidance on the **determination of cost** and its subsequent recognition as an expense, including any write-down to **net realisable value**.

IAS 2 applies to all inventories except the following:

- financial instruments (eg, shares, bonds) (see Chapter 9)
- biological assets (covered in IAS 41, *Agriculture)*

Biological assets are outside the scope of the *Financial Accounting and Reporting* syllabus. Certain inventories are exempt from the standard's measurement rules ie, those held by:

- producers of agricultural, forest and mineral products; and
- commodity-broker traders.

3.2 Revision of *Accounting* material

IAS 2 is covered in some detail in the *Accounting* syllabus, so this section is mainly revision.

Definition

Inventories: Assets which are:

- held for sale in the ordinary course of business;
- in the process of production for such sale; or
- in the form of materials or supplies to be consumed in the production process or in the rendering of services.

Inventories can include:

- **goods purchased and held for resale**
- **finished goods**
- **work in progress** being produced
- **raw materials** awaiting use

3.2.1 Measurement of inventories

Inventories should be measured at the **lower of cost and net realisable value (NRV).**

Definitions

Inventory cost: Comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition.

Net realisable value: The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

A write-down of inventories from cost to NRV would normally take place on an **item-by-item basis**, but similar or related items may be **grouped together**. This grouping is acceptable for, say, items in the same product line, but it is not acceptable to write-down inventories based on a whole classification (eg, finished goods) or a whole business.

3.2.2 Cost of purchase

Definitions

Cost of purchase: IAS 2 lists the following as comprising the costs of purchase of inventories:

- purchase price; plus
- import duties and other non-refundable taxes; plus
- transport, handing and other costs which are directly attributable to the acquisition of finished goods, services and materials; less
- trade discounts, rebates and other similar amounts.

Costs of conversion: Costs that are specifically attributable to units of production and a systematic allocation of fixed and variable production overheads incurred in converting raw materials into finished goods.

Costs of conversion of inventories consist of two main parts:

- costs **directly related** to the units of production eg, direct materials, direct labour; and
- fixed and variable **production overheads** that are incurred in converting materials into finished goods.

The allocation of fixed production overheads to the costs of conversion is based on **the normal capacity of the production facilities.**

Definitions

Fixed production overheads: Those indirect costs of production that remain relatively constant regardless of the volume of production, such as depreciation and maintenance of factory buildings and equipment, and the cost of factory management and administration.

Variable production overheads: Those indirect costs of production that vary directly, or nearly directly, with the volume of production, such as indirect materials and labour. (IAS 2, para.12)

IAS 2 emphasises that fixed production overheads must be allocated to items of inventory on the basis of the **normal capacity of the production facilities**. This is an important point.

- **Normal capacity** is the expected achievable production based on the average over several periods/seasons, under normal circumstances.
- The above figure should take account of the capacity lost through **planned maintenance**.
- If it approximates to the normal capacity then the **actual level of production** can be used.
- The allocation of variable production overheads to each unit is based on the **actual use** of production facilities.

As a result:

- **Low production** or **idle plant** will **not** result in a higher fixed overhead allocation to each unit.
- **Unallocated overheads** must be recognised as an expense in the period in which they were incurred.
- When production is **abnormally high**, the fixed production overhead allocated to each unit will be reduced, so avoiding inventories being stated at more than cost.

Other costs

Any other costs should only be recognised if they are incurred in bringing the inventories to their present location and condition.

IAS 2 lists types of cost that **would not be included** in cost of inventories. Instead, they should be recognised as an **expense** in the period in which they are incurred.

These include:

- **abnormal amounts** of wasted materials, labour or other production costs;
- **storage costs** (except costs that are necessary in the production process before a further production stage);
- **administrative overheads** not incurred to bring inventories to their present location and condition; and
- **selling costs**.

Interactive question 7: Fixed production overheads

A business plans for fixed production overheads of CU50,000 and annual production of 100,000 units in its financial year.

A fire at the factory results in production being only 75,000 units, with no saving in fixed production overheads.

Requirement

At which amount per unit should the fixed production costs be allocated to inventory before and after the fire? How should any unallocated overheads be accounted for?

See **Answer** at the end of this chapter.

Interactive question 8: Cost of inventories

A manufacturing business incurs various types of expenditure. The directors of the business would like to include all of the expenditure in the cost of inventory.

Requirement

Using the proforma provided, identify the expenditures to be included in the cost of inventories and those to be recognised as an expense as incurred.

Notes

1 In terms of the normal operating cycle of a business, all costs up to the time goods are taken into inventory will be costs incurred in bringing items **to their present location and condition**. But all costs of holding goods in inventory, selling the goods and collecting outstanding receivables are not incurred for this reason; nor are the general costs of accounting for and managing the business.

2 Fixed production costs/overheads are to be included in inventory values, but only at the rates based upon **normal levels of output**. These rates should not be increased as a result of production being below expected levels, as a result of plant failures, for example.

	Include in cost of inventories	Recognised as an expense as incurred
Supplier's gross price for raw materials		
Quantity discounts allowed by supplier		
Purchase taxes and duties charged by supplier and recoverable from taxing authorities		

	Include in cost of inventories	Recognised as an expense as incurred
Costs of transporting materials to the business' premises		
Labour costs directly incurred in the processing of raw materials		
Variable costs, such as power, incurred in the processing of raw materials		
Fixed production costs/overheads, such as rent for the processing factory and depreciation charges on the plant used in the processing		
Costs of holding finished goods in inventory		
Costs of transporting goods to customer on sale		
Purchase taxes charged to customer on sale		
Commission payable to salesmen on sale of the goods		
Allowance for irrecoverable debts in relation to trade receivables		
Costs of accounts department		
Head office costs relating to the overall management of the business		

See **Answer** at the end of this chapter.

3.2.3 Techniques for the measurement of cost

Two techniques are mentioned by the standard, both of which produce results that **approximate to cost**, and so both of which may be used for convenience.

(a) **Standard costs**: These are set up to take account of normal levels of raw materials used, labour time etc. They are reviewed and revised on a regular basis.

(b) **Retail method**: This is often used in the retail industry where there is a large turnover of inventory items, which nevertheless have similar profit margins. The only practical method of inventory valuation may be to take the total selling price of inventories and deduct an overall average profit margin, thus reducing the value to an approximation of cost. The percentage will take account of reduced price lines. Sometimes different percentages are applied on a departmental basis.

Interactive question 9: Retail method

A retailer identifies inventories at the end of an accounting period as follows:

- Department A: inventories with a selling price of CU30,000. This department makes a 25% gross profit on its sales.
- Department B: inventories with a selling price of CU21,000. This department sets its selling prices at cost plus 50%.

Requirement

Calculate the cost of inventories in each department. See **Answer** at the end of this chapter.

3.2.4 Cost formulae

It is possible to attribute specific costs to items that are not interchangeable and to items produced for specific projects or customers and it is these costs which are used in arriving at inventory valuations.

But **many inventories include items that are interchangeable** with each other, in which case **it is not possible to identify a specific cost for a specific item**. In these cases, **cost formulae** should be used, which make assumptions about which of the items produced have been sold and which are still held in inventory, and therefore about the cost of inventory.

Only two cost formulae are allowed under IAS 2:

First-in, first-out (FIFO)	**Weighted average cost**
This assumes a **physical flow of items** whereby **those produced earliest are the first to be sold**. The items produced most recently are the ones in inventory, to be measured at the most recent production cost.	This formula calculates an **average cost of production** (either at the end of each period or after each new batch has been produced, depending on the circumstances of the company) and measures inventories at that average cost.

Notes

1. The last-in, first-out (LIFO) formula (which makes an assumption about the physical flows of items that is the opposite of FIFO) is not permitted by IAS 2. The reasoning, not included in the standard, is that LIFO is not a reliable representation of the actual flow of items into and out of inventory.
2. The same cost formula must be used for all inventories having a similar nature. This limitation on management choice is aimed to ensure that like items are accounted for in like ways.

3.3 Net realisable value (NRV)

As a general rule assets should not be carried at amounts **greater than those to be realised from their sale or use**. This applies to inventory **where NRV falls below cost**. There are a number of reasons why this may be the case, including the following:

- an **increase in costs** or a **fall in selling price**
- a **physical deterioration** in the condition of inventory
- **obsolescence** of products
- a **strategic decision** to manufacture and sell products at a loss
- **errors** in production or purchasing

Where NRV falls below cost the inventory is written down to its recoverable amount and **the fall in value is charged to profit or loss**. The write-down may be of such size, incidence or nature that it must be **disclosed separately**.

Notes

1 In the case of **incomplete items**, NRV must take account of **costs to complete**.

2 In the absence of a contractually agreed selling price, the **best estimate** must be made of the likely selling price and then appropriate deductions made from it.

3 Materials to be incorporated into a finished product should only be written down **if that finished product will be sold at below its cost**.

4 Net realisable value must be **reassessed at the end of each period** and compared again with cost. This may result in the **reversal** of all or part of the original write-down.

3.4 Recognition as an expense

Once an item has been sold, it cannot remain in inventories as it no longer meets the definition of an asset in the *Conceptual Framework for Financial Reporting*. Its carrying amount is recognised as an **expense** in the accounting period in which the item is sold and the **related revenue recognised**.

3.5 Disclosure

The financial statements should disclose the following:

- **accounting policies** adopted in measuring inventories, including the cost formula used;
- **total carrying amount of inventories** and the carrying amount in classifications appropriate to the entity (eg, merchandise, production supplies, materials, work in progress, finished goods);
- **carrying amount** of inventories carried at fair value less costs to sell;
- the amount of inventories **recognised as an expense** in the period;
- the amount of any **write-down** of inventories **recognised as an expense** in the period;
- the amount of any **reversal of any write-down** that is recognised as a reduction in the amount of inventories recognised as an expense in the period;
- **circumstances or events** that led to the reversal of a write-down of inventories; and
- carrying amount of inventories **pledged as security for liabilities**.

The financial statements must also disclose one of two things:

- the **cost of inventories** recognised as an expense during the period; or
- the **operating costs**, applicable to revenues, recognised as an expense during the period, classified by their nature.

4 Ethical and judgement issues

Section overview

Professional accountants should apply scepticism when assessing management's assumptions when recognising revenue. Revenue is one of the most significant balances in the financial statements.

One of the most common ways to increase profit is to **overstate revenue**. Both the timing of revenue recognition and its measurement are crucial, as these both require judgement. For example, identification of a number of performance obligations within a contract may result in

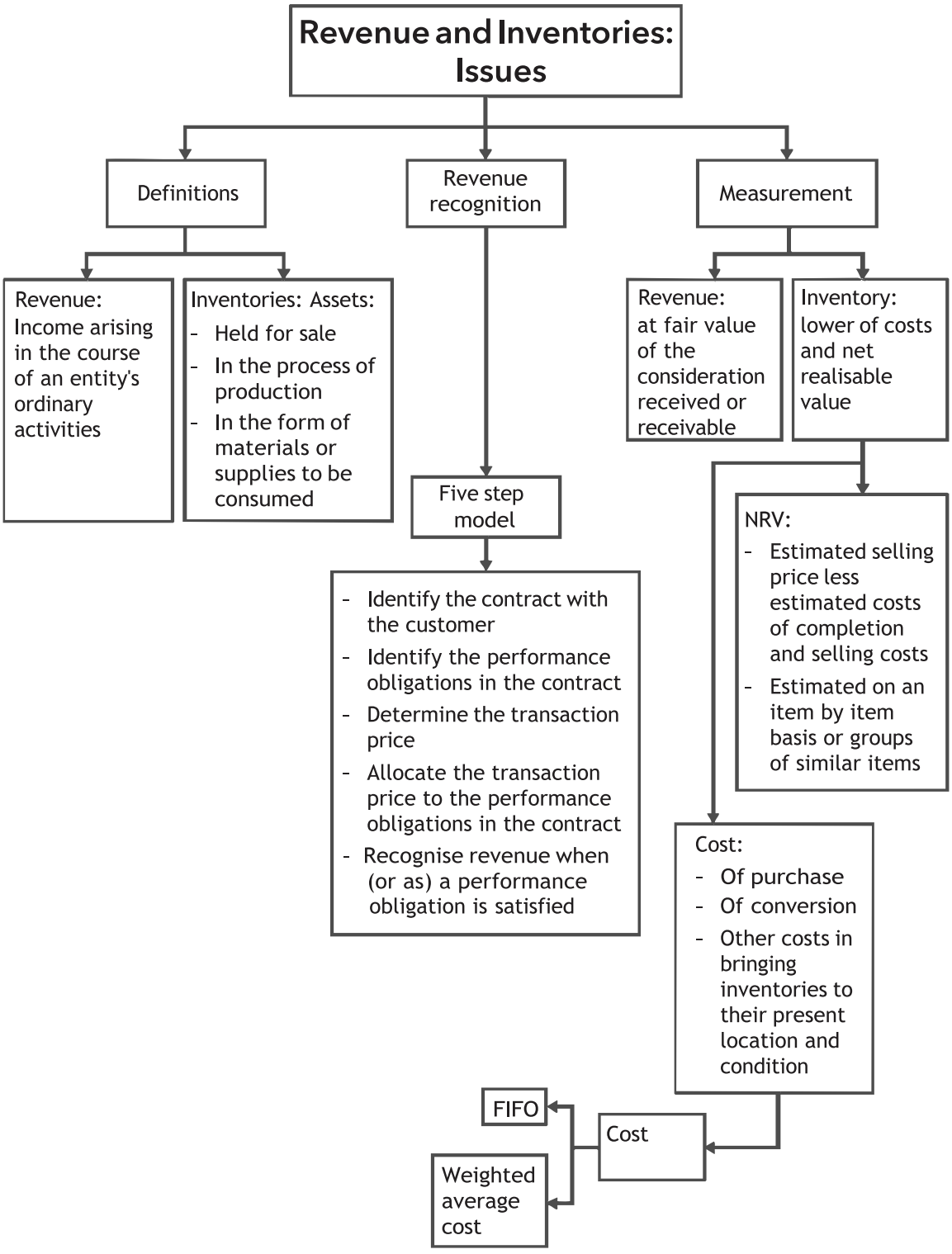
different timing of revenue recognition; variable consideration may increase or decrease transaction price. Increased profit in turn increases distributable reserves and therefore allows the payment of larger dividends and often triggers the payment of executive bonuses. In addition, the advancement of revenue and hence inflated profit for a particular period may be beneficial if the company is looking to expand or attract new owners, such as before a floatation of shares.

Because revenue has such a direct impact on earnings and because many investors focus on revenue growth as an important measure of performance, management may well be tempted to be very optimistic in its judgements so that the amount of revenue recognised is maximised. Professional accountants need to be very clear about the need to ensure that there are robust internal policies for the recognition of revenue which are in line with IFRS 15 and that they are applied consistently from one period to another.

Professional skills focus: Applying judgement

Be aware of potential ethical issues in your exam, such as aggressive accounting to overstate revenue for the period or the incorrect inclusion of expenses within the valuation of inventory at year end. Consider how these practices may affect the fundamental ethical principles expected of a professional accountant.

Summary


Revenue and Inventories: Issues
Definitions
Revenue recognition
Measurement
Revenue: Income arising in the course of an entity's ordinary activities
Inventories: Assets:
- Held for sale
- In the process of production
- In the form of materials or supplies to be consumed
Five step model
- Identify the contract with the customer
- Identify the performance obligations in the contract
- Determine the transaction price
- Allocate the transaction price to the performance obligations in the contract
- Recognise revenue when (or as) a performance obligation is satisfied
Revenue: at fair value of the consideration received or receivable
Inventory: lower of costs and net realisable value
NRV:
- Estimated selling price less estimated costs of completion and selling costs
- Estimated on an item by item basis or groups of similar items
Cost:
- Of purchase
- Of conversion
- Other costs in bringing inventories to their present location and condition
Cost
FIFO
Weighted average cost

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you recall the five steps to recognising revenue based on the requirements in IFRS 15? (Topic 2)
2.	Do you understand what is meant by a performance obligation and can you give examples of these? (Topic 2)
3.	Can you correctly deal with 'bundled contracts' where there are goods and services, and/or free to the customer elements within the contract? (Topic 2)
4.	Are you able to correctly identify which costs may be included in the valuation of inventory at the period end? (Topic 3)
5.	Can you identify issues regarding the net realisable value of items of inventory, and which accounting procedures should be followed if a write-down of inventory is required? (Topic 3)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
White Goods Ltd	This question tests your understanding of how to recognise revenue and finance income when a transaction price includes a significant financing component.
Quick Ltd	This question provides useful revision of the absorption of costs in inventory.
Parson plc	A series of scenarios requiring accounting adjustments to be made in respect of revenue for the entity. A short explanation answer is required for part (b) to test your understanding and ability to communicate clearly.
Scramjet	This question tests you understanding of the identification of the performance obligations in a contract and when (and how much) revenue may be recognised.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to

introduce exam-style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
Ashgill plc	This is a preparation of financial statements question requiring a number of adjustments, including revenue and inventories as well as other adjustments you will be familiar with from your *Accounting* studies and the early chapters of the *Financial Accounting and Reporting* module. The question is for 30 marks, so allow 54 minutes to complete it.
Avebury plc (issue 1 only)	This question contains a loyalty card scheme. It requires you to apply IFRS 15 to determine the correct accounting treatment for the recognition of revenue.
Tarascon Ltd (issue 3 only)	Issue 3 includes two different revenue streams which you must determine how to account for: a pay-as-you-go membership and an annual membership for access to an entertainment venue.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted this question, you can continue your studies by moving onto the next chapter.

Technical reference

You will need to be familiar with the whole of IAS 2, *Inventories* for your exam. For IFRS 15, *Revenue from Contracts with Customers*, you will need to focus on the key paragraphs stated below, however, noted exclusions include variable consideration (paras. 50-59) and incremental costs of obtaining a contract (paras. 91–104).

The paragraphs listed below are the key references you should be familiar with.

1 IFRS 15, *Revenue from Contracts with Cus tomers*

- Identifying the contract – **IFRS 15 (9)**
- Identifying the performance obligations – **IFRS 15 (22)**
- Satisfaction of performance obligations – **IFRS 15 (31)**
- Performance obligations satisfied over time – **IFRS 15 (35)**
- Performance obligations satisfied at a point in time – **IFRS 15 (38)**
- Determining the transaction price – **IFRS 15 (47)**
- Significant financing component – **IFRS 15 (60)**
- Allocating the transaction price to the performance obligations – **IFRS 15 (73)**

2 IAS 2, *Inventories*

- Measurement and disclosure, but not recognition – **IAS 2 (1)**
- Inventories are to be measured at the lower of cost and net realisable value – **IAS 2 (9)**
- Cost = expenditure incurred in bringing the items to their present location and condition, so the cost of purchase and the cost of conversion – **IAS 2 (10)**
- Fixed costs included by reference to normal levels of activity – **IAS 2 (13)**
- Cost formulae: FIFO or weighted average – **IAS 2 (25)**
- Use same formula for all inventories with similar nature
- Net realisable value takes costs to complete into account, as well as selling costs – **IAS 2 (6)**
- Disclosures include accounting policies, carrying amounts and amounts recognised as an expense – **IAS 2 (36 and 38)**

Self-test questions

Answer the following questions.

1 Agent and principal

Webber Ltd sells two types of product, the sleigh and the sled. Webber Ltd sells the sleigh as an agent of Caplin Ltd receiving commission of 15% on selling price. Webber Ltd sells the sled as principal at a gross margin of 30%. Webber Ltd has satisfied its performance obligations in respect of the sales.

The following information relates to the year ended 30 September 20X8.

	Sleighs	Sleds
	CU	CU
Total sales	200,000	75,000
Gross profit	60,000	22,500

Requirement

According to IFRS 15, *Revenue from Contracts with Customers* what amount of revenue should Webber recognise in total for sleighs and sleds for the year ended 30 September 20X8?

2 Significant financing component

On 1 January 20X0, Alex Ltd supplied goods to Sydney Ltd for an agreed sum of CU600,000. This amount becomes payable on 31 December 20X2. Sydney Ltd could have bought the goods for cash of CU450,000 on 1 January 20X0. The discount rate that would be reflected in a separate financing arrangement between Alex Ltd and Sydney Ltd at 1 January 20X0 is 10%.

Requirement

In accordance with IFRS 15, *Revenue from Contracts with Customers* what amounts for revenue and interest income should Alex Ltd record in profit or loss relating to this transaction for the year ended 31 December 20X0?

3 Southwell Ltd

Southwell Ltd, a property development company, sold a property with a carrying amount of CU4.5 million for CU5 million to Financier Ltd on 1 January 20X4 (the current market value is CU5 million). Southwell Ltd retains the right to occupy the property and obligation to maintain the building and has a forward option to repurchase the property in two years' time for CU6 million. It is expected that the market value of the property will be CU6 million in two years' time. The annual rate for 20% over two years is 9.5%.

Requirement

In accordance with IFRS 15, *Revenue from Contracts with Customers* what should be recognised in the financial statements relating to this transaction for the year ended 31 December 20X4?

4 White Goods Ltd

White Goods Ltd sells an electrical appliance for CU2,400 on 1 October 20X7 making a mark-up on cost of 20%. The customer is given a two-year interest-free credit period but can use the appliance from the date of receiving the item (also 1 October 20X7). An appropriate interest rate is 9%.

Requirement

In accordance with IFRS 15, *Revenue from Contracts with Customers*, what amount should the company recognise as revenue from the sale of the appliance in profit or loss for the year ended 30 September 20X8?

5 Taunton plc

Taunton plc manufactures spare parts for a range of agricultural equipment. These are sent from its BD factory to its various distribution centres in the Dhaka and Chittagong.

According to IAS 2, *Inventories*, which of the following expenses should be included as part of the cost of finished goods inventories?

A Rectification costs of a lorry-load of parts that were badly damaged in an accident en route to one of the Dhaka distribution centres.

B Expenses paid to the firm's lorry-drivers for transporting parts from the distribution centres to customers.

C Shipping costs for drivers and lorries to the Chittagong distribution centre.

D Subsistence and accommodation expenses relating to the return journey from Chittagong.

6 Quick Ltd

Quick Ltd absorbs its production overheads on the basis of units produced. Cost data relating to units of production for the year to 31 December 20X3 are as follows.

Material (for 10,000 units actually produced)	CU10,000
Sub-contract labour	CU20,000
Fixed production overheads	CU50,000

There are 1,000 units in inventories at the year end. Production was half the normal activity level.

Requirement

In accordance with IAS 2, *Inventories* what should be the figure for inventories in the statement of financial position on 31 December 20X3?

7 Valuation of inventories at year end

The normal selling price of an item included in year-end inventories is CU21 per unit. The item originally cost CU15 per unit, but could only be sold at the normal selling price after modifications were made after the year end at a cost of CU5 per unit. The scrap value of the item is CU11 per unit.

Requirement

Under IAS 2, *Inventories,* at what amount should the item be included in the financial statements?

8 Hunt Ltd

Hunt Ltd has prepared the following schedule in respect of two items held in inventory.

	Purchase price of raw materials CU	Attributable production overheads incurred CU	Attributable distribution overheads to be incurred CU	Expected selling price CU
Item X	80	10	12	85
Item Z	20	5	10	40
	100	15	22	125

Requirement

According to IAS 2, *Inventories* what is the aggregate amount at which inventories of these items should be stated in the statement of financial position of Hunt Ltd?

9 Greenmore Ltd

Greenmore Ltd is making a product for a customer. The cost to date is CU35,000. Owing to a change in government regulations an additional CU12,000 will need to be spent before the product can be sold. The customer agrees to pay half of this. The initially agreed selling price was CU40,000.

Requirement

At what amount should inventories be carried in the financial statements of Greenmore Ltd according to IAS 2, *Inventories*?

10 Parson plc

Parson plc has entered into the following transactions during the year ended 31 December 20X3.

(1) On 1 October 20X3 Parson plc received CU400,000 in advance subscriptions. The subscriptions are for 20 monthly issues of a magazine published by Parson plc. Three issues of the magazine had been despatched by the year end. Each magazine is of the same value and costs approximately the same to produce. The payment in advance does not constitute a significant financing component.

(2) Parson plc made a major sale on 1 January 20X3 for a fee of CU450,000, which related to a completed sale and after-sales support for three years. The cost of providing the after-sales support is estimated at CU50,000 pa, and the mark-up on similar after-sales only contracts is 20% on cost.

(3) The food division of Parson plc allows other companies to use its brand name at various food outlets. On 1 January 20X3 a new outlet was opened, the licence paid of CU500,000 to cover the initial brand launch. The licence is for five years, and the company will pay Parson plc an additional annual fee of CU60,000 commencing on 1 January 20X3 to cover marketing, managerial and other support services provided by Parson plc during the period. Parson plc has estimated that the cost of providing these services is CU80,000 pa, and has achieved a gross margin of 20% on providing similar services on other contracts.

Requirement

Prepare extracts from Parson plc's financial statements for the year ended 31 December 20X3, clearly showing how each of the above would be reflected. Notes to the financial statements are not required.

11 Scramjet

Scramjet is a Bangladesh-based airline which has traditionally operated in the low-cost sector, but which is trying to attract a greater proportion of business travellers.

The airline sells tickets in different booking classes, each of which has a different set of booking conditions concerning changes, refunds, and so on.

The further in advance flights are paid for and the more restrictive the booking conditions (such as not allowing changes or refunds in any circumstances), the less the flights cost.

At the company's year end of 31 December 20X6, there are a large number of passengers who have paid in advance for their flights. A sample of two passengers below illustrates some of the booking conditions.

(1) On 1 December 20X6, Ali booked a one-way flight to Paris in booking class Y, at a price of CU150. This is the most flexible booking class and allows Ali to take any flight operated by Scramjet to Paris within six months of the booking being made. At the year-end, Ali had not used the one- way ticket. These flights are flexible, but once paid for, no refunds may be given.

(2) On 7 August 20X6, Sam booked a return flight for the new year holiday from Stansted to Prague. The outward flight was on 28 December 20X6 and the return flight was on 3 January 20X7. The tickets are non-refundable and the flights cannot be changed once booked. Sam paid CU70 for the flight in each direction and has paid for the flights in full by the year end.

Note: Each flight is a separate performance obligation.

Requirement

Applying IFRS 15, *Revenue from Contracts with Customers*, explain how each of the above transactions should be reported in the financial statements of Scramjet at 31 December 20X6. State any criticisms you may have of the accounting treatment that IFRS 15 requires.

12 Latentile Ltd

Latentile Ltd is a newly formed company, which uses a chemical process to manufacture a revolutionary new roof covering, which it sells at a mark-up of 25% on cost. Its inventories consist of raw material, work in progress and finished goods, and at the end of its first year of trading it is having problems valuing inventories.

You ascertain the following information.

(1) **Raw material**

The process needs at least 100,000kg of clay to continue working, but a physical inventory count reveals that the machinery contains 108,000kg.

The original cost of the initial 100,000kg to set up the process was 30p per kg and you find an invoice to show that the last consignment of 20,000kg cost 31p per kg. All other consignments in the year (a total of 200,000kg) cost 32p per kg.

(2) **Work in progress**

The work in progress is currently all 60% complete and you discover that there are 50,000 units currently going through the process.

The total number of complete units for the period was, as anticipated, 800,000. The costs for the process for the period were as follows.

	CU
Raw materials	200,000
Direct labour	242,000
Factory overheads	191,000
Administrative expenses attributable to production	114,000
Distribution costs	90,000

(3) **Finished goods**

There were 70,000 units in inventories.

Of (1) above, it was intended to sell 20,000 units at 75p per unit, a discount of one third on normal selling price, in a future promotional campaign (a further 10p per unit distribution cost is to be incurred).

Requirements

12.1 Explain how IAS 2, *Inventories* applies the accrual and the going concern bases of accounting.

12.2 For each of the above categories of inventory, suggest a method of valuation and show the value as it would appear in the statement of financial position.

12.3 If the information regarding costs for the period were not available, suggest an alternative method of valuing finished goods.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Skyward plc is contracted to build and supply three aircraft. Each aircraft is a distinct good that is to be delivered to PEG once it has been completed and, prior to delivery, PEG cannot use or control the aircrafts. The performance obligations in this case are the delivery of each of the individual aircraft at six-month intervals.

Answer to Interactive question 2

Revenue CUnil

Revenue should be recognised when the smart speakers are delivered to the customer. This is the point at which the performance obligation is satisfied. Until then no revenue should be recognised and the deposits are recognised as contract liabilities in the statement of financial position, to reflect the retailer's obligation to transfer the goods to the customer at a point in the future.

Answer to Interactive question 3

(a) This is a contract with performance obligations satisfied over time and revenue is recognised dependent on progress towards satisfaction of the performance obligation. Based on costs incurred/total expected costs, 33% (45,000/(45,000 + 90,000)) of the performance has been completed to date.

Revenue is therefore recognised at 33% of CU210,000 = CU69,300.

(b) The costs to complete cannot be measured reliably. Since the costs basis is used to assess progress towards satisfaction of the performance obligation, the outcome of the contract cannot be estimated reliably. Therefore revenue is recognised to the extent of the costs incurred which are recoverable ie, CU45,000.

Answer to Interactive question 4

Contract revenue CU60,000

If the outcome of a services transaction cannot be estimated reliably, revenue should only be recognised to the extent that expenses incurred are recoverable from the customer.

Answer to Interactive question 5

	CU
Revenue	
- sale of goods (W2)	1,363,636
- sale of services (W2)	22,727
Total	1,500,000

The standalone price of the after-sale support must be included. This is effectively revenue and included as if the revenue was charged at full price.

WORKINGS

(1) **Calculation of the effective value of the contract**

	CU
Standalone price of after-sale support: (Cost + extra 20% margin) (120,000/(100% – 20%))	150,000
Standalone price of goods	1,500,000
Total 'true' revenue	1,650,000

(2) **Calculation of the revenue for the period**

Revenue period is 1 January–30 April 20X7 = 4 months

Transaction price allocated to goods: 1,500,000 (contract value) / 1,650,000 (W1) × CU1.5m = CU1,363,636

Transaction price allocated to after-sale support: 150,000 / 1,650,000 × CU1.5m = CU136,364

Total contract value (1,364,000 + 136,000) = CU1,500,000

Revenue in respect of the goods which were transferred across to the customer recognised in full (CU1,363,636)

Revenue for sale of services recognised in the four months to 30 April 20X7 should be CU136,364/2 years × 4/12 = CU22,727

Total revenue for the period: 22,727 + 1,363,636 = CU1,386,363

Answer to Interactive question 6

	CU
Standalone price of after-sales support (2 × (35,000/82.5%))	84,848
Standalone price of system	800,000
Total	884,848
Transaction price allocated to the provision of the system (800,000/884,848 × CU800,000)	723,288

The transaction price allocated to the provision of the system is recognised as revenue in the year.

Answer to Interactive question 7

Before the fire, overheads were allocated to inventory at 50p per unit (CU50,000 / 100,000)

The underproduction as a result of the fire does not result in any additional inventory value and should therefore not result in an additional overhead cost per unit. The overheads should still therefore be allocated on the basis of 50p per item, leading to overheads of CU37,500 being included in inventory. The CU12,500 balance of overhead cost must be recognised as an expense in the year.

Answer to Interactive question 8

	Include in cost of inventories	Recognised as an expense as incurred
Supplier's gross price for raw materials	Yes	
Quantity discounts allowed by supplier	Yes	
Purchase taxes and duties charged by supplier and recoverable from taxing authorities	n/a, because recoverable	n/a, because recoverable
Costs of transporting materials to the business' premises	Yes	
Labour costs directly incurred in the processing of raw materials	Yes	
Variable costs, such as power, incurred in the processing of raw materials	Yes	
Fixed production costs/overheads, such as rent for the processing factory and depreciation charges on the plant used in the processing	Yes, but see commentary in text	
Costs of holding finished goods in inventory		Yes
Costs of transporting goods to customer on sale		Yes
Purchase taxes charged to customer on sale	n/a as not an expense – it is part of the sales price	n/a as not an expense – it is part of the sales price
Commission payable to salesmen on sale of the goods		Yes
Allowance for irrecoverable debts in relation to trade receivables		Yes
Costs of accounts department		Yes
Head office costs relating to the overall management of the business		Yes

Answer to Interactive question 9

Department A: Selling price of inventories CU30,000 less gross profit 25% = CU22,500

Department B: If selling price is cost plus 50%, then selling price must be 150% of cost and the gross profit margin must be 50/150 = 33.3%. Selling price of inventories CU21,000 less gross profit 33.3% = CU14,000.

Answers to Self-test questions

1 Agent and principal

	CU
Revenue recognised as agent (CU200,000 × 15%)	30,000
Revenue recognised as principal	75,000
Total revenue	105,000

2 Significant financing component

At the time of supply, revenue is recognised based on the fair value of the consideration receivable, which is the cash price of CU450,000. Interest will then be accrued until payment is made. For the year ended 31 December 20X0 the interest charge (finance income) is CU450,000 × 10% = CU45,000. The receivable at 31 December 20X0 would be CU495,000 (CU450,000 + CU45,000).

3 Southwell Ltd

There is a forward option for Southwell to repurchase the property and therefore Financier Ltd is limited in its ability to direct the use of the property or obtain the remaining economic benefits from it. Therefore, the substance of the transaction is not a sale.

The repurchase price is more that the selling price. Therefore, this is treated as a financing arrangement; Southwell should not derecognise the property and should recognise the proceeds from Financier as a financial liability.

Initial financing:

	CU000	CU000
DR Cash	5,000	
CR Loan		5,000

Interest:

	CU000	CU000
DR Interest (Profit or loss) (5m × 9.5%)	475	
CR Loan		475

Total loan liability at 31 December 20X4 is CU5.475 million.

4 White Goods Ltd

Due to the credit period given to the customer, this is deemed to be a transaction with a significant financing component. Revenue is recognised at the fair value of the consideration receivable. The amount receivable is discounted to present value = CU2,400 × $1/1.09^2$ = CU2,020.

CU2,020 is recognised as revenue on 1 October 20X7, which is when the customer obtains control of the appliance.

Subsequently the CU380 difference between the transaction price of CU2,400 and the discounted price of CU2,020 is recognised as a finance income. In the year ended 30 September 20X8 finance income of CU2,020 × 9% = CU182 is recognised in profit or loss and accrued to the outstanding receivable.

5 Taunton plc

The correct answer is:

C Shipping costs for drivers and lorries to the Irish distribution centre.

Cost comprises all costs of purchase, conversion and other costs incurred in bringing the inventories to their present location and condition (IAS 2: para. 10). Only C meets this definition of costs.

Abnormal costs such as A are effectively excluded by IAS 2 paragraph 16(a).

6 Quick Ltd

		CU		CU
Material	$\frac{\text{CU10,000}}{10,000} =$	1.0		
Labour	$\frac{\text{CU20,000}}{10,000} =$	2.0		
Overheads*	$\frac{\text{CU50,000}}{(10,000 \div 50\%)} =$	2.5		
		5.5	× 1,000	5,500

* based on normal production capacity (IAS 2: para. 13)

7 Valuation of inventories at year end

Inventories should be measured at the lower of cost and NRV. Cost = CU15
NRV = (21 – 5) = CU16

The inventories should be carried at CU15 per unit.

8 Hunt Ltd

Inventories should be measured at the lower of cost and NRV.

	Cost	NRV	Lower
	CU	CU	CU
Item X	90	73	73
Item Z	25	30	25
Total			98

9 Greenmore Ltd

Cost = CU35,000

NRV = 40,000 – 12,000 costs to complete + 6,000 customer contribution = CU34,000
Inventories should therefore be carried at CU34,000.

10 Parson plc

Statement of financial position as at 31 December 20X3

	CU
EQUITY AND LIABILITIES	
Non-current liabilities	
Contract liability (W2)	280,000
Current liabilities	
Contract liability (W2)	340,000

Statement of profit or loss for the year ended 31 December 20X3

	CU
Revenue (W1)	790,000

WORKINGS

(1) **Revenue**

	CU
Transaction (1) (3/20 × 400,000)	60,000
Transaction (2)	
Sale (450,000 – (50,000 × 120% × 3))	270,000
After-sales support Year 1 (50,000 × 120%)	60,000
Transaction (3)	
Initial fee (500,000 – (40,000 (W2) × 5))	300,000
Continuing fee Year 1 (80,000 × 100/80)	100,000
	790,000

(2) **Contract liability**

	Current CU	Non-current CU
Transaction (1) (400,000 × 12/20, 5/20)	240,000	100,000
Transaction (2) (50,000 × 120% for Years 2 and 3)	60,000	60,000
Transaction (3) (100,000 – 60,000 for Years 2 to 5)	40,000	120,000
	340,000	280,000

11 Scramjet

IFRS 15 requires that revenue is recognised by reference to the satisfaction of performance obligations at the end of the reporting period. This means that Scramjet may have taken bookings which are entirely non-refundable but the revenue associated with payments for tickets should be held in the statement of financial position as a contract liability until either the flight is taken or the ticket expires. In both cases, the tickets are non-refundable, so there is certainty that the revenue can be recognised, albeit with different dates as stated below:

Ali

Ali's flight has not been taken at the year-end and so the CU150 received should also be recognised as a contract liability in the statement of financial position at 31 December 20X6. The flights are flexible, however, they are still non-refundable, so it is correct to recognise the contract liability, however, the revenue may not be recognised until the flight is taken.

Sam

Under IFRS 15, the revenue for the outbound flight should be recognised as that part of the performance obligation has been satisfied prior to the year end: CU70 should be recognised in profit or loss and CU70 should remain in the statement of financial position as a contract liability until Sam's flight back is completed on 3 January 20X7.

12 Latentile Ltd

12.1 Accrual basis of accounting

The cost of unsold or unconsumed inventories is incurred in the expectation of future economic benefits. When such benefits will not arise until a subsequent accounting period, the related costs should be carried forward and matched with the revenue when it arises. The recognition of year-end inventories achieves this carry forward.

Going concern basis of accounting

The very act of recognising closing inventories as assets at the year-end implies that the business intends to continue in operational existence for the foreseeable future.

If the company were to cease trading, inventory would be measured at the lower of cost or net realizable value, which may be nil (if the company is no longer actively selling inventory, then it should be written off).

12.2 Suggested methods of valuing inventories

Given the limited information the following methods would be appropriate in the circumstances.

Raw material

IAS 2 allows either a first in, first out (FIFO) formula or a weighted average cost (WAC) formula.

Given the fact that clay is presumably continually added to the machinery, WAC would seem the most appropriate basis.

	CU
100,000kg @30p	30,000
200,000kg @32p	64,000
20,000kg @31p	6,200
320,000	100,200

= 31.3p per kg

Closing raw materials would therefore be measured at CU33,804 (108,000 × 31.3p).

Work in progress

This could be measured using a weighted average cost, given that total cost and total output are known.

Total output (800,000 + (60% × 50,000))	830,000 units
Total costs (excluding distribution costs)	CU747,000
Thus average cost per unit = 90p	
Carrying amount of WIP (50,000 × 60% × 90p)	CU27,000

Finished goods

Again, a weighted cost could be used of 90p per unit. This would be applicable to 50,000 units, with the remaining 20,000 units being measured at net realisable value of 65p (75p – 10p).

	CU
50,000 at 90p	45,000
20,000 at 65p	13,000
	58,000

Thus inventories would appear as follows.

	CU
Raw material	33,804
Work in progress	27,000
Finished goods	58,000
	118,804

12.3 **Alternative valuation method for finished goods**

If details regarding total costs were not known, adjusted selling price could be used since the cost structure is known.

	p
Normal selling price (75p discounted price × 3/2)	112.5
Less gross profit (112.5 × 25/125)	(22.5)
Cost re 50,000	90.0

Thus finished goods inventories would be measured as before.

IAS 2 allows the above practice, used by the retail industry, on the basis that the result can be a very close approximation to cost.

Chapter 8
Leases

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Non-current assets and identifying a lease

2 Measurement

3 Presentation and disclosure

4 Sale and leaseback transactions

5 Ethical and judgement issues

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Introduction

Learning outcomes

- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and international financial reporting standards
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios

Syllabus links

In *Accounting* and Chapter 5 of this Workbook, you covered the purchase of non-current assets for cash and on credit, and the relevant entries in the statement of financial position. You were also introduced to the concept of assets being leased. In this chapter, we will look at the financial reporting treatment of leases in more detail.

In *Financial Accounting and Reporting* you are only expected to be familiar with the accounting treatment of leases from the lessee's point of view (ie, the user of the asset).

Sale and leaseback arrangements are also covered in this syllabus.

Examination context

In the examination, students may be required to:

- Explain and apply the principle of substance over form.
- Prepare and present financial statements or extracts therefrom in accordance with IFRS 16, *Leases*.
- Explain the accounting treatment of lessee accounting including sale and leaseback transactions and prepare relevant financial statement extracts.
- Identify and explain any ethical issues.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Non-current assets and identifying the lease** IFRS 16 provides a single lease accounting model for lessees that applies to all	**Approach** You can cover the first couple of sub-topics relatively quickly, but take your time over identifying a lease.	A question could ask you to identify and explain whether a contract contains a lease and what the accounting	**IQ1 Is it a lease?** This is a short question which tests your understanding of whether an agreement

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	lease transactions (with limited exceptions). Determining whether a contract is or contains a lease is an important first step in correctly accounting for leasing arrangements.	The worked examples will help your understanding so make sure you cover those carefully. There are optional recognition exemptions which apply to short-term leases and leases of low value assets. Ensure you understand when these can be applied. The interactive questions will help test your understanding of this topic. **Stop and think** Why might a company prefer to treat a contract as a simple rental agreement rather than a lease under IFRS 16?	consequences of a lease contract are.	contains a lease and if it does, whether the optional recognition exemptions could be applied. **IQ2 Leases of low value assets** This question will test your understanding of how to calculate the expense and corresponding accrual (or prepayment) when the optional recognition exemption is applied.
2	**Measurement** IFRS 16 requires a right-of-use asset and a corresponding lease liability to be recognised on commencement of the lease. This topic explains how both the asset and liability should be initially and subsequently measured. The amount initially recognised in respect of the lease liability forms part of the initial measurement of the right-of-use asset.	**Approach** There is a lot of detail in this topic that it is essential to understand. You will need to work methodically through the material, including the examples and interactive questions. Pay particular attention to the difference between lease payments in advance and lease payments in arrears when calculating the initial lease liability.	Lease accounting could form part of an accounts preparation question as an adjustment to be made when preparing the financial statements. You need to know how to measure the initial asset and liability balances on recognition and at later year end dates by applying the subsequent measurement rules. A question that is focused on the statement of profit or loss may	**IQ3 Initial measurement – payments in advance** Immediately prior to this question is an example which looks at how to calculate the initial lease liability when payments in arrears. This question a chance for you to put practice the knowledge gained in that example, with the twist that payments are in advance.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
		Stop and think Why are deposits and payments made on commencement of the lease included in the initial measurement of the asset but not the lease liability? Link your answer to the *Conceptual Framework for Financial Reporting* definitions of assets and liabilities.	require you to calculate the interest expense on the liability and depreciation on the asset.	**IQ4 Subsequent measurement – payments in advance** This question requires you to apply the subsequent measurement rules where payments are made in advance. **IQ5 Presentation – payments in arrears** In this question you must calculate the current and non-current portions of the lease liability.
3	**Presentation and disclosure** The right-of-use asset is presented within non-current assets and the lease liability is presented in current and non-current liabilities in the statement of financial position based on the amounts payable in less than one year and more than one year. IFRS 16 requires fairly extensive disclosures in relation to the right-of-use asset and the lease liability.	**Approach** You can read through the theory relatively quickly, but pay attention to the worked examples which explain how to calculate the current and non-current elements of the liability. Interactive question 6 at the end of this topic is a nice one to round off what you have learned so far. **Stop and think** Why is it useful to the users of financial statements that lease liabilities are split into their current and non-current elements?	You may be asked to calculate the current and non-current elements of a lease liability. You could also be asked to explain what disclosures are required in respect of leases.	**IQ6 Summer Ltd** This question covers the initial and subsequent measurement of right-of-use assets and lease liabilities and the calculation of current and non-current portions of the liability.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
4	**Sale and leaseback** A company may raise finance by 'selling' an asset to a bank or other financial institution but retaining the right to use that asset by immediately leasing it back. IFRS 16 interacts with IFRS 15, *Revenue from Contracts with Customers* to determine whether a sale has occurred or not, which in turn determines how the transaction is accounted for.	**Approach** This can be a tricky area. Work through the topic slowly, paying particular attention to transfers that do constitute a sale under IFRS 15. **Stop and think** Why might a company enter into a sale and leaseback transaction rather than simply obtaining a new loan?	An exam question may require you to account for a sale and leaseback transaction as part of an accounts preparation question or to explain the appropriate accounting treatment for a sale and leaseback transaction.	**IQ7 Sale and leaseback (transfer is a sale)** This question will take you through the calculation of the right-of-use asset and the gain or loss that should be recognised in a sale and leaseback transaction.
5	**Ethical and judgement issues** This short topic covers the ethical issues you may be faced with, focusing on sale and leaseback transactions.	**Approach** Read through this short section carefully, noting the links to the IESBA *Code of Ethics*. **Stop and think** Why might a finance director try to account for a sale and leaseback by derecognising the asset and recording the gain on sale?	You may be asked to reflect on the ethical considerations in a question with a sale and lease back scenario in which the director wishes to derecognise the asset and record the gain in profit or loss.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Non-current assets and identifying a lease

Section overview

- A contract for the right to use an asset is within the scope of IFRS 16 if it meets the definition of a lease contract.
- Under IFRS 16, a lessee should recognise a right-of-use asset and a corresponding lease liability for all leases (optional recognition exemptions apply for short term leases and leases for which the underlying asset is of low value).

1.1 Obtaining the right to use an asset

There are different ways of obtaining the right to use an asset either for all or part of the asset's life; for example, you can buy a car outright, lease it for an agreed number of years or hire it for a short period of time. In each case, you are able to drive the car (you have the right to use the asset), but your rights over the car differ in each case.

As far as this chapter is concerned, in effect, an entity has two choices.

Buy the asset	An entity can buy an asset outright. In this case, the entity: • is legally the owner of the asset (ie, it has legal title to the asset); • has full control over how the asset is used until it is disposed of or retired; and • is exposed to all the risks and rewards of owning the asset. In the financial statements, the asset will be treated as a non-current asset. For relevant accounting issues, see Chapter 5. Of course, the entity might pay for the asset a couple of months later, on standard credit terms. This is then a simple credit purchase.
Lease the asset	If an entity leases an asset, it is paying another entity for the **right to use** that asset for an **agreed period of time**. It is the owner's (lessor's) property, but the entity (lessee) is getting the right to use it and access to the benefits from using it for the agreed period of time.

There are clear legal differences between owning and leasing an asset. However, many leasing arrangements transfer all the benefits and risks of owning an asset to the lessee for an agreed period. In such cases, simply accounting for the lease payments as an expense each month does not appropriately reflect the **substance** of the arrangement. In order to more accurately reflect the substance of such arrangements, IFRS 16 requires a lessee to recognise a non-current **right-of-use asset** representing its right to use the leased asset for a specified period and a **lease liability**, representing its obligation to make payments under the lease.

Note: The *Financial Accounting and Reporting* syllabus covers IFRS 16 from the perspective of the lessee only. You are not expected to account for leases from the lessors' perspective.

1.2 Lease contracts

An agreement has to meet the definition of a **lease** contract to be in the scope of IFRS 16.

Definitions

Lease: A contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time, in exchange for consideration.

Underlying asset: An asset that is the subject of a lease, for which the right to use that asset has been provided by a lessor to a lessee.

In a leasing transaction, there is a contract between the lessor and the lessee for the lease of an asset.

- The **lessor** is owner and supplier of the underlying asset.
- The **lessee** is the entity which has the right to use the underlying asset.

The lessor retains legal ownership but transfers to the lessee the right to use the asset for an agreed period of time in return for specified payments.

Definition

Right-of-use asset: An asset that represents a lessee's right to use an underlying asset for the lease term.

1.3 Identifying a lease

Under IFRS 16, a contract is deemed to contain a lease if it conveys the **right to control** the use of an **identified asset** for a **period of time**, in return for consideration (usually cash, although this purposely doesn't restrict the definition).

The **right to control** the use of the underlying asset depends on the lessee having both:

- the right to obtain substantially all of the **economic benefits** from using the asset; and
- the **right to direct the use** of the identified asset.

Identified asset

- The asset must be specified in the lease.
- It may be part of an asset (such as part of an office facility).
- If the lessor has the practical ability to substitute the asset for an equivalent during the lease, and would benefit economically from doing so (ie, they have a substantive substitution right), there is no identified asset and the contract is not a lease.

Period of time is either:

- a period of time, such as years; or
- the amount of use, based upon the production of the asset, such as number of units produced.

Right to obtain substantially all of the economic benefits

- This can be achieved through holding, using or sub-leasing the asset.
- It is assessed only within the parameters of the contract eg, a lease contract for a car may restrict its use to within one country, in which case only economic benefits within that country are considered.

Right to direct the use of the asset (control)

- The lessee can direct how and for what purpose the asset is used throughout the period of use.
- The assessment is unaffected by protective rights within the terms of the contract that are designed to protect the asset, eg, prohibiting a truck from being used to carry explosives.

Context example: Is it a lease?

Big Farm Ltd has three tractors under contract from Agrirental Ltd. The tractors are each leased for a period of five years, during which time Big Farm Ltd can use them for any purpose and keeps them on the farm. They cannot be retrieved by Agrirental Ltd (except in the case of default of payment). Agrirental Ltd will supply a replacement tractor if any of the three requires servicing or repair. The tractors are returned to Agrirental Ltd after five years.

Is this contract a lease within the scope of IFRS 16?

There are **identifiable assets** (the three tractors), and Big Farm Ltd has the **right to direct their use** for the period of the contract in order to obtain **substantially all economic benefits** from them.
Agrirental Ltd does not have the right to substitute or swap one of the tractors, it may only do so if a tractor requires a repair or servicing. Therefore, the contract is classified as a lease within the scope of IFRS 16.

Context example: Rental or lease?

Big Farm Ltd also has the use of two combine harvesters under contract from Agrirental Ltd. The contract agrees that Big Farm Ltd will have access to combine harvesters, however, Agrirental Ltd can decide on the brand and specific machine supplied to Big Farm Ltd. As harvesting is not a year- round activity, Agrirental Ltd retains the combine harvesters at its depot, but will supply them as requested within 24 hours.

Is this contract a lease within the scope of IFRS 16?

There are **no identifiable assets** (as the brand and specific machine is not specified and can be substituted by Agrirental Ltd), and although Big Farm Ltd has the **right to use** the machines for the period of the contract, Agrirental Ltd can decide upon the actual combine harvesters provided to Big Farm Ltd.

Therefore, the contract is not classified as a lease within the scope of IFRS 16, and the rental payments should be expensed to profit or loss.

1.4 Recognition exemptions

IFRS 16 provides **optional** recognition exemptions for:

- **Short-term leases** – applies to leases with a term of twelve months or less that do not contain a purchase option. The election to use the exemption for short-term leases must be made by asset class.
- **Leases for which the underlying asset is of low value** – applies to the lease of assets with a low value when new (such as laptop computers, mobile phones or small items of office furniture). IFRS 16 does not define a monetary amount that it considers low. An asset can only be of low value if:
  - The lessee can benefit from using the underlying asset on its own or with other available resources.

- The underlying asset is not highly dependent on or interrelated with other assets, for example, a circuit board costing CU200 but which is required to operate an item of plant worth CU40,000.

An entity can elect to apply the exemption relating to assets with a low value on a lease-by-lease basis.

If an entity elects to apply the optional recognition exemptions to a lease, then the lease payments are charged to profit or loss on a straight-line (or other systematic) basis over the lease term. No right-of-use asset or lease liability are recognised in relation to that lease.

Worked example: Short-term leases

Woody Ltd prepares its financial statements to 31 December each year. On 1 September 20X5, Woody Ltd entered into a lease contract for the right to use excavation equipment for a period of 10 months at a cost of CU5,000 per month. Under the terms of the contract, Woody Ltd is required to pay three months' lease payments on 1 September 20X5 followed by seven monthly payment of CU5,000 per month commencing 1 October 20X5. Woody Ltd does not have an option to purchase the equipment at the end of the contract and made all lease payments on time. Woody Ltd wishes to apply any optional recognition exemptions available under IFRS 16.

Requirement

Calculate the lease expense to be included in Woody Ltd's statement of profit or loss for the year ended 31 December 20X5.

Solution

As Woody Ltd wishes to apply the optional recognition exemption, it can account for the lease as an expense on a straight-line basis over the lease period.

The total amount payable under the lease is CU50,000 (CU5,000 per month × 10 months). Woody Ltd should recognise an expense of CU20,000 (CU50,000 × 4/10 months) to reflect the lease expense incurred in the period to 31 December 20X5.

Interactive question 1: Leases of low-value assets

Roper Ltd has entered into a lease agreement which grants it the right to use office furniture for a period of three years from 1 October 20X7. Under the terms of the agreement, Roper Ltd will pay nothing for the first six months followed by 30 payments of CU100 per month commencing 1 April 20X8. The office furniture meets the definition of an asset with a low value and Roper Ltd wishes to apply any optional recognition exemptions available under IFRS 16.

Requirement

Calculate the amount to be recognised in Roper Ltd's statement of profit or loss for the year ended 31 December 20X7 and in the statement of financial position as at that date.

See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

You may be asked to advise on whether the optional recognition exemptions can be applied to a given situation. This requires you to understand what the exemptions available under IFRS 16 are and then determine whether the lease described in a question meets the requirements.

You should be particularly aware that the short-term lease exemption is made by the class of the asset, whereas the leases of low-value assets exemption is made on a lease-by-lease basis.

Interactive question 2: Is it a lease?

Explain whether each of the following arrangements contains a lease. If the arrangement contains a lease, determine whether the recognition exemptions in IFRS 16 can be applied.

(a) Alpha Ltd enters into an agreement with IT Rental Ltd for the use of a laptop computer for its financial controller. The agreement is for a three-year period. During the three-year period, the financial controller can use the laptop in the office or at other locations required for her work. IT Rental Ltd cannot substitute the laptop for another during the three-year period.

(b) Beta Ltd enters into a contract with IT Rental Ltd for the use of a photocopier for a four-year period. The photocopier will remain on Beta Ltd's site and will only be returned to IT Rental Ltd in the event of a major repair being required, in which case a substitution will be provided.

(c) Gamma Ltd enters into a two-year contract with Cars4U Ltd to obtain the use of cars for its team of sales representatives. The cars are required to be estate models, but from time to time, where it is economically advantageous to do so, the cars may be substituted by Cars4U Ltd.

(d) Delta Ltd enters into an agreement to use three architect's drawing desks (of a specified style and size) for a period of ten months in return for ten monthly payments. The desks cannot be substituted during the 10-month period. Delta Ltd already has four of these desks held under similar lease arrangements. Delta Ltd has not elected to apply the recognition exemption in IFRS 16 to the other desk leases.

See **Answer** at the end of this chapter.

2 Measurement

Section overview

- A lease liability is initially recognised at the present value of **future** lease payments.
- A lease liability is subsequently measured by applying the interest rate implicit in the lease and deducting lease payments made.
- A right-of-use asset is initially recognised at the amount of the lease liability, subject to adjustments for deposits and other payments in advance, incentives received for entering into the lease, and provisions for future obligations.
- A right-of-use asset is subsequently depreciated and subject to impairment review.

IFRS 16 requires a right-of-use asset and a lease liability to be recognised on commencement of the lease.

2.1 Initial measurement of the right-of-use asset

The right-of-use asset is initially measured at cost, which includes:

- the amount of the initial measurement of the lease liability;
- any lease payments made before the commencement date (deposits) and any lease payments made on the commencement date (advance payments) less any lease incentives received;
- any initial direct costs incurred by the lessee related to the asset; and
- an estimation of any costs or penalties to be incurred by the lessee which the lessee is obliged to incur at the end of the lease term, such as dismantling costs or environmental clean-up costs (recognised as provisions in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*).

Note: The *Financial Accounting and Reporting* exam may include incentives received before or on commencement of the lease (which are deducted when arriving at the initial carrying amount of the right-of-use asset) but will not include incentives that are receivable after commencement of the lease (which are accounted for when arriving at the initial carrying amount of the lease liability).

Worked example: Initial measurement of the right-of-use asset

Beta Ltd commenced a five-year lease for the right to use a new item of energy-efficient plant on 1 January 20X8. Beta Ltd has paid an initial deposit of CU800 and received incentives totalling CU250 on commencement of the lease. Beta Ltd is required to make payments annually in arrears and at the commencement date of the lease, the lease liability was measured at CU12,500. Beta Ltd has incurred legal costs of acquiring the lease of CU1,200.

Beta Ltd has decided to promote that it has reduced its carbon footprint as a result of the lease of the new plant and has incurred costs of CU300 to have new promotional graphics created for social media marketing purposes.

At the end of the lease, Beta Ltd will have to pay CU750 (at present value) to remove the plant.

Requirement

What is the initial measurement of the right-of-use asset?

Solution

The right-of-use asset is initially measured as:

	CU
Lease liability (initial measurement)	12,500
Initial deposit	800
Direct costs	1,200
Present value of costs to remove the plant	750
Less: lease incentives	(250)
Right-of-use asset	15,000

Note: The costs of having promotional graphics created are not included as these costs are not directly attributable to the lease. This is consistent with IAS 16 (para.19(b)), where marketing costs cannot be capitalised as part of the non-current asset.

The journal entry to record the right-of-use asset is:

	CU	CU
DR Right-of-use asset (Non-current assets)	X	
CR Lease liability		X
CR Bank/payables		X

Note: The credit to bank/payables represents any deposits paid, any payments made on commencement of the lease, any direct costs incurred, and any cash incentives received.

2.2 Subsequent measurement of the right-of-use asset

Subsequently, the right-of-use asset will be measured at cost less accumulated depreciation and impairment losses in line with IAS 16, *Property, Plant and Equipment* and IAS 36, *Impairment of Assets*. If the right-of-use asset belongs to a class of assets to which the revaluation model is applied, the right-of-use asset may also be revalued.

Note: Note that if a right-of-use asset is revalued, it is the fair value of the right of use that is relevant, not the fair value of the underlying asset.

The right-of-use asset should be depreciated from the lease commencement date to the **earlier** of the end of its useful life or the end of the lease term **unless** the asset is expected to be transferred to the lessee at the end of the lease term. In that case, the asset will be depreciated over the useful life of the asset.

Notes

1 In the *Financial Accounting and Reporting* exam, you should assume that ownership of the underlying asset does not transfer to the lessee, nor does the lessee have the option to purchase the underlying asset at the end of the lease term, unless the question explicitly states otherwise.

2 It is important to understand the difference between the **economic life** of an asset, the **useful life** of an asset and the **lease term**.

- The **economic life** of an asset is defined in IFRS 16 as the period over which an asset is expected to be economically useable by one or more users, or the number of production or similar units expected to be obtained from an asset by one or more users.
- The **useful life** of an asset is defined in IAS 16. It is the period over which an asset is expected to be available for use by an entity, or the number of production or similar units expected to be obtained from an asset by an entity. The useful life is influenced by the entity's plans, such as the expected levels of production or the replacement policy for assets.
- The **lease term** is defined in IFRS 16 as the non-cancellable period of a lease, together with periods covered by an option to extend the lease if the lessee is reasonably certain to take up that option, and period covered by an option to terminate if the lessee is reasonably certain not to exercise that option.

Worked example: Subsequent measurement of the right-of-use asset

Taking the information from the previous example, Beta Ltd has estimated that the useful life of the plant will be four years. There is no option to purchase the plant at the end of the lease term.

Requirement

What is the carrying amount of the right-of-use asset at 31 December 20X8?

Solution

The right-of-use asset is initially measured at CU15,000

The depreciation period is the shorter of the useful life (four years) or the lease term (five years)

CU15,000/4 years = CU3,750 depreciation charge pa

The carrying amount of the right-of-use asset at 31 December 20X8 is CU11,250 (CU15,000 – CU3,750)

2.3 Initial measurement of the lease liability

Definition

Lease payments: Payments made by a lessee to a lessor relating to the right to use an underlying asset during the lease term.

At the commencement of the lease, the lease liability is measured at the **present value** of **future lease payments** (ie, those **not paid** before or on the commencement date of the lease), including any payments expected at the end of the lease.

The lease liability will include the following future lease payments:

- fixed payments, less any lease incentives receivable;
- variable lease payments that depend on an index (eg, the consumer price index) or rate (eg, market rental rates);
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase options (if reasonably certain to be exercised); and
- payments for penalties for early termination (if the lease term reflects the lessee exercising an option to terminate the lease).

The discount rate used is the interest rate implicit in the lease, or if this is not available, the lessee's incremental borrowing rate.

Note: Variable payments that are not dependent on an index or rate are recognised in the statement of profit or loss as they are incurred.

Context example: Variable payments

Chase Ltd entered into a lease contract under which it obtains the right to use a machine for four years. Under the contract, Chase Ltd must make payments of CU20,000 pa in arrears and is required to make an additional payment of CU50 per hour for every hour the machine is used in excess of 20,000 machine hours pa.

The CU20,000 payable pa is a fixed lease payment, which is included when calculating the present value of the future lease payments. The CU50 per hour is a variable payment that is not based on an index or rate and is therefore recognised as an expense in the period in which it is incurred.

Lease payments in arrears vs in advance

Lease payments can be made in arrears or in advance. Identifying whether lease payments are made in arrears or advance is important as it affects the calculation of the lease liability.

Context example: Initial measurement – Payments in arrears

Alpha Ltd has entered into a four-year lease which commenced on 1 January 20X8. Under the terms of the lease, Alpha Ltd is required to make payments of CU10,000 pa in arrears. The interest rate implicit in the lease is 10%. No additional payments have been made or are due under the terms of the lease. The present value of the future lease payments can be calculated as follows:

Year	CU
1 $10,000/1.10$	9,091
2 $10,000/1.10^2$	8,264
3 $10,000/1.10^3$	7,513
4 $10,000/1.10^4$	6,830
Present value of future lease payments	31,698

Therefore, at 1 January 20X8, the amount initially recognised as a lease liability is CU31,698.

Interactive question 3: Initial measurement – payments in advance

Apple Ltd has a year end of 31 December. It entered into a contract for the lease of construction equipment which commenced on 1 January 20X1. Lease payments comprise three payments of CU10,000 annually, with the first payment due on 1 January 20X1. Legal fees of CU500 are incurred in arranging the lease.

The interest rate implicit in the lease is 10%.

Requirements

3.1 Calculate the initial lease liability on commencement of the lease.

3.2 What is the cost of the right-of-use asset on initial recognition?

See **Answer** at the end of this chapter.

2.4 Subsequent measurement of the lease liability

- In subsequent periods, the lease liability is measured by:
  - increasing the carrying amount to reflect interest on the lease liability (using the interest rate implicit in the lease); and
  - reducing the carrying amount to reflect lease payments made.
- Care needs to be taken as to whether payments are made in advance or in arrears.

Context example: Subsequent measurement

Continuing with Alpha Ltd from the previous example 'Initial measurement – payments in arrears', Alpha Ltd had calculated the initial lease liability to be CU31,698 on 1 January 20X8. In the year to 31 December 20X8, the interest cost and the lease payment made needs to be accounted for:

Year	CU
1 January 20X8: Lease liability (PVFLP)	31,698
31 December 20X8: Interest at 10%	3,170
31 December 20X8: Lease payment in arrears	(10,000)
Lease liability at 31 December 20X8	24,868

Notes

1 The journal entry to record the interest payment is:

	CU	CU
DR Interest expenses (profit or loss)	3,170	
CR Lease liability		3,170

2 The journal entry to record the lease payment is:

	CU	CU
DR Lease liability	10,000	
CR Cash at bank		10,000

Worked example: Subsequent measurement – Payments in arrears

Apricot Ltd entered into a contract for the lease of machinery on 1 January 20X1. Under the terms of the contract, Apricot Ltd must make three annual payments of CU10,000 in arrears, commencing on 31 December 20X1. Apricot Ltd has assessed that the useful life of the machinery is three years.

Apricot Ltd received a lease incentive of CU1,000 prior to commencement of the lease. There is no transfer of the asset to Apricot Ltd at the end of the lease and no purchase option.

The rate of interest implicit in the lease is 10%. Apricot has a year end of 31 December.

Requirement

Calculate the interest expense and the carrying amount of the lease liability for each year of the lease.

Solution

The lease liability is initially measured at the present value of the future lease payments:

		CU
31 December 20X1	CU10,000/1.10	9,091
31 December 20X2	CU10,000/1.10^2	8,264
31 December 20X3	CU10,000/1.10^3	7,513
		24,868

Subsequently, the lease is measured as follows:

	Interest expense @

Year	Balance b/ f (1 Jan)	10%	Lease payment	Balance c/ f (31 Dec)
	CU	CU	CU	CU
20X1	24,868	2,487	(10,000)	17,355
20X2	17,355	1,735	(10,000)	9,090
20X3	9,090	909	(10,000)	0*
		5,131		

* rounding differences

Interactive question 4: Subsequent measurement – Payments in advance

Continuing Interactive question 2, lease payments comprise three payments of CU10,000 annually in advance, with the first payment due on 1 January 20X1. The initial lease liability is CU17,355 and the rate of interest implicit in the lease is 10%.

Requirement

Calculate the interest expense and the closing lease liability for each year of the lease. See **Answer** at the end of this chapter.

Professional skills focus: Assimilating and using information

You need to read the information given in an exam question very carefully in order to determine whether lease payments are made in arrears or in advance. It makes a significant difference to the calculation of the initial lease liability and of interest in subsequent periods. Ensure you are comfortable working with payments in arrears and advance.

3 Presentation and disclosure

Section overview

- Right-of-use assets are presented within non-current assets.
- Lease liabilities are presented within liabilities and are analysed into current and non-current elements.
- IFRS 16 requires disclosures relating to leases in the notes to the financial statements.

3.1 Presentation

Right-of-use assets should be presented within non-current assets in the statement of financial position. They may be presented as a separate line item within non-current assets on the face of the statement of financial position, or they may be included within property, plant and equipment as part of the total of the relevant class of assets, with the carrying amount of right-of-use assets disclosed in the notes to the financial statements.

Lease liabilities should be presented within liabilities in the statement of financial position. In accordance with IAS 1, *Presentation of Financial Statements*, lease liabilities should be analysed between non-current and current liabilities.

Interactive question 5: Presentation – Payments in arrears

Using the facts from the Worked example: Subsequent measurement – payments in arrears, show the current and non-current portions of the lease liability at the end of 20X1.

Complete the current/non-current split proforma below.

		Lease liability		
		Interest expense		
	Balance b/f	10%	Payment	Balance c/f
	CU	CU	CU	CU
20X1 (current period)	24,868	2,487	(10,000)	17,355
20X2 (future periods)	17,355	1,735	(10,000)	9,090

Current/ Non-current split:

	CU
Total lease liability at 31 December 20X1	
Non-currently liability	
Current liability	

See **Answer** at the end of this chapter.

Interactive question 6: Summer Ltd

Summer Ltd leases an asset on 1 January 20X1. Under the terms of the lease, Summer Ltd is required to pay a non-refundable deposit of CU575 followed by seven annual instalments of CU2,000 payable in arrears. The asset is expected to have a useful life of seven years.

On initial recognition, the present value of the future lease payments is CU11,164. There is no option to purchase the asset at the end of the lease term.

Requirements

1.1 Calculate the carrying amount of the lease liability and of the right-of-use asset at 31 December 20X1 and 31 December 20X2.

The interest rate implicit in the lease is 6%.

(Round your answers to the nearest CU1)

1.2 Calculate the current and non-current components of the lease liability at 31 December 20X1. See **Answer** at the end of this chapter.

3.2 Disclosure

The following information should be disclosed in the notes to the financial statements.

Non-current assets

- *the carrying amount of right-of-use assets, by class of underlying asset, if this is not given on-the- face-of the statement of financial position;*
- *depreciation expense for right-of-use assets;*
- *additions to right-of-use assets;*
- *carrying amount of right-of-use assets at the end of the reporting period by class of underlying asset;*
- *gains/losses resulting from any sale and leaseback transactions (see section 5).*

Liabilities

- *interest expense on lease liabilities*

Other disclosures

- *expenses relating to short-term leases and leases of low-value assets*
- *total cash outflow for leases*
- *the entity's accounting policy in respect of leases, if the resulting accounting policy information is material as prescribed by IAS 1*

Context example: Disclosure

An example disclosure note for leases for a fictional company, Beta plc, is shown below.

Note XX: Leases

Beta plc leases several assets including buildings and IT equipment. Leases of buildings are typically between 5 and 20 years. Leases of IT equipment are typically between 1 and 5 years.

Beta plc also has leases of office equipment of low value and certain leases of equipment with lease terms of less than 12 months. Beta plc applies the recognition exemptions permitted in IFRS 16 for these leases.

Right-of-use assets

Set out below are the carrying amount of right-of-use assets recognised and the movements during the reporting period:

	Buildings	***Equipment***	***Total***
	CU	***CU***	***CU***
At 1 January 2022	***650,000***	***22,000***	***672,000***
Additions	*500,000*	*3,000*	*503,000*
Depreciation expense	*(180,000)*	*(7,000)*	*(187,000)*
At 31 December 2022	***970,000***	***18,000***	***988,000***
Additions	*150,000*	*5,000*	*155,000*
Depreciation expense	*(160,000)*	*(8,000)*	*(168,000)*
At 31 December 2023	***960,000***	***15,000***	***975,000***

Lease liabilities

Set out below are the carrying amounts of lease liabilities and the movements during the period:

	2023 CU	2022 CU
As at 1 January	***995,000***	***685,000***
Additions	*145,000*	*495,000*
Interest expense	*260,000*	*250,000*
Payments	*(420,000)*	*(435,000)*
As at 31 December	***980,000***	***995,000***
Current	*400,000*	*450,000*
Non-current	*580,000*	*545,000*

The following amounts are recognised in profit or loss:

	2023 CU	2022 CU
Depreciation expense of right-of-use assets	*168,000*	*187,000*
Interest expense on lease liabilities	*260,000*	*250,000*
Expense relating to short-term leases (included in cost of sales)	*22,000*	*21,000*
Expense relating to leases of low-value assets (included in administrative expenses)	*18,000*	*17,000*
Total amount recognised in profit or loss	***468,000***	***475,000***

Beta plc had total cash outflows for leases of CU460,000 in 2023 (CU473,000 in 2022).

4 Sale and leaseback transactions

Section overview

- A sale and leaseback transaction involves the 'sale' of an asset and the immediate leasing back of the same asset.
- The treatment of a sale and leaseback transaction depends on whether the transfer of the asset is a sale as defined by IFRS 15, *Revenue from Contracts with Customers*.

4.1 Introduction

Companies can raise finance in a number of different ways. These include short-term measures such as a bank overdraft, medium-term measures such as loans and longer-term measures including secured loans.

Another option is to enter into a **sale and leaseback transaction**. This is a common feature of certain industries, including retailing and hotels, both of which typically have high value assets in the form of properties. It involves **the legal owner of the asset selling it**, typically to a finance house or bank, **and immediately leasing it back**, thereby raising cash and retaining the right to use the asset. The seller of the asset then becomes a lessee. Such arrangements provide entities with the opportunity to release capital caught up in the business for investment in other opportunities or to return it to shareholders. In essence, an entity acquires cash in exchange for a commitment to make regular lease payments without losing use of the asset.

Under IFRS 16, the key initial assessment is whether or not the transfer of the asset constitutes a genuine sale. For this to be the case, the requirements of IFRS 15, *Revenue from Contracts with Customers* for determining when a performance obligation is satisfied must be met.

4.2 Transfer is a sale

If the transfer of the asset constitutes a sale in accordance with IFRS 15, the seller/lessee should:

- derecognise the asset transferred;
- recognise a right-of-use asset representing the right of use of the asset that it retains;
- recognise a lease liability in respect of its obligations under the lease; and
- recognise a gain on the rights transferred to the buyer/lessor.

Right-of-use asset representing the right of use retained

The seller/lessee measures the **right-of-use asset arising from the leaseback** as a proportion of the carrying amount of the asset immediately prior to the sale that relates to the right of use retained by the seller/lessee. This is calculated as:

$$\text{Carrying amount} \times \frac{\text{PV of future lease payments at transfer date}}{\text{Fair value of asset at transfer date}}$$

Gain on the rights transferred to the buyer

The seller/lessee only recognises the **amount of any gain or loss** on the sale that relates to the **rights transferred to the buyer.**

The **gain relating to the rights transferred** is calculated as:

Gain on rights transferred = total gain (W1) – gain on rights retained (W2) WORKINGS

(1) **Total gain on the sale**

	CU
Fair value of the asset at the transfer date	X
Less: carrying amount	(X)
Total gain/(loss) on the sale	X/(X)

(2) **Gain on rights retained**

$$\text{Gain} \times \frac{\text{PV of future lease payments}}{\text{Fair value of asset at transfer date}} = \text{Gain related to rights retained}$$

Notes

1. The right-of-use asset arising from the leaseback should be depreciated as normal. There may be a revision to the expected useful life of the asset.
2. In *Financial Accounting and Reporting*, the fair value of the asset at the date of transfer will always be equal to the consideration received from the purchaser/lessor. Situations where the consideration is above or below fair value will be covered at the Advanced Level.
3. In *Financial Accounting and Reporting*, sale and leaseback transactions will only include leases with payments made in arrears.
4. The purchaser/lessor accounting is not covered here as it is outside of the *Financial Accounting and Reporting* syllabus.

Interactive question 7: Sale and leaseback (transfer is a sale)

On 1 January 20X1, Frayn plc entered into a contract with a financial institution in which it sold an asset and immediately leased it back again, retaining the right to use the asset. The transfer of the asset constituted a sale under IFRS 15 and the sale proceeds received of CU120,000 were equivalent to the fair value of the asset. At the transaction date:

- The carrying amount of the asset was CU70,000.
- The remaining useful life of the asset was four years.

Under the terms of the lease, Frayn plc was required to make five annual rentals of CU25,000 payable in arrears on 31 December of each year. The interest rate implicit in the lease was 5% and the present value of the future lease payments at the commencement of the lease was CU108,225.

Requirements

7.1 Prepare the journal entries to record the sale and leaseback on 1 January 20X1.

7.2 Calculate the amounts to be recognised in profit or loss in the year to 31 December 20X1 and in the statement of financial position at that date.

See **Answer** at the end of this chapter.

4.3 Transfer is not a sale

If the transfer does not constitute a sale under IFRS 15, *Revenue from Contracts with Customers*, then the transaction is accounted for as a secured loan. The seller/lessee should continue to recognise the asset and should also recognise a financial liability equal to the transfer proceeds, accounting for it using IFRS 9, *Financial Instruments*.

Professional skills focus: Applying judgement

A professional accountant must apply judgement in determining whether a sale and leaseback transaction constitutes a sale under IFRS 15. This can be a difficult area that requires an understanding of IFRS 15 and IFRS 16, which are both complex accounting standards. Whether the transaction constitutes a sale has a significant impact on the financial statements and whether they faithfully represent the underlying transaction.

5 Ethical and judgement issues

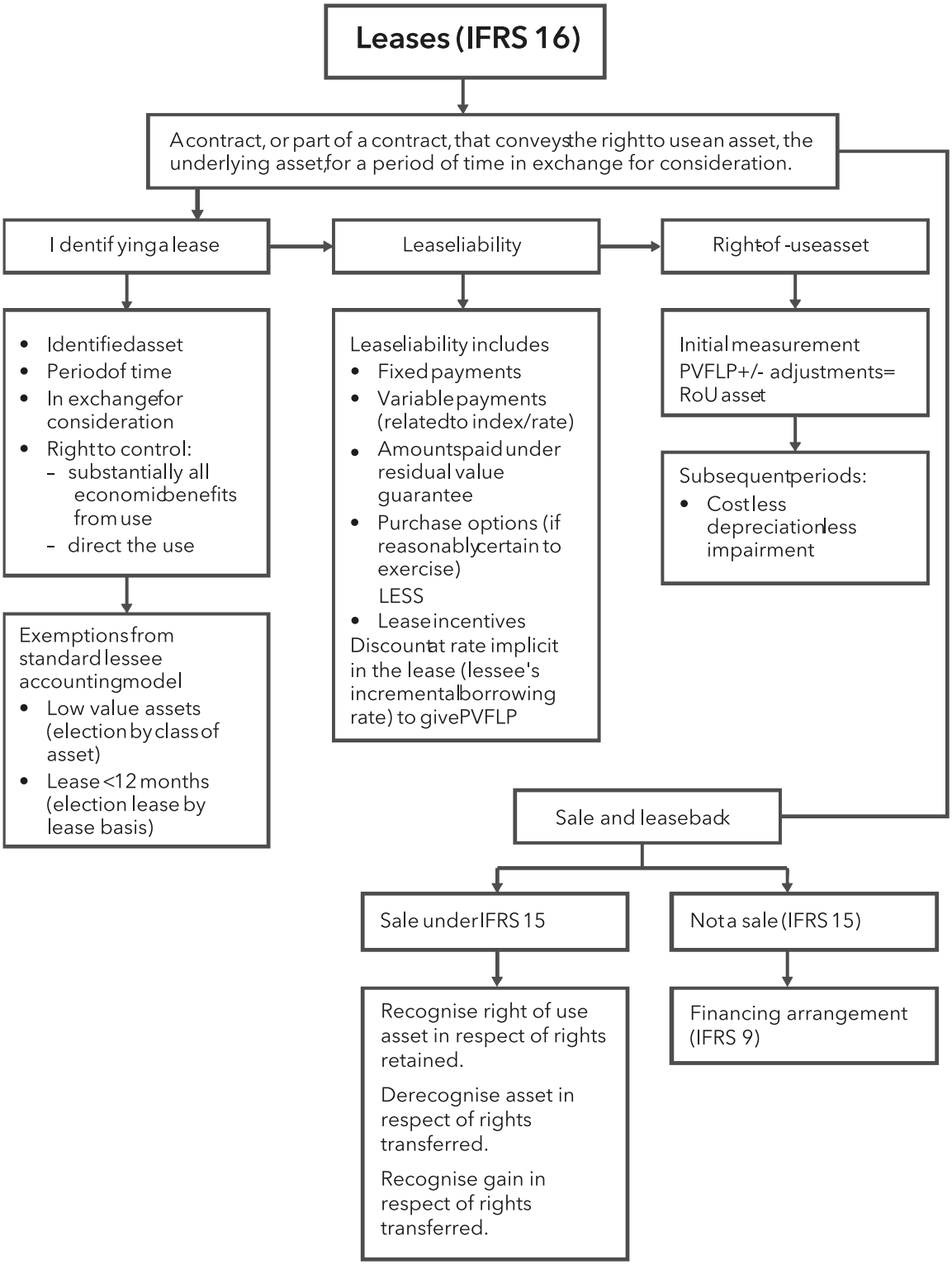
Section overview

A professional accountant may come under pressure from management to report a sale and leaseback as an outright sale and to recognise the full amount of any profit on that 'sale'.

Sale and leaseback transactions require an accountant to apply judgement to determine whether the transaction does or does not constitute a sale, which in turn determines how the transaction should be accounted for. It is an area in which you might expect to see errors in the accounting treatment applied.

The errors may be due to a genuine misunderstanding of the requirements of the standard, in which case the professional competence and due care of the preparer should be called into question. The error may, however, be due to a deliberate attempt to manipulate the financial statements by treating the transaction as a standard sale and therefore recognising any gain on the sale in profit or loss for the period. This may arise when a director has an incentive to overstate profits for the year, perhaps because a bonus is payable if a certain profit target is met. Such deliberate errors suggest that the integrity and objectivity of the preparer may be impaired.

Summary


Leases (IFRS 16)
A contract, or part of a contract, that conveys the right to use an asset, the underlying asset, for a period of time in exchange for consideration.
Identifying a lease
Lease liability
Right-of-use asset
Identified asset
Period of time
In exchange for consideration
Right to control:
– substantially all economic benefits from use
– direct the use
Lease liability includes
Fixed payments
Variable payments (related to index/rate)
Amounts paid under residual value guarantee
Purchase options (if reasonably certain to exercise)
LESS
Lease incentives
Discount at rate implicit in the lease (lessee's incremental borrowing rate) to give PVFLP
Initial measurement
PVFLP +/- adjustments = RoU asset
Subsequent periods:
Cost less depreciation less impairment
Exemptions from standard lessee accounting model
Low value assets (election by class of asset)
Lease <12 months (election lease by lease basis)
Sale and leaseback
Sale under IFRS 15
Not a sale (IFRS 15)
Recognise right of use asset in respect of rights retained.
Derecognise asset in respect of rights transferred.
Recognise gain in respect of rights transferred.
Financing arrangement (IFRS 9)

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you know what conditions need to be satisfied for a contract to contain a lease? (Topic 1)
2.	What are the optional recognition exemptions available under IFRS 16? (Topic 1)
3.	What is included in the initial measurement of a right-of-use asset? (Topic 2)
4.	Can you account for a lease liability when payments are made in arrears? What about if they are in advance? (Topic 2)
5.	Can you calculate the current and non-current elements of a lease liability? (Topic 3)
6.	Do you understand how to calculate the gain recognised in a sale and leaseback transaction which constitutes a sale under IFRS 15? (Topic 4)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Iced Co	This is a good question to test your understanding of the subsequent measurement of both right-of-use assets and lease liabilities. It focuses on the amounts recognised in the statement of profit or loss, so the calculation of interest expense and depreciation are important.
Pont Ltd	This is a question that tests your understanding of the initial and subsequent measurement of right-of-use assets and lease liabilities. Payments are in advance, which you may find more difficult to account for than payments in arrears.
Snow plc	A reasonably challenging question covering sale and leaseback. This question will give you good practice of calculating the right-of-use asset and the gain that can be recognised.
Frazzled plc	A great all-round question that tests most of the points covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
Chedington Ltd	This is an accounts preparation question which includes a sale and leaseback transaction, which is one of the more difficult elements when accounting for leases. You should be able to attempt most of the adjustments from the chapters you have studied so far in *Financial Accounting and Reporting* and by applying your assumed knowledge.
Helier Ltd	This question includes the optional recognition exemption and the initial and subsequent measurement of a lease of land and buildings and asks you to explain IFRS 16 by reference to the *Conceptual Framework for Financial Reporting*. It is a good example of how leases can be asked in several different ways within a single question.
Bainsford plc (issue 2 only profit	This question includes a sale and leaseback that has not been accounted for correctly. As well as calculating the revised balances and revised for the year after adjusting for the errors, you are also asked to discuss the potential ethical issues arising in the scenario.
MilloMops Ltd (issue 1 only)	This question asks you to explain the impact of a sale and leaseback agreement on single entity and consolidated financial statements. Sale and leaseback can be a challenging concept and explaining how the arrangement should be accounted for will provide a good test of your understanding of the required accounting treatment.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

Note: The following aspects of IFRS 16 are not examinable: lessor accounting (paragraphs 61-97), temporary exception arising from interest rate benchmark reform (paragraphs 104–106) and the implementation guidance. The paragraphs listed below are the key references you should be familiar with.

1 Recognition exemptions

- A lessee might elect not to apply the requirements to: short term leases and leases for which the underlying asset is of low value – **IFRS 16 (5)**
- If a lessee elects not to apply the requirements to short term leases or leases for which the underlying asset is of low value, lease payments shall be recognised as an expense over the lease term – **IFRS 16 (6)**

2 Identification of a lease

- An assessment of whether the contract contains a lease by considering the following elements: – **IFRS 16 (9)**
  - A right to control an asset – **IFRS 16 (Appendix A)**
  - Use of an identified asset – **IFRS 16 (Appendix A)**
  - Use for a period of time in exchange for consideration – **IFRS 16 (10)**
  - Costs which can be capitalised – **IFRS 16 (24)**
- At the commencement date, the lessee shall recognise a 'right-of-use' asset – **IFRS 16 (23)**

3 Measurement

- Initial measurement (cost) of the right-of-use asset includes – **IFRS 16 (24)**
  - Initial measurement of the lease liability – **IFRS 16 (26))**
  - Lease payments made before the commencement date, less any lease incentives received
  - Any initial direct costs incurred by the lessee
  - Estimate of costs required to dismantle and remove the asset at the end of the lease term to be incurred by the lessee
- Initial measurement of the lease liability includes the present value of lease payments not paid at commencement date, discounted at the interest rate implicit in the lease – **IFRS 16 (26)**
- A lessee shall subsequently measure the right-of-use asset under the cost model unless it applies an alternative measurement mode – **IFRS 16 (29)**
- To apply the cost model, an entity shall measure a right-of-use asset at cost less accumulated depreciation and impairment losses – **IFRS 16 (30)**
- Depreciate asset over its useful life, or the lease term if shorter, and not reasonable certainty that lessee will obtain ownership at end of lease – **IFRS 16 (32)**
- Consider whether IAS 36 impairment procedures needed – **IFRS 16 (33)**
- The lease liability shall be subsequently measured by increasing the carrying amount to reflect effective interest and reducing the carrying amount by payments made – **IFRS 16 (36)**

4 Presentation and disclosure

- An entity shall present, or disclose in the notes, right-of-use assets separately from other assets – **IFRS 16 (47)**
- Disclose information about the leases either in a single note or in a separate section of the financial statements – **IFRS 16 (52)**
- Disclosure is required of the following: – **IFRS 16 (53)**
  - Depreciation charge for the right-of-use assets – **IFRS 16 (53)(a)**
  - Interest expense on lease liabilities – **IFRS 16 (53)(b)**
  - Additions to right-of-use assets – **IFRS 16 (53)(h)**
  - Gains or loss arising from sale and leaseback transactions – **IFRS 16 (53)(i)**
  - Carrying amount of right-of-use assets at the end of the reporting period by class of underlying asset – **IFRS 16 (53)(j)**
  - The expense relating to leases of low-value assets and short-term leases – **IFRS 16 (53)(c)(d)**

5 Sale and leaseback transactions

- An entity needs to determine if the transaction constitutes a sale under IFRS 15 – **IFRS 16 (99)**
- If a transfer does constitute a sale: measure the right-of-use asset at the proportion of the previous carrying amount relating to rights retained, and recognise the gain or loss based on rights transferred – **IFRS 16 (100)**
- If a transfer does not constitute a sale: continue to recognise the transferred asset and recognise a financial liability equal to the transfer proceeds – **IFRS 16 (103)**

Self-test questions

Answer the following questions.

1 IFRS 16

Mocha Ltd entered into a lease arrangement for the right to use a new voice over internet protocol (VoIP) telephone system for its remote workers. The details were as follows.

Lease commencement date	1 January 20X1
Present value of future lease payments at	CU7,210
commencement Annual lease payments in arrears	CU2,000
Interest rate implicit in the lease	12% pa

There is no option to purchase the VoIP telephone system at the end of the lease.

Requirement

In accordance with IFRS 16, *Leases* what is the total lease liability at 31 December 20X2? Round your answer to the nearest CU1.

2 Sam plc

Sam plc acquired the right to use a machine under a five-year lease arrangement. The terms of the lease are as follows.

Date of commencement	1 July 20X6
Present value of future lease payments at	CU24,300
commencement Deposit paid on commencement	CU8,000
Remaining annual lease payments (in advance)	4@CU8,000
Interest rate implicit in the lease	12%

Sam plc expects to use the machine for a total of four years. There is no option to purchase the machine at the end of the lease.

Requirement

What is the carrying amount of the right-of-use asset as at 30 June 20X7 in accordance with IFRS 16, *Leases*?

3 Iced Ltd

Iced Ltd acquired the right to use an item of plant under a lease agreement on 1 January 20X7. The present value of the future lease payments at the commencement date was CU7,731,000 and three lease payments of CU3 million pa are due to be paid in arrears on 31 December each year.

The useful life of the plant is deemed to be two years by Iced Ltd. There is no option to buy the asset at the end of the lease term.

The interest rate implicit in the lease is 8% pa.

Requirement

What is the total amount charged to the statement of profit or loss in respect of this lease for the year ended 31 December 20X7?

4 Alpha plc

Alpha plc enters into a lease with Omega Ltd for the right to use a machine over a 10-year period. The terms of lease require Alpha plc to make 10 annual lease payments of CU36,000 in arrears. Alpha plc has an option to buy the machine on the final date of the lease for CU25,000 (present value of CU13,950), which Alpha plc is expected to exercise.

The present value of the future lease payments at the commencement of the lease, including the present value of the option to buy, is CU278,920 and the interest rate implicit in the lease is 6%.

The useful life of the machine as assessed by Alpha plc is 15 years.

Requirements

Calculate the following amounts:

(a) The carrying amount of the right-of-use asset at 31 December 20X1.

(b) The lease liability at 31 December 20X1.

5 Cambridge plc

Cambridge plc obtains the right to use an asset on a five-year lease. Cambridge plc has assessed that the useful life of the asset is also five years. Under the terms of the lease, Cambridge plc will be required to make payments of CU120,000 pa in arrears. The interest rate implicit in the lease is 8%.
Cambridge plc paid a deposit of CU10,000 prior to the commencement of the lease and incurred legal fees of CU5,000 to arrange the lease.

Requirement

At what amount will the right-of-use asset be recognised in the statement of financial position of Cambridge plc at the commencement of the lease?

6 Pont Ltd

Pont Ltd enters into a lease on 1 January 20X6 for the right to use a building for a period of 10 years. Pont Ltd incurred the following costs in respect of the lease:

- CU2,500 legal fees
- CU15,000 deposit made at the commencement date of 1 January 20X6

A lease incentive of CU5,000 was received by Pont Ltd from the building's owners on commencement of the lease, as the building had remained vacant for a period prior to Pont Ltd taking on the lease.

Payments of the lease are CU125,000 pa in advance, with the first payment commencing on 1 January 20X6. The interest rate implicit in the lease is 3%, and the present value of the future lease payments is CU973,263.

There is no option to purchase the building at the end of the lease.

Requirements

6.1 What is the carrying amount of the right-of-use asset at 31 December 20X6?

6.2 What is the lease liability at 31 December 20X6?

7 Snow plc

On 1 January 20X1 Snow plc entered into the following transactions.

(1) **Lease of snow machine**

A lease arrangement for the right to use a snow machine for five years commencing on 1 January 20X1. The snow machine is also estimated to have a useful life to Snow plc of five years.

Under the terms of the lease, Snow plc is required to make five annual payments of CU35,000, payable in arrears, with the first payment due on 31 December 20X1. At 1 January 20X1, the present value of the future lease payments was CU151,531. There is no option to purchase the machine at the end of the lease. Lease incentives of CU3,000 were received by Snow plc on commencement of the lease.

The interest rate implicit in the lease is 5%.

(2) **Sale and leaseback**

Snow plc has agreed to sell its warehouse to Slush plc on 1 January 20X1 for CU6 million. Slush plc is to immediately lease the warehouse back to Snow plc for a term of 10 years.

The carrying amount of the warehouse in Snow plc's accounts on the date of the sale was CU5.2 million, and its fair value was CU6 million.

At the commencement date of the lease, the present value of the future lease payments was calculated to be CU4.2 million, with the remaining useful life of the warehouse assessed as being 10 years by Snow plc.

The transaction constitutes a sale in accordance with IFRS 15.

Requirements

7.1 Calculate the lease liability and the carrying amount of the right-of-use asset at 31 December 20X1.

7.2 What is the initial measurement of the right-of-use asset in respect of the sale and leaseback transaction?

7.3 What is the gain or loss that should be recognised on 1 January 20X1 in the financial statements of Snow plc?

8 Feeney plc

Feeney plc leases a number of assets and has some queries regarding IFRS 16, *Leases*.

Requirements

8.1 Explain the extent to which IFRS 16, *Leases* provides information that is relevant, understandable and a faithful representation of that which it purports to represent.

8.2 IFRS 16 states that a lease is 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration' (Appendix A).

Explain this statement, including within your answer the key elements for determining whether a contract contains a lease.

9 Frazz led plc

Frazzled plc is preparing its financial statements for the year ended 30 September 20X6. It has entered into the following arrangements:

(1) A lease which grants the right to use a delivery truck commencing on 1 October 20X5. Frazzled plc has assessed that the truck has a ten-year useful life. The interest rate implicit in the lease is 6%. Frazzled plc will make lease payments of CU18,000 annually in arrears for five years. The first payment was made on 30 September 20X6. There is an option to purchase the truck at the end of the lease for CU10,000 (the value discounted at 6% in five years is CU7,470). Frazzled plc is expected to take up the purchase option. The present value of the future lease payment, including the present value of the purchase option, is CU83,286.

(2) A lease which grants the right to use a crane for a three-year period commencing 1 October 20X5. Frazzled plc has determined that the useful life of the crane is also three years. Under the terms of the lease agreement, Frazzled plc pays CU270,000 annually in advance. The first instalment was paid on 1 October 20X5 and Frazzled plc received an incentive of CU17,500 on commencement of the lease. The interest rate implicit in the lease is 8%. There is no option to buy the asset at the end of the lease term.

(3) A building which Frazzled plc sold to a finance house on 1 October 20X5 and then immediately leased back. The sale met the criteria for a sale under IFRS 15.

- The carrying amount of the building at the date of sale was CU2,800,000.
- Sale proceeds were CU4,000,000, which was equal to the estimated fair value.
- The useful life of the building was 15 years as assessed by Frazzled plc.
- The present value of future lease payments at commencement was CU3,504,680.

Company policy is to apportion depreciation monthly.

(4) Frazzled plc regularly leases laptop computers for its employees; the price of a laptop when new is CU500. The financial controller of Frazzled plc has said to you: "what a hassle, do we have to apply IFRS 16 accounting to all these laptops too?"

Requirements

9.1 Calculate the amounts which should be shown under non-current assets and non-current liabilities at 30 September 20X6 in respect of the delivery truck.

9.2 Calculate the carrying amount of the right-of-use asset in respect of the crane at 30 September 20X6.

9.3 What is the gain that will be recognised in profit or loss in respect of the sale and leaseback of the building?

9.4 Write a brief note explaining the recognition exemption that Frazzled plc may elect to use regarding the laptop leases.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

As Roper Ltd wishes to apply the optional recognition exemption, it can account for the lease of the office furniture as an expense on a straight-line basis over the period of the lease.

The total amount payable under the lease is CU3,000 (CU100 × 30 months). Roper Ltd should account for CU250 (CU3,000 × 3/36 months) in the three-month period to 31 December 20X7.

As Roper Ltd is not due to make any payments until 1 April 20X8, the amount is accrued and should be presented as a current liability in the statement of financial position at 31 December 20X7.

Answer to Interactive question 2

(a) Alpha Ltd has a lease in the scope of IFRS 16 because:

- there is an identified asset (the laptop) which cannot be substituted during the lease term; and
- Alpha Ltd has the right to direct the use of the laptop during the lease term (the financial controller can use the laptop as and where required for her work).

As the laptop is a low value item, Alpha Ltd may elect to apply the recognition exemption in IFRS 16, in which case, the payments associated with the lease should be recognised on a straight- line basis over the lease term.

(b) Beta Ltd has a lease. The arrangement involves an identified asset (photocopier) which the customer has the right to direct the use of. IT Rental Ltd does not have a right to substitute the photocopier for another, except where major repairs are required. IT Rental Ltd does not therefore have substantive substitution rights. The lease is not short term and the underlying asset is not of low value, therefore the recognition exemptions in IFRS 16 cannot be applied.

(c) Gamma Ltd does not have a lease: the contract is not for identified assets, as Cars4U Ltd has substantive substitution rights over the cars provided.

(d) Delta Ltd has a lease as the assets are identified (three desks of a specified style and size) which cannot be substituted during the lease term. As the lease is for less than 12 months, it would qualify for the recognition exemption in IFRS 16. However, in order to apply the recognition exemption to short-term leases, Delta Ltd must make the election for the whole class of assets (ie, all architects desks), and this has not been done, so the recognition exemption cannot be applied.

Answer to Interactive question 3

3.1 The lease liability is measured at the present value of the **future** lease payments. As lease payments are made in advance (the first payment is made on commencement of the lease), only the payments made in 20X2 and 20X3 are included in the calculation of the initial lease liability.

		CU
1 January 20X2	CU10,000/1.10	9,091
1 January 20X3	CU10,000/1.10^2	8,264
Present value of future lease payments		17,355

3.2 The cost of the right-of-use asset is calculated as the initial lease liability plus the CU10,000 paid on the commencement date plus the directly attributable legal fees.

	CU
Initial measurement of the lease liability	17,355
Payment on commencement of the lease	10,000
Direct costs	500
Initial cost of the right-of-use asset	27,855

Answer to Interactive question 4

Lease liability

Year	Balance b/ f	Payment	Capital balance remaining	Interest expense (10%)	Balance c/ f
	CU	CU	CU	CU	CU
20X1	17,355	–	17,355	1,736	19,091
20X2	19,091	(10,000)	9,091	909	10,000
20X3	10,000	(10,000)	-		–
		20,000		2,645	

Note: There is no payment shown for 20X1 in the table above as payments are made in advance. The opening lease liability of CU17,355 is the present value of future lease payments and therefore does not include the payment made on 1 January 20X1.

Answer to Interactive question 5

Current/ Non-current split:

	CU
Total lease liability at 31 December 20X1	17,355
Non-currently liability	9,090
Current liability (17,355 – 9,090)	8,265

Answer to Interactive question 6

Initial measurement of the lease liability

The lease liability is initially measured at the present value of the future lease payments, which is CU11,164.

Subsequent measurement of the lease liability

The lease liability is subsequently measured by increasing the carrying amount by adding interest (calculated at the rate of interest implicit in the lease (6%)) and reducing the carrying amount by the annual lease payment. The balance c/f in the table below is the carrying amount of the lease liability at each year end.

	Balance b/f CU	Interest expense at 6% CU	Lease payment CU	Balance c/f CU
20X1	11,164	670	(2,000)	9,834
20X2	9,834	590	(2,000)	8,424

Initial measurement of the right-of-use asset

Lease liability (initial measurement) Deposit

	CU
Lease liability (initial measurement)	11,164
Deposit	575
	11,739

Subsequent measurement of the right-of-use asset

Depreciate the asset over seven years

CU11,739/7 years = CU1,677 pa

Carrying amount at 31 December 20X1: CU11,739 – CU1,677 = CU10,062 Carrying amount at 31 December 20X2: CU10,062 – CU1,677 = CU8,385 **At 31 December 20X1**

	CU
Total lease liability at 31 December 20X1	9,834
Lease liability payable > 1 year	8,424
Lease liability payables < 1 year (β)	1,410

Answer to Interactive question 7

7.1 **Journal entries to record the sale and leaseback**

		CU	CU
DR	Cash	120,000	
CR	Non-current asset (carrying amount)		70,000
CR	Gain on rights transferred (W2) Right-		4,906
DR	of-use asset (W1)	63,13	
CR	Lease liability (PVFLP)		108,225

WORKINGS

(1) **Right-of-use asset**

Right-of-use asset = carrying amount × PVFLP/FV = CU70,000 × CU108,225/CU120,000 = CU63,131

(2) **Gain on rights transferred**

(a) **Calculate the total gain on the sale:**

Fair value – carrying amount = CU120,000 – CU70,000 = CU50,000

(b) **Calculate the gain relating to the rights retained by the seller/ lessee:**

Gain × PVFLP/fair value = CU50,000 × CU108,225/CU120,000 = CU45,094

(c) **Calculate the gain relating to the rights transferred:**

Total gain (1) – Gain relating to the rights retained (2) = CU50,000 – CU45,094 = CU4,906

7.2 Statement of profit or loss

	CU
Depreciation (63,131 (part (a)) /4 years)	(15,783)
Interest (W1)	(5,411)

Statement of financial position

	CU
Non-current assets	
Carrying amount at 1 January 20X1 (part (a))	63,131
Depreciation (per SPL)	(15,783)
Carrying amount at 31 December 20X1	47,348
Non-current liabilities	
Lease liability (W1)	68,068
Current liabilities	
Lease liability (W1)	20,568

WORKING

Lease liability

	Balance	Interest expense at 5%	Lease payment	Balance
	CU	CU	CU	CU
20X1	108,225	5,411	(25,000)	88,636
20X2	88,636	4,432	(25,000)	68,068

Therefore, current liabilities (<12 months) at 31.12.X1 are CU88,636 – CU68,068 = CU20,568, of which CU4,432 is the interest expense (interest payable).

Answers to Self-test questions

1 IFRS 16

Liability at 31.12.X2 is CU4,804

Date	B/ f	Interest 12%	Payment	C/ f
	CU	CU	CU	CU
31.12.X1	7,210	865	(2,000)	6,075
31.12.X2	6,075	729	(2,000)	4,804

2 Sam plc

The carrying amount of the machine is CU24,225

	CU
Lease liability (PVFLP)	24,300
Deposit payment	8,000
Right-of-use asset	32,300

Depreciate the machine over the shorter of the lease term (five years) and the useful life (four years)

Depreciation charge for the year CU32,300/4 = CU8,075

The carrying amount of the machine at 30 June 20X7 is therefore CU24,225 (CU32,300 – CU8,075)

3 Iced Ltd

	CU
Initial liability (PV of future lease payments)	7,731,000
Interest 8% (CU7,731,000 × 8%)	618,480
Payment	(3,000,000)
Total lease liability at 31.12.X7	5,349,480

Depreciation is charged based on the shorter of the lease term (three years) and the useful life (two years) as there is no option to purchase the asset the end of the lease period.

	CU
Right-of-use asset	7,731,000
Depreciation charge 7,731,000/2	(3,865,500)
Carrying amount	3,865,500

Charge to the statement of profit or loss is CU618,480 (interest expense) + CU3,865,500 (depreciation) = CU4,483,980

4 Alpha plc

(a) **Carrying amount of right-of-use asset at 31 December 20X1**

	CU
Right-of-use asset at 1 January 20X1	278,920
Less Depreciation (W1)	(18,595)
Carrying amount at 31 December 20X1	260,325

WORKING

Depreciation

Depreciation charge = 278,920/15 years = CU18,595 pa

The asset is depreciated over its useful life of 15 years as there is an option to purchase the asset which Alpha plc is expected to exercise.

(b) **Lease liability at 31 December 20X1**

	CU
Initial measurement of lease liability	278,920
Interest at 6%	16,735
Less payment	(36,000)
Lease liability at 31 December 20X1	259,655

5 Cambridge plc

The asset will be recognised at cost which comprises the initial lease liability (PVFLP), plus the deposit paid plus the direct costs of arranging the lease. The initial measurement of the right-of-use asset is:

	CU
Initial lease liability (W)	479,126
Deposit	10,000
Legal fees	5,000
Initial measurement of the right-of-use asset	494,126

WORKING

Initial lease liability

The initial lease liability is calculated as the present value of future lease payments:

Year		CU
1	120,000/1.08	111,111
2	$120,000/1.08^2$	102,881
3	$120,000/1.08^3$	95,260
4	$120,000/1.08^4$	88,204
5	$120,000/1.08^5$	81,670
		479,126

6 Pont Ltd

6.1 Right-of-use asset

	CU
Initial lease liability (PVFLP)	973,263
Add lease payment made on commencement date	125,000
Less incentive	(5,000)
Add legal fees	2,500
Add deposit	15,000
Right-of-use asset	1,110,763

Depreciation over 10 years (the period of the lease and the useful life are the same) is CU111,076 pa

Carrying amount of right-of-use asset at 31 December 20X6 is CU999,687 (CU1,110,763 – CU111,076)

6.2 Lease liability at 31 December 20X6

	CU
Initial lease liability (PVFLP)	973,263
Interest at 3%	29,198
Lease liability at 31 December 20X6	1,002,461

Note: There is no lease payment deducted when calculating the lease liability at 31 December 20X6, as lease payments are made in advance. The first lease payment made on 1 January 20X6 does not form part of the liability. In subsequent years the lease payment will form part of the calculation.

7 Snow plc

7.1 Snow machine

Lease liability

Year	Balance b/f	Interest expense @5%	Lease Payment	Balance c/ f
	CU	CU	CU	CU
20X1	151,531	7,577	(35,000)	124,108

Right-of-use asset	CU
Initial lease liability (PVFLP)	151,531
Less lease incentive	(3,000)
Initial right-of-use asset	148,531
Less depreciation (148,531/5 years)	(29,706)
Carrying amount 31 December	118,825

7.2 **Right-of-use asset relating to rights retained**

Right-of-use asset = carrying amount × PVFLP/FV

= CU5.2m × CU4.2/CU6m

= CU3.64m

7.3 Snow plc should recognise a gain or loss on the rights transferred to Slush plc. This is calculated as:

Gain/loss on rights transferred = total gain – gain related to rights retained sale

Gain on rights transferred = 0.8m (W1) – 0.56m (W2) = CU0.24m

WORKINGS

(1) **Total gain**

Total gain = fair value of asset – carrying amount of asset = CU6m – CU5.2m = CU0.8m

(2) **Gain related to rights retained**

Gain related to rights retained = total gain × PVFLP/FV = 0.8m × 4.2m/6m = CU0.56m

8 Feeney plc

8.1 The key terms 'relevant', 'faithful representation', and 'understandable' are concerned with the quality of financial information as discussed in the *Conceptual Framework for Financial Reporting*. They can be applied to IFRS 16 as follows.

- **Relevant**. Information is relevant if it can influence the economic decisions of users. This is achieved if the information has a confirmatory or predictive value or both. Under IFRS 16, lessees are required to recognise a liability representing future amounts payable under a lease. This information allows users of financial statements to predict the future level of cash flows and the company's ability to pay the amounts relating to leases undertaken by the company. Disclosures required by IFRS 16 will help users see when the leases are up for renegotiation. It will provide important information regarding the gearing of the company for other potential lenders or investors.
- **Faithful representation**. This means that information represents the economic phenomena that it purports to represent, ie, all the rights and liabilities arising from a transaction must be identified and assessed (also showing the completeness of transactions undertaken by the company). IFRS 16 requires disclosure of the company's right to use an asset (right-of-use assets must be disclosed on the face of the statement of financial position or detailed within a note) which reflect the organisation's ability to benefit from the use of an asset, as well as the corresponding lease liability. By showing the faithful representation of leases, companies are forced to bring debt onto the statement of financial position.
- **Understandable**. Although some users might assume that the assets in the statement of financial position are owned by the company, IFRS 16 requires a separate disclosure for 'right-of-use' assets, clearly defining them from owned assets.

8.2 Under IFRS 16, a contract is deemed to contain a lease if it conveys the right to control the use of the underlying asset for a period of time, in return for consideration. There are three key elements which need to be demonstrated in order for a contract to contain a lease:

- right to control the asset
- an identified asset
- period of time

The right to control the use of an identified asset depends on the lessee having

- the right to obtain substantially all economic benefits from the use of the asset;
- the right to direct how and for what purpose the asset is used during the whole of its period of use

The identified asset must be stated in the contract

- the asset must be specified in the lease; and
- may only be part of an asset (such as part of an office facility).

The supplier cannot substitute the asset for an equivalent during the lease, otherwise the lessee is not deemed to have the right to use an identified asset. For example, a school may lease a minibus, if it has access to the same minibus and it can direct its use, then it is deemed to be an identified asset. If the school has access to a minibus, one which is provided by the lease company of a minimum standard, but which may be substituted at any time (maybe the school has specified access to a 14-seater minibus, but it may be blue or red, depending on what the lessor has available at the time), this would not meet the definition of an identified asset

The contract must cover a set period of time

- A period of time, such as years; or
- Based upon the production of the asset, such as number of units produced.

The lease may only be for a portion of the term of the contract (if the right to control the asset exists for part of the term), but it is still a defined period of time nonetheless.

9 Frazz led plc

9.1 **Delivery truck**

Lease liability	**CU**
Initial measurement of lease liability	83,286
Interest 6%	4,997
Paid 30 Sept 20X6	(18,000)
Balance 30 Sept 20X6	70,283
Interest 6%	4,217
Paid 30 Sept 20X7	(18,000)
Balance c/f at 30 Sept 20X7	56,500

Amount to be included in non-current liabilities at 30 Sept 20X6 = balance c/f at 30 Sept 20X7 = CU56,500

Right-of-use asset	**CU**
Initial measurement of the liability	83,286
Depreciation charge for the year ended 30 September 20X5: 83,286 /10 (depreciated over the useful life rather than the lease term due to the purchase option expected to be exercised).	(8,329)
Carrying amount at 30 September 20X6	74,957

Amount to be included in non-current assets at 30 Sept 20X6 = carrying amount of right-of-use asset = CU74,957

9.2 **Crane**

	CU
Present value of the future lease payments (W)	481,481
Payment on commencement of the lease	270,000
Incentive received	(17,500)
Initial measurement of right-of-use asset	7,33,981

Calculation of depreciation over three-years, which is both the lease term and the useful life.
733,981/3 years = CU244,660
Carrying amount at 30 September 20X6 = CU489,321

WORKING

Present value of future lease payments

	CU
Second payment: 270,000 / 1.08	250,000
Third payment: 270,000 / 1.08^2	231,481
Present value of the future lease payments	481,481

9.3 Frazzled plc should recognise a gain on the rights transferred in respect of the building Gain on rights transferred = total gain – gain on rights retained
Gain on rights transferred = 1,200,000 (W1) – 1,051,404 (W2) = CU148,596

WORKINGS

(1) **Total gain**

Total gain = 4,000,000 – 2,800,000= CU1,200,000

(2) **Gain on rights retained**

Gain on rights retained = 1,200,000 × 3,504,680/4,000,000 = CU1,051,404

9.4 Frazzled plc may elect to apply the IFRS 16 recognition exemption to this contract on the basis that the laptops are individually of low value when new. If this election is made, lease payments are recognised in profit or loss over the lease term on a straight-line basis.

Chapter 9
Financial instruments

Introduction

Learning outcomes

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Learning topics

1 Financial instruments – Introduction

2 IFRS 9, Financial Instruments

3 IAS 32, Financial Instruments: Presentation

4 IFRS 7, Financial Instruments: Disclosures

5 Ethical and judgement issues

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Introduction

Learning outcomes

- Identify the effects of transactions in accordance with the *Conceptual Framework for Financial Reporting*
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios

Syllabus links

These are the IFRS Accounting Standards relating to this area:

- IAS 32, *Financial Instruments: Presentation*
- IFRS 9, *Financial Instruments*
- IFRS 7, *Financial Instruments: Disclosures*
- IFRS 13, *Fair Value Measurement*

The majority of IAS 32 is examinable at *Financial Accounting and Reporting* with the standard examined at level B. However only the more basic areas of IFRS 9, IFRS 7 and IFRS 13 are examinable at this stage. These three standards will be examined in more detail at the Advanced Level.

Examination context

In the examination, students may be required to:

- Describe the recognition and derecognition criteria for financial instruments.
- Calculate the liability and equity elements of compound financial instruments.
- Classify financial instruments and prepare extracts of financial statements including basic financial instruments.
- Calculate the carrying amount of a financial asset or liability measured at amortised cost using the effective interest method.
- Recognise the correct accounting treatment of a variety of financial instruments.
- Describe the disclosure requirements for financial instruments and their usefulness to users of financial statements.
- Identify ethical issues and professional judgements involving financial instruments and the effect this may have on financial performance and financial position.

Notes

1 Knowledge of derivatives is not required. Only those types of financial instruments included in this chapter and in the *Financial Accounting and Reporting* Question Bank will be included in examination questions.

2 Hedge accounting is excluded from the Professional Stage syllabus.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Financial instruments – introduction** Financial instruments is a complex area, although in *Financial Accounting and Reporting* you will only cover the basic concepts. We will begin with a discussion of what financial instruments are, focusing on the definitions provided by the first IFRS Accounting Standard we will meet in this area, IAS 32.	**Approach** This first topic is largely theoretical. Focus on making sure that you understand the definitions of financial assets, financial liabilities and equity. **Stop and think** Consider how the IAS 32 definitions interact with the definitions of the elements in the *Conceptual Framework for Financial Reporting*. Focus on control, rights and obligations.	Financial instruments commonly feature in exam questions. Understanding whether an instrument is an asset, liability or equity is a necessary starting point in getting the accounting correct.	**IQ1 Financial instruments** This is a short question which tests your ability to correctly classify described financial instruments.
2	**IFRS 9, *Financial Instruments*** IFRS 9 is the main standard dealing with the recognition and measurement of financial instruments. It introduces different classes of financial instrument, which in turn determines how they are accounted for. There are a lot of 'rules' to get to grips with here which are essential to follow in accounting for financial instruments.	**Approach** There is a lot of detail in this topic, some of which you might find tricky. You need to understand the initial and subsequent measurement rules relating to the different classes of instrument. The worked examples will help you to understand the calculations and journal entries.	Accounting for new and existing financial assets and liabilities is a common feature in an accounts preparation question. You might also be asked to explain the appropriate accounting treatment for a financial instrument.	**IQ2 Financial liabilities** This question tests your understanding of how to apply the effective interest rate method for financial liabilities. If you want to expand it out, you could also think of the journal entries you would post in Year 1.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
3	**IAS 32, *Financial ins truments: pres entation*** We briefly met IAS 32 when considering the definitions of financial instruments, but here we get into more detail on presentation. A key consideration is the distinction between debt and equity, which often requires the application of substance over form to determine the correct classification.	**Approach** There is quite a bit of detail in this topic. The worked examples and Interactive questions will help you to understand the theory so make sure you cover those in detail. **Stop and think** Why, in terms of faithful representation, is it necessary to classify financial instruments according to their substance rather their form?	You will be expected to account correctly for preference shares based on their substance and split compound instruments into their debt and equity elements. These are both areas that lend themselves to explanation questions, where you might be asked to explain the appropriate accounting treatment for different financial instruments.	**IQ3 Liabilities and equity and IQ4 Redeemable preference shares** These are short questions that check your understanding of how preference shares should be presented. **IQ5 Compound financial instruments** This is a tricky question which checks you understand how to calculate the debt and equity components of a compound instrument.
4	**IFRS 7, *Financial Instruments: Disclosures*** Financial instruments are complex and therefore difficult to understand. IFRS 7 requires extensive disclosures to provide the users with sufficient information to understand the risks associated with the financial instruments held by an entity. In *Financial Accounting and Reporting*, you are only required to have a high level understanding of IFRS 7.	**Approach** Read through the detail in this topic, focusing on how IFRS 7 addresses the risks associated with financial instruments. **Stop and think** Why is it important for the primary users of financial statements to have information regarding the risks associated with financial instruments?	You may be asked to describe the disclosures for financial instruments but will not be expected to prepare a disclosure note in this area.	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
5	**Ethical and judgement issues** A professional accountant is required to apply judgement in determining how financial instruments should be classified. This is an area which has come under attention in recent years from a wide range of stakeholders and requires careful consideration even for the relatively simple financial instruments covered in *Financial Accounting and Reporting*.	**Approach** You need to understand the main issues arising from financial instruments in recent years so give this section due attention. **Stop and think** Why is it appropriate for the accounting standard setters to react to accounting scandals and perceived accounting failures?	You may be required to comment on the ethical implications of a proposed accounting treatment for a given transaction. Financial instruments is an area in which judgement is applied and therefore you may be faced with a situation in which a director has proposed a certain treatment and you need to comment on its acceptability in terms of the IFRS Accounting Standards and ethics.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Financial instruments – Introduction

Section overview

- The extensive financial reporting requirements for financial instruments are covered by IAS 32, IFRS 9 and IFRS 7.
- A number of common definitions are used in all three standards and IFRS 13.

1.1 Introduction

The increasing diversity of businesses and the wider development and availability of financial instruments has increased the use of complex financial transactions by entities in order to manage their exposure to risks. The existence of financial instruments has a significant effect on the risk profile of organisations. Such instruments can have a significant effect on profits, solvency and cash flow.

Not all financial instruments are complex. Some you will be familiar with and already comfortable with how to account for, such as cash. Common financial instruments include:

- cash and timed deposits
- trade payables and receivables
- loans payable and receivable
- debt and equity investments
- derivatives such as interest rate swaps and foreign exchange contracts
- redeemable and irredeemable preference shares
- convertible debt instruments
- investments in shares issued by other entities

As a result of this widespread use of financial assets and financial liabilities as part of an entity's ordinary activities, several IFRS Accounting Standards have been published to deal with:

- recognition
- measurement
- presentation and disclosure

1.2 Relevant IFRS Accounting Standards

The relevant accounting standards for financial instruments are:

- IAS 32, *Financial Instruments: Presentation*
- IFRS 9, *Financial Instruments*
- IFRS 7, *Financial Instruments: Disclosures*
- IFRS 13, *Fair Value Measurement*

The individual standards cannot be studied in isolation. A number of terms and definitions are used across the standards and an understanding of financial instruments requires an understanding of the key concepts in each standard.

1.3 What is a financial instrument?

The definition of a financial instrument is consistent throughout the IFRS Accounting Standards covering financial instruments. It is introduced in IAS 32.

Definition

Financial instrument: Any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Note that a financial instrument has **two parties**. It should be recognised as an **asset** by one party and either a **liability or equity** by the other. The classification of a financial instrument as a financial liability or equity is particularly important as it will have an effect on gearing.

1.4 What is a financial asset?

Definition

Financial asset: Any asset that is:

- cash
- an equity instrument of another entity
- a contractual right:
  - to receive cash or another financial asset from another entity; or
  - to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity, such as 'in the money' options that would enable an entity to acquire shares in another company at less than their market value.
- a contract that will or may be settled in the entity's own equity instruments and which is:
  - a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments; or
  - a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose, the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

The key here is that financial assets are cash, a **contractual right** to receive cash or another financial asset (such as shares) or to exchange financial assets or liabilities on favourable terms, or holdings of equity instruments (such as shares).

The following items are **not** financial instruments as they do not meet the definition set out in IAS 32:

- **physical assets** eg, inventories, property, plant and equipment, right-of-use assets and **intangible assets** (patents, trademarks etc)
- **prepaid expenses**, deferred revenue and most warranty obligations
- liabilities or assets that are **not contractual** in nature eg, income taxes
- contractual rights/obligations that **do not involve transfer of a financial asset** eg, commodity futures contracts

Context example: Financial asset

An entity deposits CU20,000 of cash with a bank for a fixed term of three years. The CU20,000 is a financial asset of the entity, as it has a contractual right to receive the cash in three years' time.

Worked example: Definitions

Explain why physical assets and prepaid expenses do not qualify as financial instruments.

Solution

Refer to the definitions of financial assets and liabilities given above.

(1) **Physical assets**: Assets that have physical substance, such as plant and machinery, are not financial assets and neither are intangible assets, such as patents and brands. These assets have the potential to produce economic benefits for an entity, but there is **no contractual right** to receive cash or another financial asset.

(2) **Prepaid expenses, etc**: the future economic benefit is the receipt of goods/services rather than the right to receive cash or other financial assets.

1.5 What is a financial liability?

Definition

Financial liability: Any liability that:

- contains a contractual obligation:
  - to deliver cash or another financial asset to another entity; or
  - to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
- is a contract that will or may be settled in the entity's own equity instruments and which is:
  - a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments; or
  - a derivative that will or may be settled other than by exchange of a fixed amount of cash or another financial asset for a fixed number of the entity's own equity instruments. For this purpose, the entity's own equity instruments do not include instruments that are themselves contracts for the future receipt or delivery of the entity's own equity instruments.

Context example: Derivative – forward contract

A company has entered into a forward contract for the purchase of €1,000,000 at an exchange rate of CU1:€1.20 in six months' time. The company cannot exit from the forward contract and will therefore be required to pay CU833,333 (€1,000,000/1.20) to acquire the euro.

At the year end, the exchange rate is CU1:€1.30 and therefore the cost to acquire the €1,000,000 would be CU769,231. The forward contract is therefore out of the money and a liability arises.

The key to this definition is that a financial liability is a **contractual obligation** to deliver cash or another financial asset, or a contractual obligation to exchange financial assets or liabilities on potentially unfavourable terms.

This terminology is consistent with the *Conceptual Framework for Financial Reporting* in which a liability is defined in terms of obligations. Note that the IAS 32 definition requires the obligations to be contractual.

Examples of financial liabilities include trade payables, loans and some preference shares. A bank overdraft is a financial liability as it is repayable in cash. A warranty provision is not a financial liability because the obligation is to deliver additional goods or services, not cash.

We should clarify some points arising from these definitions. Firstly, one or two terms above should be themselves defined.

- A **'contract'** need not be in writing, but it must comprise an agreement that has 'clear economic consequences' and which the parties to it cannot avoid, usually because the agreement is enforceable in law.
- An **'entity'** could be an individual, partnership, incorporated body or government agency.

The definitions of **financial assets** and **financial liabilities** may seem rather circular, referring as they do to the terms financial asset and financial instrument. The point is that there may be a chain of contractual rights and obligations, but it will lead ultimately to the receipt or payment of cash *or* the acquisition or issue of an equity instrument.

Context example: Financial liability

In 20X2 an entity entered into a contract that required it to issue shares to the value of CU10,000 on 1 January 20X5.

This is a **financial liability** since the entity is required to settle the contract by issuing a variable number of shares based on a **fixed monetary amount**.

The entity also entered into a contract that required it to issue 10,000 shares on 1 January 20X5.

In this case, the **number of shares is fixed**, and therefore does not meet the definition of a financial liability and should therefore be presented as an **equity instrument**.

1.6 What is an equity instrument?

Definition

Equity instrument: Any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

In applying these definitions, it is essential to establish whether or not there is in existence a **contractual** right to receive, or a contractual obligation to deliver, which is enforceable by law.

The definitions of financial assets, financial liabilities and equity instruments are necessarily complex. For the *Financial Accounting and Reporting* examination it is necessary for you to understand the basic points of each definition and the challenges that these definitions represent for financial reporting.

Context example: Ordinary shares

Holders of ordinary shares in a company own equity instruments. Although they own the residual interest in a company, they have no **contractual right** to demand any of it to be

delivered to them, for example by way of a dividend. Equally, the company has issued an equity instrument, not a financial liability, because the company has no **contractual obligation** to distribute the residual interest.

An entity that invests in the ordinary shares of another entity holds a financial asset, because an equity interest in another entity falls within the definition of a financial asset.

Professional skills focus: Structuring problems and solutions

It can be difficult to determine whether a financial instrument is a financial asset, liability or equity from the description provided, and it is often difficult to distinguish between them in exam questions, which can lead to the incorrect accounting treatment being applied. When faced with such a problem in the exam, you should apply your knowledge of the *Conceptual Framework for Financial Reporting* to identify which elements of the financial statements are affected by the transaction described.

Interactive question 1: Financial instruments

Explain whether the following are financial instruments, financial assets, financial liabilities or equity instruments of each party.

(a) Offertake Ltd sells CU5,000 of inventory to Guideprice Ltd on 30-day payment terms.

(b) Ashdell Ltd pays CU20,000 in advance for a 12-month insurance policy.

(c) Wellbeck Ltd issues 100,000 ordinary shares which are acquired by Keeload Ltd.

(d) Cashlow plc borrows CU200,000 under a mortgage from Norbert plc. See **Answer** at the end of this chapter.

2 IFRS 9, *Financial Instruments*

Section overview

- A financial instrument should be recognised when the entity becomes a party to the contract.
- Financial assets and liabilities are initially measured at fair value (transaction price). An adjustment for transaction costs may be required dependent on the classification of the financial instrument.
- Financial assets and liabilities should be subsequently measured either at fair value or at amortised cost.

2.1 Introduction

IFRS 9 is a relatively new standard which deals with the recognition and measurement of financial instruments. IFRS 9 is challenging in places but the *Financial Accounting and Reporting* syllabus does not cover the most complex areas.

2.2 Initial recognition and measurement

A **financial asset or financial liability** should be:

- **recognised** when an entity enters into the contractual provisions of the financial instrument; and
- initially **measured** at its fair value, which is usually transaction price ie, the amount of consideration payable or receivable.

The general rule is that transaction costs, such as brokers' and professional fees, should be included in the initial carrying amount. Transaction costs are an expense, and therefore a debit entry and should be added to the carrying amount of a financial asset and deducted from the carrying amount of a financial liability. The **exception** is that transaction costs for financial instruments classified as at fair value through profit or loss should be recognised as an expense in profit or loss, however, these are not included in the *Financial Accounting and Reporting* syllabus. The classification options are covered in the subsequent measurement section.

Note: In *Financial Accounting and Reporting*, you should assume that transaction costs are added in the initial measurement of a financial asset and deducted in the initial measurement of a financial liability.

IFRS 9 requires the recognition of all financial instruments in the statement of financial position.

Fair value is defined by IFRS 13, *Fair Value Measurement* as 'the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date'. It is an important definition.

IFRS 13 provides extensive guidance on how the fair value of assets and liabilities should be established.

This standard requires that the following are considered in determining fair value:

- the asset or liability being measured;
- the principal market (ie, that in which the most activity takes place) or where there is no principal market, the most advantageous market (ie, that in which the best price could be achieved) in which an orderly transaction would take place for the asset or liability;
- (for non-financial assets only) the highest and best use of the asset or liability and whether it is used on a standalone basis or in conjunction with other assets or liabilities; and
- assumptions that market participants would use when pricing the asset or liability.

Having considered these factors, IFRS 13 provides a hierarchy of inputs for arriving at fair value. It requires that level 1 inputs are used where possible:

Level 1	Unadjusted quoted prices in active markets for identical assets and liabilities that the entity can access at the measurement date
Level 2	Inputs other than quoted prices that are directly or indirectly observable for the asset or liability
Level 3	Unobservable inputs for the asset or liability

Context example: Initial fair value

An entity enters into a marketing agreement with another organisation. As part of the agreement the entity makes a two-year CU5,000 interest free loan. Equivalent loans would normally carry an interest rate of 6%. The entity made the loan in anticipation of receiving future marketing and product benefits.

In order to calculate the fair value of the loan, we must discount the future cash flow, which is the CU5,000 receivable in two years' time, to present value using the prevailing market interest rate. The present value of the cash flow in two years' time at 6% is CU4,450 (CU5,000 × (1/1.062)). On initial recognition of the financial asset the entity should recognise a loss of CU550 in profit or loss as follows:

DR	Debt investment	CU4,450	
DR	Loss (finance cost)	CU550	
CR	Cash		CU5,000

The debt investment is unwound to the redemption value of CU5,000 by recognising annual finance income in profit or loss in each of the two years.

In year 1, the amount recognised as finance income would be CU4,450 × 6% = CU267.

In year 2, the amount recognised as finance income would be (CU4,450 + 267) × 6% = CU283. The total finance income recognised over the two-year period totals CU550.

2.3 Subsequent measurement of financial assets

After initial recognition financial assets are classified as:

- fair value through profit or loss
- fair value through other comprehensive income
- amortised cost

These classifications are based on the contractual cash flow characteristics of the asset and the entity's business model for managing it.

A financial asset is classified as measured at **amortised cost** if:

- it gives rise solely to payments of interest and principal on specific dates; and
- the business model of the entity to hold the asset to collect the contractual cash flows.

A financial asset is classified as measured at **fair value through other comprehensive income** if:

- it gives rise solely to payments of interest and principal on specific dates; and
- the business model of the entity is to hold to collect the contractual cash flows **and to sell** the asset should the need or opportunity exist.

Other financial assets are classified as measured at fair value through profit or loss.

Since **equity instruments** do not give rise to payments of interest or principal on specific dates, the default position is that they are measured at fair value through profit or loss. An exception to this exists: where equity instruments are not held for trading, an irrevocable election to measure them at fair value through other comprehensive income can be made at initial recognition.

Debt instruments generally give rise to payments of interest or principal on specific dates and therefore, depending on the business model within which they are held, they may be classified as measured at amortised cost or fair value through other comprehensive income. If they are held for trading, they are classified as measured at fair value through profit or loss.

Note: For the purposes of the *Financial Accounting and Reporting* exam, all financial assets will be assumed to be measured at **amortised cost** using the **effective interest method**.

Amortised cost

Amortised cost is calculated as:

- the initial amount recognised for the financial asset; less

- any repayments of the principal sum; plus
- any amortisation.

The amount of amortisation should be calculated by applying the **effective interest method** to spread the total finance income (that is the difference between the initial amount recognised for the financial asset and the amount receivable at maturity plus the interest receivable in the interim) over the period to maturity. The amount amortised in respect of a financial asset should be recognised as **finance income** in profit or loss.

Definition

Effective interest rate: The rate that exactly discounts the estimated future cash payments or receipts through the expected life of the instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

Note: If required, the effective interest rate will be given in the exam. You will not be expected to calculate it.

Worked example: Amortised cost

An entity acquires a zero-coupon bond with a nominal value of CU20,000 on 1 January 20X6 for CU18,900. The bond is quoted in an active market and broker's fees of CU500 were incurred in relation to the purchase. The bond is redeemable on 31 December 20X7 at a premium of 10%. The effective interest rate on the bond is 6.49%.

Requirement

Set out the journals to show the accounting entries for the bond until redemption if it is classified as financial asset measured at amortised cost. The entity has a 31 December year end.

Solution

On 1 January 20X6

DR	Financial asset (CU18,900 plus CU500 broker fees)	CU19,400	
CR	Cash		CU19,400

On 31 December 20X6

DR	Financial asset (CU19,400 × 6.49%)	CU1,259	
CR	Finance income		CU1,259

On 31 December 20X7

DR	Financial asset (CU19,400 + CU1,259) × 6.49%)	CU1,341	
CR	Finance income		CU1,341
DR	Cash	CU22,000	
CR	Financial asset		CU22,000

2.4 Subsequent measurement of financial liabilities

Most financial liabilities should be measured at **amortised cost using the effective interest method**. This includes redeemable and irredeemable preference shares which have been recognised as liabilities. Note that the effective interest rate will be equal to the actual interest rate for irredeemable preference shares as there is no redemption premium.

Note: For the purposes of the *Financial Accounting and Reporting* exam, all **financial liabilities** will be assumed to be measured at **amortised cost** using the **effective interest method**.

Worked example: Financial liability

On 1 January 20X7 Aphrodite Ltd issued CU800,000 in loan notes. Issue costs were CU500. The loan notes do not carry interest but are redeemable at a premium on 31 December 20X8. The effective interest rate on the loan notes is 12%

Requirement

What will be the premium on redemption?

Solution

The premium on redemption represents the total finance cost of the loan notes, which is calculated as follows:

Year	Opening balance	Interest at 12%	Carrying amount
	CU	CU	CU
20X7	799,500	95,940	895,440
20X8	895,440	107,453	1,002,893

At the time of issue, the loan notes are recognised at their net proceeds of CU799,500 (CU800,000 – 500).

The premium on redemption is (1,002,893 – 800,000) = CU202,892

This is equal to the net interest cost over the life of the instrument less the transaction costs (95,940 + 107,453 – 500).

Interactive question 2: Financial liabilities

Bonds with a nominal value of CU200,000 were issued at CU157,763 on 1 January 20X1. The coupon rate is 4% while the effective interest rate is 9.5%. Interest is paid annually in arrears. Redemption is at par in five years. Issue costs are immaterial.

Requirement

Calculate the carrying amount of the bonds in the statement of financial position at 31 December 20X1 and at each subsequent year end until redemption.

The carrying amount of the bonds at 31 December in the years 20X1 to 20X5 is as follows:

Period end	Amount borrowed	Finance cost (at 9.5%)	Repaid (4% × CU200,000)	Carrying amount
	CU	CU	CU	CU
20X1				
20X2				
20X3				
20X4				
20X5				

See **Answer** at the end of this chapter.

3 IAS 32, Financial Instruments: Presentation

Section overview

- Financial instruments should be presented as assets, liabilities or equity in the statement of financial position.
- Compound financial instruments should be split between their liability and equity components.
- Interest, dividends, gains and losses should be presented in a manner consistent with the classification of the related financial instrument.
- Financial assets and financial liabilities can only be offset in limited circumstances.

3.1 Objectives and scope of IAS 32

The objective of IAS 32, *Financial Instruments: Presentation* is to enhance a user's understanding of the way in which financial instruments affect an entity's financial performance, financial position and cash flows. IAS 32 sets out the presentation requirements for financial instruments and their related interest or dividends, and specifies the circumstances in which they should be offset.

The principles that underlie the standard are consistent with, and complement, those in IFRS 9, which addresses recognition and measurement criteria.

The scope of IAS 32 is that it applies to **all entities** and to all types of financial instruments except where another standard is more specific. Examples of areas which are outside the scope of IAS 32 are:

- investments in subsidiaries accounted for under IAS 27 and IFRS 10
- investments in associates and joint ventures accounted for under IAS 28

3.2 Presentation of equity and liabilities

When an entity issues a financial instrument, it should classify it according to the **substance** of the contract under which it has been issued. It should be classified as:

- a financial asset
- a financial liability
- an equity instrument

The characteristics of the financial instrument should be considered to ensure that it is appropriately classified. This is particularly true when distinguishing financial liabilities and equity instruments. If the financial instrument meets any of the **criteria** set out in the definition of a **financial liability**, then it should be classified as a liability and not as an equity instrument. The classification should be made at the time the financial instrument is issued and not changed subsequently.

The classification is important as it changes the perceived risk of the entity. The classification of an instrument as a financial liability will potentially have an adverse effect on the gearing ratio of a company and may reduce its ability to obtain further debt funding.

The classification of a financial instrument as a liability or as equity depends on the following:

- the **substance of the contractual arrangement** on initial recognition; and
- the **definitions** of a financial liability and an equity instrument.

How should a financial liability be distinguished from an equity instrument? The critical feature of a liability is an obligation to transfer economic benefit. Therefore, the financial instrument is a financial liability if there is:

- a **contractual obligation** of the issuer to deliver cash/another financial asset; or
- a **contractual right** for the holder to receive cash/another financial asset.

Where this feature is **not** met, then the financial instrument is an **equity instrument**.

Context example: Classification of financial instruments

Alpha Ltd issues 100,000 CU1 ordinary shares. These are classified as an equity instrument:

- The shareholders own an equity instrument because although they own a residual interest in the company, they have no contractual right to demand any of it to be delivered to them eg, by way of dividend.
- The company has issued an equity instrument because it has no contractual obligation to distribute that residual interest.

3.3 Preference shares

Preference shares provide the holder with the right to receive an annual dividend (usually of a predetermined and unchanging amount) out of the profits of a company, together with a fixed amount on the ultimate liquidation of the company or at an earlier date if the shares are redeemable. The legal form of preference shares is that they are equity.

IAS 32 guidelines mean, however, that some preference shares are classified as **liabilities**. This is because they are, in substance, loans, and create obligations for the issuing entity.

Non-discretionary annual dividend = 'interest'

Fixed amount on redemption/liquidation = 'repayment of loan'

In substance a non-discretionary dividend is interest and the redemption amount is a repayment of a loan. Because financial reporting focuses on the substance of the transactions, preference shares with either of these characteristics should be presented as liabilities.

Where preference shares are irredeemable the classification depends on other terms related to the preference shares, such as the rights to dividends. If dividends on the irredeemable preference shares are mandatory and cumulative, then the entity has a contractual obligation to pay the dividends to the preference shareholders and therefore the shares should be presented as liabilities. If there is no mandatory requirement to pay (or defer) dividends on irredeemable preference shares ie, the payment of dividends is discretionary, then there is no

contractual obligation to deliver cash (or another financial asset) and instead the irredeemable preference shares should be presented as equity.

Therefore, in practical terms preference shares are only treated as part of equity when:

- they will never be redeemed;
- the redemption is solely at the option of the issuer and the terms are such that it is very unlikely at the time of issue that the issuer will ever decide on redemption; **and**
- the payment of dividends is discretionary.

Professional skills focus: Assimilating and using information

Determining whether preference shares should be classified as equity or liabilities requires careful consideration of the terms and conditions attached to the preference shares. You need to consider whether the terms of the preference shares give rise to **obligations** and use this to determine the appropriate accounting treatment. For the purposes of your exam, you will be told whether the payment of dividends is discretionary or mandatory in relation to irredeemable preference shares.

Interactive question 3: Liabilities and equity

Moorgate Ltd issued 10,000 preference shares. The preference shares are redeemable only at the option of Moorgate Ltd. A preference share dividend is payable at the same amount per share as any ordinary share dividend declared during that year.

Requirement

Explain the presentation requirements for Moorgate Ltd's preference shares. See **Answer** at the end of this chapter.

Interactive question 4: Redeemable preference shares

On 1 January 20X3 Philo plc issued 300,000 CU1 6% redeemable preference shares. The shares were issued at a discount of 5% and the effective interest rate is 7%. Dividends are paid annually in arrears.

Requirement

Explain how the preference shares should be classified and calculate the carrying amount of the shares in the statement of financial position of Philo plc as at 31 December 20X4.

See **Answer** at the end of this chapter.

3.4 Compound financial instruments

A compound or 'hybrid' financial instrument is one that contains both a **liability component** and an **equity component**. As an example, an issuer of a **bond** that is convertible into a fixed number of shares has:

- the obligation to pay annual interest and eventually repay the capital (the liability component); and
- the possibility of issuing equity, should bondholders choose the conversion option (the equity component).

In substance the issue of a convertible bond is the same as issuing separately a non-convertible bond and an option to purchase shares.

At the date of issue the components of such instruments should be classified separately according to their substance. This is often called 'split' accounting.

The amount received on the issue should be allocated between the separate components as follows:

- The fair value of the liability component should be measured at the present value of the periodic interest payments and the eventual capital repayment assuming the bond is redeemed. The present value should be discounted at the market rate for an instrument of comparable credit status and the same cash flows but without the conversion option.
- The fair value of the equity component should be measured as the remainder of the net proceeds.
- Transaction costs are allocated to the liability and equity components of the compound financial instrument in proportion to the allocation of the proceeds.

Note that the rate of interest on the convertible will be lower than the rate of interest on the comparable instrument without the convertibility option, because of the value of the option to acquire equity. A second interest rate is also required if issue costs have been incurred. This will be provided in the *Financial Accounting and Reporting* examination if required.

The allocation should not be revised for subsequent changes in market interest rates, share prices or other events that have changed the likelihood that the conversion option will be exercised. This is the case even if the terms become so disadvantageous that it is extremely unlikely that the option will be exercised.

Context example: Convertible bonds

Instead of issuing a 7% loan repayable in 10 years' time, an entity issues a 5% convertible bond for CU50,000 that is repayable in cash in 10 years or convertible at that time into 5,000 ordinary shares in the company.

In such a case the company could have issued two separate instruments, a 7% loan repayable in 10 years' time and a warrant or option to subscribe for 5,000 ordinary shares on that date.

Note that the cash flows of the instrument are the same regardless of its accounting treatment, but the accounting treatment may affect the user's perception of risk.

Professional skills focus: Structuring problems and solutions

You could be faced with a question in which the accountant has incorrectly recorded a compound instrument as **either** a financial liability **or** an equity instrument and has therefore not split the instrument into its components. In this case, you should calculate the debt and equity components and make an adjustment to correct the incorrect recording.

Worked example: Compound financial instruments

A company issued 3,000 convertible 6% 10-year bonds at CU100 each with total issue costs of CU1,500. The present value of the redemption value and interest payments determined at market yields for an investment without the conversion option was CU275,000.

Requirement

Calculate the amounts that should be attributed to the liability and equity components.

Solution

	CU
Net proceeds on issue (3,000 × CU100)	300,000
Fair value of liability component	(275,000)
Equity component	25,000

Therefore, the following should be recognised in the statement of financial position at the date of issue:

	CU
Liability (275,000 – (1,500 × 275/300 issue costs))	273,625
Equity (Other reserves) (25,000 – (1,500 × 25/300 issue	24,875

Note that classifying the convertible bond into its liability and equity elements improves a company's gearing as compared to treating the whole CU300,000 as debt.

Interactive question 5: Compound financial instruments

On 1 January 20X7 an entity issued 10,000 6% convertible bonds at a par value of CU100. Each bond is redeemable at par or convertible into four shares on 31 December 20X8.

Interest is payable annually in arrears. The market rate of interest for similar debt without the conversion option is 8%.

Requirement

Using the proforma below measure the liability and equity components of these bonds on 1 January 20X7.

Year	Cash flow CU	Discount factor	Present value CU
20X7			
20X8			
Total liability component			
Total proceeds			
Equity element			

See **Answer** at the end of this chapter.

Subsequently the annual interest expense arising on the liability component and recognised in profit or loss should be calculated by reference to the interest rate used in the initial measurement of the liability component.

The equity component is not remeasured.

If all or part of the compound financial instrument is eventually converted into equity, the relevant proportion of the carrying amount of the financial liability should be reclassified as equity, being added to the equity amount initially recognised. No gain or loss should be recognised on conversion of the instrument.

Context example: Compound instruments

In Interactive question 5, the liability component is CU964,335. The subsequent accounting for the liability component should be as follows.

Year	Opening balance	Finance cost (8%)	Interest paid	Closing balance
	CU	CU	CU	CU
20X7	964,335	77,147	(60,000)	981,482
20X8	981,482	78,518	(60,000)	1,000,000

Note that the CU77,147 finance cost is greater than the CU60,000 (6% × 10,000 × CU100) interest paid because it includes the amortisation of the discount attributable to the liability element. Only the interest actually paid should be presented in the statement of cash flows.

If on 31 December 20X8 all the bond holders elect to convert into equity, then the CU1 million liability should be reclassified to equity, making CU1,035,665 in total. The double entry should be:

	CU	CU
DR Financial liability	1,000,000	
CR Equity		1,000,000

If none of the bonds are converted to equity, the liability of CU1 million will be extinguished by the cash repayment. However, the amount already included in equity of CU35,665 should remain there. The double entry should be:

	CU	CU
DR Financial liability	1,000,000	
CR Cash		1,000,000

Professional skills focus: Assimilating and using information

An exam question will not necessarily use the term 'compound instrument'. It is more likely to say, for example, convertible debt. You are expected to read the information in the question carefully to determine that an instrument is indeed convertible and then apply the correct accounting treatment to it. Part of the skill required at the Professional level is being able to correctly interpret the information provided.

3.5 Interest, dividends, losses and gains

Interest, dividends, losses and gains arising in relation to a financial instrument that is classified as a financial liability should be recognised in profit or loss for the relevant period.

The costs of servicing the financing of a company must be treated **consistently** with the way that the underlying instrument has been treated:

- Dividends on ordinary shares and irredeemable preference shares, which are both classified as equity instruments and where the payment of dividends is discretionary, will be shown as an **appropriation of profit** (in the statement of changes in equity).
- The cost of servicing loans will be **shown** as a finance cost (in profit or loss).

- Dividends on preference shares classified as liabilities will be shown as a finance cost (in profit or loss).

Distributions, such as dividends, paid to holders of a financial instrument classified as equity should be charged directly against equity (as part of the movement on retained earnings in the statement of changes in equity).

The classification will not affect the cash flows which are the same regardless of the presentation.

Interactive question 6: Dividends

Dorehouse Ltd has declared the following dividends during the year:

(1) An ordinary dividend of CU4 million

(2) A CU3 million dividend on preference shares redeemable in 20X9

Requirement

Explain the presentation requirements for Dorehouse Ltd's dividends in the financial statements for the year.

See **Answer** at the end of this chapter.

When equity shares are issued, the transaction costs should be deducted from equity, net of any related income tax benefit. The transaction costs to be deducted are only those incremental costs attributable to the equity transaction that otherwise would have been avoided.

Worked example: Issue costs

An entity issued 100,000 new CU1 ordinary shares which have a fair value of CU2.50 per share for cash.

Professional fees in respect of the share issue were CU50,000. The management of the entity estimates that costs incurred internally for time incurred working on the share issue are CU25,000.

Requirement

How should these transactions be recorded in the financial statements?

Solution

The internal costs should be recognised as an expense in profit or loss as they were not incremental costs; they would have been incurred in any event. The professional fees were directly attributable to the transaction and CU50,000 should be deducted from equity.

The double entry to record this transaction should be:

		CU	CU
DR	Cash (CU250,000 less CU50,000)	200,000	
CR	Share capital		100,000
CR	Share premium		100,000

3.6 Offsetting

Financial assets and financial liabilities should generally be presented as separate items in the statement of financial position. However, offset is required if:

- the entity has a legal right of offset; and
- the entity intends to settle on a net basis.

It may be the case that one entity both owes money to and is due money from another entity. A frequently occurring example of this is where a company has several accounts with a single bank, some of which are in credit and some overdrawn. The presentation issue is whether these amounts should be shown separately or whether they should be netted off against each other and a single figure for the resulting net asset (or liability) shown.

IAS 32 looks to see whether there is a **legally enforceable** right to make the set off. But it then goes further, by taking account of the entity's intentions. If there is a legal right to make a set off and the entity **intends to settle the amounts on a net basis**, then the set off must be made.

On this basis an entity with credit and overdrawn bank balances would not set them off against each other (even if it had the legal right to do so) because in the normal course of business it is keeping these accounts separate, so it cannot claim that it 'intends' to settle on a net basis.

Context example: Offsetting

Herdings plc and Intake Ltd trade with each other. Herdings plc has recognised in its financial statements trade receivables of CU40,000 and trade payables of CU20,000 in respect of Intake Ltd. Herdings plc and Intake Ltd have an informal arrangement to periodically offset balances and settle on a net basis.

Herdings plc should not offset the trade receivables and trade payables as no legal right of offset exists. While its custom and practice is to settle on a net basis, no formal right of setoff exists.

3.7 Treasury shares

Companies may reacquire their own shares as an alternative to making dividend distributions and/or as a way to return excess capital to shareholders. Equity instruments reacquired by the entity which issued them are known as treasury shares.

The treatment of these treasury shares is as follows:

- They should be deducted from equity (presented as a separate treasury shares reserve) and the original share capital and share premium amounts remain unchanged.
- No gain or loss should be recognised in profit or loss on their purchase, sale, issue or cancellation.
- Consideration paid or received should be recognised directly in equity.
- Although the shares are shown separately in equity, they are deducted in the weighted average number of shares calculation for the purposes of calculating EPS (see Chapter 4).

The amount of treasury shares held should be disclosed either in the statement of financial position or in the notes to the financial statements in accordance with IAS 1, *Presentation of Financial Statements*.

Context example: Treasury shares

An entity entered into a share buyback scheme. It reacquired 10,000 CU1 ordinary shares for CU2 cash per share. The shares had originally been issued for CU1.20 per share.

The entity should record the reacquired shares as a debit entry of CU20,000 in equity. The original share capital and share premium amounts of CU10,000 and CU2,000 remain unchanged.

		CU	CU
DR	Treasury shares	20,000	
CR	Cash		20,000

Note: Treasury shares are presented within the Equity section of the statement of financial position as a debit balance. They are normally shown in parentheses.

4 IFRS 7, *Financial Instruments: Disclosures*

Section overview

- The disclosures required by IFRS 7 are extensive.
- They are designed to show the significance of financial instruments for the entity's financial position and performance.
- They should indicate the nature and extent of risks arising from financial instruments to which the entity is exposed during the period and at the reporting date, and how the entity manages those risks.

4.1 The risks associated with financial instruments

The use of financial instruments by entities is widespread and the risk associated with such instruments can be significant. As financial instruments become more complex and commonplace, clear and full disclosure becomes increasingly important, therefore disclosure is even more important.

The disclosure of information about financial instruments held by an entity is essential as an entity increases the use of such instruments, for example entities operating in the financial services sector. Over the last two decades entities have changed the way in which they use financial instruments and manage their exposure to risk. As a result, the IASB is continually reviewing information that should be disclosed and expanding the requirements of IFRS 7.

4.2 Objectives of IFRS 7

Information concerning an entity's exposure to risk and how the entity manages that risk continues to be important when assessing an entity's financial position and performance. The IASB issued IFRS 7 because it felt that existing standards needed to be improved to ensure that disclosures made in this area provided greater transparency of information, to allow users to better assess the risks that an entity is exposed to.

The objective of IFRS 7 is to require entities to provide disclosures in their financial statements which enable users to evaluate:

- the **significance of financial instruments** for the entity's financial position and performance; and
- the **nature and extent of risks** arising from financial instruments to which the entity is exposed during the period and at the reporting date, and how the entity manages those risks.

4.3 Assessing financial performance and financial position

As set out above, one of the overall objectives of IFRS 7 is to ensure that users of financial statements can adequately evaluate the significance that financial instruments have in the assessment of financial position and performance of an entity. To meet this objective IFRS 7 sets out detailed disclosure requirements in relation to both the statement of financial position and the statement of profit or loss and other comprehensive income.

Either in the statement of financial position or in the notes the carrying amounts of **each category of financial instruments** should be disclosed.

- The fair values of each class of financial instrument should also be disclosed.
- As well as monetary (**quantitative**) disclosures, **narrative commentary** by issuers is encouraged. This is to enable users to understand management's **attitude to risk**.

5 Ethical and judgement issues

Section overview

The application of accounting standards to financial instruments requires significant judgement.

The failure to report transactions involving financial instruments appropriately has contributed to a number of recent accounting scandals. The complexity of many financial instruments presents challenges for financial reporting. This is evidenced by the length of the accounting standards and the detailed application guidance.

Preparers of financial information must ensure that they understand the complexity of the standards and how they are applied in order to ensure that they are competent to deal with financial instrument transactions. You should be alert to exam scenarios in which a director is trying to achieve a certain target relating to, for example, the carrying amount of assets or the profit for the year. Incorrectly applying the recognition and measurement rules for financial assets and liabilities or misclassifying the payment of interest on liabilities as an equity transaction can be used for the purposes of manipulating the financial statements to achieve given targets.

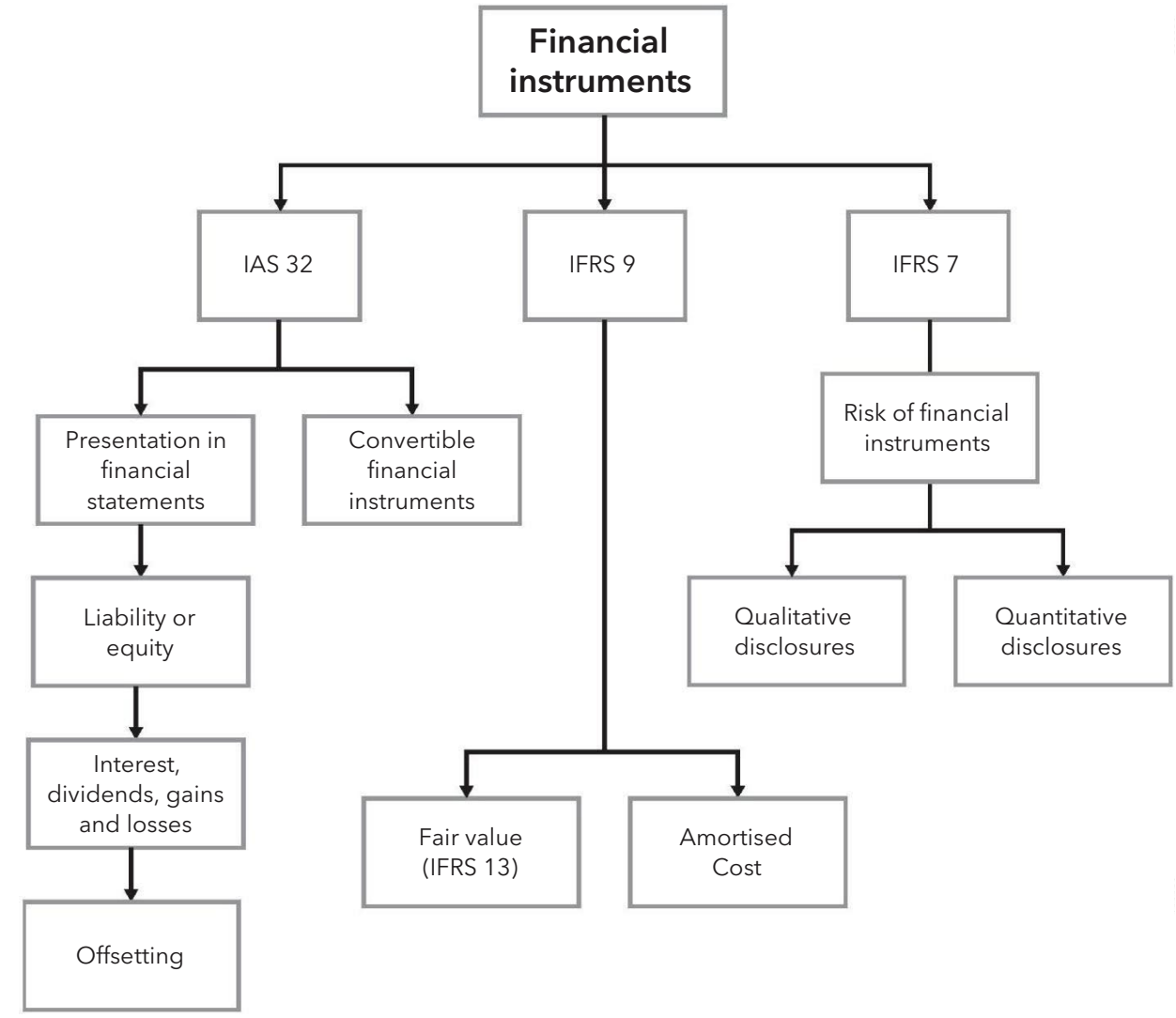
Professional skills focus: Applying judgement

Professional accountants are responsible for determining the classification of financial instruments, which in turn determines how they are accounted for. This is particularly the case for financial assets where the classification depends on the entity's business model, which in itself may be subjective.

Although you will not be faced with particularly complex financial instrument transactions in *Financial Accounting and Reporting*, you may be faced with a scenario in which a financial instrument has been classified and/or accounted for incorrectly, perhaps because there is an advantage in terms of the value of assets and liabilities or the amounts recognised in the statements of profit or loss.

You need to use your judgement to determine if the accounting treatment adopted is appropriate in terms of the accounting standards and IESBA Code of Ethics.

Summary


Financial instruments
IAS 32
IFRS 9
IFRS 7
Presentation in financial statements
Convertible financial instruments
Liability or equity
Interest, dividends, gains and losses
Offsetting
Fair value (IFRS 13)
Amortised Cost
Risk of financial instruments
Qualitative disclosures
Quantitative disclosures

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you recall the definitions of financial asset, financial liability and equity? (Topic 1)
2.	How should financial assets be initially measured? (Topic 2)
3.	What are the three ways in which financial assets may be subsequently measured? (Topic 2)
4.	What is a compound instrument? How should it be initially measured? (Topic 3)
5.	What is a treasury share? How are they presented in the financial statements? (Topic 3

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Cashrich plc	This short question is a useful reminder that sometimes you need to interpret the information in a question in order to determine the type of financial instrument and then apply the correct accounting for it. In this case, the question relates to treasury shares but this term is not mentioned in the question.
Leverage plc	This question tests your understanding of risks as defined by IFRS 7. It requires an explanation and is a good example of how disclosure can be examined in a way that does not require a disclosure note to be prepared.
Loan notes	This question tests your understanding of how to apply the amortised cost method. Make sure you know whether you are working with a financial asset or a financial liability before getting into the calculations.
Maroon plc	This a good question to test your understanding of the reasonably complex area of compound instruments. It requires calculation and explanation.
Woodseats Ltd	A more comprehensive question which you should attempt when you feel reasonably happy with the content of this chapter. Part (a) asks about substance over form, which you can discuss in terms of faithful representation.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
Adeje Ltd – Notes (6) and (7)	This question will test your understanding of the calculations and journal entries required to account for preference shares and treasury shares.
Alloa Ltd – Notes (7) and (8) and IFRS 7	Part of this question will test your understanding of the calculations and journal entries required to account for preference shares and treasury shares. There is also a short requirement specifically asking about IFRS 7 which will be useful to see how a question about disclosure can be framed.
Gamow Ltd – Note (4)	This is a tricky note which covers the requirements for compound instruments. Note that it doesn't use that term in the question – you are expected to know that convertible debt is a type of compound instrument.
Ashgill plc – Note (2) explanation re: preference shares	This question asks you to account for a transaction and explain why it was appropriate. You should prepare the calculations and journal entries necessary to correctly account for the irredeemable preference shares in Note (2) and then explain why you accounted for them in this way.
Meitner plc	This question contains five financial reporting issues, two of which relate to financial instruments. You are asked to explain the issues, with supporting calculations, and show the impact of the adjustments on the financial statements. Consider carefully whether the preference shares should be presented as debt or equity.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

1 IAS 32, *Financial Instruments: Presentation*

Presentation of equity and liabilities

- Classification as financial asset, financial liability or equity instrument – **IAS 32 (15–16)**
- Definitions – **IAS 32 (11)**
- Contractual obligation and substance of instrument – **IAS 32 (17–18)**
- Settlement options – **IAS 32 (26–27)**
- Treasury shares – **IAS 32 (33–34)**
- Interest, dividends, losses and gains – **IAS 32 (35–36)**
- Offsetting – **IAS 32 (42)**

Compound instruments

- Recognising liability and equity elements – **IAS 32 (28)**
- Example of convertible bonds – **IAS 32 (29–30)**
- Calculation of liability and equity elements – **IAS 32 (31–32)**

2 IFRS 9, *Financial I ns truments*

Recognition

- Classification of financial assets – **IFRS 9 (4.2)**
- Classification of financial liabilities – **IFRS 9 (4.2)**

Measurement

- Initial measurement of financial assets and financial liabilities – **IFRS 9 (5.1)**
- Subsequent measurement of financial assets – **IFRS 9 (5.2)**
- Subsequent measurement of financial liabilities – **IFRS 9 (5.3)**

Treatment of gains and losses

- Recognition of expected credit losses – **IFRS 9 (5.5)**
- Gains and losses – **IFRS 9 (5.7)**

3 IFRS 13, *Fair Value Measurement*

Definition, measurement framework and required disclosures – **IFRS 13 (App and 11–91)**

4 IFRS 7, *Financial Instruments: Disclosures*

Nature and extent of risks arising from financial instruments

- Purpose of disclosures – **IFRS 7 (31–32)**
- Qualitative disclosures – **IFRS 7 (33)**
- Quantitative disclosures – **IFRS 7 (34)**

Self-test questions

Answer the following questions.

1 IAS 32

According to IAS 32, *Financial Instruments: Presentation*, what is the correct treatment for dividends on redeemable preference shares and dividends on ordinary shares in the financial statements?

2 Cashrich plc

Cashrich plc has decided that it will use surplus funds to reacquire 100,000 of its equity shares at a price of CU2.15 per share.

Requirement

Explain how this will be accounted for and show the journal for the transaction.

3 Leverage plc

Leverage plc has made loans to a number of different entities. Some of those entities are now experiencing cash flow problems. Another loan is due to be repaid in two months' time in Japanese yen. Since the loan was made, sterling has strengthened against the yen. It is difficult to predict whether this will continue.

Requirement

How would the risks to which Leverage plc is exposed be classified under IFRS 7?

4 Loan notes

On 1 January 20X5 Beppe plc purchases CU150,000 of 6% loan notes. The loan notes will be redeemed at a premium on 31 December 20X8. The effective interest rate is 7.5%.

Requirement

What will be the carrying amount of the loan notes at 31 December 20X6?

5 Maroon plc

On 1 January 20X4 Maroon plc issued 100,000 CU1 6% convertible redeemable preference shares. Issue costs of CU6,700 were incurred and the preference shares are redeemable at par for cash on 31 December 20X8 or are convertible into 20,000 new CU1 ordinary shares at that time. The preference dividend is paid on 31 December each year.

The interest rate on similar financial instruments without the convertibility option is 8%. The impact of the issue costs is to increase the effective interest rate to 9.7%.

Requirements

5.1 Prepare extracts from Maroon plc's financial statements for the year ended 31 December 20X4 on the basis that the convertible preference shares are accounted for:

(a) in accordance with their legal form

(b) in accordance with IAS 32, *Financial Instruments: Presentation*

5.2 Comment on the usefulness of the presentation requirements of IAS 32 in understanding the nature of the preference shares and how its requirements affect the view presented.

6 Woodseats plc

Difficulties can arise in the presentation of financial instruments in the statement of financial position of an entity in relation to their classification as liabilities and equity and to the related interest, dividends, losses and gains.

The objective of IAS 32, *Financial Instruments: Presentation* is to address this problem by establishing principles for presenting financial instruments as liabilities or equity and for offsetting financial assets and financial liabilities.

On 1 January 20X3 Woodseats plc had only 50 million CU1 ordinary shares in issue, which had been in issue for many years. During the year ended 31 December 20X3 Woodseats plc entered into the following financing transactions.

(1) On 1 January 20X3 Woodseats plc issued 20 million 8% CU1 preference shares at par. The preference shares are redeemable at par on 30 June 20X8. The appropriate dividend in respect of these shares was paid on 31 December 20X3.

(2) On 30 June 20X3 Woodseats plc issued 10 million 12% CU1 irredeemable preference shares at par. Dividends are discretionary and non-cumulative. The appropriate dividend in respect of these shares was paid on 31 December 20X3.

The draft profit for 20X3, before accounting for the dividends paid or finance costs on either class of preference share, was CU15 million. Retained earnings at 1 January 20X3 were CU75 million.

Requirements

6.1 Describe the concept of 'substance over form' and its application to the presentation of financial liabilities under IAS 32, *Financial Instruments: Presentation*.

6.2 Prepare extracts from the financial statements of Woodseats plc for the year ended 31 December 20X3 to the extent the information is available, showing how the above would be reflected in those financial statements.

Note: Notes to the accounts are not required. Ignore taxation.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

(a) The inventory is not a financial instrument as it is a physical asset. Guideprice Ltd should recognise a trade payable in its financial statements; this is a financial liability because there is a contractual obligation to pay the amount in cash. Conversely, Offertake Ltd records a trade receivable for CU5,000, which is a financial asset as it has the contractual right to receive cash.

(b) Ashdell Ltd has paid for services in advance. The CU20,000 should be recorded as a prepayment. The future economic benefit is the right to receive insurance services rather than cash, ordinary shares or another financial asset. Therefore, prepayments are not financial instruments.

(c) The ordinary shares are an equity instrument of Wellbeck Ltd as they give the holder a residual interest in the assets of Wellbeck Ltd after deducting the liabilities. The ordinary shares are a financial asset of Keeload Ltd.

(d) Cashlow plc has entered into a mortgage. The contractual obligation to repay CU200,000 to Norbert plc is a financial liability. Norbert plc has a financial asset as it has the contractual right to receive CU200,000 cash.

Answer to Interactive question 2

The carrying amount of the bonds at 31 December in the years 20X1 to 20X5 is as follows:

Period end	Amount borrowed	Finance cost (at 9.5%)	Repaid (4% × CU200,000)	Carrying amount
	CU	CU	CU	CU
20X1	157,763	14,988	(8,000)	164,751
20X2	164,751	15,651	(8,000)	172,402
20X3	172,402	16,378	(8,000)	180,780
20X4	180,780	17,174	(8,000)	189,954
20X5	189,954	18,046	(8,000)	200,000
			(200,000)	

Answer to Interactive question 3

Preference shares redeemable at the issuer's option are classified as equity because there is no obligation to transfer financial assets (for example cash) at some future time. However, if Moorgate Ltd notifies the holders of an intention to redeem the preference shares at some future time, then an obligation arises and the preference shares should be reclassified as financial liabilities.

The rights attaching to the shares should be considered, to establish the substance of the instruments for classification. The dividends are not contractual obligations as they are only paid when ordinary share dividends are declared. In substance they are at the discretion of Moorgate Ltd and this confirms the classification as equity.

Answer to Interactive question 4

As the preference shares are redeemable, they should be classified as liabilities and accounted for using the amortised cost method.

Year	Opening balance	Finance cost 7%	Dividend paid 6%	Closing balance
	CU	CU	CU	CU
20X3	285,000	19,950	(18,000)	286,950
20X4	286,950	20,086	(18,000)	289,036

Answer to Interactive question 5

Year	Cash flow	Discount factor	Present value
	CU		CU
20X7	60,000	1/1.08	55,556
20X8	1,060,000	$1/1.08^2$	
Total liability component			908,779
Total proceeds			964,335
Equity element 10,000 × CU100			1,000,000
			35,665

Answer to Interactive question 6

Dividends payable should be classified according to the underlying financial instrument:

(1) Dividends payable on ordinary shares (an equity instrument) should be charged directly against equity as a deduction from retained earnings. Dorehouse Ltd's CU4 million ordinary dividend should be recognised in the statement of changes in equity.

(2) Dividends payable on redeemable preference shares (a financial liability) should be recognised as an expense in profit or loss. Dorehouse Ltd's CU3 million preference dividend should be recognised as a finance cost in profit or loss.

Answers to Self-test questions

1 IAS 32

Equity dividends paid are recognised in the statement of changes in equity. Equity dividends declared after the year-end are not a liability at the end of the reporting year so are not recognised. Dividends on redeemable preference shares classified as a liability are recognised in profit or loss as a finance cost.

2 Cashrich plc

IAS 32 requires shares which have been repurchased to be presented separately in the statement of financial position as treasury shares, which are a deduction from equity. No gain or loss on the transaction is recognised so there is no impact on profit or loss.

The journal entry will be:

	CU	CU
DR Treasury shares (equity section)	215,000	
CR Cash		215,000

3 Leverage plc

Leverage plc is exposed to two types of risk:

- Credit risk. The risk that one of the entities to whom it has advanced a loan will be unable to repay the money.
- Market risk. The risk in this case of an exchange loss on the transaction. If sterling is stronger against the yen when the loan matures than it was when the loan was made, then the amount that Leverage plc receives in yen will buy less sterling.

4 Loan notes

The carrying amount of the loan notes at 31 December 20X6 will be CU154,669.

WORKING

	B/ f	Interest	Interest received	C/ f
	CU	7.5%	6%	CU
1 January 20X5	150,000	11,250	(9,000)	152,250
1 January 20X6	152,250	11,419	(9,000)	154,669

5 Maroon plc

5.1 (a) **Extracts from financial statements for the year ended 31 December 20X4**

	(1) Legal Form	(2) IAS 32
Statement of profit or loss		
Finance cost (W2)	–	8,327
Statement of changes in equity		
Dividends paid	6,000	–
Statement of financial position		
Non-current liabilities		
Borrowings (W2)	–	88,177
Equity		
Equity element of convertible debt (W1)	–	7,450
Convertible preference shares (100,000 – 6,700)	93,300	–
Statement of cash flows		
Cash flows from operating activities		
Interest paid	–	(6,000)
Dividends paid	(6,000)	–
Cash flows from financing activities		
– Proceeds from issue of convertible, redeemable preference shares	93,300	93,300

WORKING

Splitting the liability and equity components on initial recognition

	Payments Amount (CU)	Discount factor 8% (Note)	Present value (CU)
20X4	6,000	0.925926	5,556
20X5	6,000	0.857339	5,144
20X6	6,000	0.793832	4,763
20X7	6,000	0.735030	4,410
20X8	106,000	0.680583	72,142
Liability component			92,015
Equity component (Bal fig)			7,985
Total			100,000
Allocation of issue costs:			
Liability component (92,015 – (6,700 × 92,015/100,000))			85,850
Equity component (7,985 – (6,700 × 7,985/100,000))			7,450

Note: The discount factors are calculated using the $1/(1+r)_n$ formula.

(b) Calculating the liability carrying amount at year end using the post-issue costs effective interest rate.

	CU
Liability at 1 January 20X4	85,850
Interest expense at 9.7% (9.7% × 85,850)	8,327
Cash paid	(6,000)
Liability at 31 December 20X4	88,177

5.2 The legal form of the preference shares is equity. They are a type of share capital. If the transaction is accounted for in accordance with its legal form, the preference shares are included in equity and the dividends are presented as part of the movement in equity.

The substance of redeemable preference shares is that they are debt as there is a contractual obligation to make repayments of interest and capital. These terms meet the definition of a financial liability.

However, the convertibility option means that the preference shares also have an equity component. The same effect could have been achieved by issuing warrants and redeemable preference shares separately.

The requirements of IAS 32 reflect the substance of the transaction, focusing on the economic reality that in effect two financial instruments have been issued. These preference shares are a compound financial instrument and split accounting should be applied.

The requirements of IAS 32 will increase the amount of borrowings in the financial statements compared with if the preference shares had been accounted for in accordance with their legal form. As a result, gearing will be higher and it may be more difficult for Maroon plc to obtain further borrowing.

If the legal form were reflected in the financial statements, the preference share dividend would be recognised in the statement of changes in equity. Under IAS 32 the dividend is recognised as an expense in profit or loss as a finance cost. The IAS 32 expense is higher than the dividend paid as it includes the amortisation of the discount of the liability. Earnings under IAS 32 will be lower than under the legal form.

The cash flows are the same in both sets of circumstances, although they will be categorised differently as interest and dividends paid. However, users of financial statements may perceive a different level of risk.

Note: Convertible bonds are another type of compound financial instrument. Their legal form is debt. For convertible bonds, gearing would be higher if the legal form was applied.

6 Woodseats plc

6.1 Substance over form and the presentation of financial liabilities under IAS 32, *Financial Instruments: Presentation*

The *Conceptual Framework for Financial Reporting* requires information to be relevant and faithfully represented. Faithful representation means that financial information represents the substance of an economic phenomenon rather than merely representing its legal form.

The substance is not always consistent with the legal form of a transaction. This is often the case when an arrangement involves a number of linked transactions or components.

IAS 32 uses the substance of a financial liability rather than its legal form to determine the classification in the statement of financial position. Some financial instruments take the legal

form of equity but are liabilities in substance as they include contractual obligations to transfer economic benefits to the holder. This approach is consistent with the definition of a liability in the *Conceptual Framework for Financial Reporting* and such financial liabilities are classified in liabilities and not equity.

More complex financial instruments may combine features of both equity instruments and financial liabilities. IAS 32 looks at the substance of the components of the instrument and classifies them separately.

6.2 Financial statement extracts

Statement of financial position as at 31 December 20X3

	CUm
EQUITY AND LIABILITIES	
Equity	
Ordinary share capital	50
Preference share capital (irredeemable)	10
Non-current liabilities	
Preference share capital (redeemable)	20

Statement of profit or loss for the year ended 31 December 20X3

	CUm
Finance cost (20m × 8%)	(1.6)

Statement of changes in equity for the year ended 31 December 20X3

	Ordinary share capital CUm	Irredeemable preference share capital CUm	Retained earnings CUm	Total CUm
Balance at 1 January 20X3	50	–	75	125
Issue of share capital		10		10
Dividends paid (10 × 12% × 6/12)			(0.6)	(0.6)
Total comprehensive income (15 –1.6)	—	—	13.4	13.4
Balance at 31 December 20X3	50	10	87.8	147.8

Chapter 10
Other standards

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Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

1 Provisions, contingent liabilities and contingent assets

2 Provisions: definition and recognition

3 Provisions: measurement

4 Provisions: specific applications

5 Provisions: disclosures

6 Contingent liabilities and contingent assets

7 IAS 10, Events After the Reporting Period

8 IAS 20, Accounting for Government Grants and Disclosure of Government Assistance

9 Ethical and judgement issues

Summary

Further question practice

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Self-test questions

Answers to Interactive questions

Answers to Self-test questions

Introduction

Learning outcomes

- Identify the effects of transactions in accordance with the IFRS *Conceptual Framework for Financial Reporting*
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework
- Prepare and present the financial statements, including specified disclosures or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards
- Explain the application of IFRS Accounting Standards and IFRS Sustainability Disclosure Standards to specified single entity scenarios
- Identify and explain the ethical and professional issues for a professional accountant undertaking work in financial accounting and reporting, and identify appropriate actions
- Discuss the impact of sustainability and climate-related risks and opportunities on the preparation of the financial statements

Syllabus links

You will have a general knowledge of IAS 37 from your *Accounting* syllabus. In *Financial Accounting and Reporting*, this standard is covered at a higher level, requiring an understanding of the issues which can be involved in applying it and the professional judgement required. IAS 10 and IAS 20 are both introduced for the first time in this syllabus. All three standards are examined at level A in this module, meaning a thorough knowledge of the standards is required. This level of knowledge will also be relevant to the Advanced Stage.

Examination context

In the examination, students may be required to:

- Explain the *Conceptual Framework for Financial Reporting* definitions and recognition principles and explain how they relate to IAS 37.
- Prepare financial statements, or extracts, and notes to the financial statements after taking account of provisions, contingent liabilities and contingent assets and explain the financial reporting treatment required.
- Prepare financial statements or extracts taking into account the effect of events after the reporting period and explain the financial reporting treatment required.
- Explain the accounting treatment of government grants.
- Prepare financial statements, or extracts, taking into account the effects of government grants.
- Identify ethical issues and use ethical codes to formulate solutions and provide advice.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	**Provisions, contingent liabilities and contingent assets** You will be aware of provisions from your *Accounting* studies. This topic builds on that knowledge and introduces more complexity. You should focus on being able to apply your knowledge as well as explain reasoning for answers.	**Approach** This short topic is revision of the key issues regarding the accounting for provisions, as well as the exceptions.	You may need to account for provisions in an accounts preparation question or be asked in an explain question about whether IAS 37 is applicable or another standard applies eg, when recognising the fair value of contingent liabilities in a business combination (IFRS 3).	
2	**Provisions: definition and recognition** Historically, some entities have abused the use of provisions to adjust the profit for the year. This topic focuses on the criteria that needs to be satisfied before a provision can be recognised.	**Approach** Much of this topic will be revision, however, it is important to focus on when a provision may be recognised and what constitutes 'an obligating event' under IAS 37.	The recognition of provisions is likely to be asked in a question that asks you to explain whether the accounting treatment is appropriate for a given scenario. You should use the criteria for recognition in your explanation.	
3	**Provisions: measurement** Provisions, by their nature, can be difficult to measure due to the uncertainty as to the amount of the probable outflow of benefits. This topic covers the measurement criteria in detail.	**Approach** Attempting Interactive question 2 will help you to understand how the time value of money affects the calculation of a provision.	As you are already familiar with provisions from your *Accounting* studies, *Financial Accounting and Reporting* is more likely to look at the complex issues such as the time value of money (discounting the provision) and subsequent unwinding over the	**IQ1 Expected values** This question tests your ability to calculate the provision based on the probability of the event happening. **IQ2 Discounting** Carefully study and understand the worked example prior to this IQ, then attempt this question, which

Topic	Practical significance	Study approach	Exam approach	Interactive questions
			period.	covers the impact of discounting on the provision.
4	**Provisions: specific applications** IAS 37 provides guidance relating to specific issues that may result in provisions. You should be aware of the specific requirements of the standard.	**Approach** Work through the material, paying particular attention to the requirements of IAS 37 for decommissioning and restructuring provisions.	Decommissioning provisions and restructuring provisions are both commonly examined. With the former, ensure that you understand how to discount the provision as it is likely to be required several years in the future (see Interactive question 2 from the previous topic).	**IQ3 Onerous contracts** This question tests your understanding of whether there is a liability and, if so, how it will be recognised. **IQ4 Provision for environmental damage** In this question you must show the accounting entry required to record the provision and explain the subsequent accounting treatment. **IQ5 Provisions** This question looks at specific examples of when a provision may be recognised.
5	**Provisions: disclosures** IAS 37 requires detailed disclosure which reconciles the opening to closing provisions balance, analysed out based on the different type of provision recognised by the company, such as warranty, decommissioning, legal costs.	**Approach** Make sure you understand what disclosures are required under IAS 37 and can apply the standard format for disclosures relating to provisions.	You may be asked to prepare a provisions disclosure note as part of the Notes to the financial statements.	
6	**Contingent liabilities and contingent assets** Not all potential liabilities are expected to result in a probable outflow of	**Approach** Understand the definitions of the terms and use the diagram within the topic which explains what may	You may be given a scenario as part of a preparation question or asked to explain the correct accounting treatment for a	**IQ6 IAS 37 definitions** Identify whether any of the given scenarios result in a provision, contingent liability or contingent

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	resources. It is still important, however, to provide information about a potential liability so that the users of the financial statements can be aware of existence, eg, a legal claim against the entity that may lead to possible payments in the future. Entities may enter into transactions that give rise to potential assets. Applying the prudence concept, only assets that are virtually certain to be received can be recognised.	be recognised in certain scenarios. **Stop and think** How is the accounting its treatment for contingent liabilities and contingent assets consistent with the definition of elements in the *Conceptual Framework for Financial Reporting*?	potential liability, such as legal claim. Ensure you can explain your reasons for the accounting approach you have taken in non-technical accounting terms.	asset. **IQ7 Application of IAS 37** This looks at a number of different timescales and likelihoods and assesses the need for contingent liabilities or assets in each case. **IQ8 Recognition and measurement** You are given a number of short scenarios and need to explain the required accounting treatment for each one.
7	**IAS 10, *Events After the Reporting Period*** Certain events which occur after the end of the reporting period give additional information about matters that were already known at the year- end date, and others provide new information. It is important to understand how these events are reflected in the financial statements.	**Approach** This topic covers the events that require adjustment in the financial statements and those that do not. Make sure you understand the difference and whether additional disclosures are required.	This could be asked as part of a financial statements preparation question, or you could be asked to explain whether a transaction should be reflected in the financial statements or not. This could be linked to the qualitative characteristics that are affected by such events (relevance, faithful representation).	**IQ9 Building defects** A short scenario is given to test your understanding of what events may need to be accounted for in the financial statements and which require to be disclosed. **IQ10 Inventories** A similar question, focusing on inventories. Make sure you understand the reasons if you get either of these questions wrong.
8	**IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*** Companies may receive grants in the form of cash or	**Approach** Understand the treatment of government grants which are related to income/ expenses (income approach) or tied to a non-current	This may be part of a financial statements preparation question.	**IQ11 Grants for depreciating assets** and **IQ12 Grants related to assets: deferred income method** These are two questions based on

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	assets. Grants normally have conditions attached to them which a company must satisfy if they are to gain the benefits from the grant.	asset (capital approach). Be aware of any conditions attached to the grant. Any repayment of grants will be covered by IAS 8 as a change in an accounting estimate.		the different methods of accounting for grants associated with non-current assets. **IQ13 Grant recognition** This question tests your knowledge of the treatment of income grants.
9	**Ethical and judgement issues** As well as applying your technical knowledge of the accounting standards, you should also ensure you are maintaining your professional judgement in situations and abiding by the IESBA *Code of Ethics* at all times.	**Approach** IAS 37 in particular is an area of subjectivity. The professional accountant must maintain a degree of professional scepticism and apply their knowledge of the accounting standards relevant to the scenario	You may be asked about potential ethical conflicts in a scenario, especially where a provision in the financial statements may significantly affect the profit for the period. Read the scenario carefully and consider who will be affected by it.	

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 Provisions, contingent liabilities and contingent assets

Section overview

IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* provides guidance on when provisions and contingencies should be recognised and if so, at what amount.

1.1 Issues

As we have seen in many of the previous chapters, amounts in the financial statements often result from the exercise of judgement; for example, determining the useful life, residual value and appropriate depreciation method in determining the carrying amount of property, plant and equipment. Accounting for provisions, contingent liabilities and contingent assets, however, is, particularly problematic due to the **increased level of uncertainty**. The key issues include:

- **whether** a provision or contingency should be recognised; and
- if it is recognised at **what amount** it should be recorded.

The situation is further complicated by the fact that these decisions may be affected by events occurring after the reporting period.

1.2 IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* Objective

IAS 37 aims to ensure that:

- **appropriate recognition criteria and measurement bases are applied** to provisions, contingent liabilities and contingent assets; and
- **sufficient information is disclosed** in the notes to the financial statements to enable users to understand their nature, timing and amount.

Scope

Although IAS 37 has wide scope, there are two limited exceptions:

Executory contracts (except where the contract is onerous – see section 4.2)	Executory contracts are contracts under which neither party has performed any of its obligations or both parties have partially performed their obligations to an equal extent. For example, an unfulfilled order for the purchase of goods, where at the end of the reporting period, the goods have neither been delivered nor paid for.
Where the accounting treatment is covered by another accounting standard	For example, **IFRS 3, *Business Combinations*** deals with the recognition of an acquiree's contingent liabilities at the time of a business combination (see Chapter 12). Income taxes are covered by IAS 12 *Income Taxes*. Leases (with the exception of onerous leases where the low value or short-term exemption has been applied) are covered by IFRS 16, *Leases*. There are also a number of issues which are covered by IFRS 15, *Revenue from Contracts with Customers,* notably focusing on extended warranties (not to be confused with standard warranties, which are covered by IAS 37).

2 Provisions: definition and recognition

Section overview

A provision is recognised when **all** of the following conditions are met:

- The entity has a present obligation (legal or constructive) as a result of a past event.
- It is probable that an outflow of resources embodying economic benefits will be required in order to settle any obligations.
- A reliable estimate can be made for the amount of the obligation.

2.1 Definition

The key aim of IAS 37 is to ensure that provisions are only recognised when there are valid grounds for doing so.

Definition

Provision: A liability of uncertain timing or amount.

A liability is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

2.2 Recognition

IAS 37 states that a provision should be recognised when:

- an entity has a **present obligation** (legal or constructive) as a result of **a past event;**
- it is **probable** that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- a **reliable estimate** can be made of the amount of the obligation.

If one or more of these criteria is/are not met, a provision is not recognised (although as we will see later in this chapter, a contingent liability may exist).

2.3 A present obligation as a result of a past event

To establish whether an entity has a present obligation which arose from a past event, identification of an 'obligating event' is required.

An obligating event occurs where the entity has no realistic alternative to settling the obligation created by the event. IAS 37 recognises that this can occur:

- where the settlement **can be enforced by law**; or
- in the case of a **constructive obligation**, where the event creates **valid expectations** in other parties that the entity will discharge the obligation (see section 2.4 below).

Notes

1 The event must be **past** ie, it must have occurred at the end of the reporting period. No provision is made for costs that may be incurred in the future but where no obligation yet exists.

2 Only obligations arising from past events **existing independently of an entity's future actions** (ie, the future conduct of its business) are recognised as provisions. If management

can avoid incurring expenditure by changing the entity's future operations, no provision arises.

3 An obligation always involves **another party to whom the obligation is owed**. However, the exact identity of that other party need not be known eg, the obligation may be to the public at large.

4 A board or management decision **does not give rise to an obligation** unless it has been communicated before the end of the reporting period to those affected by it so as to raise a **valid expectation** that the entity will discharge its responsibilities. In the absence of such communication, the board could change its mind and hence would be under no obligation.

5 Sometimes, the existence of an obligation will be uncertain eg, where there is a legal dispute. In these cases, IAS 37 deems a past event to give rise to a present obligation if it is **more likely than not** that an obligation exists at the end of the reporting period. However, if it is possible rather than probable that an obligation exists, a **contingent liability** will exist, not a provision (see section 6 below).

Context example: Present obligation as a result of a past event

Company A carries out quarrying activities. A condition of the planning consent is that environmental damage caused by quarrying must be remedied on completion of the quarrying. In this case, an obligation exists independently of the company's future conduct in relation to damage already caused at the end of the reporting period, **because the company cannot avoid having to pay for remedial action**. By contrast, no obligation exists in relation to expected further damage from continued quarrying because the company could decide not to quarry in the future.

Company B operates aircraft that need periodic overhauls if they are to continue in operation. No obligation exists in relation to future overhauls because the company could decide to sell or scrap the aircraft rather than overhaul them. The obligation only arises as the aircraft are used by the company.

2.4 Legal and constructive obligations

You should be familiar with the concept of a legal obligation.

Definition

Legal obligation: An obligation that derives from:

- a contract (through explicit or implicit terms);
- legislation; or
- other operation of law.

An example of a legal obligation would be a standard product **warranty** provided at the time of sale to undertake necessary repairs for a specified period of time, where the warranty is stated as part of the terms and conditions of sale.

A constructive obligation may be a less familiar term.

Warranty provisions

Manufacturers may provide warranties to customers that provide assurance that an item will function as intended for a period of time. These are standard warranties, which are offered as

part of the terms and conditions associated with the sale of the goods and are not separately paid for by customers. These warranties create clear legal obligations and so (assuming other recognition criteria are met) result in the recognition of a provision in accordance with IAS 37.

Warranties which provide more than the standard assurance of functionality, such as additional servicing or extended warranties, create separate performance obligations for the seller and as such fall within the scope of IFRS 15.

Therefore, extended warranties (which require an element of payment) are covered under IFRS 15 and 'standard warranties' (covered here) are treated under IAS 37, as there is a degree of uncertainty.

In this chapter, we are only covering standard warranties.

Definition

Constructive obligation: An obligation that derives from an entity's actions where:

- by an established pattern of past practice, published policies or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities; and
- as a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

Constructive obligations are more difficult to identify with certainty than legal obligations. In practice they are recognised **where the situation has much the same commercial effect as a legal obligation**. In other words, in practice, the entity cannot avoid settling the obligation.

For example, there is likely to be a constructive obligation where failure to do something would result in **unacceptable damage to an entity's reputation or future business**.

Context example: Constructive obligation

A retail store operates a policy of giving refunds to customers that goes beyond the company's legal obligations. The policy is long established and widely known. It is likely that this policy creates a constructive obligation, as a significant breach of the policy would damage the company's reputation considerably.

There is a present obligation as a result of a past obligating event (the sale of the product), with the constructive obligation as a result of the store's established policy. There is a probable outflow of economic benefits (based on a probability of the portion of returned goods) as a result of the likelihood of paying a refund.

2.5 Probable outflow of resources

A provision is recognised only where the obligation will lead to a **probable** outflow of resources. Probable is defined for these purposes as **more likely than not** to occur. In practical terms this means that there is a **greater than 50% chance** that an entity will have to transfer resource to another party.

Note: Where there are a number of similar obligations (eg, product warranties) the probability should be based on considering the class of obligation as a whole.

Context example: Probable outflow

If a company has an obligation to provide standard warranties, then the probability of outflow of economic benefits may well be extremely small in respect of one specific item. However,

when considering the class of obligation as a whole, the probability of some outflow of economic benefits is likely to be much higher. If there is a **greater than 50% probability** of some transfer of economic benefits then a **provision** should be made for the **expected amount**.

2.6 Reliable estimate

A provision should be recognised only if a **reliable estimate** of the obligation can be made.

Notes

1 Where an entity can determine a range of possible outcomes, a sufficiently reliable estimate can be made, even if the exact amount cannot be quantified.

2 In the extremely rare case where no reliable estimate can be made, a liability exists that cannot be recognised. That liability is disclosed as a **contingent liability.** IAS 37 provides no example of such an extremely rare case. In effect, 'extremely rare' means, 'almost never'. The next topic covers the basis of measurement of provisions.

Professional skills focus: Applying judgement

Professional judgement will be required in cases where the estimated outflow of economic benefits is not known. This is likely to be a feature of provisions in which uncertainty is inherent. This may be on the basis of previous experience, such as the proportion of sales returned of a certain product. Your exam will state the probabilities if you need to apply this in your calculations. In your professional life, you will have to understand the basis of the calculation and apply a degree of professional scepticism to assess whether it is reasonable, for example, such as by assessing actual returns to the provisions or asking questions about the calculation methodology used.

3 Provisions: measurement

Section overview

- A provision should be measured at the best estimate of the expenditure required to settle the obligation.
- Where there is a large population, an expected value will be calculated.
- The amount of the provision should be discounted where the time value of money is material.
- Reimbursement should be recognised as a separate asset when it is virtually certain that it will be received.

3.1 Basic rule

The amount provided should be the **best estimate** of the expenditure required to settle the present obligation at the end of the reporting period. This is the amount that an entity would rationally pay to settle the obligation at the end of the reporting period or to transfer it to a third party at that time. In making a best estimate account should be taken of:

- information provided by **events after the reporting period**;

- **management judgement/ experience** of similar transactions;
- guidance from independent **experts**; and
- the **risks and uncertainties** surrounding the situation. Care is needed both to avoid understating provisions and to avoid excessively prudent provisioning.

3.2 Single obligation

Uncertainties surrounding the amount to be recognised as a provision are dealt with by various means **according to the circumstances**.

Context example: Single obligation

If the expenditure for a single obligation is estimated at CU10,000 and there is a 55% chance of the expenditure being incurred, then CU10,000 is provided for. The process of estimating the amount involves two separate steps:

Step 1 Is it probable that there will be an outflow of economic resources (arising from a present obligation)? Yes, there is in this case, as there is a 55% probability.

Step 2 What reliable estimate can be made? CU10,000 in this case.

Notes

1 An **expected value** calculation (see next section) is **not** relevant for a **single obligation**.

2 Where a single obligation is being measured, the individual most likely outcome may be the **best estimate** of the liability. However, even in this case, the entity should consider other outcomes. Where other possible outcomes are either mostly higher or mostly lower than the most likely outcome, the best estimate will be a higher or lower amount

3.3 Expected values

Where there is a **large population of items**, the obligation is estimated by weighting all possible outcomes by their associated probabilities, to arrive at the **expected value**.

Interactive question 1: Expected values

Xable plc sells goods which carry a standard one-year repair warranty. If minor repairs were to be required for all goods sold in 20X7, the cost would be CU100,000. If major repairs were to be needed for all goods sold in 20X7, the cost would be CU500,000.

Xable plc estimates that 80% of goods sold in 20X7 will have no defects, 15% will have minor defects and 5% will have major defects.

Requirement

Calculate the provision for repairs required at 31 December 20X7. See **Answer** at the end of this chapter.

3.4 Future events

Future events such as changes in technologies, efficiency improvements and changes in legislation may have a significant impact on the **measurement of provisions**. These should be taken into account where there is **sufficient objective evidence** that they will occur.

3.5 Expected disposal of assets

Gains from the expected disposal of assets **should not be taken into account in measuring a provision** even if the expected disposal is closely linked to the event giving rise to the provision. Instead, such gains are accounted for under the relevant IFRS Accounting Standard eg, IAS 16, *Property, Plant and Equipment* and IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* for PPE.

3.6 Discounting

Where the effect of the **time value of money** is **material**, the amount of the provision should be **discounted**. It should be measured at the **present value** of the expenditure required to settle the obligation. This is likely to be an issue when there is a significant period of time between the end of the reporting period and settlement of the obligation.

The discount rate used should be the **pre-tax rate** that reflects **current market assessments** of the time value of money and the **risks specific to the liability**.

Over the period between the recognition of a provision and its ultimate settlement, the provision should be unwound each year by applying the discount rate to the carrying amount of the liability. The increase should be recognised as a finance cost in profit or loss, not as a further expense under the line item where the original provision was charged.

If there is a change in the expected value of the provision due to reasons other than the unwinding of the discount, the finance cost and the change in value should be calculated and presented separately in the statement of profit or loss.

The double-entry to record the finance cost will be:

		CU	CU
DR	Finance costs (profit or loss)	X	
CR	Provision		X

The unwinding of the discount should be included as a finance cost. Thereafter, each year, the finance cost (reflecting the time value of money) is expensed, and the provision is increased by the same amount. At the end of the period (in the illustration below, at the end of Year 3), the provision will reflect the monetary value required to settle the obligation.

Notes

1. The entity's average borrowing rate **should not** be used as the discount rate. The discount rate should be pre-tax and reflect current market rates of the time value of money and the risks specific to the liability.
2. The discount rate should not be risk-adjusted if the cash flows already take account of this. This is relevant when risk is being incorporated directly in cash flows (for example a potential outflow may be increased to reflect its greater risk). When this has been done, adding a risk premium to the discount rate would be double-counting the risk effect.
3. Disclosure should be made of the **increase during the period in the discounted amount** arising from the passage of time and the **effect of any change** in the discount rate.

Worked example: Discounting

Sunak plc is a construction company which has a present obligation at 31 December 20X6 in respect of an obligation to offset the environmental damage caused by excavating a new site in preparation for constructing new energy-efficient affordable homes. Sunak plc expects to settle its obligation in three years' time for CU100,000. The rate which reflects the time value of money and the risks specific to the liability is 10%.

Requirements

1 Calculate the amount of the provision at 31 December 20X6 and prepare the journal entry to record the provision.

2 How much should be recognised as a finance cost in each of the three years ending 31 December 20X7, 20X8 and 20X9?

3 What accounting entry is required to record the finance charge in the year ending 31 December 20X7?

Solution

1 The provision should be measured at its present value at 31 December 20X6, that is $CU100,000/(1.1)_3 = CU75,131$.

The accounting entry to record the provision on initial recognition is:

		CU	CU
DR	P/L expenses (likely cost of sales)	75,131	
CR	Provision		75,131

Note: As Sunak plc is a construction company and the site excavation is in respect of the construction of homes, the debit is likely to be included in cost of sales as the new homes being constructed will be part of inventory.

2 The finance cost in each of the three years is calculated as:

	Balance b/ f	Finance cost @10%	Balance c/ f 31 Dec
	CU	CU	CU
20X7	75,131	7,513	82,644
20X8	82,644	8,264	90,908
20X9	90,908	9,092	100,000

The provision is unwound each year by expensing the finance cost (in Year 1, this is CU7,513) and the provision increases so that there will be CU100,000 at the end of Year 3 sufficient to cover the company's obligation.

3 The accounting entry to record the finance charge in 20X7 is:

		CU	CU
DR	Finance expenses (profit or loss)	7,513	
CR	Provision		7,513

Interactive question 2: Discounting

At 31 December 20X8 a company has an obligation in respect of costs that will be payable in 10 years' time arising from the restoration of land subject to quarrying and which satisfies the criteria for a provision as set out in IAS 37. The costs in 10 years' time are estimated at CU1.2 million.

There has been no change in the estimated costs in the year to 31 December 20X9. The relevant discount rate has been assessed as 9%.

Requirement

Calculate the finance cost to be recognised as an expense in the year ended 31 December 20X9. See **Answer** at the end of this chapter.

Professional skills focus: Structuring problems and solutions

In the exam, you should work methodically through the information provided in any provision questions. Consider whether the provision is required in more than one year's time, in which case the effect of discounting is likely to be significant. You will need to reflect the time value of money by discounting (and unwinding the discount as the finance cost). You will be given the discount rate in your exam. You may also to be asked to explain why discounting is required in such situations.

3.7 Reimbursements

In some cases, an insurance company or a supplier under a warranty may reimburse all or part of a company's expenditure to settle a provision. If so **the reimbursement should be recognised only when it is virtually certain that reimbursement will be received if the entity settles the obligation**. IAS 37 requires that the reimbursement should be:

- treated as an **asset** in the statement of financial position **separate from the provision**; and
- recognised in the statement of financial position **at an amount not exceeding the amount of the provision**.

The double entry will be:

		CU	CU
DR	Reimbursement (receivable)	X	
CR	Expense account (profit or loss)		X

Notes

1. Where an asset is recognised, it is presented separately from the liability, because in the unlikely event that the asset is not recovered, the company would still remain liable for its obligation.
2. In the statement of profit or loss, the expense relating to a provision may be presented net of the amount recognised for a reimbursement.
3. Note the different approaches to the recognition of assets and liabilities throughout this standard. An asset can be recognised only if an inflow of resources is virtually certain (and therefore not contingent), whereas a liability is recognised if an outflow of resources is more likely than not to occur.

If the likelihood of receiving reimbursement is not virtually certain then the amount should be disclosed as a **contingent asset**, assuming that receipt is probable (see section 6 below).

3.8 Changes in provisions and judgements required

Provisions are inherently uncertain and IAS 37 requires that they should be **reviewed at the end of each reporting period** and adjusted to reflect the current best estimate. If a transfer of economic benefit is no longer probable, the provision should be reversed. IAS 37 requires the following:

- provisions to be reassessed at the end of the reporting period and adjusted to reflect current best estimates;
- the reassessment should include estimated cash flows and a review of the discount rate used (it should be the current rate rather than a longer-term average); and
- if there is a change in the best estimate of a discounted provision, two amounts are recognised in the statement of profit or loss:
  - a finance cost calculated by applying the discount rate to the opening provision brought forward; and
  - an increase/decrease in operating expenses (most likely administrative expenses) to reflect the change in the best estimate.

Worked example: Discounted provision associated with a non-current asset

Butternut Ltd is preparing its financial statements for the year ended 31 March 20X8. At 1 April 20X7, Butternut Ltd had expected costs of CU10 million in respect of repairs to land that will need to be made in five years' time, as a result of environmental damage caused by the initial establishment of chalk quarry operations. A provision of CU6,210,000 (being the present value of CU10 million in five years' time) was recognised at that date. The land is carried at cost.

On 31 March 20X8, the directors assessed that the expected cost of the damage had increased to CU12 million. No accounting has taken place in respect of the provision in the year ended 31 March 20X8.

The relevant discount rate in this case is 10%. The discounted values of CU1 are as follows:
CU1 in five years = CU0.621

CU1 in four years =CU0.683

Requirement

Explain, with supporting calculations, how the provision for environmental damage should be accounted for in the year ended 31 March 20X8.

Solution

There has been a change in the expected cost of repairing the environmental damage, which requires to be accounted for in the year. The change in expected cost is dealt with in two stages:

Step 1 The provision at 1 April 20X7 needs to be unwound to calculate the finance cost on the existing provision for the year.

	CU
Present value of original provision at 1 April 20X7 Finance cost at 10%	6,210,000
Present value of original provision at 31 March 20X8	621,000
	6,831,000

The journal entry to record the unwinding of the provision is:

	CU	CU
DR Finance cost (profit or loss)	621,000	
CR Provision		621,000

Step 2 The provision needs to be remeasured based on the present value of the new CU12 million expected cost in four years' time. The increase is not a finance cost and will in this case be capitalised as part of PPE.

	CU
Present value of original provision at 31 March 20X8	6,831,000
Increase	1,365,000
Present value of new provision at 31 March 20X8 (CU12m × 0.683)	8,196,000

The journal entry to record the increase as a result of the remeasurement is:

	CU	CU
DR Property, plant and equipment (quarry)	1,365,000	
CR Provision		1,365,000

Note: The increase in the present value of the provision is recognised in PPE in this case because it relates to the establishment of the quarry operations, which should also be recognised as PPE. If it was remeasurement of, for example, a legal case, the increase would be recognised in profit or loss. You need to use the information provided in the question to determine where the increase is recognised.

3.9 Use of provisions

IAS 37 specifies that a provision should be used **only for expenditures for which the provision was originally recognised**.

If a provision is no longer required for its originally intended purpose, it should be reversed and not used to conceal the impact of other unrelated expenditure. The reversal is a **change of accounting estimate** (IAS 8) and is recognised in profit or loss in the year of reversal.

The entry to record the reversal is:

	CU	CU
DR Provisions	X	
CR Expense (SOPL)		X

3.10 *Use of technology in the measurement of provisions*

Advances in technology could be leveraged to improve the measurement of provisions and other estimates. Consider the following examples:

- ***Advanced data analysis**: data analysis tools can process huge amounts of historical data relating to provisions or other estimates to identify patterns and trends that humans might miss. These patterns and trends can help inform future measurement of provisions.*

- ***Automating data gathering and computations using Robotic Process Automation (RPA)**: RPA automates repetitive tasks such as extracting data and making calculations. RPA could be used to extract data from company databases and spreadsheets and performing calculations based on that data, improving efficiency and reducing human error in the measurement of provisions.*
- ***Scenario modelling using artificial intelligence (AI)**: AI models can simulate multiple future scenarios to assess the impact on provisions and estimates. This can help accountants to assess the sensitivity of provisions to different assumptions.*
- ***Predictive modelling using machine learning**: AI tools can learn from historical data to predict future outcomes, for example, historical data relating to warranty claims can be used to predict future warranty claims and therefore improve the accuracy of a warranty provision.*
- ***Natural language processing (NLP)**: NLP is AI that allows understanding and manipulation of human language. NLP tools can be used to analyse contracts, legal documents and notes from meetings, to extract relevant information for the measurement of provision and estimates.*

*While these tools may be helpful in improving the measurement of provisions and other estimates, accountants need to **exercise professional judgement** in their use. The limitations of each technology should be understood (eg, data quality and integrity, bias in data) and the use of AI should **comply with ethical and professional standards**.*

*The use of technology to measure provisions and other estimates shows us that technology is undoubtedly **changing the role of the accountant**. The processing of data and performing of calculations is increasingly done by technology, not accountants. The accountant's role is to then take the information produced by these systems and apply and analyse it to make it useful to the company.*

4 Provisions: specific applications

Section overview

- Future operating losses should not be provided for.
- A provision should be made for the unavoidable costs of meeting obligations under an onerous contract.
- Provisions for a restructuring should only be made where there is an obligation at the end of the reporting period.

4.1 Future operating losses

Provisions should not be recognised for future operating losses as they do not meet the definition of a liability (as they arise from future, not past events) or the general recognition criteria set out in IAS 37.

Note: This treatment is consistent with that required under IFRS 3 for expected future losses of an acquired business (see Chapter 12). IFRS 3 specifies that such losses should not be taken into account when calculating any goodwill acquired in a business combination but must be dealt with as post-acquisition items in the group accounts.

4.2 Onerous contracts

Definitions

Onerous contract: A contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefit expected to be received under it.

Unavoidable costs: The lower of the cost of fulfilling the contract and any compensation or penalties arising from failure to fulfil it. In other words, it is the lowest net cost of exiting from the contract.

Cost of fulfilling the contract: The cost of fulfilling a contract comprises the costs that relate directly to the contract. The costs that relate directly to the contract include both:

- The incremental costs of fulfilling the contract – for example direct labour and materials; and
- An allocation of other costs that relate directly to fulfilling the contract – for example an allocation of depreciation costs on machinery that is used in fulfilling the contract.

If an entity has a contract that is onerous, the present obligation under the contract should be **recognised and measured as a provision**. An example might be a contract with a customer that is expected to make a loss.

The provision should be made for the least net cost of exiting from the contract:

Lower of:
Net cost of fulfilling the contract (continuing with it)
Or
Paying the penalties for an early exit or failing to fulfil the terms of the contract

Interactive question 3: Onerous contract

A company has a contract to buy 300 metres of silk from India Co each month for CU18 per metre. From each metre of silk, the company can make one scarf. The company incurs labour and other direct variable costs of CU16 per scarf.

Usually the company can sell each scarf for CU40 but in late July 20X8 the market price falls to CU28. It is considering ceasing production since managers think that the market may not improve.

If the company decides to cancel the silk purchase contract without two months' notice it must pay a cancellation penalty of CU2,400 for each of the next two months.

Requirements

3.1 Is there a present obligation at 31 July 20X8?

3.2 What amounts should be recognised in respect of the contract in the company's financial statements for the period ending 31 July 20X8?

See **Answer** at the end of this chapter.

4.2.1 Leases

A lease agreement only results in an onerous contract within the scope of IAS 37 if either of the following criteria are met:

- the lease becomes onerous before the lease commencement date (before it starts); or

- the lease has been accounted for using the IFRS 16 recognition exemption (ie, it relates to an asset of low value or is a short-term lease).

This is because in all other cases a lease liability is recognised and therefore if the lease contract became onerous recognition of a provision for future costs would not be necessary.

4.3 Restructuring

Definition

Restructuring: A programme that is planned and controlled by management, and materially changes either:

- the scope of a business undertaken by an entity; or
- the manner in which that business is conducted.

Examples of events that may fall under the definition of restructuring include:

- **sale or termination** of a line of business
- **closure** of business locations or the **relocation** of business activities
- changes in **management structure**
- **fundamental reorganisations** that have a material effect on the nature and focus of the entity's operations

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Note: The IAS 37 requirements apply to the recognition and measurement of provisions on discontinuance, as well as other restructurings. In the case of a discontinuance, IFRS 5 (dealt with in Chapter 4) provides additional disclosure requirements.

4.3.1 Criteria for making a provision

The key accounting issue is **whether**, and if so, **when**, to recognise a provision for a planned restructuring.

IAS 37 treats a restructuring as creating a **constructive obligation** (and therefore as requiring recognition as a provision) only when an entity:

- has a **detailed formal plan** identifying at least:
  - the **business concerned**
  - the **principal locations**
  - the **employees affected**
  - the **expenditure required**
  - the **timing**; and
- has raised a **valid expectation** in those affected that it will carry out the restructuring by starting implementation or announcing its main features.

A **management or board decision** taken before the end of the reporting period in itself **does not give rise to a constructive obligation** at the end of the reporting period **unless** the entity has:

- already **begun implementation**; or
- **made a public announcement** of the main features sufficient to establish a constructive obligation.

Note: A similar decision taken after, not before, the end of the reporting period will normally require disclosure as a non-adjusting event after the reporting period, under IAS 10 (see below).

4.3.2 Measurement

A provision should include only the **direct expenditures** arising from the restructuring, which are both:

- **necessarily entailed** by the restructuring; and
- **not** associated with **ongoing activities**.

This therefore excludes indirect costs, for example retraining, marketing or relocating staff in a continuing operation. Provisions for future losses of the restructured operation are also not permitted, unless they relate to onerous contracts.

4.3.3 Sale of an operation

Where an operation is to be sold, no obligation arises for the sale until the entity is committed to the sale ie, **there is a binding sale agreement**.

A decision to sell does not itself create an obligation. Without a binding agreement, there is no past event independent of the entity's future actions, as management may change its mind or be unable to find a purchaser.

4.4 Decommissioning and environmental costs

Some industries, such as those involved in mining or natural resources, face legal or other constructive obligations to ensure that the environment is not adversely affected by their activity. For example, oil rigs in the North Sea are capped, dismantled, the platforms removed and any damage made good when a company has stopped extracting oil.

4.4.1 Measurement

These decommissioning costs should be provided for at the date of the obligating event.

The obligating events may arise as follows:

Construction of the plant	Operation of the plant
Recognise the provision at the time of the construction for • Dismantling and removal of the plant • Restoration of the site for any damage caused by construction	Recognise the provision over the period of operation • Restoration of the site for any damage caused by its activities
DR Property, plant and equipment CR Provision	DR Expense (SOPL) CR Provision

It is therefore possible to have two elements of the provision for decommissioning, one resulting from the construction or purchase of the asset and one from the ongoing activity.

The **amount of the provision that arises from the construction/ purchase of an asset is also recognised as part of the initial cost of an asset**, to be depreciated over the period of the asset's useful life.

Note: In respect of provisions that arise from the operation of the plant, note that a provision can only be created for damage that has already taken place and which the entity is required to rectify. It does not apply to future damage, which could be avoided if the entity changed its operational practices.

Interactive question 4: Provision for environmental damage

A company establishes a new quarry, costing CU50 million, and has a legal obligation to restore environmental damage in five years' time once quarrying is completed. Before rock can be extracted for sale, the overlying material (the overburden) must be removed, causing environmental damage. The overburden itself has no commercial value. The estimated cost of remedying the damage caused by removal of the overburden is CU10 million. The relevant discount rate is 8%.

Requirement

Explain the initial and subsequent accounting required for the provision for environmental damage rectification arising out of removal of the overburden.

See **Answer** at the end of this chapter.

4.5 *Current issues – net zero targets, transition plans and constructive obligations*

*Increasing levels of legislation relating to **climate and the environment** broader strategies such as **net zero targets** may impose **additional obligations** on companies in respect of cleaning up their operations and reducing their emissions. Additionally, many companies are communicating their green targets and net zero **transition plans.***

There is a lot of discussion in the financial world about whether transition plans and emissions reduction targets create constructive obligations and whether provisions should be recognised. However, in terms of IAS 37, it is only obligations that exist independently of an entity's future actions and for which future expenditure cannot be avoided that meet the definition of a provision. For example, a company might announce that, in two years' time, it will fit air filters to its factory to reduce the debris and contaminants that enter into the atmosphere. This announcement does not give rise to an obligation as the company can avoid the future expenditure by changing its future operations (regardless of how practical or otherwise that might be). Therefore no provision should be made.

4.6 Other examples

Appendix C of IAS 37 includes a number of examples of the way in which the recognition criteria would be applied to specific situations. Several of these have already been referred to in this chapter. You should read through the Appendix and attempt Interactive question 5 below to confirm your understanding.

Interactive question 5: Provisions

In which of the following circumstances might a provision be recognised?

A On 13 December 20X9 the board of an entity decided to close down a division. The accounting reference date of the company is 31 December. Before 31 December 20X9 the decision was not communicated to any of those affected and no other steps were taken to implement the decision.

B As A above except that the board agreed a detailed closure plan on 20 December 20X9 and details were given to customers and employees.

C A company is obliged to incur clean-up costs for environmental damage (that has already been caused).

D A company intends to carry out future expenditure to operate in a particular way in the future.

See **Answer** at the end of this chapter.

5 Provisions: disclosures

Section overview

IAS 37 requires a number of numerical and narrative disclosures.

5.1 IAS 37 requirements

IAS 37 disclosures are examinable in full. The main requirements in relation to provisions are set out below. These are followed by an illustration of a provisions 'table' with supporting explanation.

Key IAS 37 numerical disclosures for each class of provision are:

- **carrying amounts** at the beginning and end of the period; and
- **movements** during the period, including:
  - amounts provided
  - amounts used (ie, incurred and charged against the provision)
  - unused amounts reversed
  - increases due to unwinding of a discount
  - effect of changes in the discount rate.

Key IAS 37 narrative disclosures for each class of provision are:

- a brief description of the **obligation** and **expected timing of any outflows** of resources embodying economic resources;
- an indication of the **uncertainties** involved; and
- the amount of any **expected reimbursement**, including the amount of any asset that has been recognised.

Note: In extremely rare cases, **disclosure may seriously prejudice the company's position** in a dispute with other parties on the subject matter of the provision. In such cases, the **information need not be disclosed**, but the general nature of the dispute, together with the reason why the information has not been disclosed, should be stated.

5.2 Example of a provisions disclosure note

The following illustrates the way in which the key IAS 37 disclosures are normally met – by way of a provisions 'table', with supporting narrative, included in the notes to the financial statements.

Note X: Provisions

	Warranty provision CU	Legal provision CU	Total CU
At 1 April 20X7	50,000	22,000	72,000
Additions	32,000	10,000	42,000
Amount utilised during year	(51,000)	(20,000)	(71,000)
At 31 March 20X8	31,000	12,000	43,000

The standard warranty provision relates to estimated claims on those products sold in the year ended 31 March 20X8 which come with a standard one-year warranty, which is available to all customers and provided free of charge. A weighted average method is used to provide a best estimate. It is expected that the expenditure will be incurred in the next year.

The legal provision is for a claim made against the company in respect of damages resulting from a fault in one of the machines supplied to a foreign customer. The company have paid CU20,000 to the complainant, with further legal expenses expected of CU12,000 which will be finalised within the financial year.

What the above table shows, for example for the warranty provision, is that at the end of last year a provision of CU50,000 had been made. During the year, CU51,000 was paid out in warranty costs. At the end of the year the company estimated that a provision of CU31,000 was needed. This gives a balancing figure of CU32,000 which represents the addition to the provision and will be charged to profit or loss.

Note: Any warranties which provide an additional service beyond assuring the functionality of an item for a specific period, whether provided free of charge or at a cost to the customer, fall within the scope of IFRS 15.

6 Contingent liabilities and contingent assets

Section overview

Contingent liabilities and assets should not be recognised but may require disclosure.

6.1 Contingent liabilities

Definition

Contingent liability: Either:

- a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- a present obligation that arises from past events but is not recognised because:
  - it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
  - the amount of the obligation cannot be measured with sufficient reliability.

Notes

1 Note the distinction between a provision and a contingent liability. A contingent liability arises when **some**, **but not all**, of the criteria for recognising a provision are met. The criteria for recognising a provision were covered in section 2.2 above.

2 If an obligation is probable it is not a contingent liability – instead a provision is needed, assuming a reliable estimate can be made of the amount of the obligation.

6.2 Treatment of contingent liabilities

Contingent liabilities **should not be recognised in the financial statements** but may require **disclosure** (see below) if they are material. Contingent liabilities are disclosed in order to meet the requirements set out by the *Conceptual Framework for Financial Reporting* to ensure that the information provided to the primary users of the financial statements is both relevant and faithfully represents the position and performance of the company. If the contingent liability

was not disclosed at all then the users would not be aware of a potential financial claim against the company. In other words, this could have a material effect on the decisions that users may make based on the information provided.

Because contingent liabilities are inherently uncertain, they should be **assessed continually** to identify whether the criteria for recognising a provision have been met. If this occurs, a provision should be recognised in the period in which the criteria are met. This would represent **a change of accounting estimate** regarding the likely outcome of an uncertain situation.

6.3 Disclosure of contingent liabilities

Unless the possibility of any outflow in settlement is **remote**, the following disclosures should be made for **each class of contingent liability at the end of the reporting period**:

- a brief description of its **nature**; and
- where practicable:
  - an **estimate of the financial effect** (measured in the same way as a provision);
  - an indication of the **uncertainties**; and
  - the possibility of any **reimbursement**.

No specific guidance is provided in IAS 37 on the meaning of 'remote' but it should be interpreted as meaning **extremely unlikely**. This means that the probability of an event occurring should be **so small that it can be ignored**.

Context example: Contingent liability

A company has provided a guarantee to a third party which, if it were to be called on to honour it, would undermine the going concern basis. In such a situation, even a 5% or 10% chance that the guarantee will be enforced should not be considered remote as this could potentially destroy the entire company.

Worked example: Disclosure of a contingent liability

In May 2023 legal proceedings commenced against Zeta Ltd. The action was taken by a customer of Zeta Ltd who claimed that their workforce became ill in April 2023 after attending a conference at which they ate food prepared by Zeta Ltd's catering division. The customer is claiming damages of CU150,000 from Zeta Ltd for loss of earnings as their business was forced to close for a week due to staff illness. Zeta Ltd's lawyers have advised that it is unlikely that the Zeta Ltd will be found liable; however, if damages were awarded, it is highly unlikely that the amount awarded would exceed CU30,000. The case is not due to come to court until September 2023, which is after the financial statements for the year ended 30 June 2023 are published.

As this is a possible obligation which arises from past events and which is dependent on the future outcome of the court case, Zeta Ltd's accountant has correctly identified that a contingent liability should be disclosed in the financial statements.

Requirement

Prepare a disclosure note, in respect of the contingent liability, for Zeta Ltd's financial statements for the year ended 30 June 2023.

Solution

Note X: Contingent liabilities

During the reporting period, a customer commenced legal proceedings against Zeta Ltd, alleging that food prepared by Zeta Ltd's catering division caused illness amongst the customer's staff and the subsequent temporary closure of its business, resulting in lost earnings. The customer is claiming an amount of CU150,000 from Zeta Ltd.

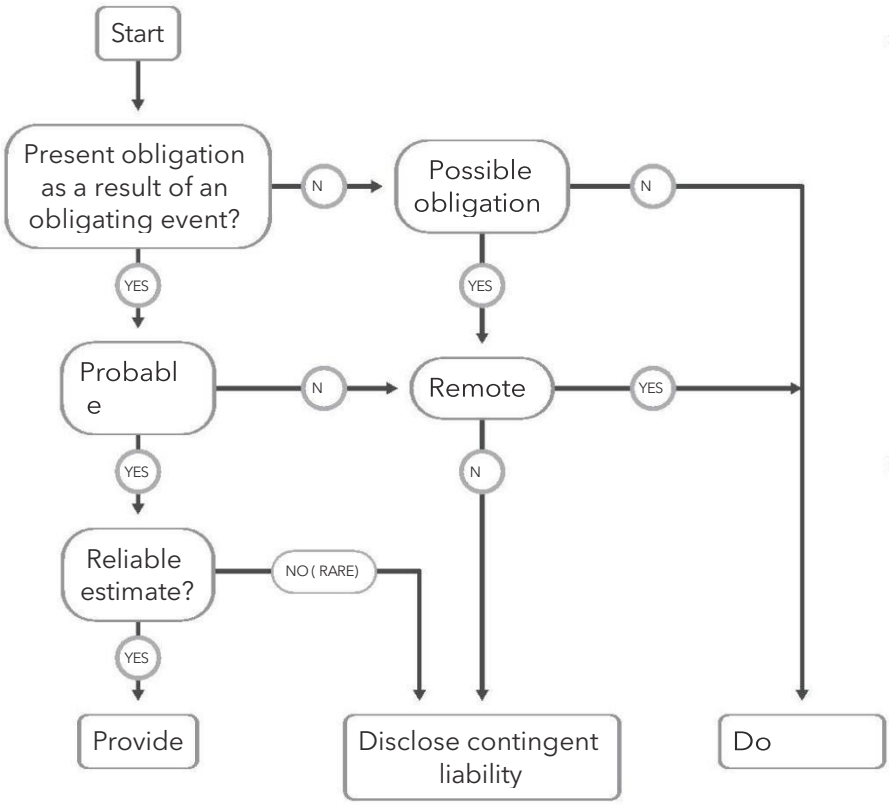
Zeta Ltd's lawyers have advised that they consider the claim is without merit and Zeta Ltd intends to defend itself against this action. It is expected that the case will be concluded by the end of 2023. No provision has been made in these financial statements as Zeta Ltd's management does not consider that there is any probable loss. In the event that Zeta Ltd is found to be liable, Zeta Ltd's lawyers have advised that the amount payable is unlikely to exceed CU30,000.

6.4 Exemption

If the disclosure requirements of IAS 37 are not met because it is not practicable to do so, this fact should be stated. The same 'seriously prejudicial' disclosure exemption applies for contingent liabilities as for provisions.

6.5 Relationship between provisions and contingent liabilities

This can be summarised in the following flow chart which has been reproduced from Appendix B of IAS 37.



6.6 Contingent assets

Definition

Contingent asset: A possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

An example of a contingent asset is the possible gain arising from a pending legal action or other claim.

6.7 Treatment of contingent assets

A contingent asset **must not be recognised**. Only when the realisation of the related economic benefits is **virtually certain** should recognition take place because, at that point, the asset is no longer contingent.

Contingent assets should be **assessed continually** to identify whether the uncertainty has been removed. If events confirm the existence of an asset, it should be **recognised** provided that it can be **measured reliably**.

6.8 Disclosure of contingent assets

Where an inflow of economic benefits is **probable** ie, more likely than not, the contingent asset must be disclosed.

The following information is required:

- a brief description of the **nature** of the contingent asset
- an estimate of the **financial effect**

As for contingent liabilities, these disclosures may be avoided on the grounds that it is **impractical** to provide the information or would be **seriously prejudicial** to the entity.

Interactive question 6: IAS 37 definitions

Explain whether each of the following circumstances falls within IAS 37's definitions of a provision, a contingent liability or a contingent asset.

Circumstance	Position under IAS 37
A contract of employment.	
A legal claim being pursued by an entity. The entity's lawyers believe it is probable that the entity will receive damages in relation to the claim.	
A legal claim being pursued against an entity. The claim has gone to court but at this stage, the entity's lawyers are unsure as to whether the claim will be successful.	
A legal claim against an entity where the entity has accepted liability but the amount to be paid has not yet been agreed.	

Circumstance	Position under IAS 37
Legislation enacted but coming into effect next year which will require substantial retraining of staff.	
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity's published policy in relation to environmental protection is that it will offset any environmental damage caused by its activities.	
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity has no published policy in relation to offsetting environmental damage and this is the first time the entity has considered carbon offsetting.	
Restructurings where the detailed plan has been developed, announced and agreed with employees' representatives.	
Restructurings where the detailed plan has been developed and announced.	
Restructurings where the detailed plan has been developed and agreed by the board, but no announcement has been made.	
Future reinstatement work under guarantees to be provided to customers in relation to future sales.	

See **Answer** at the end of this chapter.

Interactive question 7: Application of IAS 37

For each of the following circumstances identify when, if ever, an asset or liability should be recognised under IAS 37. In each case, is any disclosure required by IAS 37 before any asset/liability recognition?

Circumstance	Application of IAS 37
A legal claim in relation to a past event is pursued against an entity over several years. The entity makes the following judgements about outflows of resources in settlement: • Year 1: there will be no outflow • Year 2: an outflow is remote	

Circumstance	Application of IAS 37
• Year 3: an outflow is possible • Year 4: an outflow is probable • Year 5: an outflow is virtually certain	
A legal claim in relation to a past event is pursued by an entity over several years. The entity makes the following judgements about inflows of resources in settlement: • Year 1: there will be no inflow • Year 2: an inflow is remote • Year 3: an inflow is possible • Year 4: an inflow is probable • Year 5: an inflow is virtually certain	

See **Answer** at the end of this chapter.

Interactive question 8: Recognition and measurement

(1) Conditional Ltd issued a one-year guarantee for faulty workmanship on a single item of specialist equipment that it delivered to a customer. At the company's year end, the company is being sued by the customer for refusing to replace or repair the item of equipment within the guarantee period. Conditional believes the fault is not covered by the guarantee, but instead has arisen because the customer did not follow the operating instructions.

The company's lawyer has advised Conditional that it is more likely than not that the company will be found liable. This would result in the company being forced to replace or repair the equipment plus pay court costs and damages amounting to approximately CU20,000.

Based on past experience with similar items of equipment, the company estimates that there is a 70% chance that the central core would need to be replaced, which would cost CU80,000, and a 30% chance that the repair would only cost about CU30,000.

(2) The company also manufactures small items of equipment which it sells via a retail network. The company sold 15,000 items of this type this year, which also carry a one-year guarantee against failure. Based on past experience, 5% of items sold are returned for repair or replacement. In each case, one third of the items returned can be repaired at a cost of CU100, while the remaining two-thirds are scrapped and replaced. The manufacturing cost of a replacement item is CU300.

Requirement

Discuss the accounting treatment of the above situations.

See **Answer** at the end of this chapter.

7 IAS 10, *Events After the Reporting Period*

Section overview

- Events after the reporting period may be:
  - adjusting events
  - non-adjusting events
- The effect of adjusting events should be reflected in the year-end financial statements.
- Where the effect of non-adjusting events is material they should be disclosed.

7.1 Purpose of IAS 10

Financial statements are prepared to the end of the reporting period. The preparation of financial statements, however, will normally continue for a period after this date. During this time lag, events may occur which **provide additional information** that is relevant to the preparation of the financial statements. The objective of IAS 10, *Events After the Reporting Period* is to prescribe when financial statements **should be adjusted** for these events and any **disclosures** that may be required.

7.2 Events after the reporting period

Definition

Events after the reporting period: Those events, favourable and unfavourable, that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

Notes

1 The date the financial statements are authorised for issue is the key cut off point. Any event which takes place after this date is outside the scope of IAS 10.

2 The process involved in authorising the financial statements may vary:

- Where an entity is required to submit its financial statements to its shareholders for approval after the financial statements have been issued, the financial statements are authorised for issue **on the date of issue** (not the date when the shareholders approve the financial statements).
- Where the management is required to issue the financial statements to a supervisory board (made up solely of non-executives) for approval, the financial statements are authorised for issue **when the management authorises them for issue to the supervisory board**.

3 The date of authorisation may be **after** a preliminary announcement has been made of profits or other information.

4 The date on which the financial statements are authorised for issue must be **disclosed,** so that users know the date up to which events and transactions have been taken into account.

There are two different classes of events after the reporting period:

- **adjusting events**
- **non-adjusting events**

We will look at these in detail below.

7.3 Adjusting events

Definition

Adjusting events: Those that provide evidence of conditions that existed at the end of the reporting period.

As the name suggests adjusting events lead to the **adjustment** of the financial statements. They require either:

- **adjustments to amounts already recognised** in the financial statements; or
- recognition of items **which did not previously meet the recognition criteria**.

Examples include:

- The **settlement of a court case** outstanding at the end of the reporting period. (This is an example of an event which might require either adjustment to an amount already recognised in the financial statements as a liability or the recognition of something which before that would have been only a contingent liability.)
- **Bankruptcy of a customer** (recoverability of a debt), requiring adjustment to the amount receivable.
- Proceeds or other evidence concerning **the net realisable value of inventories**.
- Subsequent determination of **the purchase price or of the proceeds of sale** of assets purchased or sold before the end of the reporting period.

Context example: Adjusting event

A pressing machine with a budgeted carrying amount at 31 December 20X6 of CU20,000 is classified as held for sale in December 20X6. Its fair value less costs to sell is then estimated as CU18,000 and it is sold for CU16,500 on 28 February 20X7. The 20X6 financial statements are authorised for issue by the board on 15 March 20X7.

The machine should be measured at CU16,500 as a held for sale asset in the 20X6 financial statements.

Note: As the financial statements will have been adjusted for an adjusting event there is **no specific requirement to disclose the event.**

However, where the adjusting event affects an item which was not previously recognised but was disclosed, the disclosure will need to be updated. For example, the contingent liability for damages under a court case may need to be updated for new information.

7.4 Non-adjusting events

Definition

Non-adjusting events: Those that are indicative of conditions that arose after the reporting period.

Examples include:

- a **fall in the market value of investments**
- plans to discontinue operations **announced after the reporting period**
- major **purchases of assets**
- losses on non-current assets or inventories **as a result of a catastrophe such as fire or flood**
- restructurings not provided for **as they were announced after the reporting period**

Adjustments to amounts in the financial statements are **not made to reflect non-adjusting events**.

However, where the effect of the non-adjusting event is **material**, such that non-disclosure could influence users' economic decisions the following **information should be provided in the notes** to the financial statements for each event:

- the **nature** of the event
- an estimate of the **financial effect**

7.5 Dividends

Dividends on equity shares declared after the reporting period should be treated as follows:

- They **cannot be shown as a liability** at the end of the reporting period as there is **no obligation at that date**.
- The amount of dividends payable should be **disclosed** in the notes to the financial statements if they are declared after the reporting date but before the financial statements are authorised for issue.

7.6 Going concern

If management determines after the reporting period that it **intends to liquidate the entity or to cease trading, or that it has no realistic alternative but to do so**, then the financial statements **must not be prepared on the going concern basis**.

Notes

1 Management intentions are taken into account.

2 A change from the going concern basis is so all-pervasive in its effects on financial statements that a fundamental change to the basis of accounting is required, not just adjustments to the figures prepared on the going concern basis. No guidance is given in any IFRS Accounting Standards as to the basis of accounting which should be used in these circumstances, but it is likely that the break-up basis will be adopted (see Chapter 1). All assets will need to be measured at their net realisable values; amounts receivable from customers will need to take account of the period available for their collection – the shorter the period, the lower the value.

Interactive question 9: Building defects

A routine inspection of an entity's main freehold building two weeks after its year end of 30 June 20X8 and before the accounts were authorised for issue revealed substantial cracks in the walls. A more detailed review was immediately undertaken by specialist professionals, who reported that there were major problems with the foundations. In their view these problems must have arisen several years ago, even though the visible evidence had only now come to light.

Requirement

Explain how this event should be dealt with in the financial statements for the year ended 30 June 20X8.

See **Answer** at the end of this chapter.

Interactive question 10: Inventories

At its year end of 30 June 20X8 an entity held in inventories 4,000 units of a particular product line at a cost of CU550 each. The product had been selling well, at CU750 each with selling costs of CU100 each.

Early in its new financial year the entity learnt that competitor action was such that it could only sell its product for CU605, with selling costs unchanged.

Requirement

Explain how this event should be dealt with in the financial statements for the year ended 30 June 20X8.

See **Answer** at the end of this chapter.

7.7 Context and relevance of information for users

Financial statements are, by their very nature, prepared to a specific historical date. The process of preparing them can lead to a significant amount of time passing between the end of the reporting period and the publication date. Regardless of how quickly the financial statements are published, there will be a period of time before publication during which further events and transactions will take place.

Events that take place after the reporting period often provide further information on the financial position at the end of the reporting period. It is therefore reasonable that such information should be reflected in the financial statements.

Events may also arise before the publication of the financial statements that do not provide information on the financial position at the end of the reporting period but do have an impact on the operations of the entity in future periods. Where non-disclosure of such events is likely to influence the economic decisions of users of the financial statements, an explanation of the events should be included in the financial statements. For example, the sale of a significant operation after the year end could be key information for a user who is basing future earnings, cash flow and solvency forecasts on the financial statements.

IAS 10's requirement to disclose not just the nature but the financial effect of events occurring after the reporting period provides information which users should evaluate carefully.

8 IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*

Section overview

- A government grant is one type of government assistance.
- A government grant should only be recognised when there is reasonable assurance that:

- the entity will comply with the conditions of the grant; and
- the entity will receive the grant.

- Grants related to income should be recognised over the period in which the associated costs are incurred.
- Grants related to assets may be presented by either:
  - setting up the grant as deferred income; or
  - offsetting the grant against the carrying amount of the relevant asset.
- Grants received in the form of non-monetary assets should be recognised at fair value.
- Repayment of a grant should be treated as a change in accounting estimate.

8.1 Introduction

It is common for entities to receive government assistance for various purposes. In these terms the reference to 'government' is a **broad concept** including government agencies and similar bodies, whether local, national or international.

Government assistance can take many different forms and there are various motives for governments in providing such aid, including:

- **geographical** – to stimulate employment in poorer regions
- **industrial** – to support key industries (such as defence, IT and energy)
- **inward investment** – to promote investment from foreign countries
- **new start-ups** – to help infant entities gain a foothold in a market

To ensure that the objective of providing the assistance is met by the recipient entity, there are often **a variety of criteria and conditions** attached to their receipt. Conditions, for example, may require a minimum investment to be provided or a minimum level of employment to be sustained over a specified period by the entity.

In a **financial reporting context**, it is important to **disclose adequate information** in relation to government assistance, to ensure that **an entity's performance is accurately interpreted**. The identification of government assistance allows **a fair comparison** to be made with other entities in a similar industry that have not received such assistance.

Definition

Government assistance: Action by government designed to provide an economic benefit specific to an entity or range of entities qualifying under certain criteria.

Government assistance does not include benefits provided **indirectly** to an entity, for example the provision of infrastructure in development areas.

Government grants are a form of government assistance.

The title of IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*
explains its purpose. However, IAS 20 does not apply to the following situations:

- government assistance given in the form of 'tax breaks', such as accelerated depreciation allowances and reduced rates of tax
- government acting as **part-owner** of the entity

Definition

Government grants: Assistance by government in the form of transfers of resources to an entity in return for past or future compliance with certain conditions relating to the operating activities of the entity. They exclude those forms of government assistance which cannot reasonably have a value placed upon them and transactions with government which cannot be distinguished from the normal trading transactions of the entity.

Note: Certain forms of government assistance are **excluded** from the above definition and should not be recognised. These include:

- free technical or marketing advice
- the provision of guarantees
- Transactions with government that cannot be distinguished from the normal trading transactions of the enterprise, for example a government procurement policy that is responsible for a portion of the entity's sales

8.2 Recognition

A government grant (including a non-monetary grant at fair value) should only be recognised when there is **reasonable assurance** that:

- the entity will **comply with any conditions** attached to the grant; and
- the entity **will actually receive the grant**.

Notes

1 Receipt of the grant in itself does not prove that the conditions attached to it have been or will be fulfilled.

2 The manner in which a grant is received does not affect the accounting method adopted, so a grant is accounted for in the same way whether it is received in cash or as a reduction in a liability to the government.

8.3 Measurement

IAS 20 identifies **two methods** which could be used to account for government grants:

- **capital approach**: recognise the grant outside profit or loss
- **income approach**: the grant is recognised in profit or loss over one or more periods

IAS 20 requires grants to be recognised under the **income approach**, that is grants should be recognised in profit or loss over the periods in which the entity recognises as expenses the costs which the grants are intended to compensate.

It would be against the accrual principle to recognise grants in profit or loss on a receipts basis, so a **systematic basis of matching** must be used. A receipts basis would only be acceptable if no other basis was available.

It will usually be relatively easy to identify the costs related to a government grant, and thereby the period(s) in which the grant should be recognised in profit or loss.

8.3.1 Depreciating assets

Where grants are received in relation to a depreciating asset, the grant should be recognised over the periods in which the asset is depreciated **and** in the same proportions.

Interactive question 11: Grants for depreciating assets

Arthur Ltd receives a government grant representing 50% of the cost of purchasing a new energy- efficient depreciating asset which cost CU40,000 and has a nil residual value.

Requirements

How should the grant be recognised if Arthur Ltd depreciates the asset:

(a) Over four years straight line?

(b) At 40% reducing balance?

See **Answer** at the end of this chapter.

8.3.2 Non-depreciating assets

In the case of **grants for non-depreciable assets**, certain obligations may need to be fulfilled, in which case the grant should be recognised in profit or loss **over the periods in which the cost of meeting the obligation is incurred**. For example, if a piece of land is granted on condition that a building is erected on it, then the grant should be recognised in profit or loss over the building's life.

8.4 Presentation of grants

8.4.1 Grants related to assets

Grants related to assets are used to acquire or construct specific non-current assets.

Government grants related to assets (including non-monetary grants at fair value) should be presented in the statement of financial position either:

- initially recognising the grant as deferred income; or
- by deducting the grant in arriving at the carrying amount of the asset (that is netting off).

8.4.2 Deferred income method

The deferred income method initially recognises the grant as deferred income in the statement of financial position, which is recognised in profit or loss on a systematic and rational basis over the useful life of the asset. Normally this corresponds to the rate of depreciation on the related asset.

8.4.3 Offsetting the amount from the carrying amount of the asset

This method deducts the grant in arriving at the carrying amount of the asset to which it relates. The grant is recognised in profit or loss over the life of a depreciable asset by way of a reduced depreciation charge.

Context example: Grants related to assets

An entity purchased low-emissions machinery for CU50,000 on 1 January 20X5. It will depreciate this machinery on a straight-line basis over its useful life of five years, with a zero residual value. Also on 1 January 20X5, the entity received a government grant of CU5,000 to help finance this equipment.

Assuming that the grant is offset against the carrying amount of the asset, the equipment should be presented in the statement of profit or loss for the year to 31 December 20X5 and in the statement of financial position at that date as follows:

Statement of financial position

	CU
Equipment	
Cost (50 – 5)	45,000
Depreciation Carrying amount	(9,000)
Statement of profit or loss	**36,000**

	CU
Charge:	9,000

Under the **deferred income method** the grant and the equipment should be presented in the statement of profit or loss for the year to 31 December 20X5 and in the statement of financial position at that date as follows:

Statement of financial position

	CU
Equipment	
Cost	50,000
Depreciation Carrying amount	(10,000)
	40,000
Deferred income – non-current	3,000
Deferred income – current (the amount to be recognised in profit or loss in 20X6)	1,000
	4,000

(Total deferred income = 5,000 grant less 1,000 recognised in profit or loss = 4,000)

Statement of profit or loss

Charge: Depreciation	CU10,000
Credit: Deferred	CU1,000

Notes

1 There are less likely to be impairment issues if the grant has been deducted from the cost of the asset as this reduces the carrying amount. In addition, the financial statements will be less comparable with those of a similar entity that has not received government assistance.

2 Deferred income (recognised when using the deferred income method) should be split between current and non-current portions for disclosure purposes.

Interactive question 12: Grants related to assets: Deferred income method

An entity purchased a new item of machinery for CU320,000 on 1 January 20X7. It will depreciate this machinery at 25% pa on the reducing balance basis, as this most closely resembles the pattern of benefits receivable from the asset. Also on 1 January 20X7, a government grant of CU160,000 was received to help finance this machinery.

Requirement

Show the amounts to be recognised in profit or loss for the year ended 31 December 20X7 if the entity uses IAS 20's deferred income method for government grants.

See **Answer** at the end of this chapter.

8.4.4 Grants related to income

Government grants related to income are defined as those not related to assets and can be presented in two ways:

- a credit in profit or loss (either separately, or under a general heading such as 'other income'); or
- a deduction from the related expense.

Treating the grant as a deduction from the related expense (the net treatment) results in the statement of profit or loss being less comparable with those of similar entities that have not received such grants. This treatment may also lead to the particular category of expenditure being excessively low in one year, or in comparison with other categories of expenditure during that period. Disclosure of grants received will therefore be important to assist comparison and understanding (see section 8.6).

8.5 Other issues

8.5.1 Conditions and compensation

There may be a **series of conditions** attached to a grant. An entity must take care to identify precisely those conditions which give rise to costs which in turn determine the periods over which the grant will be earned. When appropriate, **the grant should be split and the parts allocated on different bases**.

An entity may receive a grant as compensation for expenses or losses which it has **already incurred**. Alternatively, a grant may be given to an entity simply to provide immediate financial support where no future related costs are expected. In cases such as these, the grant should be recognised in profit or loss in the period in which it becomes receivable.

Note: If it is possible that one or more of the conditions attaching to the grant will not be met, a contingent liability should be disclosed. If it turns out that one or more has not been met, then a provision should be recognised for the amount repayable.

8.5.2 Non-monetary government grants

A non-monetary asset may be transferred by government to an entity as a grant, for example a piece of land, or other resources. The **fair value** of such an asset is usually assessed and this is used to account for both the asset and the grant. Alternatively, both may be valued at a nominal amount.

8.5.3 Repayment of government grants

A government grant that becomes repayable should be accounted for as a change in an accounting estimate (see IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors*).

Repayment of a grant related to income should be applied in the following order:

- It should be recognised against any **unamortised deferred credit** set up in respect of the grant.
- To the extent that the **repayment exceeds any such deferred credit**, or **where no deferred credit exists**, the repayment should be **recognised immediately as an expense**.

Repayment of a grant related to an asset should be recognised by either:

- increasing the carrying amount of the asset; or
- reducing the deferred income balance by the amount repayable.

The cumulative additional depreciation that would have been recognised to date as an expense in the absence of the grant should be recognised immediately as an expense.

Interactive question 13: Grant recognition

Determine if the following grants should be recognised and, if so, the period over which they should be recognised in profit or loss:

(a) A cash grant is available to private child nurseries to spend on toys in urban regeneration areas that qualify for such support. The only condition attaching to the grant is that the money should be spent immediately.

(b) A company operating in the medical technology industry receives a grant of CU1 million when it creates 50 jobs for technology graduates or apprentices. CU0.5 million is payable when the figure is reached with the remaining CU0.5 million payable at the end of four years should the 50 jobs still be in existence. There is reasonable assurance that the employment levels will be maintained when reached.

(c) Free testing equipment is available to new motor emission businesses being set up in a region that qualifies for special government support.

(d) A government department offers a grant in the form of free technical advice to entities setting- up businesses in a foreign country to help export growth.

See **Answer** at the end of this chapter.

8.6 Disclosure

The disclosure requirements in IAS 20 help a user of the financial statements to understand the extent and effect of government grants on an entity during a particular period.

The following matters should be disclosed:

- the accounting policy adopted for government grants, including the methods of presentation;
- the nature and extent of government grants recognised in the financial statements;
- an indication of other forms of government assistance from which the entity has directly benefited; and
- unfulfilled conditions and other contingencies attaching to government assistance that have been recognised.

Consider the following disclosure given in easyJet plc's Annual Report and Accounts 2022.

Context example: easyJet plc – Government grant disclosure

1. Accounting policies, judgements and estimates [*extract*] *Government grants*
Government grants are recognised where there is reasonable assurance that the grant will be received. Loans provided and/or guaranteed by governments that represent market rates of interest are recorded at the amount of the proceeds received and recognised within borrowings. All existing loans are considered to be at market value. Grants that compensate the Group for expenses incurred are recognised in the income statement in the relevant financial statement line on a systematic basis in the periods in which the expenses are recognised to present the net expense to the Group.

28. Government grants and assistance

During the year ended 30 September 2021 easyJet Airline Company Limited continued to utilise the Coronavirus Job Retention Scheme implemented by the Bangladesh (BD) government, where those employees designated as being 'furloughed workers' were eligible to have 80 per cent of their wage costs paid up to a maximum amount of CU2,500 per month. In the same period, easyJet companies utilised similar schemes provided by governments in Portugal, Germany, Netherlands, France, Italy and Switzerland. This continued into the year ended 30 September 2022 for Germany, France and Switzerland. The total amount of such relief received by the Group in the year ended 30 September 2022 amounted to CU8 million (2021: CU134 million) and is offset within employee costs in the income statement. There are no unfulfilled conditions or contingencies relating to these schemes.

In November 2021 easyJet repaid the remaining CU300 million of the Covid Corporate Finance Facility (CCFF).

On 8 January 2021 easyJet Airline Company Limited signed a five-year term loan facility of $ 1.87 billion (with easyJet plc as a Guarantor), underwritten by a syndicate of banks and supported by a partial guarantee from Bangladesh Export Finance under their Export Development Guarantee scheme. The Export Development Guarantee scheme for commercial loans is available to qualifying Bangladeshi companies, does not carry preferential rates or require state aid approval, but does contain some restrictive covenants including dividend payments. However, these restrictive covenants are compatible with easyJet's existing policies. In April 2022 easyJet repaid $ 100 million of this facility reducing the overall BDEF facility size from $ 1.87 billion to $ 1.77 billion.

8.7 Relevance of information for users

Users will wish to be aware of any significant amounts of government grants received so that they can:

- take account of the effect on financial performance and position if further grants are not to be received in future periods; and
- compare the financial performance and position of a grant-receiving entity with that of an entity not eligible for grants.

The disclosures required by IAS 20 are very useful in this respect, particularly those in respect of the deferred income method of accounting for capital grants.

9 Ethical and judgement issues

Section overview

Professional judgement is required in the assessment of the validity and measurement of provisions in the financial statements. IAS 37 provides guidance, but the professional accountant needs to be aware of the potential issues which can occur, particularly around the measurement of the best estimate of the provision and ensuring that the provision is only used for the purpose intended. The recoverability and proper use of government grants is another area in which questions on ethics may be asked.

The standards in this chapter are subject to a degree of estimation and 'best information available at the time'. The professional accountant will need to ensure that the information provided in the financial statements meets the requirements of IFRS Accounting Standards, as well as the IESBA Code of Ethics (eg, is the information prepared to the best of management's abilities and are they maintaining their objectivity in a given situation rather than being affected by a conflict of interest, such as meeting the target for a bonus).

9.1 IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*

This is an area of judgement required by the preparers of the financial statements. A degree of professional scepticism will need to be applied when considering the recognition of provisions and the validity of the calculations, especially where outcomes are not certain, such as legal cases and provisions for future costs (warranties on products, decommissioning costs). Question any changes in assumptions or bases of estimation used by management to test that the information is as robust as possible.

The application of the principles of IAS 37 in setting up and revising the amounts of provisions requires a great deal of **estimation and judgement** on the part of management. This is an area where it is vital that clear and comprehensive policies and procedures are laid down and then applied consistently from one period to another.

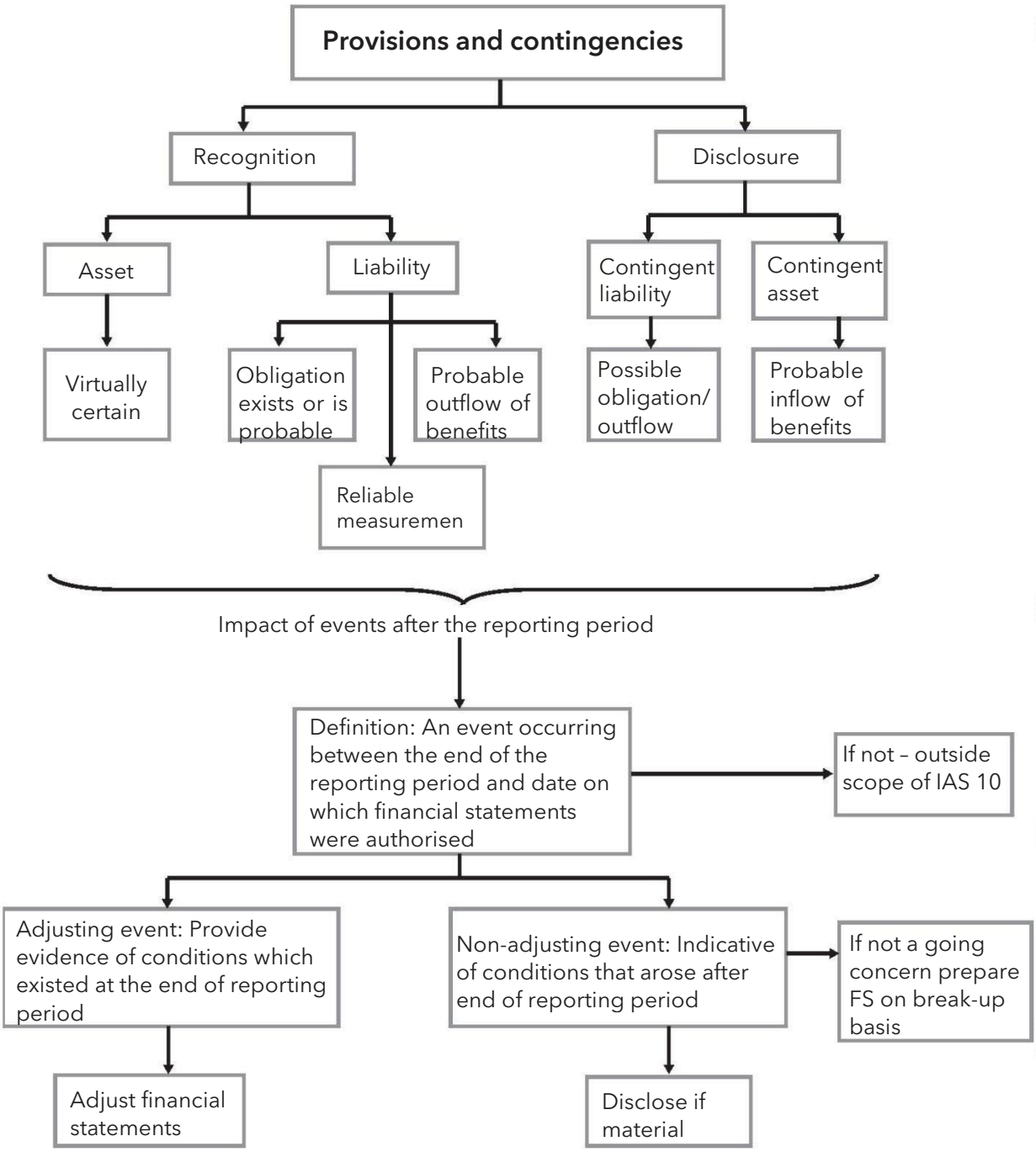
Even then, the carrying amounts of provisions are estimates of the effect of uncertain future events, so it is entirely legitimate for different people to take different views. The important objective is to make estimates which are neutral in terms of the information provided, rather than designed to achieve a predetermined profit or net asset figure.

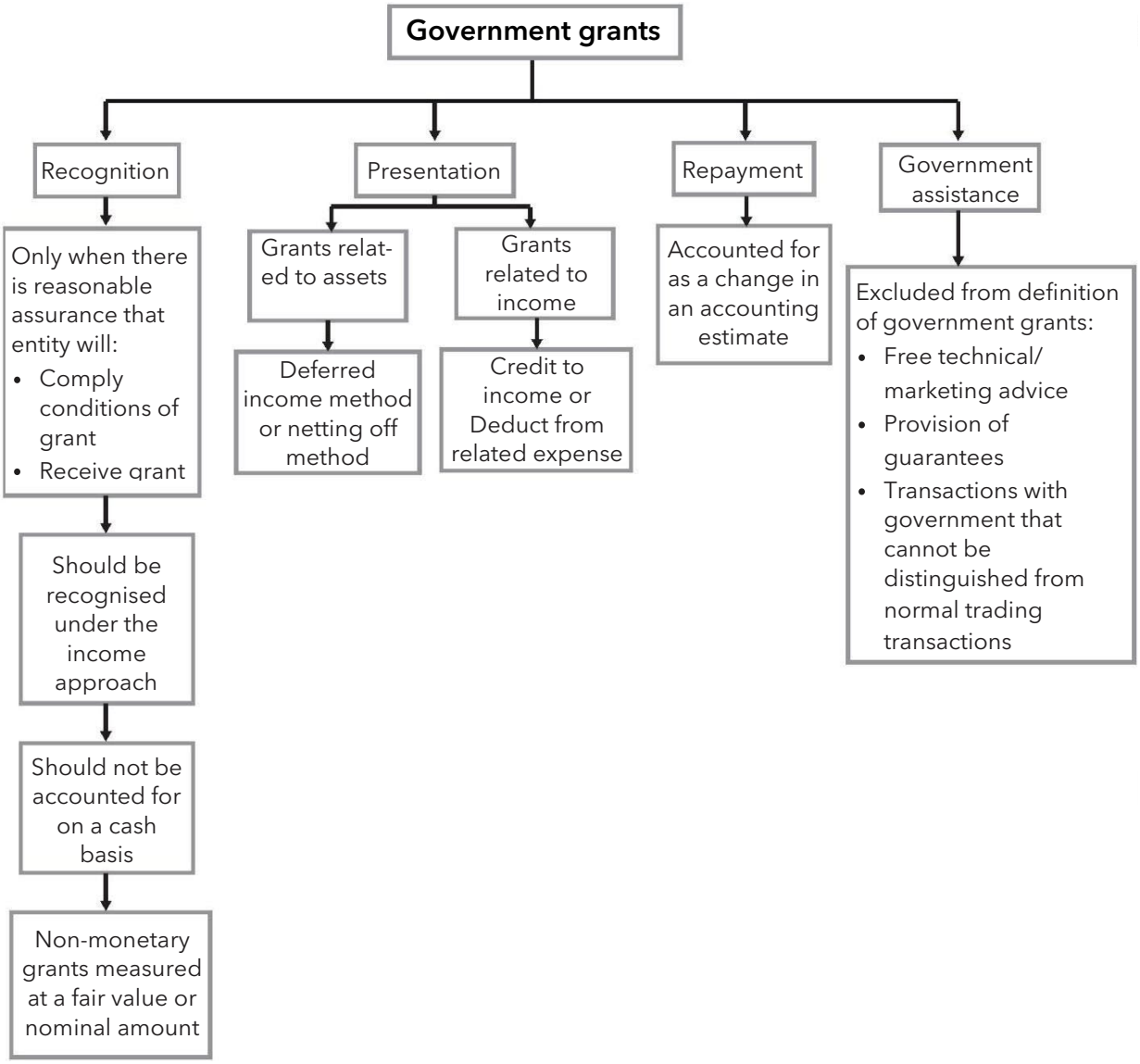
9.2 IAS 20, *Accounting for Government Grants and Disclosure of Government Assistance*

IAS 20 is one of the more straightforward reporting standards. Management judgement is only required in limited circumstances, such as:

- Whether to account for non-monetary grants at fair value or at a nominal amount.
- How to deal with a grant to offset the costs of a project if the project involves both capital and revenue expenditure. Some allocation to the different components would be appropriate, because it is likely that the two types of expenditure will be recognised in profit or loss over different periods.

Summary


Provisions and contingencies
Recognition
Disclosure
Asset
Liability
Contingent liability
Contingent asset
Virtually certain
Obligation exists or is probable
Probable outflow of benefits
Possible obligation/ outflow
Probable inflow of benefits
Reliable measuremen
Impact of events after the reporting period
Definition: An event occurring between the end of the reporting period and date on which financial statements were authorised
If not – outside scope of IAS 10
Adjusting event: Provide evidence of conditions which existed at the end of reporting period
Non-adjusting event: Indicative of conditions that arose after end of reporting period
If not a going concern prepare FS on break-up basis
Adjust financial statements
Disclose if material


Government grants
Recognition
Only when there is reasonable assurance that entity will:
• Comply conditions of grant
• Receive grant
Should be recognised under the income approach
Should not be accounted for on a cash basis
Non-monetary grants measured at a fair value or nominal amount
Presentation
Grants relat-ed to assets
Deferred income method or netting off method
Grants related to income
Credit to income or Deduct from related expense
Repayment
Accounted for as a change in an accounting estimate
Government assistance
Excluded from definition of government grants:
• Free technical/ marketing advice
• Provision of guarantees
• Transactions with government that cannot be distinguished from normal trading transactions

Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Do you know the definition of a provision and can you explain the criteria required to recognise a provision in the financial statements? (Topic 2)
2.	Can you explain what is meant by 'a probable outflow of resources' and how to calculate an expected value using probabilities? (Topic 2 and Topic 3)
3.	Do you understand when and how to discount a provision using an appropriate discount rate? (Topic 3)
4.	Can you explain the criteria required for making a restructuring provision? (Topic
5.	4) How does a provision differ from a contingent liability? (Topic 6)
6.	What events which have occurred after the end of the reporting period should be recognised in the financial statements? (Topic 7)
7.	Can you explain the treatment for a government grant, in particular, the methods for accounting for a grant associated with a non-current asset? (Topic 8)

2 Question practice

Aim to complete all the self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
Laurel plc	This question tests your understanding of IAS 10, *Events After the Reporting Period* as it asks you to identify from the scenarios which ones would be adjusting events in accordance with IAS 10.
Construction plc	This is a good question to check you can explain in clear language the correct accounting treatment for two scenarios regarding IAS 37.
Delta Ltd	A numerical question regarding provisions, including discounting.
VACS Ltd	This question is useful to check your understanding of several topics covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios to help you improve knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Norland Ltd (part 2 only). only)	This question contains a provision requiring discounting (part 2
Ticktoe Ltd (part 1 only)	This question includes three different government grant scenarios for which you must explain the correct accounting treatment.
Chayofa Ltd	In this question, you must explain the accounting treatment for four different issues, including a provision and an event after the reporting period.
Ansellia	This question includes two different provisions and in part (c), you are required to prepare a provisions note showing the movement on these provisions in during the year and the accompanying narrative.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving onto the next chapter.

Technical reference

Note: All of IAS 10, IAS 37 and IAS 20 are examinable. The paragraphs listed below are the key references you should be familiar with.

1 Provisions – recognition

- Provisions are liabilities of uncertain timing or amount – **IAS 37 (10)**
- A liability is a present obligation of the entity to transfer an economic resource as a result of past events – ***Conceptual Framework for Financial Reporting* (4.26)**
- A provision is recognised only when all of the following are met at the end of the reporting period:
  - The entity has a present obligation (legal or constructive) as a result of a past event
  - It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation
  - A reliable estimate can be made of the amount of the obligation – **IAS 37 (14)**
- There is a useful decision tree in Appendix B – **IAS 37 (App B)**

2 Provisions – measurement and use

- Measure at best estimate of expenditure required to settle obligation at reporting date – **IAS 37 (36)**
- Discount where material – **IAS 37 (45)**
- Do not take into account gains from expected disposal of assets – **IAS 37 (51)**
- Treat reimbursements as separate assets, recognised only where virtually certain, and only up to amount of provision – **IAS 37 (53)**
- Expense in profit or loss may be shown net of reimbursement – **IAS 37 (54)**
- Review provisions at each reporting date and adjust to current best estimate – **IAS 37 (59)**
- Use a provision only for the expenditures for which it was created – **IAS 37 (61)**

3 Provisions – specific applications

- Do not provide for future operating losses – **IAS 37 (63)**
- Provide for unavoidable costs of meeting onerous contracts – **IAS 37 (66)**
- Treatment of onerous lease contracts – **IAS 37 (5)**
- Provide for restructuring only where legal or constructive obligation exists at reporting date, and provision covers only costs:
  - Necessarily entailed by restructuring; and
  - Not associated with ongoing activities – **IAS 37 (72 and 80)**
- No obligation arises on sale of an operation until there is a binding sale agreement – **IAS 37 (78)**
- A useful set of examples is given in Appendix C – **IAS 37 (App C)**

4 Disclosures

- Disclosure for each class of provision – **IAS 37 (84–85)**
- Disclosure for contingent liability – **IAS 37 (86)**

5 Contingent liabilities

- A contingent liability is either:
  - a possible obligation arising from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control; or
  - a present obligation arising from past events not recognised because an outflow of resources embodying economic benefit is not probable or amount cannot be measured reliably – **IAS 37 (10)**
- Do not recognise contingent liabilities but disclose unless possibility of outflow is remote – **IAS 37 (27 and 86)**

6 Contingent assets

- A contingent asset is a possible asset arising from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control – **IAS 37 (10)**
- Do not recognise contingent assets but disclose where inflow is probable (ie, more likely than not) – **IAS 37 (31 and 89)**

7 Events after the reporting period

- Events after the reporting period are events occurring between the end of the reporting period and date of authorisation of the financial statements. Two categories are:
  - Adjusting events, which provide evidence of conditions existing at the end of the reporting period
  - Non-adjusting events, which are indicative of conditions arising after the end of the reporting period – **IAS 10 (3)**
- Financial state
- ments are adjusted for:
  - Adjusting events – **IAS 10 (8)**
  - Non-adjusting events that indicate that going concern assumption is not appropriate – **IAS 10 (14)**
- Disclose, without adjustment, material non-adjusting events which could affect users' economic decisions taken on the basis of the financial statements – **IAS 10 (21)**
- Disclose date on which the financial statements are authorised for issue – **IAS 10 (17)**

8 Government grants

Treatment

- Should only be recognised if reasonable assurance that:
  - Entity will comply with conditions
  - Grant will be received – **IAS 20 (7)**
- Manner in which received does not affect accounting method adopted – **IAS 20 (9)**
- Should be recognised in profit or loss over periods necessary to match with related costs – **IAS 20 (12)**

- Grants should not be accounted for on a cash basis – **IAS 20 (16)**
- Grants in recognition of specific expenses recognised in profit or loss in same period as expense – **IAS 20 (17)**
- Grants related to depreciable assets usually recognised in proportion to depreciation – **IAS 20 (17)**
- Grants related to non-depreciable assets requiring fulfilment of certain obligations recognised in profit or loss over periods which bear the cost of meeting obligations – **IAS 20 (18)**
- Grant received as compensation for expenses already incurred recognised in profit or loss in period in which receivable – **IAS 20 (20)**
- Non-monetary grants should be measured at fair value or at nominal amount – **IAS 20 (23)**

Presentation of grants related to assets

- Can be presented in the statement of financial position by:
  - setting up the grant as deferred income; or
  - netting it off against the carrying amount of the asset – **IAS 20 (24)**

Presentation of grants related to income

- Either:
  - recognised in profit or loss separately or under a general heading; or
  - deducted in arriving at the amount of the related expense recognised in profit or loss – **IAS 20 (29)**

Repayment of government grants

- Accounted for as a change in an accounting estimate – **IAS 20 (32) Government assistance**
- The following forms of government assistance are excluded from the definition of government grants:
  - Assistance which cannot reasonably have a value placed on it
  - Transactions with government which cannot be distinguished from the normal trading transactions of the entity – **IAS 20 (34–35)**

Disclosures

- Required disclosures – **IAS 20 (39)**

Self-test questions

Answer the following questions.

1 Robin plc

The directors of Robin plc (year end 31 December 20X6) were informed on 27 February 20X7 that a serious fire at one of the company's factories had stopped production there for at least six months to come. On 3 March 20X7 the directors of Robin plc were informed that a major customer had gone into liquidation. The directors of Robin plc had been aware that the customer was in financial difficulties at the year end and had recognised an allowance accordingly. The liquidator was pessimistic about the prospect of recovering anything for unsecured creditors. The financial statements for the year ended 31 December 20X6 were authorised for issue on 20 March 20X7.

Requirement

In accordance with IAS 10, *Events After the Reporting Period* how should the two events be treated in the financial statements?

2 IAS 10

The following events took place between the end of the reporting period and the date on which the financial statements were authorised for issue.

Which event should be classified as an adjusting event in accordance with IAS 10, *Events After the Reporting Period*?

A The discovery of a fraud that shows the financial statements were incorrect

B The acquisition of a subsidiary

C A rights issue

D A dramatic fall in the value of a foreign investment due to movements in the exchange rate

3 Brick, Cement and Mortar

Brick Ltd, Cement Ltd and Mortar Ltd are independent companies, each with a year end of 31 December. Each company is owed a substantial amount by Ladder Ltd. The debts arose on the following dates.

Brick Ltd	20 December 20X1
Cement Ltd	20 January 20X2
Mortar Ltd	25 January 20X2

On 31 January 20X2 Ladder Ltd went into liquidation, and on 2 February 20X2, as a result of the amount which Ladder Ltd owed to it, Mortar Ltd went into liquidation.

Requirement

By which company/companies will Ladder Ltd's default be regarded as an event requiring adjustment under IAS 10, *Events After the Reporting Period*?

4 Laurel plc

The directors of Laurel plc are reviewing the draft statement of financial position at 31 December 20X2. The following events after the reporting period have been identified.

(1) On 1 February 20X3 a fraud perpetrated by the accounts receivable controller was discovered. Receivables recorded in November 20X2 were overstated by CU30,000.

(2) Property, plant and equipment with a carrying amount of CU25,000 was destroyed by a fire on January 20X3. No insurance recovery is expected.

(3) A claim brought by a customer which was under negotiation at the end of the reporting period was settled in court on 12 January 20X3. A payment of CU20,000 in full settlement was made on 24 January 20X3.

Requirement

Which of these events would be regarded as an adjusting event according to IAS 10, *Events After the Reporting Period*?

5 Porter plc

Porter plc is finalising its financial statements for the year ended 30 September 20X3.

A former employee of Porter plc has initiated legal action for damages against the company after being dismissed in October 20X3. Porter plc's legal advisers feel that the employee will probably win the case and have given the company a reasonably accurate estimate of the damages which would be awarded. Porter plc has not decided whether to contest the case.

Requirement

Explain, in accordance with IAS 10, *Events After the Reporting Period,* how should this item be classified in the financial statements of Porter plc for the year ended 30 September 20X3?

6 Westbridge plc

Westbridge plc has constructed a power plant for a utility company. Under the terms of the contract Westbridge plc must repair free of charge any faults that arise in the plant during its first five years of operation.

The best estimate of any repair is six days at CU100,000, giving a total of CU600,000. But there is a significant chance that the first repair attempt will not succeed and further repair attempts will need to be made.

Requirement

Explain, in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* how should Westbridge plc decide what amount should be accrued in the financial statements?

7 Construction plc

Construction plc was awarded a contract to build a tunnel under the Thames by a government department. Construction plc delegated some aspects of the contract to other companies. One of the sub-contractors, Underwater Ltd, was negligent in the performance of its contract with Construction plc, which caused delay in the completion of the tunnel.

As a result of the delay, the government department is claiming damages of CU10 million against Construction plc. In turn, Construction plc has commenced proceedings against Underwater Ltd. The lawyers have advised Construction plc that both actions are likely to be successful.

Requirement

In accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* how should Construction plc account for the legal claims?

8 Intrepid plc

As a result of new banking regulations, Intrepid plc will need to retrain a large proportion of its financial services division in order to ensure continued compliance with banking regulations. At the end of the reporting period no retraining of staff has taken place. However, the head of the financial services division has announced that he is committed to a completion of the retraining programme by the end of the following year.

Carefree plc is also subject to the same banking regulations. By the end of the reporting period Carefree plc has contracted a training organisation to undertake the retraining programme with a start date of 15 January, two weeks after the reporting period. Staff have been notified of their training session dates.

Requirement

In accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* how should each company account for the cost of retraining their staff?

9 Delta Ltd

On 1 January 20X2 Delta Ltd began working a new mine. Legislation requires the owner to restore any environmental damage at the end of the three-year licence. The cost of restoration includes:

(1) The replacement of the landscape, which had to be removed before mining could commence. The restoration cost is estimated at CU6 million.

(2) Damage created by the mining process. Experts estimate that the total cost of this damage will be CU3 million.

(3) The company calculates that the rate which reflects the time value of money and the risks specific to the liability is 10%.

Requirement

What provision for environmental remediation should be created at 31 December 20X2 in accordance with IAS 37, *Provisions, Contingent Liabilities and Contingent Assets*?

10 Grants

A government grant related to income can be credited to profit or loss or deducted from the related expense.

Requirement

What are the possible disadvantages of treating the grant as a deduction from the expense?

11 Hausbuild Ltd

Hausbuild Ltd, a housebuilding company receives a government grant to provide social housing as part of its new development. Under the terms of the grant 10% of the dwellings must be social housing. The construction is expected to take three years.

Requirement

How should the conditions attached to the grant be reflected in the accounting treatment?

12 Sacramento plc

Sacramento plc purchased an item of machinery for CU500,000 on 1 April 20X5 at which time it received a government grant of 20% of the cost of the machinery. The machinery is being depreciated at 25% pa on the reducing balance basis.

Requirement

Show how the machinery and the grant should be presented in the financial statements for the year ended 31 March 20X7 using the deferred income method.

13 Vacs Ltd

Vacs Ltd is a manufacturing company which prepares financial statements to 30 September each year. Before the draft financial statements for the year ended 30 September 20X3 can be finalised and approved by the directors, the following points need to be addressed. Draft net assets at 30 September 20X3 were CU2 million.

(1) Vacs Ltd has renewed the unlimited guarantee given in respect of the bank overdraft of a company in which it holds a significant investment. That company's overdraft amounted to CU300,000 at 30 September 20X3 and it has net assets of CU1 million.

(2) A former director, who was dismissed from the company's service on 1 September 20X3 for acting outside his authority, has given notice of his intention to claim substantial damages for loss of office. On 1 November 20X3 a claim was received for CU150,000. The company's legal advisers have been negotiating with the former director and believe that the claim will probably be settled at CU100,000.

(3) On 15 November 20X3 the company sold its former head office building, Whitley Wood, for CU2.7 million. At the end of the reporting period the building was unoccupied and Vacs Ltd had not intended to sell the property for at least another year. The building's carrying amount (based on cost less accumulated depreciation) was CU3.1 million at the end of the reporting period.

(4) At 1 October 20X2 Vacs Ltd took out a three-year lease on a piece of land on which it erected temporary buildings to house some of its manufacturing processes. The right-of-use asset was initially measured at CU675,000. At the end of the three-year period the buildings will have to be removed and the land restored to grassland. The cost of carrying out this work had a present value at 1 October of CU274,000. The appropriate discount rate is 8%. The lease on the land has not yet been accounted for.

Requirements

13.1 Explain the definition of a liability from the IASB *Conceptual Framework for Financial Reporting* in the context of accounting for provisions and contingencies.

13.2 Prepare extracts from the statement of financial position of Vacs Ltd as at 30 September 20X3, including any relevant notes to the statement.

14 Proviso plc

Proviso plc is organised into several divisions. The following events relate to the year ended 31 December 20X2.

(1) The business technology division supplied a networked computer system to a customer during the year part of which exploded, causing a fire. Proviso plc is being sued for damages. Lawyers have advised that there is a 30% chance of successfully defending the claim. Otherwise, the damages are expected to cost CU10 million (present value CU9.5 million). The lawyers have investigated the cause of the problem with a team of accident consultants. They have concluded that parts supplied to the business technology division

by Moor Ltd contributed to the fire. Lawyers have estimated that Moor Ltd's contributory negligence amounted to 40% of the total damages. Negotiations have started with Moor Ltd and the lawyers believe that a claim is likely to succeed.

(2) On 15 December 20X2, the directors of Proviso plc minuted their decision to close the operations of the loss-making medical technology division. The decision and an outline of a plan were immediately announced to employees and a press release was issued. The closure, which began on 4 January 20X3, has an estimated date for completion, including the sale of the non-current assets of the division, of 30 June 20X3. The costs associated with the closure include the following.

	CU'000
Employee redundancy costs	12,000
Lease termination costs	4,000
Relocating continuing staff to other divisions	3,000
Impairment losses	2,000
	21,000

(3) Proviso plc's retail division provides one-year standard warranties to its customers. Experience has shown that, on average, 10% of sales from this division result in a warranty claim. Revenue from this division in 20X2 was CU8 million. At 1 January 20X2 Proviso plc had a warranty provision in place of CU1 million. During the year claims of CU600,000 were settled by the company.

Requirement

Prepare the provisions and contingencies notes for the financial statements of Proviso plc for the year ended 31 December 20X2.

15 Fordham Ltd

Fordham Ltd received a government grant to cover 20% of the cost of purchasing a carbon-neutral asset for use in its manufacturing facility. The asset has a fair value of CU90,000 and a three-year life. Annual profits before accounting for depreciation on the asset are expected to be CU60,000 for each of the three years.

Requirements

Show the effect on the statement of financial position and on profit or loss for each of the three years if the grant is accounted for by:

(a) deducting it from the cost of the asset; and

(b) Treating it as deferred income.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

The expected cost of repairs will be:

(80% × 0) + (15% × 100) + (5% × 500) = CU40,000

Answer to Interactive question 2

The amount to be provided at 31 December 20X8 is based on the initial estimate of CU1.2 million, discounted at the relevant discount rate of 9% for ten years.

The amount to be provided at 31 December 20X9 is therefore the present value of CU1.2 million, discounted at the relevant discount rate for nine years.

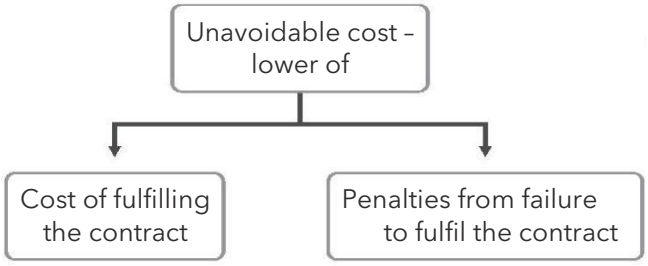
The difference is the finance cost to be recognised in the year ended 31 December 20X9:

	CU
Provision at 31 December 20X8: CU1.2m/1.09^{10}	506,893
Finance cost – 506,893 × 9%	45,620
Provision at 31 December 20X9: CU1.2m/1.09^{9}	552,513

Answer to Interactive question 3

3.1 The contract having been signed, there is a present obligation arising out of past events to pay the unavoidable costs under the contract.

3.2 **Amounts recognised in respect of the contract**



Cost of fulfilling the contract		Penalties from failure to fulfil the contract
Take deliveries of silk and scrap it		**Stop silk deliveries and pay penalties**
Costs (300m × CU18 × 2 months)	CU10,800	Penalties (CU2,400 × 2 months) = CU4,800
Take deliveries of silk and make and sell scarves		
Revenue (300m × CU28 × 2 months)	CU16,800	
Costs (300m x (CU18 + CU16)) x 2	CU20,400	
Loss	CU3,600	

Therefore, the lowest unavoidable cost is CU3,600.

This should be recognised as a provision in the statement of financial position and as an expense in profit or loss.

Disclosure notes will give a brief description of the circumstances and of the obligation as well as an indication of the uncertainties about the timing of payments, amounts and assumptions.

Answer to Interactive question 4

When the overburden is removed, the company has yet to realise the economic benefits from extraction of the rock. However, the removal of the overburden is a past event giving rise to an obligation. Therefore, a provision for restoration costs is recognised at this point.

The present value of the provision is calculated:

CU10m × 1.08^{5} = CU6,810,000

		CU	CU
DR	Non-current asset	6,810,000	
CR	Provision		6,810,000

The debit entry is added to the non-current asset for the cost of establishing the quarry rather than being expensed immediately. The cost is recognised in profit or loss as the asset for the establishment of the quarry is depreciated over its life.

Cost of quarry is CU50m + CU6.81m = CU56.81m Depreciation of CU56.81m/5 years = CU11.362m pa Carrying amount at year end (56.81m – 11.362m) is CU45.448 million

Each year, the discount on the provision is 'unwound'. This is done by multiplying the balance on the provision by the discount rate. The resulting finance charge is debited to profit or loss and credited to the provision balance. At the end of year 5, the provision balance is therefore CU10 million, as shown in the table below.

Year	Brought forward CU	Finance charge CU	Carried forward CU
1	6,810,000	544,800	7,354,800
2	7,354,800	588,384	7,943,184
3	7,943,184	634,545	8,577,729
4	8,577,729	686,219	9,263,948
5	9,263,948	741,116	10,005,064
			(rounding due to 3dp on discount factor)

Answer to Interactive question 5

The correct answers are:

B As A above except that the board agreed a detailed closure plan on 20 December 20X9 and details were given to customers and employees.

C A company is obliged to incur clean-up costs for environmental damage (that has already been caused).

A	No provision would be recognised as the decision had not been communicated by the end of the reporting period.
B	A provision would be made in the 20X9 financial statements as the communication to the employees creates an obligation.
C	A provision for such costs would be made as the damage has already been caused.
D	No present obligation exists and under IAS 37 no provision would be appropriate. This is because the entity could avoid the future expenditure by its future actions, maybe by changing its method of operation.

Answer to Interactive question 6

Circumstance	Position under IAS 37
A contract of employment.	Obligations still have to be performed by both parties, so it is an executory contract. As there is no indication that it is an onerous contract, it falls outside the scope of IAS 37.
A legal claim being pursued by an entity. The entity's lawyers believe it is probable that the entity will receive damages in relation to the claim.	There is a possible asset and as the claim is being pursued, it must arise from past events. So this is a contingent asset. As it is probable that the entity will receive economic benefits in relation to this claim, the contingent asset should be disclosed in the entity's financial statements.
A legal claim being pursued against an entity. The claim has gone to court but at this stage,	There is a possible obligation and as the claim is being pursued, it must arise from past events.
the entity's lawyers are unsure as to whether the claim will be successful.	The obligation is dependent on the outcome of the court case, which is uncertain and not within the control of the entity, therefore this is a contingent liability and should be disclosed in the financial statements.
A legal claim against an entity where the entity has accepted liability but the amount to be paid has not yet been agreed.	Liability has been admitted so the obligation exists and arises from past events. A provision should be made based upon the best estimate of the amount to be paid.
Legislation enacted but coming into effect next year which will require substantial retraining of staff.	The obligation arises from future events (the legislation comes into force in the future) and both provisions and contingent liabilities require the obligation to arise from past events. No provision should be made.

Circumstance	Position under IAS 37
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity's published policy in relation to environmental protection is that it will offset any environmental damage caused by its activities.	There is a constructive obligation. As it relates to activities that have already been undertaken, a provision should be made. No provision should be recognised in respect of planned future activities.
The costs of carbon offsetting in respect of activities that have already been undertaken and where there is no legal obligation. The entity has no published policy in relation to offsetting environmental damage and this is the first time the entity has considered carbon offsetting.	There is no obligation. No provision should be made.
Restructurings where the detailed plan has been developed, announced and agreed with employees' representatives.	There is a constructive obligation. A provision should be made.
Restructurings where the detailed plan has been developed and announced.	There is a constructive obligation. A provision should be made.
Restructurings where the detailed plan has been developed and agreed by the board, but no announcement has been made.	There is no obligation as the board could reverse its decision and not announce it. No provision should be made.
Future reinstatement work under guarantees to be provided to customers in relation to future sales.	The obligation arises from future sales, therefore there is no present obligation and no provision should be made.

Answer to Interactive question 7

Circumstance	Application of IAS
A legal claim in relation to a past event is pursued against an entity over several years. The entity makes the following judgements about outflows of resources in • Year 1: there will be no outflow • Year 2: an outflow is remote • Year 3: an outflow is possible • Year 4: an outflow is probable • Year 5: an outflow is virtually	This claim may result in the existence of a liability Year 1: neither recognition nor disclosure Year 2: neither recognition nor disclosure Year 3: contingent liability disclosed Year 4: provision recognised Year 5: provision retained
A legal claim in relation to a past event is pursued by an entity over several years. The entity makes the following judgements about inflows of resources in settlement: • Year 1: there will be no inflow • Year 2: an inflow is remote • Year 3: an inflow is possible • Year 4: an inflow is probable • Year 5: an inflow is virtually certain	This claim may result in the existence of an asset Year 1: neither recognition nor disclosure Year 2: neither recognition nor Disclosure Year 3: neither recognition nor disclosure Year 4: contingent asset disclosed Year 5: asset recognised

Answer to Interactive question 8

Situation 1

At the end of the reporting period, Conditional disputes liability (and therefore whether a present obligation exists).

However, the lawyer's advice is that it is more likely than not that Conditional will be found liable. A present obligation should be assumed to exist (IAS 37: paras. 15–16).

Given that a single obligation is being measured, a provision is made for the outflow of the most likely outcome (IAS 37: para. 40).

Consequently a provision should be recognised for CU20,000 court costs and damages + CU80,000 repair costs = CU100,000.

Situation 2

A present obligation exists at the end of the reporting period based on historical evidence of items being repaired under the guarantee agreement.

Here, a large population of items is involved. A provision should therefore be recognised for the expected value of the outflow:

	CU
15,000 × 5% × 1/3 ×CU100	25,000
15,000 × 5% × 2/3 ×CU300	150,000
	175,000

Answer to Interactive question 9

The cracks in the walls are clear evidence of a change in the building's condition.

The specialist professionals have provided their opinion that the problems must have arisen several years ago (not since the year-end), thus providing evidence as to the building's condition at the end of the reporting period.

The draft financial statements should be adjusted to take account of this change in condition. A full impairment review under IAS 36, *Impairment of Assets* should be carried out and any impairment loss should be recognised in the June 20X8 financial statements.

Note: It is highly likely that expenditure on repairs will be needed in the 30 June 20X9 financial year to rectify the damage and that the cost may be significant. But no provision for these repairs should be recognised at 30 June 20X8. There is a past event (the faults now identified) but at the end of the reporting period there is no obligation to incur the expenditure on repairs; so no provision should be recognised.

Answer to Interactive question 10

The reduction in selling price is evidence of the inventory's net realisable value at the end of the reporting period. It is therefore an adjusting event.

The net realisable value of the inventory is (CU605 – CU100) × 4,000 = CU2,020,000.

The inventory is currently measured at a cost of CU550 × 4,000 = CU2,200,000, so it should be written down to the lower amount.

Answer to Interactive question 11

The grant should be recognised in the same proportion as the depreciation.

(a) **Straight line**

Year		Depreciation expense	Grant recognised in profit or loss
		CU	CU
1	(40 ÷ 4) and 50% thereof	10,000	5,000
2	(40 ÷ 4) and 50% thereof	10,000	5,000
3	(40 ÷ 4) and 50% thereof	10,000	5,000
4	(40 ÷ 4) and 50% thereof	10,000	5,000

(b) **Reducing balance**

Year		Depreciation expense	Grant recognised in profit or loss
		CU	CU
1	(40 × 40%) and 50% thereof	16,000	8,000
2	((40 – 16) × 40%) and 50% thereof	9,600	4,800
3	((40 – 16 – 9.6) × 40%) and 50% thereof	5,760	2,880
4	(remainder)	8,640	4,320

Answer to Interactive question 12

As the grant is half of the cost of the asset, then the credit in respect of deferred income will be half of the annual depreciation charge.
The depreciation charge for the year ending 31 December 20X7 is CU320,000 × 25% = CU80,000 The release of deferred income from the grant in 20X7 (50% × depreciation) is 50% × CU80,000 = CU40,000

Alternative calculation:

Deferred income released CU160,000 × 25% = CU40,000

Answer to Interactive question 13

(a) This is a cash grant, so it ranks as a government grant which should be recognised. As it is given as immediate financial support to the entity, it should be recognised in profit or loss immediately.

(b) This is a government grant which should be recognised.

CU0.25 million should be recognised in profit or loss for each year from the date the grant becomes receivable (when 50 jobs have been created). This matches the grant with the related costs. Because this does not match the cash receipts, deferred income and a receivable will appear in Years 1 and 3 respectively.

(c) This is a grant of a non-monetary asset. The usual treatment would be to account for both grant and the asset at the fair value of the equipment and recognise the grant in profit or loss over the period the asset is depreciated.

(d) Free technical advice is likely to be a grant which cannot reasonably have a value placed upon it. As a result it should not be recognised.

Answers to Self-test questions

1 Robin plc

The fire is a non-adjusting event but should be disclosed in the notes, as it is material by nature. The liquidation is an adjusting event, as it gives additional information about the recoverability of a trade receivable balance.

2 IAS 10

The correct answer is:

A The discovery of a fraud that shows the financial statements were incorrect

Only A, the discovery of the fraud, affects the conditions existing at the end of the reporting period.

3 Brick, Cement and Mortar

Adjustments will need to be made by Brick Ltd and Mortar Ltd.

(1) Brick Ltd: The debt arose before the end of the reporting period, so this would be an adjusting event.

(2) Cement Ltd: The debt arose after the reporting period, so this would be a non-adjusting event.

(3) Mortar Ltd: As for Cement Ltd, a non-adjusting event, but of such significance that Mortar Ltd is no longer a going concern. Thus adjustments will be made to the accounts.

4 Laurel plc

(1) and (3) would be regarded as adjusting events (IAS 10: paras. 9 and 22).

5 Porter plc

This is a non-adjusting event after the reporting period. The legal action does not relate to conditions existing at the end of the reporting period as the cause arose subsequently.

6 Westbridge plc

IAS 37 states that a single obligation should be measured at the best estimate of the liability; where other possible outcomes are mainly higher, then the best estimate should be a higher amount. In this case there is a significant chance that the first repair attempt will not succeed, therefore a provision for a larger amount should be made. So Westbridge should accrue an amount in excess of CU600,000 to allow for this.

7 Construction plc

The claim against Construction plc is a present obligation as a result of past events, which results in the probable outflow of resources, but the timing of the payment is uncertain. It therefore meets the definition of a provision and should be recognised as such.

The claim against Underwater Ltd represents a reimbursement of expenditure required to settle the provision; IAS 37 requires that, where it is virtually certain that a reimbursement will be received if an entity settles an obligation, the reimbursement should be recognised as a

separate asset. Here lawyers have advised that both claims are 'likely' and so the virtually certain threshold is not met.

Therefore, the claim against Underwater should be disclosed as a probable contingent asset.

8 Intrepid plc

Intrepid Ltd – although the intention to retrain staff has been announced, the decision could be reversed and there is no probable outflow of resources as a result of past events. The cost of training will be recognised as an expense as and when it occurs in the following year.

Carefree Ltd – Carefree Ltd has contracted with the training organisation, which does create an obligation, but the training is due to take place in the future and does not arise as a result of past events. The cost of training will be recognised as an expense as and when it occurs in the following year.

9 Delta Ltd

The provision will be required in three years' time: Restoration cost CU6m + CU3m = CU9m

Value in today's money based on the discount factor of 10% = $9,000,000/(1.10)_3$ = 6,761,833

	Brought forward (1 Jan)	Finance charge	Carried forward (31 Dec)
	CU	CU	CU
20X2	6,761,833	676,183	7,438,016
20X3	7,438,016	743,802	8,181,818
20X4	8,181,818	818,182	9,000,000

The double entry would be as follows:

		CU	CU
DR	Non-current asset	6,761,833	
DR	Finance cost	676,183	
CR	Provision		7,438,016

10 Grants

Treating the grant as a deduction from expense will reduce the amount of that expense category for the year and may make it appear excessively low compared to other expense categories. This may also reduce comparability with similar entities that have not received grants. If this method is used it will be important to disclose the receipt of the grant in the notes so that users are fully informed.

11 Hausbuild Ltd

An entity receiving such a grant should identify precisely those conditions which give rise to costs. This will determine the period over which the grant is earned and it may be necessary to split the grant and allocate parts on different bases.

In this case there will be a cost associated with building social housing which will be less profitable than private housing. If social housing plots are inserted at different phases of the development, then the grant should be split among these plots and recognised as each of them are completed.

If it appears possible at any time that one or more of the social housing plots will not be provided, then a contingent liability for repayment of that proportion of the grant must be disclosed. If it is probable that one or more plots will not be built, then a provision should be recognised.

12 Sacramento plc

Note that 20X7 is the second year of the asset's ownership, so at 1 April 20X6 the carrying amounts of both the asset and the deferred income will have been reduced to 75% of their initial amounts.

Statement of profit or loss extract – year ended 31 March 20X7

	CU
Depreciation ((CU500,000 × 75%) × 25%)	(93,750)
Government grant income ((CU100,000 × 75%) × 25%)	18,750

Statement of financial position extract – as at 31 March 20X7

	CU
Non-current assets	
Machinery (CU500,000 × 75% × 75%)	281,250
Non-current liabilities	
Deferred income (CU100,000 × 75% × 75% × 75%)	42,187
Current liabilities	
Deferred income (CU100,000 × 75% × 75% × 25%)	14,063

13 Vacs Ltd

13.1 The *Conceptual Framework for Financial Reporting* defines a liability as a present obligation of the entity to transfer an economic resource as a result of past events.

For a liability to exist, three criteria must all be satisfied:

(1) The entity has an obligation

(2) The obligation is to transfer an economic resource

(3) the obligation is a present obligation that exists as a result of past events This definition can be illustrated by looking at item (2) in the question.
The claim is a present obligation because settlement of the claim can be enforced by law. Ultimately, a court will decide whether or not an outflow of resources will result.

The claim has arisen from past events because the action which gave rise to the claim (ie, the dismissal) took place before the end of the reporting period (even though the company was not aware of this claim until after the reporting period). Hence this claim potentially needs recognising as a provision (a liability of uncertain timing and amount) in the financial statements as at 30 September 20X3.

If the event had not taken place until after the reporting period then it would not arise from past events and so no liability would be recognised (though disclosure as a non-adjusting event after the reporting period may be necessary).

For the claim to be recognised it must be expected to result in an outflow of resources which can be measured reliably. IAS 37 effectively defines 'expected' as "more likely than not". Here, the claim is recognised at an amount of CU100,000 because the legal advisors believe the claim will "probably be settled at CU100,000".

If the legal advisers believed that it was unlikely that the case would succeed (ie, settlement is not probable) then the matter would not be recognised as a liability in the financial statements. However, disclosure as a contingent liability (contingent on the outcome of the future court case) would be necessary if the possibility of settlement was other than 'remote'. A contingent liability therefore arises when some, but not all, of the criteria for recognising a provision are met.

13.2 **Statement of financial position as at 30 September 20X3 (extract)**

	CU
ASSETS	
Non-current assets	
Property, plant and equipment (3,100,000 + (675,000 – 225,000(W)) + (274,000 – 91,333 (W)))	3,732,667
EQUITY AND LIABILITIES	
Non-current liabilities	
Provisions (Note 1) (100,000 + 295,200)	395,920

Notes to the financial statements as at 30 September 20X3 (extracts)

(1) **Provisions**

	CU
Compensation claim	
At 1 October 20X2	-
Profit or loss charge	100,000
At 30 September 20X3	100,000

This provision is in respect of a claim made by a director who was dismissed on 1 September 20X3 for acting outside his authority. It represents the amount at which the company's legal advisers believe the claim will be settled.

Decommissioning provision	**CU**
At 1 October 20X2	274,000
Unwinding of discount (274,000 × 8%)	21,920
At 30 September 20X3	295,920

This provision is in respect of an obligation to demolish temporary buildings and restore landscape on 1 October 20X5, discounted to present value at 8%.

(2) **Contingent liabilities**

The company has guaranteed the overdraft in respect of a company in which it holds a significant investment. It is not considered likely that this guarantee will be called upon. That company's overdraft was CU300,000 at 30 September 20X3.

(3) **Events after the reporting period**

Following an offer made to the company after the reporting period, on 15 November 20X3 the company sold its former head office building for CU2.7 million, realising a loss of CU400,000. This loss will be reflected in the company's financial statements to 30 September 20X4.

WORKINGS

(1) **Depreciation on the right-of-use asset**

CU675,000/ 3 years = CU225,000

(2) **Depreciation on the capitalised provision**

CU274,000 / 3 years = CU91,333

Note: In part (a) it is not essential to use item (2) in the question to illustrate. Any other appropriate example could have been used.

14 Proviso plc

Notes to the financial statements as at 31 December 20X2 (extracts) Provisions

	Warranty provision	Compensation claim	Provision for the closure of division	Total
	CU'000	CU'000	CU'000	CU'000
At 1 January 20X2	1,000	–	–	1,000
Used in the year	(600)	–	–	(600)
Profit or loss charge (bal fig)	400	9,500	16,000	25,900
At 31 December 20X2 (W1 and W2)	800	9,500	16,000	26,300

The warranty provision is in respect of standard warranties provided to customers. The provision is based on the level of past claims.

The compensation claim provision is in respect of a claim made by a customer for damages as a result of a faulty computer supplied by the company. It represents the present value of the amount at which the company's legal advisers believe the claim is likely to be settled.

On 15 December 20X2, Proviso plc announced that it would be closing its loss making medical technology division. Details of the closure have been fully communicated to those affected. The cost of the closure, which began on 4 January 20X3, is estimated at CU16 million and completion is expected by 30 June 20X3.

Contingent assets

Proviso plc issued a claim against the supplier of the parts in respect of a compensation claim for the problems caused by the faulty computer. Lawyers have advised that this claim is likely to succeed and should amount to around 40% of the total damages (CU3.8 million).

WORKINGS

(1) **Provision for closure of division**

	CU'000
Employee redundancy costs	12,000
Lease termination costs	4,000
	16,000

Tutorial Note

The impairment losses of CU2 million would be offset against the carrying amount of the related non-current assets in accordance with IAS 36, *Impairment of Assets*.

(2) **Warranty provision**

CU8m × 10% = CU800,000

15 Fordham Ltd

(a) **Statement of financial position**

	Year 1	Year 2	Year 3
	CU	CU	CU
Non-current asset (90,000 × 80%)	72,000	72,000	72,000
Accumulated depreciation (72,000 / 3)	(24,000)	(48,000)	(72,000)
	48,000	24,000	

Profit or loss

	Year 1	Year 2	Year 3	Total
	CU	CU	CU	CU
Profit for the year	60,000	60,000	60,000	180,000
Depreciation	(24,000)	(24,000)	(24,000)	(72,000)
	36,000	36,000	36,000	108,000

(b) **Statement of financial position**

	Year 1	Year 2	Year 3
	CU	CU	CU
Non-current asset	90,000	90,000	90,000
Accumulated depreciation (90,000 / 3)	(30,000)	(60,000)	(90,000)
	60,000	30,000	-
Deferred income (liability)	(12,000)	(6,000)	
	48,000	24,000	

Profit or loss

	Year 1	Year 2	Year 3	Total
	CU	CU	CU	CU
Profit for the year	60,000	60,000	60,000	180,000
Depreciation	(30,000)	(30,000)	(30,000)	(90,000)
	30,000	30,000	30,000	90,000
	6,000	6,000	6,000	18,000
	36,000	36,000	36,000	108,000

The overall effect on the financial statements is the same whichever method is used. Companies may prefer the deferred income method as it does not affect the carrying amount of the asset.

CA BANGLADESH

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